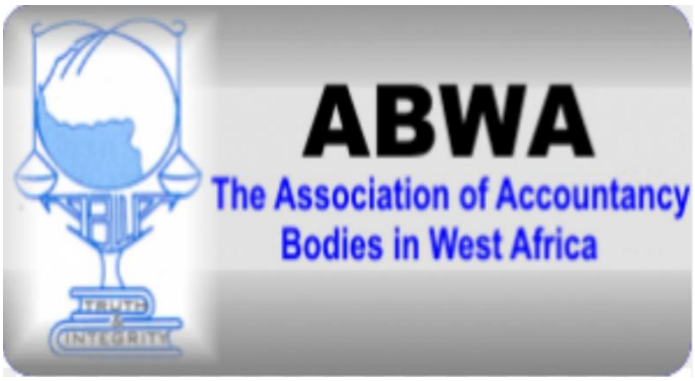


ATSWA

ACCOUNTING TECHNICIANS SCHEME WEST AFRICA

STUDY TEXT

TAXATION

ASSOCIATION OF ACCOUNTANCY BODIES IN WEST AFIRCA (ABWA)

ACCOUNTING TECHNICIANS SCHEME WEST AFRICA (ATSWA)

STUDY TEXT FOR

TAXATION

FIFTH EDITION

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PREFACE

INTRODUCTION

The Council of the Association of Accountancy Bodies in West Africa (ABWA) recognized the difficulty of students when preparing for the Accounting Technicians Scheme West Africa examinations. One of the major difficulties has been the non-availability of study materials purposely written for the scheme. Consequently, students relied on textbooks written in economic and socio-cultural environments quite different from the West African environment.

AIM OF THE STUDY TEXT

In view of the above, the quest for good study materials for the subjects of the examinations and the commitment of the ABWA Council to bridge the gap in technical accounting training in West Africa led to the production of this Study Text.

The Study Text assumes a minimum prior knowledge and every chapter reappraises basic methods and ideas in line with the syllabus.

READERSHIP

The Study Text is primarily intended to provide comprehensive study materials for students preparing to write the ATSWA examinations.

Other beneficiaries of the Study Text include candidates of other Professional Institutes, students of Universities and Polytechnics pursuing undergraduate and post graduate studies in Accounting, advanced degrees in Accounting as well as Professional Accountants who may use the Study Text as reference material.

APPROACH

The Study Text has been designed for independent study by students and as such concepts have been developed methodically or as a text to be used in conjunction with tuition at schools and colleges. The Study Text can be effectively used as a course text and for revision. It is recommended that readers have their own copies.

FOREWARD

The ABWA Council, in order to actualize its desire and ensure the success of students at the examinations of the Accounting Technicians Scheme West Africa (ATSWA), put in place a Harmonization Committee, to among other things, facilitate the production of Study Texts for students. Hitherto, the major obstacle faced by students was the dearth of study texts which they needed to prepare for the examinations.

The Committee took up the challenge and commenced the task in earnest. To start off the process, the existing syllabus in use by some member Institutes were harmonized and reviewed. Renowned professionals in private and public sectors, the academia, as well as eminent scholars who had previously written books on the relevant subjects and distinguished themselves in the profession, were commissioned to produce Study Texts for the twelve subjects of the examination.

A minimum of two Writers and a Reviewer were tasked with the preparation of Study Text for each subject. Their output was subjected to a comprehensive review by experienced imprimaturs. The Study Texts cover the following subjects:

PART I

1 Basic Accounting
2 Economics
3 Business Law
4 Communication Skills

PART II

1 Financial Accounting
2 Public Sector Accounting
3 Quantitative Analysis
4 Information Technology

PART III

1 Principles of Auditing & Assurance

2 Cost Accounting

3 Taxation

4 Management

Although, these Study Texts have been specially designed to assist candidates preparing for the technicians examinations of ABWA, they should be used in conjunction with other materials listed in the bibliography and recommended text.

PRESIDENT, ABWA

STRUCTURE OF THE STUDY TEXT

The layout of the chapters has been standardized so as to present information in a simple form that is easy to assimilate.

The Study Text is organized into chapters. Each chapter deals with a particular area of the subject, starting with learning objective and a summary of sections contained therein.

The introduction also gives specific guidance to the reader based on the contents of the current syllabus and the current trends in examinations. The main body of the chapter is subdivided into sections to make for easy and coherent reading. However, in some chapters, the emphasis is on the principles or applications while others emphasize method and procedures.

At the end of each chapter is found the following:

- Summary
- Points to note (these are used for purposes of emphasis or clarification);
- Examination type questions; and
- Suggested answers.

HOW TO USE THE STUDY TEXT

Students are advised to read the Study Text, attempt the questions before checking the suggested answers.

ACKNOWLEDGMENTS

The ATSWA Harmonization and Implementation Committee, on the occasion of the publication of the fifth edition of the ATSWA Study Texts acknowledges the contributions of the following groups of people. The ABWA Council, for their inspiration which gave birth to the whole idea of having a West African Technicians Programme. Their support and encouragement as well as financial support cannot be overemphasized. We are eternally grateful.

To The Councils of the Institute of Chartered Accountants of Nigeria (ICAN), and the Institute of Chartered Accountants, Ghana (ICAG), Institute of Chartered Accountants Sierra Leone (ICASL), Gambia Institute of Chartered Accountants (GICA) and the Liberia Institute of Certified Public Accountants (LICPA) for their financial commitment and the release of staff at various points to work on the programme and for hosting the several meetings of the Committee, we say kudos.

We are grateful to the following copyright holders for permission to use their intellectual properties:

- The Institute of Chartered Accountants of Nigeria (ICAN) for the use of the Institute's examination materials;
- International Federation of Accountants (IFAC) for the use of her various publications;
- International Accounting Standards Board (IASB) for the use of International Accounting Standards and International Financial Reporting Standards;
- Owners of Trademarks and Trade names referred to or mentioned in this Study Text.

We have made every effort to obtain permission for use of intellectual materials in this Study Texts from the appropriate sources.

We wish to acknowledge the immense contributions of the writers and reviewers of this manual;

Our sincere appreciation also goes to various imprimaturs and workshop facilitators. Without their input, we would not have had these Study Texts. We salute them.

Chairman

ATSWA Harmonization & Implementation Committee

A new syllabus for the ATSWA Examinations has been approved by ABWA Council and the various PAOs. Following the approval of the new syllabus which becomes effective from the September 2026 diet a team was constitutes to undertake a comprehensive review of the Study Texts in line with the syllabus under the supervision of an editorial board.

The Reviewers and Editorial board members are:

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CHAPTER ONE

INTRODUCTION TO TAXATION

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1.0 Learning objective

The learning objective is to explain the meaning, historical background, objectives and principles of taxation to the readers

1.1 Learning outcomes

At the end of this chapter, readers should be able to understand:

a. the meaning and historical background of taxation;
b. classification, objectives and principles of taxation;
c. sources of tax laws; and
d. the policy objectives of the National Tax Policy, 2017, and the policy guidelines that future taxes are expected to align with.

1.2 Introduction

Tax is a compulsory levy or financial charge imposed on a taxpayer or upon his property by the government to provide security, social amenities, and other amenities for the well- being of

society.

The main purpose of taxation is to raise funds to defray the expenses incurred for the common interest of the country without reference to special benefit conferred.

The Government of Nigeria, like others in different parts of the world, has legislative powers to impose on its citizens, any form of tax and at whatever rate it deems appropriate.

A perusal of the Nigerian Tax Laws shows that no attempt has been made to define the term "tax".

However, the Oxford Advanced Learner's Dictionary defines 'tax' as:
"*Money that has to be paid to the government so that it can pay for public services*".

Black Law Dictionary defines tax as:
"*Monetary charge imposed by the Government on persons, entities or property, levied to yield public revenue".*

Thomas Cooley defines taxes as:
"*Enforced proportional contributions from persons and property, levied by the State, by virtue of its sovereignty, for the support of government and for all public needs".*

In simple terms, tax is a compulsory contribution levied by a sovereign power, on the incomes, profits, goods, services or properties of individuals and corporate persons, trusts and settlements. Such taxes when collected are used for carrying out governmental functions, such as maintenance of law and order, provision of infrastructure, health and education of the citizens, or as a fiscal tool for controlling the economy.

Other definitions can be gleaned from judicial precedents.

In MATHEW v CHIKORY MARKETING BOARD OF VICTORIA AUSTRALIA,
Latham C.J. defined tax as – *"a compulsory exaction of money by a public authority for public purposes, or taxation is raising money for the purpose of Government by means of contributions from individual persons".*

In the American case of UNITED STATES v BUTLER, Justice Roberts stated – *"A tax in the general understanding of the term and as used in the Constitution, signifies an exaction for the support of the government".*

Borrowing from the magnum opus of Chris Whitehouse and Elizabeth Stuart – Buttle, tax has three basic features, namely: a *compulsory levy, imposed by government or local authority; and for public purpose or to encourage social justice.* The authors admitted that "to describe the main features of a tax is not, however, to define the concept. A tax is not a voluntary payment but a compulsory pecuniary burden placed on taxpayers for the good of the society".

The most important thing is that it is a pecuniary burden laid upon individuals or persons or property to support the government and is a payment exacted by legislative authority.

Although, tax under any jurisdiction is discriminatory in that it is assessed on persons or property based on profits/income or gain, the benefit conferred on the citizens is without reference to the contributions of individual taxpayers.

The flip side of the resource allocation dimension of a sound taxation policy is its role in promoting investment as well as ensuring a healthy economy through the creation of new wealth. An indirect assessment of this parameter is the level of investment and taxation, which is often used as a driver for savings and as a tool for securing competitive advantages, to aid economic development in an increasingly interdependent world. The tone of stock markets around the world, changes, with the movement of fiscal policy and on the analysts' reading of the strategic consequences, which are of essential consideration, by the providers of capital.

In conclusion, tax is described as a form of levy, imposed on all the residents living in, as well as non-residents doing business, within a tax jurisdiction. It is a civic and patriotic responsibility of citizens, to pay taxes imposed, which also come to the government as income or revenue yielding device to finance the provisions of socio-economic and infrastructural amenities and also to enhance industrial efficiency.

The process of levying and collection of tax from taxpayers is known as taxation.

1.3 Essentials of a good tax system

A **good tax system** should however create jobs and a tax rise should lead to arrest of wasteful expenditure. It is important to note that no one pays tax with a smile even though taxation is a means of making the private sector pay for the services rendered by the public sector. It helps in shaping and directing economic activities, stimulating economic activities, redistributing financial resources and using the income generated to finance social welfare.

The tax system usually involves three (3) aspects, namely the tax policy, tax laws, and tax administration.

(a) **Tax policies:** Tax policies refer to the guidelines and principles established by government for the imposition and collection of taxes. They usually include:
   (i) movement of emphasis from income tax to consumption tax, which is less prone to tax evasion;
   (ii) pursuance of a tax law regime with the aim of reducing individual tax burden, widening the tax net and encouraging savings and investments; and
   (iii) introduction of the self-assessment scheme to encourage taxpayers' participation in the tax assessment process. The policy can also include movement from coercive method of taxation to voluntary compliance as in the case of Nigeria recently.

(b) **Tax laws:** Tax laws include the following notable tax legislation in Nigeria:

   (i) Nigeria Tax Act (NTA), 2025;
   (ii) Nigeria Tax Administration Act (NTAA), 2025;
   (iii) Nigeria Revenue Service (Establishment) Act (NRSA), 2015;
   (iv) Joint Revenue Board of Nigeria (Establishment) Act (JRBA), 2025;
   (v) Petroleum Industry Act (PIA), 2021 (as amended); and

(vi) Nigerian Insurance Industry Act (NIIRA), 2025.

In Nigeria, the Constitution vests the legislation of income tax, whether personal or corporate on the Federal Government in order to promote uniformity. However, the three tiers of government share the administration of the various taxes. Tax laws are reviewed periodically in line with the changes in social, political and economic conditions.

The power to impose tax in Nigeria is within the exclusive legislative authority of the Federal Government. There are various machineries set up by the government to ensure strict compliance with these laws. Non-compliance attracts penalties and fines.

(c) Tax administration: This involves practical interpretations and applications of the tax laws. The authorities charged with the administration of tax in Nigeria are the Federal, State and Local governments. The tax authorities of these tiers of government derive their formation from sections of the relevant laws which include:

(i) Nigeria Revenue Service (NRS), section 3 (1) of the Nigeria Revenue Service (Establishment) Act, 2025;
(ii) States Internal Revenue Service (SIRS), section 87 (1) of the Nigeria Tax administration Act, 2025; and
(iii) Local Government Revenue Committee, section 93 (1) of the Nigerian Tax Administration Act, 2025.

1.4 Historical background of taxation in Nigeria

Taxation dated back to 1904 when late Lord Lugard introduced income tax in Nigeria. It started as a community tax which later culminated in the Native Revenue Ordinance in 1917. In 1918, an amended ordinance extended the provisions of 1917 Ordinance to Southern Nigeria. The first ordinance applied to Abeokuta in Ogun State and to Benin City in Edo State and in 1928, it was extended to Eastern Nigeria.

The Nigeria income taxation did not start until 1940 when the Native Revenue Ordinances of 1917, 1918 and 1928 were incorporated in the direct taxation under Ordinance No. 4 of 1940 cap. 54, (hereinafter referred to as the Ordinance) which repealed the Native Revenue Ordinance, cap 74 in the 1923 edition and the Native Direct Taxation (Colony) – Ordinance No. 41 of 1937. This Ordinance was however discriminatory as it applied to natives in Nigeria elsewhere, that is, other than in the township of Lagos. However, a more comprehensive Income Tax Ordinance No. 29 of 1943 which came into effect on 1 April 1943, governed the assessment of the income of non-Africans resident outside Lagos as well as Africans and non-Africans resident in Lagos. After the Income Tax Ordinance of 1943, there was no significant change in the tax system until 1956.

The determinant of the taxable income or, better still, the original Inland Revenue Departments was the Resident, who was the officer appointed by the Governor to be in charge of the province, together with any other administrative officer authorized by the resident to perform any duties imposed upon the Resident under the Ordinance; the Chief elders and other persons of influence in each district; any native authority which by native Law and Custom was recognized as the tax-collector.

However, the Northern Region did not pass its own personal income tax law until 1962. All the regional tax laws later formed the basis of personal income taxation in all the States that were created out of the Regions. In the Federal Territory of Lagos, the Income Tax Ordinance, 1943, remained in force until the Personal Income Tax (Lagos) Act 1961 enacted by the Federal Government. It was the 1961 enactment that gave birth to separate laws on income and profit of both individuals and companies namely Income Tax Management Act (ITMA); and Companies Income Tax Act (CITA). The Petroleum Profit Ordinance was passed in 1959 but took effect from 1 January 1958. So many laws have been passed to date on taxation in Nigeria.

1.5 Objectives of taxation

Objectives of taxation include the following:

(a) for revenue generation to meet the needs of government;

(b) to provide fiscal tool for stimulating economic growth and development;

(c) for social function such as redressing the rural-urban population drift, curbing environmental pollution as well as promoting a decent society; and

(d) to redistribute income/wealth in order to reduce inequality. This is achieved mostly through the progressive tax.

1.6 Principles of taxation

These are the guidelines underlying a good tax system. They are:

(a) Certainty

It is important that the taxpayer should know the exact amount he/she is expected to pay, the basis of the taxation and the rate of tax applicable and the relevant tax authority to pay to.

(b) Economy in collection cost

The cost of collecting taxes should be relatively lower than the amount of tax collected.

(c) Convenience

The method and timing of tax payment must be convenient to the taxpayers. It must be easy to locate the taxpayers.

(d) Efficiency

Both the compliance and administrative cost must be kept lower than the revenue raised in order to avoid any resentment from the taxpayers especially those of them with smaller income.

(e) Equity

Taxes should be seen to be fair in order to gain acceptability of the taxpayers. It is important that attention be paid to vertical equity and horizontal equity. Vertical equity involves a system whereby the rich pay higher than the poor whilst horizontal equity is a situation which requires equal treatment to people in similar situations.

(f) Flexibility

The tax system must be flexible for it to serve as a veritable fiscal tool. The rate of tax should be capable of being altered without much difficulty.

(g) Neutrality

A good tax system should not distort the economic choices in any form as to cause excess tax burden. Taxes should be neutral and should not be made to impinge adversely on economic activity.

1.7 Types of taxes

The structure of Nigerian tax system, basically, deals with classification of and types of taxes.

Nigerian taxes can be classified in any of the following ways:
Proportional, progressive and regressive taxes (methods); and direct and indirect taxes (incidence).

1.7.1 Methods

(a) Proportional tax

This form of tax assesses a taxpayer to tax, at a flat rate on his total assessable income, therefore, the tax payable is proportional to the taxpayer's income.

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For instance, at a flat rate of 20%, a taxpayer with total assessable income of ₦100,000 will pay tax of ₦ 20,000, while a taxpayer with income of ₦ 1,000,000 pays tax of ₦ 200,000, and so on.

It is a tax, the objective of which is the redistribution of income from the well-to-do, to the less privileged.

(b) Progressive tax

This form of tax is graduated as it applies higher rates of tax as income increases. For instance, the progressive tax concept can be explained using the current personal income tax table as follows:

Taxable income (Naira)	Tax rate (%)
First ₦ 800,000	0
Next N 2,200,000	15
Next ₦9,000,000	18
Next ₦ 13,000,000	21
Over ₦ 25,000,000	23
Above ₦50,000,000	25

(c) Regressive tax

Under this type of tax, the tax payable decreases as the taxpayer's income increases. This type of tax is not commonly applied.

1.7.2 Incidence

(a) Direct tax

This form of tax is assessable directly on the taxpayer who is required to pay tax on his property, income or profit, etc.

The types of taxes that fall under this heading, include:

(i) personal income tax (PIT);
(ii) companies' income tax (CIT); and
(iii) hydrocarbon tax.

(b) Indirect tax

Indirect taxes are imposed on commodities before they reach the consumer, and are paid not as taxes, but as part of the selling price of a commodity. Examples are:

(i) value added tax (VAT);
(ii) stamp duties;
(iii) excise duties; and
(iv) customs duties.

Indirect taxes may affect the cost of living, as they constitute taxation on expenditure.

1.7.3. **Classification of taxes**

There are various ways in which taxes can be classified depending on the perspective at which one is looking at taxes. One can classify taxes from the perspective of the tax subject, the tax base or the distribution of the tax burden.

In a nutshell, taxes are classified as follows:

(a) **Perspective of tax subject** – direct and indirect taxes

(i) Direct tax

This type of tax is levied directly on the taxpayer's income. Examples include companies income tax, Pay-As-You-Earn (PAYE), etc.

Merits of direct tax

- It has lower cost of collection.
- It is more equitable as the taxpayer with higher income bears a greater burden.
- It is easier to ascertain tax incidence.

Demerits of direct tax

- It may discourage hard work.
- It can give room for tax evasion especially if the tax rates are high.
- It may cause social unrest especially if the tax rates are very high since the taxpayers bear the whole burden.

(ii) Indirect tax

This is levied on goods and services. It could be specific; in which case, a fixed amount is imposed on a commodity per unit or, it could be ad-valorem if the tax levied is a certain

percentage of the cost of the commodity. Examples of indirect taxes include import and export duties, excise duties, value added tax.

Merits of indirect tax

- It is a good source of revenue to government.
- It can be adjusted easily.
- It is a veritable fiscal tool to check pattern of consumption of undesirable goods.
- It can be used to protect infant industries.
- It is more difficult to evade.

Demerits of indirect tax

- The cost of collection may be higher.
- Where there is collusion between tax officials and taxpayers to evade tax, there could be loss of revenue.
- It may discourage investment in local industries especially in the case of high export duties or excise duties.

Tax can also be classified according to what is being taxed. In Nigeria, the following bases are in use:

(a) Capital;
(b) Income; and
(c) Consumption.

Examples of taxes classified on basis of income are Personal Income Tax and Companies Income Tax. For capital, it is Capital Gains Tax. The examples of the case of consumption are Value Added Tax and Excise Duties.

1.7.4 **Perspective of distribution of tax burden**

The following can be identified:

(a) The proportional tax
The taxpayer, in this case, pays the same percentage of income as tax. An example is companies income tax.

(b) Progressive tax
In this case, the more the taxpayer earns, the more he pays, for example, personal income tax (PAYE).

(c) Regressive tax
Here, the taxpayer with smaller income pays a greater percentage of the income as tax compared with a person with higher income. All flat rates are regressive. An example is value added tax (VAT).

1.8 Sources of Nigerian tax laws

The tax system in Nigeria is administered through statutes rather than common law. The sources of Nigerian tax laws are:

(a) Customary laws

These are the native laws and customs, governing the taxation of incomes, goods and properties of persons or communities within an ethnic group. Included under this heading, is the Islamic law, which is the basis of moslem laws that are usually applicable in the Northern part of Nigeria.

Examples of taxes collected under the customary laws are:

(i) isakole: Payable in Yoruba land, to titular heads of communities or obas on the produce from farm land;
(ii) osusu-nkwu: Applicable in the Eastern part of Nigeria;
(iii) zakkat tax payable by adherents of the islamic faith, on their wealth, which has been in their possession for a full year. Such wealth includes money, properties, etc. The Islamic law provides the basis for determining the amount of tax payable and to whom payable.

(b) Statute laws

These are tax legislations passed by Acts of the National and State assemblies and bye-laws by local government authorities in a democratic government or decrees or edicts under a military government. These legislations confer necessary powers on the taxing authorities to impose taxes on the citizens that is, individuals, companies, trusts, settlements, etc.

Examples of such tax legislations are:
(i) NTA, 2025; and
(ii) NTAA 2025.

(c) Case laws

This is the doctrine of stare decisis, that is, judicial precedents. Under this doctrine, judgements pronounced by superior courts of records, namely: High Courts, Appeal Courts, and the Supreme Court, on principles of tax laws and their interpretations of the provisions of tax statutes, are binding on the lower courts.

In view of the fact that Nigerian tax laws had their origin from the English tax laws, it would not be out of place to state that the principles of English common law pronounced upon by the judges in England and interpreted by them, also form another source of Nigerian tax laws.

This position is buttressed by the decision in the case of Aderawos Timbers Trading Co. Limited v Federal Board of Inland Revenue Service (1966) LL.R 195, (1969) ALL NLR 247.

In this case, it was held that the decisions of English courts can be invoked for the purpose of interpreting Nigerian tax statutes where the expression and terms used are similar and substantially the same as those used in English Statutes

(a) Circulars issued by and practices of the Inland Revenue.
(b) Opinions of tax experts and authors in so far as the courts take judicial notice of them.
(c) Budgets and pronouncements of relevant ministries.
(d) The Constitution of the Federal Republic of Nigeria.

1.9 Differentiation between taxes and levies

The definition of tax provided by Nightingale (1997) could best be used to differentiate taxes from levies. Nightingale described tax as a, "compulsory contribution imposed by government, even though taxpayers may receive nothing identifiable in return for their contribution, they nevertheless have the benefit of living in a relatively educated, healthy and safe society".

From this definition, one can affirm that tax is not levied in return for any specific service rendered by the government to the taxpayer. However, levies are paid to the government in return for specific services by government to the taxpayer. For example, a fee (such as court fee) is a payment to defray the cost of the service undertaken by the government, primarily in the public interest, but conferring a special advantage on the taxpayer. Another form of levies is fines and penalties. This is not imposed to collect revenue but serves as a punishment for those who go against the laws of the land (example, traffic offenders).

It follows, therefore, that while all forms of taxes can be described as levies since they constitute imposition, not all levies can be properly described as taxes. For the purpose of illustration, while the tax imposed by Section 4(1) of NTA on income, profits or gains of a person accruing in or derived from Nigeria can be rightly described as tax, the penalty and fine imposed by section 127 of NTAA can at best be described as a levy and not tax.

Tax, like levy, is involuntary in the sense that its compliance is compulsory but not intended to be punitive as a levy. Tax must be charged and exacted pursuant to legislative authority, that is, supported by a particular written law and if there is an invalid tax law, a charge cannot suffice for tax.

If it is backed by a particular valid tax law, it is a tax irrespective of whether it is described as levy or tax.

1.9.1 Understanding tax bases and their importance

Aspect	Tax	Levy
Definition	A mandatory financial charge imposed by the government on income, goods, or activities to fund public services.	A broader term that includes taxes but also refers to specific fees, charges or compulsory contributions for particular purposes.
Scope	General (applies broadly to all eligible entities/individuals).	Can be general or targeted (for example, road, tolls, sanitation fees).
Purpose	Funds general government operations (for example, infrastructure, healthcare, defense).	May fund specific projects/services (for example, roads, tolls, sanitation fees).
Legal Basis	Imposed under tax laws (for example, income tax, VAT).	Can be a tax or a special fee/charge (for example, import levies, regulatory fees).
Flexibility	Usually non-negotiable and compulsory.	Some levies are conditional (for example, paid only if using a service).
Examples	Income tax, corporate tax, sales tax (VAT).	Road tolls, customs duties, environmental levies, municipal fees.

1.10 Basic concepts in taxation

There are some basic concepts in taxation which will assist the reader in having better understanding of taxation. Some of these concepts are discussed below:

(a) Tax base

This is a measure upon which the assessment or determination of tax liability is based. It is that portion of a taxpayer's income or property which is expected to suffer tax.

It is the return in form of tax revenue derived from the administration of tax on taxpayers.

(b) Tax rate

It describes the burden ratio (usually expressed as a percentage) at which a business or person is taxed. For example, the value added tax rate is 5% on vatable goods and services.

(c) Tax incidence

It is an economic term for the division of a tax burden between buyers and sellers. It does reveal the person that will pay the tax liability. For instance, if the government decided to impose an increased tax rate on cigarettes, the producers may increase the sale price by the full amount of the tax. If the consumers still purchased cigarettes on the same amount after the price increase, it will be said that the tax incidence fell entirely on the buyers.

(d) Tax burden

This is the amount of income, property or consumption tax levied on an individual or business. Tax burdens vary depending on a number of factors including income

level, jurisdiction, and current tax rates. Income tax burdens are typically satisfied by deductions from an individual's pay slip each time he or she is paid.

(e) Tax impact
This is the effect of a tax on the production or consumption of the product being taxed. For example, the tax impact of raising the levy on tobacco might be a reduction in tobacco sales.

(f) Tax shift
This is also referred to as tax swap. It is a change in taxation that eliminates or reduces one or several taxes and establishes or increases others while keeping the overall revenue the same.

(g) Tax effect
This is a general term that describes the consequences of a specific tax scenario with respect to a particular tax-paying entity.

Tax tribute paid in the olden days by the territories conquered in the wars could be likened to tax. The payment of tax has now been institutionalized with the growth of the government's responsibilities to the citizenry. Tax cutting is not about government giving anything back to the people.

The term **'Tax Cut'** means that the government takes away less of people's own money, so as to enable them spend more of their money in accordance with their choices, instead of government taking it from them to make the choices for them especially where accountability for taxes collected and spent left much to be desired.

1.10.1 Enabling Acts

Enabling Acts are statutes empowering a person or body to take certain action, especially to make regulations, rules, or orders.

An enabling Act is a piece of legislation by which a legislative body grants an entity, which depends on it (for authorisation or legitimacy) the power to take certain actions. For example, enabling Acts often establish government agencies to carry out specific government policies in a modern nation. The effects of enabling Acts from different times and places vary widely.

In Nigeria, the National Assembly is the body saddled with the responsibility for the making of laws amongst other responsibilities.

1.10.2 Tax avoidance and tax evasion

(a) Tax avoidance

Tax avoidance arises in a situation where the taxpayer arranges his financial affairs in a form that would make him pay the least possible amount of tax, for example, avoidance of value added tax can be achieved by anyone that does not buy the goods and/or services on which VAT is levied. Apart from boycotting the goods or services, tax avoidance schemes are carried out after a critical review of the tax laws. The

taxpayer would then implement devices to exploit loopholes in the tax laws that would enable him avoid or minimize tax.

It should be noted that to a very large extent, tax avoidance is legal once it is done within the limits permissible by the tax laws. The dictum established by the lord President (Lord Clyde) in the case Ayrshire Pullman Motor Services and David M. Ritchie v. C.I.R. several years ago still holds good. The lord President's statement is reproduced as follows:

"No man in this country is under the smallest obligation, moral or otherwise, so to arrange his legal relations to his business or to his property as to enable the Inland Revenue to put the largest possible shovel into his stores. The Inland Revenue is not slow – and quite rightly - to take every advantage which is open to it under the taxing statutes for the purpose of depleting the taxpayer's pocket and the taxpayer is in like manner, entitled to be astute to prevent, so far as he honestly can, the depletion of his means by the Revenue."

In Federal Service of Inland Revenue v. American International Insurance Company (Nig.) Plc, Belgore C. J. stated:

"Tax is an obligation, not a duty. One is not a bad citizen if one can organize his business or trade in a legal manner to minimize his tax liability. He could and he should resist within legal means any unduly wide interpretation or unconventional implication of legislative intent of a tax law that might increase that burden. He can do so without being ashamed of walking in the street as a patriotic citizen. A shrewd business acumen and a legitimate protection of sweat of labour are not dishonest acts or an act having any moral turpitude. It is being pragmatic and practical. Being capitalistic might leave much to be desired, but among what is left is not illegality."

When tax avoidance schemes are stretched to the limit, transactions would be seen only in mere form and lacking in substance. This will be because such transactions were entered into just for tax avoidance purposes. There may be no commercial effect. When this signal is present, the Revenue Service would want to step in to disallow such transactions.

To the extent that no tax law would be contravened in several tax avoidance schemes, tax avoidance is legal. This is clear from the opinions of the courts as reproduced earlier. When loopholes in tax legislation have been exploited for tax avoidance purposes, certainly the laws would not have been broken.

High rates of tax could make the cost of elaborate avoidance schemes worthwhile. This will support the view that the existence of widespread tax avoidance is evidence that the tax system requires radical reform.

The possible reaction of the Revenue Service to where loopholes in the tax legislation have been exploited is to take steps to block the loopholes. Thus, specific legislation would be passed to block particular loophole. Such is referred to as specific anti-avoidance legislation. With one loophole blocked, the taxpayer would search out other loopholes and exploit same.

There are therefore, bound to be several and unending specific anti-avoidance legislation to stop the taxpayer willing to carry out tax avoidance schemes. As the legislature cannot accurately foresee all schemes which the determined taxpayer could device, consideration would be given to the promulgation of general anti-avoidance legislation.

(b) Tax evasion

Tax evasion is a contravention of tax laws whereby a taxable person neglects to pay the tax due or reduces the tax liability by making fraudulent or untrue claims on the income tax forms or returns. Put differently, tax evasion is the act whereby the taxpayer achieves minimisation of tax paid through illegal means. Tax evasion involves outright fraud and deceit, for example, through deliberate omission of a source of the taxpayer's income from his returns or deliberate understatement of income.

In Nigeria, tax evasion on a large scale is through failure to render tax returns. Tax evasion may be achieved by:

(i) understating income;
(ii) overstating expenditure;
(iii) making false claims for allowances and reliefs; and
(iv) omission of chargeable income from tax returns.

Tax avoidance and tax evasion compared

	Tax avoidance		**Tax evasion**
(i)	Legal	(i)	Illegal
(ii)	Achievable through exploiting loopholes in tax laws.	(ii)	Achievable through deliberate action of fraud and deceit.
(iii)	Results in taxpayer paying minimum tax possible without breaking the law.	(iii)	Results in taxpayer not paying correct tax or paying minimum tax through the breaking of tax laws.
(iv)	Supported by the courts in decided cases.	(iv)	No support by the courts.
(v)	No criminal liability.	(v)	Tax evader could be charged to court for criminal offences with the consequent fines, penalties and, at times, imprisonment.
(vi)	When stretched to the extreme, the scheme could be disregarded.	(vi)	At any level, Revenue Service will frown at tax evasion.
(vii)	No Revenue Service investigation. Prior years assessments will not be reopened.	(vii)	Revenue Service investigation will be instituted. Revenue Service has the power to open prior assessments beyond the six-year statute of limitation, subject to Court approval.

1.11 Multiple taxes

1.11.1 Nature of multiple taxes

This is a tax regime under which various and similar types of taxes are imposed on taxpayers by different tiers of government.

For instance, while the Federal Government imposed the value-added tax on consumption and made it applicable throughout the federation, some states, notably Lagos State, introduced the sales tax based on the same principle as the former and made it applicable in Lagos State.

Particularly guilty of the problem of multiplicity of taxes are the local governments, where all kinds of taxes were introduced. In fact, this tier of government pursued the collection of taxes/levies imposed on taxpayers with reckless abandon, to the extent that it became a national problem and consequently attracted the attention of Federal Authorities.

1.11.2 Types of multiple taxes

The type of taxes introduced and collected by the local governments varies from one local government to another. Some of these taxes are:

(a) entertainment tax;
(b) road tax;
(c) permit for closure of streets;
(d) refuse collection tax;
(e) market taxes and levies; and
(f) loading and offloading levies.

The list is endless, as some local governments are on record as having over 100 taxes/ levies.

1.11.3 Causes of multiple taxation in Nigeria

The causes of multiple taxation in Nigeria include:

(a) lack of funding, particularly for most states, may result in multiple taxation when the states attempt to source for funds through levying of taxes, without taking into consideration whether or not such taxes are being levied either by the Federal or local governments;

(b) some state governments deliberately deny their local governments the revenue due to them. Consequently, a local government, as a way of survival, desperately and aggressively focuses on any drive that will generate revenue to it;

(c) lack of tax education and awareness;

(d) all the tiers of government usually fail to adequately fund their departments and agencies, thus, making them resort to imposing illegal levies and taxes;

(e) multiplicity of revenue agencies;

(f) overlapping taxing rights as contained in the Constitution and the Taxes and Levies (Approved List for Collection) Act, Cap. T2 LFN,2004; and

(g) manual tax administration system and unorthodox tax collection.

1.10.4 Collection of multiple taxes

The greatest problem of multiple taxes is that of their enforcement and the use of unorthodox collection procedures and methods.

Some of these procedures/methods are:

(a) Mounting of roadblocks

Collection agents mount roadblocks and put spikes on the road to force motorists to stop at the approach to the roadblocks. They demand from the motorists, evidence of payment of taxes/levies and in the course of carrying out this function, they impound extra tyres, motor jacks and at times rough handle persons who are unable to pay the taxes/levies demanded for, at such roadblocks on the spot. Such a nuisance seriously affects inter-city commerce and slows down economic activities to the detriment of the country.

(b) Use of revenue agents/consultants

The use of revenue agents/consultants was popular with the state and local government tax authorities.

While some state tax authorities employ external tax consultants for the audit, assessment and collection of tax under the accelerated revenue generation programmes (ARGP), the local governments collect revenue under the aegis of the Joint Revenue Association (JORA).While under the ARGP, especially under the past military regimes, the collection of taxes from companies was enforced, using the law enforcement agents to coerce taxpayers into paying assessed tax, the local government agents in their own case harassed road users, especially branded vehicles in order to ensure payment of tax/levies.

1.11.5 Federal government's solution to the problem of multiplicity of taxes

Concerted efforts are being put in place to ensure that the model Tax Harmonisation Law developed by the Presidential Fiscal Policy and Tax Reforms Committee, in collaboration with the Joint Revenue Board, are adopted by States and Local Governments. States are expected to domesticate this law which should be passed by the States House of Assembly.

It should be stated that the Taxes and Levies (Approved List for Collection) Act, Cap. T2 LFN 2004 is yet to be repealed or consequentially amended by sections 195 and 196 of the NTA, 2025.

When the States Harmonised Taxes and Levies (Approved List for Collection) Bill, 2025, is fully passed into law by the States House of Assembly, the taxes and levies that are collectible by the States and Local Governments are as follows:

(a) States

The taxes to be collected by the States are as follows:
(i) income tax;
(ii) stamp duties;
(iii) property tax;
(iv) road tax;
(v) haulage levy; and
(vi) economic development levy.

(b) Local governments

The levies and charges to be collected by the local governments are as follows:

(i) harmonised levy (covering shops, slaughter slab fee, motor parks, domestic animal fee, bicycles, trucks, canoes, wheel barrows and carts;
(ii) liquor licences;
(iii) TV/ radio fees and other levy payable to the local government;
(iv) user charge (covering marriage, birth and death registration fees, naming of streets fees, signage and mobile advertisements, sewage and refuse disposal fees, burial ground permit fees, religious places establishment fees and wharf landing charge); and
(v) daily ticketing (covering all market levies, including transporters' tickets).

1.10.6 The 1999 Constitution and multiplicity of taxes

The 1999 Constitution of the Federal Republic of Nigeria seeks to eliminate multiple taxation at all levels of government as provided for in Part II, Paragraphs 7 to 10, which state as follows:

(a) In the exercise of its powers to impose any tax or duty on:

(i) capital gains, incomes or profits or persons other than companies; and

(ii) documents or transactions by way of stamp duties.

The National Assembly may, subject to such conditions as it may prescribe, provide that the collection of any such tax or duty or the administration of the law imposing it, shall be carried out by the government of a state or other authority of a state.

(b) Where an Act of the National Assembly provides for the collection of tax or duty on capital gains, incomes or profit or the administration of any law by an authority of a state in accordance with paragraph 7 thereof, it shall regulate the liability of persons to such tax or duty in such manner as to ensure that such tax or duty is not levied on the same person by more than one State.

(c) A House of Assembly may, subject to such conditions as it may prescribe, make provisions for the collection of any tax, fee or rate or for the administration of the law providing for such collection by a local government council.

(d) Where a law of a House of Assembly provides for the collection of tax, fee or rate or for the administration of such law by a local government council in accordance with the provisions hereof, it shall regulate the liability of persons to the tax, fee or rate in such manner as to ensure that such tax, fee or rate is not levied on the same person, in respect of the same liability by more than one local government council.

1.10.7 Other possible solutions to multiplicity of taxes in Nigeria, include**:**

(a) reviewing all the existing taxes in Nigeria and harmonising, where necessary;
(b) reviewing the Constitution to address the overlap in taxing rights of different tiers of government;
(c) Abolishing any unorthodox method of tax collection and implementing technology for tax administration; and
(d) Limiting the number of revenue agencies.

1.12 Tax amnesty in relation to voluntary assets and income declaration scheme (VAIDS) and voluntary offshore assets regularisation scheme (VOARS)

1.12.1 Tax amnesty, including voluntary assets and income declaration scheme (VAIDS)

The Federal Government of Nigeria approved the voluntary assets income declaration scheme in 2017. The scheme was aimed at providing tax defaulters an opportunity to defray all unsettled tax liabilities.

Under the Scheme, tax defaulters were required to voluntarily disclose any previously undisclosed asset and income relating to the preceding six (6) years of assessment within a 9-month period from July 1, 2017. It has been described as giving tax amnesty to defaulters, albeit for a limited period.

At the expiration of the VAIDS scheme on March 31, 2018, the Federal Government extended the scheme by an additional three months due to a clamour for extension by the public. The VAIDS scheme eventually closed on June 30, 2018.

(a) Objectives
The aim of the Nigerian voluntary assets and income declaration scheme (VAIDS) was to provide taxpayers with a time-limited opportunity to regularise their tax status relating to previous tax periods and pay any taxes due. In exchange for fully and honestly declaring previously undisclosed assets and income, taxpayers benefitted from forgiveness of overdue interest and penalties, and the assurance they would not face criminal prosecution for tax offences or tax investigations.

(b) Eligibility to participate
The scheme was targeted at all persons and entities that were in default of their tax liabilities in any way whatsoever, including those who:
(i) earned incomes or owned assets but were yet to register with the relevant tax authorities;

(ii) registered as taxpayers and had additional disclosures to make or needed to amend prior disclosures; and/or were registered but were not filing returns;

(iii) were not fully declaring their taxable incomes and assets;

(iv) were underpaying or under remitting;

(v) were under a process of tax audit or investigation with the relevant tax authority; and/or

(vi) Were engaged in a tax dispute with the relevant tax authority but were prepared to settle the tax dispute out of court.

(c) Requirements for valid declaration

In order for an application pursuant to the scheme to be valid, the following requirements must be met, the:

(i) disclosures by the taxpayer should be voluntary;

(ii) disclosure must be full, frank, complete and verifiable in all material respects;

(iii) disclosure must be made using the forms designed for VAIDS or in any other form or manner as may be prescribed under the scheme; and

(iv) assessment of tax payable must be carried out by relevant tax authority.

(d) Reliefs/benefits

A taxpayer who truthfully and voluntarily declared his assets and income, complied with the regulations and guidelines and paid all outstanding taxes, enjoyed the following benefits:

(i) immunity from prosecution for tax offences;

(ii) immunity from tax audit;

(iii) waiver of interest;

(iv) waiver of penalties; and

(v) option of spreading payment of outstanding liabilities over a maximum period of three years as may be agreed with the relevant tax authority.

The remission or waiver granted under these regulations shall not prejudicially affect or invalidate any court order or judgement already obtained in respect of any default in payment of tax for which interest and/or penalty have already accrued.

The reliefs mentioned above are available in respect of all taxes administered by the Federal Inland Revenue Service as well as those administered by relevant tax authority in each State.

(e) Consequences of failure to comply

Failure of any defaulting taxpayer to truthfully and promptly take advantage of

this scheme shall at the expiration of the scheme, may result in the following consequences:

(i) liability to pay in full, the principal sum due;

(ii) liability to pay all interests and penalties arising therefrom;

(iii) liability to be prosecuted in accordance with relevant extant laws for tax offences;

(iv) withdrawal of any reliefs, which may have been granted to the participant;

(v) liability to undergo comprehensive tax audit; and

(vi) any sum paid in relation to the scheme may be counted as part payment of any further outstanding tax in respect of undisclosed information.

(f) Confidentiality of information

All information provided by the taxpayer under the scheme shall be treated with utmost confidentiality in accordance with the provisions of the relevant laws, save where it is stated otherwise.

Any tax official or persons duly authorised to receive information under the scheme who breaches the confidentiality of the information received or exchanged under the scheme without due authorisation or in breach of relevant laws shall be liable to prosecution under extant Federal and/or State laws.

(g) General

This executive order was valid for a period of nine months (with extension of additional three months), and it relates only to taxpayers who voluntarily declared their assets and income within and outside Nigeria for the purpose of ascertaining their outstanding tax liabilities. Any rights and status properly acquired by any participating taxpayer pursuant to the scheme shall vest to the benefit of the taxpayer to the extent provided for by law.

The executive order took effect from the 1st day of July 2017.

1.12.2 Tax amnesty on offshore assets and incomes: voluntary offshore assets regularisation scheme (VOARS)

(a) Objective

The voluntary offshore assets regularisation scheme (VOARS) was introduced via Presidential Executive Order 008 (VOARS Order) on October 8, 2018. It seeks to provide an incentive for taxpayers who have defaulted in the payment of taxes in respect of their foreign assets and foreign-sourced incomes relating to the preceding thirty years of assessment to voluntarily declare their offshore assets/incomes and regularise their tax matters.

(b) Benefits

Any taxpayer who subscribes to the VOARS is entitled to the following benefits/clemency:

i. payment of one-time levy of 35 per cent on all offshore assets in lieu of payment of outstanding taxes;

ii. permanent waiver of criminal prosecution for tax offences and other offences relating to the offshore assets;

iii. immunity from tax audit of the declared and regularised offshore assets;

iv. waiver of interest and penalties on the declared and regularised offshore assets;

v. receipt of offshore assets regularisation compliance certificate on the declared and regularised offshore assets; and

vi. freedom to use and invest duly regularised offshore assets in any manner in Nigeria and other parts of the world.

(c) General

The VOARS Order mandates the Attorney-General of the Federation and Minister of Justice to set up the VOARS facility in Switzerland for the benefits of Nigerian taxpayers overseas.

To take advantage of the scheme, taxpayers are required to access the facility by paying 2 per cent facility access fee and making all necessary disclosures.

(d) Failure to comply

Any defaulting taxpayer who fails to take advantage of VOARS will be liable to:

i. the tax due;

ii. the interest;

iii. investigation charges; and

iv. enforcement procedures in respect of offshore assets.

(e) Duration of the scheme

The VOARS covered a period of twelve months beginning from October 8, 2018.

1.13 National Tax Policy, 2017

1.13.1 Objectives of the NTP

The National tax policy provides the fundamental guidelines for the orderly development of the Nigerian tax system. The policy is expected to achieve the following specific objectives, amongst others:

(a) guide the operation and review of the tax system;
(b) provide the basis for future tax legislations and administration;
(c) serve as a point of reference for all stakeholders on taxation;
(d) provide benchmark on which stakeholders shall be held accountable; and
(e) provide clarity on the roles and responsibilities of stakeholders in the tax system.

1.13.2 Policies guidelines as they relate to:

(a) Guiding principles of Nigerian tax system

All existing and future taxes are expected to align with the following fundamental features:

i. Equity and fairness: Nigerian tax system should be fair and equitable devoid of discrimination. Taxpayers should be required to pay according to their ability.
ii. Simplicity, certainty and clarity: Tax laws and administrative processes should be simple, clear and easy to understand.
iii. Convenience: The time and manner for the fulfilment of tax obligations shall take into account the convenience of taxpayers and avoid undue difficulties.
iv. Low compliance cost: The financial and economic cost of compliance to the taxpayer should be kept to the barest minimum.
v. Low cost of administration: Tax administration in Nigeria should be efficient and cost-effective in line with international best practices.
vi. Flexibility: Taxation should be flexible and dynamic in a manner that does not retard economic activities.
vii. Sustainability: The tax system should promote sustainable revenue, economic growth and development. There should be a synergy between tax policies and other economic policies of government.

(b) Taxation as a tool for economic management and development

The tax system should support sustainable growth and development at all times. In this regard, the tax system should be geared towards meeting the following goals:

i. Wealth creation and employment

The tax system should be designed to promote social, political and economic development. Accordingly,

- tax policies shall promote employment, export and local production;
- tax policies and laws shall not be retroactive;
- tax policies and laws should ensure equal investment opportunities and support for businesses whether local or foreign;
- tax policies and laws on investments should be long term focused and
- tenured to enable investors plan with reasonable certainty;
- any incentive to be granted should be broad, sector based, tenured and transparent. Implementation should be properly monitored, evaluated, periodically reported and kept under review;
- revenue forgone from tax incentives or concessions should be quantified against expected benefits and reported annually. Where the benefits cannot be quantified, qualitative factors must be considered; and
- tax policies on investments should not promote monopoly such as entry barriers or otherwise prevent competition.

(ii) Taxation and diversification

There should be concerted efforts to attract investments in all sectors of the economy, with more focus on promoting investment in specific sectors as may be identified by government in the overall interest of the country from time to time.

This will boost the revenue base for optimum revenue generation.

(iii) Focus on indirect taxation

The tax system should focus more on indirect taxes which are easier to collect and administer and more difficult to evade.

(iv) Convergence of tax rates

Tax rates should be progressive and should be designed to promote equality. The tax system should gradually seek a convergence of the highest marginal rate of personal income tax, capital gains tax rates and the general companies' income tax rates to reduce opportunities for tax avoidance.

(v) Special arrangements and other incentives

Special arrangements should be sector based and not directed at entities or persons. Also, special arrangements such as free zones and other tax incentives or waivers should not be arbitrarily terminated except as provided in the enabling legal framework or treaties at the time of creation.

Government may provide tax incentives to specific sectors or for such specific activities in order to stimulate or retain investment in the sector. The process of granting and renewing incentives, waivers and concessions shall be transparent and comply strictly with legislative provisions and international treaties.

(vi) Creating a competitive edge

- Reduction in the number of taxes
  - Taxes should be few in number, broad-based and high revenue-yielding. The administration of the taxes should also be simplified for ease of enforcement and compliance.

- Avoidance of multiple taxation
  - Taxes similar to those being collected by a level of government should not be introduced by the same or another level of government. The federal, state and local governments shall ensure collaboration in harmonising and eliminating multiple taxation.

(vii) International and regional treaties

A wide network of International and regional treaties would be beneficial to the economy. In this regard, Nigeria shall continue to expand its treaty network in the best interest of the Nigerian State. Generally, treaties should

prevent double taxation without creating opportunities for non - taxation.

Existing treaties should be reviewed regularly and where necessary, renegotiated in line with international best practices. New treaties should consider benefits to Nigeria both in the short, medium but more importantly long term.

Nigeria's model double tax treaty should be regularly reviewed to adequately cater for the best interests of the country. Appropriate measures shall be taken to ensure that all treaties duly signed and ratified are implemented.

Taxation is recognised as a very important tool for national development and growth in most societies. One of the major indices by which development and growth can be measured in any society is the amount of wealth, which is created by economic activities undertaken in that society. Furthermore, one of the means of creation of wealth for citizens is through meaningful employment, so that citizens are able to earn income to cater for their needs and also contribute taxes to the government as part of their contribution to national development.

In this regard, taxes do not only provide sustainable revenue for government to carry out its activities and provide development to its citizens, it also puts citizens in the role of stakeholders, who are directly contributing to national development.

In reciprocation, therefore, the Nigerian tax system should be utilised by government as a sustainable platform for ensuring growth in the Nigerian economy. In this way, wealth and employment opportunities can be created for those who are currently outside the tax net, due to low or no income, so that they in turn also earn income on which taxes are paid and the circle of growth and development in the economy is sustained in this manner.

(c) Responsibilities of the stakeholders

For an orderly and sustainable development of the Nigeria tax system, the federal and state ministries of finance shall have the primary responsibility for tax policy matters, including initiating proposals for amendments to tax laws. Ministries of finance shall collaborate with relevant stakeholders in carrying out their tax policy responsibilities.

The key stakeholders in the Nigeria tax system can be broadly categorised as follows:

(i) The government
All levels and arms of government, ministries, extra-ministerial departments and agencies where applicable shall:

- implement and regularly review tax policies and laws;
- provide information on all revenue collected on a quarterly basis;
- ensure adequate funding, administrative and operational autonomy of

tax authorities; and

- ensure a reasonable transition period of between three and six months before implementation of a new tax.

(ii) The taxpayer

A taxpayer is a person, group of persons or an entity that pays or is liable to tax. The taxpayer is the most critical stakeholder and primary focus of the tax system. The taxpayer shall consider tax responsibilities as a civic obligation and constant duty that must be discharged as and when due.

The taxpayer shall be entitled to:

- relevant information for the discharge of tax obligations;
- receive prompt, courteous and professional assistance in dealing with tax authorities;
- raise objections to decisions and assessments and receive response within a reasonable time;
- fair and impartial appeal; and
- self-representation or by any agent of choice, provided an agent acting for financial reward shall be an accredited tax practitioner.

(iii) Revenue agencies

Any agency responsible for the collection and administration of revenue shall:

- treat the taxpayer as a customer;
- ensure efficient implementation of tax policies, laws and international treaties;
- facilitate inter-agency co-operation and exchange of information;
- undertake timely audits and investigations;
- undertake tax awareness and taxpayers' education, and
- establish a robust process to prevent, detect and punish corrupt tax officials.

(iv) Professional bodies, tax practitioners, consultants and agents

They shall:

- act in accordance with professional code of conduct and ethics;
- not aid and abet tax evasion and corrupt practices, and
- actively promote effective tax compliance.

(v) Media and advocacy groups

They shall:

- promote tax education and awareness;
- articulate, protect and advance taxpayers right;
- advance accountability and transparency in the utilisation of tax revenue;
- ensure accurate, objective and balanced reporting in accordance with their professional code of conduct and ethics; and
- ensure that aspiring political office holders clearly understand the tax policy and the Nigerian tax system, and are able to articulate their plans for the tax system to which they will be held accountable.

(d) The administration of the mandates of the three-tiers of government

Tax administration in Nigeria cuts across the three-tiers of government. This tax policy document establishes clear guidelines on crucial tax administration issues.

In the context of the Nigeria tax policy, tax authorities at all levels shall administer their mandates in accordance with the following:

(i) Registration of taxable persons

All taxable persons shall be registered and issued with taxpayer identification (Tax ID) applicable nationwide. Tax authorities should leverage on the database of the Central Bank of Nigeria (CBN) on Bank Verification Number (BVN), National Identity Management Commission (NIMC), Nigeria Communication Commission (NCC), Corporate Affairs Commission (CAC), Federal Road Safety Commission (FRSC), Nigeria Immigration Service (NIS) and other relevant sources. The current uncoordinated registration by different agencies should be harmonised.

(ii) Tax compliance

Government shall apply all available resources and tools at their disposal to ensure that taxpayers voluntarily comply with their tax obligations. In order to improve voluntary compliance, the relevant authorities should ensure:

- that the option for self-assessment is in place, and the process and procedures are simple;
- development of frameworks for tax amnesty in order to expand the tax net;
- focus on taxpayers' services;
- constant tax education and enlightenment;
- the overall performance of the tax system is measured and reported periodically; and
- the establishment of a system to recognise and honour compliant taxpayers.

(iii) Efficiency of administration

The following are important in ensuring an efficient tax administration:

- Payment processing and collection

  Collection system shall leverage modern technology towards advancing ease of payment and prevention of revenue losses.
- Record keeping

  Tax authorities shall partner with the relevant agencies to set up automated systems and adequately train tax officials in the use and maintenance of such systems. Electronic systems of record keeping in line with global best practices should be entrenched to enhance the tax administration process.
- Exchange of information

  Tax authorities shall develop an efficient framework for cooperation and sharing of information with other tax authorities and relevant local and international agencies. This will mitigate tax evasion and revenue losses.
- Enforcement of tax laws

Tax authorities shall ensure the enforcement of civil and criminal sanctions as provided under the various tax laws.

- Funding of tax authorities
  Government shall provide adequate funding for tax authorities. Accordingly, government should ensure that an adequate percentage of revenue collected should be provided to the authority for its operations.
- Funding for tax refunds
  Government shall provide adequate funding to meet refund obligations. Tax authorities shall ensure timely and efficient payment of refunds.
- Ease of paying taxes
  Tax authorities shall ensure that payment procedures and documentations are convenient and cost effective. Tax authorities shall work towards ensuring accelerated improvement on the global index of ease of paying taxes.
- Revenue autonomy
  Governments shall ensure a reasonable level of financial and administrative autonomy for their respective tax authorities to facilitate effective discharge of their duties.

(iv) Technology and tax intelligence
Tax authorities shall ensure:

- deployment of technology to aid all aspects of tax administration;
- the integrity and regular update of the database; and
- a workable and secure structure for intelligence and information gathering.

(v) Dispute resolution
In the event of any dispute, the tax authority and relevant stakeholders shall leverage all amicable means of dispute resolution, including arbitration and only resort to judicial determination as a last resort.

(e) The implementation measures
The effective implementation of the national tax policy (NTP) is crucial for Nigeria to attain the set goals. The Federal Ministry of Finance has a pivotal role to play in the development and implementation of the tax policy. Accordingly, the ministry shall take appropriate steps to ensure that it receives cooperation from the following:

(i) The President and Governors
The President and Governors shall ensure that budget speeches and presentations for the fiscal year consistently contain the overriding fiscal policies and summary statements of the expected tax revenue. This will give key stakeholders a sense of what government plans to do and enable them to plan accordingly.

The President and Governors should work towards ensuring that there is only one revenue agency per level of government. This would streamline revenue administration and improve efficiency of revenue collection. Ministries, extra-ministerial departments and agencies other than tax

authorities should not become tax collecting bodies.

The executive shall sponsor a bill for the establishment of a tax court as an independent body to adjudicate in tax matters.

(ii) Legislature

The consideration and passage of tax bills have not fared well within the existing finance committee of the National and State Houses of Assembly. The National and State Houses of Assembly are encouraged to establish taxation committees to focus on tax matters and collaborate with the tax policy implementation committee.

There shall be an establishment Act for the Joint Revenue Board (JRB) towards strengthening and repositioning it to contribute meaningfully to the development of the Nigerian tax system through broader mandate beyond its current advisory role.

The qualification for the lower income tax rate applicable to small businesses should be reviewed in line with current economic realities. The income tax rate for small businesses should be further reduced as an incentive to encourage compliance and promote micros, small and medium enterprises (MSMEs).

(iii) Ministry of Finance

The Ministry of Finance shall:

- set in motion machinery for tax reform. Taxation is a dynamic tool. Having reviewed the policy, the tax law and administration cannot remain stagnant. It is imperative to streamline existing and future tax laws for an orderly development;
- establish a tax policy implementation committee to monitor compliance, regularly review the policy and make appropriate recommendations;
- ensure automation of collection and remittance processes of taxes by all ministries, extra-ministerial departments and agencies;
- work with the legislature to ensure that the requisite changes to tax laws are enacted together with the appropriation Act of the same year. This would require the executive to timely present tax laws as executive bills for the prompt consideration of the National and State Houses of Assembly;
- establish an office of tax simplification which shall be responsible for ensuring continuous improvement to tax legislation and administration;
- create a dedicated tax policy website. Apart from sensitising the general public on the provisions of the tax policy, such a platform would facilitate feedback from stakeholders on the existing and future policy proposals;
- give periodic reports to the National Economic Council (NEC) on tax policy implementation agenda. Apart from updating NEC, such obligation will ensure that the Ministry of Finance is up to speed in its implementation agenda;

- ensure that tax authorities develop key performance indices for Nigeria to attain a top fifty (50) position on the global index of ease of paying taxes and consistently improve on the ranking; and
- ensure that there is a minimum threshold for VAT registration and compliance in order to protect micro-businesses.

(iv) Ministries, department and agencies (MDAs)
Heads of MDAs shall give periodic report(s) to the Ministry of Finance on the level of implementation of the National Tax Policy. Apart from sensitising the MDAs to the provisions of the tax policy, such reports would afford the Ministry of Finance the opportunity to determine the level of compliance and devise appropriate responses as may be necessary to improve implementation.

(v) Tax authorities
To promote tax awareness and a tax culture in Nigeria, the federal and state tax authorities through the Joint Revenue Board (JTB) shall set aside a uniform day in the year as a national tax day. Also, government should make concerted efforts to ensure that taxation is taught at all levels of education.

Tax authorities shall establish administrative framework for amnesty and whistle blowing as part of the strategies for curbing evasion and widening the tax net.

Federal and state tax authorities should respond promptly to the changing business environment as it affects tax administration and develop a workable framework to meet the taxpayers' demands in this respect.

(vi) Independent National Electoral Commission (INEC)

The Independent National Electoral Commission (INEC) shall, by necessary regulation and rules, mandate political parties to articulate, prepare, provide and make public their tax agenda before and during election campaigns. This will make political parties reflect more deeply in an organised fashion on the financial implications of their promises and the options of financing them. This would also help the taxpayer know the preferences of each party on tax matters and take informed decision.

1.14 Chapter summary

This chapter defines and explains the nature and objectives of taxation. It deals extensively with history of Nigerian tax system and laws, which dates back to 1861, when the British colony was established.

Different classifications of taxes grouped into direct and indirect as well as the distinction between taxes and levies were also explained. The issue of tax multiplicity was adequately discussed.

This chapter also discusses the objectives of the NTP as well as the policy guidelines that future taxes are expected to align with and also highlights responsibilities of the key

stakeholders for an orderly and sustainable development of the Nigerian tax system.

1.15 Worked examples

1.15.1 Questions

1. Explain briefly the THREE aspects of tax system in Nigeria.
2. List any SEVEN sources of Nigerian tax laws and practices.
3. Identify and explain any FIVE principles of taxation.
4. Taxation is often used for purposes other than the raising of revenue. Enumerate some of these other purposes
5. Explain the merits and demerits of direct and indirect taxes.
6. The responsibilities of the following key stakeholders are clearly identified in NTP 2017.

Required:

Explain the responsibilities of:

a) The government
b) The taxpayers
c) The revenue agencies

1.15.2 Suggested solutions to examination-type questions

1. Aspects of tax system include:

(a) Tax policy
This can be described as the general statement of intention which guides the actions of all parties towards the realization of tax objectives.

In Nigeria, low tax regime has been introduced with the aim of reducing individual tax burden and thereby encourage savings and investment. There is also the introduction of the self-assessment scheme to encourage taxpayers' participation in the assessment process. The policy also supports the movement from traditional coercive method of taxation to voluntary compliance.

(b) Tax laws
Tax laws include the following notable tax legislations in Nigeria:

(i) Nigeria Tax Act, 2025;
(ii) Nigeria Tax Administration Act, 2025;
(iii) Petroleum Industry Act, 2021 (as amended);
(iv) Nigeria Revenue Service (Establishment) Act, 2025; and
(v) Joint Revenue Board of Nigeria (Establishment) Act, 2025.

In Nigeria, the Constitution vests the legislation of income tax, whether personal or corporate on the Federal Government in order to promote uniformity. However, the three tiers of government share the administration of the various taxes. Tax laws are reviewed periodically in line with the changes in social, political and economic conditions.

The power to impose tax in Nigeria is within the exclusive legislative authority of the Federal Government. There are various machineries set up by the government to ensure strict compliance with these laws. Non-compliance attracts penalties and fines.

(c) Tax administration

This involves practical interpretations and applications of the tax laws. The authorities charged with the administration of tax in Nigeria are the Federal, State and Local governments. The tax authorities of these tiers of government derive their formation from sections of the relevant laws which include:

(i) The Nigeria Revenue Service (NRS), section3 (1) of the NTA;
(ii) State Internal Revenue Service (SIRS), section 87 (1) of the NTAA; and
(iii) Local Government Revenue Committee, section 93(1) of NTAA

2. **Sources of Nigerian tax laws and practices**

These are:

a. Practices of the Revenue Department;
b. Constitution of Federal Republic of Nigeria;
c. Department and official circulars;
d. Opinion of income tax experts and authors insofar as the courts take judicial notice of them;
e. Accepted recommendations of commissions of inquiry;
f. Courts judgments which decide income tax cases and establish income tax principles which are binding and must be followed in similar cases until overruled; and
g. The various income tax laws, the State and Federal Laws including the Federal Government Acts and the State Government laws.

3. **The principles of an ideal tax system include the following:**

(a) Simple, certain and convenient

The tax should be relatively simple for payers to understand their liability and it should be administered in such a way that they are aware of the amount they should pay and the due date of payment. Finally, the method of payment should not be inconvenient.

(b) Flexible

The structure and rates of tax should be capable of being altered without too much difficulty to cope with charges in circumstances, of the system of taxation is to be used as a means of regulating the economy, which is one of the stated aims of taxation.

(c) Neutral

A tax is said to be neutral if it does not distort economic choices. Taxes should be neutral and should not be made to impinge adversely on economic activity.

(d) Administratively efficient

The cost administering the tax should not be too high in proportion to the revenue raised. The efficiency of tax includes not only the costs incurred by the tax authorities, that is, administration costs, but also costs incurred by the tax payer in complying with the tax legislation known as compliance cost.

(e) Equitable

Taxes must not only be fair; they must also be seen to be fair. These are two types of equity to be considered:

(i) Horizontal equity: This requires people in similar situations are treated in a similar way; and

(ii) Vertical equity: This requires people in unequal situations are treated with the necessary degree of inequality. This would require the rich to pay more than the poor, which advocates a progressive system of taxation.

4. Apart from the fact that taxation is often used to raise revenue, there are other core objectives of a modern tax system which include:

i. Redistribution of income and wealth

The tax system is a means of ensuring the redistribution of income and wealth in order to reduce poverty and promote social welfare;

ii. Economic regulation

The tax system is a means of promoting economic welfare and creating a sound infrastructure for businesses; and

iii. Harmonization/social function

It can be used to redress the rural-urban population drift, curbing environmental pollution, and also to provide for the free movement of goods/services, capital and people between a geographical area for example, ECOWAS.

5. Merits of direct taxes

a) It has lower cost of collection.
b) It is more equitable as the tax payer with higher income bears a greater burden.

c) It is easier to ascertain tax incidence.

Demerits of direct taxes

a) It may discourage hard work.
b) It can give room for tax evasion especially if the tax rates are high.
c) It may cause social unrest especially if the tax rates are very high since the tax payers bear the whole burden.

Merits of indirect tax

(i) It is a good source of revenue to government.
(ii) It can be adjusted easily.
(iii) It is a veritable fiscal tool to check pattern of consumption of undesirable goods.
(iv) It can be used to protect infant industries.
(v) It is more difficult to evade.

Demerits of indirect tax

(i) The cost of collection may be higher.
(ii) Where there is collusion between tax officials and taxpayers to evade tax, there could be loss of revenue.
(iii) It may discourage investment in local industries especially in the case of high export duties or excise duties.

6(a) The **government:** The following are the responsibilities of the government:
(i) implement and regularly review tax policies and laws;
(ii) provide information on all revenue collected on a quarterly basis;
(iii) ensure adequate funding, administrative and operational autonomy of tax authorities; and
(iv) ensure a reasonable transition period of between three and six months before implementation of a new tax.

(b) The taxpayer: is expected to:
(i) provide relevant information for the discharge of tax obligations;
(ii) receive prompt, courteous and professional assistance in dealing with tax authorities;
(iii) raise objections to decisions and assessments and receive response within a reasonable time;
(iv) a fair and impartial appeal; and
(v) self-representation or by any agent of choice, provided an agent acting for financial reward shall be an accredited tax practitioner.

(c) Revenue agencies: The revenue agencies are required to:

(i) treat the taxpayer as a customer;
(ii) ensure efficient implementation of tax policies, laws and international treaties;
(iii) facilitate inter-agency co-operation and exchange of information;

(iv) undertake timely audits and investigations;
(v) undertake tax awareness and taxpayers' education; and
(vi) establish a robust process to prevent, detect and punish corrupt tax officials.

CHAPTER TWO

ADMINISTRATION OF TAXATION

a. Learning objectives
b. Learning outcomes
c. Nature of tax administration
d. Objective and application of Nigeria Tax Administration Act, 2025 - section 1 of NTAA
e. Organs of tax administration
f. Jurisdiction of tax authorities section 3 of NTAA
g. Taxes and levies imposed and collectible by each tier of government
h. Tax Appeal Tribunal
i. Disclosure of tax planning - section 30 of NTAA
j. Accreditation of tax agents - section 33 of NTAA
k. Prohibited tax avoidance arrangement - section 47 of NTAA
l. Exchange of information and joint audits - section 48 of NTAA
m. Establishment of national single window portal - section 83 of NTAA
n. Powers of a relevant tax authority to deploy technology to automate tax administration section 71 of NTAA
o. Endorsement of transaction by the Chairman of a relevant tax authority - section 70 of NTAA
p. Power of the President to exempt companies from income tax -section 78 of NTAA
2.16 Obligations during the pendency of legal proceedings - section 86 of NTAA
q. Power of the relevant tax authority to prosecute any of the offences under the Act - section 139 of NTAA
r. Place of an offence - section 140 of NTAA
s. Chapter review
t. Worked examples

2.0 Learning objective

The objective of this chapter is to ensure that the candidates understand:

i) the nature and organs of tax administration, taxes collectible by each tier of government; and
ii) tax appeal procedures, and other tax administrative matters in Nigeria.

2.1 Learning outcomes

On successful completion of this chapter, candidates should be able to understand:

(a) nature of tax administration;
(b) organs of tax administration: federal, states and local governments, their duties and functions;
(c) tax jurisdictions;
(d) taxes imposed and collectible by the tiers of government;
(e) the establishment, composition, powers, and procedures of the Tax Appeal Tribunal; and
(f) explain the other powers of the relevant tax authority, including that of the President, and further administrative matters.

2.2 Nature of tax administration

The administration of taxation in Nigeria is vested in various tax authorities depending on the type of tax under consideration.

Broadly, there are three tax authorities, namely;

(a) Nigeria Revenue Service;
(b) State Internal Revenue Service; and
(c) The Local Government Revenue Committee.

The enabling law in respect of each type of tax will normally contain a provision as to the body charged with the administration of the tax.

For this purpose, the various enabling tax laws include:

(i) Nigeria Tax Act, 2025, which imposes tax on the incomes of companies other than corporation soles, individuals, and companies engaged in petroleum operations (upstream operations);
(ii) Petroleum Industry Act, 2021, which imposes tax on the profits of companies, engaged in petroleum operations;
(iii) Nigeria Tax Administration Act, 2025;
(iv) Joint Revenue Board of Nigeria (Establishment) Act, 2025;
(v) Nigeria Revenue Service (Establishment) Act, 2025; and
(vi) Nigerian Insurance Industry Reform Act, 2025.

2.3 Objective and application of Nigeria Tax Administration Act, 2025 - section 1 of NTAA

The Act ensures the provision of uniform procedures for a consistent and efficient administration of tax laws in order to:

(a) facilitate tax compliance by taxpayers; and
(b) optimise tax revenue.

It is pertinent to state that this Act applies to any person required to comply with any provision of the tax laws whether personally or on behalf of another person.

2.4 Organs of tax administration

2.4.1 Joint Revenue Board (JRB) - section 3 of JRBA, 2025
The Joint Revenue Board (JRB) was established by section 3 of JRBA, 2025.

(a) Composition
The (JRB) comprises the:

i. Chairman, who shall be the Executive Chairman of the Nigeria Revenue Service; and
ii. Chairman of each State Internal Revenue Service and the Federal Capital Territory Internal Revenue Service.

In addition to the above, the following persons shall be ex-officio members of the Board:

- a representative of the Minister of Finance not below the rank of a Director;
- the Director- General of the National Identity Management Commission or
- representative not below the rank of a Director;
- the Chairman of the Revenue Mobilisation, Allocation and Fiscal
- Commission or its representative not below the rank of a Director;
- the Comptroller-General of the Nigerian Immigration Service or a
- representative not below the rank of Assistant Comptroller-General;
- the Corps Marshall of the Federal Road Safety Corps or its representative
- not below the rank of an Assistant Corps Marshall;
- the Comptroller- General of the Nigeria Customs Service or its
- representative not below the rank of an Assistant Comptroller - General;
- and
- a representative of the Nigeria Revenue Service not below the rank of a
- Director.
- The members of the Board shall serve on part-time basis.

(b) Quorum - paragraph 4 of the First Schedule of JRBA
One-third of members including the Chairman of the Board shall constitute the quorum of any meeting of the Board.

(c) Functions of the JRB -section 5 of JRBA
The Board shall:

(i) integrate and maintain a database of Taxpayer Identification Numbers for every taxable person in Nigeria in collaboration with the Nigeria Revenue Service, State Internal Revenue Service, Local Government Revenue Committee and other relevant government agencies;
(ii) resolve disputes between various tax authorities on the issue of determination of residency;
(iii) advise government on double taxation matters within Nigeria, and in respect of double taxation arrangements concluded or under consideration with any other country, including other taxation matters having effect throughout Nigeria;

(iv) resolve disputes between different tax authorities;

(v) maintain a platform for revenue data collection, integration and exchange of information among the various tax authorities in Nigeria;

(vi) promote harmonisation of taxes, levies, rates, charges and other payments and ensure uniformity in revenue administration across Nigeria;

(vii) advise the Federal and State Governments on introduction of new taxes and changes to existing ones;

(viii) provide periodic impact analysis with recommendations on tax framework and capacity building for all tiers of Government;

(ix) collaborate with relevant agencies to carry out surveys, ascertain and publish relevant tax indices and statistics;

(x) recommend, participate, facilitate or initiate fiscal and tax policy reform in collaboration with relevant bodies;

(xi) receive, collate, analyse and publish periodic tax revenue collected by all tax authorities;

(xii) receive, collate, analyse and publish tax expenditure on account of tax waivers, exemptions or incentives granted by each government;

(xiii) collaborate with tax authorities to undertake or support research or similar measures with a view to stimulating economic development and determine the manifestation, extent, magnitude and effects of tax fraud, evasion or other matters that affect effective tax administration and make recommendations to the Government on appropriate intervention and preventive measures;

(xiv) provide guidance for the accreditation of tax agents by the relevant tax authorities in accordance with the relevant law; and

(xv) carry out any other function as may be assigned to it by an Act of the National Assembly.

(d) Powers of the Board - section 6 of JRBA

The Board is empowered to:

i. provide general policy guidelines relating to its functions;

ii. manage and superintend the policies of the Board on matters relating to the administration of its functions under this Act or any other law;

iii. review and approve the strategic plans of the Board;

iv. employ and determine the terms and conditions of employment including disciplinary measures of the employees of the Board;

v. stipulate remuneration, allowances, benefits and pensions of the staff and employees; and

vi. do such other things which in its opinion are necessary to ensure the efficient performance of the functions of the Board under this Act.

e) Executive Secretary of the Board - section 10 of JRBA

The Executive Secretary of the Board shall be:

i. the chief executive and accounting officer of the Board; and
ii. responsible for the execution of the policies formulated by the Board

The Executive Secretary shall:

i. have requisite qualifications in taxation, accountancy, economics or law; and
ii. possess at least 10 years of relevant experience in tax administration or professional tax practice.

Section 10 (3) of JRBA states that "the Executive Secretary shall hold office:

i. for a term of four years, renewable for another term of four years and no more; and
ii. on such other terms and conditions as may be specified in the letter of appointment."

Based on the provisions of section 10(4) of JRBA, the Executive Secretary shall be responsible for:

i. issuing notices of meetings of the Board;
ii. keeping records of the proceedings of the Board;
iii. conducting the Board's correspondence; and
iv. carrying out such other duties as the Board may determine.

(f) Cessation of membership of the Board - section 8 of JRBA

A person ceases to be a member of the Board where, the person:

i. no longer occupies the office by virtue of which the person is a member of the Board;
ii. resigns from appointment as a member of the Board by notice;
iii. dies or becomes incapable of carrying on the functions of the office either arising from an infirmity of mind or body;
iv. becomes bankrupt or makes a compromise with creditors; or
v. is convicted of a felony or of any offence involving dishonesty or fraud.

2.4.2 Nigeria Revenue Service and its Governing Board - section 6 of NRSA

Section 6 of the Nigeria Revenue Service (Establishment) Act, 2025, established for the Service, a governing board known as the Nigeria Revenue Service Board ("the Board") which shall be responsible for the overall supervision of the Service as specified in the Act.

The administration of taxation on the profits of incorporated companies is vested in

the Nigeria Revenue Service (NRS)and its governing board.

(a) Composition of the Board - section 7 of NRSA

i. The Chairman, who shall be the Executive Chairman of the Service appointed by the President subject to confirmation of the Senate; and

ii. The following ex-officio members:

- a representative of the Minister responsible for Finance not below the rank of a Director;
- a representative of the Minister responsible for National Planning not below the rank of a Director;
- a representative of the Attorney-General of the Federation not below the rank of a Director;
- a representative of the Minister responsible for Petroleum and Gas Resources not below the rank of a Director;
- the Governor of the Central Bank of Nigeria or a representative not below the rank of a Deputy Governor;
- the Chairman of the Revenue Mobilisation, Allocation and Commission or a representative who shall be a Commissioner representing one of the States of the Federation;
- the Comptroller-General of the Nigeria Custom Service or a representative not below the rank of Deputy Comptroller-General;
- the Registrar-General of the Corporate Affairs Commission or a representative not below the rank of a Director, and
- Executive Directors appointed by the President under this Act.

All members of the Board save the Executive Chairman, and the Executive Directors shall serve on a part-time basis.

(b) Powers and functions of the Board - section 8 of NRSA

The Board is empowered to:

i. provide the general policy guidelines relating to the functions of the Service;
ii. evaluate the implementation of the policies of the Service on matters relating to the assessment, collection and accounting system under this Part or any other law;
iii. review and approve the strategic plans of the Service;
iv. employ staff, and determine the terms and conditions of service, including disciplinary measures, of the employees of the Service;
v. stipulate remunerations, allowances, benefits and pensions of the staff and employees;
vi. make rules and issue regulations as, in its opinion, are necessary or expedient for giving effect to the provisions of this Part and for the administration of its provisions and such rules and regulations shall provide compliance requirements and may include consequences for non-compliance, subject to the approval of the Minister;
vii. assign each Executive Director a directorate as appropriate; and

viii. do such other things which, in its opinion, are necessary to ensure the efficient performance of the functions of the Service under this section.

(c) Appointment and duties of the Secretary to the Board - Section 13 of NRSA

There shall be a Secretary to the Board who shall be appointed by the Board from within the Service whose duties are to:

i. issue notices of meetings of the Board;
ii. keep records of the proceedings of the Board; and
iii. carry out such duties as the Executive Chairman or the Board may, from time to time, direct.

The Secretary shall be a lawyer, or a chartered accountant or a chartered secretary, who shall not be less than the rank of an Assistant Director.

(d) Tenure of office of the Executive Chairman and other members - section 9 of NRSA

i. The Executive Chairman and other members of the Board, other than ex-officio
ii. members, shall each hold office for a term of four years, renewable for another term of four years and no more; and
iii. A member of the Board shall hold office on such terms and conditions as in his letter of appointment.

(e) Cessation of membership - section 11 of NRSA

A person ceases to be a member of the Board, where the person:

i. not being an ex-officio member, resigns by a notice addressed to the President;
ii. dies or becomes incapable of carrying on the functions of the office either arising from an infirmity of body, or mind;
iii. becomes bankrupt or makes a compromise with creditors;
iv. is convicted of a felony or of any offence involving dishonesty or fraud;
v. not being an ex-officio member, is removed from office by the President on grounds of public interest or in the interest of the Service;
vi. has been found guilty of contravening the Code of Conduct Bureau and Tribunal Act, or gross misconduct in relation to their duties;
vii. in the case of a person appointed on the basis of a professional qualification is disqualified from professional qualification by a competent authority;
viii. the President is satisfied that it is not in the interest of the Service or in the interest of the public for the person to continue in Office and the President removes him from Office;
ix. not being an ex-officio member, the tenure expires as provided in his letter of appointment; or
x. ceases to occupy the office by virtue of which the person becomes a member of the Board.

(f) Delegation of power by the Board- section 12 of NRSA

Any power conferred or any duty imposed upon the Board may be exercised or performed by the Board or by an officer authorised by power the Board, generally or specifically in that behalf.

The Board can review any decision made by an authorised office regarding any tax or taxable income, and the reviewed decision of the Board shall have effect as if it were the original decision made in respect of the matter concerned.

An order, ruling or directive made or given by an approved committee of the Board pursuant to this section shall not be treated as an order, ruling or directive of the Board, until the order, ruling or directive has been ratified by the Board pursuant to the powers vested on the Board under this Act.

(g) Establishment and composition of the Technical Committee of the Board - section 14 of NRSA

This section established a technical committee of the Board ("the Technical Committee") which shall consist of:

i. the Executive Chairman as the Chairman;
ii. two members of the Board of the Service;
iii. the Executive Directors in the Service;
iv. the Director Legal of the Service as appointed by the Board; and
v. the Director in charge of Tax Policy matters.

The Secretary to the Board shall be the Secretary to the Technical Committee.

The Technical Committee may co-opt, from the Service, such director or officer as it may deem necessary for the effective performance of its functions under this Act.

(g) Functions of the Technical Committee - section15 of NRSA

The Technical Committee will:

i. consider all tax matters that require professional or technical expertise, and make recommendations to the Board;
ii. advise the Board on any aspect of the functions and powers of the Service under this Act; and
iii. attend to such other matters as may be referred to it by the Board.

2.4.3 Nigeria Revenue Service (NRS)

(a) Establishment of NRS - section 3(1) of NRSA

Section 3(1) of the Nigeria Revenue Service (Establishment) Act, 2025, established the Nigeria Revenue Service which is referred to as “the Service”.

The Service:

i. shall be a body corporate with perpetual succession, and a common seal;
ii. may sue or be sued in its name; and
iii. may acquire, hold or dispose of any property, movable or immovable, for carrying out any of its functions under this Act.

The Service shall have such powers and duties as are conferred on it by this Act or by any other law.

b) Functions of the Service - section 4 of NRSA

The Service is charged with the responsibility to:

i. assess persons including corporations, companies and individuals chargeable with tax, other than individuals, resident in any state of the Federation or the Federal Capital Territory;
ii. collect or recover tax assessed, enforce payment of taxes and remit tax collected, under the provisions of this Act or any other law, into designated accounts;
iii. account for all revenue accruing to the Government;
iv. in collaboration with the relevant Ministries and Agencies of Government, subject to the approval of the National Assembly, review the tax regimes and promote the use of taxation to develop, stimulate and grow economic activities;
v. carry out examination and investigation exercises with a view to enforcing compliance with the provisions of this Act, and any other tax law;
vi. make a determination of the extent of financial loss and such other losses by Government arising from tax fraud or evasion, and revenue foregone arising from tax waivers and other related matters;
vii. adopt measures to identify, trace, freeze, confiscate or seize proceeds derived from tax fraud or evasion, in line with the provisions of this Act;
viii. adopt measures which include compliance and regulatory actions, introduction and maintenance of investigative and control techniques on the detection and prevention of non-compliance with tax laws;
ix. collaborate and facilitate exchange of information with relevant national or international agencies or bodies on tax matters;
x. undertake exchange of personnel or other experts with complementary agencies for purposes of comparative experience or capacity building;
xi. establish and maintain a system for monitoring international dynamics of taxation in order to identify suspicious transactions, and the perpetrators or other persons involved;
xii. provide and maintain access to up-to-date and adequate data and information on all taxable persons, individuals, corporate bodies or all agencies of Government involved in the collection of revenue for the purpose of efficient, effective and correct tax administration and to prevent tax evasion or fraud;
xiii. maintain database, statistics, records and reports on persons, organisations, proceeds, properties, documents or other items or assets relating to tax administration including matters relating to tax waivers, fraud or evasion;
xiv. undertake and support research or similar measures with a view to stimulating economic development and determine the manifestation, extent, and effects of tax waivers, fraud, evasion and other matters that affect effective tax administration and make recommendations to the Government on appropriate intervention and preventive measures;
xv. collate and continually review all policies of the Government relating to taxation and revenue generation and undertake a systematic and progressive implementation of such policies;
xvi. liaise with the office of the Attorney-General of the Federation, any Government security and law enforcement agency, and such other financial supervisory institutions in the enforcement and eradication of tax related

offences;

xvii. issue taxpayer identification or any other equivalent identity to every relevant taxable person in collaboration with tax authorities of States or Local Governments, or the Joint Revenue Board;

xviii. carry out and sustain public awareness and enlightenment campaign on the benefits of tax compliance;

xix. carry out assigned administrative and oversight functions over all taxes and levies accruable to the Government of the Federation and, as it may be required, query, subpoena, sanction or reward any activity pertaining to the assessment, collection of and accounting for revenues accruable to the Government; and

xx. provide or receive assistance in the collection of revenue claims or any other administrative assistance in tax matters with respect to any agreement or arrangement made between the Government of the Federal Republic of Nigeria and the Government of any country, person or body as may be deemed necessary.

Based on the approval of the Minister, the Service shall make rules and issue regulations as, in its opinion, are necessary or expedient for giving full effect to the provisions of this Act and for the due administration of its provisions; and such rules and regulations shall provide compliance requirements and may include consequences for non-compliance in line with relevant laws.

The Service shall carry out such other activities as are necessary or expedient for the full discharge of all or any of the functions under this Act, including:

- specifying the form of returns, claims, statements or notices necessary for the due administration of the powers conferred on it by this Act; and
- deploying appropriate technology or digital platforms to automate any of its tax administration processes or in carrying out any of its functions under this Act

2.4.4 Assistance of Nigeria Revenue Service in tax collection -section 5 of NRSA

(a) When the NRS receives a request from a Nigerian State or Local Government, it may assist to collect or administer a tax.

(b) The assistance referred to in (a) above, shall only be provided in respect of a tax which the requesting government has the statutory right to collect or administer, and such assistance may include:
   (i) all the actions necessary for the proper assessment, collection, accounting or enforcement of the tax;
   (ii) administration of personal income tax on any class or group of individual taxpayers; or
   (iii) collection or enforcement of revenue claims on a particular person.

(c) Any revenue collected on behalf of a State or Local Government, or another tax authority, under this section, shall be remitted directly to that State or Local Government, or relevant tax authority as may be agreed by the parties.

(d) Where an agreement or arrangement between the Government of Nigeria and the Government of another country to avoid double taxation or provide administrative assistance in tax matters contains an obligation for the collection

of revenue claim due to the Government of that country or any other administrative assistance on tax, the Service shall carry out such obligation as may be prescribed in that agreement or arrangement.

(e) The Service may enter into agreement with the competent authority of a country with which the Government of Nigeria entered into an agreement or arrangement for the avoidance of double taxation or administrative assistance in tax matters to prescribe the manner of the performance of the administrative assistance obligation contained in that agreement or arrangement.

(f) The Accountant-General of the Federation shall open a designated account into which revenue claims collected by the Service on behalf of the Government of any other country shall be paid pending the remittance of the amount so collected to that country.

(g) Where assistance is requested under this section, the Service shall carry out the assistance in line with the provisions of this Act and other relevant laws, except with respect to time limits, and shall apply its powers relating to the enforcement and collection of taxes as if the revenue were a revenue within its jurisdiction under the Nigeria Tax Administration Act.

(h) The Service may take any interim measure, including any judicial measure, in line with the provisions of this Act or other relevant laws to preserve the collection of any revenue claim for which assistance has been requested under this section.

(i) The Service may charge a fee as may be agreed with the requesting authority to defray the cost of providing the assistance required under this section.

(j) For the purpose of this section, "revenue claim" means any amount of tax, levy, fees, charges or statutory contributions, due or owed, including interest, administrative penalties, and cost of collection or conservancy to a \Nigerian local or state government and their agencies, or to the government of another country with which the Government of Nigeria has a subsisting agreement or arrangement to avoid double taxation or provide administrative assistance in tax matters.

2.4.5 Miscellaneous provisions

(a) Information and documents to be confidential - section 32 of NRSA

(i) Without prejudice to the provisions of any other Act concerning data privacy or data protection, institutional information or communication, all internal information, communications, documents or memoranda of the Service are confidential.

(ii) Except as otherwise provided under this Act, any other law or any enabling agreement or arrangement or as otherwise authorised by the Executive Chairman or management of the Service, any person who discloses or attempts to disclose institutional information, communication, document or memorandum of the Service is liable on conviction to a fine not exceeding ₦5,000,000.00 or to imprisonment for a term not exceeding three years or to both fine and imprisonment.

(b) Official secrecy and confidentiality - section 33 of NRSA

(i) A person acting in an official capacity or employed in the administration of this Act shall regard and deal with originals or copies of all documents, information, returns, notices or assessment, lists relating to the business, assets, liabilities, profits or items of profits of any person as secret and confidential.

(ii) A person acting in an official capacity or employed in the administration of this Act who, being in possession of or control of, originals or copies of any document, information, return, notice or assessment, list relating to business, assets, liabilities, profits or items of profits of any person, communicates or attempts to communicate such information or anything contained in the document, return, notice or assessment, list or copy to any person other than:

- a person authorised by the Service to communicate it;
- by an order of the court; or
- for the purpose of this Act or any other tax law in Nigeria,

commits an offence under this Act and is liable on conviction, to a fine not exceeding ₦5,000,000.00 or to imprisonment for a term not exceeding three years or to both fine and imprisonment.

(iii) A person appointed or employed under this Act shall not be required to produce any document, information, return, notice or assessment, or to divulge or communicate any information that comes into his possession in the performance of his duties except as may be necessary in order to institute a legal proceeding or in the course of a legal proceeding relating to tax in Nigeria.

(iv) The obligation as to secrecy imposed by this Act shall not prevent the disclosure of relevant information to an authorised officer of the Government of a country with which Nigeria has entered into any treaty, agreement or arrangement on tax matters.

(c) Endorsement of transactions - section 34 of NRS
The Executive Chairman or an authorised officer of the Service may endorse anything done or required to be done by the Service pursuant to any of its powers or functions under this Act or the laws listed in the Second Schedule, such as NTA, NTAA, etc.

(d) Service of documents - section 36 of NRSA
A notice, summons or other document required or authorised to be served on the Service under the provisions of this Act or any other law may be served by delivering it to the Executive Chairman, sending it by registered post, courier or substituted service addressed to the Executive Chairman at the principal office of the Service, delivered to a designated e-mail address of the Service, or other electronic means as may be provided by the Service.

(e) Legislations administered by the Service - Second Schedule to the Act

The legislations are:

i. Nigeria Tax Act, 2025;

ii. Nigeria Tax Administration Act, 2025;

iii. Laws imposing collection of taxes, fees and levies collected by other

Government entities, including signature bonus, pipeline fees, penalty for gas flared, depot levies and licences, fees for Oil Exploration Licence (OEL), Oil Mining Licence (OML), Oil Production Licence (OPL), royalties, rents (productive and non-productive), fees for licences to operate drilling rigs, fees for oil pipeline licences, haulage \fees and all such fees prevalent in the oil industry but not limited to the above listed.

iv. All regulations, proclamations, order, government notices or rules issued in terms of these legislations or any revenue of the government.

v. Any other law for the assessment, collection and accounting of revenue accruable to the Government of the Federation as may be made by the National Assembly from time to time or regulation incidental to those laws, conferring any power, duty and obligation on the Service, or where no administrative provisions have been made for such tax, duty or levy.

(f) Forms - section 85 of NTAA

From time to time, the relevant tax authority has the prerogative to specify and simplify forms, statements and notices to be used for the effective administration of taxes under this Act.

(g) List of taxable persons assessed - section 44 of NTAA

(i) The assessment lists of taxable persons assessed to tax shall be maintained by the relevant tax authority,

(ii) The contents of the assessment lists are as follows:

- the names and addresses of the taxable persons assessed to tax;
- the name and address of any person in whose name any such taxable person is chargeable;
- the amount of the total profits of each person;
- the amount of tax payable by the person; and
- such other particulars as may be determined by the tax authority.

(iii) Where complete copies of all notices of assessment and all notice amending assessments are filed in the offices of the tax authority, they shall constitute the assessment lists for the purpose of this Act.

2.4.6 Establishment and composition of the management board of the State Service - section 89 of NTAA

Section 89 of NTAA, established for each State Service a Management Board (State Board) which shall have overall supervision of the State Service

(a) Composition - section 89 (2) of the NTAA

A State Board comprises:

(i) the Executive Chairman of the State Service who shall be the Chairman of the State Board;
(ii) directors from within the State Service;
(iii) a director from the State Ministry of Finance;

(iv) the Legal Adviser to the State Service, who shall serve as Secretary; and
(v) three other persons appointed by the State Governor on their personal merit, one each representing a Senatorial District in the State, who shall possess relevant experience and knowledge in taxation and other related fields.

The Secretary of the State Board is empowered to summon a meeting of the State Board whenever the business requires its attention or on the request of the Chairman or any member of the State Board.

(b) Quorum - section 89 (4) of NTAA

Five members of the State Board of whom one shall be the Chairman or a director, shall constitute a quorum.

(c) Functions of the State Board - section 91 of NTAA

The State Board shall be responsible for:

(i) provide general policy guidelines relating to the functions of the State Service;
(ii) manage and superintend policies of the State Service on matters relating to the administration of the revenue assessment, collection and accounting system under this Act or any other law;
(iii) review and approve the strategic plans of the State Service;
(iv) employ and determine the terms and conditions of service including disciplinary measures of the employees of the State Service;
(v) stipulate remuneration, allowances, benefits and pensions of staff and employees in consultation with the Governor;
(vi) provide an amount of revenue collected, as may be approved by a State House of Assembly, which shall be retained by the State Service to defray cost of collection and administration;
(vii) make recommendations, where appropriate, to the Unified Revenue Commission on tax policy, reform, legislation, treaties and tax exemption as may be required, from time to time; and
(viii) do such other things which in its opinion are necessary to ensure efficient performance of the functions of the State Service under this Act.

(d) Other issues relating to delegation of functions - section 91 (2) of NTAA

The State Board may, by notice in the gazette or in writing, authorise any person to:

(i) perform or exercise on behalf of the State Board, any function, duty or power conferred on the State Board; and
(ii) receive any notice or other document to be given or delivered to it or in consequence of this Act or any subsidiary legislation made under it.

(e) Delegation of powers of the relevant State Board - section 98 of NTAA

Any power conferred or duty imposed under any provision of this Act or other tax laws upon the relevant Board, may be exercised or performed by the relevant Board or by an officer authorised generally or specifically in that behalf by the

Board.

The relevant Board may reverse or modify any decision of any officer, affecting any tax or taxable income, where such decision is discovered to have been made in error, not in accordance with the law or where such decision has been reviewed under dispute resolution and the reversal or modification.

(f) Technical Committee of the State Board

(i) Establishment and composition of the Committee - section 92 of NTAA
This section established the Technical Committee of the State Board, which comprises the:
- Executive Chairman of the State Board, as Chairman;
- Directors within the State Service; and
- Legal Adviser to the State Service.

(ii) Functions
The Technical Committee shall:
- have powers to co-opt additional staff from within the State Service, in the discharge of its duties;
- consider all matters that require professional and technical expertise and make recommendations to the State Board;
- advise the State Board on all its powers and duties specifically mentioned in section 91 of this Act (functions of the State Board); and
- attend to such other matters as may, from time to time, be referred to it, by the State Board.

2.4.7 State Internal Revenue Service (SIRS)

(a) Establishment of the State Internal Revenue Service - section 87 of NTA

Without prejudice to the power of the State Government with respect to the administration of the income tax of individuals, Pay-As-You- Earn, stamp duties, there is established for each State, the State Internal Revenue Service (State Service).

The State Service shall be autonomous in the day-to-day running of its financial, technical, professional and administrative affairs.

(b) Functions of the State Service - section 88 of NTAA

The State Service shall:

(i) assess individuals, estates, trusts and settlements, communities and families;

(ii) assess, collect, account and enforce payment of taxes as may be due to the State Government or any of its agencies;

(iii) collect, recover and remit to the designated account any tax under the provisions of this Act or any other enactment or law;

(iv) carry out examinations and investigations with a view to enforcing compliance with the provisions of this Act, in collaboration with the relevant law

enforcement agencies; and

(v) carry out such other functions as may be prescribed by a law of the State House of Assembly.

(c) Appointment of the Executive Chairman of the State Service - section 90 of NTAA

There shall be for the State Service an Executive Chairman, who shall be appointed by the State Governor, subject to confirmation by the State House of Assembly.

The Executive Chairman shall be:

(i) the Chief Executive and Accounting Officer of the State Service;

(ii) responsible for the execution of the policy and the day-to-day administration of the affairs of the State service; and

(iii) a person with experience in taxation and a member of a relevant recognised professional body.

2.4.8 State Joint Revenue Committee (SJRC)

Section 95 of NTAA established the State Joint Revenue Committee for each state of the Federation.

(a) Composition

It comprises:

(i) the Executive Chairman of the State Service as the Chairman;

(ii) the Chairmen of the Local Government Revenue Committee;

(iii) a representative of the agency responsible for local government affairs, not below the rank of a Director;

(iv) a representative of the Revenue Mobilisation Allocation and Fiscal Commission, as an observer;

(v) the State Sector Commander of the Federal Road Safety Commission, as an observer;

(vi) the Legal Adviser of the State Service; and

(vii) the Secretary of the Committee who shall be a staff of the State Service.

(b) Functions - section 96 of NTAA

The functions of the Joint State Revenue Committee shall be to:

(i) implement the decisions of the Joint Revenue Board;

(ii) advise the Joint Revenue Board and the State and Local Governments on revenue matters;

(iii) harmonise tax administration in the State;

(iv) enlighten members of the public generally on State and Local Government revenue matters; and

(v) carry out such other functions as may be assigned to it by the Joint Revenue Board.

2.4.9 Local Government Revenue Committee - section 93 of NTAA

This section established Local Government Revenue Committee (LGRC), for each local government area of a State.

(a) Composition - section 93 (2) of NTAA

The Local Government Revenue Committee (LGRC) shall comprise:

(i) the Local Government Supervisor for Finance, as Chairman;
(ii) three local government councillors as members; and
(iii) two other persons experienced in revenue matters to be nominated by the Chairman of the Local Government on their personal merits.

(b) Functions - section 94 of NTAA

The Committee shall be responsible for the assessment and collection of all taxes, fines and rates, under its jurisdiction and shall account for all amounts so collected, in a manner to be prescribed by the local government.

The Revenue Committee shall be autonomous of the local government treasury and shall be responsible for the day-to-day administration of the Department, which forms its operational arm.

2.5 Jurisdictions of the tax authorities - section 3 of NTAA

2.5.1 The Nigeria Revenue Service (the Service) established under section 3(1) of the Nigeria Revenue Service (Establishment) Act, 2025, shall:

(a) have exclusive responsibility to administer taxes:
(i) on companies,
(ii) on persons employed in the Nigerian Army, the Nigerian Navy, the Nigerian Air Force, the Nigeria Police Force, other than in a civilian capacity,
(iii) on officers of the Nigerian Foreign Service,
(iv) on non-resident persons who derive profit or income from Nigeria or any income derived from employment in Nigeria by a person, not being a resident of any State in Nigeria, and
(v) as contained in this Act including, development levy, tax payable by non-resident persons, tax to be paid by companies carrying out specialised trade or business as contained in this Act, tax of income from petroleum operations, value added tax, economic development tax incentive, and exemption from value added tax;

(b) have power to administer the following taxes:
(i) income tax,
(ii) taxation of income from petroleum,
(iii) stamp duties,
(iv) value added tax, and
(iv) tax incentives.

(c) exercise such other powers and functions conferred on it by this Act, the Nigeria Revenue Service (Establishment) Act, and any other law as may be enacted by the National Assembly.

2.5.2 According to the provisions of section 3(2) of NTAA, the relevant tax authority in a State or the Federal Capital Territory, shall under to the First Schedule to this Act,

be responsible for:

(a) the administration of taxes for resident individuals in respect of:
  (i) imposition of tax on income, profits or gains;
  (ii) ascertainment of profits and income;
  (iii) ascertainment of assessable profits and income;
  (iv) ascertainment of total income;
  (v) ascertainment of chargeable gains;
  (vi) rates of tax;
  subject to subsection 2.5.1(a)(ii)- (iv) above; and
(b) exercising such other powers and functions conferred on it under any tax law enacted by the National Assembly.

A tax authority, with the approval of the relevant government, may authorise another tax authority to administer taxes within its jurisdiction on its behalf, on such terms as they may agree.

For the purpose of the administration of taxes, the relevant tax authority may do such things as it deems necessary and expedient for the assessment and collection of taxes and shall account for all taxes so collected in accordance with the provisions of this Act, the Nigeria Tax Act and any other law enacted by the National Assembly or a State House of Assembly.

2.6 Taxes and levies imposed and collectible by each tier of government

2.6.1 Taxes collectible by the Federal Government - section 3(1) of NTAA, are

(a) companies income tax;
(b) withholding tax on companies and non-resident individuals;
(c) hydrocarbon tax;
(d) value added tax;
(e) stamp duties;
(f) federal development levy;
(g) economic development tax incentives; and
(h) personal income tax on:
  (i) members of the armed forces of the Federation of Nigeria;
  (ii) members of the Nigerian Police Force; and
  (iii) staff of the Ministry of External Affairs and non-resident individuals.

2.6.2 Taxes and levies collectible by state governments and local governments

Concerted efforts are being put in place to ensure that the model Tax Harmonisation Law developed by the Presidential Fiscal Policy and Tax Reforms Committee, in collaboration with the Joint Revenue Board, are adopted by states and local governments. States are expected to domesticate this law which should be passed by the States House of Assembly.

It should be stated that the Taxes and Levies (Approved List for Collection) Act, Cap. T2 LFN 2004 is yet to be repealed or consequentially amended by the provisions of sections 195 and 196 of the NTA, 2025.

When the States Harmonised Taxes and Levies (Approved List for Collection) Bill,

2025, is fully passed into law by the States House of Assembly, the taxes and levies collectible by the states and local governments are as follows:

(a) States

The taxes to be collected by the States are as follows:
(i) income tax;
(ii) stamp duties;
(iii) property tax;
(iv) road tax;
(v) haulage levy; and
(vi) economic development levy.

(b) Local governments

The levies and charges to be collected by the local governments are as follows:
(i) harmonised levy (covering shops, slaughter slab fee, motor parks, domestic animal fee, bicycles, trucks, canoes, wheelbarrows and carts;
(ii) liquor licences;
(iii) TV/ radio fees and other levy payable to the local government;
(iv) user charge (covering marriage, birth and death registration fees, naming of streets fees, signage and mobile advertisements, sewage and refuse disposal fees, burial ground permit fees, religious places establishment fees and wharf landing charge); and
(v) daily ticketing (covering all market levies, including transporters' tickets).

2.7 Tax Appeal Tribunal

2.7.1 Establishment of Tax Appeal Tribunal - section 23 of JRBA, 2025

(a) Pursuant to Section 23 of JRBA, 2025, there shall be established a Tax Appeal Tribunal (hereinafter referred to as "the Tribunal") to exercise the jurisdiction and powers to settle any tax dispute and controversy arising from the administration of this Act or any other laws made by the National Assembly.
(b) The Minister may by notice in the Federal Gazette specify the number of zones, matters and places in relation to which the Tribunal may exercise jurisdiction.

2.7.2 Composition of the Tribunal - section 24 of JRBA
(a) A Tribunal shall consist of five members (hereinafter referred to as "Tax Appeal Commissioners") to be appointed by the Minister;
(b) There shall be a Chairman for each zone who shall be a legal practitioner qualified to practice for a period of not less than ten (10) years with cognate experience in tax legislation and tax matters.
(c) The Chairman shall preside at every sitting of the Tribunal and in his absence; the members shall appoint one of them to be the Chairman.
(d) The quorum at any sitting of the Tribunal shall be three members.

2.7.3 Qualification of a Tax Appeal Commissioner - section 25 of JRBA

A person shall be qualified for appointment as a Tax Appeal Commissioner if the person:

(a) has requisite qualification from a recognised institution, with at least 10 years cognate experience in law, accounting, business administration, finance, economics or taxation; or

(b) is a retired public servant, with at least 10 years' experience in tax administration; or is a member of the organised private sector.

For the purpose of this section, "*organised private sector*" means registered business association in Nigeria.

2.7.4 Term of office - section 26 of JRBA

A Tax Appeal Commissioner shall hold office for a term of three years, renewable for another term of three years only and no more.

2.7.5 Cessation of office - section 27 of JRBA

A person shall cease to be a Tax Appeal Commissioner, where the person:

(a) reaches the age of 70 years;

(b) resigns by giving three months' notice, addressed to the Minister or until a person duly appointed as his successor assumes his office, whichever is earlier;

(c) becomes incapable of carrying on the functions of the office arising from an infirmity of mind or body;

(d) is convicted of a felony or of any offence involving dishonesty or fraud;

(e) is removed from office by the Minister on grounds of public interest or in the interest of the Tribunal;

(f) has been found guilty of gross misconduct in relation to the duties of the office; or

(g) is disqualified from professional qualification by a professional body by virtue of which the person qualified for the appointment.

2.7.6 Remuneration and conditions of service of Tax Appeal Commissioners - section 31 of JRBA

The salary and allowances payable to and the terms and conditions of service of Tax Appeal Commissioners shall be determined by the Revenue Mobilisation Allocation and Fiscal Commission and shall be prescribed in their letters of appointment, provided that neither the salaries and allowances nor the other terms and conditions of service of a Tax Appeal Commissioner shall be varied to their disadvantage after appointment.

2.7.7 Jurisdiction of the Tribunal, etc. - section 29 of JRBA

(a) The Tribunal shall have power to adjudicate on tax disputes, and controversies arising from Nigeria Tax Act and Nigeria Tax Administration Act or any tax law made by the National Assembly of the House of Assembly of a State.

(b) The Tribunal shall apply such provisions of the tax laws referred to in subsection 2.8.7(a) above, as may be applicable in the determination or resolution of any dispute or controversy before it.

2.7.8 Powers and procedures of the Tribunal - paragraph 13 of the Second Schedule to JRBA

(a) The Tribunal may make rules regulating its procedures.
(b) The Tribunal shall, for the purpose of performing its functions under this Schedule, have power to:
  i. summon and enforce the attendance of any person and examine him on oath;
  ii. require the discovery and production of documents;
  iii. receive evidence on affidavits;
  iv. call for the examination of witnesses or documents;
  v. review its decisions;
  vi. dismiss an application for default or deciding matters exparte;
  vii. set aside any order or dismissal of any application for default or any order passed by it exparte; and
  viii. do anything which in the opinion of the Tribunal is incidental or ancillary to its functions under this Act

2.8 Disclosure of tax planning - section 30 of NTAA

Any taxpayer who enters or intends to enter into any transaction or agreement, referred to as a disclosable transaction or agreement, whose principal purpose is a benefit which enables, or might be expected to enable, such a person to obtain a tax advantage, shall without notice or request, provide to the relevant tax authority, information relating to that disclosable transaction or agreement.

The relevant tax authority may make regulations specifying:

(a) the information to be provided by a person in relation to a disclosable transaction or agreement;
(b) the form and manner of delivery of that information to the relevant tax authority;
(c) the period of time within which the information referred to in paragraph (1) of this section shall be provided to the relevant tax authority; and
(d) administrative penalties for non-disclosure, false disclosure, incomplete disclosure or late disclosure.

Whilst "transaction" includes course of action, agreement, scheme or arrangement, it is apposite to state that "tax advantage" means:

(a) a relief or increased relief from tax;
(b) repayment or increased repayment of tax;
(c) avoidance or reduction of a charge to tax or an assessment to tax;
(d) avoidance of a possible assessment to tax;
(e) deferral of a payment of tax or advancement of a repayment of tax; or
(f) avoidance of an obligation to deduct or account for tax;

2.9 Accreditation of tax agents - section 33 of NTAA

(a) In order to comply with this Act or any other law, a taxpayer may either represent itself or be represented by a tax agent accredited by the relevant tax authority.

(b) The requirements for accreditation shall be set out by the relevant tax authority.

(c) No return shall be deemed as duly filed except filed by the taxpayer or an accredited tax agent on behalf of the taxpayer.

(d) Tax returns shall be accompanied by a declaration or attestation, in the case of:

i. a taxpayer, that the information supplied is true and complete; and
ii. a tax agent, that he has exercised appropriate technical competence, and applied the highest standard of ethics and professional conduct.

2.10 Prohibited tax avoidance arrangement - section 47 of NTAA

(a) A prohibited tax avoidance arrangement may be counteracted by the relevant tax authority by way of adjustments, disregarding, or re-characterising the arrangement through an assessment, the modification of an assessment, amendment or disallowance of a claim or otherwise, in part or whole, unless the taxable person proves, to the satisfaction of the relevant tax authority, that granting that benefit in these circumstances would be in accordance with the object and purpose of the relevant provisions of this Act or any other tax law.

(b) For the purpose of this section of the Act, prohibited tax avoidance arrangement means any arrangement where, having regard to the facts and circumstances, it is reasonable to conclude that;

(i) the main purpose of the arrangements was to obtain a tax benefit or advantage;
(ii) obtaining the tax advantage is contrary to the object and purpose of the provisions of this Act or any other tax law;
(iii) it results, directly or indirectly, in the misuse, or abuse, of the provisions of this Act or any other tax law; or
(iv) it lacks commercial substance or coherence in whole or in part.

(c) To be more explicit, "tax benefit or advantage" includes a relief or increased relief from tax, avoidance of possible assessment to tax, etc.; whilst "arrangement" includes any agreement, understanding, scheme, transaction or series of transactions, whether or not legally enforceable.

2.11 Exchange of information and joint audits - section 48 of NTAA

The relevant tax authorities have the prerogative to exchange relevant information with each other for ensuring compliance with the provisions of this Act.

Where any tax authority discovers non-compliance in the course of audit of any tax accruing to another tax authority, it shall refer such non-compliance to, or invite that other tax authority for a joint audit.

2.12 Establishment of national single window portal - section 83 of NTAA

(a) The Service has the right to establish and operate a National Single Window Portal to enhance revenue assurance, streamline import and export processes, facilitate international transit operations, for the purpose of ensuring efficiency and transparency in trade and revenue administration.

(b) The Window shall be used as a single-entry point and platform for any person involved in import, export, trade and transit processes to:

  (i) digitalisation of economies in trade, lodge documents electronically, including import or export documents for licensing, processing and approval;

  (ii) make payment of fees and levies due on goods imported or exported, and for other transactions, submitted through the Window; or

  (iii) provide relevant data or information in respect of the import, export, trade or transit.

(c) The Service is empowered to make regulations for the administration of this section, including administrative charges on all processes and payments made on the Portal.

2.13 Powers of a relevant tax authority to deploy technology to automate tax administration - section 71 of NTAA

A relevant tax authority is empowered to deploy technology to automate tax administration processes including tax assessment, collection, accounting and information gathering.

A relevant tax authority can deploy any technology, including third party payment processing platform or computer application to collect or remit taxes due on the supply of digital services to any person in Nigeria whether or not such supply originates from within or outside Nigeria, provided that nothing in this subsection shall be construed as empowering the tax authority of a state to collect tax from a non-resident or in respect of cross-border transactions.

2.14 Endorsement of transaction by the Chairman of a relevant tax authority - section 70 of NTAA

Anything done or required to be done by the relevant tax authority under this Act or any other tax law shall be endorsed by the Chief Executive Officer or any other authorised officer of the relevant tax authority.

2.15 Power of the President to exempt companies from income tax -section 78 of NTAA

The President shall, subject to the approval of the National Assembly, exempt from income tax:

(a) any company or class of companies; or

(b) any profits of any company or class of companies from any source, on any ground which appears to be sufficient, provided that the order is published in the Official Gazette to the company or the class of companies.

2.16 Obligations during the pendency of legal proceedings - section 86 of NTAA

Except as may be ordered by a Court or Tribunal of competent jurisdiction, the

pendency of a legal proceeding cannot affect the performance of the duties or obligations of any taxable person under this Act or any other tax law.

2.17 Power of the relevant tax authority to prosecute any of the offences under the Act - section 139 of NTAA

The relevant tax authority is empowered to employ its own legal officers who shall have powers to prosecute any of the offences under this Act, subject to the powers of the Attorney-General of the Federation or State in any court in Nigeria.

Notwithstanding any administrative penalty or interest imposed under this Act or any other tax law, the relevant tax authority shall have powers to prosecute any person for an offence specified under the relevant provisions of this Act.

2.18 Place of an offence - section 140 of NTAA

An offence under this Act shall be deemed to occur in the place where the taxable person is registered where the taxable person is registered or resident or at such other place as the relevant tax authority may decide.

2.19 Chapter review

The chapter discusses the guiding principles of Nigeria tax system, the administration of tax by the three-tiers of government and the role of the Federal Ministry of Finance in the development and implementation of the NTP.

2.20 Worked example

2.20.1 Questions

(1) The administration of taxation in Nigeria is vested in various tax authorities depending on the type of tax under consideration.

Required:
Explain the:
(a) Composition and powers of the Nigeria Revenue Service Board (NRSB)
(b) Composition and functions of the Management Board of the State Service

(2) The Joint Revenue Board was established by section 3 of the Joint Revenue Board of Nigeria, 2025.

Required:
(a) Explain the composition and functions of the Joint Revenue Board
(b) State what constitutes a quorum in the Board's meeting.

(3) In order to assist the NRS in the performance of its duties, provision is made in section 14 of NRSA for the setting up of a Committee of the Board to be known as "the Technical Committee".

Required:

(a) Explain the composition of the Technical Committee of the Nigeria Revenue Service Board.

(b) State the functions of the Technical Committee of the Nigeria Revenue Service Board.

2.20.2 Suggested solutions to questions

1(a) **Composition of the NRSB - section 7 of NRSA**

The Nigeria Revenue Service Board comprises:

(i) the Chairman, who shall be the Executive Chairman of the Service appointed by the President subject to confirmation of the Senate; and

(ii) the following ex-officio members:

- a representative of the Minister responsible for Finance not below the rank of a Director;
- a representative of the Minister responsible for National Planning not below the rank of a Director;
- a representative of the Attorney-General of the Federation not below the rank of a Director;
- a representative of the Minister responsible for Petroleum and Gas Resources not below the rank of a Director;
- the Governor of the Central Bank of Nigeria or a representative not below the rank of a Deputy Governor;
- the Chairman of the Revenue Mobilisation, Allocation and Fiscal Commission or a representative who shall be a Commissioner representing one of the States of the Federation;
- the Comptroller-General of the Nigeria Custom Service or a representative not below the rank of Deputy Comptroller-General;
- the Registrar-General of the Corporate Affairs Commission or a representative not below the rank of a Director; and
- Executive Directors appointed by the President under this Act.

All members of the Board, except the Executive Chairman, and the Executive Directors shall serve on a part-time basis.

Powers of NRSB - section 8 of NRSA

The Board shall:

(i) provide general policy guidelines relating to the functions of the Service;

(ii) evaluate the implementation of the policies of the Service on matters relating to the assessment, collection and accounting system under this Part or any other law;

(iii) review and approve the strategic plans of the Service;

(iv) employ staff, and determine the terms and conditions of service, including disciplinary measures, of the employees of the Service;

(v) stipulate remunerations, allowances, benefits and pensions of the staff and

employees;

(vi) with the approval of the Minister, make rules and issue regulations as, in its opinion, are necessary or expedient for giving effect to the provisions of this Part and for the administration of its provisions and such rules and regulations shall provide compliance requirements and may include consequences for non-compliance;

(vii) assign each Executive Director a directorate as appropriate; and

(viii) do such other things which, in its opinion, are necessary to ensure the efficient performance of the functions of the Service under this section.

(b) Composition of the management board of a State Service - section 89(2) of NTAA

(i) the Executive Chairman of the State Service, who shall be the Chairman of the State Board;

(ii) directors from within the State Service;

(iii) a director from the State Ministry of Finance;

(iv) three other persons appointed by the State Governor on their personal merit, each representing a Senatorial District in the State, who shall possess relevant experience and knowledge in taxation and other related fields; and

(v) the Legal Adviser to the State Service, who shall serve as Secretary to the Board.

Functions of the management board of a State Service - section 91 of NTAA

(i) provide general policy guidelines relating to the functions of the State Service;

(ii) manage and superintend policies of the State Service on matters relating to the administration of the revenue assessment, collection and accounting system under this Act or any other law;

(iii) review and approve the strategic plans of the State Service;

(iv) employ and determine the terms and conditions of service including disciplinary measures of the employees of the State Service;

(v) stipulate remuneration, allowances, benefits and pensions of staff and employees in consultation with the Governor;

(vi) provide an amount of revenue collected, as may be approved by a State House of Assembly, which shall be retained by the State Service to defray cost of collection and administration;

(vii) make recommendations, where appropriate, to the Unified Revenue Commission on tax policy, reform, legislation, treaties and tax exemption as may be required, from time to time; and

(viii) do such other things which in its opinion are necessary to ensure efficient performance of the functions of the State Service under this Act.

The State Board may, by notice in the Gazette or in writing, authorise person to:

(i) perform or exercise on behalf of the State Board, any function, duty or power conferred on the State Board; and

(ii) receive any notice or other document to be given or delivered to or in

consequence of this Act and any subsidiary legislation made under it.

2 (a) The Joint Revenue Board shall comprise:

(i) the Chairman, who shall be the Executive Chairman of the Nigeria Revenue Service; and

(ii) the Chairman of each State Internal Revenue Service and the Federal Capital Territory Internal Revenue Service.

The following persons shall be *ex-officio* members of the Board:

- a representative of the Minister of Finance not below the rank of a Director;
- the Director-General of the National Identity Management Commission or representative not below the rank of a Director;
- the Chairman of the Revenue Mobilisation, Allocation and Fiscal Commission or its representative not below the rank of a Director;
- the Comptroller-General of the Nigerian Immigration Service or a representative not below the rank of Assistant Comptroller- General;
- the Corps Marshall of the Federal Road Safety Corps or its representative not below the rank of an Assistant Corps Marshall;
- the Comptroller-General of the Nigeria Customs Service or its representative not below the rank of an Assistant Comptroller-General; and
- a representative of the Nigeria Revenue Service not below the rank of a Director.

The Board can co-opt any person, body or agency on a need basis not exceeding two persons.

Functions of the Joint Revenue Board - section 5 of JRBA

The Board shall:

i. integrate and maintain a database of Taxpayer Identification Numbers for every taxable person in Nigeria in collaboration with the Nigeria Revenue Service, State Internal Revenue Service, Local Government Revenue Committee and other relevant government agencies;

ii. resolve disputes between various tax authorities on the issue of determination of residency;

iii. advise government on double taxation matters within Nigeria, and in respect of double taxation arrangements concluded or under consideration with any other country, including other taxation matters having effect throughout Nigeria;

iv. resolve disputes between different tax authorities;

v. maintain a platform for revenue data collection, integration and exchange of information among the various tax authorities in Nigeria;

vi. promote harmonisation of taxes, levies, rates, charges and other payments and ensure uniformity in revenue administration across Nigeria;

vii. advise the Federal and State Governments on introduction of new taxes and changes to existing ones;

viii. provide periodic impact analysis with recommendations on tax framework and capacity building for all tiers of Government;

ix collaborate with relevant agencies to carry out surveys, ascertain and publish relevant tax indices and statistics;

x recommend, participate, facilitate or initiate fiscal and tax policy reform in collaboration with relevant bodies;

xi. receive, collate, analyse and publish periodic tax revenue collected by all tax authorities;

xii. receive, collate, analyse and publish tax expenditure on account of tax waivers, exemptions or incentives granted by each government;

xiii. collaborate with tax authorities to undertake or support research or similar measures with a view to stimulating economic development and determine the manifestation, extent, magnitude and effects of tax fraud, evasion or other matters that affect effective tax administration and make recommendations to the Government on appropriate intervention and preventive measures;

xiv provide guidance for the accreditation of tax agents by the relevant tax authorities in accordance with the relevant laws; and

xv. carry out any other function as may be assigned to it by an Act of the National Assembly.

(b) **Quorum - paragraph 4 of the First Schedule to Joint Revenue Board of Nigeria (Establishment) Act, 2025**

The quorum of nay meeting of the Board shall be one-third of members, including the Chairman of the Board.

3(a) Composition of the Technical Committee of NRSB - section 14 of NRSA

The Committee comprises:

i. the Executive Chairman as the Chairman;

ii. two members of the Board of the Service;

iii. the Executive Directors in the Service;

iv. the Director Legal of the Service as appointed by the Board; and

v. the Director in charge of Tax Policy matters.

The Secretary to the Board shall be the Secretary to the Technical Committee.

The Technical Committee may co-opt, from the Service, such director or officer as it may deem necessary for the effective performance of its functions under this Act.

(b) Functions of the Technical Committee of Nigeria Revenue Service Board - section 15 of NRSA

The functions of the committee are to:

i) consider all tax matters that require professional and technical expertise and make recommendations to the board;

ii) advise the Board on any aspect of the functions and powers of the Service under this Act; and

iii) attend to such other matters as may from time to time be referred to it by the Board.

CHAPTER THREE

BASIC ETHICAL ISSUES IN TAXATION

Contents

a) Learning objectives

b) Learning outcomes

c) The five fundamental principles of ethics as specified by the International Ethics Standards Board for Accountants (IESBA)

d) The conditions when information on taxpayers may be disclosed

e) What a tax practitioner should do when there is a conflict of interest

f) Chapter review

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3.0 Learning objective

The learning objective is to explain the basic ethics and conditions when information on tax payers may be closed

3.01 Learning Outcome

After studying this chapter, readers would be able to:

(a) explain the fundamental principles of ethics: integrity; objectivity; professional competence and due care; confidentiality; and professional behaviour, as specified by the International Ethics Standards Board for Accountants (IESBA);

(b) understand the conditions when information on taxpayers may be disclosed; and

(c) explain what a tax practitioner should do when there is a conflict of interest.

3.1 The five fundamental principles of ethics as specified by the International Ethics Standards Board for Accountants (IESBA)

3.1.1 Integrity

A professional accountant shall comply with the principle of integrity, which requires an accountant to be straightforward and honest in all professional and business relationships. (Paragraph 111.1)

Integrity implies fair dealing and truthfulness. (Paragraph 111.1 A1).

A professional accountant shall not knowingly be associated with reports, returns, communications or other information where the accountant believes that the information (paragraph 111.2):

(a) contains a materially false or misleading statement;

(b) contains statements or information provided recklessly; or

(c) omits or obscures required information where such omission or obscurity would be misleading.

If a professional accountant provides a modified report in respect of such a report, return, communication or other information, the accountant is not in breach of paragraph R111.2. (Paragraph 111.2 A1)

When a professional accountant becomes aware of having been associated with information described in paragraph R111.2, the accountant shall take steps to be disassociated from that information. (Paragraph 111.3)

3.1.2 Objectivity

A professional accountant shall comply with the principle of objectivity, which requires an accountant not to compromise professional or business judgement because of bias, conflict of interest or undue influence of others. (Paragraph 112.1)

A professional accountant shall not undertake a professional activity if a circumstance or relationship unduly influences the accountant's professional judgement regarding that activity. (Paragraph 112.2)

3.1.3 Professional competence and due care

A professional accountant shall comply with the principle of professional competence and due care, which requires an accountant to:

(a) attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional service, based on current technical and professional standards and relevant legislation; and

(b) act diligently and in accordance with applicable technical and professional standards. (Paragraph 113.1).

Serving clients and employing organisations with professional competence requires the exercise of sound judgement in applying professional knowledge and skill when undertaking professional activities. (Paragraph 113.1 A1).

Maintaining professional competence requires a continuing awareness and an understanding of relevant technical, professional and business developments.
Continuing professional development enables a professional accountant to develop and maintain the capabilities to perform competently within the professional environment. (Paragraph 113.1 A2).

Diligence encompasses the responsibility to act in accordance with the requirements of an assignment, carefully, thoroughly and on a timely basis. (Paragraph 113.1 A3).

In complying with the principle of professional competence and due care, a professional accountant shall take reasonable steps to ensure that those working in a professional capacity under the accountant's authority have appropriate training and

supervision. (Paragraph 113.2).

Where appropriate, a professional accountant shall make clients, the employing organisation, or other users of the accountant's professional services or activities, aware of the limitations inherent in the services or activities. (Paragraph 113.3).

3.1.4 Confidentiality

A professional accountant shall comply with the principle of confidentiality, which requires an accountant to respect the confidentiality of information acquired as a result of professional and business relationships.

An accountant shall:

(a) be alert to the possibility of inadvertent disclosure, including in a social environment, and particularly to a close business associate or an immediate or a close family member;

(b) maintain confidentiality of information within the firm or employing organisation;

(c) maintain confidentiality of information disclosed by a prospective client or employing organisation;

(d) not disclose confidential information acquired as a result of professional and business relationships outside the firm or employing organisation without proper and specific authority, unless there is a legal or professional duty or right to disclose;

(e) not use confidential information acquired as a result of professional and business relationships for the personal advantage of the accountant or for the advantage of a third party;

(f) not use or disclose any confidential information, either acquired or received as a result of a professional or business relationship, after that relationship has ended; and

(g) take reasonable steps to ensure that personnel under the accountant's control, and individuals from whom advice and assistance are obtained, respect the accountant's duty of confidentiality. (Paragraph 114.1).

Confidentiality serves the public interest because it facilitates the free flow of information from the professional accountant's client or employing organisation to the accountant in the knowledge that the information will not be disclosed to a third party. Nevertheless, the following are circumstances where professional accountants are or might be required to disclose confidential information or when such disclosure might be appropriate:

(a) Disclosure is required by law, for example:

  (i) production of documents or other provision of evidence in the course of legal proceedings; or

  (ii) disclosure to the appropriate public authorities of infringements of the law that come to light;

(b) disclosure is permitted by law and is authorised by the client or the

employing organisation; and

(c) There is a professional duty or right to disclose, when not prohibited by law:
   (i) to comply with the quality review of a professional body;
   (ii) to respond to an inquiry or investigation by a professional or regulatory body;
   (iii) to protect the professional interests of a professional accountant in legal proceedings; or
   (iv) to comply with technical and professional standards, including ethics requirements. (Paragraph 114.1. A1)

In deciding whether to disclose confidential information, factors to consider, depending on the circumstances, include:

(a) whether the interests of any parties, including third parties whose interests might be affected, could be harmed if the client or employing organisation consents to the disclosure of information by the professional accountant;

(b) whether all the relevant information is known and substantiated, to the extent practicable. Factors affecting the decision to disclose include:
   (i) unsubstantiated facts;
   (ii) incomplete information; and
   (iii) unsubstantiated conclusions;

(c) the proposed type of communication, and to whom it is addressed; and

(d) whether the parties to whom the communication is addressed are appropriate recipients. (Paragraph 114.1 A2).

A professional accountant shall continue to comply with the principle of confidentiality even after the end of the relationship between the accountant and a client or employing organisation. When changing employment or acquiring a new client, the accountant is entitled to use prior experience but shall not use or disclose any confidential information acquired or received as a result of a professional or business relationship. (Paragraph 114.2).

3.1. 5 Professional behaviour

A professional accountant shall comply with the principle of professional behaviour, which requires an accountant to comply with relevant laws and regulations and avoid any conduct that the accountant knows or should know might discredit the profession. A professional accountant shall not knowingly engage in any business, occupation or activity that impairs or might impair the integrity, objectivity or good reputation of the profession, and as a result would be incompatible with the fundamental principles. (Paragraph 115.1)

Conduct that might discredit the profession includes conduct that a reasonable and informed third party would be likely to conclude adversely affects the good reputation of the profession. (Paragraph 115.1 A1)

When undertaking marketing or promotional activities, a professional accountant shall not bring the profession into disrepute. A professional accountant shall be honest and truthful and shall not make:

(a) exaggerated claims for the services offered by, or the qualifications or experience of, the accountant; or
(b) disparaging references or unsubstantiated comparisons to the work of others. (Paragraph 115.2)

If a professional accountant is in doubt about whether a form of advertising or marketing is appropriate, the accountant is encouraged to consult with the relevant professional body. (Paragraph 115.2 A1).

3.2 The conditions when information on taxpayers may be disclosed

The need to comply with the principle of confidentiality continues even after the end of relationships between a tax practitioner and a client. When a tax practitioner engagement with a client ends or is engaged by a new client, the tax practitioner is entitled to use prior experience. However, he shall not use or disclose any confidential information either acquired or received as a result of a professional relationship with the previous client because doing so may tantamount to professional misdemeanor and consequence could be very costly.

Nonetheless, there are instances when a tax consultant may disclose information on a client (whether past or present). The following are circumstances where a tax consultant may disclose information on a taxpayer when:

a. Disclosure is permitted by law;
b. Disclosure is authorised by the client, that is, the taxpayer;
c. Disclosure is required by law, for example:
   (i) production of documents or other provision of evidence in the course of legal proceedings; or
   (ii) disclosure to the appropriate public authorities of infringements of the law that come to light; and

(d) There is a professional duty or right to disclose, when not prohibited by law; for example
   (i) to respond to an inquiry or investigation by a member body or regulatory body, such as ICAN, CITN, etc.;
   (ii) to protect the professional interests of a professional body, that is, ICAN, CITN, etc. in legal proceedings; or
   (iii) to comply with technical standards and ethics requirements.

3.3 What a tax practitioner should do when there is conflict of interest

A tax practitioner may be faced with a conflict of interest when undertaking a professional activity. A conflict of interest creates a threat to objectivity and may create threats to the other fundamental principles. Such threats may be created when:

(a) the tax practitioner undertakes a professional activity related to a particular matter for two or more clients whose interests with respect to that matter are in conflict; or

(b) the interests of the tax practitioner with respect to a particular matter and the interests of a client for whom the tax practitioner undertakes a professional activity related to that matter are in conflict.

A tax practitioner may be required to resolve a conflict in complying with the fundamental principles.

It may be in the best interests of the tax practitioner to document the substance of the issue, the details of any discussions held, and the decisions made concerning that issue.

If a significant conflict cannot be resolved, a tax practitioner may consider obtaining professional advice from the relevant professional body, that is, ICAN and or CITN. The tax practitioner generally can obtain guidance on ethical issues without breaching the fundamental principle of confidentiality if the matter is discussed with the relevant professional body on an anonymous basis or with a legal advisor under the protection of legal privilege.

If, after exhausting all relevant possibilities, the ethical conflict remains unresolved, a tax practitioner shall, where possible, refuse to remain associated with the matter creating the conflict. The tax practitioner shall determine whether, in the circumstances, it is appropriate to withdraw from the specific assignment or client.

3.4 Key updates based on 2025 IESBA Handbook

Despite the fact that this chapter covers only the five fundamental principles of ethics as specified by IESBA; it is not out of place to capture briefly the key updates of 2025 IESBA Handbook. Additionally, it should be noted that the new pronouncements are adequately covered in the Study Texts for Advanced Taxation, Strategic Business Reporting, and Advanced Audit, Assurance, and Forensics.

The handbook has incorporated all IESBA ethics and independence standards, including:

(a) the ethical behaviour for tax planning services and activities beginning after June 30, 2025;
(b) the International Ethics Standard for Sustainability Assurance (IESSA) which will take effect from December 2026;
(c) revisions using the work of an external expert, which is effective December 2026; and
(d) fee-related provisions to ensure auditors' independence, for example, influence of non-audit services on audit fees, percentage of audit fees from public interest

entities when it exceeds 15% of the firms' total fees will necessitate disclosure, etc.

3.5 Chapter review

This chapter discusses the five fundamental principles of ethics: integrity; Objectivity; professional competence and due care; confidentiality; and professional behaviour, as specified by the International Ethics Standards Board for Accountants (IESBA).

It also discusses the conditions when information on taxpayers may be disclosed as well as what a tax practitioner should do when there is a conflict of interest.

3.6 Worked examples

3.6.1 Multiple-choice questions

1) Which of the following is **NOT** a fundamental principle of ethics as specified by the International Ethics Standards Board for Accountants (IESBA)?

A. Integrity
B. Objectivity
C. Literacy
D. Professional competence and due care
E. Confidentiality

2) The following are circumstances where a tax consultant may disclose information on a taxpayer **EXCEPT**

A. Disclosure is permitted by law
B. Disclosure is authorised by the client, that is, the taxpayer
C. Disclosure to the appropriate public authorities of infringements of the law that come to light
D. There is a professional duty or right to disclose, when not prohibited by law
E. Disclosure is required by a pressure group

3. When undertaking promotional activities, a professional accountant shall not

A. Hold too many meetings with clients
B. Charge professional fees
C. Make disparaging references or unsubstantiated comparisons to the work of others
D. Send audit queries to client
E. Consult with the relevant professional body on any issue

4. Which one of the following reports, returns, communications or other information should a professional accountant be associated with?

A. Reports containing a materially false statement
B. Reports containing a misleading statement
C. Reports containing statements or information provided recklessly
D. Reports omitting required information where such omission would be misleading

E. Reports containing vital information for the users of the accounts

5 Given the principle of confidentiality, all professional accountants are expected to adhere strictly to the following **EXCEPT**

A. Be alert to the possibility of inadvertent disclosure, including in a social environment, and particularly to a close business associate or an immediate or a close family member

B. Maintain confidentiality of information within the firm or employing organisation

C. Maintain confidentiality of information disclosed by a prospective client or employing organisation

D. Disclose confidential information acquired as a result of professional and business relationships outside the firm or employing organisation without proper and specific authority

E. Not use confidential information acquired as a result of professional and business relationships for the personal advantage of the accountant or for the advantage of a third party

3.6.2 Short answer questions

1. The principle of..... requires an accountant not to compromise professional or business judgement because of bias, conflict of interest or undue influence of others.

2) Which principle requires a professional accountant to act diligently and in accordance with applicable technical and professional standards?

3. Where appropriate, a professional accountant shall make clients, the employing organisation, or other users of the accountant's professional services or activities, aware of the ..... inherent in the services or activities.
4. A professional accountant should not use .....information acquired as a result of professional and business relationships for the personal advantage of the accountant or for the advantage of a third party.
5. A tax consultant may disclose information on a..... when disclosure is permitted by law.

3.6.3 Examination type questions

(1) Explain the following fundamental principles of ethics as specified by IESBA.
(a) Integrity
(b) Objectivity

(2) According to paragraph 114.1 of IESBA, the principles of confidentiality impose an obligation on all professional accountants and expects them to refrain from taking certain action with respect to handling of confidential information or documents of their clients.

Required:

Briefly describe the obligations imposed on professional accountants by paragraph 114.1 of IESBA.

(3) Briefly describe the circumstances when a tax consultant may disclose information on a taxpayer.

(4) What should a tax practitioner do when faced with a conflict of interest?

(5) Write short notes on the following fundamental principles of ethics as specified by IESBA:

(a) Professional behaviour

(b) Professional competence and due care

3.6.4 Suggested solutions to multiple-choice questions

1. C
2. E
3. C
4. E
5. D

3.6.5 Suggested solutions to short answer questions

1. Objectivity
2. Professional competence and due care
3. Limitations
4. Confidential
5. Client

3.6.6 Suggested solutions to examination type questions

1(a) Integrity

A professional accountant shall comply with the principle of integrity, which requires an accountant to be straightforward and honest in all professional and business relationships. (Paragraph 111.1)

Integrity implies fair dealing and truthfulness. (Paragraph 111.1 A1).

A professional accountant shall not knowingly be associated with reports, returns, communications or other information where the accountant believes that the information (Paragraph 111.2):

(i) Contains a materially false or misleading statement;
(ii) Contains statements or information provided recklessly; or
(iii) Omits or obscures required information where such omission or obscurity would be misleading.

If a professional accountant provides a modified report in respect of such a report, return, communication or other information, the accountant is not in breach of paragraph

R111.2. (Paragraph 111.2 A1)

When a professional accountant becomes aware of having been associated with information described in paragraph R111.2, the accountant shall take steps to be disassociated from that information. (Paragraph 111.3)

(b) Objectivity

A professional accountant shall comply with the principle of objectivity, which requires an accountant not to compromise professional or business judgement because of bias, conflict of interest or undue influence of others. (Paragraph 112.1)

A professional accountant shall not undertake a professional activity if a circumstance or relationship unduly influences the accountant's professional judgement regarding that activity. (Paragraph 112.2)

(2) Paragraph 114.1 of IESBA on the principle of confidentiality imposes the following obligations on all professional accountants. They should:

(a) be alert to the possibility of inadvertent disclosure, including in a social environment, and particularly to a close business associate or an immediate or a close family member;

(b) maintain confidentiality of information within the firm or employing organisation;

(c) maintain confidentiality of information disclosed by a prospective client or employing organisation;

(d) not disclose confidential information acquired as a result of professional and business relationships outside the firm or employing organisation without proper and specific authority, unless there is a legal or professional duty or right to disclose;

(e) not use confidential information acquired as a result of professional and business relationships for the personal advantage of the accountant or for the advantage of a third party;

(f) not use or disclose any confidential information, either acquired or received as a result of a professional or business relationship, after that relationship has ended; and

(g) take reasonable steps to ensure that personnel under the accountant's control, and individuals from whom advice and assistance are obtained, respect the accountant's duty of confidentiality.

(3) The following are the instances when a tax practitioner may disclose information on a taxpayer:

(a) disclosure is permitted by law;

(b) disclosure is authorised by the client, that is, the taxpayer;

(c) disclosure is required by law, for example:

(i) production of documents or other provision of evidence in the course of legal proceedings; or

(ii) disclosure to the appropriate public authorities of infringements of the law that come to light; and

(d) There is a professional duty or right to disclose, when not prohibited by law; for example:

(i) to respond to an inquiry or investigation by a member body or regulatory body such as ICAN, CITN, etc.;

(ii) to protect the professional interests of a professional body, that is, ICAN, CITN, etc. in legal proceedings; or

(iii) to comply with technical standards and ethics requirements.

(4) A tax practitioner may be faced with a conflict of interest when undertaking a professional activity. A conflict of interest creates a threat to objectivity and may create threats to the other fundamental principles. Such threats may be created when:

(a) the tax practitioner undertakes a professional activity relating to a particular matter for two or more clients whose interests with respect to that matter are in conflict; or\

(b) the interests of the tax practitioner with respect to a particular matter and the interests of a client for whom the tax practitioner undertakes a professional activity relating to that matter are in conflict.

A tax practitioner may be required to resolve a conflict in compliance with the fundamental principles.

It may be in the best interests of a tax practitioner to document the substance of the issue, the details of any discussions held, and the decisions made concerning that issue.

If a significant conflict cannot be resolved, a tax practitioner may consider obtaining professional advice from the relevant professional body, that is, ICAN and/or CITN. The tax practitioner generally can obtain guidance on ethical issues without breaching the fundamental principle of confidentiality if the matter is discussed with the relevant professional body on an anonymous basis or with a legal adviser under the protection of legal privilege.

If, after exhausting all relevant possibilities, the ethical conflict remains unresolved, a tax practitioner shall, where possible, refuse to remain associated with the matter creating the conflict. The tax practitioner shall determine whether, in the circumstances, it is appropriate to withdraw from the specific assignment or client.

5(a) Professional behaviour

A professional accountant shall comply with the principle of professional behaviour, which requires an accountant to comply with relevant laws and regulations and avoid any conduct that the accountant knows or should know might discredit the profession. A professional accountant shall not knowingly engage in any business, occupation or activity that impairs or might impair the integrity, objectivity or good reputation of the profession, and as a result would be incompatible with the fundamental principles. (Paragraph 115.1)

Conduct that might discredit the profession includes conduct that a reasonable and informed third party would likely conclude to adversely affect the good reputation of the profession. (Paragraph 115.1 A1).

When undertaking marketing or promotional activities, a professional accountant shall not bring the profession into disrepute. A professional accountant shall be honest and truthful and shall not make:

(i) exaggerated claims for the services offered by, or the qualifications or experience of, the accountant; or

(ii) disparaging references or unsubstantiated comparisons to the work of others. (Paragraph115.2)

If a professional accountant is in doubt about whether a form of advertising or marketing is appropriate, the accountant is encouraged to consult with the relevant professional accountancy body. (Paragraph 115.2 A1).

(b) Professional competence and due care

A professional accountant shall comply with the principle of professional competence and due care, which requires an accountant to:

(i) Attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional service, based on current technical and professional standards and relevant legislations; and

(ii) Act diligently and in accordance with applicable technical and professional standards. (Paragraph 113.1)

Serving clients and employing organisations with professional competence requires the exercise of sound judgement in applying professional knowledge and skill when undertaking professional activities. (Paragraph 113.1 A1)

Maintaining professional competence requires a continuing awareness and an understanding of relevant technical, professional and business developments.

Continuing professional development enables a professional accountant to develop and maintain the capabilities to perform competently within the professional environment. (Paragraph 113.1 A2)

Diligence encompasses the responsibility to act in accordance with the requirements of an assignment, carefully, thoroughly and on a timely basis. (Paragraph 113.1 A3)

In complying with the principle of professional competence and due care, a professional accountant shall take reasonable steps to ensure that those working in a professional capacity under the accountant's authority have appropriate training and supervision. (Paragraph 113.2)

Where appropriate, a professional accountant shall make clients, the employing organisation, or other users of the accountant's professional services or activities, aware of the limitations. (Paragraph 113.3)

CHAPTER FOUR

RETURNS, ASSESSMENTS AND COLLECTION PROCEDURES

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a Learning objective
b Learning outcomes
c Registration for tax purposes and uses of Taxpayer Identification (Tax ID)
d Contents of income tax returns
e Due dates for filing of tax returns
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k Enforcement procedure
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n. Chapter review
o. Worked examples

4 0 Learning objective

The objective of this chapter is to ensure that candidates understand the procedures for registration of taxpayers, filing of returns, assessment, collection and enforcement procedures, and offences and penalties.

4.1 Learning outcomes

On successful completion of this chapter, candidates should be able to:

(a) know the registration and filing procedures for tax returns;
(b) understand assessment procedures for companies;
(c) explain the assessment and collection procedures;
(d) explain the enforcement procedures;
(e) know the timing and currency of payment of tax; and
(f) explain applicable offences and penalties.

4.2 Registration for tax purposes and uses of Taxpayer Identification (Tax ID)

4 .2.1 Registration with the relevant tax authority

(a) Registration of resident taxable persons - sections 4 and 5 of NTAA for the purposes of compliance with tax obligations, every taxable person shall register with the relevant tax authority and obtain a taxpayer identification ("Tax ID"). In addition to the above, every ministry, department or agency of the Federal or a State government, and every local government shall register for tax and obtain Tax ID.

(b) Registration of non- resident taxable persons - section 6 of NTAA

A non- resident person shall register for tax purposes and obtain a Tax ID when supplies taxable goods or services to any person in Nigeria, or derives income from Nigeria.

A non - resident person who derives only passive income from investment in Nigeria may not be required to register for tax but shall provide relevant information as may be required by the Service.

The relevant tax authority is empowered to issue guidelines for the purpose of giving effect to the provisions relating to registration of taxable persons.

4.2.2 Registration requirements and processes

(a) Limited liability companies

Every limited liability company registering with the NRS for tax purposes is required to submit two letters of registration – one for registration for income tax and the other letter for VAT.

The **registration letter for income tax** shall disclose the following information on the company:

(i) name of the company;
(ii) registered office;
(iii) business address;
(iv) precise nature of business;
(v) date of commencement of business;
(vi) accounting date
(vii) name and address of bankers;
(viii) particulars of major shareholders;
(ix) particulars of directors;
(x) name and address of auditors; and
(xi) name and address of tax representative.

Also, the registration letter shall be accompanied by the following documents:

(i) copy of certificate of incorporation (original for sighting);
(ii) CTC of memorandum and articles of association;
(iii) copy of status report or Form CAC 2 and CAC 7 or Form CAC 1.1;
(iv) recent utility bill of business address;
(v) company stamp or seal; and
(vi) the completed taxpayer registration input form for companies.

The **registration letter for VAT** shall be accompanied by the following documents:

(i) completed copy of VAT form 001, that is, VAT registration form, duly signed by authorised company's representative; and
(ii) certificate of incorporation.

(b) Business names

A business name is required to register for VAT purposes as follows:

(i) submit an application for VAT registration on the firm's letterhead addressed to the Tax Controller of the nearest office of NRS;
(ii) complete all registration forms given (VAT and input forms);
(iii) provide a copy of certificate of registration and Form CAC/BN/A1 and submit the originals for sighting;
(iv) recent utility bill; and
(v) business stamp or seal to be applied on the NRS' forms given.

4.2.3 Issuance of tax ID - section - section 7 of NTAA

(a) Upon receiving a request from any taxable person, the relevant tax authority shall, register and issue a Tax ID to the person.

(b) Where a relevant tax authority refuses to register or issue a Tax ID upon request, it shall, within five working days of the decision, notify that person of the refusal with reasons.

(c) Based on the information at the disposal of a relevant tax authority, it may register and issue a Tax ID to a person who should apply for a Tax ID but failed to do so.

(d) The relevant tax authority shall promptly inform a person registered and issued with a Tax ID.

(e) There is no need for a taxable person having a valid Tax ID to apply for, or be issued with another Tax ID.

(f) Any person who is aware that a taxable person has multiple Tax IDs, he shall promptly report to the relevant tax authority for unification.

(g) A Tax ID issued to one taxable person is not transferable or usable by another taxable person.

4.2.4 Notification of change in particulars - section 9 of NTAA

(a) Every taxable person shall, within 30 days of the occurrence of a change in its particulars, notify the relevant tax authority of the change.

(b) The change referred to in (a) above includes:
(i) name, including trading name, location of business, telephone numbers or e-mail address, and registered address;
(ii) in the case of:
- an incorporated person, persons holding 5% or more of its share capital, or the beneficial owner of the shares held by nominees;
- a trust, the full identity, address and other contact details of the trustees and beneficiaries of the trust;

- a partnership, the full identity, address and other contact details of all the partners; or
- sale, liquidation, acquisition, take-over or merger of a business, all relevant information regarding the sale, liquidation or merger, and full details of the new owners.

4.2.5 Objectives and uses of Tax ID - section 8 of NTAA

(a) Objectives

Taxpayer identification (Tax ID) is a unique number allocated to each taxpayer with a view to identifying an individual, business or any other entity on tax returns and other documents filed with the tax authorities.

The major objectives of introducing Tax ID include:

i. identifying and registering of taxable persons;
ii. widening of the tax base;
iii. minimising tax evasion and fraud;
iv. enhancing efficiency in tax administration;
v. reducing cost of tax compliance;
vi. ensuring that it is a condition precedent for the bidding of government contracts; etc.

(b) Uses of Tax ID - section 8 of NTAA

A Tax ID shall be:

(i) disclosed on a return, notice, correspondence or documents submitted, lodged, or used for the purposes of tax compliance;
(ii) disclosed on a document prepared, produced, issued or submitted in respect of a transaction; and
(iii) a condition for entering into a contract with any federal or state ministry, department or agency and local government.

A person engaged in banking, insurance, stock-broking, or other financial services in Nigeria shall make the submission of a tax ID precondition for opening any account or operating an existing account.

4 .2.6 Suspension, deregistration and cancellation of taxpayer identification (Tax ID) -section 10 of NTAA

(a) Where a taxable person temporarily ceases to carry on a trade or business in Nigeria, the it shall notify the relevant tax authority of its intention to suspend its registration for tax purposes within 30 days of such temporary cessation of trade or business.
(b) The relevant tax authority shall classify the Tax ID as dormant and place it on suspension.
(c) Where a taxable person permanently ceases to carry on a trade or business in Nigeria, the taxable person shall notify the relevant tax authority of its intention to deregister for tax purposes within 30 days of such cessation of trade or business.

(d) Where a taxable person permanently ceases to carry on a trade or business, the relevant tax authority shall deregister the Tax ID.
(e) The relevant tax authority shall deregister or cancel a Tax ID where it is satisfied that:
    i. the taxable person is deceased, or, in the case of a body corporate, including a government ministry, department or agency is wound up or dissolved; and
    ii. the person to whom the Tax ID was issued has another one.
(f) A taxable person whose Tax ID has been suspended shall, upon reapplication, be re-issued with the same Tax ID.

4.3 Contents of income tax returns

4..3.1 Resident companies - section 11(1) of NTAA

Every company, including a company granted exemption from incorporation, whether or not it is liable to pay tax under Nigeria Tax Act or any other tax law, for a year of assessment, with or without notice from the Service, shall file a self-assessment return with the Service in the prescribed form at least once a year and such return shall contain -

(a) a duly completed self-assessment form as may be prescribed by the Service;
(b) the audited financial statements, tax and capital allowances computation for the year of assessment in respect of the profit from each and every source computed: provided that the return of a small company may contain a statement of accounts attested to by the taxpayer in place of audited financial statements;
(c) evidence of payment of the tax due;
(d) computation of the effective tax rate and additional tax payable, where applicable; and
(e) an attestation of the information contained in the tax returns signed by a principal officer of the company.

4.3.2. Non-resident companies - Section 11 (2) of NTAA

Where a non-resident company derives profit from or is taxable in Nigeria under Chapter Two of the NTA, such company shall be required to submit a return for the relevant year of assessment, which contains:

(a) the company's full audited financial statements and the financial statements of the Nigerian operations, attested to by an independent qualified or certified accountant in Nigeria;
(b) schedules of tax computation based on the profits attributable to its operations in Nigeria;
(c) a true and correct statement, in writing, indicating the amount of profits from each and every source in Nigeria; and
(d) duly completed Companies Income Tax Self-Assessment Forms;
(e) evidence of payment of the tax due; and
(f) A computation of the effective tax rate and additional tax payable, where applicable.

In any year of assessment, where a company other than a Nigerian company only earns income on which withholding tax is the final tax under the Act, the obligation to file a tax return in the manner prescribed shall not apply to such company in that year of assessment.

4.3.3 Companies on cessation - section 11 (4) of NTAA
A company that permanently ceases operations in Nigeria, shall file the returns for the year of cessation and any outstanding return.

4.4 Due dates for filing of tax returns

4.4.1 Limited liability companies - section 11 (5) of NTAA
The statutory timelines for filing of audited accounts and income tax returns by all companies shall be, in the case of:

(a) an existing company**,** that is, a company that has been in business for more than eighteen months, the due date for filing tax returns is six months after the end of the company's accounting year;
(b) a newly incorporated company, the due date for filing tax returns is within eighteen months from the date of its incorporation or not later than six months after the end of its first accounting period, whichever is earlier; or
(c) a company that ceases to carry on trade or business in Nigeria, not later than six months from the date of cessation of trade or business in Nigeria.

4.4.2 Appointment of agents to file returns - section 11 (6) of NTAA

A company has the prerogative to appoint representative(s) to deal with its tax matters and where the person so appointed is an agent, such a person shall be an accredited agent.

4.4.3 Other returns

(a) Banks, insurance companies, stock-broking firms and other financial institutions - section 29(1) of NTAA

(i) For tax purposes and without prejudice to the provisions of any other Act relating to data privacy, data protection and unlawful disclosure of taxpayer information (section 142 of this Act), every bank, insurance company, stock-broking firm, or any other financial institution, shall prepare, with or without demand by the Service, annual returns specifying the names, customer location and transactions of new and existing customers in the case of:

- an individual, where the cumulative transactions in a month amount to N50,000,000.00 or more; or
- a body corporate, where the cumulative transactions in a month amount to N250,000,000.00 or more.

(ii) Every bank, insurance company, stock-broking firm, other financial institutions, or any other legal arrangement shall, as may be prescribed by way of notice, rules, regulations, guidelines, or circulars issued by the relevant tax authority prepare and submit returns of —

- transactions involving the specified sum;
- names, addresses, including foreign addresses, or any other information of its customers connected with those transactions; or

- names, addresses, or any other information of new or existing customers.

(iii) Without prejudice to points noted above, for the purpose of obtaining information relative to taxation, the relevant tax authority may give notice to any person including a person engaged in banking business in Nigeria to provide within the time stipulated in the notice, information including the name and address of any person specified in the notice.

(iv) Notwithstanding the provision of (iii) above, a person engaged in banking business in Nigeria, shall not be required to disclose any additional information about his customer or his bank under this section unless such additional disclosure is required by a notice signed by the Chief Executive Officer of the relevant tax authority.

(b) Virtual assets service providers (VASP) - section 25 of NTAA

Where a taxable person is engaged in services related to the exchange, custody or management of virtual assets as a Virtual Asset Service Provider (VASP), it shall, with or without a notice, in addition to the returns provided in sections 11 and 13 of this Act (filing of income tax returns), submit to the relevant tax authority, the returns which shall contain:

(i) a description of the virtual asset service (exchange, sale, or transfer of virtual assets) provided during the month;

(ii) the date of the transaction;

(iii) the type and value of the virtual assets involved;

(iv) the sales value of the virtual assets

(v) the name, address, telephone number, email address and Tax ID of the customer including the national identification number of the customer if he is an individual;

(vi) the name, address, telephone number and email address of any counterparty involved to the transaction; and

(vii) such other particulars as may be prescribed by the relevant tax authority.

Notwithstanding the information noted above, the relevant tax authority may at any time, with or without a notice, request a VASP to submit further information in a prescribed form, by a specified date.

(c) Priority companies - section 26 of NTAA

Any company granted priority status shall, in accordance with section 11 of this Act (which relates to filing of returns), in each year of assessment, file income tax returns in the manner specified for both priority and non-priority products or services of the company.

(d) Taxable persons enjoying incentives - section 27 of NTAA

(i) Taxable entities enjoying incentives administered by the relevant tax authorities, including incentives provided under Chapter Eight (income tax exemptions, economic development tax incentives) and section 60 (export processing and free trade zones entities) of Nigeria Tax Act, shall, in addition to annual tax returns, submit Annual Tax Incentives returns to the relevant tax authority in the form prescribed by the Service, covering income tax and any incentive other than those which are generally available to all taxpayers.

(ii) Where annual tax incentives returns are filed by individuals, the tax authority in each State shall, within 60 days from the end of the due date for filing of the annual tax returns, transmit to the Service the annual tax incentives returns filed.

(iii) The Service shall, submit its annual report to the Minister under section 23 of Nigeria Revenue Service Act (expenditure of the Service and include the summary of the returns received for tax incentives.

(iv) The Minister is empowered to issue a regulation for further administration of this section.

(e) Returns for deduction of tax at source - section 28 of NTAA

Every person who is charged with the responsibility to deduct and remit tax under this Act or any other tax legislation, shall render monthly returns to the appropriate tax authority, as specified in the regulation issued for that purpose.

4.5 Maintenance of books - section 31 of NTAA

(a) Every taxable entity, including a company granted exemption from incorporation, shall, whether or not the person is liable to pay tax, maintain books or records of accounts.

(b) The books or records of accounts shall contain sufficient information or data of all relevant transactions for the ascertainment of the person's tax liability.

(c) The books and records required to be maintained under (a) above, shall be in English language and shall, for the purpose of tax, be consistent with the format that may be prescribed by the relevant tax authority.

(d) Where the record is maintained in a language other than the English language,the person shall, on demand by the tax authority, produce, at its own expense, a translation in English language, which shall be certified by a sworn translator.

(e) Any book or record required to be kept under this section shall be kept for a period not less than six years after the year of assessment in which the income relates.

4.6 Time within which to pay tax assessed - section 49 of NTAA

(a) Subject to section 11 of this Act (filing of income tax returns) and without prejudice to any other provision of this Act, every taxable person shall make payment of tax due on or before the due date of filing in one lump sum or in instalments, provided that the final instalment shall be paid on or before the due date of filing.

(b) Tax charged by any assessment which is not or has not been the subject of an objection or appeal shall be payable, after the deduction of any amount to be setoff for the purposes of collection under any provision of this Act, or any amount deposited against the tax, at the place stated in the notice of assessment within 30 days of service of such notice upon the taxable person, provided that the relevant tax

authority, in its discretion, may extend the time within which payment is to be made.

(c) Collection of tax in any case where notice of an objection or appeal has been given by the taxable person shall remain in abeyance until such objection or appeal is determined, provided that the taxable person shall pay the tax which is not the subject of an objection or appeal.

(d) When an objection or appeal is determined, the relevant tax authority shall serve the taxable person, a notice of the tax payable as so determined, and that tax shall be payable within 30 days of the date of service of such notice.

(e) Any balance of tax unpaid as at the due date shall attract interest and penalties as provided in this Act or any other relevant law.

(f) Where a taxable person is granted an extension by the relevant tax authority of the period for the payment of a tax and the person fails to make the payment within that period of extension, penalty and interest shall accrue from the due date of payment of the tax as if the extension was never granted.

(g) Where there is no objection or appeal, the relevant tax authority may proceed to enforce the recovery of the tax payable in accordance with the provisions of this Act.

4.7 Penalties for late registration, late filing of returns, and failure to keep proper books or records

4.7.1 Failure to register - section 100 of NTAA

(a) A taxable person who fails or refuses to register with the relevant tax authority for tax, shall be liable to pay an administrative penalty of:
(i) ₦50,000 in the first month in which the failure occurs; and
(ii) ₦25,000 for each subsequent month in which the failure continues.

(b) A statutory body or company who awards a contract to an unregistered person, shall be liable to pay an administrative penalty of ₦5,000,000.

4.7.2 Late filing of returns - section101 of NTAA

A taxable entity who fails or refuses to file returns or knowingly files incomplete or inaccurate returns to the relevant tax authority in accordance with the provisions of this Act, shall be liable to pay an administrative penalty of:
(a) ₦100,000.00 in the first month in which the failure occurs; and
(b) ₦50,000.00 for each subsequent month in which the failure continues.

4.7.3 Failure to keep proper books

A taxable entity who:
(a) fails to keep accounts, books and records of business transactions and income, to allow for the correct ascertainment of tax and filing of returns to the relevant tax authority; or
(b) upon request by the relevant tax authority, fails to provide any record or book

prescribed in this Act shall be liable to pay an administrative penalty, in the case of:
(i) a person other than a company, ₦10,000.00, and
(ii) in the case of a company, ₦50,000.00.

4.8 Assessment procedures

Where a company has filed a self-assessment return comprising its audited accounts and tax computations based thereon, the NRS may accept the returns as made, if found satisfactory.

At the expiration of the time limit specified by section 11 (5) of NTAA for the submission of tax returns, audited accounts and tax computations, the NRS, shall proceed to assess every company that fails to file its self-assessment tax returns.

4.8.1 Self-assessment - section 34 of NTAA

(a) The self-assessment is a system of tax administration in which the taxpayer is granted the right, by law, to compute his own tax liability, submit his return with the relevant tax authority, pays the tax due and files his tax returns with evidence of payment of the tax paid on or before the due date.

(b) A taxpayer who has submitted a self-assessment return in the prescribed form for a reporting period is deemed to have made an assessment of the amount of tax payable, including a negative or nil amount, for the reporting period to which the return relates.

(c) When a taxpayer completes and submits a tax return in the approved form electronically, it is a self-assessment notwithstanding that:
i. the form contains pre-entered information supplied by the tax authority; and
ii. an estimate of the tax payable is computed electronically as information is being entered into the form.

(d) Where a taxable person has delivered a tax return, the relevant tax authority may:
i. accept the tax return without making an additional assessment;
ii. accept the tax return and make additional assessment; or
iii. reject the tax return and, to the best of its judgement, determine the amount of the tax due from the taxable person and make an assessment accordingly.

(e) Where the taxable person fails to declare the true and correct amount of income or tax payable in its self-assessed tax returns, the taxable person is liable to pay any outstanding tax from the due date of the returns.

(f) The outstanding tax shall be subject to penalty and interest, in accordance with the provisions of this Act or other relevant tax law from the date the return becomes due.

4.8.2 Additional assessment - section 36 of NTAA

(a) Where the relevant tax authority discovers or is of the opinion, at any time, that any

taxable entity liable to tax has not been assessed or has been assessed at an amount less than that which ought to have been charged, the relevant tax authority may, within six years of an assessment, assess the taxable person at such amount or additional amount, as ought to have been charged.

(b) The six-year limitation period stipulated in (a) above, shall not preclude the relevant tax authority from continuing with a tax audit and for raising additional assessment where the tax audit commenced before the expiration of the six-year limit.

(c) The provisions of this Act as to the notice of assessment, appeal and other proceedings shall apply to such assessment or additional assessment and to the tax charged.

(d) Notwithstanding the time limit specified in (a) above, where there is a deliberate misstatement by a taxable person in connection with any tax imposed under the Nigeria Tax Act or any other tax law, the relevant tax authority may at any time and as often as may be necessary, assess the taxable person to such amount or additional amount as may be necessary for the purpose of making good any loss of tax attributable to the deliberate misstatement.

(e) All relevant facts shall be considered in the computation of the amount or additional amount of tax that should have been charged under (a) above, even where such facts were not known when a prior assessment or additional assessment was made for the taxable person in the same year.

4.8.3 Best of judgement (BOJ) / administrative assessment - section 35 of NTAA

(a) Where a taxable entity has not delivered a tax return as provided under this Act, and the relevant tax authority is of the opinion that such taxable person is liable to pay tax, it may, to the best of its judgement, determine the amount of the tax due from the taxable person and make an assessment accordingly.

(b) The assessment issued under (a) above shall not affect the imposition of any other liability specified in this Act or any other law, incurred by the taxable person by reason of its failure or neglect to deliver a return.

(c) The relevant tax authority may prescribe the rules, guidelines and procedures for the issuance of administrative assessment under this section.

(d) An assessment can be made by the relevant tax authority upon a taxable person for any year before the expiration of the time within which it is required to deliver a return or to give notice under the provisions of this Act, if the relevant tax authority considers such assessment to be in jeopardy.

4.8.4 Deemed profit assessment or income statement - section 38 of NTAA

(a) Where a company or trade produces either no assessable profit or an assessable profit which is less than expected from that business or the true amount of the assessable profit cannot be readily ascertained, the relevant tax authority may, in the case of:

(i) a resident, assess and charge that taxable person on such fair and reasonable

percentage of the gross income from the trade or business as the relevant tax authority may determine; or

(ii) a non-resident, the profits shall be any amount resulting from applying the profit margin of the person to the turnover generated from Nigeria.

(b) For the purpose of (a)(ii) above, "profit margin" shall be the proportion of the Earnings Before Interest and Tax ("EBIT") to income or revenue in the published audited financial statement of the business, and in the case of persons that are not required to publish financial statements, the profit margin as may be ascertained by the relevant tax authority from financial statements of comparative companies.

4.8.5 Substitution of dividend for total profit - Section 9 of NTA

(a) Where a Nigerian company declares a dividend out of profits on which no tax is payable due to:

(i) there being no total profits, or

(ii) total profits which are less than the amount of dividend which it declared, whether or not the recipient of the dividend is a Nigerian company, the company paying the dividend shall be charged to tax at the rate prescribed in section 56 of this Act (rates of tax for companies) as if the dividend is the total profits of the company for the year of assessment to which the accounts, out of which the dividend is declared, relates.

(b) The provisions of (a) above shall not apply to

(i) dividends declared out of the retained earnings of a company, to the extent that the profits or gains included in the retained earnings have been taxed under the provisions of this Act;

(ii) dividends declared out of profits or gains that are exempt from income tax by this Act;

(iii) franked investment income as provided in this Act; or

(iv) distributions made by a real estate investment company to its shareholders from rental income and dividend income received on behalf of those shareholders, whether such dividends are paid out of profits of the year in which the dividend is declared or out of profits of previous reporting periods.

4.8.6 Assessments based on undistributed profits treated as distributed - section 10 of NTA

(a) A Nigerian company controlled by not more than five individuals which has not distributed to its shareholders as dividend, profits made in any period for which accounts have been made up by such company, the Service may direct that the proportion of the profits of the company, which could have been distributed without detriment to the company's business, be construed as distributed.

(b) The gross amount of profits construed as distributed under (a) above shall constitute a taxable income in the hand of individual shareholders of the company in proportion to their shareholdings in the ordinary capital of the company on the day of the deemed distribution.

(c) Any direction by the Service under this section shall be made in writing, and be served on the company, and shall specify the:

(i) the day to be taken for the purposes of this section;
(ii) the gross amount of those profits so deemed to be distributed;
(iii) the rate applied for the deduction at source, being the rate prescribed by Nigeria Tax Administration Act; and
(iv) the net amount after the deduction at source.

(d) For the purposes of this section, the Service may give notice to any company, which it has reason to believe is controlled by not more than five individuals, requiring it to supply, within such time as contained in such notice, full particulars of its shareholders.

(e) In the case of a limited liability partnership, all the profits of the partnership shall be deemed as distributed, and taxable income, proportionately, in the hands of the respective partners.

(f) Any direction made by the Service under this section with respect to the profits of any accounting period of a company shall be made not later than three years after the receipt by the Service of the duly audited accounts of the company for that period.

(g) A company in respect of which a direction is made under this section, has the right of appeal in accordance with Chapter Four of Nigeria Tax Administration Act, 2025.

4.8.7 Assessments to be final and conclusive - section 43 of NTAA

(a) Where:
(i) a company does not lodge a valid objection or appeal within the time stipulated under this Act, (30 days of receiving an assessment) against an assessment as regards the amount of the total income or profits assessed;
(ii) the amount of the total income or profits has been agreed to;
(iii) the amount of such total profits has been determined on objection or revised; or
(iv) the assessment as made, has been agreed to, revised or determined on appeal; such assessment shall be **final and conclusive** for all purposes of this Act as regards the amount of such total profits.

(b) Where the full amount of tax in respect of any final and conclusive assessment is not paid within 30 days, the provisions relating to the recovery of tax, and to any penalty, shall apply to the collection and recovery.

(c) The provision in (b) above, shall be subject only to the set-off of the amount of any tax repayable under any claim, made under the relevant provisions of this Act which has been agreed to by the relevant tax authority or determined on any appeal against a refusal to admit any such claim.

(d) No provisions of this Act shall prevent the tax authority from making any assessment or additional assessment for any year which does not involve re-opening any issue on the same facts, which has been determined for that year of assessment by agreement or on appeal.

4.8.8 Errors and defects in assessment and notice -section 42 of NTAA

(a) Any assessment, notice, warrant or other proceeding purporting to be made in accordance with this Act, shall not be invalidated for want of form or be affected by reason of a mistake, defect or omission, if the:
(i) substance and effect of the assessment is in conformity with the provisions of this Act; and
(ii) company assessed or intended to be assessed or affected is designated according to common intent and understanding.

(b) An assessment shall not be invalidated or affected by reason of:
(i) a mistake as to the:
- name of a company liable or of a person in whose name a company is assessed,
- the description of any profits, or
- amount of the tax charged; or

(ii) any variance between the assessment and the notice, if in cases of assessment, the notice
- is duly served on the company intended to be assessed or on the person in whose name the assessment was to be made; and
- contains, in substance and effect, the particulars on which the assessment is made.

4.8.9 Artificial transactions - section 46 of NTAA

(a) Where a relevant tax authority is of the opinion that any disposition is not in fact given effect to or that any transaction which reduces or would reduce the amount of any tax payable is artificial or fictitious, it may disregard any such disposition or direct that such adjustments be made, as regards liability to tax, as it considers appropriate so as to counteract the reduction of liability to tax affected, or reduction which would be affected by the transaction and any taxable person concerned shall be assessed accordingly.

(b) Transactions between persons who are connected shall be deemed to be artificial or fictitious if in the opinion of the relevant tax authority those transactions have not been made on terms which might fairly have been expected to have been made by persons engaged in the same or similar activities dealing with one another at arm's length.

(c) A person in respect of which any direction is made under this section shall have a right of appeal as if such direction were an assessment under this Act.

(d) The relevant tax authority may issue guidelines or regulations for the purpose of specifying rules for the taxation of connected persons, transactions that are not at arm's length, or for the purpose of implementing other provisions of this section.

(e) In this section, "disposition" includes any trust, grant, covenant, agreement or arrangement.

4.8.10 Liability of manager or principal officer - section 45 of NTAA

A manager or principal officer of a company shall be liable for doing all such acts, matters and things as are required to be done by virtue of this Act for the assessment of the company and payment of the tax.

Based on the provision of section 52 of NTAA, a manager or agent answerable for payment of tax on behalf of a taxable person:

(a) may retain out of any money received on behalf of the taxable person so much as shall be sufficient to pay the tax; and
(b) is indemnified against any person for all payments made.

4.8.11 Company wound up - section 53 of NTAA

(a) In the process of liquidating a company, the liquidator of the company shall not distribute any of the assets of the company to the shareholders unless provision has been made for the payment in full of any tax which may be found payable by the company, including any tax deductions made by the company under any law in effect in any part of Nigeria.
(b) Where tax is not paid in accordance with the provision of this section or any other law, the liquidator shall be personally liable.

4.9. Collection procedure

4.9.1 Service of notice of assessment - section 40 of NTAA

The relevant tax authority can serve on, or send by registered post, courier service or electronic means to each taxable person, or person in whose name a taxable person is chargeable, a notice of assessment in respect of any tax charged, including the place at which payment should be made, and setting out the rights of that person to apply to the relevant tax authority for the revision and amendment of the assessment made upon it.

4.9.2 Currency of assessment and payment - section 39 of NTAA

Income tax charged on a company shall be paid in the currency of the transaction, that is, the currency in which the income that gives rise to the tax was derived and paid to the company. If a company's transactions are in a foreign currency, tax shall be payable in that currency.

4.9.3 Tax refund - section 55 of NTAA

(a) Taxpayers shall be entitled to a refund after an audit by the relevant tax authority, such overpayment or any excess of tax as is due.
(b) The relevant tax authority is empowered to make such rules and conditions necessary to facilitate the refund mentioned in (a) above.
(c) Any tax refund due shall be made within 90 days of the decision of the relevant tax authority made under (b) above, with the option of a set-off against any tax liability of the taxpayer.
(d) For the purpose of tax refund, the Accountant-General of the Federation or of a State shall open a dedicated account for each tax-type into which shall be paid money for settling tax refunds.

(e) For the purpose of (d) above, the relevant tax authority shall provide the Accountant-General of the Federation or of a State an estimate of the amount to be set aside for tax refunds.

(f) The dedicated accounts created under (d) above, shall, be administered by the relevant tax authority and be funded from the respective accounts of Government into which revenue of each tax-type is remitted.

(g) No claim for refund of tax under this section shall be allowed unless it is made in writing within six years after the end of the year of assessment to which it relates.

4.9.4 Transfer of tax revenue for refund - section 82 of NTAA

(a) The relevant tax authority, shall, not later than seven days after the end of each month, furnish the Accountant-General of the Federation or Accountant-General of the State with the schedules containing the summary of taxes collected, and tax refund claims.

(b) Notwithstanding the provisions of any other law, the Accountant-General of the Federation or of a State shall, before the distribution of tax revenue, deduct an amount equal to the total tax refund claims compiled by the relevant tax authority from the gross revenue realised from tax and remit same to the respective tax refund accounts opened under section 55(4) of this Act.

(c) The relevant tax authority must, not later than seven days after the end of each month, submit to the Accountant-General of the Federation or of a State, a reconciliation schedule of -

(i) the amount received into the tax refund account;

(ii) the total tax refund claims paid; and

(iii) any amount standing to the credit of the respective Tax Refund Accounts.

(d) The Accountant-General of Federation or of a State may use the amount standing to the credit of a tax refund account at the end of a month to reduce the amount required for tax refund claims in a subsequent month.

4.10 Enforcement procedures

Where a company has failed to pay any company's income tax assessed on it, the NRS is empowered to either enforce payment or recover the tax due, through any of the methods stipulated in the NTAA.

4.10.1 Call for returns, books, documents, and information - section 57 of NTAA

(a) In the process of obtaining information in respect of the tax liability of a taxable entity or for performing any function conferred on the relevant tax authority by this Act or any other tax law, the relevant tax authority may give notice or further notice to any taxable entity to:

(i) complete and deliver to the tax authority any return specified in such notice or further notice, whether or not the person is liable to pay tax, and whether or not a return had been previously filed under this Act for a year of assessment;

(ii) appear personally before an officer of the tax authority for examination with respect to a matter to which such notice or further notice relates;

(iii) produce or cause to be produced for examination, books, documents, records or information relating to any assets, at the place and time stated in the notice or further notice, which time may be from day-to-day, or for such period as the tax authority may deem necessary;

(iv) provide orally or in writing, any information specified in such notice or further notice; and

(v) grant the tax authority access to records, data or information stored or residing in computers or other electronic devices, including magnetic media or cloud computing facilities maintained, operated, controlled or owned by the individual, company or person.

(b) The time specified in the notice or further notice under (a) above shall not be less than seven days from the date of service.

(c) The tax authority shall not be precluded from verifying, by tax audit or investigation, any matter relating to a return or entry in a book, document, accounts, including those stored on a computer, cloud computing facilities, in digital, magnetic, optical or electronic media as may be specified in any guideline by the relevant tax authority.

(d) A taxable entity may apply in writing to the relevant tax authority for an extension of time within which to comply with the provisions of this section, and other relevant provisions of this Act, provided that the taxable entity:

(i) makes the application before the expiration of the time stipulated in the notice or further notice; and

(ii) shows good cause for inability to comply with this provision.

(e) If the relevant tax authority is satisfied with the cause shown in the application under d(ii) above, it shall, in writing, grant the extension of the time or limit the time as it may consider appropriate.

(f) Any return or information delivered under this section shall be accompanied by a declaration or an attestation stating that the information supplied is true and correct.

4.10.2 Power to assess lands, buildings, books and documents - section 58 of NTAA

(a) Despite anything to the contrary in any other enactment or law, an authorised officer of the relevant tax authority shall at all reasonable times have free access to all land, buildings, places, books and documents, in the custody or under the control of a person, public officer, or institution, for the purpose of inspecting the books or documents including those stored or maintained in computers, servers, billing systems or on digital, magnetic, optical or electronic media, and any property, process or matter which the officer considers necessary or relevant for the purpose of collecting any tax under any of the relevant enactments or law.

(b) Where the hard copies of any of the books or documents mentioned in (a) above are not immediately available because they are stored in a computer, servers, billing system or on digital, magnetic, optical or electronic media, the relevant tax authority shall take immediate possession of such removable media and the related removable equipment or computer used to access the stored documents

on the media in order to prevent the accidental or intentional destruction, removal or alteration of records and documents, especially where such may be needed as potential evidence in investigation or criminal proceedings.

(c) Where the relevant tax authority is able to obtain in place of taking physical possession of such equipment, computer or storage media under (b) above, and the relevant tax authority possesses the ability, equipment and computer software to make exact duplicate copies of all information stored on the computer hard drive and preserve all the information exactly as it is on the original computer, the relevant tax authority shall make such copy and use it as digital evidence during investigation or criminal proceedings.

(d) The occupier of a land, building or place that is entered or proposed to be entered by an authorised officer, shall:

(i) provide the officer with all reasonable facilities and assistance for the effective exercise of powers under this section; and

(ii) answer questions relating to the exercise of the powers under this section orally, or if required by the authorised officer, in writing or by statutory declaration.

(e) In spite of (a) above, the authorised officer shall not enter any private dwelling except with the consent of an occupier or pursuant to an authorisation issued under (f) below.

(f) A judicial officer upon an application by an officer of the relevant tax authority may authorise the officer by warrant to enter into any premises.

(g) Every authorisation issued under (f) above, shall:

(i) be in the form prescribed in the Second Schedule to this Act;

(ii) be directed to a named officer of the tax authority;

(iii) be valid for a period of three months from the date of its issue or such lesser period as the judicial officer considers appropriate;

(iv) state its period of validity, or the date on which it expires; and

(v) be renewable by the judicial officer on application.

(h) An officer exercising the power of entry conferred by an authorisation issued under (f) above shall produce the written authorisation and evidence of identity:

(i) on first entering the private dwelling; and

(ii) whenever subsequently reasonably required to do so.

4.10.3 Power to remove books and documents - section 59 of NTAA

(a) An officer of the relevant tax authority can remove and make copies of books or documents or any item accessed under section 58 of this Act (power to assess lands, buildings, books and documents), under the authority of the Chief Executive Officer.

(b) Any copy of the books or documents removed shall be made, and the books or documents returned as soon as practicable.

(c) A copy of a book or document or digital evidence certified by or on behalf of the Chief Executive Officer of the relevant tax authority is admissible in evidence in court as if it were the original.

(d) The owner of a book or document or any item that is removed under this section is entitled to inspect and obtain a copy of the book or document at the expense of the owner, at the premises to which the book or document is moved to,
(i) at the time the book or document is moved to the premises; and
(ii) at reasonable times subsequently.

(e) A person shall bear any cost incurred for the purpose of removing any book, information, document or item under (a) above.

(f) Where an officer removes any book, documents or items he shall provide the owner with a written receipt containing the description of the books, documents or items removed and the location and time of removal.

4.10.4 Power to distrain - section 61 of NTAA

(a) Where an assessment has become final and conclusive and a demand notice has been served on a person or company, or on the person or company in whose name that person is chargeable and the payment of the tax is not made within the time specified by the demand notice, the relevant tax authority may in the prescribed form, for the purpose of enforcing payment of the tax due:
(i) distrain that person or corporate body by their goods, chattels, bonds or other securities; or
(ii) distrain any land, premises, place or any asset in respect of which that person or corporate body is the owner, and recover the amount of tax due by sale of anything so distrained.

(b) The authority to distrain under this section shall be in the form contained in the Third Schedule to this Act and such authority shall be sufficient warrant and authority to levy by distrain the amount of any tax due.

(a) Assets distrained by the Service under this section may, at the cost of that person or corporate body, be kept for 14 days and at the end of that time if the amount due in respect of the tax, cost and charges incidental to the distrain are not paid, they may, subject to (e) below, be sold only with an order of the High Court subject to (f) below.

(b) Assets distrained by any other relevant tax authority under this section may at the cost of that person or corporate body, be kept for 14 days and at the end of that time if the amount due in respect of the tax, cost and charges incidental to the distrain are not paid, they may, subject to (f) below, be sold, only with an order of the High Court subject to (g) below.

(e) Where there is a sale in accordance with (d) above, a part of the proceeds of such sale shall, in the first instance, be used to pay the cost of keeping and all expenses incidental to the sale of the asset so distrained, the amount due in respect of the tax shall be paid.

(f) The balance of the proceeds, if any, shall be refunded to that person with or without a demand made within 90 days of the date of the sale.

(g) The provision of this section shall not be construed to authorise the sale of any immovable property without an order of a High Court or as prescribed by the rules of court.

(h) In exercise of the powers of distrain conferred by this section, the person to whom the authority is granted under (c) above, may distrain all assets, goods, chattels and effects belonging to the debtor wherever the same may be found.

(i) This provision shall also apply in the case of recovery relating to tax evasion and proceeds of crime where the offender cannot be found.

4.10.5. Enforcement of powers - section 62 of NTAA

(a) The relevant tax authority may request the assistance of any of the law enforcement agencies in the discharge of its duties under this Act.

(b) The law enforcement officers shall aid and assist an authorised officer in the execution of any warrant of distrain and the levying of distrain.

(c) Any tax officer armed with the warrant issued by a judicial officer and accompanied by law enforcement officers, as may be determined by the Chief Executive Officer of the relevant tax authority, shall:
   (i) enter any premises covered by such warrant and search for, seize and take possession of any book, document or other article used or suspected to have been used in the commission of an offence including the property or asset;
   (ii) inspect, make copies of or take extracts including digital copies from any book, record, document or computer, regardless of the medium used for their storage or maintenance;
   (iii) for the purpose of c (i) and (ii), the taxpayer shall provide passwords, access codes and other relevant information required to access the books, records, documents or computers.
   (iv) search any person who is in or on such premises;
   (v) open, examine and search any article, container or receptacle;
   (vi) open any door or window of a premises and enter or otherwise forcibly enter the premises and every part of the premises; or
   (vii) remove by reasonable force any obstruction to such entry, search, seizure or removal.

(d) A person shall not be bodily searched under this section except by a person who is of the same gender as the person to be bodily searched.

4.10.6 Power of substitution - section 60 of NTAA

(a) The relevant tax authority can, by notice in writing, appoint any person to be the agent of a taxable person, where:
   (i) any tax has become due and payable and the taxable person has refused or failed to pay; or

(ii) the agent appointed is in possession or is expected to be in possession of the money, funds or assets of the taxable person.

(b) The agent appointed under (a) above, shall be required to pay any tax payable by the taxable person from any money, funds or asset of the person which may be held by the agent of the person.

(c) Where the agent referred to in (b) above defaults, all such enforcement and recovery actions, including the power to distrain the money, funds or asset of the person shall apply as if the agent so appointed were originally liable.

(d) For the purpose of this section, the relevant tax authority may require any person to give information as to money, funds or other assets which may be held for, or due to any person.

(e) The provisions of this Act with respect to objections and appeals shall apply to any notice given under this section as if such notice were an assessment or demand notice.

4.10.7 Remission of penalty - section 66 of NTAA

The relevant tax authority must, for any good cause shown, remit the whole or any part of penalty or interest due under this Act or any other tax law, and make a monthly report to the Minister or Commissioner responsible for finance containing details of the taxpayers, circumstances and the amounts waived.

4.10.8 Recovery of tax - section 67 of NTAA

(a) Without prejudice to any other provision of this Act or any other relevant law, any tax due shall constitute a debt due to the relevant tax authority.

(b) Where the tax due is not paid within 30 days, the relevant tax authority may issue demand notice for the payment of the tax plus the penalty and interest due.

(c) Where the tax plus the penalty and interest is not paid on the date indicated in the notice, the relevant tax authority may exercise any of the powers under this Act for the recovery of the amount due, including by a legal action brought against the taxable person.

(d) Where any tax has been:
   (i) under-assessed, the taxable person who should have paid the amount under-assessed, shall on demand by the relevant tax authority, pay the amount under-assessed; or
   (ii) erroneously repaid, the taxable person to whom the repayment has erroneously been made, shall on demand by the relevant tax authority, pay the amount erroneously repaid.

(e) The amount referred to in (a) above, may be recovered by the relevant tax authority as if it were tax to which a person to whom the amount was so under-assessed or erroneously repaid were liable.

(f) The relevant tax authority shall not make any demand after six years from the date of under-assessment or erroneous repayment, unless the under-assessment or erroneous repayment was caused by the production of a document or the making of a statement which was found to be untrue.

4.10.9 Assignment of tax debts -section 68 of NTAA

(a) The relevant tax authority may assign outstanding tax debts, in whole or in part, to an accredited third party who shall assume responsibility for recovering the tax debts in accordance with the provisions of this Act or regulations issued by the Service.

(b) The relevant tax authority shall only assign outstanding tax debts to a third party where -

(i) all legal steps for tax debt recovery under this Act have been exhausted, including notifications, payment demands and enforcement actions; and
(ii) the debt to be recovered is deemed to be of significant value and has been outstanding for a period considered appropriate by the relevant tax authority.

(c) A taxpayer whose debt is assigned to a third party shall be notified in writing, the details of the third party responsible for recovering the tax debt.

(d) Notwithstanding (a) above, the relevant tax authority may reverse the assignment of the tax debt at any time and resume responsibility for recovery, where necessary.

(e) For the purposes of this section:
"third party" includes banks and other financial institutions, debt recovery practitioners or any other person accredited by the relevant tax authority; and
"assign" includes the transfer of the rights to recover a tax debt, including the sale or delegation of the authority to recover, manage and enforce the debt, in whole or in part.

4.10.10. Power to pay reward - section 69 of NTAA

(a) The relevant tax authority may pay a reward to any person, not being a person employed or a person related to the person employed in the relevant tax authority, in respect of any information which may be of assistance to it in the performance of its duties under this Act on such conditions and quantum of reward as may be determined by the relevant tax authority.

(b) The identity of the person who gave information to the relevant tax authority shall be kept confidential and any person that discloses the identity of such person shall be dealt with in accordance with the provisions of section 114 of this Act (offence by persons authorised and unathorised persons to employed in connection with assessment and collection of tax).

(c) The tax authority may partner with a relevant agency to verify the information supplied and such verification shall not compromise the identity of the person referred to in (a) above.

4.11 Service of notice of assessment - section 40 of NTAA

The relevant tax authority can serve on, or send by registered post, courier service or electronic means to each taxable person, or person in whose name a taxable person is chargeable, a notice of assessment in respect of any tax charged, including the place at which payment should be made, and setting out the rights of that person to apply to the relevant tax authority for the revision and amendment of the assessment made upon it.

4.12 Offences and penalties

4.12.1 Failure to pay tax on due date - section 65 of NTA

(a) Subject to section 67 of this Act (recovery of tax), where any tax is not paid within the period (within 30 days) prescribed under this Act:

(i) a sum equal to ten percent of the amount of the tax payable shall be added thereto, and the provisions of this Act relating to the collection and recovery of tax shall apply to the collection and recovery of the sum;

(ii) in the case of naira remittances, the tax due shall carry interest at the prevailing monetary policy rate of the Central Bank of Nigeria plus spread to be determined by the Minister from the date when the tax becomes payable until it is paid, and the provisions of this Act relating to collection and recovery of tax shall apply to the collection and recovery of the interest; and

(iii) in the case of foreign currency remittance, the tax due shall incur interest at the prevailing Secured Overnight Financing Rate ("SOFR") or any successor rate, plus spread to be determined by the Minister from the date when the tax becomes payable until it is paid, and the provisions of this Act relating to collection and recovery of tax shall apply to the collection and recovery of the interest.

(b) The relevant tax authority shall serve a demand notice upon the company or person in whose name a tax is chargeable and where payment is not made within 30 days from the date of the service of such demand notice, the relevant tax authority may proceed to enforce payment under this Act.

(c) The penalty and interest imposed under this subsection shall not be deemed to be part of the tax paid for the purpose of claiming relief under any of the provisions of this Act or any other tax law.

4.12.2 Failure to grant access for the deployment of technology - section 103 of NTAA

A person who refuses to grant access to the relevant tax authority to deploy technology after 30 days of receipt of the notice under this Act, is liable to an administrative penalty of ₦1,000,000.00 for the first day of default and ₦10,000.00 for each subsequent day of default.

4.12.3 Failure to use the focalization system - section 104 of NTAA

A taxable entity that fails to process a taxable supply through the focalization system is liable to an administrative penalty of ₦200,000 plus 100% of the tax due and an interest at the prevailing Central Bank of Nigeria Monetary Policy rate per annum.

4.12.4 Failure to deduct tax - section 105 of NTAA

A person who is obligated to collect, deduct, or withhold tax under the relevant tax laws and fails to do so is liable to an administrative penalty equal to 40% of the amount not deducted.

4.12.5 Failure to make attribution - section 106 of NTAA

A person who is required to make attribution but fails to do so or having done so, fails to notify the relevant tax authority, is liable to pay an administrative penalty of ₦1,000,000.

4.12.6 Failure to attend to demands, requests, or notices - section 108 of NTAA

(a) A person who:

(i) fails to comply with the requirements of a notice served under this Act or any other tax law;

(ii) fails to attend or provide answers to a notice, summons or process served under this Act or any other tax law; or

(iii) having attended, fails to answer any question lawfully put to him, is liable to an administrative penalty of ₦100,000.00 in the first day of default and ₦10,000 for every subsequent day where the default continues.

(b) A person who fails or refuses to supply information, documents, or records as demanded or requested for by an authorised officer relating to any tax issue under this Act or any other tax law within the time provided under this Act or any other tax law, is liable to an administrative penalty of ₦200,000 in the first day of default and ₦10,000 for each subsequent day where the refusal continues.

(c) A person who fails or refuses to comply with obligations to submit information relating to a legal arrangement or other obligations as may be prescribed by notice, rules, regulations, guidelines, or circulars issued by the Service or any other relevant tax authority, is liable to an administrative penalty of ₦1,000,000 for the first day of default, in addition to ₦10,000.00 for each subsequent day in which the failure continues, or any other administrative penalty as may be specified in such notice, rules, regulations, guidelines, or circulars.

4 .12.7 Failure to notify change of address - section 112 of NTAA

A taxable entity that fails to notify the relevant tax authority of any change of address within 30 days of such change, gives a wrong address, or fails to comply with the requirement for notification of permanent cessation of trade or business under the relevant tax laws shall be liable to an administrative penalty of —

(a) ₦100,000 for the first month in which the failure occurs; and

(b) ₦50,000 for each subsequent month the failure continues.

4 12.8 Offence by authorized and unauthorized persons - section 114 of NTAA

A person, whether or not appointed for the administration of this Act, any other tax law, or employed in connection with the assessment and collection of a tax, who:

(a) demands or accepts any gratification from a taxable person in the performance of his functions under this Act or any other tax law,

(b) withholds for his own use or otherwise any portion of the amount of tax collected,

(c) renders a false return, whether orally or in writing, of the amount of tax collected

or received by him,

(d) defrauds any person, embezzles money or otherwise uses his position to deal wrongfully with the relevant tax authority,

(e) steals or misuses the documents of the relevant tax authority, or

(f) compromises on the assessment or collection of any tax, commits an offence and is liable on conviction to a fine equivalent to 200% of the sum in question or imprisonment for a term not exceeding three years or to both fine and imprisonment.

4.12.9 Inducement of an authorised officer - section 115 of NTAA

A person who makes an attempt to induce, influence or entice an authorised officer in order to obtain any tax benefit in the course of duty, commits an offence and is liable on conviction to:

(a) in the case of an individual, a penalty of ₦500,000.00; and

(b) in the case of a body corporate, a penalty of ₦2,000,000.00 or to imprisonment for a term not exceeding 3 years or to both fine and imprisonment, in addition to paying the tax due.

4.12.10 Use of weapon - section 116 of NTAA

(a) A person who, in the commission of an offence under this Act, is armed with any offensive weapon is liable on conviction to imprisonment for a term not exceeding five years.

(b) A person who, while armed with an offensive weapon, causes injury to any officer or authorised officer of the relevant tax authority in the performance of any function or duty under this Act, is liable on conviction to imprisonment for a term not exceeding 10 years.

4.12.11 Impersonation of an authorised officer - section 117 of NTAA

Any person who is not an authorised officer, but assumes the name, designation or impersonates the character of an authorised officer, for any purpose under this Act or any other tax law, is liable on conviction to a fine not exceeding ₦1,000,000.00 or to imprisonment for a term not exceeding three years or both.

4 .12.12 Aiding and abetting commission of offence - section118 of NTAA

An officer of the relevant tax authority or any other person who aids, abets, incites or induces the commission of any of the offences under this Act, is liable on conviction to a fine of ₦1,000,000.00 or imprisonment for a term not exceeding three years or both the fine and imprisonment.

4 .12.13 Obstruction - section 119 of NTAA

A person who:

(a) obstructs, hinders, molests or assaults any person or authorised officer in the performance of any function or the exercise of any power under this Act;

(b) does anything which impedes or is intended to impede the carrying out of a search, seizure, removal or distrain;

(c) rescues, damages or destroys anything liable to seizure, removal or distrain;

(d) does anything intended to prevent the procuring or giving of evidence as to whether or not anything is liable to seizure, removal or distrain; or

(e) prevents the arrest of any person by an authorised person duly engaged or acting or rescues any person so arrested is:

(i) liable to an administrative penalty of ₦1,000,000.00; and
(ii) on conviction to a fine not exceeding ₦1,000,000.00 or imprisonment for a term not exceeding three years or to both fine and imprisonment.

4.12.14 Unauthorised disclosure - section 120

Except as provided under this Act, any other law or any enabling agreement or arrangement on exchange of information or as otherwise authorised by the Minister:

(a) a member or former member of the Board of the relevant tax authority;
(b) an employee or former employee of the tax authority; or
(c) an agent or any person, who communicates or attempts to communicate taxpayer information or information considered confidential to any person other than to a person legally authorised to receive such information or misuses the information is liable on conviction to a fine not exceeding ₦1,000,000.00 or to imprisonment for a term not exceeding three years or both.

4.12.15 False claim of tax refund - section 121 of NTAA

(a) A person that receives a refund under section 55 of this Act, through a false or fictitious claim, is in addition to the recovery of the amount so received, liable to a penalty of 50% of that amount, plus interest at the prevailing Central Bank of Nigeria Monetary Policy Rate.

(b) The provision in (a)above, shall not be construed as preventing the relevant tax authority from prosecuting that person in accordance with the relevant provisions of this Act.

4.12.16 False declaration - section 124 of NTAA

(a) A person that makes or signs, or causes to be made or signed, delivers or causes to be delivered to the relevant tax authority or any of its officers, any declaration, notice, certificate or other document being a document or statement produced or made for any purpose of tax, which is untrue, is liable:
(i) to an administrative penalty of ₦1,000,000 in addition to the payment of the tax undercharged or not charged in consequence of the false declaration, plus payment of the amount of tax unpaid or over payment made in respect of any repayment; or
(iii) on conviction to a fine of ₦1,000,000 or to imprisonment not exceeding three years or both in addition to payment of the amount of tax unpaid or over payment made in respect of any repayment.

(b) A person that makes any statement in answer to any question or enquiry put to him by an officer which he is required to answer by or under this Act or any other law, being a document or statement produced or made for any purpose of tax, which is untrue, is liable:
(i) to an administrative penalty of ₦1,000,000.00 in addition to the payment of the tax undercharged or not charged in consequence of false declaration, plus payment of the amount of tax unpaid or over payment made in respect of any repayment; or

(ii) upon conviction, to a fine of ₦1,000,000.00 or to imprisonment not exceeding three years or both in addition to payment of the amount of tax unpaid or over payment made in respect of any repayment.

4 12.17 Counterfeiting documents - section 125 of NTAA

A person that:

(a) counterfeits or falsifies any document which is required by or for the transaction of any business under this Act or any other relevant tax law;
(b) knowingly accepts, receives or uses any document so counterfeited or falsified;
(c) alters any such document after it is officially issued; or
(d) counterfeits any seal, signature, initial or other mark of, or used by, any officer for the verification relating to tax, is liable to an administrative penalty of N1,000,000.00 and on conviction, to imprisonment not exceeding 3 years or fine of ₦1,000,000 .00 or to both such fine and imprisonment.

4.12.18 Offence by a body corporate section 126 of NTAA

Where an offence under this Act is committed by a body corporate, firm, trust, association of individuals or any other legal arrangement:

(a) a director, manager, secretary or other similar officer of the body corporate;
(b) a partner or officer of the firm;
(c) trustees, settlors, beneficiaries or any person involved in the management of the trust;
(d) a person concerned in the management of the affairs of the association or legal arrangement; or
(e) a person who acts or purports to act in any of the above capacities, is liable to be proceeded against and punished for the offence in like manner as if the person committed the offence, unless that person proves that the act or omission constituting the offence took place without the knowledge, consent or connivance of the person.

4.12.19 General penalty - section 127 of NTAA

Any person who contravenes the provisions of this Act for which no specific penalty was provided, commits an offence and he is liable:

(a) to an administrative penalty of ₦1,000,000; or
(b) on conviction, to imprisonment for a term not exceeding three years or to a fine or both.

4.13 Chapter review

In this chapter, the need for incorporated companies to file annual tax returns, the nature and composition of such returns, as well as the time limits prescribed by the Act, for filing the returns are discussed.

This chapter also discussed in detail, assessment and collection procedures, including the time limit for the payment (depending on the basis of assessment), currency of payment, penalties for late payment and Revenue authority's enforcement procedures.

4.14 Worked examples

4.14.1 Questions

(1) The powers to assess the incomes of corporate organisations to taxes are vested in Nigeria Revenue Service as entrenched in Nigeria Tax Administration Act, 2025.

To comply with the statutory provisions, corporate organisations are required to file tax returns within a specified period of time to the relevant tax authority.

Required:
Highlight the:

(a) Documents/information required to be forwarded to the relevant tax authority when registering with the nearest integrated tax office
(b) Time lag for filing the first set of returns and subsequent ones
(c) Penalty for late filing of returns at the due dates

(2) Not all assessments raised on a company by the NRS are final and conclusive.

Required:

Explain when an assessment becomes final and conclusive.

(3) The self-assessment system was introduced with effect from January 1, 1996, to run parallel and in conjunction with the existing government assessment for both individual and corporate taxpayers.

Required:

Explain the operation of self-assessment system and its benefits.

(4) When a company has filed a self-assessment return, comprising its audited accounts and tax computations, after the due date, the NRS may raise a penalty.

Required:
Explain the penalty for late payment of tax.

4.12.2 Suggested solutions to questions

(1) (a) Corporate organisations are required by law to file tax returns to Nigeria Revenue Service. The returns must be submitted to the integrated tax office nearest the business's registered address.

(i) Limited liability companies
Every limited liability company registering with the NRS for tax purposes is required to submit two letters of registration – one for income

tax and the other for VAT.

The **registration letter for income tax** shall disclose the following information
on the company:

- name of the company;
- registered office;
- business address;
- precise nature of business;
- date of commencement of business;
- accounting date
- name and address of bankers;
- particulars of major shareholders;
- particulars of directors;
- name and address of auditors; and
- name and address of tax representative.

Also, the registration letter shall be accompanied by the following documents:

- copy of certificate of incorporation (original for sighting);
- CTC of memorandum and articles of association;
- copy of status report or Form CAC 2 and CAC 7 or Form CAC 1.1;
- recent utility bill of business address;
- company stamp or seal; and
- the completed taxpayer registration input form for companies.

The **registration letter for VAT** shall be accompanied by the following documents:

- completed copy of VAT form 001, that is, VAT registration form,
- duly signed by authorised company's representative; and
- certificate of incorporation.

(ii) Business names

A business name is required to register for VAT purposes as follows:

- submit an application for VAT registration on the firm's letterhead;
- addressed to the Tax Controller of the nearest office of NRS;
- complete all registration forms given (VAT and input forms);
- provide a copy of certificate of registration and Form CAC/BN/A1 and submit the originals for sighting;
- recent utility bill; and
- business stamp or seal to be applied on the NRS' forms given

(b) The time lag for filing the first set of returns and subsequent ones:

(i) First set of returns within 18 months from the date of incorporation or 6 months after the end of its first accounting period, whichever is earlier.

(ii) Subsequent returns within 6 months from the accounting year end of the business entity.

(c) Penalty for late filing of returns on the due dates:

Section 101 of NTAA, makes provision for payment of penalty by any company that fails to comply with the requirements for filing of tax returns.
A defaulting company shall pay:

(i) ₦ 100,000 in the first month in which it fails to file its annual returns; and

(ii) ₦ 50,000 for each subsequent month in which the failure continues.

(2) Assessments to be final and conclusive - section 43 of NTAA

(a) Where:

(i) a company does not lodge a valid objection or appeal within the time stipulated under this Act, (30 days of receiving an assessment) against an assessment as regards the amount of the total income or profits assessed;

(ii) the amount of the total income or profits has been agreed to;

(iii) the amount of such total profits has been determined on objection or revised; or

(iv) the assessment as made, has been agreed to, revised or determined on appeal; such assessment shall be **final and conclusive** for all purposes of this Act as regards the amount of such total profits.

(b) Where the full amount of tax in respect of any final and conclusive assessment is not paid within 30 days, the provisions relating to the recovery of tax, and to any penalty, shall apply to the collection and recovery.

(c) The provision in (b) above, shall be subject only to the set-off of the amount of any tax repayable under any claim, made under the relevant provisions of this Act which has been agreed to by the relevant tax authority or determined on any appeal against a refusal to admit any such claim.

(d) No provisions of this Act shall prevent the tax authority from making any assessment or additional assessment for any year which does not involve re-opening any issue on the same facts, which has been determined for that year of assessment by agreement or on appeal.

(3) Self-assessment system in Nigeria (section 34 of NTAA) and its benefits

(a) The self-assessment is a system of tax administration in which the taxpayer is granted the right, by law, to compute his own tax liability, submit his return with the relevant tax authority, pays the tax due and file his tax returns with evidence of payment of the tax paid on or before the due date.

(b) A taxpayer who has submitted a self-assessment return in the prescribed form for a reporting period is deemed to have assessed the amount of tax payable, including a negative or nil amount, for the reporting period to which the return relates.

(c) When a taxpayer completes and submits a tax return in the approved form electronically, it is a self-assessment notwithstanding that:
   (i) the form contains pre-entered information supplied by the tax authority; and
   (ii) an estimate of the tax payable is computed electronically as information is being entered into the form.

(d) Where a taxable person has delivered a tax return, the relevant tax authority may:
   (i) accept the tax return without making an additional assessment;
   (ii) accept the tax return and make additional assessment; or
   (iii) reject the tax return and, to the best of its judgement, determine the amount of the tax due from the taxable person and make an assessment accordingly.

(e) Where the taxable person fails to declare the true and correct amount of income or tax payable in its self-assessed tax returns, the taxable person is liable to pay any outstanding tax from the due date of the returns.

(f) The outstanding tax shall be subject to penalty and interest, in accordance with the provisions of this Act or other relevant tax law from the date the return becomes due.

Benefits of a self-assessment system include:

a) Improved tax compliance: self-assessment encourages taxpayers to take responsibility for their tax obligations, leading to improved compliance.
b) Reduced administrative burden: the FIRS reduces its administrative burden, as taxpayers compute and report their own tax liabilities.
c) Increased transparency: self-assessment promotes transparency, as taxpayers are required to disclose their financial information.
d) Efficient tax collection: self-assessment enables the FIRS to collect taxes efficiently, as taxpayers pay their tax liabilities directly.
e) Reduced tax evasion: self-assessment helps reduce tax evasion, as taxpayers are more likely to report their true income and pay the correct amount of tax.
f) Improved taxpayer education: self-assessment educates taxpayers about their tax obligations and encourages them to seek professional advice, when needed.

4. Penalty for late payment of tax - section 65 of NTAA

(a) Subject to section 67 of this Act (recovery of tax), where any tax is not paid within the period (within 30 days) prescribed under this Act:

(i) a sum equal to ten percent of the amount of the tax payable shall be added thereto, and the provisions of this Act relating to the collection and recovery of tax shall apply to the collection and recovery of the sum;

(ii) in the case of naira remittances, the tax due shall carry interest at the prevailing monetary policy rate of the Central Bank of Nigeria plus spread to be determined by the Minister from the date when the tax becomes payable until it is paid, and the provisions of this Act relating to collection and recovery of tax shall apply to the collection and recovery of the interest; and

(iii) in the case of foreign currency remittance, the tax due shall incur interest at the prevailing Secured Overnight Financing Rate ("SOFR") or any successor rate, plus spread to be determined by the Minister from the date when the tax becomes payable until it is paid, and the provisions of this Act relating to collection and recovery of tax shall apply to the collection and recovery of the interest.

(b) The relevant tax authority shall serve a demand notice upon the company or person in whose name a tax is chargeable and where payment is not made within 30 days from the date of the service of such demand notice, the relevant tax authority may proceed to enforce payment under this Act.

(c) The penalty and interest imposed under this subsection shall not be deemed to be part of the tax paid for the purpose of claiming relief under any of the provisions of this Act or any other tax law.

CHAPTER FIVE

OBJECTIONS AND APPEAL PROCEDURES

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5.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of objections to assessments received from the NRS and the appeal procedures available to taxpayers.

5.1 Learning outcomes

On successful completion of this chapter, readers should be able to understand:

(a) the need for a relevant tax authority to make an advance ruling on a provision of a tax law;
(b) the procedure for settlement of a dispute between the relevant tax authority and the taxable person;
(c) The relevance of the establishment of the office of the Tax Ombud;
(d) the procedures available to a taxpayer for raising objections to tax assessments;
(e) how to file an appeal before the Tax Appeal Tribunal;
(f) how the hearing of an appeal is conducted; and
(g) the other appeal options available.

5.2 Advance rulings - sections 73 to 76 of NTAA

Section 147 of NTAA defines advance ruling as "any ruling issued by the tax authority in respect of any disputed or controversial tax matter to the taxpayers in accordance with provision of this Act, the Nigeria Tax Act or any other tax law enacted by the National Assembly, or any written opinion or decision issued to a taxpayer by the relevant tax authority on a transaction, proposed transaction or any tax matter with a view to providing direction or clarification in accordance with the provisions of this Act".

5.2.1 Issuance of advance rulings - section 73 of NTAA

(a) A relevant tax authority may issue an advance ruling for the purpose of clarity, consistency and certainty regarding the interpretation and application

of any tax law that does not constitute an amendment or replacement of the law.

(b) The relevant tax authority may:
  (i) make an advance ruling on any provision of a tax law, administration, precedence and policies; and
  (ii) issue an advance ruling upon application by a taxable person within 21 days of the receipt of the application or give reasons in writing for inability to issue such ruling.

(c) An advance ruling may be issued in the prescribed form and manner and shall be signed by an authorised officer of the relevant tax authority and shall contain:
  (i) a statement on whether the ruling is applicable generally or limited to the taxpayer;
  (ii) the name, Tax ID and postal address of the taxpayer;
  (iii) the relevant statutory provisions or legal issues addressed in the ruling;
  (iv) any assumptions made or conditions imposed by the relevant tax authority in connection with the validity of the ruling; and
  (v) the period for which the ruling is valid.

(d) An application for advance ruling shall be made in the prescribed form and manner by a person who is a party to any tax related issue or transaction, or by two or more parties to a tax related issue or transaction.

(e) An application shall contain:
  (i) the name, Tax ID, postal address, email address and telephone number of the taxable entity;
  (ii) a complete description of the tax issue or transaction in respect of which the ruling is sought, including its financial implications, if any;
  (iii) a complete description of the impact the issue or transaction may have on the tax liability of the taxpayer or any connected person in relation to the issue or transaction;
  (iv) details of any ongoing audit, previous correspondence and decisions of the relevant tax authority on the issue;
  (v) the relevant statutory provisions or legal basis relied on by the applicant;
  (vi) the reasons why the taxpayer believes that the proposed ruling should be granted; and
  (vii) a written statement on whether or not the matter is before any tribunal or court of competent jurisdiction.

(f) The relevant tax authority may request additional information from an applicant.

(g) Where necessary, the relevant tax authority shall provide an applicant with a reasonable opportunity to make representations or provide clarifications.

(h) An applicant may withdraw an application at any time before a ruling is issued.

5.2.2 Rejection of application for advance rulings - section 74 of NTAA

The relevant tax authority is empowered to reject an application for an advance ruling where it requires the rendering of an opinion, conclusion or determination regarding:

(a) the application or interpretation of the laws of a foreign country;
(b) an issue already before a court or tribunal of competent jurisdiction;
(c) the interpretation of the Constitution of the Federal Republic of Nigeria;
(d) an issue that is academic, hypothetical, frivolous or vexatious; and
(a) a ruling that will interfere substantially with an ongoing audit, investigation or

other proceeding involving the applicant or persons connected to the applicant.

5.2.3 Effect of advance rulings - section 75 of NTAA

(a) The effect of the ruling is limited to the applicant and the transaction in relation to which the ruling is given.

(b) The ruling is rendered on a set of facts before the relevant tax authority and cannot be of general application.

(c) An advance ruling is void where:
   (i) the issue or transaction as described in the ruling is materially different from the issue or transaction actually carried out;
   (ii) there is fraud, misrepresentation or non-disclosure of a material fact; or
   (iii) an assumption made or condition imposed by the relevant tax authority is not satisfied or carried out by the taxpayer.

(d) Notwithstanding any provision to the contrary contained in a tax law, an advance ruling ceases to be effective where:
   (i) a provision of the tax law that was the subject of the advance ruling is repealed or amended in a manner that materially affects the advance ruling in which case the advance ruling will cease to be effective from the date that the repeal or amendment is effective; or
   (ii) a court overturns or modifies an interpretation of the tax law on which the advance ruling is based, in such case, the advance ruling shall cease to be effective from the date of the judgement unless such decision is overturned.

5.2.4 Withdrawal or modification of advance rulings - section 76 of NTAA

The relevant tax authority shall withdraw or modify an advance ruling at any time and retrospectively if the ruling was fraudulently obtained.

The relevant tax authority may specify the date the decision to withdraw or modify the advance ruling becomes effective.

5.3 Settlement of disputes between the relevant tax authority and a taxable person - section 141 of NTAA

(a) Without prejudice to any provision of this Act or any other law, the relevant relevant tax authority and the taxable person can initiate to resolve any tax matters amicably at any stage of the dispute, subject to such terms and conditions as may be prescribed under this Act or any other law.

(b) The relevant tax authority is empowered to settle disputes in whole or in part, where:

   (i) such settlement will be in the interest of public revenue or public policy;
   (ii) due consideration is given to the cost of litigation in comparison to the possible benefits;
   (iii) a participant or a group of participants in a tax arrangement has accepted the position of the relevant tax authority in the dispute, in which case the settlement may be negotiated in a manner required to adjust the tax arrangements or disposition; or

(iv) under a whistleblowing arrangement, the settlement will facilitate full disclosure of undisclosed tax planning or evasion schemes which may lead to significant recovery of tax revenue.

(c) Settlement of dispute shall not be considered where:

(i) the action by the taxable person concerned leading to the 'dispute' constitutes intentional tax evasion or fraud inimical to the government revenue; or

(ii) it is in the public interest to have judicial clarification of the issue and the case will significantly promote taxpayer compliance with the relevant tax law.

(d) The procedure for settlement of disputes shall be as follows:

(i) A person participating in a settlement procedure shall disclose all relevant facts during the discussion phase of the process of settling a dispute, and such facts disclosed only for settlement shall be confidential;

(ii) a dispute settled in whole or in part shall be evidenced by an agreement in writing between the parties in the prescribed format as may be determined by the relevant tax authority and must include details on:

- how each particular issue is settled;
- relevant undertakings by the parties;
- treatment of the issue in future years,
- withdrawal of objections and appeals, and
- arrangements for payment; and

(iii) the agreement shall be signed by authorised officers of both parties.

(e) Finality of the settlement agreement is where the:

(i) The settlement agreement represents the final agreed position between the parties and it is a full and final settlement of all or specified aspects of the dispute in question between the parties; and

(ii) relevant tax authority shall enforce collection of the settlement amount under the collection provisions of this Act as a debt due to the relevant tax authority.

5.4 The Tax Ombud

5.4.1 Establishment of the Office of the Tax Ombud - section 36 of Joint Revenue Board of Nigeria (Establishment) Act (JRBEA), 2025

This section established a body known as the Office of the Tax Ombud, which:

(a) shall be a body corporate with perpetual succession and a common seal;

(b) may sue and be sued in its corporate name; and

(c) may own or dispose of property whether movable or immovable.

The Office of the Tax Ombud shall have its head office in the Federal Capital Territory and at least a branch office in each of the six geo-political zones.

5.4.2 Appointment of the Tax Ombud - section 37 of JRBEA

A Tax Ombud shall:

(a) be appointed by the President on the recommendation of the Minister;

(b) be a citizen of Nigeria;

(c) have relevant qualifications and at least 10 years cognate experience in taxation,

law, accounting, auditing, administration or dispute resolution; and

(d) hold office for a term of 4 years and may be renewed for a further term of 4 years and no more.

The Tax Ombud shall be the Chief Executive and Accounting Officer of the Office of the Tax Ombud.

5.4.3 Cessation of tenure of the Tax Ombud - section 38 of JRBEA

The tenure of a Tax Ombud shall cease, where he:

(a) resigns from the appointment by a notice addressed to the President;
(b) becomes incapable of carrying on the functions of the office either arising from an infirmity of mind or body;
(c) becomes bankrupt or makes a compromise with creditors;
(d) is convicted of a felony or of any offence involving dishonesty or fraud;
(e) is removed from office by the President on grounds of public interest;
(f) has been found guilty of contravening the Code of Conduct Bureau and Tribunal Act, or gross misconduct in relation to their duties; or
(h) is disqualified from professional qualification by a professional body by virtue of which the person qualified for the appointment.

5.4.4 Oath administration and document authentication - section 40 of JRBEA

An officer of the Office of the Tax Ombud is empowered to administer oaths and to authenticate various affidavits, affirmations or declarations.

Any authenticated document shall be accepted as evidence in legal proceedings and no further verification or proof of the individual's signature, seal or official capacity is required in this regard.

5.4.5 Powers and functions of the Office of the Tax Ombud - section 41 of JRBEA

(a) The Office of the Tax Ombud has the powers necessary or expedient for the performance of its functions under this Act, including power to:
  (i) serve as an independent and impartial arbiter to review and resolve complaints relating to tax, levy, regulatory fee and charges, customs duty or excise matters;
  (ii) review complaint against tax officials and authorities and resolve it through mediation or conciliation by adopting informal, fair and cost-effective procedures;
  (iii) receive and investigate complaints lodged by taxpayers regarding the actions or decisions of the tax authorities, agencies or their officials;
  (iv) enter and inspect any premises or place where any tax authority, agency or official performs any function or duty under any law imposing taxes, levies, charges and fees for the purpose of carrying out investigation;
  (v) invite and examine any person who may have information or evidence relating to a complaint or an investigation;
  (vi) make recommendations of its findings to the revenue authorities and other government agencies on matters relating to taxes, levies, charges and fees, for implementation;
  (vii) institute legal proceedings on behalf of the taxpayer;
  (viii) provide information and raise awareness of taxpayer rights and obligations, functions of the tax authorities and the role of the office of the Tax Ombud;
  (ix) identify and review systemic and emerging issues on fiscal policies and its impact on the tax system, in collaboration with the relevant agencies;

(x) serve as a watch-dog against any arbitrary fiscal policy of the Government or by any of its agency and report such policy to the National Assembly;
(xi) issue guidelines, directives or orders for the resolution of complaints or the implementation of recommendations; and
(xii) delegate any of the powers or functions to any officer of the Tax Ombud.

(b) The Office of the Tax Ombud shall not charge a fee in the exercise of its functions under the Act.

5.4.6 Conflict of interest - section 42 of JRBEA

In the exercise of his functions, an officer of the Office of the Tax Ombud, shall:
(a) act in utmost good faith, with care, skill and diligence;
(b) maintain independence and impartiality at all times;
(c) not act in any circumstance where personal interests conflict with the functions of the Office of the Tax Ombud;
(d) disclose any conflict of interest in relation to any complaint or investigation and an officer so conflicted shall refrain themselves from dealing with such complaint or investigation;
(e) not make secret profit in the course of discharging official duties;
(f) not accept any gift or advantage in whatever form or manner, for anything done or likely to be done with respect to their responsibilities under this Act; and
(a) publish studies, research, findings, recommendations, insights, or proposals concerning any matter under consideration by the Office of the Tax Ombud.

5. 4.7 Limitations on authority of the Office of the Tax Ombud - section 43 of JRBEA

The Office of the Tax Ombud shall not have power to:
(a) interpret tax legislations other than to the extent that it relates to operational, procedural or administrative issues arising from the application of the provisions of the relevant tax law;
(b) review or determine issues that are subjudice before a court of competent jurisdiction or tribunal on the date of the receipt of a complaint;
(c) determine any tax liability or duty or issue tax assessment; or
(d) review any complaint by or on behalf of a tax official concerning matters relating to the relevant tax authority in respect of any personal grievance relating to the office.

5.4.8 Procedure of the Office of the Tax Ombud - Third Schedule to JRBEA

(a) Complaints - paragraph 1 of the Third Schedule to JRBEA
(i) A person can lodge a complaint in writing or through any other means or platform with the Office of the Tax Ombud, as may be provided by the Office of the Tax Ombud.
(ii) A complainant shall only lodge a complaint with the Office of the Tax Ombud, if the issue is unresolved by the relevant agencies.
(iii) The complaint shall be reviewed and assessed by the Tax Ombud to determine whether it falls within its jurisdiction and mandate.
(iv) The Office of the Tax Ombud shall not entertain anonymous complaints.
(v) Where the Office of the Tax Ombud finds a complaint to be false or misleading in any material respect, it may strike out or disregard such complaint.

(vi) Where a complaint relates to malicious misrepresentation of facts of a criminal nature, the matter shall be referred to the relevant law enforcement agency for further investigation and possible prosecution.

(b) Investigation - paragraph 2 of the Third Schedule to JRBEA

(i) Investigations can be initiated by the Office of the Tax Ombud by:

- engaging the complainant, the officer or the relevant revenue or government agency to acquire additional information and evidence; and
- conducting site visits, interviews or inspections.

(ii) An investigation under this section shall be conducted within 14 days of receipt of the complaint, provided that the Office of the Tax Ombud may, where necessary, extend the period of an investigation by seven days.

(iii) The conduct of an investigation shall not affect any action taken or to be taken by the relevant revenue or government agency.

(iv) Where the Office of the Tax Ombud decides not to conduct an investigation, a statement of the reasons for not conducting the investigation shall be communicated to the complainant within seven days of receipt of the complaint.

(c) Resolution and recommendations - paragraph 3 of the Third Schedule to JRBEA

(i) A complaint can be resolved by the Office of the Tax Ombud by making recommendations to the relevant revenue or government agency or the complainant.

(ii) Where the Office of the Tax Ombud is of the opinion that the com- plaint amounts to abuse of office or breach of procedure, it shall communicate its recommendations to the relevant tax authority or the persons concerned within a period of 14 days after determination of the complaint.

(iii) Where the Office of the Tax Ombud has reason to believe that a relevant revenue or government agency has acted beyond the scope of authority or in a manner warranting criminal proceedings against such an officer, the matter shall be referred to the relevant revenue or government agency authority for necessary action, provided that where the relevant tax authority fails to take appropriate action in respect of the allegations within 30 days, the Office of the Tax Ombud shall refer the matter to the relevant law enforcement agency for necessary action.

(d) Non- compliance with recommendations - paragraph 4 of the Third Schedule to JRBEA

(i) The relevant revenue or government agency shall report to the Office of the Tax Ombud within 21 days of receiving its recommendations stating reasons for non-compliance with the recommendations of the Office of the Tax Ombud.

(ii) Where a relevant revenue or government agency fails to implement a recommendation, without providing satisfactory reasons for non-compliance,

the Office of the Tax Ombud shall refer the matter to the National Assembly or the State House of Assembly to perform its oversight functions over such recommendation.

(e) Dispute resolution process - paragraph 5 of the Third Schedule to JRBEA

(i) The Office of the Tax Ombud may encourage parties to explore alternative dispute resolution mechanisms with respect to the complaint lodged before it.

(ii) The representative of the relevant revenue or government agency, its officers or the complainant shall:

- appear before the Tax Ombud when requested to do so;
- not take any step which will impede or will be capable of obstructing the Office of the Tax Ombud in the performance of its functions; or
- not take any action which tends to prejudice or undermine a matter before the Office of the Tax Ombud.

(iii) Where a party to the issue fails to comply with the provisions e(ii) above, the complaint shall be deemed to be resolved against such party.

5.5 Revision of assessment in case of objection / time limit for objection and appeal - section 41 of NTAA

If any company disputes a tax assessment raised on it by the tax authority, it may give a written notice of objection, delivered in person, by courier or via electronic means to the NRS, seeking a revision and amendment of the assessment. However, the time limit for objection is within thirty days from the date of service of the disputed notice of assessment.

5.6 Contents of a notice of objection - section 41 (2) of NTAA

For a notice of objection to be valid, it must:

(a) be in writing, delivered in person, by courier service or via electronic mail and addressed to the Chairman, NRS;

(b) state the grounds of objection, namely:

(i) specific issues disputed or errors observed with their monetary values,
(ii) amendment required to be made so as to resolve the dispute or correct the error,
(iii) justification for the amendments,
(i) amount of assessable and total profits, income or value of transactions admitted by the taxable person for the relevant reporting period, and
(ii) amount of tax admitted by the taxable person or that no amount of tax is admitted as payable.

The relevant tax authority may, for any satisfactory and good cause shown, extend the time for making the application to such reasonable time in the particular circumstances.

5.7 Revision of assessment in case of objection - section 41 of NTAA

When the notice of objection is received by the relevant tax authority, it may:

(a) require the taxable person to furnish such particulars as it may deem necessary and to produce all books or other documents relating to the profits, income or transactions of the taxable person; and

(b) summon any person to give evidence in respect of the assessment to appear for examination before an authorised officer of the relevant tax authority or make a declaration on oath in respect of the assessment.

Where the taxable person and the relevant tax authority agree as to the amount of tax to be assessed, the disputed assessment shall be amended, and a revised notice of the tax payable shall be served upon the taxable person.

The relevant tax authority shall respond to the objection notice within 90 days otherwise the objection of the taxpayer shall be upheld.

Where the relevant tax authority considers the notice of objection submitted by the taxable person as invalid, or where the taxable person and the relevant tax authority do not agree as to the amount of tax to be assessed, the taxpayer may exercise the right of appeal.

5.8 Hearing before the Tax Appeal Tribunal

5.8.1 Appeals from the decisions of the relevant tax authority - section 35 of JRBEA and second paragraph of the Second Schedule to the Act

(a) A taxable entity that is aggrieved by an assessment, demand notice, action, decision of the tax authority, or a dispute as to residency under the provisions of the tax laws, may appeal against such decision or assessment within the period stipulated under this Act to the Tribunal.

(b) A period of 30 days is needed to file an appeal from the date on which a copy of the assessment, demand notice, action or decision which is being appealed against is made, or deemed to have been made by the relevant tax authority and it shall be in such form and be accompanied by such fee as may be prescribed.

(c) Notwithstanding the provisions of (b) above, the Tribunal may entertain an appeal after the expiry of the said period of 30 days if it is satisfied that there was sufficient cause for the delay.

(d) Where the appellant does not give a notice of appeal as required under this paragraph within the period specified, the assessment or demand notices shall become final and conclusive and the relevant tax authority may charge interests and penalties in addition to recovering the outstanding tax liabilities which remain unpaid from any person through proceedings at the Tribunal.

5.8.2 Appeal by relevant tax authorities - Third paragraph of the Second Schedule to JRBEA

A relevant tax authority aggrieved by the non-compliance by a taxable entity in respect of any provision of the tax laws or in respect of any assessment, demand

notice, action or decision may appeal to the Tribunal in the Zone where the taxable person is resident giving notice in writing through the Secretary to the Tribunal.

5.8.3 Liquidated money claim affidavit - Fourth paragraph of the Second Schedule to JRBEA

Any Appeal made to the Tribunal in respect of a claim to recover a debt or liquidated money demand and the Appeal is supported by an affidavit setting forth the grounds upon which the claim is based and stating that in the deponent's belief there is no defence, the Tribunal shall, if satisfied that there are good grounds for believing that there is no defence, enter the Appeal for hearing in what shall be called the "Liquidated Money Claim Appeal".

5.8.4 Appeal by Summons - Fifth paragraph of the Second Schedule to JRBEA

The Tribunal shall hear and determine the Appeal by affidavit evidence, where the issue before the Tribunal is on interpretation of taxing provisions, other tax laws, rules or regulation without dispute of fact.

5.8.5 Settlement out of Tribunal - Paragraph 6 of the Second Schedule to JRBEA

(a) Where an Appeal is before the Tribunal for the first time, the Chairman may grant to the parties time, not exceeding 30 days, within which parties may explore possibilities for settlement of the dispute under the provision of the Nigeria Tax Administration Act.

(b) The case shall proceed to trial where the parties fail to settle within 30 days or such other period as the Tribunal may grant.

5.8.6 Procedure before Tax Appeal Tribunal - Seventh paragraph of the Second Schedule to JRBEA

(a) Tax Appeal Commissioners shall meet as often as may be necessary to hear appeals in the jurisdiction or zone assigned to that Tribunal.

(b) The Secretary to the Tribunal shall give a notice of seven clear days to the parties of the date and place fixed for the hearing of each appeal, except in respect of any adjourned hearing for which the Tax Appeal Commissioners have fixed a date at their previous hearing.

(c) Notices, documents, other than decisions of the Tribunal, may be signified under the hand of the Secretary.

(d) Appeals before the Tax Appeal Commissioners shall be held in public.

(e) The responsibility of proving that the assessment complained of is excessive or due for payment, as the case may be, shall be on the appellant. At the hearing of an appeal, where the representative of the relevant tax authority proves to the satisfaction of the Tribunal appeal that:

(i) the appellant has for the year of assessment concerned, failed to prepare and deliver to the tax authority returns required to be furnished under the relevant provisions of the Nigeria Tax Act and Nigeria Tax Administration Act;

(ii) the appeal is frivolous or vexatious or constitutes an abuse of the appeal process; or

(iii) it is expedient to require the appellant to pay an amount as security for prosecuting the appeal, the provisions of (g) and (h) below, shall apply.

(f) The Tribunal may adjourn the hearing of the appeal to any subsequent day and order the appellant to deposit with the tax authority, before the day of the adjourned hearing, an amount on account of the tax charged by the assessment under appeal equal to, the lesser of:

(i) the tax charged upon the appellant for the preceding year of assessment; and

(ii) one half of the tax charged by the assessment under appeal.

(g) Where the appellant fails to comply with the order, the assessment against which he has appealed shall be confirmed and the appellant shall have no further right of appeal in the tribunal with respect to that assessment.

(h) The Tribunal may, after giving the parties an opportunity of being heard, confirm, reduce, increase or annul the assessment or make any such order as it deems fit.

(i) The Chairman shall record in writing every decision of the Tribunal and a certified copy of such decision shall be supplied to the appellant or the tax authority by the Secretary, upon a request made within 7 days of the decision.

(j) Where on the hearing of an appeal:

(i) no accounts, books or records relating to profits were produced by or on behalf of the appellant;

(ii) such accounts, books or records were produced but rejected by the Tribunal on the ground that it had been shown to its satisfaction that they were incomplete or unsatisfactory;

(iii) the appellant or a representative, at the hearing of the appeal, has neglected or refused to comply with a notice from the Secretary to the Tribunal, without showing any reasonable cause; or

(iv) the appellant or any person employed, whether confidentially or otherwise, by the appellant or an agent (other than a legal practitioner or accountant acting for them in connection with their liability to tax) has refused to answer any question put to them by the Tribunal, without showing any reasonable cause, the Chairman of the Tribunal shall record particulars of the same in his written decision.

5.8.7 Application of the Evidence Act - paragraph 8 of the Second Schedule to JRBEA

The proceedings and the decisions of the Tribunal shall be in compliance with the provisions of the Evidence Act.

5.8.8 Procedure following decision of the Tribunal - paragraph 9 of the Second Schedule to JRBEA

(a) Notice of the amount of the tax chargeable under the assessment as determined by the Tribunal shall be served by the relevant tax authority upon the taxpayer or upon the person in whose name the taxpayer is chargeable.

(b) An award or judgement of the Tribunal shall be enforced as if it were a judgement of the Federal High Court upon registration of a copy of such award or judgement with the Chief Registrar of the Federal High Court by the party seeking to enforce the award or judgement.

5.8.9 Right to Presentation - paragraph 11 of the Second Schedule to JRBEA

(a) A complainant or appellant, may either appear in person or authorise one or more legal practitioners, a professional with the requisite knowledge and experience in tax matters or any of its officers to represent him or its case before the Tribunal.

(b) Where the representative in any matter before the Tribunal is unable for good cause to attend hearing, the Tribunal may adjourn the hearing for such reasonable time as it deems fit, or admit the appeal to be made by some other person or by way of a written address.

5.8.10 Application of Status of Limitation - paragraph 12 of the Second Schedule to JRBEA

The provisions of any statute of limitation and pre-action notice under this Act or the provision of the Public Officer Protection Act, shall not apply to any appeal brought before the Tribunal.

5.8.11 Oaths - paragraph 14 of the Second Schedule to JRBEA

Each party to an appeal shall bear its own cost.

5.9. Appeal to the Federal High Court - paragraph 10 of the Second Schedule to JRBEA

(a) Where a person is dissatisfied with a decision of the Tribunal constituted under this Act, he may appeal against such decision on a point of law to the Federal High Court upon giving notice in writing to the Secretary to the Tribunal within 30 days after the date on which such decision was given.

(b) A notice of appeal filed pursuant to (a) above, shall set out the grounds of law on which the appellant's case is based.

(c) Where the relevant tax authority is dissatisfied with the decision of the Tribunal, it may appeal against such decision to the High Court on points of law by giving notice in writing as specified in (a) above, to the Secretary within 30 days after the date on which such decision was given.

(d) On receipt of a notice of appeal under (a) and (c) above, the Secretary to the Tribunal shall cause the notice to be given to the Chief Registrar of the High Court along with all the exhibits tendered at the hearing before the Tribunal.

(e) The Chief Judge of the High Court may make rules providing for the procedure in respect of appeals made under this Act and until such rules are made, the High Court rules relating to hearing of appeals shall apply to the hearing of an appeal under this Act.

5.10 Further Appeal to Court of Appeal - paragraph 15 of the Second Schedule to JRBEA

An appeal against the decision of the Federal High Court at the instance of either party shall lie to the Court of Appeal.

5.11 Chapter review

This chapter deals with the procedure for raising an objection to a tax assessment served on a company/taxpayer (Appellant), by the Nigeria Revenue Service (NRS).

The options available to an aggrieved appellant are: Appeal to the Tax Appeal Tribunal, and if no respite or relief, appeal to the Federal High Court. The chapter also highlights procedures for the hearing under both options.

Beyond the Federal High Court, an appellant can; proceed to the Court of Appeal.

5.12 Worked examples

5.12.1 Questions

(1) There are specific particulars that must be included in a notice of appeal against an assessment pending before the Tax Appeal Tribunal.

Required:
Explain the specific particulars that must be included in a notice of appeal against an assessment pending before the Tax Appeal Tribunal.

(2) There are laid-down procedures for an appeal against decision of a Tax Appeal Tribunal.

Required:
Explain the procedure for an appeal against the decision of a Tax Appeal Tribunal.

(3) As a tax consultant, the Managing Director of your client brought an assessment notice served on the company by the Nigeria Revenue Service complaining that the assessment was outrageous. You observed that the amount assessed was higher than what is supposed to be based on the documents submitted.

Required:
Explain what could be done in this circumstance.

5.12.2 Suggested solutions to questions

(1) Notice of appeal shall specify the following specific particulars:

(a) the official number of the assessment and the year of assessment for which it was made;

(b) the amount of the tax charged by such assessment;

(c) the amount of the total profit upon which such tax was charged as appearing in the notice of assessment;

(d) the date upon which the appellant was served with notice of refusal by the FIRS to amend the assessment as desired;

(e) the precise grounds of law based on which the appellant's case is based;

(f) an address for service of notices, receipts or other documents to be given by the Secretary to the Tax Appeal Tribunal, provided that at any time the appellant may give notice to such Secretary and to the NRS, by delivering the same by registered post, of a change of such address but any such notice shall not be valid until delivered or received; and

(g) evidence of payment of the lesser of the tax charged upon the appellant for the preceding assessment year or 50% of the tax charged by the assessment under appeal.

(2) Appeal against the decision of the Tax Appeal Tribunal

(a) Where a person is dissatisfied with a decision of the Tribunal constituted under this Act, he may appeal against such decision on a point of law to the Federal High Court upon giving notice in writing to the Secretary to the Tribunal within 30 days after the date on which such decision was given.

(b) A notice of appeal filed pursuant to (a) above, shall set out the grounds of law on which the appellant's case is based.

(c) Where the relevant tax authority is dissatisfied with the decision of the Tribunal, it may appeal against such decision to the High Court on points of law by giving notice in writing as specified in (a) above, to the Secretary within 30 days after the date on which such decision was given.

(d) On receipt of a notice of appeal under (a) and (c) above, the Secretary to the Tribunal shall cause the notice to be given to the Chief Registrar of the High Court along with all the exhibits tendered at the hearing before the Tribunal.

(e) The Chief Judge of the High Court may make rules providing for the procedure in respect of appeals made under this Act and until such rules are made, the High Court rules relating to hearing of appeals shall apply to the hearing of an appeal under this Act.

Where the appellant or the relevant tax authority, is not satisfied with the decision of the Federal High Court, an appeal shall lie to the Court of Appeal.

3. The actions to be taken to remedy the disputed tax assessment:

(a) The tax consultant will review the accounts and documents which were earlier sent to the tax office to determine whether there was any basis for the variation in the assessments. If there is any genuine reason for the increase in the assessment, the taxpayer will be advised not to pursue the disputed assessment, but to make payment without any further delay.

(b) However, if there is no ground or basis for the variation in the assessment, then a valid notice of objection will be written to the NRS, within 30 days of the receipt of the notice of assessment. The notice of objection will contain the grounds of objection.

(c) The tax consultant will expect the NRS to see reasons and amend the assessment, which if satisfactorily would be remitted. On the other hand, where the NRS refuses to revise and amend the assessment, the taxpayer may exercise the right to appeal.

Where the relevant tax office fails to respond to the objection within 90 days, the objection of the taxpayer shall be upheld.

CHAPTER SIX

TAX CLEARANCE CERTIFICATE (TCC)

Contents

a Learning objective

b Learning outcomes

c Definition of TCC

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e The conditions for granting a TCC - section 72 (5) of NTAA

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k Worked examples

6.0 Learning objective

The objective of this chapter is to enable the readers understand the procedure for applying for TCC, contents, problems associated with its issuance, and the uses of TCC.

6.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

a. define a tax clearance certificate;
b. explain the procedure for applying for a TCC;
c. explain the conditions for granting a TCC;
d. explain the problems of obtaining a TCC;
e. identify the transactions for which a TCC is required; and
f. explain the penalties for providing false information to obtain TCC.

6.2 Definition of TCC

A tax clearance certificate is a document issued by the Nigeria Revenue Service in respect of Companies and the States Board in respect of individuals showing that the applicant's tax affairs are in order.

In Nigeria, a tax clearance certificate is issued only upon application by the taxpayer. Therefore, in issuing the certificate, the relevant tax authority would have satisfied itself that, the tax assessed on the income of the applicant for the three years immediately preceding the current year of assessment, has been fully paid or that no tax is due on such income or that the applicant is not liable to tax for any of the three years.

The certificate must be issued within two weeks of demand, otherwise, the relevant tax authority must give reasons for the delay or denial. Meanwhile, the payment of current year tax shall not be made a condition, for the issuance of the certificate, unless the applicant is leaving the country finally - section 72 of NTAA.

6.3 Procedure for applying for tax clearance certificate (TCC)

Furthermore, registration for TCC issuance shall be dependent on whether the applicant is a new company or an existing company:

6.3.1 A new company

The following is the procedure for obtaining a TCC by a new company:

(a) Register with the NRS for taxpayer identification (Tax ID)

A company can choose to either engage the service of a consultant or carryout the registration by itself through an employee. Notwithstanding who the company chooses for this exercise, the company will need to write a formal application letter (in a prescribed format) which shall be accompanied with the following documents and information:

Documents to be submitted shall include:

(i) Certificate of incorporation;
(ii) Memorandum and articles of association;
(iii) Form CAC 2 and CAC 7;

Information contained in the registration letter shall include:

(i) name of company;
(ii) registered office;
(iii) business address;
(iv) precise nature of business;
(v) date of commencement of business;
(vi) name and address of bankers; and
(vii) particulars of major shareholders.

(b) Register with (NRS) for VAT

This registration is to be done concurrently with registration for Tax ID. A formal application letter (in a prescribed format) is also required and shall be accompanied with the following documents:

(i) completed copy of VAT form 001; and
(ii) certificate of incorporation.

It is important to highlight that following the recent introduction of the electronic solution (e-service) by the FIRS, the above process can now be done on-line.

(c) Validation of the issued Tax ID at the NRS office

As a consequence of the e-service solution introduced by the NRS, all companies

are now required to validate their Tax IDs at their local NRS office so as to transact all their business with the NRS electronically. Therefore, once the NRS has validated a company's Tax ID, the company can then apply for the issuance of TCC electronically on the NRS web portal.

(d) Application for TCC

As soon as a company has uploaded and has submitted copies of its statement of affairs the company can then apply for TCC electronically via the NRS online application portal.

(e) Processing and issuance of TCC

As soon as a company has filed its application for TCC electronically, the NRS would then commence processing. However, NRS shall approve TCC within two weeks of application. Once the TCC is approved, an electronic email confirmation shall be sent to the company and the company can subsequently download a copy of the TCC.

6.3.2 An existing company**:**

The procedure for obtaining a TCC by an existing company is as follows:

a) Payment of income tax and filing of income tax returns

An existing company that requires TCC shall first ensure payment and filing (both electronically and hard copies of returns submission at the NRS office) of companies income tax returns within the statutory timeline, that is, six months after end of its financial year.

b) Application for TCC

As soon as a company has uploaded and has also submitted copies of its returns and the evidence of payment of income tax at the NRS office, the company can then apply for TCC electronically via the NRS online application portal.

c) Processing and issuance of TCC

As soon as a company has filed an application for TCC electronically, the NRS would then commence processing. However, NRS shall approve TCC within two weeks of application. Once the TCC is approved, an electronic email confirmation shall be sent to the company and it can subsequently download a copy of the TCC.

6.4 The conditions for granting a TCC - section 72 (5) of NTAA

The conditions for granting TCC include:

(a) taxes have been paid up to date;
(b) penalties and interest raised have been paid;
(c) returns have been filed up to date; and
(d) there are no outstanding tax queries, audit or investigation.

6.5 Contents of TCC - section 72 (3) of NTAA

A tax clearance certificate shall disclose in respect of the last three years of assessment:

(a) total profits or chargeable income;
(b) tax payable;
(c) tax paid; and
(d) tax outstanding or a statement to the effect that no tax is due.

In addition to the above, a TCC also discloses:

(a) TCC number, tax office, date of issue, name of company, RC number, date of incorporation, taxpayer identification (Tax ID), effective business address;
(b) revenue/turnover;
(c) source of income;
(d) other comments; and
(e) expiration date.

6.6 Problems of obtaining TCC

Although, a tax clearance certificate is issued based on tax compliance for the preceding year, the tax authorities sometimes require that taxpayers comply with tax payments to date of application for the certificate. This often poses a challenge, as the Revenue could use the opportunity to issue additional assessments and demand payment before issuing the certificate.

The certificate, also, often takes a long period to be issued, notwithstanding the two weeks' limit stated in the tax legislation. A taxpayer could, therefore, lose an opportunity to win a major contract or be unable to clear imported goods, where such taxpayer is unable to obtain a tax clearance certificate on time.

Another issue is the authenticity of tax clearance certificates, as evidence of tax compliance. The certificates are sometimes issued under questionable circumstances or may be forged in extreme cases. The security features of tax clearance certificates should be enhanced to avoid forgery. Also, the process should be computerised as much as possible, to facilitate the prompt issuance and reduce human intervention with the attendant implications.

6.7 Transactions for which a TCC is required - section 72 (4) of NTAA

Any person who has any dealing with any Ministry, department or agency of Government or commercial bank with respect to any of the following transactions, shall on demand by the afore-mentioned institutions, submit tax clearance certificate of three years immediately preceding the current year of assessment:

(a) application for certificate of occupancy;
(b) approval of building plans;
(c) application for award of contract by government or its agencies;
(d) application for firearms licence;
(e) application for import and export licence; and
(f) application for trade licence.

6.8 Penalties

A person who:

(a) for the purpose of obtaining a tax clearance certificate, gives incorrect information in relation to any matter or thing affecting his liability to tax is liable to an administrative penalty of N1,000,000 in addition to the payment of the tax undercharged or not charged and on conviction to a fine of N1,000,000 or to imprisonment not exceeding three years or both in addition to payment of the amount of tax unpaid or over payment made in respect of any repayment **(section 124(1) of NTAA;** or

(b) counterfeits or falsifies any document which is required by or for the transaction of any business under this Act or any tax law, knowingly accepts any counterfeited document, alters the document after its official issuance or forges any seal or signature, is liable to an administrative penalty of ₦1,000,000 and on conviction, to imprisonment not exceeding 3 years of fine of ₦1,000,000 or both such fine and imprisonment **(section 125 of NTAA).**

6.9 Chapter review

This chapter discusses the procedure for applying for TCC and the associated problems, contents of TCC, the transactions which require the submission of a tax clearance certificate, and the offences and penalties.

6.10 Worked examples

6.10.1 Questions

(1) It is the habit of some taxable individuals or companies to avoid paying tax. One of the measures introduced by the government to bring taxpayers into the tax net was the introduction of Tax Clearance Certificate.

Required:

List any three transactions in respect of which tax clearance certificate must be produced.

(1) A tax clearance certificate is a document issued by the Nigeria Revenue Service to a company and stating that the company's tax affairs are in order at the date of issue.

Required:

Explain the procedure for applying for a tax clearance certificate

(2) A TCC is a very important document necessary for various corporate transactions in Nigeria.

Required:

Explain the conditions for granting tax clearance certificate in Nigeria.

6.10.2 Suggested solutions

(1) The transactions in respect of which tax clearance certificate must be produced are as follows:

(i) application for certificate of occupancy;
(ii) approval of building plans;
(iii) application for award of contract by government or its agencies;
(iv) application for firearms licence;
(v) application for import and export licence; and
(vi) application for trade licence.

(2) Procedure for applying for a tax clearance certificate in Nigeria

In Nigeria, a Tax Clearance Certificate (TCC) is a document issued by the Nigeria Revenue Service (NRS) or State Internal Revenue Service (SIRS) to confirm that a taxpayer has fulfilled their tax obligations.

The procedure for applying for a TCC by a taxpayer is as follows:

a) ensure that all tax liabilities have been settled;
b) verify that all tax returns have been filed and that there is no outstanding tax issue;
c) ensure that the Tax ID is up-to-date and accurate;
d) ensure that all tax returns for the relevant years have been completed and submitted;
e) gather receipts for all tax payments made;
f) submit the application online through the NRS or SIRS portal;
g) alternatively, submit the application manually at the nearest NRS or SIRS office;
h) pay the application fee online through the NRS portal;
i) alternatively, pay the application fee at a designated bank;
j) wait for the application to be processed by NRS or SIRS by verifying the application and supporting documents, which may take several days or weeks; and
k) once the application is approved, collect the TCC from the NRS or SIRS office.

It is pertinent to state that the procedure and requirements for obtaining a TCC may vary depending on the state or local government. Taxpayers are advised to consult the relevant tax authority or a tax professional to ensure compliance with all requirements.

(3) Conditions for granting tax clearance certificate in Nigeria

In Nigeria, the Nigeria Revenue Service and State Internal Revenue Service (SIRS) grant tax clearance certificates (TCCs) to taxpayers who meet the following specific conditions:

a) the taxpayer must be registered with the FIRS or SIRS and have a valid

taxpayer identification number (TIN);

b) the taxpayer must have filed all required tax returns, including income tax, value-added tax (VAT), and withholding tax (WHT);
c) the taxpayer must have paid all taxes due, including any interest and penalties;
d) the taxpayer must be in compliance with all tax laws and regulations; and
e) the taxpayer must have answered all tax queries, including those relating to audit and investigation.

It is apposite to state that NRS or SIRS may request for additional information or documentation to verify the taxpayer's compliance with these conditions before issuing a TCC.

CHAPTER SEVEN

VALUE ADDED TAX (VAT)

a. Contents

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c. Learning outcomes

d. Nature, objectives, and administration of VAT

e. Registration and deregistration of value added tax

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g. Goods - section 201 of NTA

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i. Taxable persons - section 201 of NTA

j. VAT invoice - section 152 of NTA

k. Value added tax fiscalisation system

l. When goods and services shall be deemed to be supplied in Nigeria - section 145 of NTA

m. Input VAT - section 151 of NTA

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q. Exemption by Order of the President - section 187 of NTA

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w. Time of supply - section 146 of NTA

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y. Computation of VAT liability, including the treatment of opening and closing inventories

z. Obligation to keep books of accounts, Section 31 of NTAA

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bb. Treatment of VAT on imported and exported goods and services

cc. Treatment of input VAT under exempt VAT and zero-rated VAT

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ee. Vatable services rendered by financial institutions and their VAT exempt income

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nn. Interpretations - section 188 of NTA

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7.0 Learning objective

The objective of this chapter is to ensure that readers understand the administration, regulatory framework, and VAT model in Nigeria.

7.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) understand the nature, objectives, and administration of VAT in Nigeria;
(b) understand the basic terms and terminologies of VAT;
(c) understand the regulatory framework of VAT in Nigeria;
(d) appreciate the structure of the VAT model in Nigeria;
(e) compute VAT payable and prepare VAT account';
(f) Identify the taxable services rendered by financial institutions and their VAT-exempt income;
(g) understand the provisions of NTA and NTAA relating to VAT; and
(h) explain the offences and penalties associated with VAT.

7.2 Nature, objectives, and administration of VAT

7.2.1 The nature of VAT

The advent of the VAT concept in the early part of the twenty-first century brought about a global acceptance by many countries. This was due largely to the ease of administration and high collection yield.

VAT as a consumption tax is a multi-stage levy collected at every stage of production and sale of goods and rendition of services.

7.2.2 Objectives of VAT

The objectives of VAT are to:

a. increase government revenue;
b. make the tax system more transparent;
c. avoid cascading effect;
d. reduce tax evasion;
e. increase exports;
f. simplify tax collection procedure; and
g. Check income tax evasion by concealment of actual income by taxpayers.

7.2.3 Administration of VAT - section 3 of NTAA

This section empowers the Nigeria Revenue Service to administer VAT. It is pertinent to state that the NRS is the central body responsible for administering all federal taxes, including VAT.

7.3 Registration and deregistration of value added tax

7.3.1 Registration

(a) Residents - sections 4 and 5 of NTAA

i. Every taxable entity shall register with the relevant tax authority and obtain a taxpayer identification (Tax ID) for the purposes of compliance with tax obligations.

ii. Every ministry, department or agency of the Federal or a State government, and every Local Government shall register for tax and obtain a Tax ID.

(b) Non-residents - section 6 of NTAA

A non-resident person that supplies taxable goods or services to any person in Nigeria, or derives income from Nigeria, shall register for tax purposes and obtain a Tax ID:

i. Provided that a non-resident person who derives only passive income from investment in Nigeria may not be required to register for tax but shall provide relevant information as may be prescribed by the Service.

7.3.2 Deregistration

(a) A taxable person that temporarily ceases to carry on a trade or business in Nigeria, shall notify the relevant tax authority of its intention to suspend its registration for tax purposes within 30 days of such temporary cessation of trade or business.

(b) The relevant tax authority shall classify the Tax ID as dormant and place it on suspension.

(c) A taxable person that permanently ceases to carry on a trade or business in Nigeria, the taxable person shall notify the relevant tax authority of its intention to deregister for tax purposes within 30 days of such cessation of trade or business.

(d) Where a taxable person permanently ceases to carry on a trade or business, the relevant tax authority shall deregister the Tax ID.

(e) The relevant tax authority shall deregister or cancel a Tax ID where it is satisfied that
   (i) the taxable person is deceased, or, in the case of a body corporate, including a government ministry, department, or agency is wound up or dissolved; and
   (ii) the person to whom the Tax ID was issued has another one.

(f) A taxable person whose Tax ID has been suspended shall, upon reapplication, be reissued with the same Tax ID.

7.4 Requirements for filing of VAT returns and remittance of VAT liability - section 22 of NTAA

(a) A taxable person is required, in respect of value added tax (VAT), with or without a notice and whether or not an economic activity has taken place, file a return to the Service in the prescribed form, on or before the 21st day of the following month.

(b) An extension of the period for filing the returns under this section, where granted by the Service, such extension shall not imply the extension of time to pay the tax.

(c) The input tax paid, output tax collected and value added tax payable in respect of all taxable supplies in the preceding month shall be reflected in the return.

(d) The provision stated in (a) above, shall not apply to a small business.

(e) A small business may, subject to a written notice addressed to the Service, choose to opt out of the exemption granted to small businesses under this Part, including registration, charging of tax on its taxable supplies and filing of returns.

(f) A business, upon ceasing to be a small business, shall file monthly VAT returns.

(g) In determining whether a person meets the threshold of being a small company, the value of the following taxable supplies shall be excluded:

   (i) supply of a capital asset of the person; and
   (ii) supply made solely as a consequence of the person selling the whole or a part of its business or permanently ceasing to carry on business.

(h) A small business is exempt from the requirements of payment of VAT to a supplier (section 151 of NTA) and from the penalties relating to provisions to register (section 100) and failure to keep books (section 102) of NTAA.

(i) The provisions of (e) above, shall not apply to companies engaged in petroleum operations as defined in the Nigeria Tax Act.

(j) Where technology is deployed by the Service, a taxable person shall render returns in real time or at such other time as the Service may prescribe.

(k) For the purpose of attribution, any return under this section shall provide details of consumption of taxable supplies, irrespective of where the return is filed.

7.5 Goods - section 201 of NTA

Goods have been defined by section 201 of NTA to mean "all forms of tangible properties, movable or immovable

7.6 Services

7.6.1 Definition

"Services" means:

(a) "anything, other than goods or services provided under a contract of employment; and
(b) includes any intangible or incorporeal (product, asset or property) over which a person has ownership or rights, or from which he derives benefits, and which can be transferred from one person to another, excluding interest in land and building, money or security".

7.6.2 Exported service - section 201 of NTA

A service will be regarded as exported service when a service is rendered to a non-resident person outside Nigeria by a taxable person regardless of where the service is rendered, provided that a service rendered to the Nigerian permanent establishment of a non-resident person shall not qualify as exported.

7.7 Taxable persons - section 201 of NTA

A taxable person includes a company, individual or body of individuals, family, community, corporations sole, trustee, executor or any other legal arrangement, or a person who carries out an economic activity, a person exploiting tangible or intangible property for the purpose of obtaining income therefrom by way of trade or business, or a person or agency of government acting in that capacity.

7.8 VAT invoice - section 152 of NTA

(a) When a taxpayer makes a taxable supply, he shall maintain a sequential invoice numbering, and shall in respect of a supply, furnish the purchaser with a VAT invoice containing, the following:
  (i) supplier's tax ID;
  (ii) name and address of the supplier and sequential invoice number;
  (iii) supplier's incorporation or business registration number as applicable;

(iv) the date of supply;
(v) name of purchaser or client;
(vi) gross amount of transaction; and
(vii) VAT charged and the rate.

(b) Whether or not payment is made at the time of supply, a VAT invoice shall be issued on supply.

(c) VAT invoice shall be issued by a taxable person making a taxable supply or such other person as may be appointed by the Service.

(d) For the purpose of (a) above, the Service may direct any taxpayer who makes taxable supplies to adopt the use of electronic invoice, provided that it gives a notice of, at least 30 days to the person.

7.9 Taxable supplies of goods and services -section 201 of NTA

Based on the provisions of section 201 of NTA, 'taxable supplies" means any transaction for sale of goods or the performances of a service, for a consideration.

7.9.1 Value of imported taxable supplies - section 149 of NTA
The value of imported taxable supply is the amount which is equal to the price of the taxable supply imported plus:
(a) taxes, duties and other charges levied either outside or by reason of importation into Nigeria, other than VAT imposed under this Act; and
(b) costs by way of commission, parking, transport and insurance up to the port or point of entry.

7.9.2 Value of taxable supplies - section 148 of NTA
(a) The value of taxable supplies shall be determined as follows, where the supply is:
  (i) for a money consideration, its value shall be the amount which with the addition of the VAT chargeable is equal to the consideration; and
  (ii) not for a money consideration, the value of the supply shall be its market value.
(b) Where a taxable supply is not the only transaction to which a consideration relates, the supply shall be the part of the consideration as is properly attributable to it.
(c) The market value of a taxable supply, where it is not for money consideration, or for a supply between connected persons, shall be the money consideration as may be payable by a person in a transaction at arm's length.

7.10 Value added tax fiscalisation system

7.10.1 Value added tax fiscalisation system - section 23 of NTAA

(a) Where the Nigeria Revenue Service deploys an Electronic Fiscal System (EFS), any person making a taxable supply shall use the EFS for recording and reporting all supplies.

(b) Taxable persons shall be responsible for maintaining accurate records of all transactions passing through the EFS.

(c) The Service shall specify the fiscalisation system to be adopted and a transition arrangement for its implementation.

(d) The Service shall issue a regulation to give effect to the provisions of this section.

7.10.2 Fiscalisation of supplies of VAT - section 157 of NTA

(a) A taxable person making a taxable supply shall implement the fiscalisation system deployed by the Service in accordance with Nigeria Tax Administration Act.

(b) The fiscalisation system may include fiscal equipment consisting of electronic devices, software solutions or a communication system involving a secured network, or any such combination of the components for electronic invoicing and data transfer as the Service may prescribe or deploy.

All registered businesses are mandated to use NRS-sanctioned, real-time e-invoicing systems known as "Merchant Buyer Solution (MBS)" for all transactions. In order to facilitate digital tracking and proper allocation of VAT across states, invoices are required to indicate specific location of consumption of taxable supplies.

The NRS adopts a clearance model which allows for the validation of invoices before being sent to buyers. The official platform is the NRS e-invoicing portal where businesses are required to register.

7.11 When goods and services shall be deemed to be supplied in Nigeria - section 145 of NTA

A taxable supply shall be deemed to take place in Nigeria where, in respect of:

(a) goods:
  (i) the goods are physically present, imported into, assembled or installed in Nigeria at the time of supply; or
  (ii) the beneficial owner of the rights in or over the goods is a taxable person in Nigeria and the goods or right is situated, registered or exercisable in Nigeria;

(b) a service:
  (i) the service is provided to and consumed by a person in Nigeria, regardless of whether the service is rendered within or outside Nigeria or whether or not the legal or contractual obligation to render such service rests on a person within or outside Nigeria, or
  (ii) the service is connected with existing immovable property, including the services of agents, experts, engineers, architects, valuers, etc., where the property is located in Nigeria; and

(c) an incorporeal:
  (i) the exploitation of the right is made by a person in Nigeria or whose place of usual residence is Nigeria,

(ii) the right is registered in Nigeria, assigned to or acquired by, a person in Nigeria, regardless of whether the payment for its exploitation is made within or outside Nigeria, or

(iii) the incorporeal is connected with a tangible or immovable asset located in Nigeria.

7.12 Input VAT - section 151 of NTA

Tax paid by a taxable person to the supplier of taxable goods and a service purchased or supplied to him is known as input VAT.

7.13 Credit for input tax and remission of VAT - section 155 of NTA

(a) A taxable person shall, not later than the due date for rendering the relevant tax return prescribed by the Nigeria Tax Administration Act, where the:

(i) output VAT exceeds the input VAT, remit the excess to the Service;

(ii) input VAT exceeds the output VAT, be entitled to utilise the excess tax as a credit against subsequent months.

(b) A taxable person shall be entitled to a refund of excess VAT not utilised as a credit, upon request to the Service and provision of such information or documents as the Service may require.

(c) An importer of taxable goods shall, before clearing those goods, pay to the Service the VAT on the goods.

(d) Input tax incurred by a registered person on any taxable supply, including services and fixed assets made to such person, may be deducted from the tax payable by the person on its taxable supplies at the end of the tax period in which the supply occurred, but only to the extent that the input tax was incurred for the purpose of consumption, use or supply in the course of making taxable supplies.

Provided that:

(i) where any input tax is incurred in making both taxable and non-taxable supplies, only the proportion relating to making taxable supplies may be deducted;

(ii) the input tax shall be allowable for deduction within five years after the end of the tax period in which the input tax was incurred.

(e) The input tax which may be deducted in line with (d) above of this Section shall be limited to taxable supplies made as from the commencement of this Act.

7.14 Output VAT -section 153 of NTA

Tax collected by a taxable person on the supply of taxable goods and services to his accredited distributor, agent, client or customer, as the case may be, is known as output VAT.

7.15 Exempt supplies - section 185 of NTA

The following supplies are VAT exempt:

(a) oil and gas exports;

(b) crude petroleum oil and feed gas for all processed gas;

(c) goods purchased for use in humanitarian donor funded projects provided that the humanitarian donor shall first pay the VAT and request a refund from the Service;
(d) baby products;
(e) locally manufactured sanitary towels, pads or tampons;
(f) military hardware, arms, ammunitions and locally manufactured uniforms supplied to armed forces, para-military and other security agencies of a Nigerian government;
(g) shared passenger road-transport service;
(h) purchase, hire, rental or lease of tractors, ploughs and other equipment used for agricultural purposes.
(i) supplies consumed by an approved entity in the export processing or free trade zones, provided that the supplies are consumed on its approved activity;
(j) goods or services supplied to a diplomatic mission, diplomat or person recognised under the Diplomatic Immunities and Privileges Act whose activity is in public interest, and not for profit;
(k) plays and performances conducted by educational institutions as part of learning;
(l) land or building, including interest in land or building;
(m) money, stakes or securities, including interest in money or securities;
(n) Government licences; and
(o) Assistive devices and disability-related products, including hearing aids, wheelchairs, and braille materials.

7.16 Exemption by Order of the President - section 187 of NTA

The President may, by an order published in the Official Gazette, where, a government or an agency of a government in Nigeria has entered into an agreement with the government of another country or a donor agency for the provision of developmental financing for any project in Nigeria, and such agreement provides for the exemption of supplies made under the project from VAT, give effect to the exemption.

7.17 Zero-rated supplies and services - section 186 of NTA

The following taxable supplies are charged to VAT at the rate of zero percent:
(a) basic food items;
(b) all medical and pharmaceutical products including medicinal herbal products;
(c) educational books and materials;
(d) fertilisers;
(e) locally produced agricultural chemicals;
(f) locally produced veterinary medicine;
(g) locally produced animal feeds;
(h) live cattle, goats, sheep and poultry;
(i) agricultural seeds and seedlings;
(j) electricity generated by generation companies (GENCOs) and supplied to National Grid or Nigeria Bulk Electricity Trading Company (NBET);
(k) electricity transmitted by Transmission Company of Nigeria (TCN) to electricity distribution companies (DISCOs);
(l) medical services;
(m) tuition relating to nursery, primary, secondary or tertiary education;
(n) exported goods excluding oil and gas;
(o) exported services;

(p) exported incorporeal property; and
(q) medical equipment.

7.18 Taxable supply by non- residents - section 150 of NTA

(a) A non-resident person shall register for tax and include VAT on its invoice in respect of all taxable supplies made to Nigeria.

(b) Where a non-resident person is making taxable supplies from outside Nigeria to persons in Nigeria, the taxable person to whom the supply is made in Nigeria shall withhold the VAT due on the supply and remit it to the Service.

(c) The Service may, by notice, appoint any person, including a non-resident supplier of taxable supplies, to collect the VAT and remit it to the Service.

(d) Where a person appointed under (c) above, has made a taxable supply to a taxable person in Nigeria, the taxable person shall not have the obligation to withhold the VAT, except where the person appointed has failed to collect the VAT.

(e) Where a person appointed under (c) above does not process payments in respect of the supplies but receives commission relating to the supplies, the appointed person shall use the mechanism with which it collects its commission to collect the VAT.

(f) A non-resident person that makes a taxable supply to a person in Nigeria may appoint a representative for the purpose of compliance with its VAT obligations.

(g) The Service may issue guidelines for the purpose of giving effect to the provisions of this section, including the form, time and procedure for filing returns and payment by non-resident suppliers appointed by the Service under (c) above.

(h) Where taxable goods are imported into Nigeria through an online electronic or digital platform operated by a non-resident supplier and VAT has been collected by the Service or any person appointed by the Service, the goods shall not be further subjected to VAT before clearing upon provision of proof of payment of the VAT.

7.19 Items on which tax is suspended - section 185(2) of NTA and paragraph 1 of the Eleventh Schedule to the Act

The Minister, by an Order issued in the Official Gazette, has the prerogative to indicate the date of commencement or suspension of the charging and collection of VAT on the following items:
(a) Petroleum products;
(b) Renewable energy equipment;
(c) Compressed natural gas (CNG);
(d) Liquefied petroleum gas (LPG); and
(e) Other gaseous hydrocarbons.

7.20 Items on which the Minister may vary the classification - paragraph 2 of the Eleventh Schedule to the NTA

The following items may be classified as exempt or zero-rated supplies by an order issued by the Minister in the Official Gazette:

(a) all equipment, components and infrastructure related to the conversion and installation or expansion of Compressed Natural Gas (CNG) and Liquefied Petroleum Gas (LPG), including conversion kits; and

(b) all services relating to the conversion and installation of Compressed Natural Gas (CNG) and Liquefied Petroleum Gas (LPG).

7.21 Rate of VAT - section 147 of NTA

VAT is charged at the rate of 7.5% on the value of all taxable supplies.

7.22 Time of supply - section 146 of NTA

(a) A taxable supply takes place at the time an invoice or receipt is issued by the supplier, or where the goods are delivered or made available for use, or payment is due to or received by the supplier in respect of that supply, whichever occurs first

(b) A taxable supply shall be deemed to take place where the supplier and recipient are connected persons and invoices are not issued, in the case of :

(i) a supply of goods which are to be removed, the time of removal of the goods;

(ii) a supply of goods which is not to be removed at the time when they are available to the recipient;

(iii) furnishing of a service, upon commencement of the furnishing of the service; or

(iv) an incorporeal, when such incorporeal becomes available for the use of the recipient.

(c) Notwithstanding the provisions of (a) and (b) above:

(i) where goods are supplied under any rental agreement or where services are furnished under any agreement or law which provides for periodic payments, they shall be deemed to be successively supplied for successive parts of the periods of the agreement or as determined by such law, and each of the successive supplies shall be deemed to occur when payment becomes due or is received, whichever is earlier;

(ii) where, and to the extent that, taxable supplies are:

- progressively or periodically made under any agreement or law which provides for the consideration for that supply to be paid in instalments or periodically and in relation to the progressive or periodic supply, or
- made in relation to any construction, assembly, manufacturing, alteration, improvement or repair activity under any agreement or law which provides for the consideration for that supply to become due and payable in instalments or periodically in relation to the progressive nature of the work, the supplies shall be deemed to be successively made, and each successive supply shall be deemed to take place whenever any payment becomes due or is received or an invoice relating to only that payment is issued, whichever occurs first; and

(iii) where a taxable supply is made under an instalment credit agreement, the supply shall be deemed to take place at the time the taxable supply is delivered or the time any payment of consideration is received by the supplier in respect of the supply, whichever occurs first.

7.23 Taxable supply of non-residents / VAT reverse charge -section 150 of NTA

VAT reverse charge is a mechanism where the recipient of a supply is required to account for VAT, instead of the supplier. Put differently, the seller of the goods or services does not charge VAT on the invoice.

Reverse charge applies to supplies made by non-resident suppliers who are not registered for VAT in Nigeria and in situations where local vendors fail to charge VAT.

The recipient of the supply is responsible for accounting for VAT, must self-assess the VAT payable and remit same to NRS.

7.23.1 Benefits

a) Reverse charge simplifies VAT compliance by non-resident suppliers.
b) It reduces the administrative burden on non-resident suppliers.
c) It ensures that VAT revenue is collected on supplies made by non-resident suppliers.

7.23.2 Challenges

a) Reverse charge is complex to implement and administer.
b) It can place a significant compliance burden on recipients.
c) It can lead to errors in VAT accounting and remittance.

7.24 Computation of VAT liability, including the treatment of opening and closing inventories

Effective February 1, 2020, in computing VAT liability, the VAT output is first determined by applying VAT rate of 7.5% on the total sales net of allowable sales adjustments (see VAT form 002). Thereafter, VAT input is determined by applying VAT rate of 7.5% on purchases net of allowable purchases adjustments (see VAT form 002). VAT liability for the period is then the Output VAT less Input VAT.

However, the VAT liability for the current period can further be adjusted if there are VAT reverse charges already deducted by third parties (that is, oil and gas, governmental agencies, such as MDA's, etc.) during the same period. Also, a further adjustment may be made if there was a VAT credit (that is, excess of Input VAT over Output VAT) in a previous period.

The net VAT after the above adjustments, may either result in VAT credit or VAT payable. Nonetheless, if VAT liability computation includes inventories (that is, stocks), then, there would be need to further adjust the input VAT. To do this, the period purchases is first adjusted by adding cost of opening inventory and thereafter

cost of closing inventory is then deducted. The net result is then further adjusted as earlier explained. Input VAT is then computed by applying the VAT rate of 7.5%.

It is important to note that inventories are measured at the lower of cost and net realisable value. The cost of inventories shall comprise all costs of purchase; costs of conversion and other costs incurred in bringing the inventories to their present location and condition (see IAS2).

Illustration 7.1

ABC Nigeria Limited was incorporated many years ago, and it commenced business in February 2015. The company is engaged in the importation and sale of chemical products. The company keeps proper records for VAT purposes.

The Chief Accountant of the company resigned in January 2026, and in a chance meeting with the Managing Director, he intimated to you that the management of the company would want to ascertain the VAT remittable to the relevant tax authority based on the following financial transactions, which took place in February 2026:

		₦
(i)	The total value of taxable supplies (goods and services), including exempted/zero – rated supplies and VAT	18,600,000
(ii)	Value of exempted/zero – rated supplies included in (a) above	4,800,000
(iii)	VAT on domestic supplies/purchases for which invoicing requirements have been met	110,300
(iv)	VAT on import	285,600
(v)	VAT on purchases not wholly used in making vatable supplies	62,000
(vi)	VAT paid on transactions relating to taxable supplies:	
	• VAT paid on equipment	97,500
	• VAT paid on professional fees	48,000
	• Bank charges (VAT inclusive)	93,000

All the goods were received and sold during the month.

Required:
Compute the VAT remittable to the relevant tax authority in March 2026.

Solution to Illustration 7.1

ABC Nigeria Limited
VAT remittable to NRS in March 2026

	₦	₦
Value of taxable supplies, including exempted/zero-rated supplies and VAT	18,600,000	
Value of exempted/zero-rated supplies included in the above	(4,800,000)	
Total supplies subject to VAT	13,800,000	
VAT received on supplies ($^{7.5}/_{107.5}$ x ₦13,800,000)		962,791
VAT on domestic supplies/purchases for which invoicing requirements have been met	110,300	
VAT on import	285,600	
	395,900	
VAT on purchases not wholly used in making vatable supplies	(62,000)	
	333,900	
VAT paid on equipment	97,500	
VAT paid on professional fees	48,000	
VAT included in bank charges (7.5/107.5 x ₦ 93,000	6,488	(485,888)
VAT remittable		476,903

Tutorial notes

(i) The input VAT to be allowed as a deduction from output VAT is to be limited to the VAT paid on goods purchased or imported directly for resale and goods which form the inventory in trade used for direct production of any product on which output tax is charged.

(ii) VAT paid on any overhead, service, and general administration of a business outfit is allowed as part of input VAT if they are directly attributable to the taxable supplies.

(iii) Ditto for VAT paid on any capital item.

7.25 Obligation to keep books of accounts, Section 31 of NTAA

A person who is registered with the NRS for the tax (that is, VAT) is obligated to keep such records and books of all transactions, operations, imports, and other activities relating to taxable goods and services as are sufficient to determine the correct amount of tax due under this Act.

(a) Every person, including a company granted exemption from incorporation, shall, whether or not the person is liable to pay tax, maintain books or records of accounts.

(b) The books or records of accounts shall contain sufficient information or data of all relevant transactions for the ascertainment of the person's tax liability.

(c) The books and records required to be maintained under (a) above shall be in the English language and shall, for tax, be consistent with the format that may be prescribed by the relevant tax authority.

(d) Where the record is maintained in a language other than English language, the person shall, on demand by the tax authority, produce, at its own expense, a translation in the English language, which shall be certified by a sworn translator.

(e) Any book or record required to be kept under this section shall be kept for a period not less than six years after the year of assessment in which the income relates.

7.26 Collection of VAT by persons other than the supplier - section 155 of NTA

(a) The following persons shall collect or withhold VAT on taxable supplies made to them and remit it to the Service within the time prescribed by this Act, the Nigeria Tax Administration Act, or any regulation made pursuant thereto:

(i) Federal, State, Local Government and their respective Ministries, Departments or Agencies; or

(ii) any other person appointed by the Service to collect or withhold VAT for the purposes of this Part.

(b) The Service may direct a taxable person to whom taxable supplies is made in Nigeria and issued an invoice on which VAT is not included, to self-account for the VAT payable and remit it to the Service.

(c) The remission of the VAT under (a) and (b) above, shall be accompanied with a schedule showing the name, Tax ID and address of the contractor or supplier, invoice number, gross amount of invoice, amount of the VAT and the month to which the return relates.

(d) The VAT collected, withheld or self-accounted under this section shall be remitted to the Service on or before the 14th day of the month immediately following the month of the transaction or as may be prescribed by the Service.

(e) A person having an obligation to collect VAT shall keep proper records, make appropriate returns and remittances, and all provisions relating to compliance obligation in Nigeria Tax Act, the Nigeria Tax Administration Act or related tax laws shall apply to such person as though it is the taxable person.

7.27 Treatment of VAT on imported and exported goods and services

7.27.1 VAT on imported goods and services

(a) On imported goods, VAT will be charged on non-exempted imported goods into Nigeria, and it is based on government assessment via the Nigeria Customs Service.

There are basically four points of VAT payments for imported goods. They are through:

i. Nigeria Customs Service (NCS)

ii. Nigerian Port Authority (NPA);

iii. shipping companies or airlines; and

iv. clearing and forwarding agents.

The VAT assessment payable through Nigeria Customs Service (NCS) is usually calculated via the summation of the following:

- cost, insurance and freight (CIF) value of goods imported;
- import duty value;
- surcharge; and
- any other charges which are collectable by the Nigeria Customs Service.

The total sum above is multiplied by VAT rate of 7.5 % to arrive at the VAT payable on import.

(b) On imported services: VAT is payable on services received from outside Nigeria if such services are supplied to a Nigerian customer.

7.27.2 VAT on export

All exported goods and services are exempted from VAT. This is in line with the **concept of destination principle**, which allows for value added taxes to be retained by the country where the taxed product is being sold/consumed.

7..28 Treatment of input VAT under exempt VAT and zero-rated VAT

7.28.1 VAT exempt items

VAT exempt items refer to supplies that are not subject to VAT. Input VAT on exempt supplies are not recoverable. Given the fact that exempt supplies are not subject to VAT, the input VAT incurred on these supplies cannot be recovered.

Input VAT on exempt supplies is treated as a cost.

7.28.2 Zero-rated items

Zero-rated items refer to supplies that are subject to VAT at a rate of 0%. Input VAT on zero-rated supplies is recoverable because zero-rated supplies are subject to VAT, the input VAT incurred on these supplies can be recovered, even though the output VAT is 0%.

An example is where a company exports goods that are zero-rated for VAT purposes. The company can recover the input VAT incurred on the goods, even though the output VAT is 0%.

The input VAT on zero-rated supplies is treated as a recoverable input tax credit.

7.29 Treatment of VAT on business restructuring - section 189 of NTA

(a) In the event of restructuring of trades or businesses, the following rules shall apply:
(i) in the case of a merger of two or more trades or businesses:

- a new trade or business shall not be deemed to have commenced as a result of the merger, and the provisions of this Act as they relate to cessation of trade or business shall not apply to the trade or business that ceased as a result of the merger,
- chargeable gains shall not apply to the assets transferred to the new or surviving trade or business as a result of the merger,
- assets of the merging trades or businesses shall be deemed to have been transferred at the residue of the qualifying capital expenditure on the day following the merger,
- the remaining basis periods in which allowance may be made, shall be the number of years of assessment for which allowance is to be made less the number of years of assessment for which allowance has previously been made,
- unutilised capital allowance on the assets transferred shall be available for the use of the new or surviving trade or business,
- unabsorbed losses of the merging entities shall be available to the surviving trade or business provided that such losses were incurred by the merged trade or business, and
- taxes deducted at source in respect of the merged trades or businesses shall be available to the merged trade or business;

(ii) in the case of a sale or transfer of a trade or business which results into the cessation of a trade or business:

- the provisions of cessation of trade, business, profession or vocation shall apply to the trade or business that was sold or transferred,
- the asset sold or transferred shall be recognised at the value of which they are sold or transferred,
- unutilised capital allowance on the assets sold or transferred shall not be available for use in the new or surviving trade or business,
- unabsorbed losses of the old business shall not be available for use in the new or surviving trade, business, profession or vocation, and
- taxes deducted at source from the old trade or business, shall not be available for use by the new or surviving trade or business;

(iii) in the case of a sale or transfer of a business asset which does not result into the cessation of the trade or business, and where the parties agreed to sell or transfer the asset for an amount not exceeding the sum of the residue of the qualifying capital expenditure and unutilised capital allowance of the asset:

- capital allowance under the provisions of the First Schedule to this Act shall apply to the residue of the asset only,
- the unutilised capital allowance on the asset sold or transferred shall be available for use by the buying trade or business,
- the trade or business that sold or transferred the assets shall not claim any part of the unutilised capital allowance pertaining to the asset sold or transferred:
- chargeable gains shall not apply to the asset sold or transferred under .

(b) The relevant tax authority shall be notified of any restructuring of a trade, business,

profession or vocation prior to commencing such arrangement.

(c) Where a business, or a part of the business, which is capable of separate operation is transferred as a going concern and the purchaser uses the assets in the same kind of business, such transfer shall not be treated as a supply of goods or services for the purposes of VAT, provided that the purchaser is registered for the purposes of compliance with tax obligations

Notes

(i) Any reference to trade or business includes references to any part of the trade or business.
(ii) VAT shall not apply to business restructuring carried out in accordance with the provisions of this Act.

7.30 Vatable services rendered by financial institutions and their VAT exempt income

7.30.1 Introduction
The NRS provided clarification on how services rendered by financial institutions are liable to value added tax (VAT). Given the fact that services rendered by microfinance banks, people's banks and mortgage institutions are specifically VAT exempt, hence services provided by other financial institutions are liable to VAT.

7.30.2 Definition of financial institutions
"Financial institution" means any bank, individual, body, association or group of persons whether corporate or unincorporated, licensed under Banks and other Financial Institutions Act (BOFIA) and any other related Act which carries on the business of a discount house, finance company, money brokerage and those whose principal objects include factoring, project financing, equipment leasing, debt administration, fund management, private ledger services, investment management, local purchases, order financing, export finance, project consulting, financial consultancy, pension fund management and such other business as the Central Bank of Nigeria, Nigeria Deposit Insurance Corporation, Pension Commission and any other regulatory body may, from time to time designate.

7.30.3 Services rendered by financial institutions that are liable to VAT
Commissions, fees or other charges for services rendered by financial institutions to their customers are liable to VAT.

It should be noted that loans and advances granted to customers and interests chargeable on such transactions are not liable to VAT. However, additional services, such as documentation and perfection of loan or overdraft agreements are subject to VAT.

Where insurance companies, brokers, agents, loss adjusters, surveyors, and other service providers in the insurance industry (including staff of the financial institution) each fee or commission for services rendered to insurance companies, such income is liable to VAT. Premium received on policies is not vatable.

7.30.4 Services rendered by financial institutions that are vatable

In the consideration of services of financial institutions that are vatable, it is apposite

to differentiate between activities that constitute return on investment and consumption of services rendered by financial institutions.

Charges which arise from services rendered by financial institutions attract VAT and these include:

(a) commissions charged on forex trading or remittance;
(b) commissions on sale of bank drafts/certified cheques;
(c) commissions paid to brokers, reinsurers, underwriters and other insurance agents by an insurer;
(d) commission on asset trading;
(e) account maintenance fees, ledger fee, etc.;
(f) legal and other fees chargeable on lease arrangements;
(g) fees charged for advisory services, for example, mergers and acquisitions, financial strategy counselling, etc.;
(h) fees charged on public/private issues;
(i) debt conversion fees;
(j) fees on asset trading;
(k) fees earned on fund management;
(l) fees earned on letters of credit/documentary collection to finance import/export;
(m) fees charged on stock-brokerage and trust services;
(n) fees charged on electronic banking, POS and ATM charges;
(o) fees charged on electronic bill payments; and
(p) fees charged on mobile money transactions and other like transactions.

7.30.5 non-vatable income of financial institutions
In order to ascertain income subject to VAT, it is necessary to identify those that relate to return on investment or consideration for risk, etc. which are different from those that constitute supply of services.

Income that relate to return on investment or consideration for risk etc. are not vatable and these include:

a) interest on loans and advances, including overdraft facilities;
b) interest on savings accounts;
c) interest on bank deposits;
d) interest on interbank placements.;
e) premium on insurance policies;
f) dividends; and
g) profit or gain on disposal of securities.

7.30.6 Registration for VAT and rendition of returns
Financial institutions are expected to register for VAT and obtain taxpayer identification (Tax ID).

VAT is expected to be remitted to the relevant tax office within twenty-one days of the month following the month of transaction.

7.30.7 Treatment of input tax
VAT paid on any capital item is now allowable as an input VAT provided that the

payment directly relates to supplies that are subject to VAT. In addition, VAT paid on any overhead, service and general administration of a business outfit is also allowable if it meets the afore-mentioned requirement.

In a case where a financial institution pays VAT on goods supplied to customers, the input tax paid on the goods will be allowed against the output tax on same.

7.30.8 Duty to account for VAT

It is the responsibility of the service provider to charge and remit VAT to the relevant tax office, though the duty may change on the following occasions:

a) The duty to charge and remit VAT is that of the agent or broker where they act as intermediaries between the service provider and the customers in a case of agency or broker arrangements;
b) A financial institution is expected to self-account and remit VAT to the NRS where the agent or broker fails to charge VAT; and
c) A financial institution has the responsibility to self-account and remit VAT to the NRS where the agent or broker cannot charge VAT due to being either individuals or being a person below the VAT threshold.

7.31 VAT refund - section 56 of NTAA

(a) A request shall be made to the Service in the prescribed form by a taxable person that qualifies for VAT refund.
(b) The request referred to in (a) above, shall be made not later than 12 months after the transaction giving rise to the refund, otherwise it shall lapse.
(c) Where a valid request is received from a taxable person, the Service shall not later than 30 days of the receipt of that request, refund the tax to the taxable person or the amount shall be eligible for set-off against any tax liability of the taxpayer.

7.32 VAT compliance threshold

Based on the provisions of the NTA, only taxable persons with taxable supplies of ₦ 100 million and above are required to charge, collect, remit the tax and file monthly returns to the NRS. Put differently, a business that earns gross turnover of N 100 million or less per annum with a total fixed assets not exceeding N 250 million is not required to VAT.

It should be noted that based on the provision of section 22(5) of NTAA, a small business may, subject to a written notice addressed to the Service, choose to opt out of the exemption granted small businesses, including registration, charging of tax on its taxable supplies and filing of returns.

Illustration 7.2

A taxable person achieved taxable supplies of ₦ 100 million in January 2026. When should he collect tax and file monthly VAT returns?

Solution to Illustration 7.2

The taxable person having achieved taxable supplies of ₦ 100 million in , January 2026, should charge, collect tax and file monthly VAT returns in . February 2026.

7.33 VAT sharing formula amongst the tiers of government - section 81 of NTAA

(a) The net revenue accruing from VAT, shall be distributed as follows:
   (i) 10% to the Federal Government;
   (ii) 55% to the State Governments and the Federal Capital Territory; and
   (iii) 35% to the Local Governments.

(b) The amount of the VAT revenue standing to the credit of states and local governments shall be distributed among them on the following basis:
   (i) Equally - 50%;
   (ii) Population - 20%; and
   (iii) Consumption - 30%.

(c) For the purpose of this section, consumption is determined by the place of consumption, irrespective of where the return is filed.

7.34 Types of VAT

7.34.1 Gross product type variant of VAT
This is a method of computing value added tax (VAT) based on the gross value of goods and services produced or sold without deducting input VAT.

Businesses are not allowed to deduct input VAT from their VAT liability. A single VAT rate is applied to the gross value of goods and services.

(a) Advantages of gross product type variant of VAT include:

   (i) simplification of VAT administration, as businesses do not need to track input VAT;
   (ii) reduction in compliance costs, as businesses incur lower compliance costs, as they do not need to maintain detailed records of input VAT; and
   (iii) enhancement of economic growth as businesses are incentivised to produce and sell more goods and services.

(b) Disadvantages of gross product type variant of VAT include:

   i. double taxation, as VAT is charged on the gross value of goods and services, without deducting input VAT;
   ii. inequitable distribution of VAT burden as businesses that produce and sell more goods and services will bear a disproportionate share of the VAT burden; and
   iii. difficulty in implementation, especially in countries with complex tax systems.

Countries that use gross product type variant of VAT include Brazil and Argentina.

7.34.2 Income type variant of VAT

This is a method of calculating value added tax (VAT) based on the income or profits earned by businesses.

The VAT base is the income or profits earned by businesses, rather than the value of goods and services sold. A single VAT rate is applied to the income or profits earned by businesses.

Businesses are allowed to deduct certain expenses, such as input VAT, wages, and raw materials, from their income or profits before calculating VAT.

(a) Advantages of income type variant of VAT include:

i. reduction of tax burden on businesses, especially those with low profit margins;
ii. encouragement of investment, as businesses are incentivised to invest in new projects and expand their operations; and
iii. simplification of VAT administration as businesses only need to report their income or profits, rather than tracking input VAT and output VAT.

(b) Disadvantages of income type variant of VAT include:

i. complexity of implementation, especially in countries with complex tax systems;
ii. difficulty in defining income or profits for VAT purposes, especially for businesses with complex financial structures;
iii. high risk of tax evasion, as businesses may underreport their income or profits to avoid paying VAT.

Currently, no country uses the income type variant of VAT.

7.34.3 The consumption type variant of VAT

This is a method of computing value added tax (VAT) based on the value of goods and services consumed by households and businesses.

The VAT base is the value of goods and services consumed by households and businesses.

A single VAT rate is applied to the value of goods and services consumed. Businesses are allowed to deduct input VAT from their output VAT liability.

(a) Advantages of consumption type variant of VAT include:

i. ensuring neutral taxation, as VAT is levied on the value of goods and services consumed, rather than on the production process;
ii. encouragement of economic growth, as businesses are incentivised to produce and sell goods and services that meet the demands of households and businesses; and
iii. simplification of VAT administration as taxpayers only need to report their output VAT liability and claim input VAT deductions

(b) Disadvantages of consumption type variant of VAT include:

i. difficulty in ascertaining the value of goods and services consumed, especially in the case of exempt or zero-rated supplies;
ii. high risk of tax evasion, as taxpayers may underreport their output VAT liability or overclaim input VAT deductions; and
iii. complexity in cross-border transactions as businesses may need to account for VAT in multiple jurisdictions.

Countries that use consumption type variant of VAT include Canada, Australia, and Nigeria.

7.35 VAT enforcement and practice

7.35.1 VAT visits

VAT inspectors from the local VAT office, from time to time, visit the premises of every vatable person for the following purposes:

(a) to ensure compliance with the VAT law;
(b) to ensure that amounts deducted as VAT are promptly accounted for;
(c) to examine method of keeping transactions and offer suggestions where necessary; and
(d) to educate VAT agents on new developments in the system.

7.35.2 VAT drive

This is to take place periodically at the instance of the zonal coordinators. Such tax drives are to stimulate the collection of VAT proceeds from defaulters.

7.36 VAT audit and investigation

This is to be instituted on regular basis by the headquarters of NRS. It involves checking both VAT officers and VAT payers' records to ensure strict compliance with the provisions of the Act and accountability of the proceeds collected.

7.37 Merits and demerits of VAT

7.37.1 Merits

These include:

a) reliable source of government revenue;
b) it eliminates the narrow scope and cascading effect of the repealed sales tax;
c) It is a consumption tax, hence very easy to collect;
d) fairness is established because consumers pay the tax in line with their consumption of goods and services received; and
e) it can be used as a tool of fiscal policy. Items can be exempted; tax rate can be changed to achieve specific economic objectives.

7.37.2 Demerits

These include:

(a) high administrative cost on the part of the government;
(b) high cost of keeping records by the companies/agents;
(c) injustice in the distribution of the VAT proceeds;
(d) corruption on the part of tax officials can render VAT ineffective; and
(e) problem of inadequate information can make VAT administration ineffective.

7.38 Offences and penalties

7.38.1 Failure to register for VAT - section 100 of NTAA

(a) A taxable person who fails or refuses to register for tax, shall be liable to pay an administrative penalty of:
(i) ₦50,000 in the first month in which the failure occurs; and
(ii) ₦25,000 for each subsequent month in which the failure continues.

(b) A statutory body or company who awards a contract to an unregistered person, shall be liable to pay an administrative penalty of ₦5,000,000.

7.38.2 Failure to file VAT returns - section 101 of NTAA

A taxable person who fails or refuses to file returns or knowingly files incomplete or inaccurate returns to the relevant tax authority in accordance with the provisions of this Act, shall be liable to pay an administrative penalty of:

(a) ₦100,000.00 in the first month in which the failure occurs; and
(b) ₦50,000.00 for each subsequent month in which the failure continues.

7.38.3 Other general offences and penalties relating to tax

Please see Chapter 4.12.

7.39 Interpretations - section 188 of NTA

For the purposes of VAT:

"Baby Products" means products made for the use of babies from birth to 3 years of age and described below:

(a) baby activity and entertainment products, for example, baby safety car and home accessories, high chairs, cots/bassinets/baskets/cribs etc. along with parts and accessories;
(b) baby bathtub, sponges, towels, etc. baby grooming kit, baby creams, powders, lotions etc.;
(c) baby carriage and parts, for example, carriers/slings/bouncers/swing/rockers etc. along with parts and accessories;
(d) baby garments and clothing of any material;
(e) feeding products, for example, feeding bottle, feeding bottle warmers and related accessories;
(f) plates, spoons, cups, sippy cups, etc., breast pumps and accessories, nursing and feeding pillows etc.;

(g) sanitary wares, for example, diapers, wipes and related products, diaper bags, potty and toilet training devices, baby mattress waterproof cover, baby toiletries, changing table and mat; and
(h) others, for example, baby monitors along with parts and accessories;

"Basic Food Items" means an agriculture-based or aquatic-based staple food, including:
(a) locally produced table honey;
(b) white bread and brown bread;
(c) cereals including maize, rice, wheat, millet, barley, sorghum, oats, fonio and finer millet, in the form of grain, flour, crop, whether raw or semi processed, whether in bulk or retail;
(d) cooking oils including, vegetable oil, soya oil, palm oil, groundnut oil, shea butter, beniseed oil, olive oil, coconut oil; provided that they are of a type and grade suitable for culinary purposes, and do not contain any substance such as, fragrance, which will make them unsuitable for culinary use;
(e) culinary herbs including, curry, thyme, onions, ginger, mint, whether raw or processed;
(f) fish of all kinds other than ornamental, whether live, fresh, frozen, smoked or dried;
(g) flour and starch including, corn flour, plantain flour, cassava flour, beans flour, wheat flour, rice flour, yam flour, cassava flakes (garri), whether bleached or unbleached, refined or unrefined; provided that it is suitable for culinary purposes;
(h) fruits including, pineapples, oranges, mangoes, guavas, grape fruit, banana, pawpaw, etc., whether fresh or dried;
(i) live or raw meat from cow, goat, lamb, pig, poultry, whether butchered or in parts, fresh or frozen, and including poultry eggs;
(j) milk, whether fresh or processed into liquid or powdered form;
(k) nuts for human consumption such as, groundnut, walnut, cashew nut, hazelnut, kolanut, tigernuts, coconut, etc. whether raw, roasted, dried, fried, boiled or seasoned, cracked or in the shells;
(l) pulses for human consumption including, beans, lentils, peas, chickpeas and tamarind, etc., whether raw, roasted, fried, boiled, salted or in their shells;
(m) tubers (roots) of yam, cocoyam, potatoes, water-yam, cassava, etc. whether in raw form, flakes or flour for human consumption;
(n) salt for only culinary use, means fine salt and salt in retail packs, and excludes industrial salt;
(o) vegetables including pepper, melon, lettuce, okra, cabbage, carrot, etc., whether fresh, dried or ground;
(p) water means natural water and table water, including spring water, rain water, pipe borne water or well water excluding:
    (i) sparkling or flavoured water,
    (ii) water sold in restaurants, hotels, eateries, lounges, cafes, canteens and other similar settings, and
    (iii) water sold by contractors, caterers or similar persons;

"Educational Books" means physical or electronic books used to implement instruction and facilitate learning in educational institutions providing pre-primary, primary, secondary, tertiary, special, adult, vocational, technical science or religious education, including booklets, brochures, pamphlets and leaflets ; newspapers, journals and periodicals, children's books, picture and painting books, music (printed,

duplicated or manuscript), maps, charts and topographical plans, covers, cases and other articles supplied together with the books ;

"Educational Materials" means materials used for instructional purposes, for active learning, assessment and administration, including physical or electronic materials used to implement instruction and facilitate learning in educational institutions providing pre-primary, primary, secondary, tertiary, special, adult, vocational, technical science, or religious education;

"Equipment" refers tools, which may be devices, machines or specialised industrial vehicles that assist a person in achieving an action beyond the normal capabilities of a human;

"Exported Goods" means goods produced or procured for commercial purposes by a person in Nigeria and supplied to a person outside Nigeria;

"Farming Machinery and Implements and Farming Transportation Equipment" means equipment used exclusively for farming or for any other agricultural production including tractors, ploughs, harrows, ridgers, harvesters, and equipment of the same kind;

"Fertilisers" means all fertilisers for agricultural purposes;

"Humanitarian donor funded projects" includes projects undertaken by Non-Governmental Organisations and religious and social clubs or societies recognised by law whose activity is not for profit and in the public interest;

"Locally produced agricultural or veterinary medicines" means:

(a) drugs and vaccines produced in Nigeria for the treatment of animals, fish and plants including veterinary pharmaceuticals in various prescription presentations; veterinary nutraceuticals in various prescription presentations; veterinary biological vaccines, anti-sera, plasma, bacterins, hormones, toxoids, etc.; veterinary biosecurity, for example, disinfectants, antiseptics, feed sanitizers and water sanitizers;

(b) drugs and vaccines produced in Nigeria for treatment of fishes including dietary supplements for fishes including feed grade amino acids as single biochemical, for example, lysine, methionine, tryptophan ; feed grade minerals as single entity ; feed grade vitamins as single entity ; feed grade enzymes; feed grade inorganic compounds as single entity, for example, calcium phosphate, vaccines for fishes including killed vaccines ; attenuated vaccines ; deoxyribonucleic vaccines ; acid (DNA) vaccines ; recombinant vector vaccines ; subunit vaccines ; genetically modified vaccines ; synthetic peptide vaccines ;

(c) drugs and vaccines produced in Nigeria for treatment of plants such as chemical crop protection products commonly referred as pesticides or agro-chemical including insecticides; rodenticides; fungicides; herbicides; anti-sprouting products and similar products;

"Locally produced animal feeds" means feeds for poultry, cattle, fish, etc.;

"Machinery" refers to a mechanical device or the parts that operate together to perform a single task, including the accessories necessary to the working of a machine;

*"*Medical Equipment" refers to devices requiring calibration, maintenance, repair, user-training and decommissioning, medical equipment used for the specific purposes of diagnosis and treatment of disease or rehabilitation following disease or injury, used either alone or in combination with any accessory, consumable or other piece of medical equipment, including veterinary equipment and devices, excluding cosmetology or fitness devices and other similar devices;

"Medical Products" refers to articles, instruments, apparatus, machine or software used in the prevention, diagnosis or treatment of illness or disease, or for detecting, measuring, restoring, correcting or modifying the structure or function of the body for some health purpose which include implantable, disposable or single-use medical devices but excludes cosmetology or fitness devices and other similar devices;

"Medical Services" means healthcare services for both humans or animals, rendered by a qualified health practitioner, excluding cosmetology, spa, gymnasium or similar services;

"Pharmaceutical Products" refer to components or finished products of both modern and traditional medicine intended for human use in the diagnosis, cure, mitigation, or treatment of disease or injury, and prevention of disease provided such products are approved by the relevant regulatory authority;

"Plant" refers to an assemblage of fixtures, tools, machinery, and apparatus which are necessary to carry on a trade or industrial business, including land, buildings, specialised structures, and equipment purchased off a shelf as a whole or an accumulation of parts which form a plant following a process of construction, installation, assemblage and transformed into a state for usage at the site of business;

"Purchase" means to obtain, acquire or take possession of a given asset, property, item or right by paying money or money's worth;

"Shared passenger road-transport service" means passenger road transport service which is available for use by the general public excluding leased, hired or rented motor vehicles, transportation apparatus for business or private use, car or ride hailing;

Stake" means amount waged on a game;

"utilisation of gas in downstream petroleum operations" refers to the marketing and distribution of natural gas for commercial purposes, and includes its use in power generation, liquefied natural gas production, gas to liquid production or fertiliser plants, and gas distribution pipelines; and

"Water" means natural water and table water, spring water, rain water, pipe borne water, well water and all-natural water of the same kind, all table water other than sparkling or flavoured water, except water sold:

(a) in restaurants, hotels, eateries, lounges, cafes, canteens and other similar settings; and

(b) by contractors, caterers and other similar vendors.

7.40 Chapter review

This chapter covers the nature, objectives and administration of value added tax (VAT), specifying the taxable persons and taxable supplies of goods and services. A brief write-up on the obligation for registration, records and accounts keeping, valid VAT invoice and preparation of VAT accounts, including the requirements for filing of VAT returns and remittance of VAT liability, treatment of VAT on imported and exported goods and services, types of VAT and offences and penalties associated with VAT.

The chapter also addresses issues bordering on returns, remittances, and refund of tax as well as matters relating to the administration of the tax as well as VAT enforcement and practice in all its ramifications.

Details of merits and demerits of VAT are highlighted, including glossary of definitions of certain titles/terms encountered under the VAT Act.

7.41 Worked examples

7.41.1 Questions

1. JOHNSON Idowu Trading Company registered for value added tax (VAT) purposes. The accounting records of the company revealed the projected following information for the year ending December 31, 2026:

The projected financial transactions relate to taxable supplies:

	₦
Revenue (VAT inclusive)	30,400,500
Purchase of raw materials (VAT inclusive)	20,140,650
Transport and travelling (VAT inclusive)	1,215,800
Vehicle running expenses (VAT inclusive)	850,420
Office equipment (VAT inclusive)	2,100,500
Furniture and fittings (VAT inclusive)	1,500,000
Motor vehicle (VAT inclusive)	2,000,600
Audit and accountancy fees (VAT inclusive)	150,000
Bank charges (VAT inclusive)	185,050
Miscellaneous expenses (VAT inclusive)	550,500

Required:
Compute the VAT payable by Johnson Idowu Trading Company for the year ending December 31, 2026; and

2. Oropo Limited is a manufacturing outfit based in Ado, Ekiti State. The company sold its vatable products to a wholesaler, Lapo Enterprises, for ₦2,000,000 in 2025. The wholesaler in turn sold the products to a retailer, Mrs. Adele, for

₦3,500,000, who finally sold them to consumers for ₦4,200,000.

Assume there was no closing inventory at each stage of the transactions.

Required:
Compute total VAT payable to Nigeria Revenue Service for the year ended December 31, 2025.

3. VAT is a consumption tax which is a multi-stage levy collected at every stage of production, sale of goods, and rendition of services.

Required:
Explain:

(a) The gross product type variant
(b) The income type variant
(c) The consumption type variant

7.41.2 Suggested solutions to questions

(1) Johnson Idowu Trading Company
Computation of VAT payable
For the year ending December 31, 2026

	₦
Output tax (Revenue) W1	2,120,965
Less: Input VAT (Purchases of raw materials) W2	(1,405,162)
	715,803
Less: Input VAT:	
Transport and travelling (7.5/107.5 x ₦1,215,800)	(84,823)
Vehicle running expenses (7.5/107.5 x ₦ 850,420)	(59,332)
Office equipment (7.5/107.5 x ₦ 2,100,500)	(146,547)
Furniture and fittings (7.5/107.5 x ₦ 1,500,000)	(104,651)
Motor vehicle (7.5/107.5 x ₦ 2,000,600)	(139,577)
Audit and accountancy fees (7.5/107.5 x N150,000)	(10,465)
Bank charges (7.5/107.5 x N185,050)	(12,910)
Miscellaneous expenses (7.5/107.5 x N550,500)	(38,407)
	119,091

Working Notes:

(W1) Output tax

$= {}^{7.5}/_{107.5} \times$ ₦30,400,500

= ₦2,120,965

(W2) Input tax

$= {}^{7.5}/_{107.5} \times$ ₦20,140,650

= ₦1,405,162

2.

Oropo Ltd
Computation of total VAT payable to NRS
For the year ended December 31, 2025

Stages	Computations	₦	VAT payable ₦
A	Manufacturer - Sales value	2,000,000	
	Gross VAT at 7.5%	150,000	
	Net VAT	150,000	150,000
B	Wholesaler - Sales value	3,500,000	
	Gross VAT at 7.5%	262,500	
	Net VAT (₦262,500 – ₦150,000)		112,500
C	Retailer - Sales value	4,200,000	
	Gross VAT at 7.5%	315,000	
	Net VAT (₦315,000 – ₦262,500)		52,500
	Total VAT payable to FIRS		315,000

3. Types of VAT

(a) Gross product type variant of VAT

This is a method of computing value added tax (VAT) based on the gross value of goods and services produced or sold without deducting input VAT.

Businesses are not allowed to deduct input VAT from their VAT liability. A single VAT rate is applied to the gross value of goods and services.

(i) Merits of gross product type variant of VAT include:

- simplification of VAT administration, as businesses do not need to track input VAT;
- reduction in compliance costs, as businesses incur lower compliance costs, as they do not need to maintain detailed records of input VAT; and
- enhancement of economic growth as businesses are incentivized to

produce and sell more goods and services.

(ii) Demerits of gross product type variant of VAT include:

- double taxation, as VAT is charged on the gross value of goods and services, without deducting input VAT;
- inequitable distribution of VAT burden as businesses that produce and sell more goods and services with bear a disproportionate share of the VAT burden; and
- difficulty in implementation especially in countries with complex tax systems.

Countries that use gross product type variant of VAT include Brazil and Argentina.

(b) Income type variant of VAT

This is a method of calculating value added tax (VAT) based on the income or profits earned by businesses.

The VAT base is the income or profits earned by businesses, rather than the value of goods and services sold. A single VAT rate is applied to the income or profits earned by businesses.

Businesses are allowed to deduct certain expenses, such as input VAT, wages, and raw materials, from their income or profits before calculating VAT.

(i) Merits of income type variant of VAT include:

- reduction of tax burden on businesses, especially those with low profit margins;
- encouragement of investment as businesses are incentivised to invest in new projects and expand their operations;
- simplification of VAT administration as businesses only need to report their income or profits, rather than tracking input VAT and output VAT.

(ii) Demerits of income type variant of VAT include:

- complexity of implementation, especially in countries with complex tax systems;
- difficulty in defining income or profits for VAT purposes, especially for businesses with complex financial structures;
- high risk of tax evasion, as businesses may underreport their income

or profits to avoid paying VAT.

Currently, no country uses the income type variant of VAT.

(c) The consumption type variant of VAT

This is a method of computing value added tax (VAT) based on the value of goods and services consumed by households and businesses.

The VAT base is the value of goods and services consumed by households and businesses.

A single VAT rate is applied to the value of goods and services consumed. Businesses are allowed to deduct input VAT from their output VAT liability.

Countries that use consumption type variant of VAT include Canada, Australia, and Nigeria.

(i) Merits of consumption type variant of VAT include:

- ensuring neutral taxation, as VAT is levied on the value of goods and services consumed, rather than on the production process;
- encouragement of economic growth, as businesses are incentivized to produce and sell goods and services that meet the demands of households and businesses; and
- simplification of VAT administration as taxpayers only need to report their output VAT liability and claim input VAT deductions.

(ii) Demerits of consumption type variant of VAT include:

- difficulty in ascertaining the value of goods and services consumed, especially in the case of exempt or zero-rated supplies;
- high risk of tax evasion, as taxpayers may underreport their output VAT liability or overclaim input VAT deductions; and
- complexity in cross-border transactions as businesses may need to account for VAT in multiple jurisdictions.

CHAPTER EIGHT

STAMP DUTIES

Contents

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z. Duty relating to one instrument covering multiple transactions - section 140 of NTA
aa. Duty relating to multiple instruments covering same transaction - section 141 of NTA
bb. Provisions on non-monetary consideration - section 142 of NTA
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8.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of the provisions of NTA and NTAA relating to the administration and operations of stamp duties.

8.1 Learning outcomes

On successful completion of this chapter, the readers should be able to:

(a) understand the nature of stamp duties;

(b) appreciate the administration of stamp duties; and

(c) gain knowledge and understanding of other issues relating to stamp duties.

8.2 Nature and objectives

Section 147 of NTAA defines "Stamp duty" as a duty on dutiable instruments under NTAA, the NTA or any other laws.

The primary objective of stamping of documents is specifically mentioned in section 126 of NTA. The primary objective is to ensure the validity of instruments, legal enforcement, and enhance efficient tax collection, amongst others.

8.3 Imposition of duties on instruments, including relevant terminologies

8.3.1 Imposition of duties - section 123 of NTA

Duties shall be imposed on dutiable instruments at the specified rates in the Ninth Schedule to this Act, being any instrument, which is —

(a) first executed in Nigeria; or

(b) executed outside Nigeria, and relates to any property situated or to any matter or thing done in Nigeria.

8.3.2 - section 201 of NTA

The definitions given in this section include:

"ad valorem" means the value of a transaction or property;

"receipt" includes a note, memorandum, writing or electronic inscription whereby money, a bill of exchange or promissory note for which money is acknowledged or expressed to have been received, deposited or paid, or whereby a debt or demand, or any part of a debt or demand is acknowledged to have been settled, satisfied or discharged, or which signifies or imports any such acknowledgement, and whether the same is or is not signed with the name of a person;

"instrument" includes any document relating to transactions consummated through conventional, electronic or other means.

8.3.3 Other definitions

(a) Bill of exchange - section 127 of NTA

"bill of exchange" includes draft, order, cheque and letter of credit, and any document or writing, except a bank note entitling or purporting to entitle a person, whether named therein or not, to payment by any other person of or to draw upon any other person for, any sum of money:
"bill of exchange payable on demand" includes an order for the payment of any sum or money:

(i) by a bill of exchange or a promissory note, or for the delivery of any bill of exchange or promissory note in satisfaction of any sum of money or for payment of any sum of money out of any particular fund which may or may not be available, or upon any condition or contingency which may or may not be performed or happen; and

(ii) weekly, monthly or at any other stated periods, an order for the payment by a person at any time after the date thereof of any sum of money, and sent or delivered by the person making the same to the person by whom the payment is to be made and not to the person to whom the payment is to be made, or to any person on his behalf.

(b) Promissory note - section 128 of NTA

"promissory note" includes any document or writing, except a bank note, containing a promise to pay any sum of money.

A note promising the payment of any sum of money out of any particular fund which may or may not be available, or upon any condition or contingency which may or may not be performed or happen, shall be deemed a promissory note for that sum of money.

(c) Sale or purchase of options - section 129 of NTA

(i) Contract notes shall apply to any contract under which an option is given or taken to purchase or sell any stock or marketable security at a future time at a certain price, as it applies to the sale or purchase of any stock or marketable security.

(ii) Where under the contract in (i) above, a double option is given or taken, the contract shall be deemed to be a separate contract in respect of each option.

(d) Conveyance on sale - section 130 of NTA
Every transfer of interest or rights in real property shall be subject to duty under this section as conveyance on sale.

(e) Conveyance in consideration of a debt - section 131 of NTA
Where a property is conveyed to a person in consideration, wholly or in part, of a debt due to the person, the debt shall be deemed the consideration in respect of which the conveyance is chargeable with *ad valorem* duty.

8.4 Instruments and receipts liable to stamp duties - Ninth Schedule to NTA

These instruments are as follows:
Ninth Schedule
Sections 123, 132, 135, 136 (1), (2)(c) and 141 (2)

DUTIABLE INSTRUMENTS

S/N	*Name of Instruments*	*Type*	*New Rate*	*Persons liable to Pay Duty*	*Exemptions*
1	Agreement or Contract accompanied with a deposit (see Mortgage)	Ad Valorem	0.375%	Mortgagee	Relates to property less than ₦10,000,000
2	Agreement for sale of real property (see Conveyance on sale)	Ad Valorem	1.5%	Transferee	
3	Annuity (see Conveyance on Sale)	Ad Valorem	1.5%	Transferee	
4	Assignment (by way of security or of any security) (see Mortgage)	Ad Valorem	0.375%	Mortgagee	Relates to property less than ₦10,000,000
5	Irrevocable Assignment (upon a sale or otherwise) (see Conveyance)	Ad Valorem	1.5%	Transferee	
6	Bill of Exchange - of any other Kind (Local & Foreign)	Ad Valorem	0.10%	Payee	
7	Bonds (Repayment of money & Transfer Stocks)	Ad Valorem	0.375%	Party taking Security	
8	Capital Duty on Nominal Shares	Ad Valorem	0.75%	Company	
9	Capital Duty on Loan capital	Ad Valorem	0.125%	Borrower	Overdraft at the bank Loan raised for a period not exceeding 12 months Loan obtained for onward disbursement to any other person in an on lending arrangement
10	Capital Duty on Loan Capital issued wholly or partly for the purpose of converting or consolidating existing capital	Ad Valorem	0.1%	Lender	

11	Contract notes for marketable Security	Ad Valorem	0.8%	Transferee	Contract note sent by a broker or agent to his principal where the principal is himself acting as a broker or agent for a principal.
12	Contract notes (continuation note)	Ad Valorem	0.08%	Transferee	
13	Contract note (Option note)	Ad Valorem	0.04%	Transferee	
14	Contract note (following a duly stamped option note)	Ad Valorem	0.04%	Transferee	
15	Conveyance or transfer on sale	Ad Valorem	1.5%	Transferee	• Where the property has a value of ₦10,000,000 or less • Where the transfer is between associated companies holding at least 90% shareholding in each other or through a third-party, provided it had been stamped upon initial purchase
16	Conveyance or transfer by way of security of any property or security (see Mortgage)	Ad Valorem	0.375%	Mortgagee	Relates to property less than ₦10,000,000
17	Conveyance or transfers (dispositions inter vivos except to entity created by Act for the benefit of Nigeria) (see Conveyance or transfer on sale)	Ad Valorem	1.5%	Transferee	
18	Covenant (payment of money or transfer or re-transfer of stock) (see mortgage)	Ad Valorem	0.375%	Mortgagee	Relates to property less than ₦10,000,000

19	Covenant on annuity (original creation and sale)(see conveyance)	Ad Valorem	1.5%	Transferee	
20	Covenant on annuity (not original creation and sale) (see Bond, Covenant)	Ad Valorem	0.375%	Party taking security	
21	Defeasance (of any conveyance, apparently absolute but intended only as a security for money or stock) (see Mortgage)	Ad Valorem	0.375%	Mortgagee	Relates to property less than ₦10,000,000
22	Demise (see Lease)	Ad Valorem	Up to 7 years = 0.78%. Above 7 years = 3%	Lessee	Property of an annual value less than ₦1,000,000.
23	Further charge of further security	Ad Valorem	0.375%	Mortgagee	
24	Marketable security (all types)	Ad Valorem	0.225%		
25	Mortgage, Bond, Debenture, Covenant (See bonds)	Ad Valorem	0.375%	Party taking security	
26	Mutual disposition (see Exchange)	Ad Valorem	1.5%	Transferee	
27	Partition or Division (see Conveyance on sale)	Ad Valorem	1.5%	Transferee	
28	Policy of insurance (life insurance) (on premium)	Ad Valorem	0.075%	Policy Holder	
29	Policy of insurance (of any other kind)	Ad Valorem	0.075%	Policy Holder	
30	Promissory note (see Bill of Exchange)	Ad Valorem	0.1%		
31	Reconveyance (of any security) (see Mortgage)	Ad Valorem	0.375%	Mortgagee	Relates to property less than ₦10,000,000
32	Superannuation annuity (see Bond, Covenant)	Ad Valorem	0.375%	Party taking security	Relates to property less than ₦10,000,000

33	Transfer (see Conveyance)	Ad Valorem	1.5%	Transferee	
34	Transfer of Mineral Assets	Ad Valorem	2%	Transferee	

35	Agreement or Contracts (all types)	Fixed duty	₦1,000	Beneficiary of service	• Relates to a subject, the value of which is less than ₦1,000,000. • Is for the hire of any labourer, employee, artificer, manufacturer or menial servant. • Is made for or relating to the sale of any goods, wares or merchandise, including a Hire Purchase Agreement.
36	Agreement or Memorandum of Agreement under hand	Fixed duty	₦500	Beneficiary of service	(See Agreement)
37	Bill of Exchange - Payable on Demand	Fixed duty	₦500	Payee	
38	Bill of Lading	Fixed duty	₦500		Master's Copy

39	Cheque leaf (Bill of Exchange)	Fixed duty	₦50	Account owner	
40	Counterpart or Duplicate	Fixed duty	₦500	(Same as original)	
41	Draft for money (see Bill of Exchange)	Fixed duty	₦50	Payee	
42	Guarantee	Fixed duty	₦500	Guarantor	
43	Letter of credit (see Bill of Ex-change)	Fixed duty	₦500		
44	Order (for the payment of money) (see Bill of Exchange)	Fixed duty	₦50	Payee	
45	Policy of marine insurance	Fixed duty	₦500	Policy Holder	Cover notes, slips or other instruments made in anticipation of a formal marine insurance policy

46	Policy of insurance against personal Injury	Fixed duty	₦500	Policy Holder	Insurance policies on personal or household effects.

47	Receipt (for value from N10,000)	Fixed duty	₦50	(Same as liable for underlying transaction)	
48	Electronic receipt or Transfer of N10,000 upwards	Fixed duty	₦50	Transferor	Money paid into one's own account or transferred electroni-cally between ac-counts of the same owner within the same bank

8.5 Instruments exempt from stamp duties - section 184 of NTA

The instruments that are exempt from stamp duties are:

(a) transfer of shares in Government or legislative stocks or funds of Nigeria;
(b) any instrument for sale, transfer or other disposition, either absolutely or by way of mortgage, or otherwise, of any ship or vessel or any part, interest, share or property of or in any ship or vessel;
(c) any instrument on which the duty would be payable by a Nigerian Government or any of its ministries, departments or agencies;
(d) any instrument in which the duty would be payable by any consular officer arising out of his official functions provided the foreign government he represents grants similar exemption to Nigerian consular officers;
(e) any instrument executed by or on behalf of a co-operative society registered under any Act or law;
(f) shares, stocks or securities transferred by a lender to its approved agent or a borrower in furtherance of a Regulated Securities Lending Transaction;
(g) shares, stocks or securities returned to a lender or its approved agent by a borrower under a Regulated Securities Lending Transaction;
(h) all documents relating to the transfer of stocks and shares; or
(i) electronic transfer or electronic receipts of money of a sum below ₦10,000 or its equivalent in other currencies, transfers for salary payment and intra-bank self-transfers.

8.6 Relevant tax authority for collection – section 3(1)(b) of NTAA

The Nigeria Revenue Service (the Service) established under the Nigeria Revenue Service (Establishment) Act, 2025 is empowered to administer stamp duties.

8.7 Types of stamp duties

There are two types of stamp duties. These are:

8.7.1 Fixed duties

These are duties that do not vary with the consideration for the document being stamped.

Examples of instruments being assessed by fixed duties are:

(a) agreement of contracts (all types);
(b) bill of exchange payable on demand;
(c) bill of lading;
(d) cheque leaf (bill of exchange);
(e) counterpart or duplicate;
(f) guarantee;
(g) letter of credit; and
(h) electronic receipt or transfer of N10,000 upwards.

8.7.2 Ad-valorem

These are duties that vary with the amount of consideration and are in accordance with a scale prescribed by the Act. The relevant tax authority will need to know the amount involved in the transaction. This will enable him determine the appropriate duty to be paid.

Examples of instruments that are assessed based on ad-valorem basis are:

(a) contract note;
(b) bonds (repayment of money and transfer stocks);
(c) annuity;
(d) conveyance or transfer on sale;
(e) promissory note;
(f) marketable security;
(g) mortgage, bond, debenture, covenant;
(h) capital duty on loan capital;
(i) agreement for sale of real property legal mortgage and debenture loans;
(j) capital duty on nominal shares; and
(k) irrevocable assignment.

8.8 Administration of stamp duties

8.8.1 Nigeria Revenue Service - section 3(1)(b) of NTAA

This section empowers the Nigeria Revenue Service (the Service) to administer stamp duties without distinguishing between corporate and individuals. Before the enactment of the NTAA, NRS was empowered to collect stamp duties on transactions involving a company, body of individuals or banking transactions, even if the parties are individuals.

8.8.2 State Internal Revenue Service - section 87 of NTAA

This section also empowers states to collect stamp duties. This section appears to contradict section 3(1)(b) of NTAA which empowers only the NRS to administer stamp duties.

Before the enactment of the NTAA, states were allowed to collect only stamp duties on transactions amongst individuals.

8.9 Electronic documents received in Nigeria - NRS circular No. 2020/05 dated April 29, 2020

For an electronic document, receipt or instrument executed outside Nigeria to be regarded as received in Nigeria, it must be:

(a) retrieved or accessed in or from Nigeria;
(b) stored or an electronic copy of it is also stored on a device (including a computer, magnetic storage, etc.) and brought into Nigeria; or
(c) stored or an electronic copy of it is also stored on a device or computer in Nigeria.

Illustration 8.1

XYZ Limited and ABC Limited carried out a transaction in Togo, using electronic records. These records were stored on a server in Togo or a cloud facility.

ABC Limited using an electronic device in Nigeria was able to view a copy of the electronic records stored in Togo.

Required:
Were the electronic records received in Nigeria.

Suggested solution 8.2
ABC Limited having assessed the electronic instrument which comprises the electronic records in Nigeria, same is regarded as received in Nigeria.

8.10 Manner of denoting stamp duties – section 124 of NTA

(a) Duties payable on any instrument shall be paid and denoted by any of the following means:
(i) tax stamps;
(ii) a die;
(iii) electronic or digital tagging;
(iv) electronic receipt;
(v) issuance of certificate; or
(vi) any other means as may be determined by the relevant tax authority.

(b) The Minister is empowered by the regulation published in the Gazette determine any other modes of denoting duties payable under (a) above, and may specify the processes and requirements for the application of the taxation of dutiable instruments.

Illustration 8.2
In response to the amount sent by Mr. James, an employee of Circular Limited, the Chief Accountant of Apex Limited sent a message to him on his WhatsApp page, which reads “this is to acknowledge the receipt of the sum of ₦200,000”.

Required:
Is stamp duty payable based on the message?

Solution 8.2
The WhatsApp message sent by the Chief Accountant of Apex Limited to Mr. James evidencing the receipt of ₦200,000, constitutes a receipt, hence stamp duty is payable.

Mr. James is expected to inform the relevant tax authority or NRS using the e-stamp duty platform. Thereafter, NRS raises an assessment and stamp duty certificate or an acknowledgement is issued after the payment of the appropriate stamp duties.

8.11 Obligation to stamp - section 125 of NTA

(a) Any dutiable instrument executed in Nigeria, shall be stamped not later than 30 days after its execution by the person required to pay the appropriate duty.

(b) A person, being the transferee of interest in a real property, other than in a voluntary disposition during the lifetime of the transferor, or beneficiary of a service for which consideration was paid, or any other person taking the security in a transaction for which an instrument is executed, shall be responsible for paying the duty relating to the transaction.

8.12 Admissible evidence - section 126 of NTA

(a) Any unstamped dutiable instrument shall not be admissible in evidence in any court, judicial or arbitration proceedings, and in satisfying any evidentiary requirements unless otherwise stated by this Act.

(b) Notwithstanding the provisions of (a) above, an unstamped instrument may be given in evidence in a criminal proceeding.

8.13 Recoverability of outstanding duties - section 67 of NTAA

(a) Given the fact that stamp duty is a tax, any duty due shall constitute a debt due to the relevant tax authority.
(b) Where the tax due is not paid within 30 days, the relevant tax authority may issue demand notice for the payment of the tax plus the penalty and interest due.
(c) Where the tax plus the penalty and interest is not paid on the date indicated in the notice, the relevant tax authority may exercise any of the powers for the recovery of the amount due, including by a legal action brought against the taxable person.
(d) Where any tax has been:
    (i) under-assessed, the taxable person who should have paid the amount under-assessed, shall on demand by the relevant tax authority, pay the amount under-assessed; or

(ii) erroneously repaid, the taxable person to whom the repayment has erroneously been made, shall on demand by the relevant tax authority, pay the amount erroneously repaid.

(e) The amount referred to in (a) above, may be recovered by the relevant tax authority as if it were tax to which a person to whom the amount was so under-assessed or erroneously repaid were liable.

(f) The relevant tax authority shall not make any demand after six years from the date of under-assessment or erroneous repayment, unless the under-assessment or erroneous repayment was caused by the production of a document or the making of a statement which was found to be untrue.

8.14 Process of adjudication, the time limits, and appeals procedure

8.14.1 Adjudication

This is the process of determining the correct amount of duty by the relevant tax authority. A document will be duly stamped and adjudicated only when the applicable duty has been paid.

Benefits of adjudication

These include:

(a) it is the first step in disputing the views of stamp duties office on the correct amount of duty;

(b) it shows the document is genuine;

(c) it satisfies the statutory requirement; and

(d) it makes an instrument once adjudicated, admissible for all purposes notwithstanding any objection as to the duty to be paid.

8.14.2 The time limits - section 125 of NTA

Dutiable instruments are required to be stamped not later than 30 days after its execution by the person required to pay the appropriate duty.

8.14.3 Appeals procedure

This is a judicial review of the adjudication process.

(a) Dispute resolution mechanism

Section 36 of JRBEA established the office of the Tax Ombud to serve as an independent and impartial arbiter to review and resolve complaints relating to tax, levy, etc.

Paragraph 2 of the Third Schedule to the JRBEA allows a taxpayer to lodge a complaint to the office of the Tax Ombud and an investigation shall be conducted within 14 days of receipt of complaint.

(b) Appeal to the Tax Appeal Tribunal (TAT) - section 23(1) of JRBA

This section empowers TAT to settle any tax dispute arising from adjudication of stamp duties. An appeal must be filed within 30 days of receiving the notice of assessment from the tax authority.

(c) Further appeals

(i) Federal High Court - paragraph 10 to the Second Schedule of JRBEA
Any person who is dissatisfied with the decision of the Tribunal is at liberty to appeal against such decision on a point of law to Federal High Court within 30 days after the date the decision was taken.

(ii) Court of Appeal - paragraph 15 of the Second Schedule to the JRBEA
An appeal against the decision of the Federal High Court shall lie to the Court of Appeal.

8.15 Legal implications of unstamped dutiable instruments - section 126 of NTA

(a) Any unstamped dutiable instrument shall not be admissible in evidence in any court, judicial or arbitration proceedings, and in satisfying any evidentiary requirements unless otherwise stated by this Act.

(b) Notwithstanding the provisions of (a) above, an unstamped instrument may be given in evidence in a criminal proceeding.

8.16 Mode of calculating ad-valorem duty – Ninth Schedule to the NTA

Under the ninth schedule to the NTA, stamp duties are calculated based on the type of instrument with rates ranging from flat fees to ad valorem, that is, percentage of value.

a. Ad valorem
The duties are calculated at a specified percentage of the value of transaction.

b. Fixed duties
These are applied at a flat rate, such as N1,000, N500 etc. fixed duty for some instruments.

8.17 Stamp duty on electronic money transfer - Ninth Schedule to the NTA

A N50 stamp duty is payable on electronic money transfers of N10,000 and above. The duty is to be paid by the sender, not the receiver. The banks deduct the amounts for onward transmission to the NRS.

It should be noted that money paid into one's own account or transferred electronically between accounts of the same owner within the same bank, salary payments are exempt.

8.18 Provisions as to exchange of real property -section 133 of NTA

Any consideration exceeding ₦1,000,000 or a sum equal to the annual national minimum wage, whichever is higher, on an exchange of a real property for another, shall be charged to duty with the same ad valorem duty as a conveyance on sale.

8.19 Duty on leases with respect to the letting of land and building - section 134 of NTA

Any agreement for a lease, with respect to the letting of land or building, shall be subject to duty on grant of a lease or sublease, or the assignment of a lease, and shall be charged with the same duty as if it were an actual lease made for the term and consideration mentioned in the agreement, provided that lease agreements for which the annual value is less than ₦10,000,000 or 10 times the annual minimum wage, whichever is higher, shall not be chargeable with any duty.

8.20 Duty on share capital - section 135 of NTA

Based on the Ninth Schedule to the NTA, the share capital of a company shall be charged with an *ad valorem* duty as specified in the schedule, of the amount of such capital, or increase of capital, as the case may be.

8.21 Duty on loan capital - section 136 of NTA.

(a) The loan capital of a company shall be charged with *ad valorem* duty, as specified in the Ninth Schedule to the NTA.

(b) *"Loan capital"* means any debenture stock, other stock or funded debt by whatever name known or any debt raised by any corporation, company or body of persons formed or established in Nigeria but does not include -

(i) an overdraft;

(ii) loan obtained for a period not exceeding twelve months; and

(iii) loan obtained for onward disbursement to any other person in an on-lending arrangement:

Provided that for the purpose of subsection (iii) above, the beneficiary of the disbursement shall be responsible to pay the duty as prescribed in the Ninth Schedule to the NTA.

8.22 Duty on instrument made for the purpose of issuing marketable security - section 137 of NTA

An instrument made for the purpose of issuing marketable securities by or on behalf of a company or body of persons, corporate or unincorporated, formed or established in Nigeria shall be subject to duty, whether the securities are issued in Nigeria or not.

8.23 Duty on appraisements - section 138 of NTA

(a) Every appraisement or valuation carried out for the purpose of ascertaining the value of a real property is subject to duty, which shall be accounted for by the appraiser.

(b) *"appraiser"* means any person who values or appraises any estate or real property, or any interest, whether in possession or not, in any estate or real property, for a fee.

8.24 Duplicates and counterparts of a dutiable instrument - section 139 of NTA

The duplicate or counterpart of an instrument chargeable with duty shall not be deemed duly stamped, unless it is stamped as an original instrument or certified by the relevant tax authority that the full duty on the original instrument has been paid.

8.25 Duty relating to one instrument covering multiple transactions - section 140 of NTA

Where an instrument contains or relates to more than one transaction or several distinct matters, each transaction or distinct matter shall be charged to duty separately.

8.26 Duty relating to multiple instruments covering same transaction - section 141 of NTA

(a) Where multiple instruments chargeable with ad valorem duties are executed for effecting the same transaction, only one of the instruments, as may be determined by the relevant tax authority, shall be charged with the *ad valorem* duty.

(b) Any other instrument referred to in (a) above, shall be stamped as counterparts at flat rates prescribed in the Ninth Schedule to this Act.

8.27 Provisions on non-monetary consideration - section 142 of NTA

Where an instrument chargeable with *ad valorem* duty consists of non-monetary consideration, the value shall be deemed as the market value of the consideration or part thereof.

8.28 Computation of stamp duty payable

The first step is to capture the type of instrument with a view to ascertaining if it is subject to fixed duty or ad-valorem duty

Stamp duty is based on the instrument type and value, that is, for those that relate to ad valorem rates, multiply the value by the specified rates. Where there is no monetary value, consider the market value.

For instruments with fixed duty, the stamp duty is a flat fee as specified in the Ninth Schedule to the NTA.

8.29 Offences and penalties

8.29.1 Failure to stamp - section 110 of NTAA

Any person that fails to stamp dutiable instruments in accordance with the relevant provisions of the Nigeria Tax Act, is liable to pay 10% of the unpaid duty and interest at the prevailing Central Bank of Nigeria Monetary Policy Rate.

8.29.2 Failure to disclose facts in a dutiable instrument - section 111 of NTAA

Any person that fails, neglects or omits to fully disclose all the facts and circumstances relating to dutiable instrument or underpays any duty is liable, in addition to the payment of the duty due:

(a) to an administrative penalty of ₦100,000.00; or
(b) on conviction, to a fine of ₦50,000.00 or for a term of imprisonment not exceeding three years or both fine and imprisonment.

8.29.3 Fraud in relation to stamps - section 113 of NTAA

Any person who:
(a) removes or causes to be removed from a document any revenue stamp, with intent that the stamp may be reused;
(b) affixes to any other document the revenue stamp which has been removed, for the purpose of evading the payment of duty;
(c) sells or offers for sale, any revenue stamp so removed; or
(d) forges a stamp or any implement for denoting stamp duties, is liable on conviction to imprisonment for a term not exceeding three years or a fine not less than ₦2,000,000.00 or both fine and imprisonment.

8.29.4 Other offences and penalties of general application

For other offences, such as non-registration for tax, late filing of returns, etc., please see chapter 4 of this Study Text or sections 100 to 137 of NTAA.

8.30 Chapter review

This chapter explains stamp duties and its importance to the legalisation of instruments, under the NTA and NTAA. Some definitions have been provided for a number of terms used in the Acts. The Acts also state:
(a) the powers of the relevant tax authority in respect of Stamp Duties;
(b) manner of denoting stamp duties; and
(c) stamping authority as between federal and state governments, with the understanding that duties are to be charged at the respective rates specified for the various instruments listed in the Schedule to the NTA.

This chapter identifies transactions/instruments that would require stamping for legalisation, as well as those specifically exempt, according to the Act.

The mode of calculating ad-valorem duty, that is, duty rate that varies with the value of the subject matter of the Instrument, is also discussed..

8.31 Worked examples

8.31.1 Questions

(1) Stamp duties are duties basically on instruments (defined to include every written document. The scope of instruments liable to stamp duties was expanded to include electronic documents".

Required:
Explain the following:
(a) Fixed duties
(b) Ad-valorem duties
(c) Manner of denoting duty

(2) Both sections 3(1)(b) of the NTAA and section 87 of the NTAA grant the NRS and the State Internal Revenue Service to administer stamp duties, respectively.

Required:

(a) Explain the administration of stamp duties in Nigeria.

(b) Identify **four** instruments that are chargeable to stamp duties.

(3) Section 100 of NTAA provides for offences and penalties of general application.

Required:

Explain the offences and penalties relating specifically to stamp duties under the NTA, 2025.

8.31.2 Suggested solutions to questions

1 (a) Fixed duties

These are duties that do not vary with the consideration for the document being stamped.

Examples of instruments being assessed by fixed duties are:

(i) agreement of contracts (all types);
(ii) bill of exchange payable on demand;
(iii) bill of lading;
(iv) cheque leaf (bill of exchange);
(v) counterpart or duplicate;
(vi) guarantee;
(vii) letter of credit; and
(viii) electronic receipt or transfer of N10,000 upwards.

(b) Ad-valorem

These are duties that vary with the amount of consideration and are in accordance with a scale prescribed by the Act. The relevant tax authority will need to know the amount involved in the transaction. This will enable him determine the appropriate duty to be paid.

Examples of instruments that are assessed based on ad-valorem basis are:

(i) contract note;
(ii) bonds (repayment of money and transfer stocks;
(iii) annuity;
(iv) conveyance or transfer on sale;
(v) promissory note;
(vi) marketable security;
(vii) mortgage, bond, debenture, covenant;
(viii) capital duty on loan capital;
(ix) agreement for sale of real property legal mortgage and debenture loans;

(x) capital duty on nominal shares; and
(xi) irrevocable assignment.

(c) Manner of denoting duty

(i) Duties payable on any instrument shall be paid and denoted by any of the following means:

- tax stamps;
- a die;
- electronic or digital tagging;
- electronic receipt;
- issuance of certificate; or
- any other means as may be determined by the relevant tax authority.

(ii) The Minister is empowered by the regulation published in the Gazette determine any other modes of denoting duties payable under (a) above, and may specify the processes and requirements for the application of the taxation of dutiable instruments.

2 (a) Administration of stamp duties in Nigeria

(i) Nigeria Revenue Service - section 3(1)(b) of NTAA

This section empowers the Nigeria Revenue Service (the Service) to administer stamp duties without distinguishing between corporate and individuals. Before the enactment of the NTAA, NRS was empowered to collect stamp duties on transactions involving a company, body of individuals or banking transactions, even if the parties are individuals.

(ii) State Internal Revenue Service - section 87 of NTAA

This section also empowers states to collect stamp duties. This section appears to contradict section 3(1)(b) of NTAA which empowers only the NRS to administer stamp duties.

Before the enactment of the NTAA, states were allowed to collect only stamp duties on transactions amongst individuals.

(b) Instruments that are chargeable to stamp duties

(i) Fixed duties

Examples of instruments being assessed by fixed duties are:

- agreement of contracts (all types);
- bill of exchange payable on demand;
- bill of lading;
- cheque leaf (bill of exchange);
- counterpart or duplicate;

- guarantee;
- letter of credit; and
- electronic receipt or transfer of N10,000 upwards.

(ii) Ad-valorem

Examples of instruments that are assessed based on ad-valorem basis are:

- contract note;
- bonds (repayment of money and transfer stock);
- annuity;
- conveyance or transfer on sale;
- promissory note;
- marketable security;
- mortgage, bond, debenture, covenant;
- capital duty on loan capital;
- agreement for sale of real property legal mortgage and debenture loans;
- capital duty on nominal share; and
- irrevocable assignment

3 Offences and penalties for late stamping in relation to stamp duties

(a) Failure to stamp - section 110 of NTAA

Any person that fails to stamp dutiable instruments in accordance with the relevant provisions of the Nigeria Tax Act, is liable to pay 10% of the unpaid duty and interest at the prevailing Central Bank of Nigeria Monetary Policy Rate.

(b) Failure to disclose facts in a dutiable instrument - section 111 of NTAA

Any person that fails, neglects or omits to fully disclose all the facts and circumstances relating to dutiable instrument or underpays any duty is liable, in addition to the payment of the duty due:

(i) to an administrative penalty of ₦100,000.00; or

(ii) on conviction, to a fine of ₦50,000.00 or for a term of imprisonment not exceeding three years or both fine and imprisonment.

(c) Fraud in relation to stamps - section 113 of NTA

Any person who:

(i) removes or causes to be removed from a document any revenue stamp, with intent that the stamp may be reused;

(ii) affixes to any other document the revenue stamp which has been removed, for the purpose of evading the payment of duty;

(iii) sells or offers for sale, any revenue stamp so removed; or

(iv) forges a stamp or any implement for denoting stamp duties, is liable on conviction to imprisonment for a term not exceeding three years or a fine not less than ₦2,000,000.00 or both fine and imprisonment.

CHAPTER NINE

WITHHOLDING TAX (WHT)

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9.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of the provisions of Deduction of Tax at Source (Withholding) Regulations, 2024, with a view to identifying the operational procedures, problems associated with the system, and offences and penalties.

9.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) explain the nature of withholding tax, objectives, and enabling laws; transactions/income subject to WHT and relevant tax authority for collection of WHT;
(b) identify persons required to make deductions at source;
(c) identify eligible transactions subject to withholding tax;
(d) explain exemptions from withholding tax;
(e) identify the relevant tax authority;
(f) explain the obligation to deduct at source;
(g) explain the obligation to issue receipts for deductions;
(h) explain the procedure for filing withholding tax, content, timeframe, refund procedure and grounds for objection;
(i) explain the procedures and provisions relating to remittances and issuance of credit note, and treasury receipts;
(j) explain the administrative bottlenecks and other problems of WHT (including merits and demerits of WHT scheme);
(k) explain the operation of the WHT system, currency of payment and rights and obligations of taxpayers; and
(l) explain the offences and penalties for non-compliance with withholding tax obligations.

9.2 Nature of withholding tax - regulation 5

Withholding tax is a tax deducted at source from payments made to a taxable person for the supply of goods and services.

It is not another form of tax, but simply an advance payment of tax, as the withholding tax deducted at source is off-settable against any subsequent tax liability that may be due in respect of other income. It shall not be included in the contract price.

In certain cases, the withholding tax deducted at source is the final tax in the hands of the recipients.

Peculiarities of withholding tax

(a) A taxpayer has no option as to whether to pay it or not, as the person making the payment except it is a small company or a body unincorporate, where the supplier has valid tax identification (Tax ID), and the value of transaction is ₦2,000,000 or less during the relevant calendar month, is statutorily required to deduct (regulation 4). Failure to deduct attracts sanctions.

(b) It is an advance payment of income tax and can therefore be utilised as tax credit against income tax liability of the year to which the income relates and any unutilised withholding tax may be carried forward and set-off against income tax of future years.

(c) It represents the final tax in certain cases, such as dividend.

9.3 Objectives of the regulations and withholding tax - regulation 1

The objectives of withholding tax include:

(a) discourage, minimise or prevent incidence of tax evasion;
(b) widen the tax net of the government;
(c) serve as a veritable source of revenue to the government;
(d) serve as a collection mechanism for income tax;
(e) reduce the rates of deduction for sectors with low margins;
(f) give exemptions for small businesses and manufacturers;
(g) reduce arbitrage between corporate and non- corporate business structures; and
(h) embrace global best practices in the deduction of tax at source.

9.4 Administration of withholding tax - regulation 2

Taxes may be collected by any of the three tiers of government in Nigeria – the federal, state or local government. Both the Nigeria Tax Administration Act, 2025 and the Deduction of Tax at Source (Withholding) Regulations, 2024, clearly specify the ultimate government beneficiary of withholding taxes. These are the state government through the agency of the State Internal Revenue Service (SIRS) and the federal government through the Nigeria Revenue Service.

Therefore, the administration of withholding tax is within the purview of both the NRS and the SIRS.

9.5 Withholding tax enabling laws

As stated above, the relevant enabling laws in respect of withholding tax are NTAA, and Deduction of Tax at Source (Withholding) Regulations, 2024.

9.6 Persons required to make deductions at source (regulation 2), including the treatment of WHT on payment made to non- recipients (section 51 of NTAA)

(a) For the purpose of regulation 1, the following persons are empowered to deduct tax at source on eligible transactions:

(i) a body corporate or unincorporate, other than an individual;
(ii) a Government Ministry, Department or Agency;
(iii) a statutory body;
(iv) a public authority;
(v) any other institution, organisation, establishment or enterprise including those exempt from tax; and
(vi) a payment agent representing any person under paragraphs (i)-(v) above.

(b) Notwithstanding the provisions of this regulation, a body corporate, being a small company as defined under section 147 of NTAA and a body unincorporate of equivalent attributes are exempt from the requirement to deduct tax at source from any transaction, provided that the:

(i) supplier has a valid Taxpayer Identification (Tax ID); and
(ii) value of the transaction is ₦2,000,000.00 or less during the relevant calendar month

(c) In line with the provisions of section 51 of NTAA

(i) any payment that is made to a person, the person making the payment shall, at the date when payment is made or otherwise settled, deduct the tax at the rate prescribed in regulations relating to deduction of tax at source;

(ii) in the case of dividend, interest, rent, royalty, directors' fee and payment to entertainers and sportspersons, the tax, when paid over to the relevant tax authority, shall be the final tax due from a non-resident recipient of the payment.

(iii) dividend distributed by a Nigerian company and received by a person after deduction of the tax prescribed in this section and regulations relating to deduction of tax at source, shall be regarded as franked investment income of the person receiving the dividend and shall not be charged to further tax.

(iv) where a franked investment income is redistributed and tax is to be accounted for on the gross amount of the distribution in accordance with regulations relating to deduction of tax at source, the company may set off the amount deducted at source which it has itself suffered on the same income.

(v) Interest on short term securities and corporate bonds earned by an individual after deduction of tax at source, shall not be charged to further tax.

(vi) Income tax chargeable on an employee whether or not the assessment has been made, shall be deducted from any emolument payable, or from any payment made on account of the emolument, by the employer to the employee.

(vii) in arriving at the amount of income tax to be deducted from any payment of or on account of the emolument to an employee, the employer shall ensure that the aggregate amount of all the deductions made during a year of assessment shall equal the income tax chargeable on the employee in respect of its emoluments for that year.

(viii) notwithstanding (i) to (vi) above, a non-resident company that provides technical, consulting, professional or management services to a labelled startup shall be subjected to a 5% deduction on income derived from the provision of such services, which shall be the final tax to be paid by such non-resident company.

(ix) regulations relating to deduction of tax at source shall apply for the purpose of giving effect to the above stated provisions.

9.7 Transactions subject to WHT and applicable rates

FIRST SCHEDULE

[regulation 3(a)]

ELIGIBLE TRANSACTIONS AND APPLICABLE RATES

Transactions	**Corporate recipients**		**Non- corporate recipients**		**Remarks**
	Resident	**Non resident**	**Resident**	**Non resident**	
Dividend, Interest	10%	10%	10%	10%	*Rates as specified in the law*
Royalty	10%	10%	5%	5%	*Rates as specified in the law*
Rent, Hire or Lease	10%	10%	10%	10%	*Rates as specified in the law*
Commission, consultancy, technical, management, and professional fees	5%	10%	5%	10%	*Higher rate for non-residents to serve as final tax*
Supply of goods or materials other than by the manufacturer or producer	2%	N/A	2%	N/A	*Simplified description and reduced rate to address low margin*
Co-location and telecommunication tower services	2%	5%	2%	5%	*Lower rate to reflect low industry margins*
Supply or rendering of services other than those specifically listed in this Schedule.	2%	5%	2%	5%	*Simplified description and reduced rates*
Construction of road, bridges, building and power plants	2%	5%	2%	5%	*Further rate reduction to reflect lower margin*

Any other form of construction and related activities	5%	10%	5%	10%	*Amount due from non-resident is final*
Brokerage fee	5%	10%	5%	10%	*Subject to Paragraph 10(1)(l)*
Directors' fees	N/A	N/A	15%	20%	*Rates reflect marginal PIT rate for directors*
Compensation for loss of employment	N/A	N/A	10%	10%	*Section 36 of the CGT Act*
Entertainers and sports persons	N/A	15%	N/A	15%	*Applies on amounts earned in Nigeria*
Winnings from lottery, gaming, reality shows, etc.	N/A	N/A	5%	15%	*With effect from 1 January 2025*

Notes:
The term "Contract of Supplies" covers all forms of supplies, deliveries, or the like through competitive bidding tenders, LPOs or other arrangements, whether oral or written. The term does not cover the across counter cash sales or supplies in the ordinary course of sales.

Contract, which is outright sale and purchase of goods and property in the ordinary course of business are exempted from withholding tax.

Reduced rates as specified under a treaty between Nigeria and any other country for the avoidance of Double Taxation shall apply to an eligible recipient who is resident in a treaty country to the extent that such reduced rates are contained in the relevant treaty or protocol duly ratified by the National Assembly.

In the case of supply of goods, rendering of service or any eligible transaction involving non-passive income, the amount to be deducted at source shall be twice the rate specified in the Schedule where the recipient has no tax identification number.

9.8 Exemptions from withholding tax - regulation 10

The following transactions are exempt from deduction at source:

(a) compensating payments under a Registered Securities Lending Transaction as defined in section 201 of NTA;
(b) any distribution or dividend payment to a Real Estate Investment Trust or Real Estate Investment Company as defined in section 201 of NTA;

(c) across-the-counter transactions as defined under these Regulations;
(d) interest and fees paid to a Nigerian bank by way of direct debit of the funds which are domiciled with the bank;
(e) goods manufactured or materials produced by the person making the supply;
(f) imported goods where the transaction does not create a taxable presence in Nigeria for the foreign supplier;
(g) any payment in respect of income or profit which is exempt from tax;
(h) telephone charges, internet data and airline tickets;
(i) out-of-pocket expense that is normally expected to be incurred directly by the supplier and is distinguishable from the contract fees;
(j) insurance premium;
(k) supply of Liquefied Petroleum Gas (LPG), Compressed Natural Gas (CNG), Premium Motor Spirits (PMS), Automotive Gas Oil (AGO), Low Pour Fuel Oil (LPFO), Dual Purpose Kerosene (DPK), and JET-A1;
(l) commission retained by a broker from money collected on behalf of the principal in line with the industry norm for such transactions; and
m) winnings from a game of chance or a reality show with contents designed exclusively to promote entrepreneurship, academics, technological or scientific innovation.

An exemption from deduction at source in this regulation shall not be deemed as an exemption from the relevant income tax except as provided in the enabling law.

On November 30, 2020, the Tax Appeal Tribunal (TAT), Lagos Zone, in the case of Tetra Pak West Africa Limited vs Federal Inland Revenue Service, in its ruling, provided the following criteria in ascertaining what constitutes "sales in the ordinary course of business";

(a) the inclusion of the transaction/activity in the objects of the memorandum of associations;
(b) the nature and practice of the taxpayer's business and industry;
(c) the history of the taxpayer in relation to the activity, and
(d) the frequency of the type of transaction.

9.9 Relevant tax authorities for collection of WHT - regulation 2

The relevant tax authorities for the collection of WHT are both the State Internal Revenue Service (SIRS) and the (NRS).

While the SIRS collects withholding taxes due from individuals and unincorporated business entities residing in the state during a year of assessment, the NRS collects withholding tax from amount due to corporate bodies, military and police officers, external affairs offices. However, with effect from 2015, the FCT IRS is responsible for collecting withholding tax from non-residents in Nigeria and residents of Federal Capital Territory (FCT).

In the case of savings interest, the relevant tax authority is the tax authority of the place where the branch of the bank paying the interest is located.

The obligation to deduct at source shall arise at the earlier of when:
(a) payment is made, or
(b) the amount due is otherwise settled.

In the case of a payment due between related parties, deduction shall be made at the

time of payment or when the liability is recognised, whichever is earlier.

The amount deducted on any payment to a non-resident person shall be the final tax except where the income is liable to further tax by reason of a taxable presence in Nigeria.

9.10 Obligation for deductions to be receipted - regulation 8

A person who makes a deduction from any payment shall, upon remittance to the relevant authority, issue a receipt for the tax so deducted and a statement in the format prescribed in the Third Schedule to these Regulations or as may be prescribed by the relevant tax authority from time to time, containing the following information, that is the:

(a) name, address and the Tax ID of the person from whom the deduction was made; provided that where the beneficiary has no Tax ID, such a person shall provide, in the case of:
   (i) an individual, a NIN, and
   (ii) a company, an RC number;
(b) nature of transaction in respect of which the payment was made;
(c) gross amount payable or settled;
(d) amount deducted; and
(e) month to which the payment relates.

A person from whom a deduction has been made may submit the receipt under sub-regulation (1) of this regulation to the relevant tax authority as evidence of the amount deducted for the purpose of claiming tax credit for the amount so deducted.

Where a person issues a receipt for any amount deducted and yet to be remitted to the relevant authority, the beneficiary shall nevertheless be credited by the relevant tax authority and the amount so unremitted shall be treated as the tax liability of the person who made the deduction, and shall be recoverable with applicable penalty and interest.

9.11 Procedure for filing WHT returns - regulation 7(2)

It is expected that a schedule of withholding tax payable should be prepared by applying the correct WHT rate on each transaction/payment made during the month. Thereafter, a cheque for the amount due to the NRS is raised and forwarded plus the WHT schedule (in both soft and hard copies) to one of the approved collecting banks for processing.

The WHT schedule is then uploaded onto the NRS portal and once accepted, an electronic receipt (e-receipt) is generated as acknowledgement that the process is successful.

Thereafter, the bank submits copies of the WHT schedule and evidence of payment at the local NRS office for processing of both the bulk receipt and individual receipts (WHT credit notes).

9.13 Contents of WHT returns/payment schedule - regulation 7(3)

Each withholding tax cheque, being paid to the Revenue must be accompanied with a payment schedule, which is a list of those who suffered the deductions that make up the cheque. The payment schedule must contain the following particulars:

a) names of the taxpayers who suffered the deductions;
b) their addresses;
c) the nature of their activities/services and period covered;
d) their tax file numbers [now Taxpayer Identification (Tax ID);
e) the total amount payable;
f) the rate of tax applied;
g) the amount of tax withheld;
h) the balance paid to the taxpayer;
i) the tax contract for which returns were being made;
j) the date of payment; and
k) the cheque number and date.

The template for remittance and returns of amounts deducted at source is as shown below:

SECOND SCHEDULE

[regulation 7(2) and (3)]

TEMPLATE FOR REMITTANCE AND RETURNS OF AMOUNTS DEDUCTED AT SOURCE Name of Payer: .....
Tax Identification Number of Payer: .....
Month Covered:.....
Relevant Tax Authority:.....
Currency of Remittance: .....

S/N	Name and address of beneficiary	Tax ID	Nature of Transaction	Gross Amount	Rate	Amount deducted

Declaration:

I, ..., being authorised personnel of the paying entity, hereby certify that the information provided in this schedule is true, correct and complete to the best of my knowledge.

Name: .....
Designation: .....
Signature: .....
Date: .....

9 .14 Time frame for compliance with WHT returns

For WHT deducted from companies, this should be remitted to NRS whilst those deducted from individuals should be remitted to the State Internal Revenue Service where the recipient is resident.

The time frame for compliance with WHT returns in respect to companies and individuals is 21 days and 30 days respectively, from the date the duty to deduct WHT arose or when it was deducted, whichever is earlier.

9.15 Withholding tax refunds and grounds for objection - section 55 (3) of NTAA

Where it is proved that the person who suffered a withholding tax deduction is not liable to income tax for the year or that the tax withheld is in excess of the tax assessed, the Board has obligation to grant a refund of the over-payment.

Section 55(3) of NTAA provides that any tax refund due shall be made within 90 days of the decision of the relevant tax authority, with the option of a set-off against any tax liability of the taxpayer.

9.16 Remittance of WHT to tax authorities - regulation 7

Taxes are to be withheld from payments due to corporate bodies and individuals at the specified rates and remitted to the relevant tax authorities within 21 days (in case of corporate bodies) or 30 days (in the case of individuals) from the date the amount was deducted, or from the time the duty to deduct arose, whichever is earlier. Additionally, in respect of Pay-As-You -Earn, not later than the 10th day of the month following the payment.

In line with regulation 5, the tax, when paid to the Service, shall be the final tax due from a:

(a) non-resident recipient of the payment; and
(b) unit trust recipient of the payment.

9.17 Withholding tax credit notes

When payment is made to the bank or the Withholding Tax Section of the Revenue in respect of withholding tax deducted at source, the NRS will issue credit notes, in favour of the taxpayers whose names are contained in the withholding tax schedule. The credit notes are to be forwarded by the collection agents to the taxpayers who suffered the deductions, to enable them claim tax credits against their tax liabilities for the relevant assessment year(s).

It is important to emphasise that the presentation of a letter from the collection agent, showing that a taxpayer has suffered deductions, is not enough for the NRS to grant withholding tax credit.

Similarly, government treasury receipts issued by other government departments, showing that they have deducted tax from a taxpayer, is not enough to grant tax credit

since only the NRS can collect tax for the federal government and will, therefore, issue credit notes for only the taxes that have been paid into its coffers.

Each state government is expected to design forms that will enable credit to be granted to those from whose incomes, tax has been withheld.

9.18 Payment certificate and treasury receipt

A payment certificate is issued in favour of the tax agents, when payments are made to the tax office, in respect of withholding taxes they deducted at source. This certificate is the only documentary evidence that the tax agent would have, pending the issuance of the Inland Revenue Withholding Tax Receipt, which would be issued, only after, the cheque paid by the agent has been cleared in the bank.

9.19 Administrative bottlenecks and other problems of WHT

Since the introduction of withholding tax scheme into the Nigerian tax system, the scheme has been bedevilled by some challenges, which include:

(a) inconsistency in the interpretation of and the applicable WHT rate applicable to some transactions in the information circular on withholding tax issued by the NRS;
(b) bureaucracy in the process of claiming withholding tax credit;
(c) penalty for failure to deduct. Taxpayers who are essentially obliged under the income tax law to register for income tax, does so as an unpaid agent of the relevant tax authority. Therefore, penalising the tax agent for failure to deduct withholding tax may be considered as counter-productive considering that the tax agent is not paid for assisting the relevant tax authority in this regard;
(d) appropriate WHT rate to apply to transactions. In most cases, tax agents are in a dilemma as to determine and apply WHT rate correctly on different transactions; and
(e) bureaucracy in the process of withholding tax refund.

9.20 Merits and demerits of WHT scheme

9.20.1 Merits

The following are some of the merits of withholding tax scheme:

a. source of government revenue;
b. it helps in expanding the tax net by bringing into the tax net persons who were
c. previously unknown to the tax authorities;
d. it helps in determining a person's turnover and thus ascertaining the correct income for tax purposes;
e. it makes tax payment less cumbersome to the taxpayer who may not have to
f. bother himself going to the tax office to pay his tax;
g. it reduces incidence of tax evasion;
h. it involves little or no cost of collection as it is self-accounting in nature; and
i. it saves time for the revenue officers to attend to other duties.

9.20.2 Demerits

The demerits of the withholding tax scheme are:

a. a high rate of withholding tax is likely to affect the operational performance of most businesses;
b. the application of withholding tax affects the cash flow of most businesses as they receive amounts less than what they have estimated or budgeted for per the invoices they have issued; and
c. it is likely to discourage hard work by revenue officers since it is self-accounting in nature.

9.20.3 Withholding tax rate and double taxation relief

The principle behind double taxation relief is to avoid being taxed more than once. Where there is a double taxation treaty between Nigeria and any other country, the resident of such a country, in receipt of income in Nigeria, will be entitled to double taxation relief at the rates contained in the double taxation treaty. The withholding tax rate is 7.5% for dividend, interest, and royalty for recipients of a country which has double taxation treaty with Nigeria.

Nigeria has active double taxation treaties with the following countries:

(a) Canada;
(b) Czech Republic;
(c) France;
(d) Netherlands;
(e) Pakistan;
(f) Romania;
(g) Italy (air and shipping only);
(h) United Kingdom;
(i) South Africa
(j) Philippines;
(k) Belgium;
(l) China;
(m) Rwanda;
(n) Singapore;
(o) Slovakia; and
(p) Spain.

9.21 Operation of the withholding tax system

When any of the payments listed in the table above is being made by the payer who is an agent of the relevant tax authorities, for the collection and remittance of withholding tax at the appropriate rate, the tax must be correctly deducted from the payment and the net paid to the supplier.

Except for dividends which can only be paid by a body corporate, the payer has been defined as a company (corporate or unincorporated), Government Ministries and departments, parastatals, statutory bodies, institutions and other established

organisations approved for the operation of Pay-As-You-Earn system, notwithstanding that the payer is in itself not liable to pay tax. For example, an Embassy which is in itself not liable to pay tax, has an obligation to withhold tax when it makes a payment in respect of any of the items listed.

The total amount withheld monthly, is to be remitted to the relevant tax authority through a cheque or bank draft, made payable to the relevant tax authority. In the case of withholding tax payable to NRS, the cheques are to be drawn in favour of "FGN-NRS-WHT Account".

9.22 Currency of deduction

The currency in which tax is to be deducted and paid over to the relevant tax authorities is the currency of transaction. Where the transaction is in foreign currency, the tax is to be withheld in the foreign currency and paid to the relevant tax authority, through the Central Bank of Nigeria (CBN). The CBN would then effect the necessary conversion, using the ruling rate of exchange and then credit the appropriate government account with the sum.

9.23 Dual role of ministries, parastatals and other agencies of government

The various ministries and agencies of government play a dual role since January 1995 in the tax collection procedure, namely:

(a) Act as agent in the deduction of withholding tax from contract sums payable to their contractors; and
(b) Act as agent in the collection of VAT on payments made to contractors.

The distinction between deduction of withholding tax from contract sums and collection of VAT from contractors when they are paid is very important.

The withholding tax is paid to the relevant tax authority depending on whether the taxpayer is a corporate body or an individual. The VAT, on the other hand, can only be paid to the NRS under the Nigerian tax laws.

9.24 Rights and obligations of taxpayers - regulation 8

The recipient of a payment that has suffered tax by deduction at source is entitled to demand from the payer, evidence that the payer has not only deducted the tax, but has also accounted for the tax to the relevant tax authority. The evidence should be the original receipt issued by the relevant tax authority; otherwise, he is unlikely to be given credit for the tax already paid against his total tax liability for a given year of assessment.

In completing his annual tax return, the recipient is obliged to disclose his income from all sources and claim the tax reliefs that are due to him.

Even where an income is tax exempt, he is obliged to disclose or declare the income and claim the exemption. Failure to declare a source of income, even though the income may be exempt from tax, borders on tax evasion which is a punishable offence.

9.25 Penalties for non-deduction and late remittance of withholding tax

(a) Failure to deduct withholding tax - section 105 of NTAA

Any person who is obliged to collect, deduct or withhold tax under the relevant tax laws, and fails to collect, deduct or withhold the tax due is liable to an administrative penalty of 40% of the amount not deducted.

(b) Failure to remit tax deducted at source or self-account - section 107 of NTAA

(i) A person charged with the responsibility to deduct, collect or withhold any tax under this Act, and fails to remit the amount deducted, collected or withheld by the 21st day of the month immediately succeeding the month in which the amount was deducted, collected or withheld, is liable to pay:

- the amount deducted, collected or withheld but not remitted;
- an administrative penalty of 10% per annum of the tax deducted, collected or withheld but not remitted; and
- interest at the prevailing Central Bank of Nigeria monetary policy rate.

(ii) A person required to self-account under this Act and fails to self-account within the time prescribed by this Act, is liable to pay:

- the tax not self-accounted for;
- an administrative penalty of 10% per annum of the amount not self-accounted for; and
- interest at the prevailing Central Bank of Nigeria monetary policy rate.

(c) A convict of any of the offences under this section, shall be liable to a term of imprisonment not exceeding three years, or a fine of not less than the principal amount due plus penalty of not more than 50% of the sum, or both.

Notes

(a) Withholding tax deductions from payments due to companies are payable to the NRS;

(b) Withholding tax deductions from payments due to individuals are payable to the State Internal Revenue Service, where the recipient is resident;

(c) Withholding taxes on dividend, interest, rent and royalties when suffered by non-residents represent final tax. Also, with effect from January 1996, withholding tax on interest and dividend is final tax for individuals.

9.26 Chapter review

In this chapter, explanations have been given on the nature, and peculiarities of withholding tax, along with the enabling laws. A profile of the transactions/payments attracting withholding tax, and the rates applicable to each of them, vis-a-vis the category of taxpayers (Corporate entities or Individuals), suffering the tax are provided.

Details of the relevant tax authorities for purposes of collection, the nature of

offences/ penalties with regards to the tax and the incidence of double taxation relief have been clearly addressed.

The operation of the WHT, highlighting the scenario where transactions are in foreign currency, contents of the payment schedule, issuance of withholding tax credit notes and payment certificate/treasury receipts including the need for refunds and set-offs where necessary, have been fully covered. Finally, the dual role of ministries, parastatals and other agencies of governments, as well as the rights and obligations of the taxpayers, have been fully discussed.

9.27 Worked examples

9.27.1 Questions

(1) Withholding tax is not another type of tax, but simply an advance payment of tax.

Required:

(a) Explain the main features of withholding tax.
(b) Identify the relevant tax authorities in relation to withholding tax in Nigeria.
(c) Identify the contents of a payment schedule for the remittance of withholding tax.

(2) Aseye Insurance Plc engaged the services of Desu Consulting Limited for corporate re-structuring and strategic management in line with the decision of the directors to reposition the company as first amongst equals. The fee for the assignment is ₦65 million.

As the leading company in the new mega insurance company, Aseye Insurance Plc paid the agreed fee on the June 30, 2026, but no withholding tax was deducted.

Required:
Explain the tax implication of this action.

(3) A prospective client, XYZ Nigeria Limited, bid for a contract, the terms of which, included the payment of value added tax (VAT).

The client sought your advice on the tax implications.

Required:
Explain the differences between value added tax and withholding tax.

9.27.2 Suggested solutions to questions

1 (a) Main features of withholding tax include:

(i) payment of withholding tax is statutory on a person making the payment;
(ii) withholding tax credit cannot be used to off-set tax liabilities of prior years;
(iii) it is an advance payment of income tax which is utilised as tax credit against income tax liability of the year to which the income relates;
(iv) withholding tax represents the final tax on Franked Investment Income, in the hands of the recipients.

(b) The relevant tax authorities in relation to withholding tax in Nigeria are:

(i) NRS for corporate bodies; and
(ii) State Internal Revenue Service for individuals.

(c) Contents of the payment schedule for the payment of withholding tax must include:

(i) names of the taxpayers who suffered the deductions;
(ii) their addresses;
(iii) the nature of their activities/services and period covered;
(iv) their tax file numbers [now Tax Identification Number (TIN)];
(v) the total amount payable;
(vi) the rate of tax applied;
(vii) the amount of tax withheld;
(viii) the balance paid to the taxpayer;
(ix) the tax contract for which returns were being made;
(x) the date of payment; and
(xi) the cheque number and date.

2 The tax implications to Aseye Insurance Plc for failure to deduct according to section 105 of NTAA is that the company will be liable to an administrative penalty of 40% of the tax not deducted.

Specifically, this is equal to:

(a) Payment of the penalty = 40% of the tax (₦3,250,000) = ₦1,300,000.
(b) Payment of the tax, that is, 5% of ₦65million, which is ₦ 3,250,000.

3 The major differences between VAT and WHT are as shown in the table below:

	Value added tax	Withholding tax
a	An indirect tax	A direct tax
b	Imposed on goods and service	Imposed on incomes at source
c	Imposed at 7.5%	Rate applicable is dependent on type of transaction
d	Backed by NTA	Backed by Deduction of Tax at Source (Withholding) Regulations, 2024, NTA, and NTAA
e	Is governed only by NRS	Is governed by State Internal Revenue Service and NRS
f	VAT is shared by the 3 tiers of government	Withholding tax is not shared by the 3 tiers of government

CHAPTER TEN

CUSTOMS AND EXCISE DUTIES

Content

a. Learning objective

b. Learning outcomes

c. Nature, objectives and administration of customs and excise duties

d. Post clearance audit – section 36

e. Use of consultants – section 42

f. Determination of duties and customs duties on imported and exported goods

g. Collection and remittance of custom duty

h. Excisable goods and their valuations

i. Imposition, collection and remittances of excise customs duties

j. Prohibitions and restrictions on imports and exports

k. Provision of information for customs formalities and controls – section 22

l. Provisions relating to the furnishing of information by manufacturers and keeping of goods

m. Offences and penalties

n. Chapter review

o. Worked examples

10.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the provisions of the Nigeria Customs Service Act, 2023, in relation to the administration of customs and excise duties in Nigeria.

10.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) explain the nature, objectives, and administration of customs and excise duties;
(b) explain post clearance audit;
(c) justify the use of consultants;
(d) determine the values of imported and exported goods and ascertain duties and customs duties payable;
(e) explain the collection and remittance of customs duties;
(f) identify excisable goods and compute their valuations;
(g) explain the imposition, collection and remittance of excise customs duties;
(h) explain prohibitions and restrictions on imports and exports;
(i) explain the provisions of information for customs formalities and controls;

(j) explain the provisions relating to furnishing of information by manufacturers and keeping of books;
(k) compute customs duty payable; and
(l) explain the various offences and penalties under this Act.

10.2 Nature, objectives and administration of customs and excise duties

10.2.1 Nature

The Nigeria Customs Service (NCS) is one of the major revenue generating agencies for the Federal Government of Nigeria.

Nigeria Customs Service Act 2023, was enacted to repeal the Customs and Excise Management Act, Cap. C45, Laws of the Federation of Nigeria, 2004, and other Customs and Excise legislations.

10.2.2 Nigeria Customs Service (NCS)

a) Scope and application

Nigeria Customs Service hereinafter referred to "the Service":

(i) shall be a body corporate with perpetual succession and a common seal;
(ii) may sue or be sued on its corporate name;
(iii) may acquire, hold and dispose of any property, whether movable or immovable; and
(iv) shall direct, manage and enforce the provisions of the Act and the customs and excise laws listed in the Act.

b) Functions of the Service

The functions of the Service are to:

(i) administer, direct, manage and enforce the provisions of this Act and the customs and excise laws;
(ii) collect and account for revenue from customs duties, excise duties, charges, fees and special assignments as may be assigned to it by the government;
(iii) administer trade and fiscal policies of the government as it relates to the Act;
(iv) promote trade facilitation in line with international conventions and agreements as it relates to customs administration;
(v) prevent smuggling, customs fraud and all other violations under this Act;
(vi) carry out all border enforcement and regulatory activities required by law in collaboration with relevant agencies;
(vii) collate and publish accurate trade statistics and other relevant data as they relate to customs and excise;
(viii) engage in regular consultations with individual traders, trade associations and other relevant stakeholders to promote industrial harmony.
(ix) approve and licence customs agents, who shall be citizens of Nigeria; and
(x) do such other things as are necessary for or incidental to the performance of its functions and discharge of its duties under this Act and the laws of Nigeria.

c) Powers of the Service

The Service shall, subject to the approval of the Board have the power to:

(i) acquire, hold, purchase, mortgage and deal with property, whether moveable or immovable, real or personal;
(ii) enter into contracts or obligations;
(iii) advise or develop regulations on the management and administration of customs and excise management; and
(iv) issue operational guidelines for the efficient administration and operation of the provisions of the Act.

It should be noted that all officers shall have the same powers, authorities and privileges given by law to police officers.

10.2.3 Establishment of Nigeria Customs Service Board, membership, functions and powers – section 7.

a) Membership of the Board

The Board shall comprise:

(i) a Chairman, who shall be the Minister of Finance,
(ii) the Comptroller-General, who shall be the Deputy Chairman;
(iii) all the Deputy Comptroller-General of the Service;
(iv) the Legal Adviser to the Service, who shall also head the Legal Department to be appointed from the Office of the Attorney General of the Federation;
(v) a representative not below the rank of a director, from the following Federal Ministries:

- Industry;
- Trade and Investment;
- Transport;
- Aviation; and
- Foreign Affairs:

(vi) the Executive Chairman of the Federal Inland Revenue Service; and
(vii) two members representing the organised private sector for a term of four years renewable for another term of four years and no more.

b) Functions and powers of the Board

The Board shall be responsible for:

i. formulating the general policy guidelines and regulations for the Service; and reviewing and approving strategic plans for the Service;
ii. recruitment, promotion and discipline of officers of the Service; and
iii. determining the remuneration, allowances, pension and other benefits of officers and employees of the Service.

In performing its functions under this Act, the Board shall create enabling environment for synergy with Government Ministries and Agencies, and maintain

liaison with relevant law enforcement agencies for the economic development and effective compliance with the provisions of this Act.

The Board may, subject to such conditions as it may deem fit, delegate any its powers under this Act to.

i. the Service;
ii. any officer in the Service; or
iii. a committee consisting of such number of persons as the Board may decide.

c) Establishment of the Management Committee – section 14(5)
There is established, for the purpose of coordinating the supervision of the Service and its operations, a body that is referred to as "the Management Committee".

(i) Composition of the Management Committee – section 6

The Management Committee shall consist of:
(i) the Comptroller–General;
(ii) all Deputy Comptroller–General;
(iii) the Legal Adviser;
(iv) all Assistant Comptrollers – General; and
(v) the Secretary of the Board

(ii) Functions of the Management Committee – section 14(7)

The functions of the Management Committee shall be to:

(i) consider all custom matters that require professional and technical expertise and make recommendations to the Board;
(ii) coordinate the supervision of operations of administration of the Service;
(iii) ensure compliance with the provisions of the Act by supervision of its operations;
(iv) work in collaboration with relevant agencies and ministries and review Service operations to promote revenue generation, trade facilitation and to stimulate economic activities and development;
(v) work in collaboration with the relevant law enforcement agencies to carry out compliance with the provisions of this Act;
(vi) adopt measures which include compliance and regulatory actions, introduction and maintenance of investigative and control techniques on the detection and prevention of non-compliance;
(vii) collate and continually review all policies of the government relating to customs and excise matters in matters connected to revenue generation and to undertake a systematic and progressive implementation of service policies;
(viii) enforce disciplinary regulations under this Act on misconducts by officers and any other regulation made by the Board; and

(ix) carry out such other activities given to it by the Board which are necessary or expedient for the performance of all or any of the functions under this Act.

iii) Funding of the operations of the Customs Service – section 18

The Service shall keep and maintain bank accounts as may be approved by appropriate authority of the government into which shall be paid:

(a) not less than 4% of the free-on-board value of imports according to international best practices;
(b) revenues derived from assessment and collection of cost-based user fees;
(c) annual or supplementary budgetary provisions made by the government to the Service; and
(d) grants, aids or donations from local or international development partners.

The President may propose an increase to the 4% referred to above to the National Assembly under cogent and verifiable factors from the Service.

10.3 Post clearance audit – section 36

10.3.1 Powers of the Service

The Service may conduct a post clearance audit after clearance of goods.

At the sole discretion of the Service, post clearance audits may be held at the offices of the Service or at the consignee's premises or the premises of other persons directly or indirectly involved in the relevant transactions.

Post clearance audits shall be made on inspection by the Service of:

a) relevant documentation of accounts and records; or
b) data in electronic processing systems or the goods and the transaction means identified as at the time of the audit.

Persons subject to post clearance audit include:

a) importers and exporters;
b) customs agents;
c) warehouse operators;
d) zone operators;
e) banks and other financial institutions;
f) transport firms;
g) freight forwarders;
h) express couriers;
i) excise traders; and
j) other persons directly or indirectly engaged in international trade.

10.3.2 Procedure for conducting post clearance audit – section 37

An entity to undergo post clearance audit shall be given a:

a) written notice stating the date and time of the audit; and
b) questionnaire setting out the questions to be answered and returned.

Any person to be audited shall produce all relevant information, including:

a) all documents and records, paper or electronic, maintained in the normal course of business containing information relevant to the customers transactions under examination, such as:

    (i) accounting data;
    (ii) physical inventory and inventory records;
    (iii) recording of sales and other transactions;
    (iv) recording books;
    (v) account records; and
    (vi) bank transfers.

b) all documents related to import and export transactions maintained in magnetic or data processing files that have a direct or indirect relation to the audit.

The Service may, where appropriate, examine the goods and mode of transportation.

The person to be audited shall cooperate with the auditors, and where he fails to do so, the auditor shall:

    (i) stop the audit;
    (ii) retain all documents and data procured in the course of the audit; and
    (iii) make a report of the refusal to cooperate by the person being audited to the Comptroller – General or his representative.

Refusal to cooperate by a person undergoing audit under this section shall be liable to a fine of N1,500,000 for each day of such refusal and where the refusal continues for more than seven days, the person may be suspended from all customs transactions.

Where an audit discloses an attempt to evade the payment of duties, customs duties and fees or any criminal activity:
(i) the audit may be suspended; and
(ii) the matter reported to the Comptroller – General or his representative.

The person audited may within seven working days after the conclusion of the audit, forward a written explanation on any issue raised in the audit findings to assist in the preparation of the final audit report.

10.3.3 Audit disclosure of attempted evasion of duties – section 38
Any person undergoing audit shall:

(a) assist the auditors, as may be required;
(b) allow access to all parts of the facilities, to the goods, books, documents, electronic records and means of transport;
(c) present all documents and electronic records required by the auditors, and comply with the auditors' request within a reasonable time; and
(d) be represented by a person of his choice who shall be able to provide all the required information.

10.3.4 Payment of additional duties and customs duties on completion of audit – section 39

On completion of an audit, where the person audited owes additional duties or customs duties, the Service shall:

a. give a notice of underpayment to the audited person; and
b. request the audited person to pay the additional duties or customs duties, including any interest and penalties.

Where the audited person made excess payment of duties and customs duties, the excess amounts shall be reforwarded to him.

The interest referred to in this section shall be determined based on the monetary policy rate by the Central Bank of Nigeria.

10.3.5 Trader's system audit – section 40

Where a trader's system audit discloses that:

(a) the trader's system audit is reliable;
(b) records are generally in order; and
(c) no infractions have occurred,

the person may in accordance with the provisions of this Act, qualify for the application of Special Simplified Customs Procedures.

10.4 Use of consultants – section 42

Subject to the approval by the Board, the Service may employ consultants to provide services and advice on the adoption of new customs control measure; and for other purposes, provided that a consultant shall not be authorised to carry out customs control measure.

10.5 Determination of duties and customs duties on imported and exported goods

10.5.1 Rates

The customs duties are levied on goods coming into the country at varying rates from 5% to 35% of import value at each port of entry (airport, land border, sea port or inland waterway), and assessed with reference to the prevailing harmonised commodity and coding system (HS code).

Airlines registered in Nigeria and providing commercial air transport services are entitled to duty-free importation of their aircraft, engines, spare parts, and components, whether purchased or leased

10.5.2 Basis of computation

The primary basis for the customs value of goods shall be the transaction value. The transaction value is the price actually paid or payable for the goods when sold for export to the Federal Republic of Nigeria, adjusted, when necessary, in accordance with the provisions of this Act.

However, where the customs value of the imported goods cannot be determined under the provisions of this Act, the customs value shall be the transaction value of similar goods sold for export to Nigeria and exported at or about the same time as the goods being valued.

An alternative way of determining the customs value of goods, if such goods cannot be sufficiently determined is by using reasonable means which is consistent with the principles and general provisions of the World Trade Organisation's Agreement on Implementation of Article VII of General Agreement on Trade and Tariff 1994 and on the basis of data available in Nigeria.

The rate on the specified item as may be determined by the Tariff Technical Committee and approved by the President is then applied to the quantity of import or export to derive the duty payable on such an item. In determining the rates, classification, valuation and origin standards contained in the Act to imported and exported goods are used as guide.

10.5.3 Computation of the customs value of imported goods – section 69 to 74

(a) Transaction value – section 69

The primary basis for the customs value of goods is the transaction value. This is the price actually paid or payable for the goods when sold for export to the Federal Republic of Nigeria, adjusted, when necessary, in accordance with the provisions of Article 8 of the Agreement on Customs Valuation which provide for the inclusion in the transaction value of certain considerations which may pass from the buyer to the seller in the form of specified goods or services, not necessarily in the form of money.

The transaction value shall be applied if:

(i) there are no restrictions as to the disposition or use of the goods by the buyer than restrictions which:

- are imposed or required by law or by the Federal Republic of Nigeria;
- limit the geographic area in which the goods may be resold; or
- do not substantially affect the value of the goods;

(ii) the sale or price is not subject to some conditions or considerations for which a value cannot be determined with respect to the goods being valued;
(iii) no part of the proceeds of any subsequent resale, disposal or use of the goods by the buyer will accrue directly or indirectly to the seller unless an appropriate adjustment can be made; and
(iv) the buyer and seller are not related, or where the buyer and seller are related, the importer must be able to prove that the relationship did not influence the price. Related parties include:

- officer or director of one another's business;
- employer and employee;
- direct or indirect ownership, control of 5% or more of the outstanding voting stock or shares of either of the person;
- when one of the persons directly or indirectly controls the other;
- when the persons are directly or indirectly controlled by a third person;
- when together the persons directly or indirectly control a third person; or
- when the persons are members of the same family.

(b) Transaction value of identical goods – section 70

Where the customs value of goods cannot be determined under the provisions of section 69 of the Act, the customs value shall be the transactions value of identical goods sold for export to Nigeria and exported at or about the same time as the goods being valued.

The transaction value of identical goods in a sale at the same commercial level and in substantially the same quantity as the goods being valued shall be used to determine the customs value and where no such sale is found, the transaction value of identical goods sold at a different commercial level or in different quantities, adjusted to take account of differences attributable to commercial level or to quantity, shall be used, provided that such adjustment can be made on the basis of demonstrated evidence which clearly establishes the reasonableness and accuracy of the adjustment, whether the adjustment leads to an increase or a decrease in the value.

Where more than one transaction value of identical goods is found, the lowest of such value shall be used to determine the customs value of the imported goods.

(c) Transaction value of similar goods – Section 71

Where the customs value of the imported goods cannot be determined under (a) and (b) above, the customs value shall be the transaction value of similar goods sold for export to Nigeria and exported at or about the same time as the goods being valued.

In the application of the provision of this section, the transaction value of similar goods in a sale at the same quantity as the goods being valued shall be used to determine the customs value. When no such sale is found, the transaction value of similar goods sold at a different commercial level or in different quantities, adjusted to take account of other of difference attributable to commercial level or to quantity shall be used:

Provided that such adjustments can be made on the basis of demonstrated evidence which clearly establishes the reasonableness and accuracy of the adjustment, whether the adjustment leads to an increase or a decrease in value.

Where more than one transaction of similar goods is found, the lowest of such value shall be used to determine the customs value of the imported goods.

(d) Deduction value – section 72

When the customs value of the imported goods cannot be determined using the transaction value of the imported goods, or identical or similar goods, and the imported goods or identical of similar goods are sold in Nigeria in condition imported, it will be determined using the unit price at which the imported goods or identical or similar goods are sold in the greatest aggregate quantity at or about the time of importation of the goods being value to persons who are not related to the persons from whom the goods were bought subject to the following deductions:

(i) either the commissions usually paid or agreed to be paid or the additions usually made for profit and general expenses in connection with sales in such country of imported goods of the same class or kind;
(ii) the usual cost of transport and insurance and associated costs incurred within the country of importation; and
(iii) the customs duties and other customs duties and charges payable in Nigeria by reason of the importation or sale of the goods.

Where neither the imported goods nor identical nor similar imported goods are sold at or about the time of importation of the goods being valued, the customs value, shall be based on the unit price at which the imported goods or identical or similar goods are sold in the country of importation in the condition as imported at the earliest date after the importation of the goods being valued but before the expiration of 90days after the importation.

Where neither the imported goods nor identical nor similar imported goods are sold in Nigeria in the condition imported, then, if the declarant so requests, the customs value shall be based on the unit price at which the imported goods after processing, are sold in the greatest aggregate quantity to persons in Nigeria who are not related to the persons from whom such goods were bought, due allowance being made for the value added by the further processing and the deductions noted above.

(e) Computed value – Section 73

This is the most difficult method and it is rarely used in the determination of customs value of imported goods.

The computed value is based on the sum of:

(i) the cost or value of materials and fabrication or other processing used in producing the imported goods;
(ii) an amount for profit and general expenses equal to that usually reflected in sale of goods of the same class or kind as the goods being valued which are

made by producers in the country of exportation for export to Nigeria; and

(iii) the additions to transaction value, such as the cost of transport of the imported goods to the port or place of importation loading, unloading and handling charges associated with the transport of the imported goods to the port or place of importation, and the cost of insurance.

A person not resident in Nigeria may be required to produce for examination or to allow access to, any account or other record for the purposes of determining a computed value.

Information supplied by the producer of the goods for the purposes of determining the customs value may be verified in Nigeria with the agreement of the producer and provided sufficient advance notice is given to the Government of the country concerned that Government does not object to the investigation.

(f) Residual value – section 74

Where the customs value of the imported goods cannot be determined using the previous methods, the customs value shall be determined using reasonable means consistent with the principles and general provisions of relevant international convention on implementation of Article VII of General Agreement on Tariff and Trade 1994 and on the basis of data available in Nigeria.

Section 74 (2) states that the customs value shall not be determined on the basis of:

(i) the selling price in Nigeria of goods produced in Nigeria;
(ii) a system which provides for the acceptance for customs purposes of the higher of two alternative values;
(iii) the price of goods on the domestic market of the country of exportation;
(iv) the cost of production other than computed value which have been determined for identical or similar goods;
(v) the price of goods for export to a country other than Nigeria;
(vi) minimum customs values; or
(vii) arbitrary or fictitious values.

(g) Valuation methodology for the determination of goods for exports – section 76

The valuation methodology applicable to goods shall be used to determine the value of goods for export and for the assessment of all duties, customs duties and fees on imports, exports and the collection of statistics.

(h) Computation of total duty payable to Customs

How to calculate import duty (ID) and other levies

ID = Hs % of CIF, where:

ID stands for import duty (surface duty);

Hs code is the harmonised commodity description and coding system;

% is the percentage of tariff for the goods; of is multiplication;

C is the commercial invoice;

I is the marine insurance; while

F is the freight rate.

Other levies and taxes

ECOWAS trade liberalisation scheme (ETLS) levy

In addition to the custom duties, 0.5% levy of CIF value on all goods imported from outside Africa will be paid, effective January 1, 2023.

Comprehensive import supervision scheme (CISS) levy

Importers shall continue to pay an administrative charge of 1% of FOB value of all imports based on the exchange rate on the approved e-form "M".

Surcharge

This shall be 7% of import duty (surface duty).

Valued added Tax (VAT)

This is computed at 7.5% of the CIF plus all the charges, that is, 7.5% of (CIF, IDF, ETLS, CISS and Surcharge).

In addition to extant customs duties and other approved charges, a levy of 0.5% is imposed on all eligible goods imported into Nigeria from outside Africa to finance capital contributions, subscriptions and other financial obligations to the African Union, African Development Bank, African Export-Import Bank, ECOWAS Bank for Investment and Development, Islamic Development Bank, United Nations and other multilateral institutions as may be designed by regulation issued by Minister responsible for Finance.

10.6 Collection and remittance of custom duty

Customs duties on imported goods are administered and collected by the Nigeria Customs Service (NCS) whilst the importer's bank, if it is a designated bank, is saddled with the responsibility to process the e-form "M", collect and remit the duties to the Central Bank of Nigeria (CBN).

Where an importer processes the e-form "M" through a non-designated bank, payment of import duty shall be at any designated bank and a copy of the duty payment receipt

shall be submitted to the processing bank.

The designated bank is required to send an e- confirmation message to NCS to acknowledge the receipt of duty and taxes and it is expected to ensure a daily electronic transfer to the respective pool accounts with the CBN.

Based on the circular issued by Nigeria Customs Service Board with reference number NCS/PR/SP/S.582//025/027/VOL111 dated September 7, 2025, it approved $300 as Nigeria's official De Minimis threshold. This exemption applies to low-value imports, e-commerce consignments, and passenger baggage and it is restricted to four importations per annum. Under this regulation, goods valued at $300 or less are exempt from import duties and taxes, provided they are not prohibited or restricted items.

10.7 Excisable goods and their valuations

10.7.1 Excisable goods

These are goods that are subject to excise duty, a type of tax levied on the production, sale, or consumption of certain goods. In Nigeria, excisable goods include:

(a) alcoholic beverages, for example, beer, wine, spirits, and other alcoholic drinks;
(b) tobacco products, for example, cigarettes, cigars, snuff, and other tobacco products;
(c) soft drinks, such as carbonated drinks, fruit juices, and other soft drinks;
(d) cosmetics, such as perfumes, cosmetics, and other toiletries;
(e) plastic and rubber products, for example, plastic bags, rubber tires, and other plastic and rubber products; and
(f) telecommunication services.

10.7.2 Valuation of excisable goods

The valuation of excisable goods is essential in determining the amount of excise duty payable. In Nigeria, the valuation of excisable goods is based on:

a) manufacturers' price, that is, the price at which the manufacturer sells the goods to the distributor or retailer; or
b) ex-factory price which is the price of the goods at the factory gate, excluding transportation costs; or
c) retail price, that is, the price at which the goods are sold to the final consumer.

Methods of valuation include:

(a) transaction value method is determined by the price at which they are sold;
(b) comparable uncontrolled price method is determined by comparing the price of similar goods sold in the same market; and
(c) cost-plus method is determined by adding a markup to the cost of production.

10.8 Imposition, collection and remittances of excise customs duties

10.8.1 Imposition of excise duty – section 170

Excise duty shall be:

(a) imposed and chargeable on excise goods produced in the excise factory; and
(b) collected at the time a dutiable transaction occurs.

The excise duty to be imposed shall be based on the value of excisable goods or by a stated amount per unit of excisable goods, as specified in the regulations.

In the case of excisable goods, produced in the customs territory, the dutiable transaction is the removal of excisable goods from the production premises, however, goods are not considered to be removed from the production premises during the time they are stored in a bonded warehouse.

For imports, the dutiable transaction is the entry of excisable goods into the customs territory of Nigeria, and the term "entry" for excise duty purposes has the same meaning as for custom purposes.

Goods removed from the production premises for export or for loading as stores on a vessel bound out of Nigeria are exempted from excise duties.

The Service may by regulations specify restrictions and make provisions for accounts to be rendered for goods exempted from excise duties.

10.8.2 Collection and remittance of excise customs duties – section 171

The Service shall ensure the monthly collection of excise customs duties on excisable goods and the duty for each month shall be paid by a manufacturer of excisable goods, within the first 21 working days of the succeeding month, failure of which, the duty shall attract a penalty of 10 percent of the amount due for each month the excise duty due remains unpaid.

10.8.3 Amount of excise duty – section 172

Where excise duty is based on number of units, the amount of excise duty is the stated amount per unit multiplied by the quantity of units.

Where excise duty is based on the value of excisable goods, the amount of excise duty is a percentage of value determined by multiplying the value of the excisable goods by the excise duty rate.

For excisable goods produced in the customs territory, the value of excisable goods is determined on the basis of the compensation receivable by the duty payer from the customer or any other person excluding excise duty and value added tax, but not more than the ex-factory gate which is the value at which the product will ordinarily be sold at the factory gate which is exclusive of selling and distribution expenses, related charges and other non-production related expenses excise duty and value added tax and if the producer sells at both wholesale and the retail, the value used for excise duties purposes is the ex-factory price.

For imports, the amount of the dutiable transaction is the customs value of the goods, determined in accordance with customs law, but not less than the cost, insurance and freight invoice exclusive of other charges and levies excluding excise duty and value added tax, plus the amount of custom duties and other customs duties payable on the

import of the goods into the customs territory excluding excise duty and value added tax.

Except for returnable containers, the price of the container is included in determining the value of excisable goods.

The manufacture of excisable goods, without a valid license is prohibited.

10.9 Prohibitions and restrictions on imports and exports

Based on the Nigeria Customs Service Act, 2023, the President may by order:

(a) prohibit the importation or exportation of all or any specified goods; and
(b) notwithstanding the provision in (a) above, allow the importation or exportation of all or any specified goods except the general or special permission in writing of a specified authority or authorities.

Imports and exports shall, where applicable, be subject to prohibitions and restrictions relating to:

(i) public security, public morals and public policy;
(ii) prevention or relief of critical shortages of food stuffs:
(iii) the protection of the health and life of humans, animals or plants;
(iv) the protection of the environment;
(v) the protection of national treasure possessing artistic, historic or archaeological value;
(vi) the protection of the environment as contained in relevant laws and conventions;
(vii) currency and other negotiable instruments as prescribed in the Money Laundering Prohibition Act;
(viii) fishery conservation;
(ix) controlled goods imported or exported in line with relevant international laws, conventions and agreements; and

- relevant international laws, conventions and agreement on the Trade of Wild Endangered Species of Fauna and Flora (CITEs);
- chemicals monitored under the global shield programme of the World Customs Organisation

Goods prohibited under any law or regulation found within the customs territory shall prima facie be deemed to have been imported illegally and the Customs Service shall take appropriate enforcement measures in respect of such goods.

10.10 Provision of information for customs formalities and controls – section 22

(a) Provision of information to the Service – section 22

(i) Any person directly or indirectly involved in the carrying out of customs formalities or in the application of customs controls shall, at the request of the Service and within any specified time limit, provide the Service with the required documents and information, in the prescribed form, and provide all

the assistance necessary for the completion of the customs formalities and controls;

(ii) The lodging of a goods declaration, or notification or any other decision, shall render the person concerned responsible for:

- the accuracy and completeness of the information given in the declaration, notification or application;
- the authenticity of any documents lodged or made available; and
- where applicable, compliance with all of the obligations relating to the placing of the goods in question under the customs procedure concerned, or to the conduct of the authorised operations.

(iii) First bullet of (ii) above shall also apply to the provisions of any information in any other form required by or given to the Service.

(iv) Where the declaration or notification is lodged, the application is submitted or information is provided by a customs representative of the person concerned, the customs representative shall also be subject to the obligations in this section.

(b) Provision of information by the Service – section 22(2)

The Service shall ensure that all relevant information of general application pertaining to customs matters is readily available to any interested person on the Service website and at any other designated place or form.

In carrying out the obligation under this section, the Service shall ensure that it does not disclose information of a private or confidential nature affecting the Service or third parties unless disclosure is required by law.

Where the Service cannot provide information, under this section free of charge, any charge shall be limited to the appropriate cost of the services provided.

The Service shall promptly publish on the Service website and at any other designated place or form, the following information:

(i) importation, exportation or transit procedures, including seaport, airport, and other entry point procedures and the required forms and documents;
(ii) applied rates of duties, or charges of any kind in connection with importations and exportations;
(iii) rules for the classification, valuation or determination of origin of goods;
(iv) import, export or transit restrictions or prohibitions;
(v) all fees and charges imposed by the Service and other agencies in connection with importation, exportation or transit procedures;
(vi) penalty provisions applicable to breaches of import, export or transit procedures;
(vii) appeal procedures;
(viii) applicable international agreements relating to the importation,

exportation, excise or transit of goods;
(ix) allowances and duty -free concessions;
(x) clearing agent and brokers notice; and
(xi) the current law establishing the Service

10.11 Provisions relating to the furnishing of information by manufacturers and keeping of goods

10.11.1 Provisions relating to the furnishing of information by manufacturers
Manufacturers of excisable goods are required to furnish the following information to the relevant authorities:

(a) production data on their activities, including the quantity and value of goods produced;
(b) inventory data levels, including the quantity and value of goods in stock;
(c) sales data on their activities, including the quantity and value of goods sold;
(d) information on their pricing policies, including the prices at which goods are sold; and
(e) other relevant information may be required, such as data on their raw materials, labour costs, and overhead expenses.

Manufacturers of excisable goods are required to furnish information to the relevant authorities at the following frequencies:

(a) monthly returns to the Comptroller-General of Customs, providing data on their production, inventory, and sales activities; and
(b) annual returns to the Comptroller-General of Customs, providing data on their production, inventory, and sales activities for the preceding year.

10.11.2 Keeping of records by manufacturers of excisable goods

The manufacturers of excisable goods are required to keep the following accurate and detailed records of their activities:

a) production records of activities, including the quantity and value of goods produced;
b) records of inventory levels, including the quantity and value of goods in stock;
c) sales records of activities, including the quantity and value of goods sold;
d) records of purchases made, including the quantity and value of raw materials and other inputs; and
e) records of financial transactions, including receipts, payments, and other financial activities.

Records must be kept for at least 6 years from the date of the transaction or activity.

10.12 Offences and penalties

This table represents some selected offences and their corresponding penalties.

S/N	Offence	Penalty
01	**Section 37(5)** Refusal to cooperate by a person undergoing audit	He shall be liable to a fine of ₦1,500,000 for each day of such refusal and where the refusal continues for more than seven days, the person may be suspended from all customs transactions.
02	**Section 37 (6)** Where an audit discloses an attempt by a person to evade the payment of duties, Customs duties and fees or any criminal activity	The audit may be suspended and the matter reported to the Comptroller-General or his representative.
03	**Section 46 (5)** Where a person fails to report on importation and exportation of goods as required, he is liable on conviction to a fine of ₦10,000,000 or imprisonment for a term of five years or both and any goods required to be reported which are not duly reported may be detained by the proper officer until so reported or until the omission is explained	On conviction, the person is liable to a fine of ₦10,000,000 or imprisonment for a term of five years or both and any goods required to be reported which are not duly reported may be detained by the proper officer until so reported or until the omission is explained to the satisfaction of the Service and may in the meantime, be deposited in a government warehouse
04	**Section 46 (7)** If at any time after a ship, aircraft or vehicle carrying goods brought therein from any place outside Nigeria enters Nigeria and before report has been made under this section: a. bulk is broken; b. any alteration is made in the stowage of any goods carried so as to facilitate the unloading of any part of it; c. any part of the goods is staved, destroyed or thrown overboard; or d. any container opened, without the knowledge and consent of the proper officer	The master of the ship, the captain of the aircraft or the person in charge of the vehicle commits an offence and, unless the matter be explained to the satisfaction of the Service, is liable on conviction to a fine of ₦20,000,000 or imprisonment for a term of 10 years or both.

05	**Section 92 (2)** At the request of a debtor and upon the provision of a guarantee and a proof of fulfilling the criteria set out in Part XII of this Act for special simplified treatment, the Service may permit deferment of payment of the duty, excise tax, other Customs duties and fees for a period of 30 days. Where payment is deferred, the period of deferment shall begin on the day following the day on which the debt is notified to the debtor. **Where a customs debt remains unpaid within the prescribed period**	Where a customs debt remains unpaid within the prescribed period, the Service shall take all necessary legal measures to recover the debt. Interest on arrears shall be charged from the date the payment became due until the date the payment is received by the Service and the rate of interest on any arrears shall be the monetary policy rate or other appropriate rate applied by the Central Bank of Nigeria at the time the payment became due.
06	**Section 120** Where a person imports goods into the customs territory and abandons such goods, the person or the holder of the goods shall bear the cost of destruction or disposal of the goods.	The person or the holder of the goods shall bear the cost of destruction or disposal of the goods.
07	**Section 122 (8)** A warehouse shall not be operated as a customs warehouse without a license issued by the Service to the warehouse keeper. **A warehouse keeper who without the prior written approval of the Service, makes any alteration to, or addition to, a warehouse.**	A warehouse keeper who, without the prior written approval of the Service, makes any alteration to, or addition to, a warehouse shall be liable to a penalty of ₦10,000,000 and upon review may, at the determination of the Service, have the license revoked.
08	**Section 122 (9)** A warehouse keeper who uses his warehouse, or permits the warehouse to be used, in contravention of the conditions of the license.	The warehouse keeper shall be liable to a penalty of ₦10,000,000 or revocation of the license or to both.
09	**Section 122 (10)** Where an owner or occupier of a building uses the building or permits it to be used, for the deposit of goods for	The owner or occupier of a building shall be liable to a penalty of ₦20,000,000 and, in addition to a penalty of ₦1,000,000

	warehousing purposes without a valid license issued under this section	for each day, or part of a day, during which the building is used or is permitted to be so used for warehousing purposes.
10	**Section 124 (3)** A bonded warehouse keeper shall at his own expense provide and maintain at the warehouse office accommodation and related facilities conducive for work by a proper officer and other employees at the warehouse as the Service may prescribe. Where any warehouse keeper fails to comply with any of the provisions of this section, the Service may direct that no further goods shall be warehoused by that warehouse keeper until compliance by the warehouse keeper with any requirement prescribed to the satisfaction of the Service. **Where a warehouse keeper contravenes any direction given by the Service under the provision of subsection (2)**	The warehouse keeper who contravenes any direction given by the Service under the provision of subsection (2) shall be liable to a penalty of ₦20,000,000 in addition to a fine of ₦1,000,000 for each day, or part of a day, during which such contravention continues.
11

	of any goods, he commits an offence.	
13	**Section 126 (5)** The warehouse keeper shall mark the containers or lots of warehoused goods in such manners as the proper officer in charge may direct, subject to any such further directions, the warehouse keeper shall keep the goods so marked while they are warehoused. **A warehouse keeper who fails to comply with the provisions of subsection (4) commits an offence.**	The warehouse keeper is liable to a fine of ₦3,000,000.
14	**Section 132 (2)** Where a customs warehouse is closed, the person concerned shall be given 90 days after written notice of the closure to remove their goods to another customs warehouse or place the goods under another customs procedure. **Failure to remove goods from a closed warehouse within the time allotted by the Services is an offence.**	Failure to remove the goods shall result in forfeiture of same
15	**Section 133(1)** Any person who, except with the authority of the proper officer, opens any of the doors or locks of a bonded warehouse or government warehouse or makes or obtains access to any such warehouse or government warehouse or to any goods warehoused therein commits an offence	The person is liable on conviction to a fine of ₦10,000,000 or imprisonment for a term of five years or both.
16	**Section 133 (2)** Any person who fails to leave any bonded warehouse or government warehouse or any part of a bonded warehouse or government warehouse when requested to do so by any officer commits an offence.	The person is liable to a fine of ₦5,000,000 or to imprisonment for a term of three years or both.

17	**Section 133 (3)** Any person who, except as permitted under this Act, wilfully destroys or damages any goods in a bonded warehouse or government warehouse commits an offence	The person is liable on conviction to a fine of ₦10,000,000 or imprisonment for a term of five years or both.
18	**Section 147 (1)** Drawbacks shall be calculated by deducting from the amount of duties, excise Customs duties and other Customs duties paid on the goods, an amount equivalent to the proportionate cost to the Service for administering the drawback programme. The amount of drawback shall be reduced by the value of any merchantable scrap or waste resulting from the manufacturing process. **Where any person obtains or attempts to obtain, or does anything for any person to obtain any amount as drawback of any duty or tax in respect of any goods which a person is not lawfully entitled to or which is greater than the amount he is entitled to, such a person commits an offence.**	The person is liable on conviction to a fine of ₦10,000,000 or imprisonment for a term of three years or both.
17	**Section 150(1)(b)** Where any person except as provided under this Act, exports or is involved in exporting any goods chargeable with a duty which has not been paid ; or any goods contrary to any prohibition ; or loads for exportation or as stores or brings to any place in Nigeria for the purpose of exporting or loading as stores any goods the exportation of which is contrary to any prohibition, or assists or is involved in the loading or bringing of the goods with intent to evade any duty or any prohibition, the person commits an offence.	He is liable on conviction to: (i) imprisonment for a term of two years without the option of a fine; (ii) forfeiture of the goods where the exportation is prohibited, or (iii) where duty is chargeable, a fine of ₦3,000,000 or two times the value of goods, whichever is greater.

18	**Section 177(2)** An unauthorised person shall not carry on any of the activities listed under section 181 of this Act (prohibition on the use of methylated spirits). **An unauthorised person who contravenes the provision of section 181 of this Act commits an offence.**	The person is liable on conviction to a fine of ₦2,000,000 or imprisonment for a term of one year.
19	**Section 177(3)** Where there is insufficient evidence to convict a person for an offence under section 181 of this Act, and it is proved that the offence was committed on a part of premises belonging to or occupied by that person in such circumstances that it could not have been committed without that person's knowledge	That person is liable on conviction to a fine of ₦1,000,000 or imprisonment for a term of 6 months.
20	**Section 201 (2)** It is unlawful to manufacture excisable goods subject to section 202 of this Act (conditions of issuance of excise license) otherwise than under and in accordance with an excise license, and any excisable goods a person makes or possesses without a proper license, and any plant, materials, vessels, utensils, or other material the person possesses that are capable of being used in the manufacture of the goods, are subject to forfeiture. **A person who manufactures or possesses excisable goods and services without a proper license commits an offence.**	That person is liable on conviction to a fine of ₦5,000,000 or imprisonment for a term of three years.
21	**Section 201 (3)** Failure to comply with any regulation made under section 200 of this Act (regulations relating to the manufacture of other goods subject to excise duty) constitutes an offence.	Any goods or article in respect of which the offence was committed are subject to forfeiture and a person convicted is liable to a fine of ₦5,000,000 or imprisonment for a term of three years or both.

22	**Section 206 (4)** Every holder of an excise license shall keep at the licensed premises all records required under the excise laws, and shall make the required entries relating to the manufacture, storage and delivery of excisable goods and materials, and each entry shall be made legibly and shall not be altered in any manner other than by cancellation, or by amendment. All records required to be kept under the provisions of the excise laws shall at all times be available for inspection by the proper officer, and the officer may take copies of the records. Records may be kept in electronic form, subject to safeguards and conditions as the Service may specify in the regulations. **It is an offence for an excise license holder to contravene any of the provisions of this section.**	The holder of the excise licence is liable on conviction to: (a) a fine of ₦5,000,000 and ₦50,000 for every day the default continues; or (b) imprisonment for a term of three years.
23	**Section 207 (4)** The Service may require an excise license holder to submit annually, or at such other time as the Service may require, a certificate of audit by an approved accountant certifying — a. the correctness of all the books and records, including electronic records, required by or under this Act to be kept by the holder of the excise license; and b. any of the matters referred to in subsection (1) (b) as the Service may require. For the purpose of this section, an "approved accountant" means an	

	accountant who is a member of one of the professional bodies that the Service, by notice in the Federal Government Gazette, has declared to be approved for the purposes of this section. **A license holder who without reasonable cause fails to comply with the requirements of this section commits an offence.**	The license holder is liable on conviction to: (a) a fine of ₦5,000,000 and ₦50,000 for every day the default continues; or (b) imprisonment for a term of three years.

Source: Nigeria Customs Service Act, 2023

10.13 Chapter review

This chapter fully explains the objectives, nature and administration of the Nigeria Customs Service, duties and functions of the Customs Service and its Commission. Rates and basis of computation, excisable items, furnishing of information by manufacturers, and offences and penalties under the Act are well discussed.

10.14 Worked examples

10.14.1 Questions

1. The Nigeria Customs Service Act, 2023, was enacted to repeal the Customs and Excise Management Act, Cap. C45 Laws of the Federation of Nigeria, 2004 (as amended) and other customs and excise legislations.

Required:

Explain the functions of the Nigeria Customs Service.

2. Mr. Larry Obinna, a licenced importer and exporter of alcoholic drinks, imported the following items from the United Kingdom through one of Nigerian sea ports on October 13, 2025:

Item	Quantity (bottles)	Price (£) (per bottle)	Value (£)
ABC super wine	2,700	12.00	32,400
XYZ standard spirit	3,000	14.50	43,500
PQR action stout	6,000	5.00	30,000
			105,900

The following additional information is available:

(a) A bottle of any of the items contains 25 centilitre liquids;
(b) The exchange rate is assumed to be ₦2,100 to £1; and
(c) Duties payable per centilitre for the items are as follows:

(i) ABC super wine - ₦1.25
(ii) XYZ standard spirit - ₦1.50
(iii) PQR action stout - ₦0.30

Required:

Determine the import duties payable to the Nigeria Customs Service by Mr. Larry Obinna on items imported.

3. XYZ Limited is an importer of goods from London. It has provided the following information in respect of goods imported in August 2025.

	₦
Free on board	2,500,000
Insurance	40,000
Freight	500,000

Assume the following rates:

(i) Import duty	- 5% on CIF
(ii) Surcharge	- 7% on the surface duty
(iii) Ecowas trade liberalisation scheme (ETLS) levy	- 0.5% CIF value
(iv) Comprehensive import supervision scheme levy	- 1% of free on board
(v) AU / Multilateral levy on goods imported from outside Africa	- (0.5% of CIF)
(v) Value added tax	- 7.5% of the total value

Required:

Compute the total duty payable to Nigeria Customs Service.

10.14.2 Suggested solutions to questions

(1) The functions of the Nigeria Customs Service are to:

(a) administer, direct, manage and enforce the provisions of this Act and the customs and excise laws;

(b) collect and account for revenue from customs duties, excise duties, charges, fees and special assignments as may be assigned to it by the governments;

(c) administer trade and fiscal policies of the government as it relates to the Act;

(d) promote trade facilitation in line with international conventions and agreements as it relates to customs administration;

(e) prevent smuggling, customs fraud and all other violations under this Act;

(f) carry out all border enforcement and regulatory activities required by law in collaboration with relevant agencies;

(g) collate and publish accurate trade statistics and other relevant data as they relate to Customs and Excise;

(h) engage in regular consultations with individual traders, trade associations and other relevant stakeholders to promote industrial harmony.

(i) approve and licence customs agents, who shall be citizens of Nigeria; and

(j) do such other things as are necessary for or incidental to the performance of its functions and discharge of its duties under this Act and the laws of Nigeria.

(2) Mr. Larry Obinna Determination of import duties
For items imported on October 13, 2025

ABC super wines

Units imported = 2,700 bottles

Conversion to centilitres = 2,700 x 25 = 67,500
centilitres Duty payable per centilitre = ₦1.25

Amount of import duty payable = 67,500 x ₦1.25 = ₦84,375.

XYZ standard spirit

Units imported = 3,000 bottles

Conversion to centilitres = 3,000 x 25 = 75,000
centilitres Duty payable per centilitre = ₦1.50

Amount of import duty payable = 75,000 x ₦1.50 = ₦112,500.

PQR action stout

Units imported = 6,000 bottles

Conversion to centilitre = 6,000 x 25 = 150,000
centilitres Duty payable per centilitre = ₦0.30

Amount of import duty payable = 150,000 x ₦0.30 = ₦45,000.

The total import duties payable by Mr. Larry Obinna =
₦84,375 + ₦112,500 + ₦45,000 = **₦241,875**

Note

Price per bottle should be ignored in the computation as the requirement of the question does not include computation of VAT payable.

3. **XYZ Limited**

Computation of total duty payable to Nigeria Customs Service

	₦
Free on board	2,500,000
Insurance	40,000
Freight	500,000
Cost, insurance, and freight (CIF)	3,040,000
Surface duty (import duty) 5% of CIF	152,000
Surcharge (7% of surface duty)	10,640
CISS levy (1% of free on board)	25,000
ETLS levy (0.5% of CIF)	15,200
AU/Multilateral levy on goods imported from outside Africa (0.5% of CIF)	15,200
	218,040
VAT (7.5% of CIF + the duty/ levies), that is 7.5% of (N3,040,000 + N218,040)	244,353
Total duty payable to Nigeria Customs Service	462,393

CHAPTER ELEVEN

SURCHARGE ON FOSSIL FUEL PRODUCTS

Contents

a. Learning objective

b. Learning outcomes

c. Imposition of surcharge

d. Chargeable transaction and base for surcharge

e. Administration of surcharge

f. Products exempt from surcharge

g. Filing of returns for surcharge

h. Offences and penalties

i. Chapter review

j. Worked examples

11.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the administration, computation of surcharge, filings, offences and penalties.

11.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) explain imposition of surcharge;
(b) explain administration of surcharge;
(c) explain chargeable transaction and base for surcharge;
(d) identify products exempt from surcharge;
(e) explain the filing of returns for surcharge; and
(f) explain the offences and penalties.

11.2 Imposition of surcharge – Section 159(1) of NTA

For the purpose of ascertaining surcharge on fossil fuel product, the chargeable transaction shall be the supply, sale or payment, whichever occurs first.

11.3 Chargeable transaction and base for surcharge – Section 159(2) of NTA

The computation of surcharge shall be based on the retail price of all chargeable fossil fuel products.

11.4 Administration of surcharge – Section 160(1) of NTA

The effective date of commencement of the administration of the surcharge on fossil fuel products shall be based on the date indicated in an order issued by the Minister in the Official Gazette.

11.5 Products exempt from surcharge – Section 161 of NTA

The following fossil fuel products shall be exempt from surcharge:

(a) clean or renewable energy products;

(b) household kerosene;

(c) cooking gas; and

(d) compressed natural gas (CNG).

For the purpose of this section, "clean or renewable energy" means energy from solar, wind, hydropower, geothermal or plant and animal waste, which are naturally replenishing, produce little or no environmental pollution or greenhouse gas emissions, and do not deplete over time.

11.6 Filing of returns for surcharge – Section 24 of NTAA

A taxpayer engaged in the provision of chargeable services shall, in respect of surcharge imposed on fossil fuel products, submit a return to the Service in the prescribed form specified by the Nigeria Revenue Service.

The return shall be rendered on or before the 21st day of the following month or such other time as may be determined by the Service.

The following information shall be included the return:

(a) description of the chargeable service during the month;

(b) value of the chargeable service on which surcharge is payable;

(c) amount of surcharge payable; and

(d) such other particulars as may be prescribed by the Service.

11.7 Offences and penalties

There are specific and general offences and penalties relating to surcharge on fossil fuel products.

11.7.1 Specific offences and penalties - section 136 of NTA

(a) Failure to file returns to the Service - section 136(1) of NTA

Any person who fails to file the required returns to the Service under section 24 of NTAA, is liable to an administrative penalty of ₦ 10,000,000.

(b) Failure to pay surcharge - section 136(2) of NTAA

Any taxable person who fails to pay surcharge, shall be liable to a sum equal to 10% of the amount payable in addition to the surcharge due, and interest at the prevailing Central Bank Monetary Policy Rate.

11.7.2 General offences and penalties

(a) Failure to register for tax – section 100 of NTAA

A taxpayer who fails or refuses to register for tax under section 4 of this Act, shall be liable to pay an administrative penalty of:

(i) ₦50,000 in the first month in which the failure occurs; and

(ii) ₦25,000 for each subsequent month in which the failure continues.

A statutory body or company who awards a contract to an unregistered person, shall be liable to pay an administrative penalty of ₦5,000,000.

(b) Failure to file returns – Section 101 of NTAA

A taxpayer who fails or refuses to file returns or knowingly files incomplete or inaccurate returns to the relevant tax authority in accordance with the provisions of this Act, shall be liable to pay an administrative penalty of:

(i) ₦100,000.00 in the first month in which the failure occurs; and

(ii) ₦50,000.00 for each subsequent month in which the failure continues.

(c) Failure to keep books – Section 102 of NTAA

A taxpayer who:

(i) fails to keep accounts, books and records of business transactions and income, to allow for the correct ascertainment of tax and filing of returns to the relevant tax authority; or

(ii) upon request by the relevant tax authority, fails to provide any record or book prescribed in this Act shall be liable to pay an administrative penalty, in the case of:

- a person other than a company, ₦10,000.00, and
- in the case of a company, ₦50,000.00.

(d) Failure to deduct tax – section 105 of NTAA

A person who has an obligation to collect, deduct or withhold tax under the relevant tax laws, and fails to collect, deduct or withhold the tax due is liable to an administrative penalty of 40% of the amount not deducted.

(e) Failure to remit tax – section 107 of NTAA

A person, that deducts, collects or withholds any tax under this Act, and fails to remit the amount deducted, collected or withheld by the 21st day of the month immediately succeeding the month in which the amount was deducted, collected or withheld, is liable to pay:

(i) the amount deducted, collected or withheld but not remitted;

(ii) an administrative penalty of 10% per annum of the tax deducted, collected or withheld but not remitted; and

(iii) interest at the prevailing Central Bank of Nigeria monetary policy rate.

A person required to self-account under this Act and fails to self- account

within the time prescribed by this Act, is liable to pay:

(i) the tax not self-accounted for;

(ii) an administrative penalty of 10% per annum of the amount not self-accounted for; and

(iii) interest at the prevailing Central Bank of Nigeria monetary policy rate.

(f) General penalty – section 127 of NTAA

Any person who contravenes the provisions of this Act for which no specific penalty was provided, commits an offence is liable as follows:

(i) to an administrative penalty of ₦1,000,000; or

(ii) on conviction, to imprisonment for a term not exceeding three years or to a fine or both.

(g) Incorrect account – section 131 of NTAA

A person who without reasonable excuse:

(i) makes up or causes to be made up any incorrect accounts by omitting or understating any profits or overstating any losses which is required under this Act to make up accounts;

(ii) prepares or causes to be prepared any incorrect schedule or statement required to be prepared under section 17 of this Act by overstating any expenditure or overstating any royalties or other sums or by omitting or understating any amounts repaid, refunded, waived or released; or

(iii) gives or causes to be given any false or misleading information in relation to any matter or thing affecting his liability to tax, is liable to an administrative penalty of ₦15,000,000 and 1% of the amount of tax which has been undercharged in consequence of such incorrect account, schedule, statement or information or would have been so undercharged if the account, schedule, statement or information had been accepted as correct, whichever is higher, and is also liable for the appropriate tax which would have been charged.

Notwithstanding (i) - (iii) above, a person who gives or causes to be given, any false or misleading information in relation to any matter or thing affecting his liability to tax, commits an offence and on conviction is liable to a fine of ₦15,000,000 and 1% of the amount of tax which has been undercharged in consequence of such incorrect account, schedule, statement or information, or would have been so undercharged if the account, schedule, statement or information had been accepted as correct, whichever is higher, and is also liable for the appropriate tax which would have been charged.

11.8 Chapter review

This chapter discusses administration and imposition of surcharge on fossil products whilst it also identifies the exempt products.

11.9 Worked examples

11.9.1 Questions

(1) Section 159 of NTA, 2025, identifies the chargeable transactions and base for surcharge.

Required:

Explain the chargeable transactions and the base for the computation of surcharge.

(2) Despite the proposed surcharge on chargeable fossil fuel products under section 158 of NTA, some products are exempt from the 5% surcharge under section 161 of NTA.

Required:

Identify the products that are exempt from surcharge.

(3) Section 136 of NTAA stipulates the specific offences and penalties relating to the filing and payment of surcharge on fossil fuel products.

Required:

Explain the specific offences and penalties relating to surcharge on fossil products.

11.9.2 Suggested solutions to questions

(1) For the purpose of ascertaining surcharge on fossil fuel product, the chargeable transaction shall be the supply, sale or payment, whichever occurs first.

The computation of surcharge shall be based on the retail price of all chargeable fossil fuel products.

(2) The following fossil fuel products shall be exempt from surcharge:

(a) clean or renewable energy products;
(b) household kerosene;
(c) cooking gas; and
(d) compressed natural gas (CNG).

For the purpose of this section, "clean or renewable energy" means energy from solar, wind, hydropower, geothermal or plant and animal waste, which are naturally replenishing, produce little or no environmental pollution or greenhouse gas emissions, and do not deplete over time.

(3) Specific offences and penalties - section 136 of NTAA

These are:

(a) Failure to file returns to the Service - section 136(1) of NTAA

Any person who fails to file the required returns to the Service under section 24 of NTAA, is liable to an administrative penalty of ₦10,000,000.

(b) Failure to pay surcharge - section 136(2) of NTAA

Any taxable person who fails to pay surcharge, shall be liable to a sum equal to 10% of the amount payable in addition to the surcharge due, and interest at the prevailing Central Bank Monetary Policy Rate.

CHAPTER TWELVE

TAXATION OF EMPLOYMENT INCOME

a. Learning objective
b. Learning outcomes
c. Employment, contract of service and contract for service
d. Types of employment
e. Distinction between employment, vocation and profession
f. Relevant tax authority
g. Registration process of an employee and employer with the relevant tax authority for the purposes of Pay As You Earn
h. Itinerant worker
i. Employment income
j. Taxation of employment income, gains or profit of a resident individual
k. Exemption of minimum wage earners from the payment of personal income tax
l. Determination and importance of the term "residency" for income tax Purposes
m. Meaning of income
n. Resolving dispute over residence rule application
o. Chapter review
p. Worked examples

12.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of the registration of an employee for tax purposes, types of employment, terminologies, conditions for taxation of income from employment, and the issue of residency for personal income tax purposes.

12.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) draw a distinction between contract of employment and contract for employment;
(b) differentiate between the two types of employment;
(c) distinguish among employment, vocation and profession;
(d) identify the relevant tax authority;

(e) understand registration for Pay- As -You- Earn (PAYE);
(f) explain the operation of PAYE regulations;
(g) identify an itinerant worker;
(h) understand the basis for valuing benefits-In-kind received by employees;
(i) identify when gain or profit from employment is deemed to be derived from Nigeria;
(j) define place of residence and principal place of residence;
(k) discuss the significance of residence for tax purposes; and
(l) explain how a dispute over the determination of an individual's territory of residence can be resolved.

12.2 Employment income

Sections 147 of NTAA and 201 of NTA define **employment** to include any appointment or office, whether public or otherwise for which remuneration is payable.

Employment income includes any salary, wages, fee, allowance or other gain or profit from employment including compensations, bonuses, premiums, benefits or other perquisites allowed, given or granted by any person to any temporary or permanent employee other than so much of any sums as or expenses incurred by him in the performance of his duties, and from which it is not intended that the employee should make any profit or gain.

11.2.1 Cash emoluments

Cash emoluments are the remuneration an employee receives from the employer in cash. Cash emoluments include salary, wages, fee, allowance or other gain or profit from employment including compensations, bonuses, premiums, benefits, share of profits received by an employee.

11.2.2 Benefits-in-kind (BIK)

Benefits-in-kind are those expenses incurred by an employer in the provision of benefits to the employee. Such benefits often include: furnished living accommodation, gardener/stewards (domestic servants), use of official car for private purpose by employees, installation of air conditioners or generator in employees' residences. These benefits are regarded as part of the employee's taxable income if these relate to services rendered by the employee. Benefits-in-kind will also include such benefits which are actually provided to the spouse, family, servant, dependant or guest of the employee.

12.3 Employment, contract of service and contract for service

A **contract for employment** is an agreement whereby a person is engaged as an independent contractor, such as a self-employed person or vendor engaged for a fee to carry out an assignment or a project for the company. In a contract for employment, there is no employer-employee relationship in the contract and the self- employed person is not covered by the Labour Act.

An individual under a contract of employment is commonly referred to as an employee,

while an individual under a contract for employment is referred to as an independent contractor or self-employed person. The following distinctions can be drawn between a contract of employment and a contract for employment:

(a) an individual under a contract of employment earns remuneration (that is, salary or wages), while an individual under a contract for employment earns profit;
(b) an individual under a contract of employment is assessed to tax on actual year basis, while an individual under a contract for employment is assessed to tax on preceding year basis;
(c) a self-employed person is required to register for value added tax, while an employee is not required to do so; and
(d) an employee has the right not to be unlawfully dismissed and to receive redundancy payment and other employment rights, while a self-employed person does not have such rights.

12.4 Types of employment

Paragraphs 1 to 3 of the First Schedule to the NTAA, specify three types of employment as follows:

12.4.1 Nigerian employment - paragraph 2 of the First Schedule to the NTAA and paragraph 2 of the Twelfth Schedule to the NTA

This means any employment, not being a foreign employment, the duties of which are wholly or partly performed in Nigeria.

An individual who holds a Nigerian employment on the first day of January in a year of assessment, or who first becomes liable to income tax in Nigeria for that year by reason of his entering that employment during that year, shall be deemed to be resident for that year in the territory in which he has a place or principal place of residence on that day or, as the case may be, on the day on which he enters upon the full duties of that employment in Nigeria:

Provided that if the individual is on leave from a Nigerian employment on the first day of January in a year of assessment, he shall be deemed to be resident for that year by reference to his place or principal place of residence immediately before his leave began.

12.4.2 Foreign employments - paragraph 1 of the First Schedule to the NTAA and paragraph 1 of the Twelfth Schedule to the NTA

An individual, who is not a non-resident person, who holds a foreign employment on 1st January in a year of assessment, or who first becomes liable to income tax in Nigeria for that year by reason of his entering that employment during that year, shall be deemed to be resident for that year where the duties are:

(a) wholly performed outside Nigeria, in the territory in which the principal office of his employer is situated on that day or on the day his foreign employment commences, as the case may be; and

(b) performed or exercised in Nigeria for a foreign employer, in the place of residence, and in the absence of such, in the place where the person usually resides.

12.4.3 Other employments - paragraph 3 of the First Schedule to the NTAA and paragraph 3 of the Twelfth Schedule to the NTA

(a) An employee whose remuneration is subject to income tax in Nigeria for a year of assessment, but who has no place or principal place of residence in the territory of a State in Nigeria for that year under 14.3.1 above, shall be deemed to hold a foreign employment, and if he has no territory of residence in a State for that year under 14.3.1 above, shall be deemed to be a non- resident person.

(b) An employee who is subject to income tax in Nigeria for a year of assessment, but whose place of residence is in the Exclusive Economic Zone of Nigeria or territorial waters of Nigeria beyond the littoral States and has no principal place of residence in any of the littoral States.

12.5 Distinguish among employment, vocation and profession

The differentiation among employment, vocation and profession can easily be established from the definition of employment, vocation and profession as explained below:

12.5.1 Employment

Employment is an agreement between an employer and an employee that the employee will provide certain services on the job and in the employer's designated workplace, to facilitate the accomplishment of the employer organisation's goals and mission, in return for compensation. The agreement can be verbal, implied, or an official employment contract.

In employment, the employer determines the where, when, how, why, and what of the work that is performed by the employee. The degree of input, autonomy and self-directedness that an employee experiences on the job is a by-product of an employer's philosophy of management and employment. Employment ends at the prerogative of the employer or the employee.

12.5.2 Vocation

A vocation is a specified occupation or profession or trade to which a person is specially drawn or for which he or she is suited, trained, or qualified. Vocation can either be an activity that serves as an individual's regular source of livelihood or as an activity engaged in especially as a means of passing time.

12.5.3 Profession

A profession refers to an occupation that requires specialised education, knowledge, training and ethics. Although professionals make their living in what they do, this paid work is often more than just a job or occupation alone. Whether the occupation is accounting, administration, law, medicine, plumbing, writing, interior design or baseball, those who are in it are expected to meet and maintain common standards.

Professions are, ideally, made up of people with high ethical standards who have special knowledge and skills. The responsibility of people in certain occupations to the public is an important distinction from those who may participate in the fields on an amateur or non-professional basis. For example, if a homeowner hires a non-licensed plumber to save money, he or she wouldn't be able to hold this person to the same standards as a licensed professional in the same industry.

Based on the above definitions, we can draw the following distinctions amongst employment, vocation and profession:

a. employment is an agreement between an employer and an employee in which the employee is required to provide certain services on the job in a work place in return for compensation, that is, salary and other emoluments. Vocation and profession are specified occupation or profession or trade to which a person is specially drawn or for which he or she is suited, trained, or qualified;
b. employment income includes any salary, wages, fee and allowance including compensations, bonuses, premiums, benefits or other perquisites. Vocation and profession income includes gains or profits, fees, etc;
c. employment can be exercised under a contract of service, while vocation and profession can be exercised in a contract for service; and
d. employment can be brought to an end at the prerogative of the employer or the employee. Vocation and profession would usually come to an end at the end of a contract or upon the delivery of a service.

12.6 Relevant tax authority - section 3 of the NTA

The relevant authority depends on individuals as follows:

(a) The Nigeria Revenue Service (the Service) established under the Nigeria Revenue Service (Establishment) Act, 2025, has the exclusive responsibility to administer taxes on:

  (i) on persons employed in the Nigerian Army, the Nigerian Navy, the Nigerian Air Force, the Nigeria Police Force, other than in a civilian capacity,
  (ii) on officers of the Nigerian Foreign Service, and
  (iii) on non-resident persons who derive profit or income from Nigeria or any income derived from employment in Nigeria by a person, not being a resident of any State in Nigeria.

(b) The relevant tax authority in a State or the Federal Capital Territory, shall under be responsible for the administration of taxes for resident individuals in respect of:

  (i) imposition of tax on income, profits or gains;
  (ii) ascertainment of profits and income;
  (iii) ascertainment of assessable profits and income;
  (iv) ascertainment of total income;
  (v) ascertainment of chargeable gains; and
  (vi) rates of tax.

12.7 Registration process of an employee and employer with the relevant tax office for the purposes of Pay- As-You- Earn (PAYE) - section 4 of NTAA

Every taxable person shall register with the relevant tax authority and obtain Taxpayer Identification ("Tax ID) for the purposes of compliance with tax obligations.

12.7.1 Registration for pay-as-you-earn (PAYE)

An employer shall register with the relevant tax authority for the purposes of deducting income tax from his employees with or without formal notification or direction by the relevant tax authority.

12.7.2 Operation of PAYE regulations

(a) Deduction of tax, etc

(i) The employer shall deduct tax from emoluments of his employees and remit it monthly to the relevant tax authority.

(ii) An employer who fails or refuses to register with the relevant tax authority commits an offence and is liable to pay an administrative penalty of:

- ₦ 50,000 in the first month in which the failure occurs; and
- N 50,000 for each subsequent month in which the failure continues.

(iii) Income tax chargeable on an employee whether or not the assessment has been made, shall be deducted from any emolument payable, or from any payment made on account of the emolument, by the employer to the employee. - section 51(6) of NTAA.

(iv) In arriving at the amount of income tax to be deducted from any payment of or on account of the emolument to an employee, the employer shall ensure that the aggregate amount of all the deductions made during a year of assessment shall equal the income tax chargeable on the employee in respect of its emoluments for that year -section 51(7) of NTAA.

(b) Records of deductions

An employer shall record, either on the tax deduction card or in such other form as may be authorised by the relevant tax authority, the following particulars regarding emoluments of his employees, that is, the:

(i) month of payment;
(ii) amount of emolument;
(iii) contribution by the employee to an approved pension fund;
(iv) cumulative net emoluments in relation to the said date;
(v) cumulative free emoluments in relation to that date;
(vi) cumulative taxable emoluments in relation to that date;
(vii) corresponding cumulative tax; and
(viii) tax, if any, deducted or repaid on making the payment.

(c) Cumulative net emoluments, etc

(i) Before payment of emolument to any employee, the employer shall ascertain

the cumulative net emoluments after due deduction of an approved pension fund, the cumulative free emoluments, the cumulative taxable emoluments, and the corresponding cumulative tax.

(ii) Where the cumulative tax is less than the previous cumulative tax, the employer shall refund the difference to the employee.

(iii) Where an employee in respect of whom a tax deduction card has been issued ceases to be in employment, the employer shall send to the relevant tax authority a certificate on the prescribed form containing the:

- name of the employee;
- number used to identify the employer;
- address of the employee;
- date on which the employment commenced;
- date on which the employment ceased;
- "relief from income tax", if any, appropriate to the employee's case;
- cumulative emoluments at the date of leaving; and
- corresponding cumulative tax.

(d) Certificate of deduction of tax

i. The employer shall make on the prescribed form two copies of the said certificate and deliver them to the employee on the date on which the employment ceases.

ii. On the commencement of another employment, the employee shall deliver the two copies of the certificate to the new employer who shall:

- insert on one copy of the certificate the address of the employee (if different from the existing entry made by the former employer), any number used to identify the employee, and the date on which the employment commences, and shall send that copy to the collector of taxes for the tax deductions while the employer retains a copy; and
- prepare a tax deduction card in accordance with the particulars given in the copies of the certificate and record on the card the cumulative free emoluments, if any, and the corresponding cumulative tax as from the month the employee left his former employment.

(e) Death of employee

(i) On the death of an employee in respect of whom a tax deduction card has been issued, the employer shall send to the collector of taxes the certificate (relating to cessation of employment) and shall insert thereon the name and address of the personal representative of the deceased employee.

(ii) If any emoluments are paid by the employer to the deceased employee's next of kin, the employer shall, in making such payment, deduct tax.

(f) Remittance of tax deducted

(i) Within ten days of the end of every month, an employer shall pay to the nearest tax office or to any bank (as may be prescribed or designated by

the relevant tax authority) all taxes deducted under these regulations.

(ii) The tax officer shall give the employer a receipt on the prescribed form for the total amount paid.

(g) Demand for remittance of taxes

If after ten days of the end of any month an employer fails to remit tax to the tax officer or to any bank designated for such payments, the collector of taxes shall demand for the immediate remittance of the tax due.

(h) Inspection of records

Every employer shall produce for inspection, at the employer's premises, all wages records, tax deductions cards, vouchers and other documents and records relating to payment of emolument to his employees and deduction of tax thereof.

(i) Duty of successor in title

If any employer is unable to perform the duties under this regulation by reason of death, incapacitation, liquidation or for any other reason, his personal representative or successor shall perform such duties.

(j) Notice to render returns

The relevant tax authority may give notice to an employer requiring him to render returns of any emolument paid to the employees before the end of that year, and any such returns shall be rendered to the relevant tax authority within the time specified in the notice.

(k) Notice of assessment

The relevant tax authority shall serve a notice of assessment on every employee assessed to tax.

12.8 Itinerant worker

12.8.1 Definition - section 201 of NTA

"Itinerant worker" means an individual irrespective of his status, who works at any time in any state during a year of assessment, other than as a government security officer, for wages, salaries or livelihood by working in more than one state and work for a minimum of twenty (20) days in at least three (3) months of every assessment year.

12.8.2 Imposition of tax

In the case of an itinerant worker, tax may be imposed for any year by any state in which the itinerant worker works for a minimum of twenty (20) days in at least three (3) months of every assessment year.

12.9 Terminologies relating to employment

12.9.1 Employment income - section 4 (2)(a) of NTA

Employment income includes any salaries, wages, fees, allowances, compensations, bonuses, premiums, benefits or other perquisites allowed, given or granted by any person to any employee other than so much of any sums as or expenses incurred by him in the performance of his duties, and from which it is not intended that the employee should make any profit or gain.

12.9.2 Cash emoluments

Cash emoluments are the remuneration an employee receives from the employer in cash. Cash emoluments include salary, wages, fee, allowance or other gain or profit from employment, including compensations, bonuses, premiums, benefits, share of profits received by an employee. Non-cash benefits-in-kind, such as company car, are excluded unless they can be converted to cash

12.9.3 Benefits-in-kind (BIK) -section 14 of NTA

Benefits-in-kind mean those expenses incurred by an employer in the provision of benefits to the employee. Such benefits often include: furnished living accommodation, gardener /stewards (domestic servants), use of official car for private purpose by employees, installation of air conditioners or generator in employees' residences. These benefits are regarded as part of the employee's taxable income if these relate to services rendered by the employee. Benefits-in-kind will also include such benefits which are actually provided to the spouse, family, servant, dependant or guest of the employee.

12.9.4 Taxable and tax–exempt incomes - section 14 of NTA

(a) Where an employer incurs an expense in the provision of any benefit or perquisite, other than the provision of living accommodation, the following provisions shall apply:
   (i) where any asset belonging to the employer is used wholly or partly in the making of such provisions, the employee is deemed to have earned annual benefit of an amount equal to 5% of the amount expended by the employer in acquiring the asset, but if that amount cannot be so ascertained, 5% of the market value of the asset at the time of the acquisition, as may be determined by the relevant tax authority;
   (ii) where any sum by way of rent or hire is payable by the employer in respect of any such asset, the employee is deemed to have earned annual benefit of an amount equal to the annual amount of the rent or hire payable by the employer on the asset; and
   (iii) in any other case, the employee is deemed to have earned annual benefits equal to the annual amount expended by the employer in connection with the benefit thereon.

(b) The amount of benefit under (a) above shall be reduced by so much of any expense made by the employee in respect thereon.

(c) The following expenses incurred by an employer for an employee shall not be subject to tax:
   (i) provision of meals in any canteen in which meals are provided for the staff generally or meal vouchers for employees;
   (ii) provision of any uniform, overall or other protective clothing, work tools or work equipment; or
   (iii) cost relating to change in place of residence of the employee by reason of a change of the employee's employment or place of exercising the employment.

(d) Any reference to expenses incurred in connection with any matter includes a reference to a proportion of any expenses incurred partly in connection with that matter.

(e) Any reference to anything provided for an employee shall, unless the reference is expressly to something provided for the employee, be construed as including a reference to anything provided for the spouse, family, servant, dependant or guest of that employee by the employer.

(f) Where premises in Nigeria are made available by an employer to the employee, the spouse or family, and the employee:
  (i) pays no rent for the premises; or
  (ii) pays a rent less than the annual rental value of the premises, the employee shall be treated as being in receipt of additional emoluments equal to the annual rental value of the premises, subject to a maximum of 20% of annual gross income from the employment, excluding the rental value.

(g) *"Annual value of the premises"* means:
  (i) in relation to premises that are subject to a law governing assessment of local rates, the annual rental value of the premises as determined for the purposes of local rates under that law;
  (ii) in any other case, the annual rental value as determined by the relevant tax authority; and
  (iii) a reference in this section to annual value shall include a reference, where applicable, to such proper proportion of the annual value in relation to:
    - a period of occupation within a year,
    - the part of the premises occupied, or
    - both a period of occupation within a year and the part of the premises
    - occupied, as may be determined by the relevant tax authority.

12.9.4 Compensation for loss of employment and injury - section 50 of NTA

(a) Amount not exceeding N50,000,000 obtained by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession or vocation, including compensation for loss of office or employment, wrong or injury for libel, slander or enticement shall not be chargeable gains.

(b) Where the amount exceeds ₦50,000,000, only the excess amount shall constitute a chargeable gain.

(c) For the purposes of (a) and (b) above, any person who pays compensation for loss of office or employment to an individual is required, at the point of payment of such compensation, to deduct and remit the tax due under this section to the relevant tax authority.

(d) The tax so deducted shall be remitted within the time specified under the Pay-As-You-Earn or Deduction of Tax at Source Regulations issued under the Nigeria Tax Administration Act.

12.10 Taxation of employment income, gains or profit of a resident individua-section 13 of NTA

(a) The income, gain or profit from an employment shall be deemed to be deemed from Nigeria where:
(i) the employee is a resident of Nigeria; or
(ii) the duties of the employment are wholly or partly performed in Nigeria and the remuneration is accruing to the employee while in Nigeria is not duly liable to tax in the employee's country of tax residence.

(b) The grains or profits from an employment by a Government in Nigeria shall be deemed to be derived from Nigeria wherever the remuneration is paid if the employee performs the duties of that employment in a country other than Nigeria which under an agreement or diplomatic privilege exempts the employee from tax on those gains or profits.

12.11 Exemption of minimum wage earners from the payment of personal income tax - section 58 of NTA

The income tax payable on the chargeable income of an individual, other than an individual earning the Minimum Wage, in respect of each year of assessment, shall be based on the rates specified in the Fourth Schedule to this Act.

12.12 Determination and importance of the term "residency" for personal income tax purposes

12.12.1 In personal taxation, determination of residence is vital, for the purpose of identifying the relevant tax authority of a taxpayer resident individual - section 201 of NTA

"Resident individual" means an individual that, in any year of assessment:
(a) is domiciled in Nigeria;
(b) has a permanent place available for his domestic use in Nigeria;
(c) has place of habitual abode in Nigeria;
(d) has substantial economic and immediate family ties in Nigeria;
(e) sojourns in Nigeria for a period or periods amounting to an aggregate of not less than 183 days in a 12-month period inclusive of annual leave or temporary period of absence, or
(f) serves as a diplomat or diplomatic agent of Nigeria in another country.

12.12.2 Non-resident individual - section 201 of NTA

"Non-resident individual" means an individual that, in any year of assessment:
(a) is not domiciled in Nigeria;
(b) has no permanent place available for his domestic use in Nigeria;
(c) has no place of habitual abode in Nigeria;
(d) has no substantial economic and immediate family ties in Nigeria;
(e) sojourns in Nigeria for a period or periods amounting to an aggregate of less than 183 days in a 12-month period inclusive of annual leave or temporary period of absence; and

(f) is not serving as a diplomat or diplomatic agent of Nigeria in another country.

12.12.3 Residence and nationality

Residence should not be confused with nationality. The Nigerian tax laws attach importance to residence and not nationality. Therefore, whether you are a citizen of Nigeria or a citizen of another country, the same standards apply to you as far as you are resident in Nigeria. The same condition will also apply to an individual who is not resident in Nigeria whether he is a Nigerian or a foreign national.

12.12.4 Place of residence - paragraph 12 of the First Schedule to the NTAA

"Place of residence" in relation to an individual, means a place available for his domestic use in Nigeria on a relevant day, and does not include any hotel, rest-house or other place at which he is temporarily lodging, unless no more permanent place is available for his use on that day.

12.12.5 Principal place of residence - paragraph 12 of the First Schedule to the NTAA

"Principal place of residence" in relation to an individual with two or more places of residence on a relevant day, not being both within any one territory means, in the case of an individual:

a. with no source of income other than a pension in Nigeria, that place in which he usually resides;
b. who has a source of earned income other than a pension in Nigeria, that place which on a relevant day is nearest to his usual place of work;
c. who has a source or sources of unearned income in Nigeria, that place he usually resides; or
d. who works in the branch office or operational site of a company or other body corporate, the place office or operational site is situate; provided the operational site shall include oil terminals, oil platforms, flow stations, factories, quarries, construction sites with a minimum of 50 workers etc.

12.12.6 Pension - paragraph 5 of the First Schedule to the NTAA

(a) An individual whose only source of earned income arising in Nigeria on January 1 in a year of assessment was a pension, and who had a place or principal place of residence on that day shall be deemed to be resident for that year in the territory in which that place or principal place of residence was situated on that day.

(b) An individual whose only source of earned income arising in Nigeria on January 1 in a year of assessment was a pension, and who had no place of residence on that day, shall be deemed to be resident for that year, if the pension is:
   (i) a Nigerian pension wholly payable by the Government of a territory, not being a Nigerian pension in respect of non- residents, in that territory;
   (ii) not a Nigerian pension, in the territory in which the principal office in Nigeria of the pension fund or other person authorising payment of the pension is situated.

(c) An individual whose only source of earned income arising in Nigeria on January 1 in a year of assessment was a Nigerian pension, and who had no place of residence on that day shall, if the pension is payable by more than one government, or payable by a person other than a government or if there are two or more pensions arising in different territories to the individual on that day, will be subject to the exclusive tax authority of the Nigeria Revenue Service.

12.13 Meaning of income

Income chargeable to tax, is the aggregate amount, each of which is the income of every taxable person, for the year, from a source inside or outside Nigeria, including:

a. Gain or profit from any trade, business, profession or vocation for whatever period of time such trade, business, profession or vocation may have been carried on or exercised; and
b. Any salary, wage, fee, allowance or gain or profit from employment including compensation, bonuses, premiums, benefits or other perquisites allowed, given or granted by any entity to an employee, other than those specifically stated as non- taxable.

For the purposes of personal income tax and place of residence, income is classified into earned and unearned.

12.13.1 Earned income - paragraph 12 of the First Schedule to the NTAA

"Earned income" in relation to an individual, means income derived by him from a trade, business, profession, vocation or employment carried on or exercised by him and a pension derived by him in respect of a previous employment. It includes profits, salaries, wages, commission, bonuses, etc.

12.13.2 Other earned income - paragraph 6 of the First Schedule to the NTAA

An individual, other than a corporation sole or body of individuals, who has a source of earned income in Nigeria for a year of assessment, other than an employment or a pension, shall be deemed to be resident for that year in the territory in which he had a place or principal place of residence on January1 in that year provided that:

(a) where the source of the income is first acquired by the individual during the year of assessment, and he had no place or principal place of residence on the first day of that year, he shall be deemed to be resident for that year in the territory where he first establishes a place of residence during that year; and

(b) in any other case where the individual had no place or principal place of residence, he shall be deemed to be resident for that year in any territory from which his earned income arising in Nigeria is derived, or the territory from which any part of the earned income is derived, if the income is derived from more than one territory.

12.13.3 Unearned income - paragraph 7 of the First Schedule to the NTAA

An individual, other than a corporation sole or body of individuals, who has no source of earned income in Nigeria for a year of assessment but who has one or more source of unearned income in Nigeria for that year shall be deemed to be resident for that year in the territory in which he has a place or principal place of residence on January 1 of

that year, provided that where:

(a) all the unearned income of the individual for that year arises in one territory, and he has no place of residence on that day, he shall be deemed to be resident for that year in that territory;

(b) the unearned income of the individual arises for that year in more than one territory, and he has no place of residence on that day, he shall be deemed to be resident for that year in the territory from which any part of the unearned income arises.

12.13.4 Corporation sole or body of individuals - paragraph 9 of the First Schedule to the NTAA

A Corporation sole or body of individuals other than a family or community, shall be deemed to be resident for a year of assessment, in the territory in which its principal office in Nigeria is situated, on the 1st day of January in that year or, if it has no office in Nigeria on that day, in a territory in which any part or the whole of its income liable to tax in Nigeria, arises for that year.

12.13.5 Family income - paragraph 10 of the First Schedule to the NTAA

Income of a family shall be taxed only by the territory in which the member of that family who customarily receives that income in the first instance in Nigeria usually resides.

12.14 Resolving disputes over residence rule application

12.14.1 Joint Revenue Board of Nigeria - section 5(b) of the JRBEA, 2025

This section empowers the Board to "resolve disputes between various tax authorities on the issue of determination of residency.

12.14.2 Other dispute resolution mechanisms

These include:

(a) Establishment of the Office of the Tax Ombud - section 49 of the JRBEA and the Third Schedule to the Act; and
(b) Establishment of the Tax Appeal Tribunals - section 23 of the JRBEA and the Second Schedule to the Act.

These issues were fully discussed in Chapter 7 - objections and appeal procedures.

12.15 Chapter review

This chapter fully addresses taxation of income from employment under Pay- As - You- Earn (PAYE) scheme as well as issues relating to an itinerant worker.

12.16 Worked examples

12.16.1 Questions

(1) Mr. Alexis Sanchez was employed by Zenat Limited as Director, Commercial (West and Central Africa) with effect from March 1, 2025. He

arrived Nigeria on the date his employment became effective and remained in Nigeria till August 25, 2025. He returned to Nigeria on January 15, 2026, and remained in Nigeria till July 31, 2026.

Required:
Explain the basis for the taxation of the income earned by Mr. Alexis Sanchez in Nigeria for the relevant tax years.

(2) Mr. Abass works with Federal Ministry of Works, Abuja. He lives in a self-contained flat in Gwagwalada and travel every weekend to see his first wife and children in Kaduna. He also visits and stays with his second wife and children in Nyanya, Nassarawa State on Thursdays and Fridays of every week.

Required:
Determine the tax authority to which Mr. Abass would be liable to tax in the relevant year of assessment.

(3) In personal taxation, determination of residence is vital for the purpose of identifying the relevant tax authority of a taxpayer. The First Schedule to Nigeria Tax Administration Act (NTAA), 2025 provides the details for determination of residence.

Required:
Explain the following terms in relation to the First Schedule to the NTAA:
(a) Resident individual
(b) Non-resident individual
(c) Place of residence
(d) Principal place of residence

12.16.2 Suggested solutions to questions

(1) The taxation of the income earned by Mr. Alexis Sanchez in Nigeria would be determined by the period of his residence. Under the Nigerian income tax laws, a person is deemed resident if he:

(a) has a permanent place available for his domestic use in Nigeria;
(b) has place of habitual abode in Nigeria;
(c) has substantial economic and immediate family ties in Nigeria;
(d) sojourns in Nigeria for a period or periods amounting to an aggregate of not less than 183 days or more in a 12-month period inclusive of annual leave or temporary period of absence;
(e) serves as a diplomat or diplomatic agent of Nigeria in another country.

Based on the details provided, it can be established that in 2025, Mr. Alexis Sanchez stayed in Nigeria for 178 days (that is, 1/3/25 – 25/8/25). Based on the rule of residence, Mr. Alexis Sanchez having stayed for only 178 days, therefore, he is not liable to Nigerian tax in 2025.

In 2026, Mr. Alexis Sanchez stayed in Nigeria 198 days (that is, 15/1/26 –

31/7/26). However, based on the current law, Mr. Alexis Sanchez is liable to Nigerian tax in 2026 after staying in the country for more than 183 days.

(2) Based on the above question, it is obvious that Mr. Abass has three places of residence that are not within the same state, therefore, there would be the need to establish his principal place of residence for tax. Mr. Abass principal place of residence would be the place nearest to his place of employment which in the case is Gwagwalada, FCT, Abuja.

(3) (a) Resident individual - section 201 of NTA

"Resident individual" means an individual that, in any year of assessment:

(i) is domiciled in Nigeria;
(ii) has a permanent place available for his domestic use in Nigeria;
(iii) has place of habitual abode in Nigeria;
(iv*)* has substantial economic and immediate family ties in Nigeria;
(v*)* sojourns in Nigeria for a period or periods amounting to an aggregate of not less than 183 days in a 12-month period inclusive of annual leave or temporary period of absence, or
*(*vi) serves as a diplomat or diplomatic agent of Nigeria in another country.

(b) Non-resident individual - section 201 of NTA

"Non-resident individual" means an individual that, in any year of assessment:

(i) is not domiciled in Nigeria;
(ii) has no permanent place available for his domestic use in Nigeria;
(iii) has no place of habitual abode in Nigeria;
(iv) has no substantial economic and immediate family ties in Nigeria;
(v) sojourns in Nigeria for a period or periods amounting to an aggregate of less than 183 days in a 12-month period inclusive of annual leave or temporary period of absence; and
(vi) is not serving as a diplomat or diplomatic agent of Nigeria in another country.

(c) Place of residence - paragraph 12 of the First Schedule to the NTAA

"Place of residence" in relation to an individual, means a place available for his domestic use in Nigeria on a relevant day, and does not include any hotel, rest-house or other place at which he is temporarily lodging, unless no more permanent place is available for his use on that day.

(d) Principal place of residence - paragraph 12 of the First Schedule to the NTAA

"Principal place of residence" in relation to an individual with two or more places of residence on a relevant day, not being both within any one territory means, in the case of an individual:

i. with no source of income other than a pension in Nigeria, that place in which he usually resides;
ii. who has a source of earned income other than a pension in Nigeria,

that place which on a relevant day is nearest to his usual place of work;

iii. who has a source or sources of unearned income in Nigeria, that place he usually resides; or

iv. who works in the branch office or operational site of a company or other body corporate, the place at which the branch office or operational site is situate; provided the operational site shall include oil terminals, oil platforms, flow stations, factories, quarries, construction sites with a minimum of 50 workers, etc.

CHAPTER THIRTEEN

COMPUTATION OF PERSONAL INCOME TAX

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13.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the computation of personal income tax, the filing of returns by employees and employers, and offences and penalties.

13.1 Learning outcomes

On successful completion of this chapter, readers should be able to:
(a) explain the basis of assessment;
(b) ascertain gross income;
(c) identify the non- chargeable gains of an employee;
(d) explain the deductions specifically allowable and disallowable by the Act in ascertaining the tax liability of an individual;

(e) ascertain total income identify eligible deductions;
(f) explain the requirement of the relevant tax authority for proof of claims from an employee;
(g) compute personal income tax;
(h) explain filing of returns by employees and employers; and
(i) identify offences and penalties.

13.2 Basis of assessment - section 26 of NTA

The basis of assessment used by the relevant tax authority for the determination of personal income tax liability of an individual shall be on actual year basis. It is, however, pertinent to note that in determining the gross income of an individual, income from employment is based on actual year basis, while unearned incomes are based on preceding year basis.

(a) With respect to income from an employment or pension, the assessable income of an individual shall be the amount of the income of the year of assessment.

(b) For the purpose of (a) above, income from an employment shall be deemed to arise from day to day except to the extent that it is derived from any bonus, commission or allowance payable on one occasion only or at intervals exceeding one month, and to that extent it shall be deemed to be income:
(i) of the day on which it is paid; or
*(*ii*)* where it is paid after the cessation of the employment, of the last day of the employment including any terminal benefit arising therefrom.

(c) With respect to disposal of a chargeable asset, the assessable income of an individual shall be the amount of the chargeable gains accruing from assets disposed during the year immediately preceding the year of assessment, except for chargeable gains accruing from the disposal of chargeable assets used in the individual's trade, business, profession or vocation, which shall be those disposed during the year immediately preceding the year of assessment.

13.3 Gross income - section 28 of NTA

(a) Section 147 of NTAA defines “gross income” as total income of an individual in any particular year of assessment from all sources ascertained under the provisions of the NTAA.

(b) The taxable income as per section 28 of NTA is the aggregate amount of:
i. assessable profits from trade, business, profession or vocation;
ii. employment income;
iii. and income from investing activities;
iv. profits or income from any other source; and
v. chargeable gains from the disposal of chargeable assets.

The total income of an individual for any year of assessment is the taxable income less total deduction.

13.4 Non-chargeable gains of an employee - sections 50 to 54 of NTA

13.4.1Personal injury - section 50 of the NTA

(a) Amounts not exceeding ₦50,000,000 obtained by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession or vocation, including compensation for loss of office or employment, wrong or injury for libel, slander or enticement shall not be chargeable gains.

(a) Where the sum exceeds ₦50,000,000, only the excess amount shall constitute a chargeable gain.

(b) For the purposes of (a) and (b) above, any person who pays compensation for loss of office or employment to an individual is required, at the point of payment of such compensation, to deduct and remit the tax due under this section to the relevant tax authority.

(c) The tax so deducted shall be remitted within the time specified under the Pay-As-You-Earn or Deduction of Tax at Source Regulations issued the Nigeria Tax Administration Act.

13.4.2 Principal private residences - section 51 of NTA

(a) The gains accruing to an individual are exempt from tax in respect of the disposal of, or an interest in:
(i) a dwelling-house or part of such dwelling-house; and
(ii) land, other than land used for commercial purposes, immediately adjoining the dwelling house up to a maximum of one acre.

(b) The exemption under this section shall be enjoyed once in the lifetime of an individual.

(c) The consideration shall be apportioned where a person disposes of only a part of a dwelling-house or a house used partly as dwelling place and partly for carrying out a trade, business, profession, or vocation.

13.4.3 Personal chattels - section 52 of NTA

(a) A gain accruing on a disposal of an asset which is tangible movable property being personal chattels of an individual shall not be a chargeable gain if the total amount or value of the consideration for the disposal does not, in a period of assessment, exceed ₦5,000,000 or three times the annual national minimum wage, whichever is higher.

(b) Where two or more assets, whether or not forming part of a set of articles, are disposed by a person to the same person or to persons acting in concert or to connected persons, whether on the same or different occasions, the two or more transactions shall be treated as a single transaction disposing of a single asset, but with any apportionments, where necessary.

(c) Where the disposal is part of a right or interest in, or over tangible movable property, (a) above shall apply in relation to the asset as a whole, taking the consideration as including the market value of what remains undisposed of, in addition to the actual consideration.

(d) The provisions of this section shall apply to a gain accruing on a disposal of two or more assets, not necessarily forming part of a set of articles of any description, which are tangible movable properties in the same manner as they apply in relation to a gain accruing on a disposal of an asset, or two or more assets forming part of a set of articles.

(e) This section shall not apply to a disposal of currency of any description.

13.4.4 Motor vehicle - section 53 of NTA

(a) A motor vehicle used solely for private or non-profit purposes shall not be an asset for the purposes of taxation.

(b) The exemption under this section shall be limited to not more than two motor vehicles by an individual in any year of assessment.

13.4.5 Gifts - section 54 of NTA

(a) Where a person disposes by way of a gift, an asset acquired by him by way of a gift or any other form of gift, not being an acquisition on a devolution on death, the gains accruing from the disposal shall not be chargeable gains.

(b) An asset is acquired or disposed of by way of gift where no consideration is paid or received for the acquisition or disposal.

13.5 Deductions allowed and not allowed

13.5.1 Deductions allowed - section 20 of NTA

(a) For the purposes of ascertaining the profits or loss from any trade, business, profession or vocation under this Act, there shall be deducted all expenses for that period **wholly** and **exclusively** incurred in the production of the income, including:

(i) any sum payable by way of interest on debt employed in generating the income of the trade, business, profession or vocation, subject to the deductibility of excess interest on loans relating to connected persons;

(ii) rent and premiums, incurred during that period, in respect of land or building occupied for the purposes of generating the income;

(iii) any outlay or expenses incurred in respect of:

- salary, wages or other remuneration paid to employees, and
- cost to the company of any benefit or allowance provided to its employees;

(iv) any expense incurred for repair of premises, plant, machinery or fixtures employed in acquiring the income, or for the renewals, repair or alteration of any implement, utensil or articles so employed;

(v) any amount of expenditure incurred for establishing, preserving or defending title to or rights over an asset;

(vi) any contribution to any staff pension, provident or other retirement benefits fund, society or scheme approved under the Pension Reform Act any similar enactment in Nigeria;

(vii) any expense proven to the satisfaction of the relevant tax authority to have been incurred, being damage to, or loss of stock or inventory of the trade, business, profession or vocation;

(viii) bad or doubtful debts incurred during a trade or business, notwithstanding that the debts were due and payable before the commencement of the basis period, being:
- debts becoming bad during the said basis period other than bad debt incurred in respect of transaction with a related party,
- doubtful debts estimated in accordance with generally acceptable accounting principles and to the extent that it is proven, to the satisfaction of the relevant tax authority, that the debts in respect of which a deduction is claimed were incurred during the company's business operations that produced the assessable profits;

(xi) any expense incurred by the trade, business, profession or vocation on research and development for the period;

(xii) any other expense incurred during any previous period for the purpose of such trade or business, or specifically for the period which the profits are being ascertained, provided that any expenditure incurred within six years prior to commencement of business which would have been deductible if incurred after commencement of business, shall be deemed to have been incurred on the first day of commencing the trade or business;

(xiii) dividends or mandatory distributions made by a real estate investment company duly approved by the Securities and Exchange Commission, to its shareholders;

(xiv) compensating payments made by a lender to its approved agent or a borrower in a regulated securities lending transaction, which qualify as interest;

(xv) any expense incurred by a person on assistive devices and disability-related products including hearing aids, wheelchairs, and braille materials.

(b) Notwithstanding the provision of (a)(viii) above, in determining bad or doubtful debts deductible:

(i) appropriate reduction shall be made in respect of any amount that had been allowed for deduction in any previous period in respect of the same debt; and

(ii) all sums recovered on account of sums previously written off or allowed for deduction in respect of bad or doubtful debts shall be added to the profits of the trade, business, profession or vocation in the period of recovery.

(c) Liability waived, released or recovered shall be included in the assessable profits or chargeable gains.

(d) Notwithstanding anything to the contrary contained in any law, an expense incurred in a currency other than the Naira may only be deducted to the extent of its Naira equivalent at the official exchange rate published by the Central Bank of Nigeria for the relevant date or period.

13.5.2 Deductions not allowed - section 21 of NTA

A deduction shall not be allowed for the purposes of ascertaining the profits or income from any trade, business, profession or vocation in respect of:

a. capital repaid or withdrawn from a trade, business, profession or vocation;
b. any expenditure of a capital nature;

c. domestic or private expense, or expenditure on assets not used for the purpose of trade, business, profession or vocation;
d. any sum recoverable under an insurance or contract of indemnity;
e. taxes on profit or incomes levied in Nigeria or elsewhere;
f. any payment to a savings, widows and orphans, pension, provident or other retirement benefit fund, society or scheme not approved under the Pension Reform Act or any similar enactment in Nigeria;
g. depreciation or impairment of any fixed asset, investment or an unrealised exchange difference on any item denominated in foreign currency;
h. any sum reserved out of profits subject to (a) (xii) above;
i. any payment to a connected person that is not consistent with the Transfer Pricing Regulations issued by the Service;
j. any expense incurred in deriving an income that is exempt from income tax;
k. any expense allowable as a deduction in determining chargeable gains under this Act;
l. penalty or fine imposed under any law;
m. any tax or penalty borne on behalf of another person;
n. any compensating payment made by a borrower, which qualifies as dividends under this Act, to its approved agent or to a lender in a regulated securities lending transaction;
o. any compensating payment made by an approved agent, which qualifies as interest or dividends under this Act, to a borrower or lender in a regulated securities lending transaction; or
p. any expense on which Value Added Tax is due under this Act but was not charged, or in the case of imported items, any expense on which the applicable import duty or levy was not paid.

13.6 Other deductions as specified under section 28(2)(b) of NTA

The total deduction is the sum of:

(i) any loss ascertained in from trade, business, profession or vocation,
(ii) capital allowance computed in accordance with the provisions of Part I of the First Schedule to this Act,
(iii) income of the individual that is exempt from tax under this Act, and
(iv) income of the individual on which the tax deducted at source under section 51 of Nigeria Tax Administration Act is the final tax, such as dividend, interest on short term securities and corporate bonds, etc.

The loss to be deducted in arriving at the total income of an individual is:

(a) the amount of a loss incurred by the individual during the year or preceding year of assessment in a trade, business, profession or vocation; and
(b) the amount of loss incurred on the disposal of a chargeable asset: Provided that:
  (i) in no circumstances shall the aggregate loss deductions from income exceed the amount of that loss,
  (ii) the loss shall be deducted as far as possible from assessable profit of a trade, business, profession or vocation of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped,

(iii) the loss incurred during any year of assessment shall be computed, in accordance with the basis period contained in Part V of Chapter Two of this Act, and

(iv) any loss incurred in any period from sales, disposal or any transaction in digital or virtual assets shall only be deductible against the profit or gain from digital or virtual assets.

13.7 Total income - section 28(1) of NTA

The total income of an individual for any year of assessment is the taxable income less total deduction.

13.8 Eligible deductions - section 30(2) of NTA

(a) *"eligible deductions"* include payments made by the individual in a year of assessment in respect of:

(i) the individual's contributions under the National Housing Fund,

(ii) the individual's contributions under the National Health Insurance Scheme,

(iii) the individual's contributions under the Pension Reform Act, 2014

(iv) interest on loans for developing an owner-occupied residential house,

(v) annual amount of any annuity or premium paid by the individual during the year preceding the year of assessment in respect of insurance on his life or the life of his spouse, or contract for a deferred annuity on his own life or the life of his spouse;

(vi) rent relief of 20% of annual rent paid, subject to a maximum of ₦500,000, whichever is lower, provided that the individual accurately declares the actual amount of rent paid and other relevant information as may be prescribed by the relevant tax authority; and

(b) *"total income"* means total income as defined in 13.7 above.

The eligible deductions are further explained as follows:

National housing fund contribution

Section 45 of the Business Facilitation (Miscellaneous Provisions) Act, 2022, amended section 4 of the National Housing Fund Act, making contributions by private sector employees to the National Housing Fund (NHF) voluntary. This means private sector employees are no longer mandated to contribute 2.5% of their monthly income to the NHF.

Employees in the public sector earning the national minimum wage are required to contribute 2.5% of their monthly basic salary. The employer is to deduct the contribution from the employee's monthly salary and remit to the Federal Mortgage Bank of Nigeria within one month of making the deduction. The Act mandates the Federal Mortgage Bank of Nigeria to collect, manage and administer the fund. Contributions made to the fund are tax deductible.

Convicted corporate employers who fail to remit contributions of employees to the Federal Mortgage Bank within one month, are to pay a fine of ₦ 50,000, while authorised officers face ₦ 20,000, five years imprisonment or both.

National health insurance scheme

The National Health Insurance Scheme (NHIS) was set up by The National Health Insurance Act, Cap N 42 LFN 2004, but was repealed by National Health Insurance Authority (NHIA) Act, 2022, to make health insurance mandatory for all legal residents in Nigeria. For the purposes of this Act, residents include:

(a) all employers and employees in the public and private sectors with five staff and above;
(b) informal sector employees; and
(c) all other residents.

Section 31 of the Act, states that contributions under:

(a) formal sector shall be paid by the employers and employees at rates determined by the Councils of the various State health insurance schemes; and
(b) informal sector shall be paid by individuals, groups and families at rates determined by the Councils of the various State health insurance schemes.

An employer under the scheme shall cause to be deducted from an employee's wages the negotiated amount of any contributions payable by the employee.

The employer's contributions and the contributions in respect of its employees are to be paid into the account of a designated health maintenance organisation (HMO). Contributions to the scheme are tax deductible.

Life assurance premium

A deduction of the annual amount of any premium paid by the individual during the year preceding the year of assessment to an insurance company in respect of insurance on his life or the life of his spouse, or contract for a deferred annuity on his own life or the life of his spouse.

National pension scheme

The Pension Reform Act 2014 (PRA), establishes a uniform contributory pension scheme for payment of retirement benefits of employees. It is mandatory for employers with at least three employees to register and contribute to the contributory pension scheme. Employees of organisations with less than three employees and self-employed persons shall be entitled to participate voluntarily in the contributory pension scheme via the Micro Pension Plan.

The rate of contribution to the scheme shall be a minimum of 8% of employee's monthly emolument (that is, basic salary, housing allowance and transport allowance) as contribution for employees in the public and private sectors and at least 10% of the monthly emoluments as employer's contribution. It is pertinent to state that "monthly emoluments" include all payments stated in the employee's contract of employment, provided they are not less than the sum of the employee's basic salary, housing, and transport allowances.

However, contributions made by an employee to the scheme shall be tax deductible.

Notwithstanding the foregoing mode of contribution to the scheme, an employer may agree or elect to bear the full burden of the scheme, provided that in such a case,

the employer's contribution shall not be less than 20% of the monthly emoluments of the employee - section 4(4)(b) of the Act

It is pertinent to state that the tax relief is only limited to pension contributions to schemes, provident or retirement benefits fund that are recognised under the Pension Reform Act, 2014. -section 30(2)(iii) of NTA

In line with the provision of section 31 of the NTA, deduction shall not be allowed to any person for a year of assessment, unless claimed in writing in such form as the relevant tax authority may prescribe.

13.9 Chargeable income - section 30(1) of NTA

The chargeable income of an individual, is the total income of that individual as ascertained in 17.7 above, less eligible deductions.

13.10 Income tax rates - section 58 and the Fourth Schedule to the NTA

Having ascertained the total deductions and eligible deductions that are deductible from the gross income of the individual in order to arrive at the chargeable income, the graduated tax rates are applied in order to obtain the tax payable. The graduated rates currently applicable are as follows:

Income to be taxed	Rate of tax		Percent (%)
For every naira of the first ₦ 800,000	0k per ₦1	or	0
For every naira of the next ₦ 2,200,000	15k per ₦1	or	15
For every naira of the next ₦ 9,000,000	18k per ₦1	or	18
For every naira of the next ₦ 13,000,000	21k per ₦1	or	21
For every naira of the next ₦ 25,000,000	23k per ₦1	or	23
For every income above ₦ 50,000,000	25k per ₦1	or	25

13.11 The requirement of the relevant tax authority for proof of claims from an employee - section 32 of NTA

(a) The relevant tax authority may require a claimant to an eligible deduction to produce such documentary evidence as may be necessary in support of any claim and in the absence of such evidence, or where such evidence is inadequate, the relevant tax authority may refuse to allow the deduction or such part of the amount claimed.

(b) Notwithstanding any provision of this Part, where:

(i) an individual fails to produce satisfactory documentary evidence in support of a claim in respect of an eligible deduction, any objection to an assessment or, to any rate at which tax is to be deducted, shall be accompanied by a copy of the available documentary evidence or a declaration that such required documentary evidence does not exist; and

(iii) an individual claims a deduction under this Act for a year of assessment, or produces evidence in support of a claim previously made but not

admitted or not admitted in full by the relevant tax authority, such repayment, set-off of tax or reduction in any assessment shall be made so as to give effect to any amount or additional amount of the deduction as appropriate.

13.12 Computation of personal income tax of an individual - section 28 of NTA

In computing the personal income tax liability of an individual, the following format can be used as a guide:

	N	N
(a) Assessable profits from trade, business, profession or vocation		xx
(b) Employment income		xx
(c) Income from investing activities		xx
(d) Profits or income from any other source		xx
(e) Chargeable gains from the disposal of chargeable assets		xx
Taxable income		xxx
Deduct: Total deduction		
(a) Loss incurred in respect of trade, business, profession or vocation	xx	
(b) Loss incurred on the disposal of a chargeable asset	xx	
(c) Loss incurred from sales, disposal or any other transaction relating to digital or virtual assets which shall only be deductible against profit or gain from digital or virtual assets	xx	
(d) Capital allowance	xx	
(e) Income of the individual that is exempt from tax	xx	
(f) Income of the individual on which the tax deducted at source is the final tax	xx	
Total deductions	xxx	(xxx)
Total income		xxx
Deduct: Eligible deductions:		
(a) Contributions to National Housing Fund	xx	

(b) Contributions to National Health Insurance Scheme	xx	
(c) Pension contributions under Pension Reform Act	xx	
(d) Interest on loans for developing an owner-occupied residential house	xx	
(e) Life assurance premium	xx	
(f) Rent relief of 20% of annual rent paid, subject to a maximum of ₦ 500,000, whichever is lower	xx	
Total of eligible deductions	xxx	(xxx)
Chargeable income		xxx

Thereafter, the tax rates are applied to the chargeable income determine the gross tax liability payable. The final tax is derived by subtracting the withholding taxes earlier paid on the unearned income items, except dividend, from the gross tax liability payable.

Computation of personal income tax

	N
First N 800,000 @ 0%	xx
Next N 2,200,000 @ 15%	xx
Next N 9,000,000 @ 18%	xx
Next N13,000,000 @ 21%	xx
Next N 25,000,000 @ 23%	xx
Above N 50,000,000 @ 25%	xx
Tax payable	xxx
Less withholding tax paid	(xx)
Net tax liability payable	xxx

Illustration 13.1

Mr. Ogunlade is an employee of Klass Limited. He maintains adequate records for tax purposes.

He has the following salary package for the year ending December 31, 2026:

(a) Gross salary - ₦6,500,000 per annum;
(b) Enjoyed the services of two domestic servants and a night guard fully paid for by the company as follows:
    (i) domestic servants – ₦400,000 each

(ii) night guard – ₦450,000

(c) Collected a sum of ₦88,250 during the year as reimbursement of travelling expenses for official assignments;

(d) Lived in a company house with a rental value of ₦ 2,450,000 per annum; and

(e) Used an official car purchased at a cost of ₦7,400,000 by the company.

(f) Further information about him:

(i) Married with two children of school age

(ii) Has an aged mother whom he maintains with ₦30,800 per annum

(iii) Paid the sum of ₦480,000 as life assurance premium in 2025

(iv) Dividends received (net of withholding tax) from shares in a blue-chip company:

Received on	₦
5/7/2025	99,000
31/12/2025	63,000
30/03/2026	90,000
31/05/2026	95,000

Required:

Compute his tax payable for the relevant assessment year.

Suggested solution to Illustration 13.1

Mr. Ogunlade
Computation of personal income tax liability
For 2026 assessment year

	₦	₦
Earned income:		
Gross salary		6,500,000
Benefits-in-kind - Domestic servants (₦ 400,000 x 2)	800,000	
Night guard	450,000	
Accommodation -restricted to 20% of gross income	1,624,000	
Company's car (₦ 7,400,000 x 5%)	370,000	3,244,000
		9,744,000
Unearned income		
Dividend (gross) (₦ 99,000/0.9 + ₦63,000/0.9)		180,000
		9,924,000
Dividend (gross)		(180,000)
		9,744,000
Less: Eligible deduction:		
Life assurance relief		(480,000)
Chargeable income		9,264,000

Computation of personal income tax payable	₦
First ₦ N800,000 at 0% =	0
Next ₦ 2,200,000 at 15% =	330,000
Next ₦ 6,264,000 at 18% =	1,127,520
9,264,000	
Personal income tax payable	1,457,520

Notes

(a) Gross income includes gross salary and benefits-in-kind, excluding the annual rental value, that is:

	₦
(i) Gross salary	6,500,000
(ii) Domestic servants	800,000
(iii) Night guard	450,000
(iv) Company's car	370,000
Gross income	8,120,000

(b) It is pertinent to state that unearned income is excluded from an employee's gross employment income when determining the taxable benefit of employer-provided accommodation.

13.16.1 Questions

(1) Mr. Babalola is an employee of Yakoyo Limited. His gross salary is ₦5,000,000 per annum.

He is married with five children. The first two are from his first wife and the remaining from the second wife. The two wives live with him. The eldest child is now a university graduate and teaches in a secondary school in Kaduna while the remaining children are university students.

Mr. Babalola has a life assurance policy with Rex Insurance Limited. The sum assured is ₦ 600,000 and he paid a premium of ₦ 6,000 per month in 2025.

Mr. Babalola who keeps adequate records for tax purposes, also contributes ₦5,000 monthly to a pension scheme approved by the Joint Revenue Board.

The following information is made available:

(a) the company pays for his accommodation which has an annual rental value of ₦1,180,000 and provides him with an official car which has a market value of ₦ 4,000,000;
(b) he spends ₦ 66,000 annually on his aged father and ₦67,000 on his aged mother. Both have no sources of income due to old age; and
(c) he will be retiring on December 31, 2026 and will be paid a gratuity of ₦300,000.

Required:
Compute his tax liability for the relevant year of assessment.

(2) Mr. Lucky was employed by Rainbow Bank Limited as Head of banking operations, effective June 1, 2026.

The details of his salary are as follows:

	₦
Basic salary per annum (p.a.)	48,000,000
Housing allowance	12,000,000
Transport allowance	2,000,000
Utility allowance	800,000
Meal allowance	500,000
Leave allowance	4,800,000
Clothing allowance	2,000,000

Mr.Lucky was provided with official car. The cost of the car is ₦ 7,500,000. He was also provided with a driver and a private personal assistant who were paid ₦300,000 and ₦500,000 per annum respectively.

Prior to joining Rainbow Bank Limited, Mr. Lucky was on annual salary of ₦32,000,000 while working with KEL Bank Plc. He resigned from the bank, effective May 31, 2026.

Additional information:

(a) Mr. Lucky is married with 6 children; all are of school age. He maintains his aged parent who lives with him in Lagos.
(b) He paid an annual life assurance premium of ₦3,000,000 in 2025
(c) His employers deducted and remitted on his behalf the following mandatory deduction of ₦4,900,000 and ₦1,166,667 for NHF and pension, respectively for 2026.
(d) He paid NHIS premium of ₦750,000 in 2026 to a health service provider to provide medical cover for himself and his family.
(e) He pays an annual rent of N 7,500,000.
(f) He maintains adequate records for tax purposes.

Required:
Compute the tax liability of Mr. Lucky for the relevant assessment year.

(3) Mr. Clement is married with seven children. Details about his children are as follows:

(a) Chukwu is 23 years and a lecturer in one of the private tertiary institutions;
(b) His daughter, Mrs. Brendy Kolo, is a housewife and married to Mr. Kolo Kolo, a protocol officer, in the Ministry of Finance;
(c) Charles is an undergraduate in University of Ibadan and is aged 18 years;

(d) Lizy is a student in Highrise College and her age last birthday was 13 years;
(e) Rose is in one of the elitist private schools as a student. She is 8 years old;
(f) Precious is in Command secondary school and is 16 years old; and
(g) Tara is three years old.

You are provided with the following information:

(i) He took out a life insurance policy for which he paid annual premium of ₦400,000 in 2025.
(ii) His employer deducted ₦2,137,500 and ₦712,500 for pension and NHF, respectively from his salary and remitted same on his behalf in compliance with the Pension Reforms Act and NHF Act.
(iii) His aged parents live with him. They have no income of their own.
(iv) In 2026, he is on a gross salary of ₦28,500,000 per annum.
(v) In addition, his employer provided him with an official car and accommodation.
(vi) The cost of his official car is ₦5,000,000 and the annual rental value of the property is ₦6,000,000.

Required:

Compute Mr. Clement's personal income tax payable for 2026 year of assessment.

13.16.2 Suggested solutions to questions

(1) (a) **Mr. Babalola**
Computation of tax liability
For 2026 assessment year

	₦	₦
Gross salary		5,000,000
Benefits-in-kind:		
Company accommodation - restricted to 20% of gross income (₦5,000,000 plus ₦200,000)	1,040,000	
Official car - 5% of ₦ 4 million	200,000	1,240,000
Gross emoluments		6,240,000
Less eligible deductions:		
(i) Life assurance relief	72,000	
(ii) Contribution to pension scheme\	60,000	(132,000)
Chargeable income		6,108,000
Tax payable		₦
First ₦800,000 @ 0%		0
Next ₦2,200,000 @ 15%		330,000
Next ₦3,108,000 @ 18%		559,440
6,108,000		
Tax payable		889,440

(2) **Mr. Lucky**
Computation of tax liability
For 2026 assessment year

	₦	₦
Income – Rainbow Bank Limited 1/6/26 – 31/12/26:		
Basic salary – 7/12 x ₦ 48,000,000		28,000,000
Housing allowance – 7/12 x ₦ N12,000,000		7,000,000
Transport allowance – 7/12 x ₦ ₦ 2,000,000		1,166,667
Utility allowance – 7/12 x ₦ 800,000		466,667
Meal allowance – 7/12 x ₦ 500,000		291,667
Leave allowance – 7/12 x ₦ N4,800,000		2,800,000
Clothing allowance – 7/12 x ₦ 2,000,000		1,166,667
BIK:		
Car – 7/12 x (5% of ₦ 7,500,000)	328,125	
Domestic servant:		
Driver – 7/12 x ₦ 300,000	175,000	
Personal assistant – 7/12 x ₦ 500,000	291,667	794,792

		41,686,460
Add: Income – KEL Bank Plc – 1/1/26-30/5/26:		
5/12 x ₦ 32,000,000		13,333,333
Gross emoluments		55,019,793
Less: eligible deductions:		
Pension	4,900,000	
Life assurance premium	3,000,000	
NHF	1,166,667	
NHIS	750,000	
Rent relief - 20% of annual rent paid but limited to	500,000	(10,316,667)
Chargeable income		44,703,126

Apply tax rates:	**₦ : K**
First ₦ 800,000 @ 0%	0:00
Next ₦ 2,200,000 @ 15%	330,000:00
Next ₦ 9,000,000 @ 18%	1,620,000:00
Next ₦ 13,000,000 @ 21%	2,730,000:00
Next ₦ 19,703,126 @ 23%	4,531,718.98
44,703,126	
Tax liability	9,211,718.98

(3) Mr. Clement

Computation of tax liability For 2026 assessment year

	₦	**₦**
Salary		28,500,000
Add: B.I.K:		
Accommodation – 20% of gross income (N28,500,000 plus ₦250,000)	5,750,000	
Car – 5% x ₦ 5,000,000	250,000	6,000,000
		34,500,000
Less: eligible deductions:		
Life assurance premium	400,000	
Pension	2,137,500	
NHF	712,500	(3,250,000)
Chargeable income		31,250,000

Apply tax rates:	₦
First ₦ 800,000 @ 0%	0
Next ₦ 2,200,000 @ 15%	330,000
Next ₦ 9,000,000 @ 18%	1,620,000
Next ₦ 13,000,000 @ 21%	2,730,000
Next ₦ 6,250,000 @ 23%	1,437,500
31,250,000	
Total liability	**6,117,500**

CHAPTER FOURTEEN

TAXATION OF INVESTMENT INCOME

Contents

a. Learning objective

b. Learning outcomes

c. Definition of investment income

d. Computation of rental income chargeable to tax on property, including contractor-financed projects

e. Tax implications of dividends, royalties, and interests in the hands of the Beneficiary

f. Interest income

g. Royalty income

h. Taxation of dividend, interest, rent, royalty, directors' fees paid to non-residents - section 51(2) of NTA

i. Bases of assessments and payment of taxes on investment incomes

j. Franked investment income

k. Chapter review

l. Worked examples

14.0 Learning objective

The objective of this chapter is to enhance readers' knowledge on bases of assessments and payments of taxes on investment incomes.

14.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) discuss the basis of assessment of an investment income;
(b) compute the tax liability of an individual earning investment income; and
(c) explain franked investment income.

14.2 Definition of investment income- section 201 of NTA

This section explains income from investing activities to include dividend, interest, royalty and any other income of similar nature. Investment incomes are incomes received primarily from investments. Investment decisions include, purchase of shares, property for letting purposes, placement of cash in fixed and other interest yielding accounts, etc. The incomes that accrue as a result of the investment decisions are called investment incomes and they include dividend, interest, rent, royalty, etc.

14.3 Computation of rental income chargeable to tax on property, including contractor-financed projects

14.3.1 Rental income

The gain or profit arising from other person for the use or occupation of any property is chargeable to tax. Thus, rental income is generally deemed to accrue to the recipient daily (that is, from day to day) over those periods covered by the payment.

Section 185 (1) exempts income from the letting or renting of residential property from VAT.

It is pertinent to state that rental income generated from property, including those financed by contractors will be subject to withholding tax at 10%.

Where the annual value of a lease agreement is less than ₦10 million or ten times the annual minimum wage, whichever is higher, shall not be subject to stamp duty - section 134 of NTA.

14.3.2 Rent received in advance

When a landlord receives rental income in advance, the amount is taxable in the year it is received, not when it is earned.

14.3.3 Allowable rental expenses - section 20 of NTA

In computing the gain or profit from rental income for tax purposes, the following expenses are allowable deductions:

(a) tenement rates or land use charges;
(b) cost of collecting rent, for example, fees paid to a caretaker, estate agent, legal representative, etc.;
(c) cost of advertising for tenants;
(d) any expenses incurred for repairs and maintenance of the building;
(e) bad debt incurred;
(f) interest on money borrowed and employed in acquiring or renovating the property;
(g) commission paid to agent or caretaker;
(h) insurance premium paid on the property; and
(i) water rate.

14.3.4 Disallowable expenses - section 21 of NTA

The following are disallowable expenses;

(a) any expenses not incurred for the purpose of earning the rental income;
(b) any expenditure of capital nature;
(c) depreciation of the building; and
(d) appropriation of profit, including income tax, drawings, reserves, etc.

14.4 Tax implications of dividends and interests

14.4.1 Dividend income

(a) Section 4(6)(b) of NTA

Dividend includes, in relation to:

(i) a company that is not in the process of being wound up or liquidated, profits, in any form, shared or distributed to the shareholders, including an amount equal to the nominal value of bonus shares, debentures or securities awarded to the company's shareholders,

(ii) a company that is being wound up or liquidated, any distribution, whether in money or money's worth, earned before or during the winding up or liquidation, and

(iii) regulated securities lending transaction, compensating payments received by a lender from its approved agent or borrower;

(b) Section 7 of NTA

(i) Nigerian dividends include:

- dividend distributed by a Nigerian company, and shall be the gross amount of that dividend before any deduction; and
- any amount of the undistributed profit of a Nigerian company, which is treated as distributed under the provisions of any law in Nigeria;

(ii) The income from a dividend distributed by a Nigerian company is deemed to arise on the day on which payment of that dividend becomes due.

(c) Section 8 of the NTA

(i) A company shall include dividend income in its profits, gross of any tax paid or deducted at source.

(ii) Dividends received by a Nigerian company by way of shares of the paying company shall not be included in its profits chargeable to tax under this Act and shall not be subject to deductions.

14..4.2 Dividend exempt from tax - section 162 of NTA

The following dividend incomes are exempt from tax:

(a) dividend distributed by authorised collective investment scheme;
(b) dividend received from investments in wholly export-oriented businesses;
(c) dividend derived from outside Nigeria and brought into Nigeria through approved channels;
(d) dividend or rental income received by a real estate investment company on behalf of its shareholders, where not less than 75% of the dividend or rental income is distributed within 12 months after the end of the financial year in which the dividend or rental income was earned, provided that nothing in this subsection shall be construed to exempt a:

(i) shareholder from tax on the dividend or rental income received from a real estate investment company;

(ii) real estate investment company from tax on management fee, profits or any other income earned for and on its own account;
(iii) real estate investment company from tax on dividend or rental income if it does not meet the conditions stipulated above; and

(e) compensating payments, which qualify as dividends received by a lender from its approved agent or a borrower in a Regulated Securities Lending Transaction;
(f) compensating payments, which qualify as dividends, received by an approved agent from a borrower or lender on behalf of a lender or borrower in a Regulated Securities Lending Transaction.

14.4.3 Nigerian dividends received by non-resident persons – section 19 of NTA
Any dividend received by a non- resident from a Nigerian company shall not be subject to further tax other than tax deducted at source.

14..4.4 Relevant territory in which dividends paid by a Nigerian company arise - section 3(1)(a)(iv) of NTAA

Where a dividend is distributed or paid by a Nigerian company, the dividend, whenever necessary, shall be deemed to be derived from the territory in which the recipient of the dividend resides or, where the recipient is not resident in Nigeria, the person shall be deemed to be a person resident outside Nigeria and who derives income or profit in Nigeria. The relevant tax authority of a corporate or an individual non-resident who receives dividends from Nigeria is Nigeria Revenue Service (NRS).

14.4.5 Other provisions relating to dividend - section 51(3) and (4) of NTAA

(a) In the case of dividend, interest, rent, royalty, directors' fee and payment to entertainers and sportspersons, the tax, when paid over to the relevant tax authority, shall be the final tax due from a non-resident recipient of the payment.

(b) Dividend distributed by a Nigerian company and received by a person after deduction of the tax prescribed in this section and regulations relating to deduction of tax at source, shall be regarded as franked investment income of the person receiving the dividend and shall not be charged to further tax.

(c) Where a franked investment income is redistributed and tax is to be accounted for on the gross amount of the distribution in accordance with regulations relating to deduction of tax at source, the company may set off the amount deducted at source which it has itself suffered on the same income.

14.5 Interest income - section 4(6)(a)(i)- (iv) of NTA

14.5.1 - Definitions
Interest:
(a) accrues in Nigeria where the liability to its payment falls upon a resident of Nigeria or Nigerian permanent establishment of a non-resident person regardless of where or in what form the interest is paid,
(b) includes, penal interests and any payment similar to interest, income from any government or corporate securities, bonds or debentures, premiums or prizes

attaching to such securities, bonds or debentures, discounts, fees, premium, share of profit in non-interest finance arrangements, finance cost element in a finance lease, or foreign
exchange differences arising in relation to securities, any payment in relation to derivatives used in hedging securities, or any other payment of similar nature,

(c) in respect of debts, includes return on discounted papers, income from debt claims of every kind, whether or not secured by mortgage and whether or not carrying a right to participate in the debtor's profits or foreign exchange differences arising in relation to a debt, and

(d) in respect of regulated securities lending transactions, includes compensating payments received by a borrower from its approved agent or a lender, provided that the underlying transaction giving rise to the compensating payment is a receipt of interest by a lender on the collateral it received from its approved agent or a borrower.

14.5.2 Interests from sources outside Nigeria - section 162 of NTA

Where an individual is resident in Nigeria, the interest accruing to him from a source outside Nigeria which is brought into Nigeria through approved channels, is tax-exempt

14.5.3 Relevant territories in which interests paid by a Nigerian company arises - section 3(1)(a)(iv) of NTAA

Where interests is paid by a Nigerian company, the interest, whenever necessary, shall be deemed to be derived from the territories in which the recipient of the interest resides or, where the recipient is not resident in Nigeria, the person shall be deemed to be a person resident outside Nigeria and who derives income or profit in Nigeria. The relevant tax authority of a corporate or an individual non-resident who receives interests from Nigeria is Nigeria Revenue Service (NRS).

14.5.4 Interests that are tax-exempt

These include:

(a) Interest derived from outside Nigeria and brought into Nigeria through approved channels - section 162(1)(a)(s) of NTA;
(b) compensating payments, which qualify as interest received by an approved agent from a borrower or lender on behalf of a lender or borrower in a Regulated Securities Lending Transaction -section 162(1)(a)(e) of NTA;
(c) Interests received on bonds issued by the Federal and State governments; and
(d) Interest on any loan granted by a bank on or after January 1, 1997 to a person engaged in:

(i) agricultural trade or business;
(ii) the fabrication of any local plant and machinery; and
(iii) any cottage industry established by the person under the Family Economic Advancement Programme as working capital, if the moratorium is not less than 12 months and the rate of interest on the loan is not more than the base lending rate at the time the loan was granted, refinanced or otherwise restructured.

14.5.5 Interest on short term securities and corporate bonds -section 51(5) of NTAA

Interest on short term securities and corporate bonds earned by an individual after deduction of tax at source, shall not be charged to further tax.

14.6 Royalty income

14.6.1 Definition - section 4(6)(c) of NTA

"*royalty"* includes payments of any kind received or receivable, paid or payable as a consideration for the use of, or the right to use or exploit any property.

Royalty is a payment to an owner for the use of property, especially patents, copyrighted works, franchises or natural resources. A royalty payment is made to the legal owner of a property, patent, copyrighted work or franchise by those who wish to make use of it for the purposes of generating revenue or other such desirable activities. In most cases, royalties are designed to compensate the owner for the asset's use, and are legally binding.

14.6.2 Income chargeable

(a) Introduction

Royalties are often expressed as a percentage of the revenues obtained using the owner's property, but can be negotiated to meet the specific needs of an arrangement. The use of royalties is common in situations where an inventor or original owner chooses to sell his/her product to a third party in exchange for royalties from the future revenues it may generate.

(b) Non-allowance as a deduction - section 17(5)(e) of NTA

It shall not be allowed as a deduction in respect of amounts paid or payable, by a permanent establishment to the non-resident person or any of its connected persons, by way of royalties, fees or similar payments in return for the use of patents or other rights, other than towards reimbursement of actual expenses.

(c) Chargeable asset - section 34 (1)(a) of NTA

Any form of property shall be a chargeable asset, whether situated in Nigeria or not, including any form of asset, shares, options, rights, debts, digital or virtual assets and incorporeal property generally.

Royalties and intellectual property rights having been included in "chargeable assets" the chargeable gains will now attract 30% companies income tax for large companies.

14.6.3 Income exempted from tax - section 162 (1)(s) of NTA

Royalty earned from abroad and brought into Nigeria through approved channels shall be exempt from tax.

14.7 Taxation of dividend, interest, rent, royalty, directors' fees paid to non-residents - section 51(2) of NTA

Dividend, interest, rent, royalty, directors' fee and payments to entertainers and sportspersons, the tax, when paid over to the relevant tax authority, shall be the final tax due from a non-resident recipient of the payment.

14.8 Basis of assessment and payment of taxes on investment income

The basis of assessment of dividend, interest, rent and royalty is the preceding year basis. The assessable income from each year of assessment is the income of the year immediately preceding the year of assessment.

14.9 Franked investment income

Dividend received by a company after deduction of withholding tax at source by a paying company is regarded as franked investment income of the company receiving the dividend. Such income is not subject to further tax in the hands of the recipient company as the withholding tax deducted at source is the final tax.

Based on the provision of section 8(1) of NTA, dividend income shall be included in its profits, gross of any tax paid or deducted at source.

Where dividend received (that is, franked investment income) is distributed by the recipient company, it has a right to set off the withholding tax paid on the dividend received from the withholding tax payable on the redistributed dividend. This provision helps to prevent double taxation.

14.10 Chapter review

This chapter provides a detailed explanation of the various investment incomes, including, dividend, interest, rent and royalty. It also highlights investment incomes that are exempted from tax.

14.11 Worked examples

14.11.1 Questions

(1) Alhaji Dimka completed the construction of his building, a two-wing duplex located in Katsina, on December 31, 2022. He rented out both flats with effect from January 1, 2023, through an estate agent and received rent for two years. He made available the following details of his income and expenses for the relevant period:

	2023	**2024**
	₦	₦
Rent received (Gross)	13,500,000	13,500,000
Expenses:		
Repairs and maintenance	520,000	850,000
Water rate	82,000	105,000
Agent's commission	850,000	850,000
Professional charges	100,000	150,000
Insurance	152,000	152,000
Caretaker's wages	218,000	222,000

Tenement rate	25,000	32,000

Additional information:

(i) Capital allowances agreed with the relevant tax authority for 2024 and 2025 were ₦ 680,000 and ₦ 520,000, respectively.

(ii) Repairs and maintenance comprised:

Depreciation	₦ 100,000	₦ 85,000
Repairs of tenant's bathroom	0	₦ 180,000
Repairs of Alhaji Dimka 's residence	₦ 420,000	₦ 585,000

(iii) Tenement rate includes tenement rate of ₦ 5,000 and ₦ 20,000 paid on the private residence of Alhaji Dimka for 2023 and 2024, respectively.

Required:
Compute the amount of rental income assessable to tax for the relevant tax years.

(2) Mohammed Limited is a company owned by the members of Mohammed family. Its issued share capital of 20,000,000 ordinary shares of ₦1 each are held by:

Sule	8,000,000 shares
Hassan	4,000,000 shares
Bawa	2,000,000 shares
Saheed	6,000,000 shares

For the year ended December 31, 2025, the company made a net profit before tax of ₦53,000,000. The company has not paid dividend since it was established 8 years ago.

The Nigeria Revenue Service is of the opinion that the non-payment of dividend by the company was with a view to reducing the tax payable by its shareholders. In exercise of the powers conferred on it by the Nigeria Tax Act, 2025, the NRS has directed that ₦15,900,000 of the profit be treated as having been distributed as dividend.

Required:
Compute the amount deemed to be income in the hands of the company's shareholders.

(3) Investment incomes are incomes received primarily from investments which include decisions, such as purchase of shares, property for letting purposes, placement of cash in fixed and other interest-yielding accounts, etc.

Required:
Explain the following:

(a) Dividend income
(b) Royalty income

(4) (a) There are some unique considerations when it comes to the taxation of rental income.

Required:

Explain the provisions of the tax laws in respect of rental income received in advance.

(b) In computing the gains or profit from rental income, certain expenses are allowed as deductible.

Required:
Identify **five** examples of expenses that can be deducted when computing rental income.

14.11.2 Suggested solutions to questions

(1) Alhaj Dimka
Computation of rental income
For the relevant assessable years

	2024		**2025**	
	₦	₦	₦	₦
Rent received		13,500,000		13,500,000
Allowable expenses				
Water rate	82,000		105,000	
Agent's commission	850,000		850,000	
Professional charges	100,000		150,000	
Insurance	152,000		152,000	
Caretaker's wages	218,000		222,000	
Tenement rate	20,000	(1,422,000)	12,000	(1,491,000)
Assessable rent		12,078,000		12,009,000
Less: Capital allowances		(680,000)		(520,000)
Chargeable rent		11,398,000		11,489,000

(2) Mohammed Limited
Computation of amount deemed as income in the hands of shareholders

	Deemed		Dividend ₦
Sule	8,000,000	X ₦ 15,900,000	
	20,000,000		6,360,000
Hassan	4,000,000	X ₦ ₦15,900,000	
	20,000,000		3,180,000
Bawa	2,000,000	X ₦15,900,000	
	20,000,000		1,590,000
Saheed	6,000,000	X ₦15,900,000	
	20,000,000		4,770,000

(3) (a) **Dividend income:** Section 4(6)(b) of NTA

(i) Section 4(6)(b) of NTA
Dividend includes, in relation to:

- a company that is not in the process of being wound up or liquidated, profits, in any form, shared or distributed to the shareholders, including an amount equal to the nominal value of bonus shares, debentures or securities awarded to the company's shareholders,
- a company that is being wound up or liquidated, any distribution, whether in money or money's worth, earned before or during the winding up or liquidation, and
- regulated securities lending transaction, compensating payments received by a lender from its approved agent or borrower.

(ii) Section 7 of NTA
Nigerian dividends include:

- dividend distributed by a Nigerian company, and shall be the gross amount of that dividend before any deduction; and
- any amount of the undistributed profit of a Nigerian company, which is treated as distributed under the provisions of any law in Nigeria;

The income from a dividend distributed by a Nigerian company is deemed to arise on the day on which payment of that dividend becomes due.

(iii) Section 8 of the NTA

- A company shall include dividend income in its profits, gross of any tax paid or deducted at source.
- Dividends received by a Nigerian company by way of shares of the paying company shall not be included in its profits chargeable to tax under this Act and shall not be subject to deductions.

(iv) Dividend exempt from tax - section 162 of NTA

The following dividend incomes are exempt from tax:

- dividend distributed by authorised collective investment scheme;
- dividend received from investments in wholly export-oriented businesses;
- dividend derived from outside Nigeria and brought into Nigeria through approved channels;

- dividend or rental income received by a real estate investment company on behalf of its shareholders, where not less than 75% of the dividend or rental income is distributed within 12 months after the end of the financial year in which the dividend or rental income was earned, provided that nothing in this subsection shall be construed to exempt a:
  - shareholder from tax on the dividend or rental income received from a real estate investment company;
  - real estate investment company from tax on management fee, profits or any other income earned for and on its own account, and
  - real estate investment company from tax on dividend or rental income if it does not meet the conditions stipulated above; and
  - compensating payments, which qualify as dividends received by a lender from its approved agent or a borrower in a Regulated Securities Lending Transaction;
  - compensating payments, which qualify as dividends, received by an approved agent from a borrower or lender on behalf of a lender or borrower in a Regulated Securities Lending Transaction.

(v) Nigerian dividends received by non-resident persons - section 19 of NTA

Any dividend received by a non- resident from a Nigerian company shall not be subject to further tax other than tax deducted at source.

(b) Royalty income

(i) Definition - section 4(6)(c) of NTA

"*royalty"* includes payments of any kind received or receivable, paid or payable as a consideration for the use of, or the right to use or exploit any property.

Royalty is a payment to an owner for the use of property, especially patents, copyrighted works, franchises or natural resources. A royalty payment is made to the legal owner of a property, patent, copyrighted work or franchise by those who wish to make use of it for the purposes of generating revenue or other such desirable activities. In most cases, royalties are designed to compensate the owner for the asset's use, and are legally binding

(ii) Income chargeable

- Introduction

  - Royalties are often expressed as a percentage of the revenues obtained using the owner's property, but can be negotiated to meet the specific needs of an arrangement. The use of royalties is common in situations where an inventor or original owner chooses to sell his/her product to a third party in exchange for royalties from the future revenues it may generate.

- Non-allowance as a deduction - section 17(5)(e) of NTA

  - It shall not be allowed as a deduction in respect of amounts paid or payable, by a permanent establishment to the non-resident person or any of its connected persons, by way of royalties, fees or similar payments in return for the use of patents or other rights, other than towards reimbursement of actual expenses.

i. Chargeable asset - section 34 (1)(a) of NTA

- Any form of property shall be a chargeable asset, whether situated in Nigeria or not, including any form of asset, shares, options, rights, debts, digital or virtual assets and incorporeal property generally.

- Royalties and intellectual property rights having been included in "chargeable assets", the chargeable gains will now attract 30% companies income tax for large companies.

4. (a) **Rent received in advance**

When a landlord receives rental income in advance, the amount is taxable in the year it is received, not when it is earned.

(b) Allowable rental expenses

In computing the gain or profit from rental income for tax purposes, the following expenses are allowable deductions:

(i) tenement rates or land use charge;
(ii) cost of collecting rent, for example, fees paid to a caretaker, estate agent, legal representative, etc.;
(iii) cost of advertising for tenants;
(iv) any expenses incurred for repairs and maintenance of the building;
(v) interest on money borrowed and employed in acquiring or renovating the property;

(vi) Bad debts incurred;
(vii) commission paid to agent or caretaker;
(viii) insurance premium paid on the property; and
(ix) water rate.

CHAPTER FIFTEEN

TAXATION OF SOLE TRADERS / SELF-EMPLOYED INDIVIDUALS

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l. Computation of personal income tax of a sole trader - format

m. Chapter review

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15.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the computation of gross income, chargeable income, and the tax liabilities of sole traders/self-employed individuals.

15.1 Learning outcomes

On completion of this chapter, readers should be able to:

(a) understand what constitutes a business or trade;
(b) explain the factors that should be taken into consideration when deciding whether or not an individual is engaged in a trade or business;
(c) differentiate between revenue receipts and capital receipts;
(d) explain the expenses specifically disallowed by the Act in ascertaining the income or loss of an individual;
(e) compute adjusted profit or loss of an individual from a trade,

business, profession and vocation; and

(f) compute the tax liabilities of individuals who derive income from trade or business.

15.2 Meaning of a trade or profession and explanation of badges of trade

This chapter covers unincorporated entities, that is, sole proprietorship. In this section, what constitutes a business, a trade and badges of trade are discussed.

15.2.1 What constitutes a business

The term "business" includes a trade, profession or vocation. It follows, therefore, that every trade, profession or vocation is a business and this makes the concept of business very wide.

15.2.2 What constitutes a trade

The difficulty in determining what constitutes a trade has led to many litigations and the huge number of tax cases that exist on the issue. The problem from the decided cases is that of finding an absolute test for identifying a trade. The conclusion has always been that there are no fixed rules but that each case must be examined on its own facts. However, three decided cases are presented as a guide.

Case 1: Fry v Burma Corporation Limited – Lord Atkins interpreted the word 'trade' to mean the various activities of commerce, these include, the winning and using the product of the earth, or multiplying the product of the earth and selling them; the purchase and sale of commodity or the offering of services for reward. From the judicial decision, it is obvious that there could be no infallible test to determine what constitutes a trade.

Case 2: Glasgow Heritable Trust Limited v I.R.Comrs – The decision of the presiding judge is that the fact that a former owner of a business was carrying on a trade was not a conclusive evidence of trade.

Case 3: Building and Civil Engineering Holidays Scheme Management Limited v Clark. The decision here is that the fact that an activity generates a surplus does not necessary turn the activity into a trade. Rather, it will appear that the Court will favour an examination of the fact and circumstances of every transaction to find out if the transaction said to have given rise to a taxable profit bears any of the badges of trade.

15.2.3 Badges of trade

The Royal Commission on the Taxation of Profits and Income (1951- 1955) that was chaired by Lord Radcliffe, gave a summary of considerations that influence the identification of the badges of trade and they include:

(a) the subject- matter of the realisation;
(b) the length of period of ownership;
(c) the frequency or number of similar transactions;
(d) supplementary work on or in connection with the property realised;

(e) the circumstances that were responsible for the realisation; and
(f) the motive.

The following case is used to provide justification for the definition of badges trade.

Case 1: <u>Trustees of Methodist Church Mission v FBIR</u> – An assessment was raised on the income from Wesley House, a property developed by the trustees and leased out to tenants. Objection to the assessment was based on the status of the owners (Methodist Church) which enjoys exemption under the Act as being engaged in ecclesiastical activities.

The Federal Revenue Court held that the company is doing precisely what it was formed to do, namely, carrying on the business of a company dealing in real estate. Therefore, it cannot claim to be exempted from the incidence of taxation because it is established that the relevant income is derived from a trade or business.

15.3 Definition of gross income - section 147 of NTAA

This section defines "gross income" as total income of an individual in any particular year of assessment from all sources ascertained under the provisions of the NTAA.

15.4 Computation of assessable profit of a trade or profession

15.4.1 Taxable and non-taxable income

(a) Taxable income - section 28 of NTA

This is the aggregate amount of:
(i) assessable profits from trade, business, profession or vocation;
(ii) employment income;
(iii) income from investing activities;
(iv) profits or income from any other source; and
(v) chargeable gains from the disposal of chargeable assets.

(b) Non-taxable income

(i) Personal injury - section 50 of the NTA

- Amounts not exceeding N50,000,000 obtained by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession or vocation, including compensation for loss of office or employment, wrong or injury for libel, slander or enticement shall not be chargeable gains.

- Where the sum exceeds ₦50,000,000, only the excess amount shall constitute a chargeable gain.

- For the purposes of the first two bullets above, any person who pays compensation for loss of office or employment to an individual is

required, at the point of payment of such compensation, to deduct and remit the tax due under this section to the relevant tax authority.

- The tax so deducted shall be remitted within the time specified under the Pay-As-You-Earn or Deduction of Tax at Source Regulations issued the Nigeria Tax Administration Act.

(ii) Principal private residences - section 51 of NTA

- The gains accruing to an individual are exempt from tax in respect of the disposal of, or an interest in:
  - a dwelling-house or part of such dwelling-house; and
  - land, other than land used for commercial purposes, immediately adjoining the dwelling house up to a maximum of one acre.
- The exemption under this section shall be enjoyed once in the lifetime of an individual.
- The consideration shall be apportioned where a person disposes of only a part of a dwelling-house or a house used partly as dwelling place and partly for carrying out a trade, business, profession or vocation.

(iii) Personal chattels - section 52 of NTA

- A gain accruing on a disposal of an asset which is tangible movable property being personal chattels of an individual shall not be a chargeable gain if the total amount or value of the consideration for the disposal does not, in a period of assessment, exceed ₦5,000,000 or three times the annual national minimum wage, whichever is higher.
- Where two or more assets, whether or not forming part of a set of articles, are disposed by a person to the same person or to persons acting in concert or to connected persons, whether on the same or different occasions, the two or more transactions shall be treated as a single transaction disposing of a single asset, but with any apportionments, where necessary.
- Where the disposal is part of a right or interest in, or over tangible movable property, (a) above shall apply in relation to the asset as a whole, taking the consideration as including the market value of what remains undisposed of, in addition to the actual consideration.

- The provisions of this section shall apply to a gain accruing on a disposal of two or more assets, not necessarily forming part of a set of articles of any description, which are tangible movable properties in the same manner as they apply in relation to a gain accruing on a disposal of an asset, or two or more assets forming part of a set of articles.

(iv) Motor vehicle - section 53 of NTA

- A motor vehicle used solely for private or non-profit purposes shall not be an asset for the purposes of taxation.

- The exemption under this section shall be limited to not more than two motor vehicles by an individual in any year of assessment.

(v) Gifts - section 54 of NTA

- Where a person disposes by way of a gift, an asset acquired by him by way of a gift or any other form of gift, not being an acquisition on a devolution on death, the gains accruing from the disposal shall not be chargeable gains.
- An asset is acquired or disposed of by way of gift where no consideration is paid or received for the acquisition or disposal.

(vi) This section shall not apply to a disposal of currency of any description.

It should be noted that sole traders with an annual turnover of ₦ 100 million or less are exempt from the payment of companies income tax (CIT). Additionally, those who generate income from agricultural bushiness are exempt from tax exempt for the first five years.

15.4.2 Allowable and non- allowable deductions

(a) Deductions allowed - section 20 of NTA

(i) For the purposes of ascertaining the profits or loss from any trade, business, profession or vocation under this Act, there shall be deducted all expenses for that period **wholly** and **exclusively** incurred in the production of the income, including:

- any sum payable by way of interest on debt employed in generating the income of the trade, business, profession or vocation, subject to the deductibility of excess interest on loans relating to connected persons;
- rent and premiums, incurred during that period, in respect of land or building occupied for the purposes of generating the income;
- any outlay or expenses incurred in respect of:
  - salary, wages or other remuneration paid to employees, and
  - cost to the company of any benefit or allowance provided to its employees;
- any expense incurred for repair of premises, plant, machinery or fixtures employed in acquiring the income, or for the renewals, repair or alteration of any implement, utensil or articles so employed;
- any amount of expenditure incurred for establishing, preserving or defending title to or rights over an asset;
- any contribution to any staff pension, provident or other retirement benefits fund, society or scheme approved under the Pension Reform Act any similar enactment in Nigeria;

- any expense proven to the satisfaction of the relevant tax authority to have been incurred, being damage to, or loss of stock or inventory of the trade, business, profession or vocation;
- bad or doubtful debts incurred during a trade or business, notwithstanding that the debts were due and payable before the commencement of the basis period, being:

- debts becoming bad during the said basis period other than bad debt incurred in respect of transaction with a related party,
- doubtful debts estimated in accordance with generally acceptable accounting principles and to the extent that it is proven, to the satisfaction of the relevant tax authority, that the debts in respect of which a deduction is claimed were incurred during the company's business operations that produced the assessable profits;

- any expense incurred by the trade, business, profession or vocation on research and development for the period;
- any other expense incurred during any previous period for the purpose of such trade or business, or specifically for the period which the profits are being ascertained, provided that any expenditure incurred within six years prior to commencement of business which would have been deductible if incurred after commencement of business, shall be deemed to have been incurred on the first day of commencing the trade or business;
- dividends or mandatory distributions made by a real estate investment company duly approved by the Securities and Exchange Commission, to its shareholders;
- compensating payments made by a lender to its approved agent or a borrower in a regulated securities lending transaction, which qualify as interest;
- any expense incurred by a person on assistive devices and disability-related products including hearing aids, wheelchairs, and braille materials.

(ii) Notwithstanding the provision relating to bad or doubtful debts above, in determining the amount deductible:

- appropriate reduction shall be made in respect of any amount that had been allowed for deduction in any previous period in respect of the same debt; and
- all sums recovered on account of sums previously written off or allowed for deduction in respect of bad or doubtful debts shall be added to the profits of the trade, business, profession or vocation in the period of recovery.

(iii) Liability waived, released or recovered shall be included in the assessable profits or chargeable gains.

(iv) Notwithstanding anything to the contrary contained in any law, an expense incurred in a currency other than the Naira may only be deducted to the extent of its Naira equivalent at the official exchange rate published by the Central Bank of Nigeria for the relevant date or period.

(b) Deductible donations - section 163 of NTA

(i) For the purposes of ascertaining the profits or loss from any trade, business, profession or vocation, there shall be deducted the amount of any donation made for that period by that company to any fund, body or institution in Nigeria to which this section applies.

(ii) Without prejudice to restriction on expenses allowed, any donation made by a company under (a) above, may be deducted from the profits of that period notwithstanding that the donation is of a revenue or capital nature.

(iii) This section shall apply to donations made to:
- public funds;
- statutory bodies or institutions;
- religious, charitable, educational and scientific institutions, established in Nigeria;
- bodies recognised under the Diplomatic Immunities and Privileges Act; or
- any pandemic, natural disaster or other public emergency interventions.

(iv) A company making a deduction for a donation shall provide requisite document evidencing the donation to the relevant tax authority.

(v) The total deduction to be allowed to a company, under this section, for any year of assessment, shall not exceed an amount equal to 10% of the profit before tax of that company for that year.

(vi) In the case of a donation other than in cash, the value for the purpose of this section shall be the lower of the market value at the time of the donation or the consideration paid for the item when it was acquired.

(c) Deduction for research and development - section 164 of NTA

i. Notwithstanding anything contained in section 20 of this Act (deductions allowed), for the purpose of ascertaining the profit or loss of any company for any period from any source chargeable with tax, there shall be deducted the amount incurred in that period by that company for research and development.
ii. The deduction to be allowed to a company under (a) above for any year of assessment shall not exceed an amount which is equal to 5% of the turnover for that year.
iii. Where a company to which this section applies subsequently sells or transfers the outcome of the research and development to another person for exploitation or commercialisation, the proceeds of such sale or transfer shall be taxed accordingly.

(d) Deductions not allowed - section 21 of NTA

A deduction shall not be allowed for the purposes of ascertaining the profits or income from any trade, business, profession or vocation in respect of:

(i) capital repaid or withdrawn from a trade, business, profession or vocation;
(ii) any expenditure of a capital nature;
(iii) domestic or private expense, or expenditure on assets not used for the purpose of trade, business, profession or vocation;
(iv) any sum recoverable under an insurance or contract of indemnity;

(v) taxes on profit or incomes levied in Nigeria or elsewhere;
(vi) any payment to a savings, widows and orphans, pension, provident or other retirement benefit fund, society or scheme not approved under the Pension Reform Act or any similar enactment in Nigeria;
(vii) depreciation or impairment of any fixed asset, investment or an unrealised exchange difference on any item denominated in foreign currency;
(viii) any sum reserved out of profits subject to (a) (xii) above;
(ix) any payment to a connected person that is not consistent with the Transfer Pricing Regulations issued by the Service;
(x) any expense incurred in deriving an income that is exempt from income tax; any expense allowable as a deduction in determining chargeable gains under this Act;
(xi) penalty or fine imposed under any law;
(xii) any tax or penalty borne on behalf of another person;
(xiii) any compensating payment made by a borrower, which qualifies as dividends under this Act, to its approved agent or to a lender in a regulated securities lending transaction;
(xiv) any compensating payment made by an approved agent, which qualifies as interest or dividends under this Act, to a borrower or lender in a regulated securities lending transaction; or
(xv) any expense on which Value Added Tax is due under this Act but was not charged, or in the case of imported items, any expense on which the applicable import duty or levy was not paid.

15.5 Ascertainment of total income - section 28(1) of NTA

The total income of an individual for any year of assessment is the taxable income less total deduction.

15.6 Eligible deductions - section 30(2) of NTA

(a) *"eligible deductions"* include payments made by the individual in a year of assessment in respect of:
(i) the individual's contributions under the National Housing Fund,
(ii) the individual's contributions under the National Health Insurance Scheme,
(iii) the individual's contributions under the Pension Reform Act, 2014
(iv) interest on loans for developing an owner-occupied residential house،
(v) annual amount of any annuity or premium paid by the individual during the year preceding the year of assessment in respect of insurance on his life or the life of his spouse, or contract for a deferred annuity on his own life or the life of his spouse;
(vi) rent relief of 20% of annual rent paid, subject to a maximum of ₦500,000, whichever is lower, provided that the individual accurately declares the actual amount of rent paid and other relevant information as may be prescribed by the relevant tax authority; and

(b) *"total income"* means total income as defined in 19.5 above.

15.7 Ascertainment of chargeable income -section 30(1) of NTA

The chargeable income of an individual, is the total income of that individual ascertained under the provisions of section 28 of this Act less eligible deductions.

15.8 Basis period of assessment

15.8.1 Commencement of business - section 22 of NTA

The profits of any trade, business, profession or vocation for each year of assessment (the assessable profits) shall be the profits of the accounting period immediately preceding the year of assessment from all sources.

The above notwithstanding, the assessable profits of the first year of assessment for a new business, shall be the profits from the date in which such trade, business, profession or vocation commences in Nigeria to the end of the first accounting period.

15.8.2 Change in accounting date - section 23 of NTA

Where a taxable person changes the date to which it usually computes its assessable profits, the basis period for the computation of the assessable profits for the relevant year of assessment shall be the period commencing from the first day after the basis period of the immediately preceding year of assessment up to the new date on which the account was made, and the assessable profits of subsequent years of assessments shall be computed on the basis of the new accounting period.

The taxable person shall notify the relevant tax authority, where there is a change in the accounting date, not later than 30 days before the usual due date of filing its income tax returns.

15.8.3 Cessation of trade or business - section 24 of NTA

(a) Where a trade, business, profession or vocation permanently ceases to carry on operations in Nigeria in an accounting period, the assessable profits for the relevant year of assessment shall be the amount of the profits from the beginning of the accounting period to the date of cessation and the tax shall be payable within six months from the date of cessation.

(b) Where, after the date of cessation, the trade, business, profession or vocation, or its receivers or liquidators, receive or pay any sum which ought to have been included in or deducted from the profits of that trade or business if it had been received or paid prior to that date, such sum shall be deemed for the purposes of this Act to have been received or paid by the trade, business, profession or vocation on the last day before such cessation occurred and such sums shall be disclosed to the relevant tax authority within one month of the receipt or payment.

(c) Where the situation in (b) above arises, any additional assessment or claim for reduction of assessment or repayment of tax shall be made as may be necessary to give effect to the provisions, provided that the provisions of the Nigeria Tax Administration Act relating to objections and appeals shall apply to the additional assessment or claim of reduction of assessment or repayment of tax under this subsection.

(c) In the case of a deceased individual, where the personal representative after death, receives or pays any sum which would have been included in or deducted from the gains or profits from the trade, business, profession or vocation carried on prior to death, that sum shall be deemed for all purposes of this Act to have been received or paid by the deceased, on the last day prior to the death.

15.8.4 Continuity of trades - section 25 of NTA

An individual carrying on a trade, business, profession or vocation, shall not be treated as having commenced or ceased to do so solely by reason of a change in the territory in which the individual is resident from one year to another, or by reason of becoming or ceasing to be a partner in a partnership if the nature of the trade carried on by that partnership is the same as that carried on before or after the individual became or ceased to be a partner.

15.9 Loss relief and treatments

Loss relief procedure, for an individual is similar to that under the incorporated companies except for current year loss. It is apposite to state that losses can be carried forward indefinitely.

15.9.1 Current year loss relief - section 28(3) of NTA

The loss to be deducted in arriving at the total income of an individual is:

(a) the amount of a loss incurred by the individual during the year or preceding year of assessment in a trade, business, profession or vocation; and

(b) the amount of loss incurred on the disposal of a chargeable asset: Provided that:
   (i) in no circumstances shall the aggregate loss deductions from income exceed the amount of that loss;
   (ii) the loss shall be deducted as far as possible from assessable profit of a trade, business, profession or vocation of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped,
   (iii) the loss incurred during any year of assessment shall be computed, in accordance with the basis period contained in Part V of Chapter Two of this Act, and
   (iv) any loss incurred in any period from sales, disposal or any other transaction in digital or virtual assets shall only be deductible against the profit or gain from digital or virtual assets.

15.9.2 Carry forward loss relief - section 27(6) of NTA

(a) The amount of loss that can be deducted in the ascertainment of total profits of companies shall be subject to the following conditions:
   (i) in no circumstances shall the aggregate loss deductions from the assessable profits or income exceed the amount of that loss;
   (ii) loss can only be deducted from the trade or business in which the loss was incurred;
   (iii) the loss shall be deducted to the extent possible from the amount of the assessable profits of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped;

and

(*iv)* the loss incurred during any year of assessment shall be computed, in accordance with the basis period used to compute assessable profits or income.

(b) Notwithstanding (a) above, or any provision of this Act, any loss incurred in any period from sales, disposal or any other transaction in digital assets shall only be deductible in determining the profits from the business relating to digital or virtual assets.

15.9.3 Treatment of losses under commencement and cessation of business - section 28(3) of NTA

On commencement of business, loss incurred can be carried forward indefinitely. When a trade ceases, any terminal loss resulting therefrom which could not be relieved in the year of cessation due to insufficiency or non-availability of profit, is deemed lost.

15.10 Computation of capital allowance (CA)

15.10.1 Definitions of qualifying capital expenditure and capital allowances

Capital allowance can be defined as a relief that is claimable by a taxpayer who incurs qualifying capital expenditure (QCE) during a basis period in respect of assets in use for the purpose of trade or business at the end of the basis period. Capital allowance can also be defined as allowance granted a taxpayer in lieu of depreciation charged which is treated as a non-allowable expense for tax purposes.

15.10.2 Qualifying capital expenditure - First paragraph of the First Schedule to the NTA

Subject to the First paragraph of the First Schedule to the NTA, qualifying capital expenditure means expenditure incurred in a basis period for the acquisition, refurbishment and improvement of the value of the asset which is:

(a) capital expenditure incurred on plant and equipment expenditure;

(b) capital expenditure incurred on the construction of buildings, structures or work of a permanent nature, other than expenditure which is included in (a),(c) or (d);

(c) capital expenditure (qualifying mast expenditure) incurred on tall upright pole erected on, fastened to land or other structure;

(d) capital expenditure incurred in connection with, or in preparation for, the working of a mine, oil well or other sources of mineral deposits of a wasting nature (other than expenditure which is included in sub-paragraph (a) above:

  (i) on the acquisition of deposits, or of rights in or over, the deposits or on the purchase of information relating to the existence and extent of the deposit;

  (ii) on searching for or on discovering and testing deposits, or winning access thereto; or

  (iii) on the construction of any work or building which is likely to be of little or no value when the source is no longer worked or, where the source is worked under a concession, which is likely to become valueless when the concession comes to an end to the individual working the source immediately before the concession comes to an end; or

(e) capital expenditure (qualifying agriculture expenditure) incurred:

(i) in connection with a plantation, on the clearing of land for planting, planting other than replanting, maintenance of the plantation and other pre-production expenses in connection with that plantation shall be qualifying agriculture expenditure, incurred on the first day on which the trade or business commences;

(ii) in respect of ranching on:
structures used primarily for ranching;
- raising herds of animals for the purpose of breeding, and does not include raising of animals for the purpose of sale;
- animals that function as apparatus with which a trade is carried on and the life expectancy is more than 5 years;

(f) capital expenditure (qualifying intangible assets expenditure), incurred in respect of research and development of:

(i) equipment and facilities, patents, licences, secret formulas or process,
(ii) information concerning the development of industrial, commercial or scientific process, technical feasibility or products or processes, or
(iv) the discovery and testing of products or processes for future market use and such other similar costs which have brought into existence an asset;

(g) capital expenditure (qualifying motor vehicle expenditure), incurred on:
(i) a fleet of buses of not less than three used for public transportation,
(ii) public transportation inter-city new mass transit coach of twenty-five seats and above operated by a private establishment, or
(iii) other motor vehicles;

(h) capital expenditure (qualifying heavy transportation expenditure), incurred on:
(i) aircraft engine and fuselages,
(ii) pipeline and cables,
(iii) vessels,
(iv) ships engine,
(v) train engine, railway carriages or train tracks and coaches;

(i) capital expenditure (qualifying software expenditure) incurred on the acquisition of software or other such capital outlays on electronic applications;

(j) capital expenditure (qualifying furniture and fittings expenditure), incurred on furniture and fittings including those used in vessels, ships, aircrafts, trains, plants, and buildings for the purposes of trade or business;

15.10.3 Capital allowance

It is pertinent to state that Nigeria Tax Act, 2025, does not recognise initial allowance, and balancing adjustment, hence only annual allowance is captured in this section.

Annual allowance (AA)

(a) Basis period - paragraph 1 of the First Schedule

The *basis period* for an allowance means the basis period for assessable profit or income, provided that in the case of a trade or business:

(i) where there is an interval between the end of the basis period for one year of assessment and the basis period for the next year of assessment, then the interval shall be part of the second basis period; or

(ii) where there is an interval between the end of the basis period for the year of assessment preceding that in which the trade or business permanently ceases to be carried on by a company or an individual and the basis period for the year in which it ceases, the interval shall form part of the first basis period.

(b) Computation of AA - paragraph 6 of the First Schedule to the NTA

A person that has incurred qualifying expenditure wholly and exclusively for the purposes of its trade or business, in a basis period for a year of assessment, there shall be made to the person for each year of assessment in the basis period for which that asset was used for the purposes of that trade or business, an allowance (capital allowance) at the rate specified in Table I of this Schedule: Provided that:

(i) there shall be recorded in the capital allowance computation schedule for statistical purposes 1% of qualifying capital expenditure until the asset is disposed which being a notional amount, shall not increase or reduce the amount of capital allowance claimable; and

(ii) where the basis period for any year of assessment is a period of less than one year, the allowance for that year of assessment shall be granted proportionately.

15.10.4 Conditions for granting capital allowances - section 27 (2) of NTA

The capital allowance to be granted in accordance with the provisions of Part I of the First Schedule, shall be the amount relating to the qualifying capital expenditure incurred in generating the assessable profits:

Provided that:

(a)

(i) in the case of companies in the priority sector, certificate of acceptance issued by the Industrial Inspectorate Department shall be obtained in respect of the qualifying capital expenditure; and

(ii) where value added tax is due under this Act but not charged on an asset, or in the case of an imported item, where the applicable import duty or levy was not paid, the relevant expenditure shall not be eligible as a qualifying capital expenditure.

(b) where the qualifying capital expenditure is in relation to an asset that is only partly utilised in generating the assessable profits, the capital allowance on such qualifying capital expenditure shall be prorated and only the portion relating to the taxable income shall be allowed as a deduction.

(c) The capital allowance computed shall not be prorated where the non-taxable income constitutes less than 10% of the total income of the company.

(d) Notwithstanding the provisions of (c) above, the portion of capital allowance attributable to priority activities of a company that enjoys economic development incentive under this Act shall be deducted only from the assessable profits of the priority business.

In addition to the above, paragraph 7 of the First Schedule states that "a capital allowance in respect of qualifying expenditure incurred in respect of an asset shall be made to a person for a year of assessment if at the end of a basis period, the person:
(a) is the owner of the asset; and
(b) used the asset for the purposes of its trade or business.

15.10.5 Capital allowances for small companies
Capital allowance on QCE incurred by small companies are deemed utilised during the periods such companies are tax-exempt.

15.10.6 Capital allowances rates
These are as indicated below:

TABLE I (PARAGRAPH 6) of the First Schedule to the NTA

CAPITAL ALLOWANCE

Class	Rate	Qualifying capital expenditure
1	10%	(i) Building expenditure (ii) Agricultural expenditure (iii) Mast expenditure (iv) Intangible assets expenditure (v) Heavy transportation expenditure
2	20%	(i) Plant expenditure (ii)Agricultural equipment expenditure (iii) Furniture and fittings expenditure (iv) Mining expenditure (v) Other equipment expenditure
3	25%	(i) Motor vehicle expenditure (ii) Software expenditure (iii) Other capital expenditure

15.10.7 Capital allowances under hire purchase transactions or finance lease agreement - paragraph 2 of the First Schedule to the NTA

Section 201 of NTA defines "hire purchase" as a financial arrangement in which a person acquires immediate use of an asset by making regular instalment payments

over a specified period and may gain ownership of the asset on the completion of the payments.

Section 201 also defines" finance lease" as a lease arrangement where the lessee effectively assumes most of the risks and rewards associated with asset ownership.

In relation to any asset acquired by any hirer or lessee under a hire-purchase or finance lease agreement, the following shall apply:

(a) the qualifying capital expenditure in any basis period shall, in relation to any asset so acquired under that agreement, be limited to the amount of the instalments paid by the hirer or lessee up to that basis period, excluding any interest paid under the agreement;

(b) the *"owner"* of the asset shall be construed to be the hirer or lessee under the hire-purchase or finance lease agreement; and

(c) the person letting the asset to the hirer or lessee under the agreement shall not be entitled to an allowance.

15.10.8 Capital allowances under an operating lease -paragraph 15 of the First Schedule to the NTA

Section 201 of NTA defines "operating lease" as an arrangement involving the transfer of the right to an asset by the lessor in return for rental payments from lessee over an obligatory period but the asset is not wholly amortised during the period.

(a) Where in a basis period, the owner of an asset leases the asset to another person under an operating lease, the provisions of this part shall apply, as though such expenditure were incurred for the purpose of a trade or business carried on by the owner or lessor.

(b) Where an asset is acquired for use by a hirer or lessee under a hire purchase or finance lease contract for the purpose of a trade or business carried on by such hirer or lessee, the hirer or lessee shall be deemed to be the owner of the asset and the provisions of this part shall apply to the hirer or lessee, to the exclusion of the hiree or lessor under the contract.

(c) For the purposes of this paragraph in relation to the trade or business, the basis period for any year of assessment shall be taken to be the year immediately preceding that year of assessment.

15.11 Computation of personal income tax liabilities of a sole trader - format

	N	N
(a) Assessable profits from trade, business, profession or vocation		xx
(b) Income from investing activities		xx
(c) Profits or income from any other source		xx
(d) Chargeable gains from the disposal of chargeable assets		xx
Taxable income		xxx
Deduct: total deduction		
(a) Loss incurred in respect of trade, business, profession or vocation	xx	
(b) Loss incurred on the disposal of a chargeable asset	xx	
(c) Loss incurred from sales, disposal or any other transaction relating to digital or virtual assets which shall only be deductible against profit or gain from digital or virtual assets	xx	
(d) Capital allowance	xx	
(e) Income of the individual that is exempt from tax	xx	
(f) Income of the individual on which the tax deducted at source is the final tax	xx	
Total deductions	xxx	(xxx)
Total income		xxx
Deduct: eligible deductions:		
(a) Contributions to National Housing Fund	xx	
(b) Contributions to National Health Insurance Scheme	xx	
(c) Pension contributions under Pension Reform Act	xx	
(d) Interest on loans for developing an owner-occupied residential house	xx	
(e) Life assurance premium	xx	

(f) Rent relief of 20% of annual rent paid, subject to a maximum of ₦500,000, whichever is lower	xx	
Total of eligible deductions	xxx	(xxx)
Chargeable income		xxx

Thereafter, the tax rates are applied to the chargeable income determine the gross tax liability payable. The final tax is derived by subtracting the withholding taxes earlier paid on the unearned income items, except dividend, from the gross tax liability payable.

Computation of personal income tax

	N
First N 800,000 @ 0%	xx
Next N 2,200,000 @ 15%	xx
Next N 9,000,000 @ 18%	xx
Next N13,000,000 @ 21%	xx
Next N 25,000,000 @ 23%	xx
Above N 50,000,000 @ 25%	xx
Tax payable	xxx
Less withholding tax paid	(xx)
Net tax liability payable	xxx

15.12 Chapter review

This chapter fully explains the constituents of a business and trade and addresses the taxation of income from business, profession and vocation.

15.13 Worked examples

15.13.1 Questions

(1) Karo Enterprises commenced on January 2, 2026, and makes up accounts to March 31, every year.

The adjusted profits as provided are as follows:

	₦
January 2, 2026 to March 31, 2026	41,300,050
April 1, 2026 to March 31, 2027	52,750,000

The company acquired the following capital expenditure in 2026 as follows:

	Date	₦
Motor vehicles	January 6,2026	12,500,000
Office equipment	January 8, 2026	2, 420,000
Furniture and fittings	January 10, 2026	1.390,000

All the relevant documents for tax purposes are kept handy by the company.

Required:
Compute the chargeable profits of the business for the relevant assessment years.

(2) Capital allowance is a form of relief granted to any company which incurred capital expenditure for the purpose of a trade or business during a basis period in respect of property, plant and equipment that are in use at the end of the basis period.

Capital allowance is granted in place of depreciation which is usually disallowed for income tax purposes.

Required:

(a) Explain qualifying capital expenditure.
(b) Explain the conditions for granting capital allowances.
(c) Discuss the special provisions regarding assets purchased under hire purchase agreements or leases.

(3) Alhaja Suliat, who resides in Lagos, has been trading for several years.

The projected statement of profit or loss of her business for the year ending December 31, 2026, is as shown below:

	₦	₦
Gross profit		50,000,000
Profit on sale of vehicle		1,200,000
		51,200,000
Less: Expenses		
General administration	3,000,000	
Staff salaries	12,219,500	
Stationery and printing	800,000	
Postage and telephone	400,000	
Electricity	700,000	
Entertainment	250,500	
Vehicle repairs and maintenance	455,000	
Bank charges	800,000	
Donations	4,500,000	
Periodicals and technical journals	80,000	
Audit and accountancy fee	2,500,000	
Defalcation and embezzlement	1,200,000	
Repairs and renewals	4,485,000	
Depreciation	5,010,000	
VAT paid on equipment	2,800,000	
Bad and doubtful debts–Specific	200,000	(39,400,000)
Net Profit		11,800,000

You are provided with the following additional information:

(i) Legal expense of ₦360,000 formed part of staff salary instead of capital items.
(ii) Donations made to The Boys Scout of Nigeria
(iii) She agreed with the Inspector of Taxes that one third of vehicle repairs and maintenance related to private use.
(iv) Further examination of accounts revealed that salary of ₦ 800,000 was paid to an unknown person.
(v) The Chief Accountant perpetrated 75% of the defalcation.
(vi) Allowable expenses of ₦230,000 have been omitted from the accounts.
(vii) Repairs and renewals comprised:

	₦
Partitioning of new office	930,500
Repairs to plant and machinery	825,000
Repairs of office roof	2,729,500
	4,485,000

Required:

(a) Compute the chargeable profit from trade of Alhaja Suliat for the relevant tax year.
(b) Explain three conditions that must be met before donations can be allowed as an expense.

(4) Mr Sulaimon has been the sole proprietor of his business for several years. His detailed projected statement of profit or loss for the year ending December 31, 2026, is as follows:

Revenue	₦	₦
Gross trading profit		30,000,000
Dividend (gross)		2,500,000
Rental income (gross)		800,000
Profit on sale of PPE		1,200,000
		34,500,000
Less: expenses:		
Salaries and wages	3,500,000	
General expenses	1,600,000	
Finance costs	900,000	
Rates and electricity	500,000	
Repairs and maintenance	2,500,000	

Depreciation	4,800,000	
Bad debt	2,000,000	(15,800,000)
Net profit		18,700,000

Additional information: ₦

(i) Salaries and wages include:

Salary paid to Mrs Sulaimon who is a full-time employee of the company	50,000
Wages to Mrs Sulaimon 's housemaid	50,000
Salaries of other employees	3,100,000
	3,500,000

(ii) General expenses include:

Subscription for trade magazines	200,000
Cost of company's branded gifts	750,000
Fines paid for traffic offence committed by Mrs. Sulaimon	100,000
Stationery	250,000
Hiring of generator set for Mr. Sulaimon 's private residence	300,000
	1,600,000

(iii) Finance cost includes ₦ 200,000 in respect of Mr. Sulaimon 's private loan.
(iv) Mr. Sulaimon has a life insurance policy on his life for which he pays anannual premium of ₦ 350,000.
(v) Mr. Sulaimon made contribution of ₦ 150,000 to national health insurance scheme (NHIS) during the year.
(vi) Mr. Sulaimon has 3 children and maintained his aged parent.
(vii) Capital allowance agreed with the relevant tax authority is ₦ 5,500,000.

Required:

(a) Compute adjusted profit for the relevant tax year.
(b) Compute the tax liability of Mr. Sulaimon for the relevant tax year.

(WHT rate on dividend and rent is 10%)

15.13.2 Suggested solutions to questions

(1) Karo Enterprises
Computation of chargeable profits
For assessment years 2027 and 2028

	N	N
Assessment year 2027		
Assessable profit (2/1/26 – 31/3/26)		41,300,050
Capital allowances		(971,750)
Chargeable profit		40,328,300
Assessment year 2028		
Assessable profit (April 1, 2026 – March 31, 2027		52,750,000
Capital allowances		(3,887,000)
Chargeable profit		48,863,000

Computation of capital allowances

	Motor vehicles	Office equipment	Furniture and fittings	Total
Capital allowance (%)	25%	20%	20%	
	N	N	N	N
Cost	12,500,000	2,420,000	1,390,000	16,310,000
Assessment year 2026				
Annual allowance (A.A)	(781,250)	(121,000)	(69,500)	971,750,
W.D.V. c/f to A.Y. 2027	11,718,750	2,299,000	1,320,500	
Assessment year 2027				
Annual allowance	(3,125,000)	(484,000)	(278,000)	3,887,000
W.D.V. c/f to A.Y. 2028	8,593,750	1,815,000	1,042,500	

2 (a) Qualifying capital expenditure - First paragraph of the First Scheduleto the NTA

Subject to the First paragraph of the First Schedule to the NTA qualifying capital expenditure means expenditure incurred in a basis period for the acquisition, refurbishment and improvement of the value of the asset which is:

(i) capital expenditure incurred on plant and equipment expenditure;

(ii) capital expenditure incurred on the construction of buildings, structures or work of a permanent nature, other than expenditure which is included in (i), (iii) or (iv);

(iii) capital expenditure (qualifying mast expenditure) incurred on tall upright pole erected on, fastened to land or other structure;

(iv) capital expenditure incurred in connection with, or in preparation for, the working of a mine, oil well or other sources of mineral deposits of a wasting nature (other than expenditure which is included in sub-paragraph (i) above:

- on the acquisition of deposits, or of rights in or over, the deposits or on the purchase of information relating to the existence and extent of the deposit;
- on searching for or on discovering and testing deposits, or winning access thereto; or
- on the construction of any work or building which is likely to be of little or no value when the source is no longer worked or, where the source is worked under a concession, which is likely to become valueless when the concession comes to an end to the individual working the source immediately before the concession comes to an end; or

(v) capital expenditure (qualifying agriculture expenditure) incurred:

- in connection with a plantation, on the clearing of land for planting, planting other than replanting, maintenance of the plantation and other pre-production expenses in connection with that plantation shall be qualifying agriculture expenditure, incurred on the first day on which the trade or business commences;
- in respect of ranching on:
  - structures used primarily for ranching;
  - raising herds of animals for the purpose of breeding, and does not include raising of animals for the purpose of sale;
  - animals that function as apparatus with which a trade is carried on and the life expectancy is more than 5 years;

(vi) capital expenditure (qualifying intangible assets expenditure), incurred in respect of research and development of:

- equipment and facilities, patents, licences, secret formulas or process,
- information concerning the development of industrial, commercial or
  scientific process, technical feasibility or products or processes, or
- the discovery and testing of products or processes for future market use and such other similar costs which has brought into existence an asset;

(vii) capital expenditure (qualifying motor vehicle expenditure), incurred on:

- a fleet of buses of not less than three used for public transportation,

- public transportation inter-city new mass transit coach of twenty-five seats and above operated by a private establishment, or
- other motor vehicles;

(viii) capital expenditure (qualifying heavy transportation expenditure), incurred on:

- aircraft engine and fuselages,
- pipeline and cables,
- vessels,
- ships engine,
- train engine, railway carriages or train tracks and coaches;

(ix) capital expenditure (qualifying software expenditure) incurred on the acquisition of software or other such capital outlays on electronic applications; and

(x) capital expenditure (qualifying furniture and fittings expenditure), incurred on furniture and fittings including those used in vessels, ships, aircrafts, trains, plants, and buildings for the purposes of trade or business.

(b) Conditions for granting capital allowances - section 27 (2) of NTA

The capital allowance to be granted in accordance with the provisions of Part I of the First Schedule, shall be the amount relating to the qualifying capital expenditure incurred in generating the assessable profits:

Provided that:

(iii) in the case of companies in the priority sector, certificate of acceptance issued by the Industrial Inspectorate Department shall be obtained in respect of the qualifying capital expenditure; and

where value added tax is due under this Act but not charged on an asset, or in the case of an imported item, where the applicable import duty or levy was not paid, the relevant expenditure shall not be eligible as a qualifying capital expenditure;

(ii) where the qualifying capital expenditure is in relation to an asset that is only partly utilised in generating the assessable profits, the capital allowance on such qualifying capital expenditure shall be prorated and only the portion relating to the taxable income shall be allowed as a deduction.

(iii) The capital allowance computed shall not be prorated where the non-taxable income constitutes less than 10% of the total income of the company.

(iv) Notwithstanding the provisions of (c) above, the portion of capital allowance attributable to priority activities of a company that enjoys

economic development incentive under this Act shall be deducted only from the assessable profits of the priority business.

In addition to the above, paragraph 7 of the First Schedule states that "a capital allowance in respect of qualifying expenditure incurred in respect of an asset shall be made to a person for a year of assessment if at the end of a basis period, the person:

(i) is the owner of the asset; and
(ii) used the asset for the purposes of its trade or business.

(c) Special provisions for assets purchased under hire purchase agreements or leases:

Capital allowances under hire purchase transactions or finance lease agreement - paragraph 2 of the First Schedule to the NTA

In relation to any asset acquired by any hirer or lessee under a hire-purchase or finance lease agreement, the following shall apply:

(i) the qualifying capital expenditure in any basis period shall, in relation to any asset so acquired under that agreement, be limited to the amount of the instalments paid by the hirer or lessee up to that basis period, excluding any interest paid under the agreement;

(ii) the *"owner"* of the asset shall be construed to be the hirer or lessee under the hire-purchase or finance lease agreement; and

(iii) the person letting the asset to the hirer or lessee under the agreement shall not be entitled to an allowance.

Capital allowances under an operating lease -paragraph 15 of the First Schedule to the NTA

i. Where in a basis period, the owner of an asset leases the asset to another person under an operating lease, the provisions of this part shall apply, as though such expenditure were incurred for the purpose of a trade or business carried on by the owner or lessor.

ii. Where an asset is acquired for use by a hirer or lessee under a hire purchase or finance lease contract for the purpose of a trade or business carried on by such hirer or lessee, the hirer or lessee shall be deemed to be the owner of the asset and the provisions of this part shall apply to the hirer or lessee, to the exclusion of the hiree or lessor under the contract.

(iii) For the purposes of this paragraph in relation to the trade or business, the basis period for any year of assessment shall be taken to be the year immediately preceding that year of assessment.

3 (a) Alhaja Suliat
Computation of chargeable profit of the trade
For 2027 assessment year

	₦	₦
Net profit as per accounts		11,800,000
Add back: Disallowable expenses:		
Staff salary – capital item	360,000	
Vehicles repairs and maintenance – private use1/3 x ₦ 455,000	151,667	
Salary – paid to unknown person	800,000	
Defalcation – 75% x ₦ 1,200,000	900,000	
Repairs and renewal – partitioning cost	930,500	
- repairs of office roof	2,729,500	
Donation- disallowed (N 4,500,000 - 10% of ₦ 11,800,000)	3,320,000	
Depreciation	5,010,000	
VAT	2,800,000	17,001,667
		28,801,667
Less: Non-taxable income		
Profit on sale of vehicle	(1,200,000)	
Less: Allowable expenses omitted	(230,000)	(1,430,000)
Assessable profit		27,371,667
Capital allowances		(7,500,000)
Chargeable profit		19,871,667

(b) Deductible donations - section 163 of NTA

(iv) For the purposes of ascertaining the profits or loss from any trade, business, profession or vocation, there shall be deducted the amount of any donation made for that period by that company to any fund, body or institution in Nigeria by company to any fund, body or institution in Nigeria to which this section applies.

(ii) Without prejudice to restriction on expenses allowed, any donation made by a company under (a) above, may be deducted from the profits of that period notwithstanding that the donation is of a revenue or capital nature.

(iii) This section shall apply to donations made to:
- public funds;
- statutory bodies or institutions;
- religious, charitable, educational and scientific institutions, established in Nigeria;

- bodies recognised under the Diplomatic Immunities and Privileges Act; or
- any pandemic, natural disaster or other public emergency interventions.

(iv) A company making a deduction for a donation shall provide requisite document evidencing the donation to the relevant tax authority.

(v) The total deduction to be allowed to a company, under this section, for any year of assessment, shall not exceed an amount equal to 10% of the profit before tax of that company for that year.

(vi) In the case of a donation other than in cash, the value for the purpose of this section shall be the lower of the market value at the time of the donation or the consideration paid for the item when it was acquired.

4(a) Mr. Sulaimon
Computation of adjusted profit
For the year ending December 31, 2026 (assessment year 2027)

	₦	₦
Net profit		18,700,000
Add: Disallowable expenses:		
Salaries and wages		
Wages paid to Mrs. Zuniga's maid	50,000	
General expenses:		
Fines paid for traffic offence committed by Mrs. Sulaimon	100,000	
Hire of generating set for Mr. Sulaimon's private residence	300,000	
Finance cost:		
Interest in respect of Sulaimon's private loan	200,000	
Depreciation	4,800,000	5,450,000
		24,150,000
Less: Non-taxable income:		
Dividend (gross)	2,500,000	
Profit on sale of PPE	1,200,000	(3,700,000)
Adjusted profit		20,450,000

(b) Mr.Sulaimon
Computation of tax liability

For 2027 assessment year

	₦	₦
Adjusted profit	20,450,000	
Less: Capital allowance	(5,500,000)	14,950,000
Deduct: eligible deductions:		
Life insurance premium	350,000	
NHIS contribution	150,000	(500,000)
Chargeable income		14,450,000

Computation of personal income tax	₦
First ₦ 800,000 @ 0%	0
Next ₦ 2,200,000 @ 15%	330,000
Next ₦ 9,000,000 @ 18%	1,620,000
Next ₦ 2,450,000 @ 21%	514,500
₦ 14,450,000	
Tax liability	2,464,500
Less: WHT earlier deducted from rent (10% x N 800,000)	(80,000)
Tax payable (net)	2,384,500

CHAPTER SIXTEEN

CAPITAL ALLOWANCES

Content

a. Learning objective
b. Learning outcomes
c. Definitions and types of qualifying capital expenditure - First paragraph of the First Schedule to the NTA
d. Explanation of annual allowance
e. Conditions for granting capital allowances - section 27(2) of NTA
f. Capital allowances rates and restrictions
g. Basis period for capital allowances - paragraph 1 of the First Schedule to the Act
h. Application of capital allowances to assets acquired under hire purchase or lease agreement
i. Computation of annual allowance
j. Other provisions relating to capital allowances
k. Chapter review
l. Worked examples

16.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of the computation of capital allowances.

16.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) appreciate the meaning of capital allowances;
(b) understand the categories of qualifying capital expenditure;
(c) ascertain conditions for granting capital allowances;
(d) establish basis period for capital allowances;
(e) understand various restrictions on capital allowances claims; and
(f) compute capital allowances on qualifying capital expenditure, including hire purchase transactions, and finance and operating leases.

16.2 Definitions and types of qualifying capital expenditure - First paragraph of the First Schedule to the NTA

"Qualifying capital expenditure" means expenditure incurred in a basis period for the acquisition, refurbishment and improvement of the value of the asset which is:
(a) capital expenditure (qualifying plant and equipment expenditure incurred on:

(i) plant;

(ii) machinery;

(iii) manufacturing industrial plant;

(iv) construction plant,

including plant, machinery and equipment in use in agricultural trade or business.

(b) capital expenditure incurred on the construction of buildings, structures or work of a permanent nature, other than expenditure which is included in (a), (c) or (d)

(c) capital expenditure (qualifying mast expenditure) incurred on tall upright pole erected on, fastened to land or other structure;

(d) capital expenditure incurred in connection with, or in preparation for, the working of a mine, oil well or other sources of mineral deposits of a wasting nature (other than expenditure which is included in sub-paragraph (a) above:

(i) on the acquisition of deposits, or of rights in or over, the deposits or on the purchase of information relating to the existence and extent of the deposit;

(ii) on searching for or on discovering and testing deposits, or winning access thereto; or

(i) on the construction of any work or building which is likely to be of little or no value when the source is no longer worked or, where the source is worked under a concession, which is likely to become valueless when the concession comes to an end to the individual working the source immediately before the concession comes to an end; or

(e) capital expenditure (qualifying agriculture expenditure) incurred:

(i) in connection with a plantation, on the clearing of land for planting, planting other than replanting, maintenance of the plantation and other pre-production expenses in connection with that plantation shall be qualifying agriculture expenditure, incurred on the first day on which the trade or business commences;

(ii) in respect of ranching on:

- structures used primarily for ranching;
- raising herds of animals for the purpose of breeding, and does not include raising of animals for the purpose of sale;
- animals that function as apparatus with which a trade is carried on and the life expectancy is more than 5 years;

(f) capital expenditure (qualifying intangible assets expenditure), incurred in respect of research and development of:

(i) equipment and facilities, patents, licences, secret formulas or process,

(ii) information concerning the development of industrial, commercial or scientific process, technical feasibility or products or processes, or

(iii) the discovery and testing of products or processes for future market use and such other similar costs which have brought into existence an asset;

(g) capital expenditure (qualifying motor vehicle expenditure), incurred on:
  (i) a fleet of buses of not less than three used for public transportation,
  (ii) public transportation inter-city new mass transit coach of twenty-five seats and above operated by a private establishment, or
  (iii) other motor vehicles;

(h) capital expenditure (qualifying heavy transportation expenditure), incurred on:
  (i) aircraft engine and fuselages,
  (ii) pipeline and cables,
  (iii) vessels,
  (iv) ships engine,
  (v) train engine, railway carriages or train tracks and coaches;

(i) capital expenditure (qualifying software expenditure) incurred on the acquisition of software or other such capital outlays on electronic applications; and

(j) capital expenditure (qualifying furniture and fittings expenditure), incurred on furniture and fittings including those used in vessels, ships, aircrafts, trains, plants, and buildings for the purposes of trade or business.

It should be stated that paragraph 14 to the First Schedule to the NTA excludes the following expenditure as part of qualifying expenditure:

(a) expenditure allowed for deduction under section 20 of the Act - ascertainment of profits and income; and

(b) excess amount incurred on assets acquired in foreign currency and paid for with foreign currency obtained from the unofficial foreign exchange market at a rate above the prevailing official market rate on the date of the acquisition.

16.3 Explanation of annual allowance

16.3.1 Definition

Capital allowance is a form of relief granted to any company which incurred qualifying capital expenditure for the purpose of a trade or business during a basis period in respect of property, plant and equipment that are in use at the end of the basis period. Capital allowances are granted in place of depreciation which is usually disallowed for income tax purposes.

16.3.2 Annual allowance (AA)

This is a tax relief granted every year, to individuals and companies on qualifying capital expenditure to reduce chargeable income or total profit Annual allowance is computed on a straight-line basis.

16.4 Conditions for granting capital allowances - section 27(2) of NTA

The capital allowance to be granted in accordance with the provisions of Part I of the First Schedule, shall be the amount relating to the qualifying capital expenditure incurred in generating the assessable profits:

Provided that:

(a) (i) in the case of companies in the priority sector, certificate of acceptance issued by the Industrial Inspectorate Department shall be obtained in respect of the qualifying capital expenditure; and

(ii) where value added tax is due under this Act but not charged on an asset, or in the case of an imported item, where the applicable import duty or levy was not paid, the relevant expenditure shall not be eligible as a qualifying capital expenditure.

(b) where the qualifying capital expenditure is in relation to an asset that is only partly utilised in generating the assessable profits, the capital allowance on such qualifying capital expenditure shall be prorated and only the portion relating to the taxable income shall be allowed as a deduction.

(c) The capital allowance computed shall not be prorated where the non-taxable income constitutes less than 10% of the total income of the company.

(d) Notwithstanding the provisions of (c) above, the portion of capital allowance attributable to priority activities of a company that enjoys economic development incentive under this Act shall be deducted only from the assessable profits of the priority business.

In addition to the above, paragraph 7 of the First Schedule states that "a capital allowance in respect of qualifying expenditure incurred in respect of an asset shall be made to a person for a year of assessment if at the end of a basis period, the person:
(a) is the owner of the asset; and

(b) used the asset for the purposes of its trade or business.

Paragraph 8(2) of the First Schedule to the NTA also states that "capital allowance shall only be made for an asset that is in use for the purpose of the trade or business at the end of the basis period of the year of assessment.

16.5 Capital allowances rates and restrictions

6 .5.1 Capital allowances rates

Table I (Paragraph 6) of the First Schedule to the NTA

		Capital allowance
Class	Rate	Qualifying capital expenditure
1	10%	(i) Building expenditure (ii) Agricultural expenditure (iii) Mast expenditure (iv) Intangible assets expenditure (v) Heavy transportation expenditure
2	20%	(i) Plant expenditure (ii) Agricultural equipment expenditure (iii) Furniture and fittings expenditure (iv) Mining expenditure (v) Other equipment expenditure

3	25%	(i) Motor vehicle expenditure (ii) Software expenditure (iii) Other capital expenditure

16.5.2 Restrictions on capital allowances
Capital allowances are also restricted when:

a. there is no proof of compliance with section 27(2) of NTA, that is, where VAT and import duties were not paid or fully paid;
b. the qualifying capital expenditure is being partly used for generating taxable income but capital allowance can still be granted in full where the non-taxable income is less than 10% of the total income - section 27(3) of NTA;
c. the owner partly uses the asset for trade or business, the allowance shall be apportioned as the relevant tax authority may deem fit - paragraph 16 of the First schedule to the NTA; and
d. the basis period is less than 12 months, restrict amount calculated to the number of months in the basis period - paragraph 6(b) of the First Schedule to the NTA.

16.6 Basis period for capital allowances - paragraph 1 of the First Schedule to the Act

The *basis period* for an allowance means the basis period for assessable profit or income, provided that in the case of a trade or business:

(a) where there is an interval between the end of the basis period for one year of assessment and the basis period for the next year of assessment, then the interval shall be part of the second basis period; or

(b) where there is an interval between the end of the basis period for the year of assessment preceding that in which the trade or business permanently ceases to be carried on by a company or an individual and the basis period for the year in which it ceases, the interval shall form part of the first basis period.

Illustration 16.1
A company commenced business on January 2, 2026 and makes up its accounts to December 31, every year. It paid VAT and custom duties, where applicable, and the projected costs of the following property, plant and equipment are as follows:

Date	Assets purchased	Cost
1/2/2026	Building	₦55 million
1/2/2026	Furniture	₦1.5 million
1/4/2027	Machinery	₦2 million
3/5/2027	Jeep motor vehicle	₦30 million

The turnover for each of the relevant assessment years is projected to be over ₦ 250 million.

Required:
Determine the basis period and compute the capital allowances for all the relevant

assessment year, taking into consideration the relevant provisions of the NTA, 2025.

Suggested solution to illustration 16.1

a) **Determination of basis period**

YOA	Basis period for assessment	Basis period for capital allowance
2027	1/2/26 – 31/3/26	1/2/26 – 31/3/26
2028	1/4/26 – 31/3/27	1/4/26 – 31/3/27

(b) **Determination of basis period**

Allowances	**Building**	**Furn.**	**Mach.**	**Motor vehicle**	**Total**
Annual allowance (%)	10	20	20	25	
	₦ '000	N '000	N '000	N '000	N '000
Assessment Year – 2027					
Cost:					
1/2/26 – Building	55,000				
1/2/26 – Furniture		1,500			
Allowances:					
Annual allowance	(917)	(50)			967
Written Down Value – c/f	54,083	1,450			
Assessment Year – 2028					
Cost:					
1/4/26 – Machinery			2,000		
3/5/26 – Jeep	-	-	-	50,000	
Allowances:					
Annual allowance	(5,500)	(300)	(400)	(12,500)	18,700
Written down value – c/f	48,583	1,150	1,600	37,500	

16.7 Application of capital allowances to assets acquired under hire purchase or lease agreement

16.7.1 Hire purchase and finance lease

(a) Definition of hire purchase -section 201 of NTA

"Hire purchase" is a financial arrangement in which a person acquires immediate use of an asset by making regular instalment payments over a specified period and may gain ownership of the asset on the completion of the payments.

(b) Definition of finance lease - section 201 of NTA

"Finance lease" is a lease arrangement where the lessee effectively assumes most of the risks and rewards associated with asset ownership.

(c) The rules to be applied - Paragraph 2 of the First Schedule to the NTA

In relation to any asset acquired by any hirer or lessee under a hire-purchase or finance lease agreement, the following shall apply:

i. the qualifying capital expenditure in any basis period shall, in relation to any asset so acquired under that agreement, be limited to the amount of the instalments paid by the hirer or lessee up to that basis period, excluding any interest paid under the agreement;

ii. the *"owner"* of the asset shall be construed to be the hirer or lessee under the hire-purchase or finance lease agreement; and

iii. the person letting the asset to the hirer or lessee under the agreement shall not be entitled to an allowance.

16.7.2 Capital allowances under an operating lease -paragraph 15 of the First Schedule to the NTA

Section 201 of NTA defines "operating lease" as an arrangement involving the transfer of the right to an asset by the lessor in return for rental payments from lessee over an obligatory period but the asset is not wholly amortised during the period.

(a) Where in a basis period, the owner of an asset leases the asset to another person under an operating lease, the provisions of this part shall apply, as though such expenditure were incurred for the purpose of a trade or business carried on by the owner or lessor.

(b) Where an asset is acquired for use by a hirer or lessee under a hire purchase or finance lease contract for the purpose of a trade or business carried on by such hirer or lessee, the hirer or lessee shall be deemed to be the owner of the asset and the provisions of this part shall apply to the hirer or lessee, to the exclusion of the hiree or lessor under the contract.

(c) For the purposes of this paragraph in relation to the trade or business, the basis period for any year of assessment shall be taken to be the year immediately preceding that year of assessment.

16.8 Computation of annual allowance –

16.8.1 Capital allowance - paragraph 6 of the First Schedule to the NTA

In a basis period for a year of assessment, a person has incurred qualifying expenditure wholly and exclusively for the purposes of its trade or business, there shall be made to the person for each year of assessment in the basis period for which that asset was used for the purposes of that trade or business, an allowance (capital allowance) at the rate specified in 23.5.1 above:

Provided that:

(a) there shall be recorded in the capital allowance computation schedule for statistical purposes 1% of qualifying capital expenditure until the asset is disposed which being a notional amount, shall not increase or reduce the amount of capital allowance claimable; and

(b) where the basis period for any year of assessment is a period of less than oneyear, the allowance for that year of assessment shall be granted proportionately.

16.8.2 Computation of capital allowances for small companies - section 56 of NTA

Despite the fact that capital allowances are claimable on capital expenditure used to generate taxable income, these allowances are not allowable or carried forward in the case of small companies. Such a company can only claim the capital allowances on capital expenditure when it crosses the threshold of N100m as it will now qualify as a large company.

16.8.3 Claims for allowance - paragraph 21 of the First Schedule to the NTA

(a) An allowance shall not be made to a person for a year of assessment unless it is claimed by the person for that year or where the relevant tax authority is of the opinion that it would be just to the taxpayer and reasonable to do so.

(b) Where an allowance is not claimed in the year of assessment in the basis period for which that asset was used for the purposes of that trade or business, it shall be carried forward to subsequent period(s).

16.9 Other provisions relating to capital allowances

16.9.1 Extension of application of "in use" - paragraph 13 of the First Schedule to the NTA

(a) An asset is deemed to be in use during a period of temporary disuse.

(b) where an asset acquired for the purposes of a trade or business has not been used for the trade or business carried on by the owner, the asset shall be deemed to be in use, for the purposes of that trade or business on the date on which the expenditure was incurred, provided that where an allowance has been made and the first use to which the asset is put is not for the trade or business, additional assessments shall be made to counter-act the benefit obtained from the giving of the allowance.

(c) The approval of the relevant tax authority shall be obtained for the purpose of (b) above.

16.9.2 Manner of making allowance - paragraph 22 of the First Schedule to the Act

(a) An allowance to be made to a taxpayer shall be subtracted from the remainder of the assessable profits or income for the relevant year of assessment.

(b) For the purpose of this paragraph, the remainder of the assessable profits or income of a person for a year of assessment shall be determined by giving full effect to the provisions of section 27 of this Act in the case of a company, and section 28 of this Act in the case of an individual, as it relates to the deduction of a loss.

(c) Where a deduction under (b) above cannot be fully made for a year of assessment due to no remainder or insufficient remainder of assessable profit or income, the deduction, or the part not yet made, shall be treated as a deduction for the next year, and for succeeding years until fully utilised.

16.9.3 Transitional rules for capital allowances - paragraph 23 of the First Schedule to the Act

(a) Where a capital allowance has been granted in respect of an asset before the commencement of this Act, the remaining basis periods in which allowance may be made under this Part, shall be the number of years of assessment for which allowance is to be made under this Part less the number of years of assessment for which allowance has previously been made.

(b) Where capital allowances were granted, in respect of an asset before the commencement of this Act, for years of assessment equal to or greater than the number of years allowable under this Act, a single allowance shall be granted for the residue upon the commencement of this Act provided that there shall be recorded in the capital allowance computation schedule for statistical purposes, 1% of the qualifying capital expenditure until the asset is disposed which being a notional amount shall not increase or reduce the amount of capital allowance claimable under this Act.

(c) In respect of qualifying capital expenditure on which capital allowance has been fully granted before the coming into effect of this Act, capital allowance shall not be granted under this Act on the amount required to be retained in the books under the repealed enactment.

16.10 Chapter review

This chapter addresses the incidence of capital allowances - what they represent and the categories of assets that could be classified as qualifying capital expenditure. It also discusses the conditions for granting capital allowances and the computation of capital allowances.

16.11 Worked examples

16.11.1 Questions

(1) Malam Shehu is the Managing Director of Ark Limited and he has been in the business of Car Hire Service for many years. He has the desire to change some of the vehicles in the fleet without negative effect on the cashflow of the business in the new budget year.

As the Lead Consultant of KEB Consulting, he sought your professional advice on the claims for capital allowances if the vehicles are acquired through hire purchase or finance lease arrangement

Required:

(a) Differentiate between hire purchase and finance lease arrangement in accordance with the provisions of NTA, 2025
(b) Discuss the rules to be applied under a hire purchase or finance lease agreement in respect of a qualifying capital expenditure.

(2) Rabo Limited commenced business on February 1, 2026, and makes up its accounts to March 31, each year. The turnover for each assessment year will be over ₦250million.

The VAT and custom duty will be paid, where necessary, on the projected costs of the following property, plant and equipment (PPE)

Date	PPE purchased	Cost
		₦
1/2/26	Building	56,000,000
1/2/26	Furniture	1,500,000
1/4/26	Machinery	8,000,000
31/5/26	Motor vehicle	23,000,000

Required:
Determine the basis period and compute the capital allowances for all the relevant years of assessment, taking into consideration the provisions of the NTA, 2025.

(3) RAO Limited, a company that has been in business for so many years, is proposing to incur qualifying capital expenditure (QCE) of ₦2,000,000 on furniture and fittings in 2027 assessment year when the projected revenue of the company is put at ₦74,000,000. The company hopes to achieve a revenue of ₦770,000,000 and an asset base of N 300 million in 2030 assessment year.

The records evidencing payments of VAT and custom duty on the qualifying capital expenditure are readily available.

Required:
Compute the capital allowances claimable for all the relevant years of assessment.

16.11.2 Suggested solutions to questions

(1)(a) (i) Definition of hire purchase -section 201 of NTA

"Hire purchase" is a financial arrangement in which a person acquires immediate use of an asset by making regular instalment payments over a specified period and may gain ownership of the asset on the completion of the payments.

(ii) Definition of finance lease - section 201 of NTA

"Finance lease" is a lease arrangement where the lessee effectively assumes most of the risks and rewards associated with asset ownership.

(b) The rules to be applied - Paragraph 2 of the First Schedule to the NTA

In relation to any asset acquired by any hirer or lessee under a hire-purchase or finance lease agreement, the following shall apply:

i. the qualifying capital expenditure in any basis period shall, in relation to any asset so acquired under that agreement, be limited to the amount of the installments paid by the hirer or lessee up to that basis period, excluding any interest paid under the agreement;

ii. the *"owner"* of the asset shall be construed to be the hirer or lessee under the hire-purchase or finance lease agreement; and

iii. the person letting the asset to the hirer or lessee under the agreement shall not be entitled to an allowance.

(2) Rabo Limited
Computation of capital allowances
For assessment years 2027 and 2028

(a) **Determination of basis period**

YOA	Basis period for assessment	Basis period for capital allowance
2027	1/2/26 – 31/3/26	1/2/26 – 31/3/26
2028	1/4/26 – 31/3/27	1/4/26 – 31/3/27

(b) **Determination of basis period**

Allowances	**Building**	**Furn.**	**Mach.**	**Motor vehicle**	**Total**
Annual allowance (%)	10	20	20	25	
	₦ '000	₦'000	₦'000	₦'000	₦'000
Assessment Year – 2027					
Cost:					
1/2/26 – Building	56,000				
1/2/26 – Furniture		1,500			
Allowances:					
Annual allowance	(933)	(50)			983

Written Down Value – c/f	55,067	1,450			
Assessment Year – 2028					
Cost:					
1/4/26 – Machinery			8,000		
3/5/26 – Jeep	-	-	-	23,000	
Allowances:					
Annual allowance	(5,600)	(300)	(1,600)	(5,750)	13,250
Written down value – c/f	49,467	1,150	6,400	17,250	

(3) RAO Limited
Computation of capital allowances
For 2027 to 2031 assessment years.

	Furniture and Fittings			
Annual allowance – 20%				
		Total capital allowances	**Cost**	**Remarks**
	₦	₦	₦	
Assessment year 2027				
Cost			2,000,000	
Annual allowance	400,000	400,000		
Assessment year 2028				
Annual allowance	400,000	800,000		
Assessment year 2029				
Annual allowance	400,000	1,200,000	(1,200,000)	**Not utilised**
W.D.V. c/f to A.Y. 2030			800,000	
Assessment year 2030				
Annual allowance			(400,000)	
W.D.V c/f to A.Y. 2031			400,000	
Assessment year 2031				
Annual allowance			(380,000)	
Amount retained in the books			20,000	

Note:
Given the fact that the company did not achieve the N100,000,000 revenue until 2030 assessment year, it will be regarded as a small company and the total annual allowance of ₦1,200,000 will be deemed utilised in assessment years 2027, 2028 and 2029.

The capital allowances claimable in A.Y. 2030 is ₦400,000, whilst that of A.Y. 2031 is ₦ 380,000, that is ₦400,000 less retention of ₦20,000.

CHAPTER SEVENTEEN

TAXATION IN PARTNERSHIPS

Contents

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7.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the ascertainment of the income of a partnership and the computation of the tax liabilities of individual partners in partnerships.

17.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) understand the meaning of a partnership and the contents of a partnership agreement;

(b) explain the need for the registration of the partnership deed with the relevant tax authority;

(c) explain the continuity of trades as it relates to a partnership business;

(d) determine a partnership's residence and the relevant tax authority in relation to a partnership for a year of assessment;

(e) explain allowable and non-allowable expenses;

(f) explain the tax treatments under change in a partnership business
(g) ascertain the income of a partnership and each partner's assessable income from partnership;
(h) explain the treatment of capital allowances under partnership ascertain the loss relief available to a partner when a partnership incurs a loss;
(i) understand how to compute the tax liability of individual partners in a partnership; and
(j) discuss the taxation of profits of companies in partnership

17.2 Definition of partnership

The Partnership Act, 1890, defines a "partnership as a relationship that exists or subsists between or among persons carrying on business in common with a view of profit". Partnership is an association of two or more persons who come together with a view to making profit. A partnership has a minimum of two and a maximum of 20 members. However, Section 19(2)(b) of the Companies and Allied Matters Act (CAMA) allows a partnership of more than twenty persons to be formed in Nigeria provided it is for the purpose of carrying on practice as Legal Practitioners, Chartered Accountants, etc. by persons each of whom is a Legal Practitioner, or Chartered Accountant by persons each of whom is entitled by legal practice or accounting practice, simultaneously.

17.3 Partnership agreement and registration of the certified true copy with the relevant authority - section 15 (7) of NTA

The conduct of a partnership business will usually be in accordance with certain terms and conditions as agreed to by all the partners. A partnership agreement or deed would spell out the rights, duties and interest of the partners in the business.

The following are some of the matters usually dealt with in a partnership agreement:

(a) amount to be contributed by each partner as capital;
(b) the rate of interest payable, if any, on capital;
(c) salary, if any, payable to a partner;
(d) the rate of interest payable on loan provided by any partner to a partnership;
(e) profit and loss sharing ratio; and
(f) the rate of interest on drawings made by a partner.

However, where no fixed terms are agreed upon by the partners or the partnership agreement is not in writing, then the content of the partnership deed of the Partnership Act of 1890 would guide the conduct of the partners in the partnership business and they include:

(a) each partner is to contribute the same amount of capital;
(b) no partner is entitled to interest on capital;
(c) no partner shall be entitled to salary;
(d) profits and losses are to be shared equally; and
(e) a partner who advances the partnership shall be entitled to an interest of 5% per annum on such an advance.

Nigeria Tax Act, 2025, requires the partnership, employee or agent in charge of the principal office or place of business of a partnership in Nigeria shall without notice or demand thereof register or cause to be registered with the relevant tax authority, a certified copy of the partnership deed or, where no written deed is in existence, particulars of any written or oral agreement under which the partnership is currently established and where any such particulars have been so registered, notice of any subsequent change therein agreed between the partners shall be similarly registered with that tax authority within thirty days of the agreement.

Where the particulars of any partnership have been registered under the provisions of the section 15(7) of the Act, the computation of the gains or profits of a partner therein may be made by the relevant tax authority on the basis of those particulars as they apply at any relevant time and in the event of failure by a partnership to comply with any demand made under the foregoing subsection, notwithstanding the provisions of section 15(7) tax may be assessed and charged by the relevant tax authority as though the whole gains or profits of such partnership accrued to any individual partner therein or were divisible between any partner therein as may appear just and reasonable to the tax authority.

17.4 Continuity of trades as it relates to a partnership business - section 25 of NTA

An individual carrying on a trade, business, profession or vocation, shall not be treated as having commenced or ceased to do so solely by reason of a change in the territory in which the individual is resident from one year to another, or by reason of becoming or ceasing to be a partner in a partnership if the nature of the trade carried on by that partnership is the same as that carried on before or after the individual became or ceased to be a partner.

17.5 Relevant tax authority / principal place of residence of a partner in a partnership business - paragraph 4 of the First Schedule to the NTAA and section 15(6) of NTA

The "principal place of residence" in relation to an individual who is a partner in a Nigerian partnership shall, where the individual is:

(a) engaged in the performance or exercise of the duty of the partnership, be the territory in Nigeria of the office where he performs or exercises the duty of the partnership;
(b) a dormant partner in the partnership, be the territory in Nigeria which he usually resides; and
(c) a dormant partner that does not reside in a territory in Nigeria, be deemed to be a non- resident person.

17.6 Allowable and non-allowable expenses

Allowable and non-allowable expenses to a partnership business are the same as those dealt with under chapter 17. Please refer to chapter 17 for allowable and disallowable expenses.

17.7 Tax treatments under change in a partnership business - paragraph 19 of the First Schedule to the NTA

(a) Where a trade or business is carried on by persons in a partnership, the trade or business of the partnership is treated as a single enterprise and any allowance that applies to the individual partners are computed as if the single enterprise conducted all the trade or business activities performed by the individual partners involved in that trade or business during the period.

(b) Where a partner joins or leaves the partnership during a basis period, it shall be treated as if the business ceased at that time and recommenced immediately thereafter, and the provisions of paragraph (17) of this part shall apply in respect of the assets transferred to the new business, that is, the partnership shall be deemed to have bought the asset immediately after disposal for a price equal to the residue of the qualifying expenditure at the date of the disposal.

17 .8 Computation of the income of a partnership business

The computation of the income of a partnership is similar to that of a sole trader save those salaries, interest on capital payable to partners and cost of passages to and from Nigeria wholly or mainly undertaken or for the purpose of leave or recreation, are allowable expenses in computing a partnership income unlike the case of individuals or sole traders.

It is pertinent to add that private or domestic expenses of a partner are not allowable in ascertaining the computed income of a partnership.

17.9 Treatment of capital allowances under a partnership - paragraphs 19 to 22 of the First Schedule to the NTA

(a) Capital allowances related to assets shall be apportioned among the partners in their profit-sharing ratio at the end of the basis period.

(b) Where capital allowance is required to be recomputed as a result of the application of admission and resignation rules, all such additional assessments or repayments of tax shall be made as may be necessary to give effect to the provisions of this paragraph.

(c) Where the application of this paragraph is inconsistent with any of the provisions of the other paragraphs of this part, the provisions shall apply with such modifications as the relevant tax authority may consider necessary and prescribe rules embodying those modifications.

(d) Any reference in this part to an allowance made includes a reference to an allowance which would have been made but for an insufficiency of assessable profit or income against which to make it.

(e) (i) An allowance shall not be made to a person for a year of assessment unless it is claimed by the person for that year or where the relevant tax authority is of the opinion that it would be just to the taxpayer and reasonable to do so.

(ii) Where an allowance is not claimed in the year of assessment in the basis period for which that asset was used for the purposes of that trade or business, it shall be carried forward to subsequent period(s).

(f) (i) An allowance to be made to a person shall be subtracted from the remainder of the assessable profits or income for the relevant year of assessment.

(ii) the remainder of the assessable profits or income of a person for a year of assessment shall be determined by giving full effect, as it relates to the deduction of a loss.

(f) Where a deduction cannot be fully made for a year of assessment due to no remainder or insufficient remainder of assessable profit or income, the deduction, or the part not yet made, shall be treated as a deduction for the next year, and for succeeding years until fully utilised.

17.10 Taxable income of partners - section 15 of NTA

The gains or profits of a partner from a partnership shall be the sum of:

(a) any remuneration, interest on capital, cost of passages wholly or mainly undertaken for the purpose of leave or recreation, or any other perquisite or benefits-in-kind which is charged to the partnership accounts in respect of that partner; and

(b) the partner's share in the profits of the partnership, computed in accordance with the provisions of this Act after the deduction of charges to which paragraph (a) above applies in respect of all the partners but before the deduction of any other expenses of the partnership referable to a partner which would have been private or domestic expenditure disallowed by the Act if incurred directly by that partner.

17.11 Partnership profits and losses -section 15(2) - (5) of NTA

(a) Where the income computed for the partnership results in a loss, the partner's share of the loss shall be deducted from the gains or profits ascertained for the partner and he shall be deemed to have incurred a loss in the trade or business of the partnership to the extent, if any, by which the deductible share of loss exceeds those gains or profits.

(b) a partner's share of the partnership's profits or losses shall be determined in the proportion specified in the partnership agreement as if the entire profits or losses were distributed among the partners, and where there is no partnership agreement, the profits or loss of the partnership shall be distributed equally among the partners:

Provided that any person, whether resident or non-resident, who directly or indirectly, shares in the profits of a Nigerian partnership shall file returns in his name and pay the applicable tax.

(c) The gains, profits or losses of a partner for any period, ascertained under this section, shall be deemed to be the partner's income or loss from a trade, business, profession or vocation carried on during that period.

(d) The determination of the profits or losses that is attributable to a partner from a partnership shall be made by the relevant tax authority in relation to that partnership, and where any partner is taxable for a year of assessment in the territory of another relevant tax authority, the relevant tax authority in relation to that partnership shall make available to that other tax authority, particulars of the determination of profits or losses.

(e) The income of a partner from a partnership in Nigeria shall be attributable to relevant territories in Nigeria in accordance with the Twelfth Schedule to this Act., that is, the territory in Nigeria of the office where an active partner performs or exercises the duty of the partnership, residence of a dormant partner, or Nigeria Revenue Service for a non-resident partner.

17 .12 Computation of income tax payable by partners

The key steps in ascertaining a partner's income tax liability are as follows:

(a) In other to arrive at the income tax payable by partners, it is necessary to first ascertain the computed income of the partnership.

(b) Hitherto, capital allowance was deducted before arriving at the computed income but paragraph 19(3) of the First Schedule to the NTA, requires that capital allowances related to assets shall be apportioned among the partners in their profit-sharing ratio at the end of the basis period.

(c) Allocate the share of profit based on the profit -sharing ratio to each partner and add partners' income as specified in (18.10) above, together with income from other sources to arrive at the taxable income.

(d) From the taxable income, deduct capital allowance, share of loss, if any, and other total deductions to arrive at the total income.

(e) From the total income, deduct eligible deductions to arrive at the chargeable income.

(f) Apply the graduated personal income tax rates (ranging from 15% to 25%) to the chargeable income to arrive at the personal income tax payable by a partner.

17.13 Taxation of profits of companies in partnership - section 11 of NTA

(a) Where two or more companies carry out a trade or business in a partnership, joint venture or a similar arrangement in Nigeria, any income or profit arising therefrom shall constitute a source of profits and each company's share shall be taxed separately.

(b) Where any of the companies in the partnership is a non-resident, its share of income or profit from the partnership is chargeable to tax under this Act.

(c) In the case of partnership carried on in a country other than Nigeria, the partner that is taxable in Nigeria shall include its share of revenue and cost, or profits in its assessable profits for the relevant year of assessment, and shall supply to the tax authority, particulars of the determination of the revenue and cost, or profit, with necessary adjustments.

(d) The provisions of this section shall not apply to any partnership engaged in petroleum operations.

17.14 Chapter review

This chapter addresses the ascertainment of the computed income of a partnership business and taxable income of partners. It also highlights the importance of a partnership agreement and the provisions requiring the registration of the agreement with the relevant tax authority.

17.15 Worked examples

17.15.1 Questions

(1) Bola, Bety and Seun have been in partnership as medical practitioners for about seven years. The projected operational result of the partnership for the year ending December 31, 2026, has revealed the following:

	₦	₦	₦
Gross profit			40,200,000
Deduct:			
Salaries and wages		13,550,000	
Transport and travelling		1,600,000	
Insurance		350,000	
Rent and rates		800,000	
Office expenses		1,400,000	
Professional fees		3,000,000	
Allowance for doubtful debts		650,000	
Staff loan written off		270,000	
Depreciation		7,800,000	
Interest on loan by Erewa		455,000	
Interest on capital accounts:			
Bola	225,000		
Bety	315,000		
Seun	360,000	900,000	(30,775,000)
Net profit for the year			9,425,000

Other relevant information is as follows:

(i) Office expenses include a donation of ₦ 800,000 to an old people's home.

(ii) Capital allowance agreed with the Revenue is ₦9,500,000.

(iii) Only Bola is married with two children below 16 years of age.

(iv) Partners' profit-sharing ratio is Bola - 5, Bety -7 and Seun – 8.

(v) Salaries are drawn in this order:

Bola	₦ 3,300,000
Bety	₦ 4,700,000
Seun	₦ 5,550,000

You are required to ascertain:

(a) The computed income of the partnership for tax purposes

(b) The chargeable income of each partner for tax purposes

(c) The tax payable by each of the partners

(2) Dejo, Akanbi and David have been in partnership for many years, providing specialised engineering services to the oil sector. Accounts are made to December 31, each year. The following are the adjusted profits for:

	₦
Year ended December 31, 2024	1,440,000
Year ended December 31, 2025	1,650,000
Year ending December 31, 2026 (projected)	2,400,000

Additional information is provided as follows:

(i) Partners are to share profits in the ratio 1:2:1

(ii) Salaries are drawn in this order:

Dejo	₦ 360,000
Akanbi	₦ 240,000
David	₦ 180,000

(iii) Interest on capital is 6%.

(iv) The capital account of each partner is:

Dejo	₦ 150,000
Akanbi	₦ 300,000
David	₦ 210,000

(v) On May 31, 2026, Dejo retired and Dandy was admitted on June 1 of the same year, on a salary of ₦ 180,000 per annum. He brought in a capital of ₦ 210,000 and was to have the sharing ratio which Dejo used to enjoy.

You are required to:

(a) Compute each partner's income from the partnership business for 2027 year of assessment.

(b) Itemise the rules of commencement in respect of partnership business.

(3) Professor Wachukwu and Dr. Orlando are partners in a legal firm based in Calabar. The firm of Worland & Associate (Legal Practitioners) renders legal and secretarial services. The projected statement of profit or loss of the firm for the year ending December 31, 2026, disclosed the following details:

	₦	₦
Legal fees		33,000,000
Fees for secretarial services	9,500,000	
Sundry incomes	4,500,000	
Interest on fixed deposit	2,800,000	16,800,000
		49,800,000
Expenses:		
Salaries	13,200,000	
Office rent	2,200,000	
Sundry expenses	1,200,000	
Depreciation	4,800,000	
Finance cost	900,000	
Administrative expenses	200,000	
Repairs and maintenance	700,000	(23,200,000)
Net profit		**26,600,000**

Additional information:

(i) Salary includes salaries paid to the partners:

Professor Wachukwu	₦ 5,550,000
Dr. Orlando	₦ 4,400,000

(ii) Sundry expenses include ₦ 300,000 paid to Dr. Orlando's personal driver as salary for the year.

(iii) Finance cost is made up of:

	₦
Interest on loan to the firm	300,000
Bank charges	150,000
Interest on partners' private loans:	
Professor Wachukwu	150,000
Dr. Orlando	100,000
Interest paid to Professor Wachukwu on loan to the firm	200,000
	900,000

(iv) Repairs and maintenance is made up of:

Maintenance of residence of each partner:	
Professor Wachukwu	200,000
Dr. Orlando	200,000
Office repairs	300,000
	700,000

(v) Both partners are married with 3 children all are of school age. Professor Wachukwu maintains his aged parents and incurred ₦ 30,000 annually on them.

(vi) Dr. Orlando paid life insurance premium of ₦2,800,000 annually on his life.

(vii) Sundry income includes profit on sale of property, plant and equipment amounting to ₦980,000.

(viii) Capital allowance agreed with the relevant tax authority amounted to ₦6,400,000.

(ix) Profits and losses are to be shared equally.

Required:

Compute the assessable income and tax liabilities of the partners for the relevant tax year.

17.15.2 Suggested solutions to questions

(1) (a) Bola**, Bety and Suen**

Computation of adjusted income of the partnership
For 2027 year of assessment

	₦	₦
Net profit for the year		9,425,000
Add disallowable expenses:		
Allowance for doubtful debts	650,000	
Office expenses (donation)	800,000	
Depreciation	7,800,000	
Staff loans written off	270,000	9,520,000
Divisible profit or computed income		18,945,000

(b) **Computation of partners' chargeable income**

	Bola	**Bety**	**Seun**
	₦	₦	₦
Earned income			
Salaries	3,300,000	4,700,000	5,550,000
Interest on capital	225,000	315,000	360,000
Share of profit [5:7:8]	4,736,250	6,630,750	7,938,000
	8,261,250	11,645,750	13,848,000
Unearned income			
Interest on Loan	455,000	-	
Total income	8,716,250	11,645,750	13,848,000

Deduct:			
Capital allowance	(2,375,000	(3,325,000)	(3,800,000
Chargeable income	6,341,250	8,320,750	10,048,000

(c) Computation of tax payable by partners

	Bola	**Bety**	**Suen**
	₦	**₦**	**₦**
Tax liability			
First ₦800,000 @ 0%	0	0	0
Next ₦2,200,000 @ 15%	330,000	330,000	330,000
Next ₦3,341,250 @ 18%	601,425		
Next ₦5,320,750 @ 18%		957,735	
Next N 7,048,000 @18%			1,268,640
	931,425		1,598,640
		1,287,735	

(2) (a) Dejo, Akanbi & David in partnership
Computation of each partner's income
For assessment year 2027

Preceding year basis: Basis period 1/1/2026--31/12/2026 (Income assessable):

	Dejo	**Akanbi**	**David**	**Dandy**
	₦	**₦**	**₦**	**₦**
Salaries	150,000	240,000	180,000	105,000
Interest	3,750	18,000	12,600	7,350
Share of profit	250,000	1,200,000	600,000	350,000
Partners' income	403,750	1,458,000	792,600	462,350

Computation of interest on capital

Dejo = 6% x 5/12 x ₦ 150,000 = ₦ 3,750 (1/1/2026-31/5/2026)
Dandy= 6% x 7/12 x ₦210,000 = ₦ 7,350 (1/6/2026-31/12/2026)
Akanbi 6% x ₦ 300,000 = ₦ 18,000
David 6% x ₦ 210,000 = ₦ 12,600

Computation of partners' salaries

Dejo = 5/12 x ₦ 360,000 = ₦ 150,000
Dandy 7/12 x ₦ 180,000 = ₦ 105,000

Akanbi (full salary) = ₦ 240,000
David (full salary) = ₦ 180,000

Computation of share of adjusted profit		
Adjusted profit		2,400,000
Dejo (1/4 x 5/12 x 2,400,000)	250,000	
Dandy (1/4 x 7/12 x 2,400,000)	350,000	
Akanni (1/2 x 2,400,000)	1,200,000	
David ¼ x 2,400,000)	600,000	
		2,400,000

Note

Section 25 of NTA on continuity of trades, states that "an individual carrying on a trade, business, profession or vocation, shall not be treated as having commenced or ceased to do so solely by reason of a change in the territory in which the individual is resident from one year to another, or by reason of becoming or ceasing to be a partner in a partnership if the nature of the trade carried on by that partnership is the same as that carried on before or after the individual became or ceased to be a partner".

(b) Commencement of a new trade – section 22(2) of NTA

The assessable income of an individual from a trade, business, profession or vocation carried on by him in Nigeria, for the year of assessment in which he commenced trade, business, profession or vocation in Nigeria and for the two following years of assessment (which years are, in this subsection, respectively referred to as, "the first year", "the second year" and "the third year") shall be ascertained in accordance with the following provisions:

(i) For the first year, the assessable income shall be the income from the date on which the individual commenced such trade, business, profession or vocation in Nigeria to the end of its first accounting period;

(ii) For the second year, the assessable income shall, be the income from the first day after the trade of business' first accounting period to the end of its second accounting period;

(iii) For the third year, and each subsequent year thereafter, the assessable income shall be the profits from the day after accounting period just ended.

3. Worland & Associate

Ascertainment of computed income and tax liabilities of partners for 2027 assessment year

	Total	Professor Wachukwu	Dr. Orlando
	₦	₦	₦
Net profit	26,600,000		
Add: Disallowed expenses:			
Sundry expenses –salary paid to Dr. Orlando's personal driver	300,000		
Depreciation	4,800,000		
Interest on partners' loan:			
Professor Wachukwu	150,000		
Dr. Orlando	100,000		
Repairs and maintenance:			
Professor Wachukwu	200,000		
Dr. Orlando	200,000		
	32,350,000		
Sundry income:	(980,000)		
Computed income	31,370,000		
Share of divisible profit:			
Professor Wachukwu			
50% x ₦31,370,000	(15,685,000)	15,685,000	
Dr. Orlando			
50% x ₦31,370,000	(15,685,000)		15,685,000
	0		
Interest on partner's loan			
Salaries		200,000	0
		5,550,000	4,400,000
		21,435,000	20,085,000
Capital Allowance (50:50) ₦6,400,000		(3,200,000)	(3,200,000)
		18,235,000	16,885,000
Deduct: eligible deductions:			
Life insurance premium		(0)	(2,800,000)
Chargeable income		18,235,000	14,085,000

Computation of tax liabilities	₦	₦
First ₦800,000 @ 0%	0	0
Next ₦2,200,000 @ 15%	330,000	330,000
Next ₦9,000,000 @ 18%	1,620,000	1,620,000
Next ₦6,235,000 @ 21%	1,309,350	

Next ₦2,085,000 @ 21%		437,850
Total tax liabilities	3,259,350	2,387,850

CHAPTER EIGHTEEN

SETTLEMENT, TRUSTS AND ESTATES

Contents

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18.0 Learning objective

The objective of this chapter is to enhance readers' understanding of the computation of personal income tax as it relates to settlement, trusts and estates.

18.1 Learning outcomes

After studying this chapter, readers should be able to:

(a) understand the meaning and nature of settlement, trusts and estates;
(b) appreciate the relevant tax laws guiding settlement, trusts and estates; and
(c) understand the computation of tax liabilities relating to settlement, trusts and estates.

18.2 Definitions of settlement, trusts and estates

18.2.1 Settlement - paragraph 9 of the Fifth Schedule to the NTA

A settlement is a means by which enjoyment of an estate, or part of it is transferred to another person, either through a disposition, trust, or covenant, agreement, arrangement or transfer of assets by reference to a Trust, for the benefit of persons specified.

18.2.2 Trust

The term trust relates to equitable obligation, binding a person, called the trustee, to deal with a property, over which he/she has custody (which is called the trust property), for the benefit of persons (beneficiaries) of which he/she may be one.

18.2.3 Estate

An estate is the total of the properties of a person and is commonly used in executorships. It also means the property of a deceased person.

18.3 Explanations of other definitions - paragraph 9 of the Fifth Schedule to the NTA

(a) "Child" includes a stepchild, an adopted child and an illegitimate child;

(b) "Settlor" in relation to a settlement, includes a person by whom the settlement was made or entered into directly or indirectly, and in particular, including a person who has provided or undertaken to provide funds directly or indirectly for the purpose of the settlement, or has made with another person a reciprocal arrangement for that other person to make or enter into the settlement.

(c) "Personal representative" - section 201 of NTA
is the person, whether executor or administrator, who is charged with the administration of the estate of a deceased person, and in whom the estate is vested for the purpose of distribution

(d) Executor - section 147 of NTAA

Includes any person administering the estate of a deceased person.

18.4 Persons chargeable

18.4.1 The settlor - paragraph 1 of the Fifth Schedule to the NTA

The income of a settlement or trust shall be deemed to be the income of the settlor or person creating the trust, where the:

(a) settlor or person retains or acquires an immediately exercisable general power of appointment over the capital assets of the settlement or trust or over the income derived therefrom;
(b) settlor or person makes use, directly or indirectly, by borrowing or otherwise, of any part of the income arising under the settlement or trust; or

(c) settlement or trust is revocable in circumstances whereby that settlor or person, or the spouse, resumes control over any part of the income or assets comprised therein:

Provided that a settlement or trust shall not be regarded as revocable solely by reason of the fact that an income or asset comprised therein may revert to that settlor or person, or the spouse, in the event of a beneficiary predeceasing that settlor or person, or of the happening of an uncertain event upon which the settlement or trust is limited.

18.4.2 Annuitant - paragraph 11 of the Fifth Schedule to the NTA

An individual in receipt of an annuity of fixed annual amount paid out of the income of a settlement, trust or an estate shall be assessable to tax on the full amount of the annuity.

18.4.3 Trustee, executor, etc. - paragraph 12 of the Fifth Schedule to the NTA

The income arising from a settlement, trust or an estate assessable to tax under a provision of this Schedule in the hands of any settlor, trustee, executor, beneficiary or annuitant for a year of assessment shall be the amount of the income ascertained under the foregoing provisions of this Schedule of the year preceding that year.

18.5 Relevant tax authority - paragraph 11 of the First Schedule to the NTAA

Income of a trustee of any settlements or trusts, or estates or to an executor of any estate of a deceased person, shall be taxed only by the territory in which the settlor or the person creating the trust is resident and to the extent provided in the Fifth Schedule to the Nigeria Tax Act.

18.6 Basis period - section 26(4) of NTA

The basis period for assessing the income of any trustee, executor, beneficiary or annuitant for any year of assessment is the income of that person for the year preceding that year of assessment. A trustee of a settlement or trust in Nigeria, and the executor of an estate in Nigeria, shall prepare accounts of the income from all sources of the settlement, trust or estate for successive periods to the thirty-first day of December in each year, and to the date on which the assets of the settlement, trust or estate are finally distributed.

Note that the commencement and cessation provisions do not apply under a settlement, trust and estate arrangement.

18.7 Allowable and non-allowable expenses - paragraph 3 of the Fifth Schedule to the NTA

The allowable expenses peculiar to an estate include:

(a) expenses of the trustee or executor (or administrator) connected with the settlement, trust or estate, which are authorised by the trust deed or Will; and

(b) any fixed annuity paid out of income under the deed or Will.

Where the income includes any gain or profit from a trade, business, profession or vocation, or a rent or premium, there shall be added or deducted, any sum which would have been added or deducted in the relevant year of assessment under the provisions of Chapter Two of this Act, as if the income from those sources had been the assessable income of an individual for that year.

18.8 Computation of income from settlement, trusts and estates - paragraphs 3 and 12 of the Fifth Schedule to the NTA

The computed income of a settlement, trusts or estate is simply the difference between the total income and allowable expenses. Where the income of the trusts or settlement include any gain or profit from a trade, business, profession or vocation or a rent or premium, such additions and expenses thereon shall ordinarily be taken into account in arriving at the computed income.

18.9 Computation of the income assessable in the hand of the Trustee - paragraph 10 of the Fifth Schedule to the NTA

18.9.1 Capital allowances

Where an asset of a trade or business, profession or vocation forms part of the estate of a deceased individual, being an asset in respect of which capital allowance may be claimed in arriving at the total income of that individual for the year of assessment in which the individual died, the estate shall be deemed to have incurred qualifying expenditure on the acquisition of the asset equal in amount to the residue of the expenditure on the day following the death of the individual.

18.9.2 Losses - section 28(3) of the NTA

The loss to be deducted in arriving at the computed income of a trust is:

(a) the amount of a loss incurred by it during the preceding year of assessment in a trade, business, profession or vocation; and

(b) the amount of loss incurred on the disposal of a chargeable asset: Provided that:

- (i) in no circumstances shall the aggregate loss deductions from income exceed the amount of that loss;
- (ii) the loss shall be deducted as far as possible from assessable profit of a trade, business, profession or vocation of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped;
- (iii) the loss incurred during any year of assessment shall be computed, in accordance with the basis period contained in Part V of Chapter Two of this Act, and
- (iv) any loss incurred in any period from sales, disposal or any other transaction in digital or virtual assets shall only be deductible against the profit or gain from digital or virtual assets.

18.9.3 Discretionary payments

These are fixed amounts payable to direct beneficiary or beneficiaries as authorised by the trust deed. A trustee or executor has no power to make discretionary payments to the beneficiaries unless authorised by the instrument appointing him.

Where the instrument authorises the making of discretionary payments, it would generally provide for the apportionment of the net income after such payments. That is, the adjusted income would be apportioned after deducting such discretionary payments. **It is important to note that discretionary payments are not expenses but appropriations of the income of the estate. They are, therefore, not to be deducted in computing the computed income.**

18.9.4 Special provisions as to settlement on unmarried children

(a) Paragraph 5 of the Fifth Schedule to NTA

Where, by virtue or in consequence of a settlement and during the life of the settlor, an income is paid to or for the benefit of a child of the settlor in a year of assessment, the income shall, if at the time of payment, the child was an infant and unmarried, be treated for the purposes of this Act as the income of the settlor for that year and not as the income of any other person.

Income paid to or for the benefit of a child of a settlor shall not be treated as provided above for any year of assessment in which the aggregate amount of the income paid to or for the benefit of that child, which but for this provision, would be so treated by virtue of the above provision, does not exceed the National Minimum Wage or its equivalent.

The above shall not apply in relation to an income arising under a settlement in a year preceding a year of assessment if the settlor is not in Nigeria at any time during that year of assessment, or is not in Nigeria for a period or periods amounting to one hundred and eighty-three days or more in any twelve months period commencing in the calendar year and ending either in the same year or the following year.

(b) Paragraph 6 of the Fifth Schedule to the NTA

For the purposes of paragraph 5:

(i) income which, by virtue or in consequence of a settlement may become payable or applicable to or for the benefit of a child of the settlor in the future (where on the fulfilment of a condition or on the happening of a contingency, or as a result of the exercise of power or discretion conferred on any person, or otherwise) shall be deemed to be paid to or for the benefit of that child; and

(ii) an income dealt with as aforesaid which is not required by the settlement to be allocated, at the time when it is so dealt with, to any particular child or children of the settlor shall be deemed to be paid in equal shares to or for the benefit of each of the children to or for the benefit of whom or any of whom the income or assets representing the income will or may become payable or applicable.

(c) Paragraph 7 of the Fifth Schedule to the NTA

(i) Where, by virtue of paragraph 5 of this Schedule, any income tax becomes chargeable on and is paid by the settlor, heshall be entitled:

- to recover from any trustee or other person to whom the income is payable by virtue or in consequence of the settlement the amount of the tax so paid; and

- for that purpose, to require the relevant tax authority to furnish to the settlor a certificate specifying the amount of income in respect of which he has so paid tax and the amount of the tax so paid, and any certificate so furnished shall be conclusive evidence of the facts appearing therein.

(ii) Where the settlor obtains from a trustee or any other person a payment in excess of the amount he is entitled to recover, then, an amount equal to the excess shall be paid by him to the trustee or other person to whom the income is payable by virtue, or in consequence of the settlement, or where there are two or more such persons, the amount shall be apportioned among those persons as the case may require.

(iii) If a question arises as to the amount of any payment or as to any apportionment to be made, that question shall be decided by the relevant tax authority and its decision thereon shall be final and not subject to an appeal or any review whatsoever by any court of law.

(d) Paragraph 8 of the Fifth Schedule to the NTA
In the case of any settlement where there are more than one settlor (paragraph 2 of this Schedule) shall, subject to the provisions of this paragraph, have effect in relation to each settlor as if he were the only settlor.

In the case of a settlement as aforesaid, income originating from that settlor or person may, for the purposes of paragraph 2 of this Schedule, be taken into account, in relation to any settlor, as income paid by virtue or in consequence of the settlement to or for the benefit of a child of the settlor.

18.10 Computation of tax liability payable by beneficiaries and trustees

(a) Paragraph 1 of the Fifth Schedule to the NTA

The income of an individual or of a trustee or executor from a settlement, trust or estate of deceased person, made, created or administered in Nigeria, or in the case of a settlement or trust made, created or administered in Nigeria, is ascertained in accordance with the provisions of the Fifth Schedule to the NTA.

The assessable income of a trustee or of an executor of the estate of a deceased individual, or of a beneficiary of a trust or estate for any year of assessment shall be the income of that person as determined under the following paragraphs and on preceding year basis.

The income of a settlement or trust shall be deemed to be the income of the settlor or person creating the trust, as the case may be, if:

(a) that settlor or person retains or acquires an immediately exercisable general power of appointment over the capital assets of the settlement or trust or over the income derived therefrom; or

(b) that settlor or person makes use, directly or indirectly, by borrowing or otherwise, of any part of the income arising under the settlement or trust; or

(c) the settlement or trust is revocable in circumstances whereby that settlor or person, or the spouse thereof, resumes control over any part of the income or assets comprised therein.

Provided that:
A settlement or trust shall not be regarded as revocable, solely by reason of the fact that an income or asset comprised therein may revert to that settlor, or person, or the spouse thereof, in the event of a beneficiary pre-deceasing that settlor or person, or of the happening of an uncertain event upon which the settlement or trust is limited.

The income of a settlement or trust, other than a settlement or trust or of the estate of a deceased individual shall be so much of that income as is derived from a source in Nigeria and any of the income brought into or received in Nigeria.

(b) Paragraph 3 of the Fifth Schedule to the NTA

The amount of the income (otherwise known as the "computed income") of each period of twelve months ending on the thirty-first day of December in each year shall be ascertained, as though the provisions of Chapter Two of this Act and the relevant provisions of the Nigeria Tax Administration Act is applicable and:

(i) there shall be deducted:

- any expenses of the trustee or executor relative to the settlement, trust or estate which is authorised by the terms of the deed of settlement or trust or of the Will as the case may be;

- Any annuity of fixed annual amount paid out of the income of the settlement, trust or estate in accordance with the provisions of the deed or Will; and

(ii) If the income includes any gain or profit from a trade, business, profession or vocation, or a rent or premium, there shall be added or deducted, as the case may require, any sum which would have been added or deducted for the next

following year of assessment, if the income from those sources had been the assessable income of an individual for that year of assessment.

(c) Paragraph 4 of the Fifth Schedule to the Act

The computed income of a year of a settlement, trust or estate shall be apportioned for the assessment in the following manner:
(i) Where:

- the terms of the deed of settlement or trust or of a will provide that the whole income of the settlement, trust or estate after deduction of any authorised expense or annuity of fixed amount is to be divided in specific proportions among the beneficiaries entitled thereto, from time to time; or

- by operation of law, on an intestacy, the income of an individual is to be divided in the manner referred to in the above paragraph, the income of each beneficiary of any year from the settlement, trust or estate shall be his similarly apportioned share of the computed income.

(ii) Where a trustee or executor has discretion to make any payment (other than a payment on account) to a beneficiary out of the income of a settlement, trust or estate in such amount as he sees it, from time to time, then:

- the amount of the payment to a beneficiary made in the cause of a year shall be treated as income of that year which is assessable to tax in the hand of that beneficiary; and

- out of the remainder of the computed income after deducting the aggregate amount of all the payments during any year, there shall be apportioned to each beneficiary who has any specified proportional interest in the income of the settlement, trust or estate, so much thereof as is obtained by applying the proportion to that remainder.

Provided that if the aggregate amount exceeds the computed income, the amount of each payment to be treated as income in the hand of a beneficiary shall be reduced proportionally so that the aggregate of the amount reduced does not exceed the computed income.

(iii) Any remainder of the computed income of a settlement, trust or estate of any year after deducting all amounts apportioned to beneficiaries, or treated as income in the hands of beneficiaries shall be apportioned to the trustee or executor for assessment in his name as trustee of the settlement or trust or as executor of the estate.

18.11 Taxation of non- resident trustees - paragraph 2 of the Fifth Schedule to the NTA

The income of a settlement or trust of the estate of a deceased individual shall be, in the case of a:

(a) resident person, income derived from a source in Nigeria and outside Nigeria; and

(b) non-resident person, income derived from a source in Nigeria and income brought into or received in Nigeria.

Based on the provision of section 17(2) of NTA, gains derived by a non-resident person from disposal of chargeable assets are taxable in Nigeria where the gains relate to:

(a) a trade, business, profession or vocation carried on by the non-resident person in Nigeria;

(b) any asset located in Nigeria; or

(c) any asset deemed to be located in Nigeria under this Act.

Section 17(3) of the NTA states that "profits derived from any trade, business, profession or vocation carried on by a non-resident person are taxable in Nigeria where:

(a) the person has a permanent establishment or significant economic presence in Nigeria to the extent that the profit is attributable to the permanent establishment or significant economic presence;

(b) payment is made by a person resident in Nigeria or a permanent establishment of a non-resident person in Nigeria, in respect of services furnished from outside of Nigeria to a resident of Nigeria or a Nigerian permanent establishment of a non-resident person, except where the payment is made:

  (i) to an employee of the person making the payment under a contract of employment,

  (ii) by an individual for teaching in an educational institution or for teaching by an educational institution, or

  (iii) by a foreign permanent establishment of a Nigerian resident and the expense is borne by that permanent establishment;

(c) payment is made to that person by a person resident in Nigeria or a Nigerian permanent establishment of a non-resident person, in respect of insurance premiums or risks insured from the territory of Nigeria".

Section 17(9) of the NTA provides that:

(a) A non-resident person is deemed to have a permanent establishment in Nigeria where the person:

  (i) has a place, in Nigeria, through which its business is wholly or partly carried on or at its disposal for the purposes of its business,

  (ii) operates a trade or business through a person in Nigeria authorised to conduct on its behalf, or on behalf of some other persons controlled by it, or which have a controlling interest in it,

  (iii) maintains a stock of goods or merchandise in Nigeria from which deliveries are made by a person on its behalf,

(iv) solely or together with any other person, executes a project in Nigeria involving surveys, designs, deliveries, building, construction, assembly or installation, commissioning or decommissioning or any supervisory activity in connection with those activities, irrespective of any split or number of entities that performed any of the activities of the project and whether or not only part of the project was carried out in or outside Nigeria, or

(v) furnishes any service in Nigeria through employees, agents, subcontractors or other persons engaged by it for such purpose;

(b) a non-resident person shall, subject to any regulations that may be issued by the Minister to that effect, have a significant economic presence in Nigeria where the person transmits, emits or sends by itself or through other person, signals, sounds, messages, images or data of any kind by cable, radio, electromagnetic systems or any other electronic or wireless apparatus to Nigeria in respect of any activity, including electronic commerce, application store, high frequency trading, electronic data storage, online adverts, participative network platform, online payments, supply of user-data, search engines, digital content services, online gaming, cloud computing, online teaching services, and so on, and profit can be attributable to such activity ;

(c) a non-resident person shall not be deemed to have a permanent establishment or significant economic presence in Nigeria solely by reason of employing persons resident in Nigeria, to the extent that the duties of such employment are not performed primarily for customers in Nigeria.

Based on the provision of **section 19 of NTA**, there shall be no further tax charged in respect of any dividend received by a non-resident from a Nigerian company other than tax deducted at source under the Nigeria Tax Administration Act.

18.12 Accounting period of an estate - paragraph 3 of the First Schedule to the NTA

This paragraph requires the preparation of accounts of an estate for each period of twelve months to end on December 31, each year. Responsibility for the preparation of the accounts rests with the trustee or executor - paragraph 15 of the Fifth Schedule to the NTA.

18.13 Procedure for objections and appeals - paragraph 16 of the Fifth Schedule to the NTA

The procedure for an objection or appeal against the application of any provision of this Schedule is explicitly stated in Chapter 7 of this Study Text.

18.14 Responsibility of the trustee to pay tax to the relevant tax authority - paragraph 14 of the Fifth Schedule to the NTA

A trustee of a settlement or trust, and every executor, shall be answerable for all things to be done in connection with the tax under this Act and an income apportioned to a trustee or executor shall be assessable by the relevant tax authority in relation to that settlement, trust or estate.

18.15 Offences and penalties - sections 100 to 127 of the NTAA

All the offences and penalties relating to individuals, such as non-registration for tax, late filing and payment of tax, false statement and returns, etc. as stated in chapter 4 of this Study Text apply.

18.16 Chapter review

This chapter defines settlement, trust, estate and related income, including annuities payable to beneficiaries. It explains the distinction between income taxable in the hands of the beneficiaries and that of the trustees.

18.17 Worked examples

18.17.1 Questions

(1) Mr. Akwa created a trust for his four children: Ade, Baruwa, Chidi and Dafur. The projected financial information of the trustee for the year ending December 31, 2026, has revealed the following information:

	₦
Profit from trading activities	980,000
Interest received on fixed deposits	270,000
Rent from property (gross)	620,000
Other income	163,000

Other relevant information include:

(i) Dafur is to get a fixed annuity of ₦35,000 per annum.

(ii) The remuneration of the trustee is fixed at ₦20,000 per annum, plus 2.5 per cent of computed income.

(iii) The allowable expenses of the trustee amounted to ₦25,000.

(iv) The trustee made the following discretionary payments:
Ade - ₦40,000, Baruwa - ₦30,000, Chidi - ₦ 20,000 and Dafur - ₦15,000

(v) Capital allowance agreed for the business of the trustee was ₦ 22,000.

(vi) Half of the net distributable income of the settlement is to be shared equally among the beneficiaries.

You are required to:

(a) Compute the income of the settlement chargeable to tax in the hands of each of the beneficiaries.

(b) Compute the amount of undistributed income of the settlement assessable to tax in the hands of the trustee.

(2) In relation to provisions of the Fifth Schedule to the NTA, 2025, **explain** the following terms:

(a) Settlement
(b) Settlor
(c) Personal representative
(d) Child

(3) Baba Ali Musa is the trustee of a settlement made by late Mallam Junaid Dikko in favour of his four children, grandchildren and others. He submitted the following information to the Zamfara State Internal Revenue Service for assessment purposes for the fiscal year ending December 31 2026:

	₦
Interest received	2,000,000
Dividend (gross)	8,000,000
Rental income	6,000,000
Business profit	18,000,000
Miscellaneous income	3,200,000
Trustee's remuneration:	
Fixed (2% of gross income)	450,000
Fixed annuity to grandchildren:	
Aminat	50,000
Danladi	30,000
Admin. Expenses	2,600,000

Additional information:

(i) Trustee made discretionary payments in line with the trust deed to the beneficiaries as follows:

	₦
Wakilu	150,000
Aishat	200,000
Illyasu	250,000
Badamasi	180,000

(ii) Each beneficiary is entitled to 1/6th share of 2/3rd of the distributable income.

(iii) Capital allowance agreed with relevant tax authority - ₦4,200,000

Required:

(a) Compute the net income assessable in the hands of the trustee.

(b) Assessable income in the hand of each beneficiary.

(4) Dr. Solomon Olubiyo created a trust for his children- Kemmy, Busayo and Samuel before he died in 2025. For the year ending December 31, 2026, the following projected information was extracted from the records of the trustee:

	₦
Projected adjusted trading profit for the year ending December 31,2026	2,400,000
Rental income (gross) 2026	1,100,000
Other miscellaneous income	1,100,000

The following information is also relevant:

(i) Fixed annuity to a beneficiary – Kemmy - ₦120,000

(ii) Fixed remuneration for the trustee - ₦80,000

(iii) Variable trustee remuneration - 5% of total computed income

(iv) Other expenses - ₦400,000

(v) The trust provides discretionary payments to the children towards their maintenance and education as follows: Kemmy ₦240,000); Busayo (₦ 230,000) and Samuel (₦250,000).

(vi) Capital allowance was agreed at ₦240,000

(vii) ₦300,000 of other expenses are not tax deductible.

(viii) It is stipulated in the trust that the beneficiaries are to share half of the distributable income equally.

Required: Calculate

(a) The net computed income

(b) The amount each beneficiary will include in his/her income tax returns in
the relevant year of assessment.

18.18.2 Suggested solutions to questions

(1) (a)

Ade, Baruwa, Chidi and Dafur

Computation of income chargeable to tax in the hands of each of the beneficiaries

	Ade ₦	Baruwa ₦	Chidi ₦	Dafur ₦	Total ₦
Share of distributable income	222,363	222,363	222,363	222,363	889,451
Add:					
Fixed annuity	-	-	-	35,000	35,000
Discretionary payments	40,000	30,000	20,000	15,000	105,000
	262,363	252,363	242,363	272,363	1,029,451

(b) **Ade, Baruwa, Chidi and Dafur**
Computation of undistributable income assessable to tax in the hands of the trustee

	₦	₦
Profit from trading activities	980,000	
Deduct: capital allowances agreed	22,000	958,000
Interest received on fixed deposits		270,000
Rent from property (gross)		620,000
Other income		163,000
		2,011,000
Deduct: allowable expenses		
Dafur's fixed annuity	35,000	
Trustees' fixed remuneration	20,000	
Trustees' remuneration based on Computed income: $^{2.5}/_{102.5}$ of (₦ 2,011,000 - ₦ 35,000 - ₦ 20,000 - ₦25,000)	47,098	
Allowable expenses of the trustee	25,000	(127,098)
Computed income		1,883,902
Less: discretionary payments		105,000
Distributable income		1,778,902
Deduct: $^{1}/_{2}$ of income distributable among the beneficiaries		889,451

	₦	₦
Net distributable income assessable to tax in the hands of the trustee		889,451

(2) (a) **Settlement:** it is a means by which enjoyment of an estate, or part of it is transferred to another person, either through a disposition, trust, or covenant, agreement, arrangement or transfer of assets by reference to a trust, for the benefit of persons specified.

(b) **Settlor:** in relation to a settlement, includes a person by whom the settlement was made or entered into directly or indirectly, and in particular (but without prejudice to the generality of the foregoing) includes a person who has provided or undertaken to provide funds directly or indirectly for the purpose of the settlement, or has made with any other person a reciprocal arrangement for that other person to make or enter into the settlement.

(c) **Personal representative**
This the person, whether executor or administrator, who is charged with the administration of the estate of a deceased person, and in whom the estate is vested for the purpose of distribution.

(d) **Sunday**

It includes a step child, an adopted child and an illegitimate child.

3. (a) Mallam Junaid Dikko settlement

Computation of assessable income in the hands of the trustee for 2027 tax year

	₦	₦
Income:		
Interest received		2,000,000
Dividend (gross)		8,000,000
Rental income		6,000,000
Business profit	18,000,000	
Less: capital allowance	4,200,000	13,800,000
Miscellaneous income		3,200,000
Gross Income		33,000,000
Less: allowable expenses:		
Trustee's remuneration:		
Fixed	450,000	
Variable– 2% of gross Income		

(2% x ₦ 33,000,000)	660,000	
Fixed annuity to grandchildren:		
Aminat	50,000	
Danladi	30,000	
Admin expenses	2,600,000	3,790,000
Computed income		29,210,000
Less: discretionary payments		
Wakilu	150,000	
Aishat	200,000	
Illyasu	250,000	
Badamasi	180,000	(780,000)
		28,430,000
Less: franked investment income:		
Dividend (gross)		(8,000,000)
Amount available for distribution		20,430,000
Less: Distribution:		
Wakilu (₦ 13,620,000 x $1/6$)	2,270,000	
Aishat (₦13,620,000 x $1/6$)	2,270,000	
Illyasu (₦13,620,000 x $1/6$)	2,270,000	
Badamasi (₦13,620,000 x $1/6$)	2,270,000	
Aminat (₦13,620,000 x $1/6$)	2,270,000	
Danladi (₦13,620,000 x $1/6$)	2,270,000	(13,620,000)
Balance assessable in the hand of the trustee		6,810,000

(b) **Mallam Junaid Dikko settlement**
Computation of assessable income in the hand of each beneficiary

	Wakilu ₦	**Aishat** ₦	**Illyasu** ₦	**Badamasi** ₦	**Aminat** ₦	**Danladi** ₦
Fixed annuity	0	0	0	0	50,000	30,000
Discretionary Payments	150,000	200,000	250,000	180,000	0	0
Distributed Income	2,270,000	2,270,000	2,270,000	2,270,000	2,270,000	2,270,000
Beneficiary's assessable income	2,420,000	2,470,000	2,520,000	2,450,000	2,320,000	2,300,000

NOTE:
In order to avoid the dividend received to be taxed twice, it will be treated as part of the income in the hands of the trustee and beneficiaries but it will not be subjected to further tax.

4. Dr. Solomon Olubiyo Trust

Computation of amount due to each beneficiary for 2027 tax year

	Total	Kemmy	Busayo	Samuel
	₦	₦	₦	₦
Income				
Adjusted trading profit	2,400,000			
Less: capital allowances	240,000			
	2,160,000			
Rental income (gross)	1,100,000			
Other income	1,000,070			
Total income	4,260,070			
Less: expenses:				
Trustee remuneration:				
-fixed	80,000			
-variable (w1)	186,670			
Other expenses (440-300)	140,000			
Fixed annuity (Kemmy)	120,000	120,000	-	-
	526,670			
Computed income	3,733,400			
Less: discretionary payments:	720,000	240,000	240,000	240,000
Remainder of computed income	3,013,400			
Share of distributable income (50%)	1,506,700	502,233.34	502,223.33	502,223.33
Trustees' income	1,506,750			
Due to beneficiaries		862,233.34	742,233.33	742,233.33

Variable trustee's remuneration

	₦	₦
Total income		4,260,070
Less:		
Other expenses	140,000	
Fixed trustee remuneration	80,000	
Fixed annuity (Kemmy)	120,000	
		340,000
		3,920,070

Variable remuneration = 5 / 105× ₦ 3,920,070 = ₦ 186,670

CHAPTER NINETEEN

LOSS RELIEF

Content

a Learning objective

b Learning outcomes

c Introduction

d Types of loss reliefs

e Rules on loss relief

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19.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of loss relief principles and the treatment of losses under commencement, change of accounting date, and cessation of business.

19.1 Learning outcomes

On completion of this chapter, readers should be able to:

(a) understand what constitutes loss relief;
(b) identify the basis for granting loss relief;
(c) know the rules guiding claims for loss relief; and
(d) explain the treatment of losses under commencement, change of accounting date, and cessation of business.

19.2 Introduction

A company makes a loss from its trade or business, when its allowable operating expenses exceed its total income or earnings.

A company that makes a loss from its trade or business is entitled to relieve such loss by carrying it forward for set-off against the assessable profits of subsequent assessment years commencing from the year following that in which the loss occurs.

19.3 Types of loss reliefs

19.3.1 Current year loss relief - section 28(3) of NTA

This is one of the methods of relieving losses. It is applicable to only individuals. In this case, losses incurred from a particular source of income can be relieved against other sources.

In order to enjoy this relief, a written claim must be made in such form as the relevant tax authority may prescribe - section 31 of NTA.

19.3.2 Carry forward loss relief - section 27(6) of NTA

This relief is available only against profit from the same source of income where the loss originally occurred. It does not require approval before the relief can be granted. The relief also applies to both individuals and corporate bodies.

19.4 Rules on loss relief

The following points are to be noted in the application of the rules on loss relief for individuals and companies:

19.4.1 Individuals - section 28(3) of NTA

In order to arrive at the total income of an individual, the loss to be deducted is:

(a) the amount of a loss incurred by the individual during the year or preceding year of assessment in a trade, business, profession or vocation; and

(b) the amount of loss incurred on the disposal of a chargeable asset: Provided that:
  (i) in no circumstances shall the aggregate loss deductions from income exceed the amount of that loss;
  (ii) the loss shall be deducted as far as possible from assessable profit of a trade, business, profession or vocation of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped;
  (iii) the loss incurred during any year of assessment shall be computed, in accordance with the basis period used in ascertaining the assessable profits and income, and
  (iv) any loss incurred in any period from sales, disposal or any other transaction in digital or virtual assets shall only be deductible against the profit or gain from digital or virtual assets.

19.4.2 Companies - section 27(6) of NTA

The amount of loss to be deducted in ascertaining the total profits of a company shall be subject to the following conditions:

(a) in no circumstances shall the aggregate loss deductions from the assessable profits or income exceed the amount of that loss;
(b) loss can only be deducted from the trade or business in which the loss was incurred;
(c) the loss shall be deducted to the extent possible from the amount of the assessable profits of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped; and
(d) the loss incurred during any year of assessment shall be computed, in accordance with the basis period used in ascertaining the assessable profits and income.
(e) Notwithstanding the provisions of this subsection or any provision of this Act, any loss incurred in any period from sales, disposal or any other transaction in digital assets shall only be deductible in determining the profits from the business relating to digital or virtual assets.

19.5 Treatment of losses under commencement, change of accounting date, and cessation

Illustration I9.1

RUBY Limited has been sustaining losses for many years but it is expected to make a good recovery in 2026. The adjusted results of the company for the following years are as follows:

		₦
Year ended Dec 31 2024	Loss	(450,000)
Year ended Dec.31, 2025	Loss	(520,000)
Year ending Dec.31, 2026 (projected)	Profit	700,000

Capital allowances for the periods are as follows:

Assessment Year	₦
2025	37,500
2026	32,000
2027	45,000

For each of the years noted above, the company was able to achieve a minimum turnover of ₦ 150,000,000

Required:
Compute the income tax liabilities for the relevant assessment years.

Suggested solution to Illustration I9.1

RUBY Limited
Computation of income tax liabilities
For the relevant years of assessment

	₦	₦
Assessment year 2025		
Basis period (1/1/24 – 31/12/24)		
Loss for the year		(450,000)
Add:		
Capital allowance for the year		(37,500)
Unrelieved loss and capital allowance c/f		(487,500)
Companies income tax payable		Nil
Tertiary education tax payable (3% of adjusted profit)		Nil
Assessment year 2026		
Basis period (1/1/25 – 31/12/25)		
Loss for the year		(520,000)
Add		
Unrelieved loss b/f		(450,000)
		(970,000)
Capital allowance for the year	32,000	
Capital allowance b/f	37,500	(69,500)
Unrelieved losses and capital allowances c/f		(1,039,500)
Companies income tax payable		Nil
Tertiary education tax payable (3% of adjusted profit)		NIL

Assessment year 2027 - recovery year

Basis period (1/1/26 – 31/12/26)		
Profit for the year		700,000
Losses brought forward		(970,000)
		(270,000)
Less capital allowances - for the year	45,000	
- b/f	69,500	(114,500)
		(384,500)
Companies income tax payable		Nil
Federal development levy payable (4% of adjusted profit)		28,000

Illustration 19.2

RAKA Limited has been in business for a long time, producing beverages for consumption in Nigeria. The company has just been integrated as part of group that adopts an accounting year end of December 31.

Effective June 30, 2026, the company changed its accounting year-end to align with other companies in the group. The adjusted profits of the company for the following periods are as follows:

	₦
Year ended Dec. 31, 2024 (Loss)	(3,000,000)
Year ended Dec. 31, 2025	2,700,000
Period ended June 30, 2026	1,400,000

Capital allowances for the relevant years agreed with the Revenue are as follows:

Year of assessment	Capital allowance ₦
2025	180,000
2026	240,000
2027	300,000

Required:
Compute the assessable profits for the relevant years of assessment.

Suggested solution to illustration 19.2
RAKA Limited

New basis

Year of assessment	Basis period	Assessable profit / (loss) ₦
2025	1/1/2024 – 31/12/2024	(3,000,000)
2026	1/1/2025 - 31/12/2025	2,700,000
2027	1/1/26 – 30/06/ 26	1,400,000
		1,100,000

Illustration 19.3

BEBE Limited, a company located in, Kogi State, commenced operations on November 1, 2020. The accounting year-end was September 30.

As a result of stiff government policy on the importation of rice which the company deals with, the going concern of the business became threatened and the Board of Directors decided to cease operations on December 31, 2025.

The adjusted profits/ (loss) for the relevant periods are as follows:

	₦
Period to September 30, 2022	2,100,000
Year ended September 30, 2023	2,400,000
Year ended September 30, 2024	3,640,000
Year ended September 30, 2025	6,300,000
Period to December 31, 2025	(500,000)

You are provided with the following additional information:

(i) Bad debt in the sum of N120,000 which was written off in 2023 assessment year, was recovered in October, 2024.
(ii) A sum of N20,000 was spent to recover the debt.
(iii) An expenditure of N350,000 incurred in assessment year 2023, though considered in the statement of profit or loss was not paid until August, 2025.

On cessation, the Revenue Authority intended to conduct a back-duty investigation and the taxpayer was duly informed. As a Tax Consultant, you have been invited to ascertain the assessable profits for the periods covered from the commencement of trade to cessation of business.

You are required to:
a. Explain **THREE** reasons why a business may cease trading.
b. Compute net terminal adjusted result for the relevant assessment year.

Suggested solution to illustration 19.3

a. Possible reasons why a business could cease business include:

i. government legislation - the Federal Government may declare the activities of a business illegal and thus, this may lead to the end of such business;
ii. permanent dearth or inability of sourcing raw materials;
iii. loss of major market due to stiff competitors or economic prices;
iv. inability to settle the debts owed by the company;
v. loss of key personnel with technical know-how;
vi. agreement by the management of the company;
vii. liquidity problem;
viii. mismanagement of funds;
ix. complying with the order of the Court through an application of creditors or debenture holders of the company;
x. failing objectives - continuous decline in profits;
xi. natural disasters, for example, fire, earthquake or flood disaster; and
xii. death of all shareholders, etc.

b. BEBE Limited
Computation of net terminal adjusted loss
For 2026 assessment year

	₦
The net terminal loss was	(500,000)

Notes:

(i) Bad debts recovered in October 2024 must have been captured in the relevant accounting year.
(ii) Amount spent in recovering the debt must also have been captured in the same accounting year.
(iii) The expenditure of N350,000 was actually passed through the books before the year of cessation.
(iv) Any loss sustained in the year of cessation is deemed lost and cannot be recovered.

Given the fact that the transactions occurred before the date of cessation, informed the decision to ignore same in the computation of the net terminal adjusted loss.

19.6 Chapter review

This chapter defines what constitutes a loss for a company in trade or business, and goes on to provide guidelines regarding loss relief rules, by clearly explaining how the loss relief rules are applied, using detailed worked examples.

19.7 Worked examples

19.7.1 Questions

(1) A company makes a loss from its trade or business, when its allowable operating expenses exceed its total income or earnings.

A company that makes a loss from its trade or business is entitled to relieve such loss by carrying it forward for set-off against the assessable profits of subsequent assessment years commencing from the year following that in which the loss occurs.

Required:

Explain the following:

(a) Current year loss relief
(b) Carry forward loss relief

(2) There are specified rules to be taken into consideration in the application of loss relief.

Required:

(a) Explain the rules governing the claim for loss relief.
(b) Explain the major advantages of loss relief to a taxpayer.

(3) ZORO Nigeria Limited, was incorporated on February 1, 2018, and commenced business on May 1, 2018. The company makes up its accounts to December 31, each year. The following additional information is provided;

i. Adjusted profit(loss) for	₦'000
Year ended December 31, 2022	(80,000)
Year ended December 31, 2023	40,000
Year ended December 31, 2024	20,000
Year ended December 31, 2025	50,000

ii. Capital allowances for each year of assessment are as given under:

	₦'000
2023	5,000
2024	3,500
2025	2,700
2026	2,500

For each of the years, the turnover of the company was ₦101,300,000.

Required:
Compute the income tax payable for the relevant years of assessment.

19.7.2. Suggested solutions to questions

(1) (a) **Current year loss relief - section 28(3) of NTA**

This is one of the methods of relieving losses. It is applicable to only individuals. In this case, losses incurred from a particular source of income can be relieved against other sources.

In order to enjoy this relief, a written claim must be made in such form as the relevant tax authority may prescribe - section 31 of NTA.

(c) Carry forward loss relief - section 27(6) of NTA

This relief is available only against profits from the same source of income where the loss originally occurred. Carry forward loss relief does not require approval before the relief is granted. It applies to both individuals and corporate bodies.

(2) (a) The rules governing loss relief are as follows:

(i) Individuals - section 28(3) of NTA

In order to arrive at the total income of an individual, the loss to be deducted is:

- the amount of a loss incurred by the individual during the year or preceding year of assessment in a trade, business, profession or vocation; and
- the amount of loss incurred on the disposal of a chargeable asset: Provided that:
  - in no circumstances shall the aggregate loss deductions from income exceed the amount of that loss;
  - the loss shall be deducted as far as possible from assessable profit of a trade, business, profession or vocation of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped;
  - the loss incurred during any year of assessment shall be computed, in accordance with the basis period used in ascertaining the assessable profits and income, and

- any loss incurred in any period from sales, disposal or any other transaction in digital or virtual assets shall only be deductible against the profit or gain from digital or virtual assets.

(ii) Companies - section 27(6) of NTA

The amount of loss to be deducted in ascertaining the total profits of a company shall be subject to the following conditions:

- in no circumstances shall the aggregate loss deductions from the assessable profits or income exceed the amount of that loss;
- loss can only be deducted from the trade or business in which the loss was incurred;
- the loss shall be deducted to the extent possible from the amount of the assessable profits of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped; and
- the loss incurred during any year of assessment shall be computed, in accordance with the basis period used in ascertaining the assessable profits and income.
- Notwithstanding the provisions of this subsection or any provision of this Act, any loss incurred in any period from sales, disposal or any other transaction in digital assets shall only be deductible in determining the profits from the business relating to digital or virtual assets.

(b) The major advantage of a loss relief to a taxpayer is the consequential reduction in the amount of assessable profit of a year or future years. This has major impact on the total tax payable with a corresponding cash flow advantage for a taxpayer.

3. ZORO Nigeria Limited
Computation of income tax payable
For the relevant assessment years

	N'000	**N'000**
2023 assessment year		
Adjusted loss		(80,000)
Loss relieved		Nil
Unrelieved loss c/f		(80,000)
Capital allowance for the year	5,000	
Capital allowance utilised	Nil	
Unutilised capital allowance c/f	5,000	

Total profit		Nil
Companies income tax @ 30%		Nil
Tertiary education tax		Nil

2024 assessment year (normal)

Adjusted profit		40,000
Loss brought forward		(80,000)
Loss carried forward		(40,000)
Capital allowance brought forward	5,000	
Capital allowance for the year	3,500	
Utilised capital allowance c/f	8,500	
Total profit		NIL
Companies income tax at 30% of total profit		NIL
Tertiary education tax at 2.5% of assessable profit		1,000

2025 assessment year

Adjusted profit for the year		20,000
Unrelieved loss b/f		(40,000)
Unrelieved loss c/f		(20,000)
Capital allowance for the year	2,700	
Unutilised capital allowance b/f	8,500	
Unutilised capital allowance c/f	11,200	
Total profit		Nil
Companies income tax @30% of total profit		Nil
Tertiary education tax @3% of adjusted profit		600

2026 assessment year

Adjusted profit	50,000
Loss brought forward	(20,000)
	30,000

Capital Allowance for the year	2,500	
Unutilised capital allowance b/f	11,200	
Unutilised capital allowance	13,700	(13,700)
Total profit		16,300
Companies income tax @30% of total profit		4,890
Tertiary education tax (3% of adjusted profit)		1,500

CHAPTER TWENTY

ASCERTAINMENT OF ASSESSABLE PROFIT

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20.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of computation of assessable profit.

20.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) identify the persons chargeable to companies income tax;
(b) explain the types of companies based on turnover and applicable income tax rates;
(c) explain effective tax rate;
(d) identify and explain income, profits or gains chargeable to tax;
(e) identify and explain income, profits or gains that are tax exempt;
(f) identify and explain allowable deductions and deductions not allowed
(g) explain the tax implications of business restructuring

(h) ascertain the basis for computing assessable profits for trade or business; and
(i) compute assessable profit.

20.2 Introduction

In a trade or business, the profit or loss of the company is the difference between the income and expenses incurred in generating the income. This can be illustrated using the following proforma:

ABC Limited
Statement of profit or loss
For the year ended December 31, 2025

	₦'000
Revenue	xxx
Cost of sales	(xx)
Gross profit	xxx
Deduct:	
Overhead expenses	(xx)
Net profit/(loss)	**xx**

The net profit as ascertained above is an accounting profit, having been arrived at after taking into consideration, all known principles of accounting, as well as the company's accounting policies.

However, the accounting profit/loss arrived at above, cannot be used for the purpose of computing the tax payable by a company.

The accounting profit has to be converted to tax profit usually referred to as adjusted profit/loss before it is used for the determination of total profit/loss and, consequently, the computation of tax payable.

The process of converting the accounting profit to arrive at the tax profit or adjusted profit involves the application of the provisions of tax laws that allow for the exclusion from tax of some income/profit, that is, exempted income/profit and allowable/ disallowable expenses. Simply put, the conversion is achieved using a pro-forma computation for the purpose of illustration as follows:

ABC Limited
Computation of adjusted profit
For the year ended December 31, 2025 (assessment year 2026)

	₦'000
Net profit per accounts	xxx
Deduct:	
Non-taxable incomes	xx
	xxx
Add:	
Disallowable expenses	xx
Adjusted profit/(loss)	**xxx**

20.3 Persons chargeable to companies income tax

20.3.1 Definition of Nigerian company - section 147 of NTAA
"Nigerian Company" means:

(a) any company formed or incorporated under any law in Nigeria; or
(b) any company whose effective place of management or control is Nigeria, provided that the Minister may by regulations prescribe what constitutes effective place of management or control.

20.3.2 Chargeability to tax - section 5 of NTA
A company is charged to tax:
a) in its own name;
b) in the name of any principal officer, attorney, factor, agent or representative of the company in Nigeria in the same manner or amount that the company would have been charged; or
c) in the name of its receiver, liquidator, or administrator, in the same manner or amount that the company would have been charged if no receiver, liquidator or administrator had been appointed.

20.3.3 Taxation of resident persons - section 6 of NTA

(a) The profits of a Nigerian company are deemed to accrue in Nigeria wherever the profits arise and whether or not such profits have been brought into or received in Nigeria.

(b) Where a foreign company which is controlled by a Nigerian company has not, in a year, distributed profits to its shareholders, the proportion of the profits of the controlled foreign company attributable to the Nigerian company, which could have been distributed without detriment to the company's business shall be construed as distributed and included in the profits of the Nigerian company for the purposes of (a) above.

(c) Where the income tax paid by a non-resident company which is a subsidiary of a Nigerian company or a member of a multinational group of a Nigerian company in any year yields less than the minimum effective tax rate prescribed by this Act, the Nigerian parent company shall pay an amount to make that non-resident subsidiary's income tax equal to the minimum effective tax rate.

(d) The Nigeria Revenue Service (the Service) shall provide detailed rules for the implementation of (b) and (c) above.

20.3.4 Taxation of non-resident persons - section 17 of NTA

(a) The income, profits or gains of a non-resident person accruing in, or derived from Nigeria are chargeable to tax in accordance with the provisions of this Act.

(b) Gains derived by a non-resident person from disposal of chargeable assets are taxable in Nigeria where the gains relate to -

i. a trade, business, profession or vocation carried on by the non-resident person in Nigeria;

ii. any asset located in Nigeria; or

iii. any asset deemed to be located in Nigeria under this Act.

(c) Profits derived from any trade, business, profession or vocation carried on by a non-resident person are taxable in Nigeria where:

i. the person has a permanent establishment or significant economic presence in Nigeria to the extent that the profit is attributable to the permanent establishment or significant economic presence;

ii. payment is made by a person resident in Nigeria or a permanent establishment of a non-resident person in Nigeria, in respect of services furnished from outside of Nigeria to a resident of Nigeria or a Nigerian permanent establishment of a non-resident person, except where the payment is made:

- to an employee of the person making the payment under a contract of employment,
- by an individual for teaching in an educational institution or for teaching by an educational institution, or
- by a foreign permanent establishment of a Nigerian resident and the expense is borne by that permanent establishment;

iii payment is made to that person by a person resident in Nigeria or a Nigerian permanent establishment of a non-resident person, in respect of insurance premiums or risks insured from the territory of Nigeria

20.4 Types of companies based on turnover and applicable income tax rates - section 56 of NTA

S/N	Classification	Threshold (gross turnover)	Tax rate	Remarks
1	**Small company**	**₦100,000,000 and below**	**0%**	The total fixed assets should be less than ₦ 250,000,000, provided that any business providing professional services shall not be classified as a small business - **section 147 of NTA**
2.	**Any other company**	**Above ₦ 100,000,000**	**30%**	This can be reduced to 25%, effective from a date as may be determined in the Order issued by the President on the advice of the National Economic Council.

20.5 Effective tax rate - section 57 of NTA

(a) The effective tax rate is determined thus:

(i) notwithstanding any provision of this Act or any other enactment, where, in any year of assessment, the effective tax rate that is, covered taxes as a percentage of net income, of a company is less than 15%, such company shall recompute and pay an additional tax that makes its effective tax rate equal to 15%;

(ii) covered taxes for the purpose of this section means companies income tax, petroleum profit tax, and hydrocarbon tax paid or payable, development levy, and priority sector tax credit; and

(iii) net income refers to the profit before tax as reported in the audited financial statements excluding franked investment income and unrealistic gains or losses:

Provided that the net income for a life insurance company shall not include gross income and investment income for policyholders.

Arising from the above, it is obvious that the provisions of this section are silent on the deduction of five percent of depreciation and personnel cost from net profits before tax as reported in a company's audited financial statements, in the ascertainment of effective tax rate. The international best practices require the deduction of these costs from the net profits of a company in the computation of effective tax rate.

Apart from the fact that the exclusion of these costs from net profits aligns with OECD international tax rules, it reduces the amounts of profits subject to the minimum tax rates, thereby reducing the tax impact on business operations which include hiring of staff and construction of building infrastructure.

(b) The provisions of this section shall apply to:
(i) a company that is a constituent entity of a Multinational Entity group, with aggregate group turnover of at least £750 million or its equivalent; and
(ii) any other company with an aggregate turnover of ₦50,000,000,000 and above in the financial year.

(c) The provisions of subsection (a)(1) above, shall not apply to an approved enterprise operating in a free zone with respect to its approved activities except:
(i) with respect to sale within the customs territory;
(ii) an entity as prescribed under b(i) above.

(d) The Service may issue regulations to give effect to the provisions under this section and may prescribe a higher threshold under b(ii) above.

20.6 Income, profits or gains chargeable to tax - section 4 of NTA

These are income, profits or gains of a person accruing in or derived from Nigeria, including:

(a) profits or gains from any trade, business, profession or vocation for whatever period of time such a trade or business may have been carried on;
(b) royalties, fees, rents or interests arising from a right granted for the use, exploitation or occupation of any property;
(C) dividends, premium, charges or annuities;
(d) fees, dues, allowances, or any remuneration for services rendered;
(e) discounts or rebates;
(f) disposal of money or money instruments;
(g) income, profits or gains from disposal or lending of securities;
(h) prizes, winnings, honoraria, grants, awards, laurels, etc;
(i) profits or gains from the disposal of property or fixed assets;
(j) profits or gains from transactions in digital assets;
(k) any other income, profit or gain not falling within the preceding categories.

20.7 Income, profits or gains that are tax exempt - section 162 of NTA

The following shall be exempt from tax:

(a) the profits accruing to, or gains from disposal of assets of any person being:
(i) a statutory or registered friendly society, where the profits or gains are not derived from a trade or business carried on by such society,
(ii) a co-operative society registered under any enactment or law relating to co-operative societies, not being profits or gains from any trade or business carried on by that society,

(iii) engaged in educational, religious or charitable activities of a public character where the profits or gains are not derived from a trade or business carried on by such person,
(iv) a trade union registered under the Trade Unions Act where the profits or gains are not derived from a trade or business carried on by such trade union,
(v) a Federal, State or Local Government in Nigeria, their Ministries, Departments and Agencies and other public institutions, other than profits or gains derived from trade or business or any instrumentality established for the purpose of trade or business, and
(vi) a government purchasing authority established by an enactment and empowered to acquire any commodity for export or redistribution;

(b) dividend distributed by authorised collective investment scheme;

(c) dividend or rental income received by a real estate investment company on behalf of its shareholders, where not less than 75% of the dividend or rental income is distributed within 12 months after the end of the financial year in which the dividend or rental income was earned, provided that nothing in this subsection shall be construed to exempt a —
(i) shareholder from tax on the dividend or rental income received from a real estate investment company,
(ii) real estate investment company from tax on management fee, profits or any other income earned for and on its own account, and
(iii) real estate investment company from tax on dividend or rental income if it does not meet the conditions stipulated in this paragraph;

(d) compensating payments, which qualify as dividends, received by a lender from its approved agent or a borrower in a Regulated Securities Lending Transaction;

(e) compensating payments, which qualify as dividends or interest, received by an approved agent from a borrower or lender on behalf of a lender or borrower in a Regulated Securities Lending Transaction;

(f) consular fees received on behalf of a foreign State, or by a consular officer on behalf of the State, and the employment income of such officer, other than income in respect of any trade, business, profession or vocation carried on by the officer or in respect of any other employment exercised by him in Nigeria:
Provided that this exemption shall not apply to the income of an employee engaged in domestic duties, or where the officer or employee ordinarily resides in Nigeria and is not a national of the foreign State;

(g) an income in respect of which tax is remitted or exempt under the provisions of the Diplomatic Immunities and Privileges Act or of any enactment, order or notice continued in force or effected by that Act;

(h) pension funds and assets created under the Pension Reform Act;

(i) pension, gratuity or any retirement benefits granted in accordance with the Pension Reform Act

(j) wound and disability pensions granted to members of the armed forces or of any recognised national defence organisation, or to a person injured as a result of enemy action;

(k) a sum received by way of death gratuities or as consolidated compensation for death or injuries;

(l) redundancy lump sum payment and other compensation of capital nature for loss of employment;

(m) gains accruing from the disposal of assets by an angel investor, venture capitalists, private equity fund, accelerators or incubators with respect to a labelled startup provided the assets have been held in Nigeria for a minimum of 24 months;

(n) income earned from bonds issued by a State or the Federal Government of Nigeria;

(o) emoluments of any person serving as other rank and other personnel serving in combat zones, hazardous areas or in designated operations, provided that where any other income accrues to the person, not being income by way of personal emoluments, that income shall be liable to tax.

(p) income generated by companies engaged in agricultural businesses including crop production, livestock, aquaculture, forestry, dairy and such other businesses as described in the Thirteenth Schedule to this Act, for the first five years upon commencement of business;

(q) dividend received from investments in wholly export-oriented businesses;

(r) profits of a company engaged in sporting activities;

(s) dividend, interest, rent or royalty derived from outside Nigeria and brought into Nigeria through approved channels;

(t) income of a person from an employment where such person earns gross income of national minimum wage or less from such employment;

(u) wages and salaries of military officers.

(v) The following shall not constitute chargeable gains:
(i) pension funds and assets approved under the Pension Reform Act, and

(ii) an individual from disposal of investment held as part of any national provident fund or other retirement benefits schemes established under the provisions of any Act or enactment for employees throughout Nigeria;

(b) gains on the disposal of a decoration, awarded for valour or gallant conduct which a person acquires otherwise than for consideration in money or money's worth.

20.8 Deductions allowed and deductions not allowed

20.8.1 Deductions allowed - section 20 of NTA

(a) In order to ascertain the profits or loss from any trade, business, profession or vocation under this Act, there shall be deducted all expenses for that period wholly and exclusively incurred in the production of the income, including:

(i) any sum payable by way of interest on debt employed in generating the income of the trade, business, profession or vocation, subject to the provisions of the Third Schedule to this Act, that is, subject to the restriction on the deductibility of interest;

(ii) rent and premiums, incurred during that period, in respect of land or building occupied for the purposes of generating the income;

(iii) any outlay or expenses incurred in respect of:

- salary, wages or other remuneration paid to employees, and
- cost to the company of any benefit or allowance provided to its employees;

(iv) any expense incurred for repair of premises, plant, machinery or fixtures employed in acquiring the income, or for the renewals, repair or alteration of any implement, utensil or articles so employed;

(v) any amount of expenditure incurred for establishing, preserving or defending title to or rights over an asset;

(vi) any contribution to any staff pension, provident or other retirement benefits fund, society or scheme approved under the Pension Reform Act any similar enactment in Nigeria;

(vii) any expense proven to the satisfaction of the relevant tax authority to have been incurred, being damage to, or loss of stock or inventory of the trade, business, profession or vocation;

(viii) bad or doubtful debts incurred during a trade or business, notwithstanding that the debts were due and payable before the commencement of the basis period, being:

- debts becoming bad during the said basis period other than bad debt incurred in respect of transaction with a related party,
- doubtful debts estimated in accordance with generally acceptable accounting principles and to the extent that it is proven, to the satisfaction of the relevant tax authority, that the debts in respect of which a deduction is claimed were incurred during the company's business operations that produced the assessable profits;

(ix) any expense incurred by the trade, business, profession or vocation on research and development for the period;

(x) any other expense incurred during any previous period for the purpose of such trade or business, or specifically for the period which the profits are being

ascertained, provided that any expenditure incurred within six years prior to commencement of business which would have been deductible if incurred after commencement of business, shall be deemed to have been incurred on the first day of commencing the trade or business;

(xi) dividends or mandatory distributions made by a real estate investment company duly approved by the Securities and Exchange Commission, to its shareholders;

(xii) compensating payments made by a lender to its approved agent or a borrower in a regulated securities lending transaction, which qualify as interest.;

(xiii) any expense incurred by a person on assistive devices and disability-related products including hearing aids, wheelchairs, and braille materials.

(b) Notwithstanding the provision of a(viii) above, in determining bad or doubtful debts deductible:

(i) appropriate reduction shall be made in respect of any amount that had been allowed for deduction in any previous period in respect of the same debt; and

(ii) all sums recovered on account of sums previously written off or allowed for deduction in respect of bad or doubtful debts shall be added to the profits of the trade, business, profession or vocation in the period of recovery.

(c) Liability waived, released or recovered shall be included in the assessable profits or chargeable gains in accordance with section 194 of this Act.

(d) Notwithstanding anything to the contrary contained in any law, an expense incurred in a currency other than the Naira may only be deducted to the extent of its Naira equivalent at the official exchange rate published by the Central Bank of Nigeria for the relevant date or period.

In addition to the above, **section 162(3) of NTA** enables a company to be entitled to an additional deduction of 50% in the relevant years of assessment in respect of costs incurred in any two calendar years from 2023 to 2025 on the following:

(a) wage awards, salary increases, transportation allowance or transport subsidy granted to a low-income worker, which bring the gross monthly remuneration of the worker up to an amount not exceeding N100,000 provided that any additional award or salary increase to an employee earning above N100,000 as monthly salary shall not qualify for the additional deduction under this subsection; and

(b) salaries of any new employee constituting a net increase in the average number of new employees hired in 2023 and 2024 calendar years over and above the average net employment in the three preceding years, provided that such new employees are not involuntarily disengaged within a period of three years post-employment.

"Net employment" means the total number of persons employed less the total number of persons disengaged during the calendar year, whether such disengagement is voluntary or not.

20.8.2 Deductible donations - section 163 of NTA

(a) For the purposes of ascertaining the profits or loss from any trade, business, profession or vocation, there shall be deducted the amount of any donation made for that period by that company to any fund, body or institution in Nigeria by company to any fund, body or institution in Nigeria to which this section applies.

(b) Without prejudice to restriction on expenses allowed, any donation made by a company under (a) above, may be deducted from the profits of that period notwithstanding that the donation is of a revenue or capital nature.

(c) This section shall apply to donations made to:
(i) public funds;
(ii) statutory bodies or institutions;
(iii) religious, charitable, educational and scientific institutions, established in Nigeria;
(iv) bodies recognised under the Diplomatic Immunities and Privileges Act; or
(v) any pandemic, natural disaster or other public emergency interventions.

(d) A company making a deduction for a donation shall provide requisite document evidencing the donation to the relevant tax authority.

(e) The total deduction to be allowed to a company, under this section, for any year of assessment, shall not exceed an amount equal to 10% of the profit before tax of that company for that year.

(f) In the case of a donation other than in cash, the value for the purpose of this section shall be the lower of the market value at the time of the donation or the consideration paid for the item when it was acquired.

20.8.3 Deduction for research and development - section 164 of NTA

(a) Notwithstanding anything contained in section 20 of this Act (deductions allowed), for the purpose of ascertaining the profit or loss of any company for any period from any source chargeable with tax, there shall be deducted the amount incurred in that period by that company for research and development.
(b) The deduction to be allowed to a company under (a) above for any year of assessment shall not exceed an amount which is equal to 5% of the turnover for that year.
(c) Where a company to which this section applies subsequently sells or transfers the outcome of the research and development to another person for exploitation or commercialisation, the proceeds of such sale or transfer shall be taxed accordingly.

20.8.4 Deductions not allowed - section 21 of NTA

In the ascertainment of the profit or loss of a company from trade, business, profession or vocation, for a period, the following expenses are not allowed as deductions:
(a) capital repaid or withdrawn from a trade, business, profession or vocation;

(b) any expenditure of a capital nature;
(c) domestic or private expense, or expenditure on assets not used for the purpose of trade, business, profession or vocation;
(d) any sum recoverable under an insurance or contract of indemnity;
(e) taxes on profit or incomes levied in Nigeria or elsewhere;
(f) any payment to a savings, widows and orphans, pension, provident or other retirement benefit fund, society or scheme not approved under the Pension Reform Act or any similar enactment in Nigeria;
(g) depreciation or impairment of any fixed asset, investment or an unrealised exchange difference on any item denominated in foreign currency;
(h) any sum reserved out of profits subject to the provisions of section 20 (j) - preincorporation expenses - of this Act;
(i) any payment to a connected person that is not consistent with the Transfer Pricing Regulations issued by the Service;
(j) any expense incurred in deriving an income that is exempt from income tax;
(k) any expense allowable as a deduction in determining chargeable gains under this Act;
(l) penalty or fine imposed under any law;
(m) any tax or penalty borne on behalf of another person;
(n) any compensating payment made by a borrower, which qualifies as dividends under this Act, to its approved agent or to a lender in a regulated securities lending transaction;
(o) any compensating payment made by an approved agent, which qualifies as interest or dividends under this Act, to a borrower or lender in a regulated securities lending transaction; or
(p) any expense on which Value Added Tax is due under this Act but was not charged, or in the case of imported items, any expense on which the applicable import duty or levy was not paid.

20.8.5 Expenses incurred in deriving exempt income - section 21(j) of NTA

Where a deductible expense is incurred for the purposes of generating both exempt and non-exempt income, only the portion that relates to the income assessable to tax shall be allowed as a deduction.

Illustration 20.1

Burukutu Limited generated a profit of ₦2,000,000 during the year ended December 31, 2025. It incurred deductible expenses of ₦250,000. Out of the business profit of ₦2,000,000, only N1,400,000 is assessable to tax.

Required:

Compute how much of the expenses will be allowed for deduction for income tax purposes.

Suggested solution to illustration 20.1

Burukutu Limited

The formula to be applied is

$$\frac{A}{A + B} \quad X \quad C$$

Where:

A = Income assessable to tax
B = Tax exempt income
C = Total available expenses

Arising from the above, the portion of the deductible expenses to be allowed as a deduction is computed thus:

$$\frac{₦1,400,000}{₦1,400,000 + ₦600,000} \quad X \quad ₦250.000$$

= N175,000

20.8.6 Restriction on the deductibility of interest- section 20(1)(a) of NTA and the Third Schedule to the Act

(a) Notwithstanding any provisions of Chapter Two of this Act, that is, taxation of income of persons, where a Nigerian company or permanent establishment of a non-resident company in Nigeria, incurs any expenditure by way of interest or of similar nature in respect of debt issued by a connected person, the excess interest thereon shall be a disallowable deduction for the purpose of Chapter Two of this Act.

(b) The provision in the previous paragraph, explains that the excess interest shall mean an amount of total interest paid or payable to a connected person in excess of 30% of earnings before interest, taxes, depreciation and amortisation of the Nigerian company in that accounting period.

(c) The provisions of (a) above, shall not apply to a Nigerian subsidiary of a foreign company which is engaged in the business of banking or insurance.

(d) Where for any assessment year, the interest expenditure is not wholly deducted against income, the interest expenditure that has not been deducted, shall be carried forward to the following assessment year or assessment years, and it shall be allowed as a deduction against the profits, if any, of any business carried on by it and assessable for that assessment year to the extent permitted in accordance (b) above: Provided that interest expenditure shall not be carried forward under this paragraph for more than five assessment years immediately succeeding the assessment year for which the excess interest expenditure was first computed.

It is pertinent to state that section 201 of NTA explains *"connected persons"* to include, in the case of:

(a) individuals, the individuals are married or are relatives;
(b) a trustee in relation to a settlement, the trustee and the settlor, or the spouse or a relative of the settlor;
(c) a partnership, a person is related to the person, or spouse or a close relative of the person with whom he is in partnership;
(d) a company:
    (i) a person is connected to a company of which he, or his spouse or a close relative has control,
    (ii) a company is connected to another company where the same person has control over both companies, or connected persons acting separately have control over the companies,
    (iii) a company is connected to two or more persons who acting together, or through a person acting on their directions exercise control over the company,
    (iv) two companies are connected where one company participates directly or indirectly in the management, control or capital of the other company, or the same persons participate directly or indirectly in the management, control or capital of a company and another company;
(e) other cases, two persons are connected where:
    (i) one may reasonably be expected to act in accordance with the directions, requests, suggestions, or wishes of the other person,
    (ii) both persons may reasonably be expected to act in accordance with the directions, requests, suggestions, or wishes of a third person, or
    (iii) one person has the practical ability to control the business decisions of another person:

    Provided that two persons are not connected solely by reason of the fact that one person is the employee or client of the other, or both persons are employees or clients of a third person.

Illustration 20.2

Darak Limited was incorporated on November 2, 2021, and it commenced business on April 4, 2022. XYZ (U.K) Limited is its subsidiary in Canada.

An extract of the financial statements of Darak Limited for the year ended December 31, 2025, revealed the following:

	₦
Net profit	5,000,000
Interests and depreciation deducted before arriving at the net profit of N5,000,000, are as follows:	
Interest on loan paid to:	
-Other creditors	1,500,000
-XYZ (U.K) Limited	1,750,000
Depreciation	1,300,000

It was stated that out of the loan paid to other creditors, ₦200,000 was in respect of a loan

obtained in generating tax-exempt profits.

Required:

(a) Compute the interest deductible in the relevant assessment year.

(b) Explain how the excess interest not deductible in the relevant assessment year will be treated.

Suggested solution to illustration 20.2

(a) Darak Limited

Computation of interest deductible in 2026 assessment year

Computation of earnings before interest, taxes, depreciation and amortisation (EBITDA)

	₦	₦
Net profit		5,000,000
Add:		
Interests deducted	3,250,000	
Depreciation	1,300,000	
	4,550,000	4,550,000
EBITDA		9,550,000

Interest deductible before restriction:	
Interest paid to other creditors	1,500,000
Interest paid to XYZ (U.K) Limited	1,750,000
Total interest expenses	3,250,000
Interest for tax exempt profit	(200,000)
Interest qualifying for deduction	3,050,000

Restriction:

30% of EBITDA (30% of ₦9,550,000) = ₦2,865,000

Amount of interest deductible in 2025 assessment is the lower of:

(i) 30% of EBITDA (₦9,550,000) = ₦2,865,000; or

(ii) Interest qualifying for deduction = ₦3,050,000

This is ₦2,865,000.

(b) Treatment of excess interest not deductible in the relevant assessment year

The excess interest of ₦3,050,000 less ₦2,865,000, which is ₦ 185,000, will be carried

forward and added to the interest expense for that year with a view to computing the restriction for that year.

It should be noted that the excess interest of ₦185,000 may only be carried for a period not exceeding five years, that is, 2031 assessment year, whilst applying for each of the years, the same rule based on which the excess interest expenditure was first computed.

20.9 Tax implications of business restructuring - section 189 of NTA

The tax implications of business restructuring include:

(a) in the case of a merger of two or more trades or businesses:
   (i) a new trade or business shall not be deemed to have commenced as a result of the merger, and the provisions of this Act as they relate to cessation of trade or business shall not apply to the trade or business that ceased as a result of the merger;
   (ii) the provisions of Part VIII of Chapter Two of this Act - ascertainment of chargeable gains - as they relate to chargeable gains shall not apply to the assets transferred to the new or surviving trade or business as a result of the merger;
   (iii) assets of the merging trades or businesses shall be deemed to have been transferred at the residue of the qualifying capital expenditure on the day following the merger;
   (iv) the provisions of the First Schedule to this Act - capital allowance - shall apply on the remaining useful life of the asset transferred because of the merger,
   (v) unutilised capital allowance on the assets transferred shall be available for the use of the new or surviving trade or business;
   (vi) unabsorbed losses of the merging entities shall be available to the surviving trade or business provided that such losses were incurred by the merged trade or business; and
   (vii) taxes deducted at source in respect of the merged trades or businesses shall be available to the merged trade or business;

(b) in the case of a sale or transfer of a trade or business which results into the cessation of a trade or business:
   (i) the provisions of Part V of Chapter Two of this Act as regards cessation of trade, business, profession or vocation shall apply to the trade or business that was sold or transferred;
   (ii) for the purposes of the First Schedule to this Act - capital allowance-, the asset sold or transferred shall be recognised at the value of which they are sold or transferred;
   (iii) unutilised capital allowance on the assets sold or transferred shall not be available for use in the new or surviving trade or business;
   (iv) unabsorbed losses of the old business shall not be available for use in the new or surviving trade, business, profession or vocation; and
   (v) taxes deducted at source from the old trade or business; shall not be available for use by the new or surviving trade or business;

(c) in the case of a sale or transfer of a business asset which does not result into the cessation of the trade or business, and where the parties agreed to sell or transfer the asset for an amount not exceeding the sum of the residue of the qualifying capital expenditure and unutilised capital allowance of the asset:
   (i) capital allowance under the provisions of the First Schedule to this Act shall apply to the residue of the asset only,
   (ii) the unutilised capital allowance on the asset sold or transferred shall be available for use by the buying trade or business,
   (iii) the trade or business that sold or transferred the assets shall not claim any part of the unutilised capital allowance pertaining to the asset sold or transferred;
   (iv) the provisions of Part VIII of Chapter Two of this Act as regards chargeable gains shall not apply to the asset sold or transferred under this paragraph.

20.10 Basis of computing assessable profits for trade or business - section 22 of NTA

20.10.1 Commencement of business -section 22(1) of NTA

(a) *Based on section 201 of NTA "commencement of business"* means the starting of operation of a business; whilst *"commencement date"* means the date that an entity carries out its first transaction which shall be the earliest of the date it:
   (i) begins to market or first advertises its products or services for sale;
   (ii) obtains an operating license from a regulatory authority in Nigeria;
   (iii) first sale or purchase;
   (iv) execute its first trading contract after incorporation;
   (v) issues or receives its first invoice;
   (vi) delivers or receives its first consignment of goods; or
   (vii) first renders services to its customers.

(b) The assessable profits of the first year of assessment for a new business, shall be the profits from the date in which such trade, business, profession or vocation commences in Nigeria to the end of the first accounting period.

(c) For subsequent years of assessment, the profits of any trade, business, profession or vocation for each year of assessment (the assessable profits) shall be the profits of the accounting period immediately preceding the year of assessment from all sources.

Illustration 20.3

Duru Limited commenced business on March 1, 2025, and makes up accounts to October 31, each year.

Required:
State the relevant assessment year and the profits to be assessed.

Suggested solution to illustration 20.3

Duru Limited

The first assessment year is 2026 and the profits to be assessed will relate to March 1, 2025 to October 31, 2025.

Illustration 20.4

XYZ Limited commenced business on April 1, 2025 and makes up accounts to November 30, each year.

Required:
Determine the basis periods for the first four years of assessment

Suggested solution to illustration 20.4
The basis periods of XYZ Limited for the first four years of assessment

YOA	Basis period
2026	1/4/2025 – 30/11/2025
2027	1/12/2025 – 30/11/2026
2028	1/12/2026 – 30/11/2027
2029	1/12/2027 – 30/11/2028

Ascertainment of the end of the first accounting period
The ascertainment of the end of the first accounting period is key in the determination of basis period and the first year of assessment.

The first accounting period begins from the date of commencement of business to the end of its first accounting year-end.

In a situation where a company prepares the audited financial statements for a period shorter or longer than the first accounting period, the assessable profits for the first accounting year will be determined on pro-rata basis.

Illustration 20.5

RAY Limited was incorporated in December 2024 and commenced business on October 1, 2025. The first set of financial statements prepared by the company covered a period of 15 months, that is, October 1, 2025 to December 31, 2026 and the adjusted profit was ₦3,000,000.

Required:
Ascertain the relevant basis periods and the assessable profits for the relevant assessment years.

Suggested solution to illustration 20.5
RAY Limited

Ascertainment of the relevant basis periods and assessable profits for the relevant assessment years

YOA	Basis period	Assessable profit
		N
2026	1/10/25 – 31/12/25	600,000
2027	1/1/26 - 31/12/26	2,400,000
		3,000,000

20.10.2 Change in accounting date - section 23 of NTA

(a) Where a taxable person changes the date to which it usually computes its assessable profits, the basis period for the computation of the assessable profits for the relevant year of assessment shall be the period commencing from the first day after the basis period of the immediately preceding year of assessment up to the new date on which the account was made, and the assessable profits of subsequent years of assessments shall be computed on the basis of the new accounting period.

(b) Where there is a change in the accounting date under (a) above, the taxable person shall notify the relevant tax authority not later than 30 days before the usual due date of filing its income tax returns.

Illustration 20.6

ABC Nigeria Limited was incorporated on October 3, 2022, but did not commence business until April 2, 2023.

One of the production strategies of the company is to change its accounting date to align with that of one of the suppliers of its raw materials and also enjoy some discounts on purchases. The company changed its accounting date from December 31, to March 31 in 2026.

Extracts from the financial records of the company revealed the following: adjusted profits:

	N
Period ended December 31, 2023	24,500,000
Year ended December 31, 2024	42,700,000
Year ended December 31, 2025	63,500,000
Period ended March 31, 2026 (3 months)	31,300,000
Projected financial result for the year ending March 31, 2027 is	130,500,000

Required:
Compute the assessable profits for the relevant assessment years.

Solution to illustration 20.6

ABC Nigeria Ltd.

The relevant assessment years are as follows:

Assessment Year	Basis period	Assessable profits N
2024	April 2, 2023 - December 31, 2023	24,500,000
2025	January 1, 2024 - December 31, 2024	42,700,000
2026	January 1, 2025 - December 31, 2025	63,500,000
2027	January 1, 2026 - March 31, 2026	31,300,000
2028	April 1, 2026 - March 31, 2027	130,500,000

20.10.3 Cessation of trade or business - section 24 of NTA

(a) Where a trade, business, profession or vocation permanently ceases to carry on operations in Nigeria in an accounting period, the assessable profits for the relevant year of assessment shall be the amount of the profits from the beginning of the accounting period to the date of cessation and the tax shall be payable within six months from the date of cessation.

(b) Where, after the date of cessation, the trade, business, profession or vocation, or its receivers or liquidators, receive or pay any sum which ought to have been included in or deducted from the profits of that trade or business if it had been received or paid prior to that date, such sum shall be deemed for the purposes of this Act to have been received or paid by the trade, business, profession or vocation on the last day before such cessation occurred and such sums shall be disclosed to the relevant tax authority within one month of the receipt or payment.

(c) Where the provisions of (b) above apply, any additional assessment or claim for reduction of assessment or repayment of tax shall be made as may be necessary to give effect to the provisions, provided that the provisions of the Nigeria Tax Administration Act relating to objections and appeals shall apply to the additional assessment or claim of reduction of assessment or repayment of tax under this subsection.

(d) In the case of a deceased individual, where the personal representative after death, receives or pays any sum which would have been included in or deducted from the gains or profits from the trade, business, profession or vocation carried on prior to death, that sum shall be deemed for all purposes of this Act to have been received or paid by the deceased, on the last day prior to the death

Illustration 20.7
ARA Nigeria Limited that was incorporated in 1995, ceased operation on March 31, 2025, having been in business for over 25 years. The accounting year-end of the company is December 31, annually.

Required:
Determine the relevant years of assessment and the due dates of payment of tax.

Suggested solution to illustration 20.7

ARA Nigeria Ltd

YOA	Basis period	Due date of payment of tax
2025	1/1/24 – 31/12/24	June 30, 2025 (PYB)
2025	1/1/25 – 31/3/25	September 30, 2025 (Six months after the date of cessation)

Illustration 20.8

Given the same scenario stated above, assume the company ceased operation on August 31, 2025.

Suggested solution to illustration 20.8

YOA	Basis period	Due date of payment of tax
2025	1/1/24 – 31/12/24	June 30, 2025 (PYB)
2026	1/1/25 – 31/8/25	February 28, 2026 (Six months after the date of cessation)

20.11 Computation of assessable profit

The assessable profit of a company is its adjusted profits or part thereof that is assessed to companies income tax, in an assessment year.

While adjusted profit is computed based on the accounts of a company for whatever period covered by such accounts (normally twelve months), assessable profit is determined and assessed to tax for an assessment year.

Conversely, a company's accounting year, is the period for which it prepares its annual accounts. It is usually a twelve (12)-month period, which may begin and end in the same year (for example, January 1 – December 31) or commence in a year and end the following year (for example, July 1 – June 30).

20.12 Chapter review

This chapter distinguishes between accounting profits / losses and taxable profits, including workings/adjustments required to arrive at total profits, from accounting profits. Clear examples of allowable/non-allowable expenses are provided as well as some classes

of profits/incomes, that are exempt in the computation of companies income tax. It also explains the concepts of bases of assessments.

20.13 Worked examples

20.13.1 Questions

Section 189 of NTA explains the tax implications of business restructuring in the case of a:

(a) merger of two or more trades or businesses;
(b) sale or transfer of a trade or business; and
(c) sale or transfer of a business asset which does not result into the cessation of the trade or business.

Required:
Discuss the tax implications of business restructuring.

(2)

D. Limited changed its accounting date from December 31, to June 30. The following information is made available:

	₦
12 months to 31/12/2025	5,288,000
06 months to 30/06/2026	3,320,000
12 months to 30/06/2027 - projected	7,250,000

Required:
Compute the assessable profits for the relevant assessment years.

(3) The interest on loan relating to primary agricultural production included in the income of KAO Bank Limited for the year ended December 31, 2025, amounted to ₦5million.

The breakdown of the interest income based on the loan terms are as follows:

Repayment Period	**Moratorium period**	**Interest rate p.a. %**	**Agric loan Interest ₦**
5 years	24 months	15	2,500,000
3 years	6 " "	20	800,000
2 years	18 " "	14	700,000
5 years	6 " "	35	1,000,000
			5,000,000

Base lending rate in respect of the facilities is 21% p.a.

Required:
Compute the loan interest exempted from tax.

20.13.2 Suggested solutions to questions

(1) Tax implications of business restructuring - section 189 of NTA
The tax implications of business restructuring include:

in the case of a merger of two or more trades or businesses:

(i) a new trade or business shall not be deemed to have commenced as a result of the merger, and the provisions of this Act as they relate to cessation of trade or business shall not apply to the trade or business that ceased as a result of the merger;
(ii) the provisions of Part VIII of Chapter Two of this Act - ascertainment of chargeable gains - as they relate to chargeable gains shall not apply to the assets transferred to the new or surviving trade or business as a result of the merger;
(iii) assets of the merging trades or businesses shall be deemed to have been transferred at the residue of the qualifying capital expenditure on the day following the merger;
(iv) the provisions of the First Schedule to this Act - capital allowance - shall apply on the remaining useful life of the asset transferred because of the merger,
(v) unutilised capital allowance on the assets transferred shall be available for the use of the new or surviving trade or business;
(vi) unabsorbed losses of the merging entities shall be available to the surviving trade or business provided that such losses were incurred by the merged trade or business; and
(vii) taxes deducted at source in respect of the merged trades or businesses shall be available to the merged trade or business;

(b) in the case of a sale or transfer of a trade or business which results into the cessation of a trade or business:

(i) the provisions of Part V of Chapter Two of this Act as regards cessation of trade, business, profession or vocation shall apply to the trade or business that was sold or transferred;
(ii) for the purposes of the First Schedule to this Act - capital allowance-, the asset sold or transferred shall be recognised at the value of which they are sold or transferred;
(iii) unutilised capital allowance on the assets sold or transferred shall not be available for use in the new or surviving trade or business;
(iv) unabsorbed losses of the old business shall not be available for use in the new or surviving trade, business, profession or vocation; and
(v) taxes deducted at source from the old trade or business; shall not be available for use by the new or surviving trade or business;

(c) in the case of a sale or transfer of a business asset which does not result into the cessation of the trade or business, and where the parties agreed to sell or transfer the

asset for an amount not exceeding the sum of the residue of the qualifying capital expenditure and unutilised capital allowance of the asset:

(i) capital allowance under the provisions of the First Schedule to this Act shall apply to the residue of the asset only,

(ii) the unutilised capital allowance on the asset sold or transferred shall be available for use by the buying trade or business,

(iii) the trade or business that sold or transferred the assets shall not claim any part of the unutilised capital allowance pertaining to the asset sold or transferred;

(iv) the provisions of Part VIII of Chapter Two of this Act as regards chargeable gains shall not apply to the asset sold or transferred under this paragraph.

2. D. Limited

Computation of assessable profits

For 2026, 2027 and 2028 assessment years

YOA	**Basis Period**	**Amount** ₦
2026	1/1/25 - 31/12/25	5,288,000
2027	1/1/26 – 30/06/26 (six months)	3,320,000
2028	1/07/26 – 30/06/27	7,200,000
		15,808,000

3. KAO Bank Limited

Loan interest exempted from tax for the year ended December 31, 2025 (assessment year 2026)

	Moratorium period	Interest rates %	Agric loan interest ₦	Exempt interest income ₦
(i)	24 months	15	2,500,000	2,500,000
(ii)	6 months	20	800,000	-
(iii)	18 months	14	700,000	700,000
(iv)	6 months	35	1,000,000	-
			5,000,000	3,200,000

Note:
(ii) & (iv) are not tax exempt as they fail to meet the two conditions as to moratorium period and base lending rate.

CHAPTER TWENTY-ONE

COMPUTATION OF COMPANIES INCOME TAX

Contents

a Learning objective

b Learning outcomes

c Computation of CIT based on total profit

d Computation of CIT based on substitution of dividend for total profit

e Computation of CIT based on deemed profit assessment or income assessment

f Computation of CIT based on effective tax rate

g Identification of income, dividend or payment that cannot be treated as substitution for total profit

h Tax exemption of the profits of a small company

i Anti-tax abuse provisions

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k. Worked examples

21.0 Learning objective

The objective of this chapter is to enhance the readers' knowledge of the computation of companies income tax (CIT).

21.1 Learning outcomes

On completion of this chapter, readers should be able to:

(a) identify the rates of tax;
(b) understand the various bases of computing companies income tax;
(c) compute companies income tax;
(d) explain and compute effective tax rate;
(e) identify income, dividend or payment that cannot be treated as substitution for total profit;
(f) explain justifications for tax exemptions of the profits of a small company; and
(g) explain the anti- tax abuse provisions put in place by the NTA and NTAA.

21.2 Computation of CIT based on total profit

To assist readers, the format of the computation of companies income tax payable is stated below:

Template for the computation of companies income tax

	N	**N**
Net profit/(loss) before tax		XX/(XX)
Add non-deductible expenses:		
Depreciation	XX	
Unrealised foreign exchange loss	XX	
Provision for lease liability	XX	
Donations	XX	
Excess interest on related party loan	XX	
Penalties and fines	XX	XX
Less non-taxable income:		
Unrealised foreign exchange gain	XX	
Payment for lease liability	XX	**(XX)**
Assessable profit/(loss)		**XXX**
Assessable profit/loss)		XX / (XX)
Chargeable gains		XX
		XX
Less reliefs:		
Research and development relief (if any)	XX	
Employee compensation relief (if any)	XX	
New employment relief (if any)	XX	XX
Revised assessable profit		**XX / (XX)**
Loss: Loss relief:		
Unabsorbed loss relief b/f	XX	
Loss made during the year	XX	
	XX	
Loss relief absorbed	(XX)	(XX)
Unabsorbed loss relief (c/f)	XX	
Less: capital allowance:		
Unutilised capital allowance b/f	XX	
Capital allowance for the year	XX	
	XX	
Capital allowance utilized	(XX)	(XX)
Unutilised capital allowance c/f	XX	
Total taxable profit		**XXX**

Companies income tax @ 30% of total taxable profit (A)	XX
Development levy @ 4% of assessable profit (B)	XX
Total covered taxes payable (C) = (A + B)	XXX
Net before tax	XXX
Less: 5% of depreciation	XX
Less: 5% of personnel cost	XX
Total profit for minimum effective tax rate (D)	**XXX**
Total covered tax payable (C)	XX
Effective tax rate (ETC) (C/D) *100	X%
Minimum ETR	15%
Top-up rate (E)	(15% - X%)
Top-up tax payable (D X E)	**XXX**
Covered tax payable (C)	XX
Top-up Tax payable	XX
Total tax liability	XXX
Economic development incentive tax credit	(XX)
Tax liability payable	**XXX**

21.3 Computation of CIT based on substitution of dividend for total profit – section 9(1) of NTA

Where a Nigerian company declares dividend out of profits on which no tax is payable due to:

(a) there being no total profits, or

(b) total profits which are less than the amount of dividend which it declared, whether or not the recipient of the dividend is a Nigerian company, the company paying the dividend shall be charged to tax at the rate prescribed in section 56 of this Act, that is, 30% for now, as if the dividend is the total profits of the company for the year of assessment to which the accounts, out of which the dividend is declared, relates.

Illustration 21.1

The extracts from the projected financial statements of BOS Nigeria Limited for the year ending December 31, 2026, revealed the following:

	₦
Assessable profit for the year	18,000,000
Net profit for the year	32,000,000
Capital allowances as agreed with NRS	10,000,000
Dividend declared and paid to the shareholders	24,000,000

Required:

Compute the total taxable profit and companies income tax (CIT) payable for the relevant assessment year, taking into consideration the relevant provisions of the NTA 2025.

Suggested solution to illustration 21.1

BOS Nigeria limited

Normal basis

	₦
Adjusted profit as per accounts	18,000,000
Less: Capital Allowances	(10,000,000)
Total taxable profit	8,000,000

Companies income tax (30 % of total taxable profit) = ₦ 2,400,000

Federal development levy (4% x ₦ 18,000,000) = ₦ 720,000

Dividend basis

Applying the dividend rule:
Where a Nigerian company declares dividend out of profits on which no tax is payable due to:

(a) there being no total profits, or
(b) total profits which are less than the amount of dividend which it declared, whether or not the recipient of the dividend is a Nigerian company, the company paying the dividend shall be charged to tax at the rate prescribed in section 56 of this Act, that is, 30% for now, as if the dividend is the total profits of the company for the year of assessment to which the accounts, out of which the dividend is declared, relates.

Computation of final tax liability:
Since the dividend paid is higher than the computed total taxable profit, the dividend will be the basis of tax computation.

		₦
Dividend paid		24,000,000
Companies income tax (30% of dividend paid)	=	7,200,000
Development levy (4% of assessable profit)	=	720,000

21.4 Computation of CIT based on deemed profit assessment or income assessment - section 38 of NTAA

(a) Where a business produces either no assessable profit or an assessable profit which is less than expected from that business or the true amount of the assessable profit cannot be readily ascertained, the relevant tax authority may, in the case of:
   (i) a resident, assess and charge that taxable person on such fair and reasonable percentage of the gross income from the trade or business as the relevant tax authority may determine; or
   (ii) a non-resident, the profits shall be any amount resulting from applying the profit margin of the person to the turnover generated from Nigeria.

(b) For the purpose of (a) above, "profit margin" shall be the proportion of the Earnings Before Interest and Tax ("EBIT") to income or revenue in the published audited financial statement of the business, and in the case of persons that are not required to publish financial statements, the profit margin as may be ascertained by the relevant tax authority from financial statements of comparative companies.

Illustration 21.2
DEDE (Nigeria) Limited is engaged in general merchandising. The following details were extracted from the tax returns to be submitted to the Nigeria Revenue Service for assessment year 2027.

	₦ '000
Revenue	100,000
Assessable profit	5,850
Less:	
Unrelieved loss brought forward	(1,200)
	4,650
Capital allowance	(2,500)
Total profit	2,150
Companies income tax payable	
₦2,150,000 at 30%	₦645,000

The total value of the fixed assets during the year ending December 31, 2026, is ₦265 million.

A desk examination by the Inland Revenue officials revealed the following:

(a) Revenue was understated by ₦5million
(b) Expenses were overstated by ₦1.5million

The tax official observed that the accounts submitted by the company were not reliable and that based on industry average, the gross profit percentage of about 10% revealed by the company's accounts was not reasonable.

Accordingly, the Revenue decided to revise the companies income tax computation by applying a fair and reasonable percentage of 25% on the revenue.

Required:
Re-compute the companies income tax liability for 2027 assessment year.

Suggested solution to illustration 21.2

DEDE (Nigeria) Limited
Computation of companies income tax liability
For assessment year 2027

		₦'000
Revised assessable profit, that is, (105m (100m+5m) x 25%)		26,250
Deduct:		
Unrelieved losses brought forward		(1,200)
		25,050
Capital allowances		(2,500)
Total profit		22,550
Companies income tax payable		
₦22,550,000 at 30%	=	₦6,765,000

21.5 Computation of CIT based on effective tax rate (ETR) - section 57 of NTA

(a) The effective tax rate shall be determined thus:
  (i) where, in any year of assessment, the effective tax rate, that is, covered taxes as a percentage of net income, of a company is less than 15%, such company shall recompute and pay an additional tax that makes its effective tax rate equal to 15%;
  (ii) cover taxes for the purpose of this section means companies income tax, petroleum profit tax, and hydrocarbon tax paid or payable, development levy, and priority sector tax credit; and
  (iii) net income refers to the profit before tax as reported in the audited financial statements excluding franked investment income and unrealised gains or losses:

Provided that the net income for a life insurance company shall not include gross income and investment income for policyholders.

Arising from the above, it is obvious that the provisions of this section are silent on the deduction of five percent of depreciation and personnel cost from net profits before tax as reported in a company's audited financial statements, in the ascertainment of effective tax rate. The international best practices require the deduction of these costs from the net profits of a company in the computation of effective tax rate.

Apart from the fact that the exclusion of these costs from net profits aligns with OECD international tax rules, it reduces the amounts of profits subject to the minimum tax rates, thereby reducing the tax impact on business operations which include hiring of staff and construction of building infrastructure.

(b) The provisions of this section shall apply to:
   (i) a company that is a constituent entity of a Multinational Entity group, with aggregate group turnover of at least £750 million or its equivalent; and
   (ii) any other company with an aggregate turnover of ₦50,000,000,000 and above in the financial year.

(c) The provisions of a(i) above, shall not apply to an approved enterprise operating in a free zone with respect to its approved activities except:
   (i) with respect to sale within the customs territory;
   (ii) an entity as prescribed under b(i) above.

(d) The service may issue regulations to give effect to the provisions under this section and may prescribe a higher threshold under b(i) above.

In order to compute CIT using the ETR, the following steps are recommended:

(a) ascertain the net income (profit before tax, adjust for franked investment income and unrealised gains or losses;
(b) further adjust for 5% of depreciation and personnel cost (salaries) - the adjustment for substance-based income exclusion (SBIE);
(c) ascertain the covered taxes, that is, CIT, hydrocarbon tax paid or payable, petroleum profit tax, development levy, priority sector tax credit;
(d) divide the covered taxes by the qualifying profit arising from (a)and (b) above.

Illustration 21.3

ABC Limited has been in business for many years. After the enactment of the Nigeria Tax Act, 2025, the Managing Director was worried that section 57 of the Act relating to effective tax rate could have a negative impact on the company's cash flow.

At the last board meeting, you were invited as the consultant to the company to explain, using the extracts from the projected financial statements for the year ending December 31, 2026. The details are as follows:

	₦'000
Turnover	120,000,000
Profit before tax	750,000
Salaries	900,000
Depreciation	87,000
Assessable profit	320,000
Capital allowances	65,000
Total taxable profit	255,000
CIT paid	76,500
Federal development levy paid	12,800

Required:
Compute the top-up tax payable by the company.

Suggested solution to illustration 21.3 (Based on global best practices)

ABC Limited	**₦'000**
(a) Qualifying net profit for ETR (₦ 750,000,000 less 5% of (₦ 900,000,000 and ₦ 87,000,000) = ₦ 750,000,000 less ₦ 49,350,000)	700,650
(b) Covered taxes (₦ 76,500,000 + ₦ 12,800,000)	89,300

ETR is computed thus:

$$\frac{₦\ 89,300,000}{₦700,650,000} \times 100\%$$

= 12.745%

The top-up tax payable is 15 % of qualifying net profit less the covered taxes paid, that is, (15% of ₦ 700,650,000) less ₦ 89,300,000
= ₦ 105,097,500 less ₦ 89,300,000
= ₦ 15,797,500

Suggested solution to illustration 21.3 (Based on section 57 of NTA)

	₦'000
(a) Qualifying net profit for ETR	750,000
(b) Covered taxes (₦ 76,500,000 + ₦ 12,800,000)	89,300

ETR is computed thus:

$$\frac{₦\ 89,300,000}{₦\ 750,000,000} \times 100\%$$

= 11.91%

The top-up tax payable is 15 % of qualifying net profit less the covered taxes paid, that is, (15% of ₦ 750,000,000) less ₦ 89,300,000
= N 112,500,000 less ₦ 89,300,000
= N 23,200,000

21.6 Income, dividend or payment that cannot be treated as substitution for total profit - section 9(2) of NTA

The substitution of dividend for total profit as stated in section 9(1) of NTA, shall not apply to:

(a) dividends declared out of the retained earnings of a company, to the extent that the profits or gains included in the retained earnings have been taxed under the provisions of this Act;
(b) dividends declared out of profits or gains that are exempt from income tax by this Act;
(c) franked investment income as provided in this Act; or
(d) distributions made by a real estate investment company to its shareholders from rental income and dividend income received on behalf of those shareholders, whether such dividends are paid out of profits of the year in which the dividend is declared or out of profits of previous reporting periods.

Illustration 21.4

An extract from the projected financial statements of Apex Limited and SDP Limited for the year ending December 31, 2026, revealed the following:

	Apex Limited	**SDP Limited**
	₦	**₦**
Total profit/(loss) for the year	3,600,000	(1,200,000)
Retained earnings brought forward	4,800,000	2,000,000
Dividend declared in 2026 to be paid in 2027	4,200,000	750,000

Based on the financial information disclosed for the companies, the following are to be noted:

(a) Out of the dividend of ₦4,200,000 to be paid by Apex Limited, only ₦600,000 will be regarded as having been paid out of retained earnings, hence only ₦3,600,000 shall be subject to the application of section 9(2) of NTA.

(b) ₦750,000 to be paid by SDP Limited will not be paid from the current year's loss, hence this amount will not be subject to the application of section 9(2) of NTA.

21.7 Tax exemption of the profits of a small company

21.7.1 Definition of a small company - section 201 of NTA

A small company is a business that earns gross turnover of ₦100 million or less per annum with total fixed assets not exceeding ₦ 250 million.

21.7.2 Criteria that must be met by small companies in order to be granted tax exemption

Section 56 of NTA exempts the profits of a small company from taxation.

For the profits of a small company to be tax exempt, it must:

(a) register with the relevant tax authority and obtain a Taxpayer Identification ("Tax ID") for the purposes of compliance with tax obligations - section 4 of NTAA; and
(b) maintain accurate financial records and fixed assets register as evidence of the "small company" status - section 102 of NTAA.

21.7.3 Exemption from payment of federal development levy

Given the fact that a small company whose profit is exempt from tax under section 56 of NTA will not have its assessable profit subject to tax assessable profit, hence it will not pay federal development levy in respect to those exempt profits.

21.7.4 Computation of capital allowances

Despite the fact that capital allowances are claimable on capital expenditure used to generate taxable income, these allowances are not allowable or carried forward in the case of small companies. Such a company can only claim the capital allowances on capital expenditure when its gross turnover crosses the threshold of N 100 million and the value of the fixed assets exceeds N 250 million, as it will now qualify as a large company.

Illustration 21.5

Deez Limited incurred qualifying capital expenditure (QCE) of ₦2,000,000 on furniture and fittings in 2024 assessment year when the revenue of the company was ₦24,000,000.

The company hopes to achieve a revenue of ₦ 127,000,000 and the cost of the fixed assets to be ₦ 280 million in 2027 assessment year

The rate of depreciation is given as 20%.

Required:
Compute the capital allowances claimable for all the relevant years of assessment.

Suggested solution to illustration 21.5

Deez Limited

Computation of capital allowances for 2024 to 2028 assessment years

	Furniture and Fittings			
Initial allowance - 25% Annual allowance – 20%				
		Total capital allowances	**Cost**	**Remarks**
	₦	**₦**	**₦**	
Assessment year 2024				
Cost			2,000,000	
Initial allowance	500,000			
Annual allowance	300,000	800,000		
Assessment year 2025				
Annual allowance	300,000	1,100,000		
Assessment year 2026				
Annual allowance	300,000	1,400,000	(1,400,000)	**Not utilised**
W.D.V. c/f to A.Y. 2027			600,000	
Assessment year 2027				
Annual allowance			(300,000)	
W.D.V c/f to A.Y. 2028			300,000	
Assessment year 2028				
Annual allowance			(280,000)	
Amount retained in the books			20,000	

Note:
Given the fact that the company did not achieve the ₦100,000,000 revenue until 2027 assessment year, it will be regarded as a small company and the initial allowance of ₦500,000 (25%) and the annual allowance of ₦300,000 (₦1,500,000 x 20%) will be deemed utilised in assessment years 2023, 2024 and 2025.

The written down value of the QCE brought forward to A.Y. 2027 will be ₦2,000,000 less ₦500,000 (I.A), less ₦900,000 (A. As for 3years), which equals ₦600,000.

The capital allowances claimable in A.Y. 2027 is ₦300,000, whilst that of A.Y. 2028 is ₦280,000, that is, ₦300,000 less retention of ₦20,000 (10% of the cost of the asset).

21.8 Anti- tax abuse provisions

Some of the provisions in NTA and NTAA include:

(a) Effective tax rate - section 57 of NTA

(i) Where, in any year of assessment, the effective tax rate, that is, covered taxes as a percentage of net income, of a company is less than 15%, such company shall recompute and pay an additional tax that makes its effective tax rate equal to 15%;

(ii) The provisions of this section shall apply to:

- a company that is a constituent entity of a Multinational Entity group, with aggregate group turnover of at least £750 million or its equivalent; and
- any other company with an aggregate turnover of ₦50,000,000,000 and above in the financial year.

(b) Disclosure of tax planning - section 30 of NTAA

Taxpayers shall, without notice or request, provide the relevant tax authority, information relating to that disclosable transaction or agreement.

(c) Non-registration and anti-contract splitting - section 100(2) of NTAA

A statutory body or company who awards a contract to an unregistered person, shall be liable to pay an administrative penalty of ₦5,000,000.

(d) Power of substitution - section 60 of NTAA

The relevant tax authority is empowered to appoint any person as agent of a taxpayer where the tax has become due and the taxable person refused or failed to pay. The relevant tax authority has the right to request the agent to pay any adjudged debt of the taxpayer.

(e) Returns for virtual assets service providers - section 25 of NTAA

Virtual assets service providers shall, with or without notice, submit monthly reports to the relevant tax authority

(f) Information to be delivered by bankers and others - section 29 of NTAA

Financial institutions shall prepare, with or without demand by the Service, annual returns specifying the names, customer location and transactions of new and existing

customers in the case of:

i. An individual, where the cumulative transaction s in a month amount to ₦50 million or more; or

ii. A body corporate, where the cumulative transactions in a month amount to ₦250 million or more.

(g) Deductible interest - section 20(1)(a) of NTA and the Third Schedule to the NTA

Any excess interest arising from an amount of total interest paid or payable to a connected person in excess of 30% of earnings before interest, taxes, depreciation, and amortisation of the Nigerian company in that accounting period, shall be a disallowable deduction for the ascertainment of assessable profit.

(h) Value added tax fiscalisation system - section 23 of NTAA

Any person making a taxable supply shall use the electronic fiscal system (EFS) for recording and reporting all supplies, where the Service deploys an EFS.

21.9 Chapter review

This chapter addresses the issue of applicable tax rates and the bases for computing companies income tax under the NTA, 2025.

21.10 Worked examples

21.10.1 Questions

(1) Hispac Limited is owned by Nigerians and has been in business since year 2022. The projected financial results of the company for the year ending December 31, 2026 are as follows:

	₦	₦
Assets employed		
Non-current assets		180,000,000
Current assets	550,000,000	
Less: Current liabilities	360,000,000	
Net Current assets		190,000,000
Net assets		370,000,000
Financed by:		
Share capital		140,000,000
Statutory reserves		60,000,000
General reserves		100,000,000
Long term loans		70,000,000
		370,000,000

You are provided with the following additional information:

(i) The projected revenue of the company for the year ending December 31,

	2026 is	N240,000,000
(ii)	Gross profit	₦35,000,000
(iii)	Assessable profit	₦2,100,000
(iv)	Unrelieved capital allowances brought forward from 2026 year of assessment was	₦300,000
(v)	Capital allowances for 2027 year of assessment amount to	₦800,000

Required:

(a) Compute the company's income tax liability for 2027 year of assessment.

(b) In 2025, four tax laws were enacted in Nigeria to unify fragmented tax laws, enhance compliance by taxpayers, and increase government revenue. Additionally, the laws are to ensure simplification of tax administration and widen the tax base to capture transactions relating to digital services.

Required:

Explain some of the anti-tax abuse provisions put in place by the government.

(2) The Managing Director of Apic Nigeria Limited attended a workshop during which he came across the following tax matters under the NTA and NTAA:

(i) Computation of CIT based on substitution of dividend for total profit
(ii) Treatment of losses in the ascertainment of total profits, and
(iii) Deduction of cost of research and development in the ascertainment of profit or loss of a company. On his return to the office, he requested the Finance Director to explain these matters to him.

Information already agreed with the Nigeria Revenue Service with respect to 2027 assessment year is as follows:

	₦'000
Assessable profit	26,000
Losses b/f	9,000
Capital allowances	4,200

The projected gross turnover for the year ending December 31, 2026, is ₦120,000,000.

As the tax consultant, you are required to:

(a) Explain the provisions of the NTA, 2025, dealing with the three areas

of interest identified by the Managing Director.

(b) Using the information provided above, determine the tax payable by the company in 2027 assessment year.

(3) Ada, Torera and Peace based at Okokomaiko in Lagos State, have run the firm of Ada, Torera , Peace and Company as builders for several years.

The partnership agreement provided for the following:

(i) Salaries paid to partners:

	₦
Ada	7,120,000
Torera	7,240,000
Peace	7,480,000

(ii) Profit sharing ratio:

Ada	1/5
Torera	3/10
Peace	1/2

In January 2024, there was a decision to review the partnership agreement. Messrs Ada, Torera and Peace have been unable to find worthy successors to take over as partners. Rather than review the partnership agreement, they agreed to convert the partnership into a limited liability company. In view of this, a firm of chartered accountants was contacted to incorporate the name ATP Consultants Limited.

The authorised share capital of the proposed company was agreed at ₦10,000,000, made up of 10,000,000 ordinary shares of ₦1.00 each. The details of the shareholding structure were agreed as follows:

Ada	20%
Torera	30%
Peace	50%

The certificate of incorporation was approved by the Registrar-General of the Corporate Affairs Commission (CAC), Abuja on August 1, 2024. The certificate of incorporation was dated August 10, 2024. The company commenced business on October 1, 2024.

The cost of incorporation includes:

	₦
Payment for stamp duty	80,000
Professional fee for incorporation	50,000
CAC registration fees	100,000
Additional costs of incorporation	40,000
	270,000

The financial results for the year ended December 31, 2024 are as follows:

	₦	₦	₦
Income			25,500,000
Less:			
Cost of incorporation		270,000	
Transport and travelling		135,000	
Medical		120,000	
Hotel and accommodation		125,000	
Audit and accountancy		110,000	
Postages and telephone		150,000	
Depreciation		500,000	
Salaries:			
Ada	7,120,000		
Torera	7,240,000		
Peace	7,480,000	21,840,000	23.250,000
Net profit			2,250,000

Assume: Fees and expenses were earned/incurred evenly throughout the year.

Required:

Write a report to Messrs Ada, Torera and Peace, highlighting:

(a) Tax implication of the decision to convert to a limited liability company, limiting yourself to the facts/details provided in the case study.

(b) Your comment on the breakdown of the cost of incorporation of ₦270,000, and the tax implication of **each** item.

21.10.2 Suggested solutions to questions

Hispac Ltd

1(a) Computation of companies income tax liability
For 2027 assessment year

	₦	₦
Assessable profit		2,100,000
Deduct:		
Unrelieved capital allowances b/f	300,000	
Current year capital allowance	800,000	(1,110,000)
Total profit		990,000
Companies income tax (₦990,000 at 30%)		297,000
Federal development levy (4% of ₦2,100,000)		84,000
Total tax liability		**381,000**

(b) Anti- tax abuse provisions

Some of the provisions in NTA and NTAA include:

(i) Effective tax rate - section 57 of NTA

- Where, in any year of assessment, the effective tax rate, that is, covered taxes as a percentage of net income, of a company is less than 15%, such company shall recompute and pay an additional tax that makes its effective tax rate equal to 15%;
- The provisions of this section shall apply to:
  - a company that is a constituent entity of a Multinational Entity group, with aggregate group turnover of at least £750 million or its equivalent; and
  - any other company with an aggregate turnover of ₦50,000,000,000 and above in the financial year.

(ii) Disclosure of tax planning - section 30 of NTAA
Taxpayers shall, without notice or request, provide the relevant tax authority, information relating to that disclosable transaction or agreement.

(iii) Non-registration and anti-contract splitting - section 100(2) of NTAA
A statutory body or company who awards a contract to an unregistered person, shall be liable to pay an administrative penalty of ₦ 5,000,000.

(iv) Power of substitution - section 60 of NTAA
The relevant tax authority is empowered to appoint any person as agent of a taxpayer where the tax has become due and the taxable person refused or failed to pay. The relevant tax authority has the right to request the agent to pay any adjudged debt of the taxpayer.

(v) Returns for virtual assets service providers - section 25 of NTAA
Virtual assets service providers shall, with or without notice, submit monthly reports to the relevant tax authority

(vi) Information to be delivered by bankers and others - section 29 of NTAA
Financial institutions shall prepare, with or without demand by the Service, annual returns specifying the names, customer location and transactions of new and existing customers in the case of:

- an individual, where the cumulative transaction s in a month amount to ₦ 50 million or more; or
- a body corporate, where the cumulative transactions in a month amount to ₦ 250 million or more.

(vii) Deductible interest - section 20(1)(a) of NTA and the Third Schedule to

the NTA
Any excess interest arising from an amount of total interest paid or payable to a connected person in excess of 30% of earnings before interest, taxes, depreciation, and amortisation of the Nigerian company in that accounting period, shall be a disallowable deduction for the ascertainment of assessable profit.

(viii) Value added tax fiscalisation system - section 23 of NTAA
Any person making a taxable supply shall use the electronic fiscal system (EFS) for recording and reporting all supplies, where the Service deploys an EFS.

2(a) XYZ & CO. Chartered Accountants

May 18, 2026

The Managing Director
Apic Nigeria Limited
Airport Road
Ikeja Lagos.

Dear Sir,

Re: Tax Matters

Following our discussions at the last workshop, please find below our explanations on the three areas of interest as identified:

(i) Computation of CIT based on substitution of dividend for total profit - section 9(1) of NTA

Where a Nigerian company declares dividend out of profits on which no tax is payable due to:

- there being no total profits, or
- total profits which are less than the amount of dividend which it declared, whether or not the recipient of the dividend is a Nigerian company, the company paying the dividend shall be charged to tax at the rate prescribed in section 56 of this Act, that is, 30% for now, as if the dividend is the total profits of the company for the year of assessment to which the accounts, out of which the dividend is declared, relates.

(ii) Treatment of losses in the ascertainment of total profits- section 27(6) of NTA

- The amount of loss deductible in the ascertainment of total profits of companies shall be subject to the following conditions:

- ✓ in no circumstances shall the aggregate loss deductions from the assessable profits or income exceed the amount of that loss;
- ✓ loss can only be deducted from the trade or business in which the loss was incurred;
- ✓ the loss shall be deducted to the extent possible from the amount of the assessable profits of the first year of assessment after that in which the loss was incurred, and in subsequent years until the loss is fully recouped; and
- ✓ the loss incurred during any year of assessment shall be computed, in accordance with the basis period provided in sections 22 to 25 of this Act, that is, the ascertainment of assessable profits and income.

- Notwithstanding the provisions stated above, any loss incurred in any period from sales, disposal or any other transaction in digital assets shall only be deductible in determining the profits from the business relating to digital or virtual assets.

(iii) Deduction of cost of research and development in the ascertainment of profit or loss of a company - section 164 of NTA

- For the purpose of ascertaining the profit or loss of any company for any period from any source chargeable with tax, there shall be deducted the amount incurred in that period by that company for research and development.

- The deduction to be allowed to a company under a (1) above, for any year of assessment shall not exceed an amount which is equal to 5% of the turnover for that year.

- Where a company to which this section applies subsequently sells or transfers the outcome of the research and development to another person for exploitation or commercialisation, the proceeds of such sale or transfer shall be taxed accordingly.

(b) Tax payable in 2027 assessment year

	₦'000
Assessable profit	26,000
Loss relief	(9,000)
	17,000
Capital allowance	(4,200)
Total profit	**12,800**
Companies income tax payable (total profit x 30%)	3,840
Federal development levy (4% of assessable profit)	1,040
Total liability	**4,880**

We hope the information provided above will meet your requirements. Please feel free to revert to us if you require any further clarification.

Yours faithfully,
For: XYZ & Co.

R. O. Enigma
Managing Partner

(3) The Directors,
ATP Consultants
Limited

Dear Sirs,

Re: Conversion of Ada, Torera, Peace & (Partnership) to ATP Consultants Limited

We write in response to your recent decision to convert your partnership business into a limited liability company.

Please find below our submissions:-

(a) Tax implications of conversion

(i) The partnership ceased on September 30, 2024 and so all partnership income shall be based on personal income tax.

(ii) Commencement rules will apply from October 1, 2024 when ATP Consultants Limited commenced operation.

(iii) The incorporation expenses shall be applicable only to ATP Consultants Limited though not an allowable expense for tax purposes.

(iv) ATP Consultants Limited will be required to register with the Nigeria Revenue Service for VAT and CIT, etc.

(v) ATP Consultants Limited in accepting the incorporation expense shall deduct and remit with-holding tax from the professional fees at the rate of 5% if the beneficiary is a company and also 5% if the recipient is an individual partnership or incorporated entity.

(b) Tax implications of cost of incorporation

(i) The total cost of N270,000, though paid during the partnership period, shall be considered as pre-operational expenses of ATP Consultants

Limited.

(ii) The pre-operational expenses when added back, will increase taxable income, thereby increasing tax payable by ATP Consulting Limited.

(iii) N270,000, charged into ATP Consultants Limited's account is not an allowable expense for tax purposes, even if spread over a number of years.

Yours faithfully,
For: ABC Consultants Limited

B. JAMES
Partner

CHAPTER TWENTY-TWO

TAXATION OF SPECIALISED BUSINESSES

Contents

a Learning objective
b Learning outcomes
c Definitions
d Tax provision for real estate companies, and real estate investment companies that are approved by the Security Exchange Commission (SEC) under the relevant provisions of real estate investment schemes (REIS).
e Tax provisions relating to agricultural business and primary agricultural
f Taxation of foreign air and sea transport companies
g Taxation of banks
h Taxation of insurance companies
i Taxation of authorised unit trust schemes
j Criteria that must be met for exemption of profits of a small company from companies income tax (CIT)
k Taxation of export processing and free trade entities - section 60 of NTA and Second Schedule to the Act
l Tax implications of the operation of the regulated securities lending transactions ('SEC Lending') in Nigeria
m Tax provisions of non-governmental organizations (NGOs) in Nigeria and other obligations and exemptions as specified under the relevant tax legislations
n Incentives that are granted to companies engaged in gas utilisation (downstream operations)
o Taxation of institutions offering non-interest financial products and services in Nigeria in line with the provisions of the Non-Interest Finance (Taxation) Regulations, 2022
p Tax and other incentives available to a labelled startup under the Nigeria Startup Act, 2022
q Tax implication of the establishment of the defence and security infrastructure Fund - section 59(6) of NTA and the Fourteenth Schedule to the Act
r Taxation of lottery and gaming trade or business - section 62 of NTA
s Taxation of digital assets and virtual assets related activities
t Digital economy (including taxation of income from e-commerce and e-business)
u Chapter review
v Worked examples

22.0 Learning objective

The objective of this chapter is to ensure that the readers understand the peculiar tax laws relating to specialised businesses, including the computation of the taxes payable.

22.1 Learning outcomes

On successful completion of this chapter, readers should be able to:
(a) understand the peculiar tax laws relating to specialised businesses; and
(b) compute the taxes payable.

22.2 Definitions

Section 201 of NTA defines the following terminologies as follows:

22.2.1 "**Agricultural trade or business**" means:

(a) primary crop production comprising the production of raw and semi-processed crops of all kinds, but excluding any intermediate or final processing of crops or any other associated manufactured or derivative crop product;
(b) primary livestock production comprising the production of live animals and their direct produce such as live or raw meat, live or raw poultry, fresh eggs and milk of all kinds, but excluding any other associated manufactured or derivative livestock product;
(c) primary forestry production comprising the production of timbers of various kinds such as firewood, charcoal, uncultivated materials gathered and other forestry products of all kinds, including seeds and saplings, but excluding the intermediate and final processing of timber and any other manufactured or derivative timber product; and
(d) primary fishing production comprising the production of fish of all kinds, including ornamental fish, but excluding any intermediate or final processing of any other manufactured or derivative fish product.

22.2.2 "**Real estate investment"**
means a company duly approved by the Securities and Exchange Commission to operate as a real estate investment scheme in Nigeria.

22.2.3 "**Gross turnover**" means the gross inflow of economic benefits during the period arising in the course of the operating activities of an entity when those inflows result in increases in equity, including sales of goods, supply of services, receipt of interest, rents, royalties or dividends other than increases relating to contributions from equity participants.

22.2.4 **"Regulated securities lending transaction"** means any securities lending transaction conducted under rules made by the Securities and Exchange Commission.

22.2.5 **"Lender"** in a regulated securities lending transaction means approved lender.

22.2.6 "**Borrower** in a regulated securities lending transaction means an approved borrower.

22.2.7 "**Approved Agent"** means any person approved by the Securities and Exchange

Commission to function as an intermediary for the conduct of a regulated securities lending transaction.

22.2.8 **"Compensating payments"** means any payments made in *lieu* of interest or dividend under a regulated securities lending transaction.

22.2.8 **"Digital assets"** means digital representation of value that can be digitally exchanged, including, but not limited to, crypto assets, utility tokens, security tokens, non-fungible tokens (NFT), such other similar digital representation or derivatives of any of the listed or similar assets and any other asset as may be defined by the relevant regulatory authority.

22.3 Tax provision for real estate companies, and real estate investment companies that are approved by the Security Exchange Commission (SEC) under the relevant provisions of real estate investment schemes (REIS).

22.3.1 Real estate companies
The taxes that relate to real property transactions in Nigeria are as follows:

(a) Companies income tax and personal income tax

Tax is imposed on the profits of a taxable person. Rent or any premium arising from a right granted to any other persons for the use or occupation of any property is subject to tax.

Individuals pay based on graduated tax rate which varies from 15% to 25% of the chargeable income whilst corporate bodies pay companies income tax at 0% or 30% of total profit, where the gross turnover is ₦ 100 million or less per annum with total fixed assets not exceeding ₦ 250 million, and over ₦100 million, respectively.

(b) Withholding tax

Where the recipients of incomes are companies and individuals, the payer of any income is expected to deduct withholding tax as follows:

(i)	Commission, consultancy, technical management, and professional fees	- 5%
(ii)	Supply of goods or materials other than by the manufacturer or producer	- 2%
(iii)	Construction of roads, bridges, building and power plants	- 2%

The amount deducted by the payer should be remitted to the relevant tax authority within the period specified by law.

(c) Federal development levy

Like other taxpayers, companies which are into real estate business are expected to pay federal development levy in addition to companies income tax.

The federal development levy is 4% of the assessable profit of a company, a small company with a gross turnover of ₦ 100 million and below is exempted from paying this tax.

(d) Value added tax

Real estate companies are required to register for VAT on commencement of business with the relevant tax authority.

Section 185(l) specifically exempts VAT on land and building, including interest in land or building. Additionally, the VAT exemption on land and building also includes rent which is exempt from VAT.

Section 155(4) of NTA allows input tax incurred by a registered person on any taxable supply, including services and fixed assets, to be deducted from the tax payable by the person on its taxable supplies at the end of the tax period in which the supply occurred, but only to the extent that the input tax was incurred for the purpose of consumption, use or supply in the course of making taxable supplies.

(f) Stamp duties

Section 134 of NTA exempts lease agreement with annual value which is less than N 10 million or 10 times the annual minimum wage, whichever is higher, from VAT.

(g) Rental expenses as deductions allowed - section 20 of NTA

This section allows the deduction of related costs, such as agency fees, repairs, insurance, etc to be deducted from rental income.

22.3.2 Real estate investment companies that are approved by SEC under REIS

(a) Definition – section 191 of Investments and Securities Act, 2025

"**Real estate investment company (REIC)"** means a body corporate incorporated to acquire intermediate or long -term interests in real estate or property development. They are allowed to raise funds through the capital markets, offering income certificates and ordinary shares to investors.

(b) Statutory provisions

The regulations of real estate investment companies (REIS) in the Nigeria capital market include the provisions of the Investment and Securities Act 2025, the Securities and Exchange Commission Rules 2026 - mandating recapitalisation for capital market operators, regulating digital assets offering platforms, and allowing private companies to issue debt securities, and other extant laws and regulations.

(c) Nature of business

REIS are investment vehicles which pool funds from investors comprising individuals, companies, pension funds, associations, etc. for investments in real estate as an asset class.

REIS are usually established to acquire, develop and hold portfolios of real estate assets, and do not generally hold single assets. They primarily engage in and invest in income generating real estate asset or real estate related asset.

Some real estate investment companies and trusts are structured to:
(i) purchase, hold, and manage properties with a view to generating rental income;
(ii) finance real estate arranging for mortgages; and
(iii) combine both strategies.

(d) Income of REIC
There are four broad classifications for the income of REIC, namely:

(i) Rental income;
(ii) Dividend from another REIC;
(iii) Gains from disposal of assets; and
(iv) Others, for example, interest, fees and other income not related to REIS.

(e) Taxation of the income of REIC
(i) Dividend and rental income of REIC earned under a REIS

- Section 9(2)(d) of NTA

This section relates to dividend as a basis for computing companies income tax due to no total profits or total profits are less than the amount of dividend paid. Rental and dividend income made by a REIC distributed to its shareholders under a REIS are exempt from section 9(1) of NTA. Put differently, the substitution of dividend for total profit shall not apply to distributions made by a real estate investment company to its shareholders from rental income and dividend income received on behalf of those shareholders, whether such dividends are paid out of profits of the year in which the dividend is declared or out of profits or previous reporting periods.

- Section162(1)(c) of NTA

Dividend and rental income received by a REIC under REIS are exempted from further tax in the hand of the company. Simply put, the gross amount of each of these incomes is treated as non-taxable income because the income is regarded as received on behalf of its shareholders.

In computing the assessable profits of a company, rental and dividend income will be deducted from the profits, if already included in same.

To qualify for this exemption, the REIC must ensure that:
- a minimum of 75% of dividend and rental income received is

redistributed as dividend to the shareholders; and

- such distribution is made not later than 12 months after the end of the financial year in which the dividend or rental income was earned, provided that nothing shall be construed to exempt a:
  - ✓ a shareholder from tax on the dividend or rental income received from a real estate investment company;
  - ✓ real estate investment company from tax om management fee, profits or any other income earned for and on its own account; and
  - ✓ real estate investment company from tax on dividend or rental income if it does not meet the stipulated conditions.

- Section 20(1)(k) of NTA
  - Dividends or mandatory distributions made by a REIC to its shareholders under REIS are allowable deduction for tax purposes.

  - Given the fact that a dividend or mandatory distribution made by a REIC to its shareholders is an expense relating to an exempt income, it shall not be allowed as a deduction in computing the company's assessable profits.

  - It is pertinent to state that rental or dividend income received by a REIC will be treated as taxable income if the conditions stated in section 162(1)(c) of NTA are not met.

(ii) Gains from disposal of assets, fees, and other income not related to REIS - section 33 of NTA
These incomes are not tax exempt as they are taxable in accordance with the provisions of the relevant tax laws.

(iii) Withholding tax deduction - regulation 10 of Deduction at Source (Withholding) Regulations, 2024
Any distribution or dividend payment to a real estate investment trust or real estate investment company shall be exempt from withholding tax.

22.4 Tax provisions relating to agricultural business and primary agricultural production

22.4.1 Agricultural trade or business - section 201 of NTA

"**Agricultural trade or business**" means:
(a) primary crop production comprising the production of raw and semi-processed crops of all kinds, but excluding any intermediate or final processing of crops or any other associated manufactured or derivative crop product;
(b) primary livestock production comprising the production of live animals and their direct produce such as live or raw meat, live or raw poultry, fresh eggs and milk of all

kinds, but excluding any other associated manufactured or derivative livestock product;

(c) primary forestry production comprising the production of timbers of various kinds such as firewood, charcoal, uncultivated materials gathered and other forestry products of all kinds, including seeds and saplings, but excluding the intermediate and final processing of timber and any other manufactured or derivative timber product; and

(d) primary fishing production comprising the production of fish of all kinds, including ornamental fish, but excluding any intermediate or final processing of any other manufactured or derivative fish product.

22.4.2 Qualifying capital expenditure for capital allowance purposes - paragraph 1(e) of the First Schedule of NTA

Capital expenditure (qualifying agriculture expenditure) incurred:

(a) in connection with a plantation, on the clearing of land for planting, planting other than replanting, maintenance of the plantation and other pre-production expenses in connection with that plantation shall be qualifying agriculture expenditure, incurred on the first day on which the trade or business commences;

(b) in respect of ranching on:
  (i) structures used primarily for ranching;
  (ii) raising herds of animals for the purpose of breeding, and does not include raising of animals for the purpose of sale;
  (iii) animals that function as apparatus with which a trade is carried on and the life expectancy is more than 5 years;

22.4.3 Tax incentives - section 162(1)(p) of NTA and the Thirteenth Schedule to the Act

The income generated by companies engaged in agricultural businesses, including crop production, livestock, aquaculture, forestry, dairy and such other businesses as stated in the above-mentioned Schedule shall be tax exempt for the first five years upon commencement of business.

The conditions provided based on the Compendium of Investment Incentives (Sector Specific Incentives) issued by Nigerian Investment Promotion Commission in 2026, are, the:

(a) incentive only applies to businesses exclusively carrying on agricultural activities as stated in section 162(1)(p) of NTA and as stated in the opening paragraph;

(b) exemption relates from the initial year of commercial operation, not date of incorporation;

(c) business must comply with the registration and reporting obligations to the Federal Ministry of Agriculture and the NRS;

(d) non-agricultural income derived by the business is not tax exempt; and

(e) renewal or extension beyond the five -year period requires a separate application /approval (if applicable under ministerial discretion). Section 164(1) (p) and 187

EXEMPTION FOR AGRICULTURAL BUSINESS

SUB-SECTOR	ACTIVITY	EXEMPTED PRODUCTS
Crop production	Growing of perennial and non-perennial crops	All crops
Livestock	Raising and breeding of animals in ranches and framers	Cattle, swine/pigs, sheep, goat, and poultry, including processed eggs.
	Livestock processing	Meat and poultry processing
Forestry	Plantation of rubber and acacia trees	Latex and gum Arabic
Dairy	Manufacture of dairy products	Fresh liquid milk. Pasteurized sterilized, homogenized and or ultra-heat treated Dried or concentrated milk; cream from fresh liquid milk, pasteurized, sterilized, homogenized Milk or cream is solid form; Cheese, curd and lactose
Cocoa processing	Processing of cocoa	Cocoa, cocoa butter, cocoa fat, cocoa oil; Chocolate
Animal feeds	Manufacturer of animal foods	Animal feed, edible oils and by-products, concentrates; grain mill products, and feed supplements.

22.5 Taxation of foreign air and sea transport companies

22.5.1 Introduction

The provisions of sections 60 - 64 of NTA, cover the taxation of the profits of specialised businesses.

The specialised businesses covered by these provisions are:

(a) export processing and free trade zones entities - section 60 of NTA;
(b) insurance trade or business - section 61 of NTA;
(c) lottery and gaming trade or business - section 62 of NTA; collective investment scheme - section 63 of NTA;
(d) collective investment scheme - section 63 of NTA; and
(e) mining operations - section 64 of NTA.

Foreign companies engaged in air or sea transport businesses are assessable to tax in Nigeria, in respect of their income, derived from the loading of passengers, mails, livestock or goods into an aircraft or a ship in Nigeria. Income from leasing, containers, non-freight operations or any other incidental income liable to tax under section 18(1) of NTA.

Incomes exempted under section 18(2) of NTA are those in respect of passengers, mails, livestock or goods which are:

(a) loaded on routes outside Nigeria, but terminating in Nigeria; and
(b) in transit in Nigeria, that is, brought to Nigeria for trans-shipment or connecting flight.

22.5.2 Filing of monthly returns by non-residents shipping and airline companies - section 21 of NTAA

(a) A non-resident person engaged in the operation of transport by sea or air, into Nigeria, shall file monthly returns with evidence of payment of the tax as specified under section 18 of the Nigeria Tax Act to the Service in respect of the carriage of passengers, mail, livestock or goods shipped or loaded into an aircraft in Nigeria.
(b) The monthly return shall be filed not later than the 21st day of the following month.
(c) The returns shall contain a detailed gross revenue statement of the Nigerian operations for that month, showing the amount of total sums receivable during the period, and supported with all invoices issued to the relevant customers.
(d) Nothing in this section shall be construed to exempt the company from filing its annual returns or filing returns in respect of its non-freight operations or any other incidental income and payment of tax in respect of its non-freight or incidental income

22.5.3 Assessment of profit liable to tax and evidence of payment of tax

The determination of profit or loss derived by a foreign company in respect of loading of passengers, mails, livestock or goods into an aircraft or a ship in Nigeria is based on the rules explained below otherwise, the NRS shall compute on a fair percentage on the full sum receivable in respect of the carriage of passengers, mails, livestock and goods shipped or loaded in Nigeria.

It should be noted that section 18(7) of NTA), provides that where any company files tax returns and does not provide a separate financial statement of the Nigerian operations, for the purpose of filing its tax returns, such company shall submit detailed gross revenue statements of its Nigerian operations, showing the amount of full sums earned during the period, certified by one of the company's directors as well as their company's external auditor and supported with the contract agreement

Section 18(9) of NTA states that regulatory agencies in the shipping and air transport and other sectors shall require these companies to present the following as a condition to carry on business in Nigeria:

a) evidence of income tax filing for the preceding tax year; and
b) evidence of tax declaration and payment in respect of the intended carriage or shipment.

22.5.4 Global adjusted profit/depreciation ratio basis - section 18(3) of NTA

This basis (**herewith considered as method 1**) is adopted where the Nigeria Revenue Service is satisfied that the tax authority of the foreign company's country of origin:

(a) computes and assesses a company which operates ship or aircraft on a basis not materially different from that prescribed by NTA, and
(b) certifies as being applicable to a company in the air or sea transport business,

(i) Global adjusted profit ratio (%)
=
Adjusted profit x 100%
Gross revenue

(ii) Global depreciation ratio (%)
=
Depreciation allowance x100%
Gross revenue

In order to determine the assessable profit, capital allowances and consequently the total profits chargeable to tax in Nigeria, the Nigeria Revenue Service applies the above ratios against the income derived by the foreign company from the loading of passengers, mails, livestock and goods into an aircraft or a ship in Nigeria. - section 18(4) of NTA

The above can be explained by way of a pro-forma thus:

Assessable profit = gross revenue receivable in Nigeria x global profit ratio (%)	xxx
Less: Capital allowance = gross revenue receivable in Nigeria x global depreciation ratio (%)	x
Total profit	xx
Income tax payable (xx at the appropriate tax rate)	**X**

Illustration 22.1

The statement of profit or loss of a foreign Airline, Globe Airways Limited, for year ended March 31, 2026, is as follows:

	₦'000	**₦'000**
Income from passengers' freight into Nigeria	1,300,000	
Income from goods loaded into aircraft in Nigeria	1,220,000	
Income from passengers loaded and flown out of Nigeria	680,000	
Income from goods loaded into aircraft on other routes	500,000	3,700,000
sLess: Salaries and other expenses	2,000,000	
Depreciation	320,000	
Other disallowable expenses	240,000	(2,560,000
Net profit for the year		1,140,000

You are given the following additional information:

(i) The Nigeria Revenue Service is satisfied that the tax authority in UK computes and assesses tax on similar basis with Nigeria and has received certification of the appropriate ratios.

(ii) The tax authority has agreed that depreciation charged in the accounts can be granted in lieu of capital allowances.

(iii) Salaries and other expenses include:
- Deposit for a new V.C 10 aircraft ₦ 180,000,000;
- Payment of ₦54,000,000 to Nigeria Airport Authority for the use of the V.I.P. lounge at the new Murtala Mohammed Airport by the Airline's first-class passengers; and
- Payment of ₦72,000,000 as rent for accommodation used as transit flat by the airline's crew.

Required:
Compute the:
(a) Total profit for Nigerian tax purposes
(b) Income tax payable by the airline for assessment year 2027

Suggested solution to illustration 22.1

(a) Globe Airways Limited
Computation of total profit
For assessment year 2027

	₦'000
Assessable profit – ₦1,880,000 x 50.81% (w2)	955,228
Capital allowances	(320,000)
Total profit liable to tax in Nigeria	**635,228**

(c) Computation of income tax payable
For 2027 assessment year

Total profit (₦635,228,000 at 30%) = ₦ 190,568,400

Computation of adjusted profit
Year ended March 31,2026 (Assessment year 2027)

	₦'000
Net profit per accounts	1,140,000
Add:	
Depreciation	320,000
Other disallowable expenses	240,000
Deposit for V.C. 10 aircraft – capital	180,000
Adjusted profit	**1,880,000**

(ii) **Computation of global adjusted profit ratio**

Global adjusted profit x 100% = ₦1,880,000,000 x 100
Gross revenue ₦3,700,000,000 = 50.81%

(ii) **Computation of depreciation allowance ratio**
Since FIRS agreed with the company that the depreciation charged should be adopted as capital allowance, there will be no need to compute depreciation ratio, rather, capital allowance shall be the amount of depreciation in the question, that is, N320,000.

Method 2 - section 18(5) of NTA
This method is only used where the Nigeria Revenue Service is not satisfied as to the conditions listed under Method 1.

Under this method, the NRS is given the discretionary power, to determine the profits derived from Nigeria, by applying a fair percentage on the full sum receivable in respect of carriage of passengers, mails, livestock and goods shipped or loaded in Nigeria.

Put in a proforma, the assessable profits of a foreign company in respect of income derived from Nigeria is as shown below:

	₦
Income receivable in Nigeria	X
Assessable profits:	
Income receivable in Nigeria x fair % (as determined by NRS)	X

Other points to note

(a) Where method 2 above is used, the foreign company shall be entitled to require that its assessment revised and re-computed on the basis of method1.
(b) The request in (a) above will be valid only if made by the company within six (6) years after the end of the relevant assessment year to which it relates and on production from its home country's tax authority, of appropriate certificate to the satisfaction of the revenue.
(c) In any case, the minimum tax payable by a company engaged in air or sea transport business shall not be less than two percent (2%) of the gross amount in respect of carriage of passengers, mails, livestock or goods shipped or loaded into an aircraft in Nigeria. The gross amount should however exclude taxes such as VAT and other levies such as airport or passenger tax, which are collected by the airline on behalf of others. - section 18(6) of NTA.

22.5.5 Minimum tax -section 18(6) of NTA

As stated above, minimum tax should not be less than 2% of the gross revenue in respect of the carriage of passengers, mails, livestock or goods shipped or loaded into an aircraft in Nigeria,

22.5.6 Other provision - section 18(8) of NTA
The provisions of section 18 of the Act shall not be applicable to income or profits arising from leasing of vessels or containers, non- freight operations or any other incidental income, which are chargeable to tax under the relevant provisions of NTA.

22.5.7 Taxation of foreign company engaged in cable undertakings (telecommunication)

Where a foreign company is engaged in the business of transmission of messages by cable or any other form of wireless apparatus, it is assessable to tax in the same way as a foreign company engaged in air or sea transport business.

Its profits, which are deemed to be derived from Nigeria, are from the transmission of messages through its network in Nigeria to places outside the country (Nigeria). Such cable messages originating from Nigeria are deemed equivalent to the shipping or loading of passengers, mails, livestock or goods in Nigeria.

Apart from the above, all the other provisions relating to the taxation of companies engaged in air or sea transport companies apply exactly in the same way as to companies engaged in cable undertakings.

Illustration 22.2

Hero Limited is a Ghanaian foreign company engaged in cable undertakings in Nigeria.

Its projected worldwide management accounts for the year ending September 30, 2026, revealed the following:

	₦'000	**₦'000**
Income from cable messages terminating in Nigeria	1,200,000	
Income from cable messages routed through Nigeria	1,150,000	
Income from cable messages originating in Nigeria	1,100,000	3,450,000
Less:		
Salaries and wages	1,880,000	
Depreciation	290,000	
Overhead expenses	185,000	
Purchase of equipment	439,000	(2,794,000)
Net profit		**656,000**

Notes:

(i) Nigeria Revenue Service is satisfied that tax is computed and assessed in Ghana the country of the foreign company, on the same basis as Nigeria;

(ii) Ghanian tax authority has certified the adjusted profit and Depreciation allowance ratios.

(iii) Included in overhead expenses are disallowable items totaling N 123million.

Required:

For the relevant assessment year:

(a) Compute the company's adjusted profit

(b) Determine the adjusted profit ratio and depreciation ratio

(c) Compute the total profits and income tax payable in Nigeria

Suggested solution to illustration 22.2

(a) **Hero Limited**
Computation of global adjusted profit
For assessment year 2027

	₦'000	**₦'000**
Net profit per accounts		656,000
Add:		
Depreciation	290,000	
Purchase of capital equipment	439,000	
Other disallowable expenses	123,000	852,000
Adjusted profit		**1,508,000**

(b) **Computation of global adjusted profit and depreciation ratios**

(i) Computation of global adjusted profit ratio:

₦1,508,000,000 x 100% = 43.71%
₦3,450,000,000

(ii) Computation of depreciation ratio:

₦290,000,000 x 100% = 8.41%
₦3,450,000,000

(c) **Computation of income tax payable in Nigeria**	**₦ '000**
Assessable profit (₦1,100m x 43.71%)	480,810
Deduct:	
Capital allowances (₦1,100m x 8.41%)	(92,510)
Total profit	388,300
Income tax payable (₦388,300,000 at 30%)	**116,490**

22.6 Taxation of banks

22.6.1 Introduction

Banks like other financial institutions are not exempted from the payment of tax under the Nigeria Tax Act, 2025. Based on the foregoing, banks are subject to tax in the same way and manner with which other incorporated companies are subject to tax. It is pertinent to state that banks are liable to both companies income tax and value added tax, including other applicable taxes.

Additionally, banks are required to file both monthly and annual tax returns, failing which, such returns will constitute a violation of the applicable law and would attract the

prescribed penalties/sanctions.

22.6.2 Determination of assessable profit and tax liability

As explained above, banks are liable to tax under the provisions of the Nigeria Tax Act, 2025. Therefore, banks are subject to tax like any other company on their total profit. However, there are some specific provisions that are somewhat peculiar to banks that are important to be discussed.

Based on the Compendium of Investment Incentives (Sector Specific Incentives) issued by Nigerian Investment Promotion Commission) in 2026, banks are to be granted 100% tax exemption on interest income derived on loans granted for:

(a) export- oriented manufacturing;
(b) agricultural production;
(c) fabrication of local plant and machinery; and
(d) working capital for cottage industries.

The conditions to be met include, the:

(a) loan must be granted by a bank;
(b) funds must be applied strictly to the stipulated purpose;
(c) loan agreement allows for at least twelve months moratorium; and
(d) interest rate must not exceed the prevailing base lending rate set by the CBN.

In addition to the above:

(a) interest received by banks on bonds issued by a State of the Federal Government of Nigeria;
(b) interest earned on foreign placement or dividend, rent and royalty derived by any company from outside Nigeria and brought into Nigeria through approved channels; and
(c) dividend treated as franked investment income.

Also, in taxation of banks, the following expenses / provisions are not allowed:

(a) increase in provisions on performing loans account;
(b) increase in provisions on other assets or account receivable;
(c) increase in provisions on advances under finance lease;
(d) increase in provision for diminution in the value of investment;
(e) increase in provision for off balance sheet engagement;
(f) increase in provision for gratuity; and
(g) unrealised exchange loss.

22.7 Taxation of insurance companies

22.7.1 Introduction

The taxation of insurance business is covered by section 61 of NTA and Nigeria Insurance Industry Reform Act (NIIRA), 2025 The section of NTA and NIIRA deal with

both Nigerian and Non-Nigerian insurance businesses. It further distinguishes between life assurance business and non-life insurance business.

For tax purposes, the main difference between the taxation of life assurance business and non-life business is that for life assurance business, the premium received from the assured does not from part of income for tax purposes since the assured will definitely be paid or indemnified either at his death or the attainment of a specified age under endowment policy. Since the premium is not taken as income, claims paid is also not allowable as a deduction for life assurance business, the reverse is applicable for non-life insurance business.

With effect from 1995, where a company engages in composite insurance business, that is, a company carrying on life and non-life insurance business, the income from each source would be taxed separately. This means that where a loss is incurred from life business, it cannot be relieved against income from non-life - section 61(8) of NTA

Like any other company, dividend received by insurance companies is treated as franked investment income and they are exempted from tax.

22.7.2 Taxation of insurance companies

(a) Preamble

(i) Section 61(1) of NTA

"An insurance business shall be taxed as a:

- general insurance company, whether proprietary or mutual other than a life insurance company, or

- life insurance company:

Provided that the profits on which tax may be imposed for an insurance business shall be in accordance with section 6 or 17 of NTA, that is, taxation of resident and non-resident persons, respectively.

General insurance business - section 61(2)(a), (3) and (9) of NTA

Subsection 2 states that "the profits on which tax may be imposed shall be ascertained as if the whole premium and investment incomes of the company were derived in Nigeria". Subsection 3 further states that "the profit on which tax may be imposed, shall be ascertained by taking the gross premium and other income receivable, less reinsurance, and deducting from the balance so arrived at, a reserve for unexpired risks, determined in accordance with subsection (9)(a) and other deductions allowed under subsection (9((b) of section 61 of NTA , as stated below:

Any insurance company other than a life insurance company shall be allowed for deductions from its premium, the following reserves for tax purposes:

- reserve for unexpired risks calculated on a time apportionment basis of the risks accepted in the year instead of the old basis determined on a

percentage consistently adopted by the company; and

- outstanding claims and outgoings, an amount equal to the total estimated amount of all outstanding claims and outgoings, provided that any amount not utilised towards settlement of claims and outgoings shall be added to the total profits of the following year, instead of the old provision which was based on a percentage (25%) of total premium.

In addition to the above, the company is entitled to other deductions allowed under Chapter 2 of NTA, that is, taxation of income of persons.

(ii) Life insurance company - section 61(2)(b), (4), (5) and (6) of NTA

In accordance with section 61(2)(b) of NTA, the profits on which tax may be imposed shall be ascertained as if the whole investment and other incomes were received in Nigeria and all the expenses and other outgoings of the company were incurred in Nigeria.

Section 61(4) of NTA, states that "the profits on which tax may be imposed shall be the investment income, and other income, less the management expenses, including commission".

Section 61(5) of NTA, states that "any amount distributed in any form as dividend from an actuarial revaluation of unexpired risks or from any other revaluation shall be deemed to be part of the total profits of a company engaged in life insurance business".

Based on the provision of section 61(6) of NTA, the company shall not later than three months after an actuarial revaluation of unexpired risks or any other revaluation has taken place, provide the Service with full particulars of the revaluation carried out, including a copy of the actuary's revaluation certificate.

Based on the provision of section 61(10) of NTA, a life insurance business shall be allowed the following deductions from its investment income and other incomes:

- an amount which makes a general reserve and fund equal to the net liabilities on policies in force at the time of actuarial valuation;
- an amount which is equal to 1% of gross premium earned or 10% of profits, whichever is greater, to a special reserve fund and accumulated until it becomes the amount of the statutory minimum paid-up capital; and
- all normal allowable business outgoings.

(iv) Reinsurance company - section 61(11) of NTA

A reinsurance company shall be allowed the following deductions from its gross profit, to be credited to a general reserve fund:

- an amount not more than 50% of the gross profits of the reinsurer for the year, where the general reserve fund is less than the initial statutory minimum paid -up capital; or
- an amount not more than 25% of the gross profits of the reinsurer for that year, where the fund is equal to, or exceeds the statutory minimum paid- capital.

(iii) Keeping of books of accounts and filing of annual tax returns - section 61(7) of NTA

This subsection states that "where an insurance company carries on a life class and a general or non-life class insurance business, the funds and books of accounts of one class shall be kept separate from the other as though one class does not relate to the other class, and the annual tax returns of the two classes of insurance businesses shall be made separately'.

(iv) Assessments – section 61 (8) of NTA

Each class of insurance shall be assessed separately as "life insurance assessment" and "non-life (other) insurance assessment" and in respect of each class of insurance business, where there are more than one type of insurance and in the same class, they form one type of business and shall not be allowed against the income from another type of insurance business but the loss shall be available to be carried forward against profits from the same class of insurance business.

(v) Capital requirements – section 15 of Nigerian Insurance Industry Reform Act, 2025

A person shall not be entitled to carry on insurance business in Nigeria unless the insurer has and maintains, a minimum capital, whilst carrying on that business, in the case of:

- non-life insurance business, the higher of:
  - ₦ 15,000,000,000; or
  - risk-based capital determined by the Commission;
- life insurance business, the higher of:
  - ₦ 10,000,000,000; or
  - risk-based capital deemed by the Commission; and

- reinsurance business, the higher of:

  - ₦ 35,000,000,000; or
  - risk-based capital determined by the Commission.

The Commission shall take into consideration the capital for insurance risk, market risk, credit risk and operational risk, and apply such capital charges on assets and liabilities as shall be determined, In determining the risk-based capital required.

In the case of a new company, the minimum capital requirement specified above, consist of:

- Government bonds and treasury bills; or
- Cash and cash equivalent.

(b) Definitions - section 61 (13) of NTA

(i) Investment income - section

"Investment income" for the purpose of taxation of a life insurance company means "income derived from investment of shareholders' funds".

(ii) Gross premium and gross income

For the purpose of minimum tax computation:

- "Gross premium" means "the total premiums written, received and receivable excluding unearned premium and premiums returned to the insured"; and

- "Gross income "means "total income earned by a life insurance business, including all investment income, fees, commission and income from other assets but excluding franked investment income, premium received and claims paid by reinsurers".

(iii) "**Other income",** for the purposes of non-life insurance businesses means all the income of the non-life insurance business other than gross premium and excluding franked investment income.

(c) Effective tax rate - section 57 of NTA

(i) In the determination of the effective tax rate:

- in any year of assessment, the effective tax rate, that is, covered taxes as a percentage of net income, of a company is less than 15%, such company shall recompute and pay an additional tax that makes its effective tax rate equal to 15%;

- covered taxes for the purpose of this section means companies income tax, petroleum profit tax, and hydrocarbon tax paid or payable, development levy, and priority sector tax credit; and
- net income refers to the profit before tax as reported in the audited financial statements excluding franked investment income and unrealistic gains or losses:

  Provided that the net income for a life insurance company shall not include gross income and investment income for policyholders.

(ii) The provisions apply to:
- a company that is a constituent entity of a Multinational Entity group, with aggregate group turnover of at least £750 million or its equivalent; and
- any other company with an aggregate turnover of N50,000,000,000 and above in the financial year.

(iii) The Service may issue regulations to give effect to the provisions and may prescribe a higher threshold under (ii) above.

(d) Losses can be carried forward indefinitely - section 27(6) of NTA
Insurance companies can carry forward losses indefinitely.

22.7.3 Additional information to be filed by insurance business
Based on section 61(12) of NTA an insurance company that engages the services of an insurance agent, a loss adjuster or an insurance broker shall include in its annual tax returns, a schedule showing the names and address of that agent, a loss adjuster or insurance broker, the date their services were employed and terminated, as applicable, and payments made to each such agent, loss adjuster or insurance broker for the period covered by the tax returns.

22.7.4 . Declaration of dividend -section 35 of NIIRA, 2025
An insurer cannot declare or pay any dividend on its shares until:

(a) all its preliminary expenses, organisational expenses, commission, brokerage, amount of losses incurred and other capitalised expenses not represented by tangible assets have been completely written off;

(b) adequate provisions have been made to the satisfaction of the Commission for actual and contingent losses on risk assets and liabilities; and

(c) it has complied with any capital or solvency requirement as specified by the Commission under the NIIRA, 2025.

Illustration 22.3
An extract of the projected returns to be filed by Kebu Insurance Plc, a company

engaged in non-life business for 2027 and 2026 assessment years, revealed the following:

	Assessment year	
	2027	**2026**
	₦'000	**₦'000**
Reserve for un-expired risk brought forward	50,000	43,000
Reserve for un-expired risk carried forward	65,000	50,000
Estimated claims and outgoings	4,200	3,000
Actual claims and outgoings for the year	2,500	2,800
Net profit before claims	12,000	11,000
Total premium written	125,150	122,000
Premium paid on reinsurance	11,400	11,200
Premium returned to insured	8,200	7,100
Premium received and receivable	12,500	11,20
Unearned premium received in advance	5,200	4,300
Rent (gross)	7,800	6,500
Franked investment income	8,700	7,850

Required:
Compute the following for 2027 and 2026 assessment years:
(a) The un-expired risk that is attributable to the risk accepted in each year
(b) Assessable profits

Suggested solution 22.3

Kebu Insurance Plc

(a) Computation of un-expired risk that is attributable to the risk accepted in the year

	2027	**2026**
	N'000	**N'000**
Reserve for un-expired risk c/f	65,000	50,000
Reserve for un-expired risk b/f	50,000	43,000
Un-expired risk that is attributable to the risk accepted in the year	15,000	7,000

(b) Computation of assessable profit

	N'000	N'000
2026 assessment year		
Net profit before claims		11,000
Less:		
Actual claims and outgoings	2,800	
Estimated claims and outgoings	3,000	(5,800)
Assessable profit		5,200
2027 assessment year		
Net profit before claims		12,000
Add estimated claims and outgoings (2026)		3,000
		15,000
Deduct actual claims and outgoings	2,500	
Estimated claims and outgoings (2027)	4,200	6,700
Assessable profit		8,300

22.7.4 Determination of assessable profit and tax liability

(a) Life insurance business

(i) **Nigerian company:** The assessable profit and tax liability of a Nigerian company carrying on life insurance business is determined as follows:

	₦	₦	₦
Investment income		x	
Add:			
Other income, that is, fees and commission income		x	
Dividend from actuarial revaluation of unexpired risk or other distributions			
Gross income		x	
		x	
Deduct:			
i. General reserves	x		
Add life fund a/c	x		
	xx		
Restricted to amount equal to net liabilities on policies in force at time of actuarial valuation	x	x	
ii. Special reserves			
The higher of:			
1% of gross premium; or	x		
10% of net profit	x	x	
iii. All allowable business expenses		x	(x)
Assessable profit			xx

Capital allowance	(x)
Total profit	X

Note:

- Annual transfer to special reserve would be accumulated until it becomes the amount of the minimum statutory paid-up capital.

(ii) **Non-Nigerian company:** The assessable profit of a non-Nigerian company carrying on life assurance business is determined as follows:

	₦	₦
Investment income (see working1)		x
Less: Agency commission in Nigeria	X	
Allowable expenses in Nigeria	X	
Fair proportion of head office expenses	X	(x)
Assessable profit		**x**

Working

Investment income:

Premium receivable in Nigeria / Global premium of the company x Global investment income / 1

(b) Non-life insurance business

(i) Nigerian company: The assessable profit and tax liability of a Nigerian company carrying on non-life insurance business is determined as follows:

	₦	₦	₦
Gross premium			x
Less premium returned on cancelled policies			(x)
Net premium			xx
Add:			
Investment income		x	
Fees and commission income		x	
Rent received		x	
Estimated insurance claims for previous year, for example, re-insurance claims		x	x
Gross income			xx
Less non-taxable income (if any)			(x)
Net income			xx

Less:			
Reserve for unexpired risk calculated on time apportionment basis		x	
Re-insurance premium paid		x	
Commission		x	
Other allowable management expenses		x	
Insurance claims and outgoings:			
Actual total claims expenses (a)	x		
Add estimated total claims expenses (b)	x		
Total claims and outgoings claimable (a + b)	x	x	(x)
Assessable profit			**xx**
Less loss b/f (if any)			x
			xx
Less: Capital allowance			(x)
Total profit			xx

Note:

Under non-life business, any unutilised part of both the actual and the estimated claims and outgoing expenses in any year, shall be added back to the profits of the following year.

(ii) Non-Nigerian company

Where a non-Nigerian company is engaged in non-life insurance business in Nigeria, the assessable profit would be determined just like that of the Nigerian company. However, only premium received in Nigeria will be taken into consideration and only expenses incurred in Nigeria will be allowed as deduction including a fair proportion of head office expenses.

For a non-Nigerian insurance company to be liable to tax in Nigeria, it must have a permanent establishment in Nigeria. "Permanent establishment" in relation to an insurance company means a branch, management or a fixed place of business in Nigeria, but does not include an agency in Nigeria unless the agent has, and habitually exercises a general authority to negotiate and conclude contracts on behalf of such company.

Where an insurance company carries on a life class and a general class insurance business, the funds and books of account of one class shall be kept separate from the other as though one class does not relate to
the other class and the annual tax returns of the two classes of insurance business be made separately.

For each class of insurance business, where there are more than one type of insurance (products) in the same class, they form one type of business and the loss of one shall be allowed against the income from another type of insurance business but the loss shall be available to be carried forward against profit from the same class of insurance business, and such loss can be carried forward indefinitely, effective February 1, 2020.

(c) Reinsurance business

The assessable profit and tax liability of a company carrying on reinsurance business is determined as follows:

	₦	₦	₦
Gross premium			x
Less premium returned on cancelled policies			(x)
Net premium			xx
Add:			
Investment income		X	
Fees and commission income		X	
Rent received		X	
Estimated insurance claims for previous year, for example, re-insurance claims		X	xx
Gross income			xx
Less non-taxable income (if any)			(x)
Net income			xx
Less:			
Reserve for unexpired risk calculated on time apportionment basis		X	
Re-insurance premium paid		X	
Commission		X	
Other allowable management expenses		X	
Insurance claims and outgoings:			
Actual total claims expenses (a)	x		
Add estimated total claims expenses (b)	x		
Total claims and outgoings claimable (a + b)	x	X	(x)
			xx

Add: Transfer to general reserve

(i) General reserve < minimum paid-up capital

50% of gross profit		X	
Or			
(ii) General reserve ≥ minimum paid-up capital			
Restricted to 25% of gross profit		X	(xx)
Assessable profit			xx
Less loss b/f (if any)		X	
Relief		X	x
		X	xx
Less: capital allowance			(x)
Total profit			x

Note:

Under re-insurance business, any unutilised part of both the actual and the estimated claims and outgoing expenses in any year, shall be added back to the total profits of the following year.

22.8 Taxation of authorised unit trust schemes

22.8.1 Definitions / introduction - section 63(5) of **NTA**

(a) "Authorised collective investment" means a scheme that is authorised by the Securities and Exchange Commission under the Investment and Securities Act to carry on the business of dealing in a mutual fund scheme or collective investment scheme.

(b) "Collective investment scheme" means any arrangement made for the purpose of providing facilities for the participation of the public as beneficiaries under a trust in profits or income arising from the acquisition, holding, management or disposal of securities or any other property.

A unit trust scheme is an arrangement whereby facilities are provided for the participation of the public as beneficiaries, under a trust, in profits or income arising from the acquisition, holding, management or disposal of securities or any other property whatsoever.

(c) "Scheme" means authorised collective investment.

(d) "Trustee" under a collective investment scheme means the person in whom the property for the time being subject to any trust created in pursuant of the scheme is or may be invested in accordance with the terms of the trust.

A trustee is a person or firm that usually holds and administers assets or property for the benefit of a third party. Trustees are expected to make reasonable judgements in the management of assets held on behalf of the trust beneficiaries with a view to

protecting their interests.

(e) *"*unit holder*"* *means* any investor, beneficiary or person who acquired units in a scheme and who is entitled to a share of the investments subject to the trusts of a scheme.

22.8.2 Taxation of unit trust income - section 63(1)-(4) of NTA

(a) Where a mutual fund is established for the purpose of providing facilities for the participation of the public, as beneficiaries under a trust, in profits or income arising from acquisition, holding, management or disposal of securities or any other property under the provisions of the Investments and Securities Act, Chapter Two of this Act - taxation of income of persons - shall, in respect of the income arising to the trustees of a collective investment, have effect as if the:

(i) trustees were a company whose business consists mainly in the making of investments and the principal part of whose income is derived therefrom;

(ii) rights of the unit holders were shares in the company; and

(iii) income accruing to the trustees as is available for payment to the unit holders were dividends on such shares, and reference to a company in this Act shall include a collective investment scheme -section 63(1) of NTA.

(b) the profits of an authorised collective investment scheme on which tax may be imposed, shall be ascertained by taking the income accruing to the trustees from all the investments of the scheme and deducting therefrom sums disbursed as management expenses, including remuneration for the managers - section 63(2) of NTA.

(c) Where the trustees of a scheme receive a payment on which the scheme suffers tax by deduction, not being franked investment income, the tax deducted shall constitute an advance payment of income tax and shall be set off against income tax assessment for that year of assessment in ascertaining the tax payable by the mutual fund or scheme -section 63(3) of NTA

(d) The profit accruing to the trustees of a collective investment that is available for payment to unit holders or for investment shall be deemed to be dividends paid or payable by the trustees to the unit holders in proportion to their rights, and shall be taxed in the hands of the unit holders - section 63(4) of NTA.

The assessable profit of the scheme is determined in accordance with the provision of section 63 of NTA as follows:

	₦
Investment income, that is, from unit trust	x
Less:	
Management expenses (inclusive of manager's remuneration)	(x)
Assessable profit	**xx**

Notes:

(i) Where the trustees of a scheme receive a payment on which the scheme suffers tax by deduction, not being franked investment income, the tax deducted shall constitute an advance payment of income tax and shall be set off against income tax assessment for that year of assessment in ascertaining the tax payable by the mutual fund or scheme -section 63(3) of NTA

(ii) The profit accruing to the trustees of a collective investment that is available for payment to unit holders or for investment shall be deemed to be dividends paid or payable by the trustees to the unit holders in proportion to their rights, and shall be taxed in the hands of the unit holders - section 63(4) of NTA.

22.9 Criteria that must be met for exemption of profits of a small company from companies income tax (CIT)

Section 56 of NTA exempts the profits of a small company from taxation.

For the profits of a small company to be tax exempt, it must:

(a) register with the relevant tax authority and obtain a Taxpayer Identification ("Tax ID") for the purposes of compliance with tax obligations - section 4 of NTAA;
(b) maintain accurate financial records and fixed assets register as evidence of the "small company" status - sections 31 and 102 of NTAA; and
(c) file its simplified annual income tax return as required under section 15 of NTAA, 2025 and comply with the provision of section 11(1) of NTAA.

22.10 Taxation of export processing and free trade entities - section 60 of NTA and Second Schedule to the Act

22.10.1 Definitions / Introduction - paragraph 2 of the Second Schedule to the Act

(a) *"export processing zone entity"* means an approved and licensed enterprise under the Nigeria Export Processing Zones Act Cap. N107, Laws of the Federation of Nigeria, 2004; and
(b) *"export free zone entity"* means an approved and licensed enterprise under Oil and Gas Free Zones Authority Act Cap. O5, Laws of the Federation of Nigeria, 2004.

22.10.2 Special tax incentives for enterprises in an export processing zone section 18(1) of Nigeria Export Processing Zones Act Cap. N107 LFN 2004 (as amended)

The Nigeria Tax Act, 2025, consequentially amended section 8 of the Act (approved entities operating within zone shall be exempted from all Federal, State and Government taxes, levies and rates) by deleting this subsection. Additionally, subsection 18(1)(a) relating to the exemption of approved entities within the zone from legislative provisions pertaining to taxes, levies, duties and foreign exchange regulations was also deleted by NTA.

Approved enterprises within the zones shall be entitled to the following incentives:

(a) repatriation of foreign capital investment in the zones at any time with capital appreciation of the investment;
(b) remittance of profits and dividends earned by foreign investors in the zones;
(c) no import or export licenses shall be required;
(d) up to 25% of production may be sold in the customs territory against a valid permit and on payment of appropriate duties;
(e) rent-free land at construction stage; thereafter rent shall be as determined by the authority;
(f) up to 100% foreign ownership of business in the zones allowable; and
(g) foreign managers and qualified personnel may be employed by companies operating in the zones.

22.10.3 Special tax incentives for enterprises in an oil and gas export processing zone - section 18(1) of Nigeria Oil and Gas Export Free Trade Zone Act, Cap 05, LFN, 2004

The Nigeria Tax Act, 2025, consequentially amended section 8 of the Act (approved entities operating within zone shall be exempted from all Federal, State and Government taxes, levies and rates) by deleting this subsection. Additionally, subsection 18(1)(a) relating to the exemption of approved entities within the zone from legislative provisions pertaining to taxes, levies, duties and foreign exchange regulations was also deleted by NTA.

Approved enterprises within the zones shall be entitled to the following incentives:

(a) repatriation of foreign capital investment in the zones at any time with capital appreciation of the investment
(b) remittance of profits and dividends earned by foreign investors in the zones;
(c) no import or export licenses shall be required;
(d) up to 25% of production may be sold in the customs territory against a valid permit and on payment of appropriate duties;
(e) rent-free land at construction stage; thereafter rent shall be as determined by the authority;
(f) up to 100% foreign ownership of business in the zones allowable; and
(g) foreign managers and qualified personnel may be employed by companies operating in the zones.

22.10.4 Other provisions

(a) Conditions for full exemption from tax - paragraph 3 of the Second Schedule to the Act

Subject to the restriction of sales in the customs territory and the application of effective tax rate, the profits of an export processing zone entity are fully exempt from tax where:

(i) its total sales arise from the export of goods or services, or serve as inputs into goods or services exclusively for export;
(ii) not more than 25% of its sales arise from the sale of goods or services to the customs territory in Nigeria; and

(iii) the goods and services are sold to persons engaged in upstream, midstream or downstream petroleum or gas operations.

(b) More than 25% of sales in a customs territory - paragraph 4 of the Second Schedule to the Act

Where, in a year of assessment, more than 25% of the sales of an export processing zone entity arise from the sale of goods or services in the customs territory, tax shall accrue in Nigeria on the profits of the entity in respect of its total sales to the custom territory.

(c) Tax effective from January 1, 2028 - paragraph 5 of the Second Schedule to the Act

The profits of an export processing zone entity shall be fully subject to tax effective from 1 January 2028, in respect of its sales to the customs territory in Nigeria, regardless of the percentage of the sales.

(d) Compliance with tax laws - paragraph 6 of the Second Schedule to the Act

An export processing or export free zone entity shall comply with all relevant provisions of the Nigeria Tax Administration, including those requiring:
(i) registration;
(ii) filing of tax returns; and
(iii) deduction of tax at source.

(e) Connected resident company - paragraph 7 of the Second Schedule to the Act

Where an entity in a zone contracts out manufacturing services or any of its approved activity within the zone to a related or connected resident company that is not an entity in the zones, all incomes derived from the sale by the entity in the zone, of the goods produced shall be treated as the incomes of the related or connected resident company, except the Service is satisfied that the transaction provided was conducted as arm's length.

(f). Provision of non- manufacturing services - paragraph 8 of the Second Schedule to the Act

Where a resident company, which is not an entity in the zones, provides services other than manufacturing services to a related or connected entity in the zones, the provisions of the Transfer Pricing Regulations shall apply to the transaction.

(g) Services rendered by a person in the custom territory- paragraph 9 of the Second Schedule to the Act

Services rendered to an export processing or export free zone entity by a person in the custom territory or services consumed by a free zone entity.

(h) Evidence of export proceeds - paragraph 10 of the Second Schedule to the Act

Licensed entities shall be required to provide evidence of export proceeds, either in cash inflow or imported raw materials or equipment, as a condition to claim the tax incentives.

22.11 Tax implications of the operation of the regulated securities lending transactions ('SEC Lending') in Nigeria

22.11.1 Definitions and nature of transaction

(a) Definition of regulated security lending transaction - section 201 of NTA

"Regulated securities lending transaction" means any securities lending transaction conducted in accordance with rules made by Securities and Exchange Commission.

(b) Other definitions

(i) "Lender" means an approved lender in a regulated securities lending transaction.
(ii) "Borrower" means an approved borrower in a regulated securities lending transaction.
(iii) "Approved agent" means any person approved by the Securities and Exchange Commission to function as an intermediary for the conduct of a regulated securities lending transaction.
(iv) "Compensating payments" means any payments made in lieu of interest or dividend under a regulated securities lending transaction.
(v) "Dividend" includes, in relation to regulated securities lending transaction, compensating payments received by a lender from its approved agent - section 4(6)(b)(iii) of the provisions.

The provisions of the Investment and Securities Act, 2025, Securities and Exchange Commission Rules 2026 - mandating recapitalisation for capital market operators, regulating digital assets offering platforms, and allowing private companies to issue debt securities, and other extant laws and regulations which control the operation of SEC lending in the Nigerian capital market.

The taxation of SEC lending transactions is influenced by NTA, 2025, and other relevant tax laws.

22.11.2 Relevant regulatory provisions

The provisions of the Investment and Securities Act, 2025, Securities and Exchange Commission Rules 2026 - mandating recapitalisation for capital market operators, regulating digital assets offering platforms, and allowing private companies to issue debt securities, and other extant laws and regulations which control the operation of SEC lending in the Nigerian capital market.

The taxation of SEC lending transactions is influenced by NTA, 2025, and other

relevant tax laws.

22.11.3 Income

Income under a SEC lending covers the following:

(a) dividends;
(b) interests;
(c) securities lending fees or any other right or reward arising from the securities loaned;
(d) rights;
(e) bonus; and
(f) redemption benefits.

22.11.4 Taxation of a SEC lending transactions based on the provisions of NTA, 2025

(a) Dividend and interest received

The relevant provisions of the Act as they apply to dividend and interest received are as follows:

(i) Section 162(1)(d)(e) of NTA

The following compensating payments are tax exempt:

- compensating payments, which qualify as dividend, received by a lender from its approved agent or a borrower in a regulated securities lending transaction; and
- compensating payments, which qualify as dividends or interest received by an approved agent from a borrower or lender on behalf of a lender or borrower in a regulated securities lending transaction.

(ii) Section 20(1)(l) of NTA

Compensating payments which qualify as iinterest paid by a lender to an agent or a borrower under a SEC Lending is an allowable deduction.

(iii) Section 21(n) of NTA

Dividend generated by a borrower, and paid to an agent or lender under SEC Lending will not be an allowable deduction to the borrower.

(iv) Exemptions from withholding tax - regulation 10 of the Deduction at Source (Withholding) Regulations, 2024

Under a registered securities lending transaction, compensating payments shall be exempt from withholding tax.

(v) Fees, rights, bonuses and other benefits

Rights, bonuses, profits, fees and other benefits received by a borrower or lender under a SEC Lending are taxable income.

(vi) Section 21(o) of NTA

Any compensating payment made by an approved agent, which qualifies as interest or dividends, to a borrower or lender in a regulated securities lending transaction is a deduction not allowed.

22.11.5 Relevance of Stamp Duties Act to SEC Lending - section 184 of NTA
The following documents and transactions are exempt from stamp duties:

(a) all documents relating to the transfer of stocks and shares;
(b) shares, stocks or securities returned to a lender or its approved agent by a borrower under a regulated securities lending transaction an
(c) shares, stocks or securities transferred by a lender to its approved agent or borrower in furtherance of a regulated securities lending transaction.

22.12 Tax provisions of non-governmental organisations (NGOs) in Nigeria and other obligations and exemptions as specified under the relevant tax legislations

22.12.1 Introduction
In 2021, the FIRS, now NRS, issued an information circular on "guidelines on the tax treatment of non-governmental organisations (NGOs), to provide clarifications on the application of the provisions of CITA, PITA, CGT and VAT Acts on the income, operations and activities of NGOs. It is pertinent to state that the NRS is yet to issue another set of guidelines on the tax treatment of non-governmental organisations based on the NTA, 2025.

22.12.2 Definition of an NGO

An NGO as defined by NRS "is a not-for-profit association of persons incorporated as a company limited by guarantee under PART A of the Companies and Allied Matters Act (CAMA) 2020 (as amended) or registered under PART C of the Act, or under any other law in force in Nigeria, or registered under the laws of a foreign jurisdiction and approved as such in Nigeria".

The object of such entities is to provide a given public good, not to carry on business for the purpose of making profits for the distribution to their members.

For the avoidance of doubt, NGOs include organisations, institutions and companies engaged in ecclesiastical, charitable, benevolent, literary, scientific, social, cultural and sporting activities of a public character. Additionally, any co-operative society registered under any law within the federation is expected to receive similar treatment as on NGO.

22.12.3 Definition of public character
Based on the provisions of section 201 of NTA, "public character" with respect to any organisation or institution means organisation or institution that:

a) is registered in accordance with the relevant law in Nigeria; and
b) does not distribute or share its profit in any manner to its members or promoters.

It is pertinent to state that the income of the organisation should be wholly utilised for the objects of same in the interest of the public.

Where an organisation distributes its assets whether in cash or in kind, such as the gift of any asset to a promoter or members, such a transaction is regarded as distribution of profit.

22.12.4 Registration with NRS for tax purposes
NGOs are expected to register for tax purposes, obtain tax identification number (TIN) and file the following documents with the FIRS:

(a) a copy of registration certificate issued by Corporate Affairs Commission (CAC) in Nigeria or other instruments of incorporation issued to the foreign NGO or any other document evidencing exemption from incorporation in Nigeria;
(b) certified true copy (CTC) of memorandum and articles of association, constitution or rules and regulations governing the NGO;
(c) list and profiles of the trustees/board members nominated; and
(d) other relevant documents that may be required at the time of registration.

22.12.5 Designated medium tax offices (MTOs) of NRS
The NRS has designated the following medium tax offices in geo-political regions for the registration of NGOs for tax purposes:

(a) MTO Lagos island, in Lagos state;
(b) MTO Abuja for North-Central geopolitical region and FCT;
(c) MTO Kano for North-East and North-West geo-political regions;
(d) MTO Enugu for South-East geo-political region;
(e) MTO Port Harcourt for South-South geo-political region; and
(f) MTO Ibadan for South-West geo-political region

22.12.6 Filing of tax returns
Section 11 of NTAA, provides that "every company, including a company granted exemption from incorporation, whether or not is liable to pay tax under NTA or any other tax law, for a year of assessment, with or without notice from the Service, shall file a self-assessment return with the Service in the prescribed form at least once a year". Based on the foregoing, an NGO shall file tax returns annually and such a return shall contain
(a) the audited accounts, together with the tax computations and a written true and correct statement specifying the amounts of its computed surplus from each and every source in accordance with the relevant provisions of CITA;
(a) such particulars in the required form for the purpose of the Act relating to such profits, allowances, reliefs and deductions;

(b) a signed declaration by a trustee, director, secretary or any authorised person of the organisation stating that the information as contained in the return is true and correct; and
(c) the period for filing returns shall be as stipulated in the relevant tax laws.

22.12.7 Obligation to pay companies income tax (CIT)
Based on the provision of section 162(1)(a)(iii) of NTA the profits of any company engaged in educational, religious or charitable activities of a public character shall be tax-exempt provided that such profits are not derived from any trade or business carried on by such organisation or association.

For the avoidance of doubt, the income exempted from tax include subscription fees by members, donations, grants, zakat, offerings, tithes, funds realised from launchings, etc. However, it should be noted that income or profits of such organisations liable to tax include:

(a) Profits arising from trade or business carried on, such as proceeds from sale of goods or merchandise, provision of consultancy, professional or other services for a fee; and
(b) Investment income, such as interest, rent, royalty, dividend or similar income.

The above notwithstanding, an NGO has the responsibility to deduct WHT on contracts awarded to suppliers and contractors, including other qualifying payments and remit amounts deducted to the relevant tax authorities in the currency of transaction.

22.12.8 Tax relief to any company making donations to any fund, body or institution in Nigeria
Section 163 of NTA, provides that such a company will be given a tax relief provided that the:

(a) donation is made out of its profits for that year of assessment;
(b) donation is made to:
    (i) public funds;
    (ii) statutory bodies or institutions;
    (iii) religious, charitable, educational and scientific institutions established in Nigeria;
    (iv) bodies recognised under the Diplomatic Immunities and Privileges Act, or
    (v) any pandemic, natural disaster or other public emergency interventions;
(c) company shall submit to the relevant authority the documentary evidence relating to the donation;
(d) total donation shall not exceed an amount equal to 10% of the profit before tax of that assessment year; and
(e) donation made other than in cash, the value shall be the lower of the market value at the time of the donation or the consideration paid for the item when it was acquired.

22.12.9 Liability to personal income tax (PIT)

Despite the tax exemption of profits of NGOs not arising from trade or business carried on

by the organisation, the following income of individual promoters and employees of NGOs are not tax exempt:

(a) emoluments of promoters;
(b) fees, other remuneration or benefits-in-kind paid to trustees and guarantors; and
(c) salaries or other remuneration of employees.

It is the responsibility of an NGO under the PAYE obligation to deduct tax at source from salaries and other emoluments of employees, directors, officers, etc. and remit same to the relevant tax authorities in the currency of payment of the emoluments.

22.12.10 Liability for capital gains

Based on the provision of sections 34 (1) and 162(1)(iii) of NTA, where the following two conditions are jointly fulfilled, the gains from the disposal of chargeable assets of NGOs are tax exempt.

(a) the gains are not derived from the disposal of asset acquired in relation to any trade or business carried on by the organisation; and
(b) the gains are used purely for the purpose of the activities of the organisation.

22.12.11 Liability to value added tax (VAT)

Section 185(1)(c) provides that VAT on goods purchased by NGOs for use in humanitarian donor-funded projects is VAT exempt provided the humanitarian donor shall first pay the VAT and request for the refund from the Service. . Similarly, any service procured or consumed by NGO is liable to VAT at the prevailing rate, save where such service is exempt under the VAT Act.

The above notwithstanding, VAT shall be applied at the prevailing rate where an NGO procures contracts or purchases goods not directly used in humanitarian donor-funded projects.

NGOs shall self-account for VAT and remit same to the NRS where goods or services are procured from persons not liable to VAT or from non-resident suppliers.

NGOs shall charge VAT on all taxable goods and services supplied and remit same to the NRS as and when due. The returns shall be filed with NRS on or before the 21st day of the month following that in which the purchase or supply was made.

22.12.12 Other statutory responsibilities of NGOs - section 31 of NTA

NGOs are required to:
(a) maintain accurate record of employees; and
(b) maintain proper books of accounts.

Non-compliance with the requirements stated above, attracts penalties under the extant tax laws.

22.13 Incentives that are granted to companies engaged in gas utilisation (downstream operations)

22.13.1 Definitions

"Gas utilisation" means the marketing and distribution of natural gas for commercial purposes and includes power plant, liquefied natural gas, gas to liquid plant, fertilizer plant, gas transmission and distribution pipelines.

"Sunset" under the Tenth Schedule to the Act means a period counting from the date of commencement of the Act after which a sector, industry or activity shall cease to be eligible for the economic development incentive. A company engaged in gas utilisation (downstream operations) has a period of 20 years.

22.13.2 Introduction

The Tenth Schedule to the NTA, having identified companies engaged in gas utilisation (downstream operations) under the list of priority sectors, such a company shall, in respect of that trade or business, be granted the following incentives in line with the provision of section 176 of NTA:

(a) an economic development tax credit at the rate of 5% per annum for a period of 5 years shall apply to each eligible Qualifying Capital Expenditure acquired within 5 years effective from the production date;

(b) subject to section 57 of this Act - effective tax rate, the economic development tax credit may be utilised to offset the tax payable of any year of assessment during the priority period, except the additional tax payable under that section; and

(c) a company having unutilised tax credit or eligible QCE on which 5% per annum tax credit is yet to be claimed for 5 years, after the end of the priority period, may within 5 years thereafter carry forward such utilised tax credit and any amount remaining unutilised shall lapse.

The above notwithstanding, the company shall file returns during the priority period and provide evidence of compliance with the minimum qualifying criteria, which include approval of its application for the incentive and meet the terms of the economic development certificate - section 179 of NTA.

Section 170(3) of NTA provides that an economic development incentive certificate may be extended for an additional period of five years and no more, on the condition that the priority company invests 100% of its profits during the incentive period for expansion of the same product or services.

22.14 Taxation of institutions offering non-interest financial products and services in Nigeria in line with the provisions of the Non-Interest Finance (Taxation) Regulations, 2022

22.14.1 Introduction

The NRS issued the Non-Interest Finance (Taxation) Regulations, 2022, effective April 1, 2022. These regulations provide a comprehensive tax framework for financial institutions offering non-interest financial products and services, ensuring parity with conventional finance while adhering to Islamic commercial jurisprudence.

22.14.2 Objectives of the Regulations

The Non-Interest Finance (Taxation) Regulations, 2022 were issued by the NRS to create a structured and fair tax framework for non-interest financial products and services, especially those guided by Islamic finance principles. The key objectives of the Regulations include:

(a) Ensure tax parity with conventional finance

(i) The Regulations aim to level the playing field between non-interest and conventional financial systems by ensuring both are taxed equitably, despite differences in structure and terminology.
(ii) Non-interest transactions, though different in form, often serve similar economic purposes as conventional financial arrangements. This regulation ensures equal tax treatment for similar economic outcomes.

(b) Provide legal and regulatory certainty

(i) The Regulations clarify the tax treatment of non-interest financial instruments such as Murabaha, Ijarah, Musharakah, Mudarabah, Sukuk, and others.

(ii) They remove ambiguity around how such instruments are to be treated for purposes of VAT, withholding tax (WHT), and stamp duties.

(c) Promote the growth of the non-interest financial sector
(i) By formalising the tax rules for Islamic finance, the Regulations support the development of Nigeria's non-interest banking and finance industry.
(ii) This encourages innovation and entry of new players into the market, including Islamic banks, takaful operators, and fund managers.

(d) Align taxation with Islamic commercial jurisprudence
Islamic finance prohibits interest (riba) and emphasises asset-backed and ethical investments. The Regulations are designed to respect these principles by ensuring that taxes are not imposed in ways that contradict the Sharia-compliant structure of the transactions.

(e) Enhance tax compliance and revenue mobilisation

By providing clarity on the tax implications of non-interest transactions, the Regulations make it easier for financial institutions and investors to comply with tax laws, thereby enhancing overall revenue collection.

(f) Facilitate investment and financial inclusion

i. The Regulations are also meant to attract both local and international investors who prefer or are required to engage in non-interest financial transactions.

ii. They help increase financial inclusion among communities that avoid conventional banking for religious or ethical reasons.

22.14.3 Scope of the Regulations

The Regulations apply to authorised financial institutions in Nigeria that offer non interest financial instruments (NFIs). These institutions operate under principles of Islamic finance, which prohibit interest (riba) and emphasize risk-sharing and asset-backed financing. The scope encompasses the taxation of various non-interest financial products, ensuring clarity and consistency in their tax treatment.

The Regulations are structured into seven parts, addressing the tax implications of twelve distinct non-interest financial instruments, categorised as follows:

(a) Sale-based products

The three types of sale-based products are as follows:

(i) Murabaha (Cost Plus Mark-up): a transaction where a financial institution purchases an asset and sells it to a customer at a markup;

(ii) Istisna or Parallel Istisna: contracts for manufacturing or construction projects financed by the institution; and

(iii) Salam or Parallel Salam: advance payment contracts for future delivery of commodities.

(b) Equity-based products

These include:

(i) Musharakah: joint ventures with shared profits and losses;

(ii) Diminishing Musharakah: partnerships where the customer's ownership increases over time; and

(iii) Mudarabah: investment partnerships with profit-sharing arrangements.

(c) Lease-based products

These include:

(i) Ijarah wa Iqtina (finance Lease): Leases with an option to purchase the asset at the end.

(ii) Ijarah (operating Lease): Standard leasing arrangements without transfer of ownership.

(d) Fee or agency-based product

Takaful (Islamic insurance): insurance based on mutual cooperation and shared responsibility.

(e) Sukuk (Islamic Bonds): Investment instruments representing ownership in underlying assets, compliant with Islamic finance principles.

(f) Islamic fund management
This is a business arrangement involving the pooling of resources together for investment, taking into consideration the Sharia principles between a fund manager and investors.

(g) Islamic real estate investment trusts
This is an arrangement between a fund manager and investors to pool resources together with a view to investing in real estate assets approved by the SEC in compliance with Sharia laws and other relevant laws.

However, by delineating the tax treatments for these instruments, the Regulations provide a clear framework for financial institutions, ensuring compliance and fostering the growth of non-interest financial services in Nigeria.

22.14.4 Tax provisions
The Non-Interest Finance (Taxation) Regulations, 2022 outline specific tax provisions for the treatment of non-interest financial products and services in Nigeria. These provisions are designed to ensure consistency, neutrality, and fairness when compared with conventional financial instruments, while also being aligned with Islamic commercial jurisprudence.

Below is a breakdown of the major tax provisions under the Regulations, categorised by type of product:

(a) Sale-based products

(i) Murabaha (Cost Plus Mark-up)
Tax treatment:
- The initial asset purchase is not taxable (treated as loan).
- The markup (profit) is treated as interest, subject to withholding tax (WHT).
- No VAT or stamp duty is charged on the markup.

(ii) Istisna/Parallel Istisna (manufacturing financing)
Tax treatment:
- The financing provided is treated as a loan—not subject to WHT or VAT.
- The supply of goods/services to the institution by third parties is taxable (subject to VAT and WHT).

(iii) Salam/Parallel Salam (advance payment for goods)
Tax treatment:
- The initial advance is treated as a loan and is tax-exempt.

- The subsequent sale of goods to third parties is taxable (VAT and WHT apply**)**

(b) Equity-based products

(i) Musharakah (joint venture)

Tax Treatment:

- The capital provided by the institution is treated as a loan.
- Profit share received by the institution is treated as interest, subject to WHT.
- Stamp duty applies on transfer of ownership interests.

(ii) Diminishing Musharakah

Tax treatment:

- The gradual transfer of ownership is treated as a repayment of loan, not taxable.
- Rental payments (Ijara component) are subject to WHT (as interest).
- Final ownership transfer is subject to stamp duty.

(iii) Mudarabah

Tax treatment:

- The capital provider (rab al mal) earns a return on investment.
- Profit share received is taxable under normal income tax and subject to WHT.
- Capital losses are treated in accordance with general tax rules.

(c) Lease-based products

(i) Ijarah wa Iqtina (finance lease)

Tax treatment:

- Lease rentals are subject to VAT and WHT.
- Customer may treat lease payments as capital expenditure (QCE).
- Final asset transfer is subject to stamp duty.

(ii) Ijarah (operating lease)

Tax treatment:

- Lessor (financial institution) claims capital allowance on leased asset.
- Lease rentals are taxable (subject to VAT and WHT).
- Renter can deduct lease payments as business expense.

(d) Fee or agency-based products

(i) Takaful (Islamic insurance)

Tax Treatment:

- Management fees and investment income earned by the operator are taxable (subject to VAT and WHT).

- Surplus returned to participants is subject to WHT.
- Agreements between participants and operator attract stamp duty.

(ii) Sukuk (Islamic bonds)
Tax treatment:
- Taxed similarly to conventional bonds.
- Returns paid to Sukuk holders are subject to WHT.
- Transfers of Sukuk certificates are subject to stamp duty, unless exempt under capital market rules.

(e) Islamic fund management
Tax treatment:
Such fund is usually treated in the same manner as conventional fund management.

(f) Islamic real estate investment trust(I-REIT)
Tax treatment:
This is usually treated as a conventional real estate investment for tax purposes.

Other general provisions:
(i) Double taxation relief and transfer pricing rules apply where relevant.
(ii) Instruments must be genuinely structured in line with Islamic principles to benefit from the Regulations.
(iii) Non-compliance or misrepresentation may lead to disqualification from these tax benefits.

22.14.5 Home finance
Home Finance within the context of the Non-Interest Finance (Taxation) Regulations, 2022 in Nigeria, the relevant structure typically falls under Diminishing Musharakah or Ijārah wa Iqtinā' (lease-to-own/finance lease). These are the most commonly used Shariah-compliant instruments for non-interest home financing.

22.14.6 Project financing
Project financing using Shariah-compliant structures typically involves contracts like Istisna, Musharakah, or Sukuk, depending on the nature of the project (for example, infrastructure, construction, manufacturing, etc.).

Project Financing under Non-Interest Finance
(a) Istisna / Parallel Istisna
Use Case: Ideal for construction and manufacturing projects—like roads, buildings, or factories.
Structure:
(i) A customer approaches a non-interest financial institution to finance the construction of an asset.
(ii) The bank enters into an Istisna contract with the customer to deliver the completed project.

(iii) Simultaneously, the bank enters into a Parallel Istisna with a contractor to execute the project.

Tax provisions:

- Financing to customer (Istisna): Treated as a loan, not subject to:
  - VAT
  - WHT
  - Stamp Duties
- Payments to third-party contractor (Parallel Istisna): Subject to:
  - VAT (on the supply of goods/services)
  - WHT (as applicable under regular tax laws)

(b) Musharakah / Diminishing Musharakah

Use Case: Joint project ventures where the bank and client share ownership of the project.

Structure:

(i) The bank and customer contribute capital jointly to undertake a project.
(ii) Profits are shared in a pre-agreed ratio; losses follow capital contributions.
(iii) In a diminishing musharakah, the customer gradually buys out the bank's share.

Tax provisions:

- Bank's capital contribution: Treated as a loan, not taxable.
- Bank's profit share: Treated as interest, subject to WHT.
- Transfer of ownership shares over time: Subject to stamp duty.

(c) Sukuk (Project-based Islamic bonds)

Use case: Financing large-scale public or private infrastructure (for example, roads, energy plants, airports).

Structure:

(i) A Special purpose vehicle (SPV) issues Sukuk, backed by assets (for example, the project).
(ii) Investors earn returns based on asset performance, not interest.

Tax provisions:

- Sukuk returns: Treatment similar to interest; subject to WHT.
- Asset transfers to or from the SPV: May attract stamp duty, unless exempt under capital market regulations. SPV's activities: Typically enjoy tax neutrality if structured properly.

22.14.7 Commodity finance and vehicle asset finance

The Non-Interest Finance (Taxation) Regulations, 2022 in Nigeria, treated both Commodity Finance and Vehicle Asset Finance within the framework of Islamic (non-interest) financing models such as Murabaha, Ijārah, and Salam. These financing models ensure Shariah compliance while facilitating asset acquisition and trade financing without

involving interest (riba).

(a) Commodity finance
Common Shariah Structures:
(i) Murabaha (Cost-plus mark-up)
(ii) Salam / Parallel Salam (advance payment contracts)

(b) Murabaha commodity finance
Structure:
(i) The bank purchases the commodity and sells it to the customer at a mark-up price, payable on deferred terms.
(ii) The markup is agreed in advance and disclosed.

Tax provisions:

- Initial purchase by the bank: Not subject to WHT/VAT (seen as part of financing)
- Markup (profit) is treated as interest equivalent and:
    - Subject to Withholding Tax (WHT).
    - Not subject to VAT, as it's not considered a service or separate sale.
- Stamp duty may apply on the Murabaha contract document.

(c) Salam / Parallel Salam commodity finance
Structure:

(i) The bank pays in advance for future delivery of a commodity (Salam contract).
(ii) A parallel contract is made with a third party for delivery or resale.

Tax provisions:
- Advance payment (loan equivalent): Not taxable.
- Final delivery/sale of the commodity is subject to VAT and WHT.
- Any profit margin realized by the bank from parallel salam is subject to income tax.

(d) Vehicle asset finance
Common Shariah Structures:
(i) Murabaha (cost-plus mark-up)
(ii) Ijārah wa Iqtinā' (lease-to-own)

(e) Murabaha vehicle financing
Structure:
The bank buys a car and sells it to the customer at a profit (markup) with deferred payment.

Tax provisions:

(i) Markup = interest equivalent, hence:
  - subject to WHT.
  - not subject to VAT.

(ii) Stamp duty may apply to the Murabaha agreement.

(iii) Capital gains tax (CGT) generally does not apply, as the bank is not trading vehicles for gain but for financing purposes.

(f) Ijārah wa Iqtinā' (lease-to-own vehicle financing)

Structure:

(i) The bank leases the vehicle to the customer.

(ii) Ownership is transferred at the end of the lease period.

Tax provisions:

- Lease rentals are:
  - subject to VAT.
  - subject to WHT (as finance lease returns).
- The bank claims capital allowance on the asset.
- Final ownership transfer to the customer attracts stamp duty.

22.14.8 Direct investment

This typically refers to equity-based Islamic finance instruments like Musharakah (partnership) and Mudarabah (trust-based investment). These contracts are used for equity participation in businesses or projects without the use of interest, and their taxation is specially treated under the Regulations to ensure parity with conventional investment structures.

(a) Musharakah (Equity Partnership)

Structure:

(i) Two or more parties contribute capital to a joint business venture.

(ii) All parties share profits according to a pre-agreed ratio.

(iii) Losses are shared strictly in proportion to capital contribution.

(iv) Can be used for business expansion, real estate, project development, etc.

Tax provisions:

- Capital contributions: treated as loans from the tax perspective — not subject to VAT, WHT, or stamp duty.
- Profit share received by a financial institution:
  - Treated as interest equivalent, hence subject to Withholding Tax (WHT).
- Losses: handled per general tax rules — allowable to the extent of investment.
- Stamp duty: applicable on the partnership agreement if it involves asset transfer.
- Capital allowance: depends on who owns and uses the asset (can be claimed by user).

(b) Diminishing Musharakah (Gradual Exit Model)

Structure:

(i) Used especially in real estate or asset acquisition (e.g., joint ownership of a property).
(ii) The investor's share is gradually purchased by the other party over time.

Tax provisions:

- The buy-back payments are treated as repayments of principal (non-taxable).
- Rental payments made on the investor's portion:
  - Subject to WHT.
- Final asset transfer: Stamp Duty applies.

(c) Mudarabah (trust-based investment partnership)

Structure:

(i) One party (Rab al Mal) provides the capital, and the other (Mudarib) provides expertise/management.
(ii) Profits are shared as agreed; losses are borne by the capital provider only (unless due to negligence)

Tax provisions:

- Return on capital to the investor (Rab al Mal): subject to WHT, as it's treated similar to interest.
- Profit share earned by the Mudarib (manager): taxable as business income.
- Capital losses: deductible where they meet conditions under Nigerian tax law.
- Stamp duty: applies to the investment agreement if documented formally.

22.14.9 An investment bond

This refers to a Sukuk, which is the Shariah-compliant alternative to conventional bonds.
Sukuk (Islamic investment bonds)

What is Sukuk?

(a) Sukuk represents ownership in a tangible asset, project, or business venture.
(b) Investors earn returns from the performance of the underlying asset, not interest (riba).
(c) Common infrastructure, real estate, and government financing.

Illustration 22.4

Al-Juda Finance Limited is a licensed non-interest financial institution in Nigeria. In 2025 financial year, it was engaged in the following transactions with its clients:

(i) Murabaha transaction: Al-Juda purchased machinery worth ₦100 million from a supplier and sold it to a client at a mark-up of 20%, payable in 5 equal annual instalments. VAT of 7.5% was charged on the initial purchase.

(ii) Ijarah lease: Al-Juda acquired vehicles worth ₦35 million and leased them to another client for annual rentals of ₦15 million over 4 years. The lease agreement provides that the vehicles will remain the property of Al-Juda.

(iii) Sukuk issuance: Al-Juda issued Sukuk bonds worth ₦200 million, backed by a pool of real estate assets. Investors are entitled to annual returns equivalent to 15% of the investment, derived from lease rentals on the properties.

(iv) Takaful arrangement: Al-Juda operates a takaful scheme where members contribute monthly amounts into a common fund. At the end of the year, a surplus of ₦15 million was distributed back to the contributors based on their participation ratio. Agreements were signed by Al-Juda and the participants.

The company sought advice on the correct Nigerian tax treatment of each of these transactions to ensure compliance and avoid double taxation.

Required:

a. Explain the tax implications of each of the four transactions, taking into consideration the provisions of the Non-Interest Finance (Taxation) Regulations, 2022.

b. Explain the challenges Al-Juda Finance Limited may face in applying relevant Nigerian tax legislation to these products.

Suggested solution to illustration 22.4

(a) Tax implications of the transactions

i. Murabaha (machinery financing)

- The purchase of the asset by the financial institution is subject to both VAT and withholding tax.
- The initial purchase price is treated as a loan provided by the financial institution to the customer.
- The markup (profit) of N20,000,000 (20% x N100,000,000) is treated as interest and it is subject to withholding tax (WHT).
- The loan repayments (the price paid by the customer, excluding the markup) are exempt from VAT, stamp duties, and capital gain tax (CGT).
- The markup earned by the non-interest financial institution is subject to the companies income tax (CIT).
- The WHT deducted on the markup is remitted to the relevant tax

authorities in line with WHT regulations.

Agreements executed in the course of the transaction are generally subject to stamp duties.

ii. Ijarah (Lease of vehicles)

- For the lessor, the interest element of the lease rentals is subject to CIT, WHT, and VAT.
- For the lessee, lease payments are allowable income tax expenses if the asset is used for income generation.
- Only the lessor can claim capital allowances on the leased asset.

iii. Sukuk issuance (₦200m bonds)

- Returns to investors of 15% of ₦200,000,000 = ₦30,000,000 is treated as interest-equivalent and subject to withholding tax like conventional bonds interest.

- Returns on investment (profit share) distributed to Sukuk holders are subject to a 10% WHT which is typically a final tax to the recipient.

- Transfer of Sukuk certificates is subject to stamp duty unless exempt under capital market rules.

- Income from corporate Sukuk issuances are subject to CIT.

iv. Takaful (insurance scheme)

- Contributions treated as premiums not taxable to Al-Juda.
- Surplus distribution (₦15,000,000) returned to participants by Al-Juda is subject to withholding tax (WHT).
- Commissions and management fees earned by the Al-Juda are taxable under VAT as the prevailing rate of 7.5%.
- Agreements between participants and Al-Juda attract stamp duty.

(b) Challenges under Nigerian tax legislations

These include:

i. lack of adequate legal framework for islamic finance and reliance on circulars;
ii. risk of double/multiple taxation on Murabaha and Sukuk (VAT, stamp duty, CGT);
iv. capacity gaps amongst tax officials in understanding Shari'ah-

compliant structures;
iv. lack of secondary markets;
v. competition from conventional banks;
vi. low public awareness; and
vii. shortage of trained personnel with the necessary knowledge, etc

22.15 Tax and other incentives available to a labelled startup under the Nigeria Startup Act, 2022

22.15.1 Objectives of Nigeria Startup Act, 2022**.**
The objectives of this Act are to:

(a) provide a legal and institutional framework for the development of startups in Nigeria;
(b) provide an enabling environment for the establishment, development and operation of startups in Nigeria;
(c) provide for the development and growth of technology-related talents; and
(d) position Nigeria's startup ecosystem, as the leading digital technology centre in Africa, having excellent innovators with cutting edge skills and exportable capacity.

22.15.2 Companies covered by the provisions of the Act

a) A startup is eligible for labelling under this Act, where:

(i) it is registered as a limited liability company under the Companies and Allied Matters Act, and has been in existence for a period not more than 10 years from the date of incorporation;
(ii) its objects are innovation, development, production, improvement, and commercialisation of a digital technology innovative product or process;
(iii) it is a holder or repository of a product or process of digital technology, or the owner or author of a registered software;
(iv) it has at least one-third local shareholding held by one or more Nigerians as founder or co-founder of the startup; and
(v) in the case of a sole proprietorship or partnership, it satisfies the conditions set out in paragraphs (ii), (iii) and (iv) above.

b) This Act shall not apply to an organisation which is a holding company or subsidiary of an existing company which is not registered as a startup.
c) A sole proprietorship or partnership referred to in a(v) above shall be granted a pre-label status for a period of six months to enable the sole proprietorship or partnership comply with the requirements set out in a (i), (ii), (iii) and (iv).
d) A sole proprietorship or partnership which fails to comply with (c) above, shall lose the pre-label status granted to it.
e) A labelled startup shall be granted access to the incentives provided under this Act

22.15.3 Composition, functions, and powers of the National Council for Digital Innovation and Entrepreneurship

(a) Composition

The Council shall consist of:

(i) the President of the Federal Republic of Nigeria, who shall serve as the Chairman;
(ii) the Vice-President of the Federal Republic of Nigeria, who shall serve as the Vice Chairman;
(iii) the Minister responsible for Communications and Digital Economy, who shall preside over the Council in the absence of the President and the Vice-President;
(iv) the Minister responsible for Finance, Budget and National Planning;
(v) the Minister responsible for Industry, Trade and Investment;
(vi) the Minister responsible for Science, Technology and Innovation;
(vii) the Governor of the Central Bank of Nigeria (CBN);
(viii) four representatives of the Startup Consultative Forum established under section 12 of this Act;
(ix) one member to represent the Nigeria Computer Society;
(x) one member to represent the Computer Professionals (Registration Council of Nigeria); and
(xi) the Director-General of the National Information Technology Development Agency, who shall serve, as the Secretary of the Council.

(b) Functions and powers of the Council

(i) Functions

The Council shall:

- formulate and provide general policy guidelines for the realisation of the objectives of this Act;
- give overall directions for the harmonisation of laws and regulations that affect a startup;
- approve the programmes of the Secretariat established under this Act;
- ensure the monitoring and evaluation of the regulatory framework to encourage the development of startups in Nigeria;
- monitor and ensure the implementation of the policies and programmes of the Secretariat;
- support digital technological development through grants to persons, research institutions, and universities pursuing postgraduate programmes in the areas of science, technology and innovation;
- make, alter or revoke rules and regulations for carrying out the functions of the Secretariat, subject to the provisions of this Act;

- appoint a Council agent to carry out such functions as the Council may require; and
- perform other functions as are necessary or expedient to ensure the efficient performance of the functions of the Secretariat and other bodies established under the Act.

(ii) Powers

The Council shall have power to:

- review policies and directives of Ministries, Departments and Agencies (MDAs) which may affect the operation, establishment and investments in a startup; and
- regulate its proceedings and make standing orders with respect to the holding of its meetings, notices to be given, the keeping of minutes of its proceedings and such other matters as the Council may determine.

22.15.4 Startup labelling process, obligations, withdrawal and reissuance of startup label

(a) Issuance of a certificate

(i) A startup desirous of being granted a label under the provisions of the Act shall submit an application on the Startup Portal in the prescribed form.
(ii) An application shall be supported by documents prescribed by the Secretariat
(iii) Where the Coordinator is satisfied that an applicant has complied with the requirements for labelling under this Act, the Coordinator shall:

- with the approval of the Secretariat enter the name and particulars of the applicant in the register of startups kept for that purpose; and
- issue to the startup, a startup label.

(iv) The certificate issued, unless the contrary is proven, be conclusive evidence that the startup has:

- complied with all the requirements for labelling specified under this Act; and
- have been duly labelled, in accordance with this Act.

(v) A startup label shall be valid for a period of 10 years from the date of issuance.

(b) Obligations of a labelled startup

A labelled startup under this Act shall:

(i) comply with all the extant laws governing businesses in Nigeria;
(ii) provide information annually on the number of human resources, total assets and the annual turnover achieved from the period the startup label was granted;
(iii) maintain proper book of accounts in accordance with reporting obligations

provided under extant laws and regulations;

(iv) provide an annual report on incentives received and advancement made by virtue of the incentives;

(v) notify the Coordinator of any change in structure, composition or objects within a period of one month from the date of such change; and

(vi) comply with the obligations set out by the Coordinator after issuance of the startup label.

Where a labelled startup defaults in any of the obligations, or fails to meet the eligibility criteria under this Act, the Coordinator shall notify the labelled startup of the default, and within 30 days of the notification, the startup shall take steps to rectify the default.

(c) Withdrawal of startup label

Where a labelled startup fails to regularise the default after being notified, the Secretariat shall withdraw the startup label and notify the relevant MDAs or investors that may have granted incentives to such labelled startup.

(d) Reissuance of startup label

Where a startup, whose startup label is withdrawn under section 17 of this Act, rectifies the default, it may apply to the Secretariat for a re-issuance of the startup label.

25.15.5 Management of the Startup Investment Seed Fund

(a) There is established the Startup Investment Fund to be managed by the Nigeria Sovereign Investment Authority (the Fund Manager).

(b) There shall be paid into the Fund on an annual basis, a sum not less than N10,000,000,000 from sources to be approved by the Council.

(c) The Fund shall be applied to:

i. provide a labelled startup with finance;
ii. provide early-stage finance for labelled startups on the recommendation of the Fund Manager subject to the approval of the Council; and
iii. provide relief to technology laboratories, accelerators, incubators and hubs.

(d) The Fund Manager shall:

i. create an innovation grant budget and management framework to support research and development projects, and
ii. issue a framework which shall set out modalities to fund, manage, and access the Fund.

22.15.6 Tax and fiscal benefits available to labelled startups

(a) A labelled startup which falls within industries captured under the extant Pioneer

Status Incentives (PSI) Scheme may upon application through the Secretariat receive expeditious approval from the Nigerian Investment Promotion Commission (NIPC) for the grant of the tax reliefs and incentives under the PSI Scheme.

(b) Notwithstanding the provisions of any other law, the Federal Government may, through the Federal Ministry responsible for Finance or any other relevant MDA, simplify the requirements for a startup to benefit from existing fiscal incentives.

(c) In accordance with the provisions of the Industrial Development (Income Tax Relief), a labelled startup may be entitled to exemption from the payment of income tax or any other tax chargeable on its income or revenue for a period of three years and an additional two years if still within the period of a labelled startup, provided that the commencement date of the tax relief shall be the date of the issuance of the startup label.

(d) A labelled startup shall enjoy full deduction of any expenses on research and development which are wholly incurred in Nigeria and the restrictions placed by the Companies Income Tax Act shall not apply to a labelled startup.

(e) Non-resident companies that provide technical, consulting, professional or management services to a labelled startup shall be subjected to a five percent withholding tax on income derived from the provision of such services, provided that the payment of the withholding tax, shall be the final tax to be paid by such non -resident companies.

(f) A labelled startup shall be exempted from contributions to the Industrial Training Fund where it provides in-house training to its employees for the period where it is designated as a labelled startup.

(g) The Secretariat shall ensure that a labelled startup involved in the exportation of products and services, which are deemed eligible under the Export (Incentives and Miscellaneous Provisions) Act, is entitled to export incentives and financial assistance from the Export Development Fund, Export Expansion Grant and the Export Adjustment Scheme Fund.

(h) The Secretariat shall ensure that a labelled startup has access to grants and loan facilities administered by the CBN, the Bank of Industry or other bodies statutorily empowered to assist small and medium scale enterprises and entrepreneurs.

(i) Credit guarantee scheme

- The Secretariat shall establish a Credit Guarantee Scheme (in the Act referred to as "the Scheme") for the development and growth of a labelled startup under this Act.
- The scheme established shall have the following objectives:
  - ✓ the provision of accessible financial support to a labelled startup;
  - ✓ creation of a framework for credit guarantee for a labelled startup;
  - ✓ provision of financial and credit information to startups; and
  - ✓ provision of financial management capacity building programmes to startups.

(j) Where a Scheme is established, the Secretariat shall ensure that there is:

- a strategy and operational goals which align with the objectives;

- criteria for eligibility and qualification for recipients of funding under the Scheme;
- criteria for the monitoring and evaluation of projects undertaken under the Scheme and the efficiency of the operations of the Scheme;
- mechanism for transparency, accountability and reporting on the activities of the Scheme; and
- chattels, registered intellectual property, assignment of shares or any other instrument identified in the collateral registry as sufficient collateral.

22.15.7 Incentives and reliefs for investors investing in a labelled startup

(a) The Federal Government, through the Federal Ministry responsible for Finance and other MDAs, shall develop and implement a national policy for incentives for individuals, impact investors, angel investors, companies, venture capitalists, private equity funds, accelerators or incubators which invest in a labelled startup or in the startup ecosystem to enjoy tax credits on their investment.
(b) Notwithstanding the provisions of the NTA, an angel investor, venture capitalist, private equity fund, accelerators or incubators which invests in a labelled startup shall be entitled to an investment tax credit equivalent to 30% of the investment in the labelled startup provided that such credit shall be applied on any gains on investment which are subject to tax.
(c) Tax shall not be charged on gains that accrue from the disposal of assets by an angel investor, venture capitalist, private equity fund, accelerators or incubators with respect to a labelled startup provided the assets have been held in Nigeria for a minimum of 24 months.

22.15.8 Criticism of tax incentives

The Nigeria Startup Act 2022 has received both praise and criticism. While it aims to create a supportive environment for startups, some experts have raised concerns about its potential effectiveness which include the following:

(a) Overemphasis on legislation: some argue that the Act alone may not be enough to fuel the growth of Nigeria's startup economy, suggesting that other factors like infrastructure, talent, and market access also play crucial roles;
(b) Implementation challenges: the Act's success depends on effective implementation, which can be hindered by bureaucratic processes, inadequate funding, or lack of clarity on specific provisions.
(c) Limited impact on growth of SMEs: research suggests that the Act's objectives may not necessarily redefine SME growth in Nigeria, implying that more targeted support might be needed for small and medium-sized enterprises; and
(d) Uncertainty around benefits: some studies indicate that the perceived benefits of the Act may not materialise without proper execution and infrastructure.

Despite these criticisms, the Act has introduced promising initiatives, such as:

(a) Startup Investment Fund: a fund to provide relief to startups, technology laboratories, accelerators, incubators, and hubs;
(b) Tax incentives: tax breaks and exemptions for labelled startups, including exemption from income tax for three years, extendable by two more years;
(c) Simplified regulations: streamlined registration and licensing processes for startups through the Startup Support and Engagement Portal; and
(d) Intellectual property protection: collaboration with relevant agencies to support labelled startups in commercialising and internationalising their intellectual property rights.

Overall, while the Nigeria Startup Act 2022, has potential, addressing the identified challenges and uncertainties will be crucial to its success.

25.15.9 Non-resident companies that provide services to a labelled company - section 51(8) of NTAA

A non-resident company that provides technical, consulting, professional or management services to a labelled startup shall be subjected to a 5% deduction on income derived from the provision of such services, which shall be the final tax to be paid by such non-resident company.

22.16 Tax implication of the establishment of the defence and security infrastructure Fund - section 59(6) of NTA and the Fourteenth Schedule to the Act

22.16.1 Establishment of fund

(a) The Fund known as the Defence and Security Infrastructure Fund (the Fund) has been established for the implementation of a national security scheme and the development of defence industry and infrastructure in Nigeria.

(b) 10% of the development levy imposed shall be paid and credited to the Fund
(c) The Fund created shall be used exclusively for operational purposes to enhance security in Nigeria.

22.16.2 Management of Fund

(a)The following security agencies and bodies will jointly manage the Fund:
i. Nigerian Army, Nigerian Navy and Nigerian Airforce, established under the Armed Forces Act, Cap. A20, Laws of the Federation of Nigeria, 2004;
ii. Nigerian Police Force established by Police Act, Cap. P19, Laws of the Federation of Nigeria 2004;
iii. Department of State Security (DSS) established under the National Security Agencies Act, Cap. N74, Laws of the Federation of Nigeria, 2004;
iv. Nigerian Security and Civil Defence Corps (NSCDC) established under the Nigerian Security and Civil Defence Commission Act, No. 6, 2007;
v. Nigerian Forest Security Service (NFSS) established under the Nigerian Forest Security Service Act 2025;

vi. Defence Intelligence Agency (DIA) established under Decree 19 of 1986; and
vii. Office of the National Security Adviser established under the National Security Agencies Act of 1986.

(b) The monies due to each agency shall be paid directly to the agency's account with the Central Bank of Nigeria.

(c) Monies from the Fund shall be used by the agencies to fulfil the performance of functions and obligations as provided under the establishment laws of the agencies, including obligations on maintenance, reporting and accountability of funding.

22.16.3. Fund allocation details
The 10% allocation from the development levy shall be divided and managed as follows:

S/N	Agency	Percentage of the fund
1	Defence Headquarters	8%
2	Nigerian Army	20%
3	Nigerian Navy	12.5%
4	Nigerian Airforce	12.5%
5	ONSA / Counter-Terrorism Center	6%
6	Nigeria Police Force	10%
7	Police Trust Fund	8%
8	Department of State Security	9%
9	Nigerian Security and Civil Defence Corps	5%
10	Nigerian Forest Security Service	5%
11	Defence Intelligence Agency	4%

22.16.4 Modification

The allocation, distribution, and management of the Fund established under the Schedule shown above may be reviewed by the National Assembly from time to time to ensure the effective distribution and maintenance of the Fund based on needs and emerging challenges in Nigeria.

22.17 Taxation of lottery and gaming trade or business - section 62 of NTA

22.17.1 Definitions

(a) "Gaming" includes gambling, wagering, video poker, roulette, craps, bingo, slot or gaming machine, drawings or other games of chance conducted by any person;

(b) "Lottery" or "lotteries" includes any betting, game, scheme, arrangement, system,

plan, promotional competition or device for the distribution of prizes by lot or chance, or as a result of the exercise of skill and chance or based on the outcome of real or virtual sporting events, or any other game, scheme, arrangement, system, plan, competition or device.

22.17.2 Taxation of income

(a) The income of lottery and gaming trade or business shall be charged to tax in accordance with the provisions of this Act.

(b) In the determination of assessable profits of lottery and gaming trade or business, the following deductions shall be allowed, in addition to other deductions allowed under Chapter Two of this Act:

(i) any amount paid as winnings, prizes or similar payments from the relevant Prize Fund;

(ii) agency commission expenses incurred; and

(iii) levies paid to relevant regulatory and government authorities as contained in relevant federal or state laws.

22.18 Taxation of digital assets and virtual assets related activities

22.18.1 Definitions

(a) Digital assets - section 201 of NTA

"Digital assets" means digital representation of value that can be digitally exchanged, including, but not limited to, crypto assets, utility tokens, security tokens, non-fungible tokens (NFT), such other similar digital representation or derivatives of any of the listed or similar assets and any other asset as may be defined by the relevant regulatory authority."

(b) Electronic or digital services - section 147 of NTAA

"Electronic or digital activities" means the receipt, emission or transmission of signals, sounds, messages, images or data of any kind by cable, radio, electromagnetic systems or any other electronic or wireless apparatus in respect of any commerce, trade or activity, including electronic commerce, application store, high frequency trading, electronic data storage, online adverts, participative network platform, online gaming, cloud computing, online teaching services, digital content services, supply of user data, search engines or online payments.

22.18.2 Interpretations based on the Seventh Paragraph to the Fifth Schedule to the NTAA

(a) "Virtual asset" means a digital representation of value that can be digitally traded or transferred and used for payment, investment, or other financial purposes which include cryptocurrencies, tokens, and digital collectibles, but virtual assets shall not include certain types of digital currencies and assets, which are:

(i) national currencies and foreign national currencies;
(ii) electronic money licensed by the Central Bank of Nigeria;
(iii) instruments that provide the holder with access to products, services or benefits, such as loyalty programs and other reward systems; and
(iv) digital representations of other assets whose issuance, bookkeeping, trading or settlement is provided for under the Investments and Securities Act,2007.

(b) "Virtual Asset Service Provider (VASP)" means a person who offers services related to the exchange, custody, or management of virtual assets on behalf of clients;

(c) "Anti-Money Laundering (AML)" means measures designed to prevent criminals from disguising illegally obtained funds as legitimate.

(d) "Counter-Terrorism Financing (CTF)" means efforts to prevent the financing of terrorism, including through virtual assets.

(e) "Know Your Customer (KYC)" means the process of identifying and verifying the identity of clients.

22.18.3 Registration as a Virtual Assets Service Provider - paragraph 1 of the Fifth Schedule to the NTAA

Any taxable person who is engaged in virtual assets related activities, including the exchange, trading, custody, or issuance of virtual assets, shall for tax purposes, register with the relevant tax authority as a Virtual Assets Service Provider (VASP).

22.18.4 Filing of returns - section 25 of NTAA

(a) A Virtual Asset Service Provider (VASP) shall, with or without a notice, in addition to the returns provided in sections 11 and 13 of this Act - income tax returns for companies and income tax returns for individual, respectively, submit to the relevant tax authority, the information prescribed in (b) below.

(b) The returns shall contain:
(i) a description of the virtual asset service (exchange, sale, or transfer of virtual assets) provided during the month;
(ii) the date of the transaction;
(iii) the type and value of the virtual assets involved;
(iv) the sales value of the virtual assets;
(v) the name, address, telephone number, email address and Tax ID of the customer, including the national identification number of the customer if he is an individual;
(vi) the name, address, telephone number and email address of any counterparty involved to the transaction; and
(vii) such other particulars as may be prescribed by the relevant tax authority.

(c) Notwithstanding (a) and (b) above, the relevant tax authority may at any time, with or without a notice, request a VASP to submit further information in a prescribed form, by a specified date.

22.18.5 Taxable transactions - paragraph 2 of the Fifth Schedule to the NTAA

(a) Taxable virtual assets transactions include:
  (i) the sale, exchange, or transfer of virtual assets;
  (ii) mining or staking activities that generate income;
  (iii) airdrops, bounties, or any form of virtual asset received as compensation or reward; and
  (iv) any other transaction or activity relating to virtual assets.

(b) Transaction where payment for goods and services is made with virtual assets, shall:
  (i) be subject to the same tax treatment as transactions conducted in fiat currency;
  (ii) have the same value as the goods and services, determined at the market price at the time of the transaction; and
  (iii) be reported as income by the person receiving such payments in virtual assets and pay taxes in accordance with the provisions of this Act.

22.18.6 Valuation of virtual assets -paragraph 3 of the Fifth Schedule to the NTAA

The value of virtual assets shall be ascertained for tax purposes by using the prevailing market price at the time of the transaction, as determined by a recognised virtual asset exchange platform approved by the Service.

22.18.7 Filing of returns - section 25 of NTAA

(a) A Virtual Asset Service Provider (VASP) shall, with or without a notice, in addition to the returns provided in sections 11 and 13 of this Act - income tax returns for companies and income tax returns for individual, respectively, submit to the relevant tax authority, the information prescribed in (b) below.

(b) The returns shall contain:
  (i) a description of the virtual asset service (exchange, sale, or transfer of virtual assets) provided during the month;
  (ii) the date of the transaction;
  (iii) the type and value of the virtual assets involved;
  (iv) the sales value of the virtual assets
  (v) the name, address, telephone number, email address and Tax ID of the customer, including the national identification number of the customer if he is an individual;
  (vi) the name, address, telephone number and email address of any counterparty involved to the transaction; and
  (vii) such other particulars as may be prescribed by the relevant tax authority.

(c) Notwithstanding (a) and (b) above, the relevant tax authority may at any time, with or without a notice, request a VASP to submit further information in a prescribed form, by a specified date.

22.18.8 Taxpayer obligations - paragraph 4 of the Fifth Schedule to the NTAA

A VASP shall keep records and books and report virtual assets activities to the relevant tax authorities.

22.18.9 VASP reporting obligations - paragraph 5 of the Fifth Schedule to the NTAA

A VASP operating in Nigeria shall:

(a) report any large or suspicious transactions involving virtual assets to the Service and the Nigerian Financial Intelligence Unit (NFIU) in accordance with existing anti-money laundering (AML) laws;
(b) obtain a Special Control Unit Against Money Laundering Certificate (SCUML Certificate) issued by the relevant authority;
(c) report any suspicious activity or transactions related to virtual assets that may involve money laundering, terrorist financing, or fraud to the Nigerian Financial Intelligence Unit (NFIU) within 48 hours;
(d) provide periodic reports of customer transactions to the Service, including but not limited to, exchange, sale, or transfer of virtual assets;
(e) maintain accurate customer information to comply with Know Your Customer (KYC) requirements; and
(f) maintain records of all customer transactions and identification data for at least seven years after the date of the last transaction.

22.18.10 Customer due diligence and Know Your Customer (KYC) Obligations - Paragraph 6 of the Fifth Schedule to the NTAA

VASPs shall for the purpose of ensuring that digital or virtual transactions or assets are captured for taxation, conduct thorough customer verification, in accordance with the KYC and Anti-Money Laundering (AML) guidelines, as follows:

(a) collect personal identification details (name, address, national ID, etc.);
(b) conduct risk assessments and ongoing monitoring of transactions;
(c) implement effective internal controls to prevent money laundering and terrorist financing;
(d) report regularly, suspicious activities to the relevant law enforcement agencies;
(e) implement industry-standard cybersecurity protocols to protect customer data, transactions and assets from breaches or unauthorised access; and
(f) conduct internal audits to ensure compliance with AML/KYC, tax obligations and reporting standards.

22.18.11 Treatment of loss - section 28(3)(b)(iv) of NTA

Any loss arising in any period from sales, disposal or any other transaction in digital or virtual assets shall only be deductible against the profit or gain from digital or virtual assets.

22.18.12 Penalty for non-compliance with the provisions of NTAA by VASP -section 109 of NTAA

Any VASP who fails to comply with the provisions of this Act shall be liable to an administrative penalty of ₦10,000,000.00 in the first month of default, plus:

(a) ₦1,000,000.00 for every subsequent month that the default continues; or
(b) suspension or revocation of operating license by the Securities and Exchange Commission.

22.19 Digital economy (including taxation of income from e-commerce and e-business)

22.19.1 Introduction

Generally, business transactions are undertaken with the traditional view of a market in mind and taxation of these market activities has been a source of government revenue.

Global industrialisation and efficiency in the dynamics of production and distribution of goods and services has significantly changed the pre-historic perception of a market from being a designated location for exchange of goods and services to boundless geography bolstered by daily human interactions in search for ways to meet their basic needs. This trend is the same with both developed and developing economies like Nigeria.

Obviously, technology has led the way in providing a platform for these voluminous and boundless transactions to happen leading to the creation of a system of trade known as e-commerce which has made international trade easier, faster and less burdensome while at the same time advancing the per capita income of participants therein.

Essentially, e-commerce presents a major challenge for tax administrations, given the often-multi-jurisdictional nature of the transactions and the potential anonymity of the parties.

It is, therefore, crucial to give the subject a critical examination through the lenses of relevant statutes

22.19.2 Definitions of e-commerce

The term "Electronic Commerce" sounds so familiar. Everybody seems to have an understanding of what it means. The term is used on a daily basis in newspapers or on television. However, looking at the term "Electronic Commerce" from a more academic point of view, one realises that there is no standard definition of "Electronic Commerce".

The definitions differ significantly depending on the various authors and sources. Some definitions include all financial and commercial transactions that take place electronically, including electronic data interchange, electronic funds transfers, and all credit/debit card activity. Others limit electronic commerce to retail sales to consumers.

The following are some of the definitions offered on e-commerce:

“The use of electronic networks to exchange information, products, services and payments for commercial and communication purposes between individuals (consumers) and businesses, between businesses themselves, between individuals themselves, within government or between the public and government and between business and government.” (Source - “Green Paper on Electronic Commerce for South Africa, 2000”)

The 2025 OECD technical paper on definition of e-commerce and guidelines for interpretation defines ‘e-commerce transaction’ as “the sale or purchase of goods or services, conducted over computer networks by methods specifically designed for the purpose of receiving or placing of orders. The goods or services are ordered by those methods, but the payment and the ultimate delivery of the goods or services do not have to be concluded online. An e-commerce transaction can be between enterprises, households, individuals, governments, and other public or private organisations”.

The guidelines for interpretation as provided by OECD are as follows:

(a) Include: Orders made via webpages, apps, extranets, and Electronic Data Interchange (EDI). The type is defined by the method of making the order;
(b) Exclude: Orders made by telephone calls, facsimiles, on-premise mechanisms (including but not limited to kiosks or QR codes), manually typed messages (including but not limited to e-mails).

“E-commerce” is the sale of goods and services through the internet. The e-commerce is an important part of the e-business - a larger notion regarding digital technologies used to information and communication for the help/ optimisation of business. In other words, commercial transactions are carried out on the internet, from purchasing products in online stores to making payments and delivering products or services to buyers” (Source - Dalina-Maria Andrei, 2024)

Judging by the various definitions offered on e-commerce, one thing is common and that is the use of electronics in the conduct of business transactions. Therefore, e-commerce can be defined literally to mean all transactions whether visible or invisible which are conducted electronically.

22.19.3 Differences between e-commerce and e-business

Most often, the terms "e-business" and "e-commerce" are used interchangeably; however, they are not synonymous. E-commerce refers to buying and selling online, while e-business encompasses all business conducted online. Therefore, e-commerce can be viewed as a subset of e-business.

Below are the differences between e-commerce and e-business.

	E-commerce	**E-business**

1	E-commerce involves commercial transactions done over the internet.	E-business is conduct of business process on the internet.
2	E-commerce is use of electronic transmission medium that caters for buying and selling of products and services	In addition, e-business also includes the exchange of information directly related to buying and selling of products.
3	Thus, those activities when essentially involve monetary transactions are termed "e-commerce"	In addition, it includes activities like procurement of raw materials or goods, customer education, looking for suppliers etc.
4	E-commerce usually requires the use of just a website.	E-business involves the use of CRM's, ERP's that connect different business processes.
5	E-commerce involves the mandatory use of internet	E-business can involve the use of internet, intranet or extranet.
6	E-commerce is narrower concept and restricted to buying and selling.	E-business is a broader concept that involves market surveying, supply chain and logistics management and using data mining.

22.19.4 Efforts made by the government to track income arising from e-commerce and e-business

These include:

(a) National digital trustmark initiative

On October 10, 2025, the Federal government unveiled the initiative to facilitate the verification of authentic e-commerce websites and platforms in Nigeria. Based on the new framework, e-commerce platforms are required to display the trustmark seal on their websites and platforms. The seal allows third parties to easily identify verified platforms and transact safely.

(b) Companies and Allied Matters Act, 2020

This Act requires the incorporation, registration and management of corporate businesses, including online organisations.

(c) Significant economic presence (SEP) rules - Section 17 of NTA

(i) The income, profits or gains of a non-resident person accruing in, or derived from Nigeria are chargeable to tax in accordance with the provisions of this Act.

(ii) Gains derived by a non-resident person from disposal of chargeable assets are taxable in Nigeria where the gains relate to:

- a trade, business, profession or vocation carried on by the non-resident person in Nigeria;
- any asset located in Nigeria; or
- any asset deemed to be located in Nigeria under this Act.

(iii) Profits derived from any trade, business, profession or vocation carried on by a non-resident person are taxable in Nigeria where the person has a permanent establishment or significant economic presence in Nigeria to the extent that the profit is attributable to the permanent establishment or significant economic presence.

(iv) A non-resident person shall, subject to any regulations that may be issued by the Minister to that effect, have a significant economic presence in Nigeria where the person transmits, emits or sends by itself or through other person, signals, sounds, messages, images or data of any kind by cable, radio, electromagnetic systems or any other electronic or wireless apparatus to Nigeria in respect of any activity, including electronic commerce, application store, high frequency trading, electronic data storage, online adverts, participative network platform, online payments, supply of user-data, search engines, digital content services, online gaming, cloud computing, online teaching services, and so on, and profit can be attributable to such activity .

(d) Profits or gains from transaction in digital assets - section 4 of NTA
The profits or gains made from the transaction in digital assets, which include cryptocurrencies, tokens, etc. shall be subject to CIT at 30% or PIT, ranging from 0% to 25%.

(e) Filing of returns by Virtual Assets Service Providers (VASPs) - section 25 of NTAA

VASPs are required to register with NRS and with or without notice, submit returns in line with the provision of section 25 of the Act, in addition to the returns provided under sections 11 and 13 of the Act - income tax returns for companies and individuals, respectively.

(f) Fiscalisation of supplies for VAT - section 157 of VAT

(i) A taxable person making a taxable supply shall implement the fiscalisation system deployed by the Service in accordance with section 23 of Nigeria Tax Administration Act, that is, Value Added Tax Fiscalisation System

(ii) The fiscalisation system may include fiscal equipment consisting of electronic devices, software solutions or a communication system involving a secured network, or any such combination of the components for electronic invoicing and data transfer as the Service may prescribe or deploy.

(g) Taxable supply of non- residents - section 150 of NTA

(i) A non-resident person who makes taxable supplies to Nigeria shall register for tax and include VAT on its invoice for all taxable supplies. For the avoidance of doubt, this obligation also applies to digital or supplied services done electronically, including cloud hosting, e-commerce platforms, streaming, etc

(ii) Where a non-resident person is making taxable supplies from outside Nigeria to persons in Nigeria, the taxable person to whom the supply is made in Nigeria shall withhold the VAT due on the supply and remit it to the Service.

(iii) A non-resident person that makes a taxable supply to a person in Nigeria may appoint a representative for the purpose of compliance with its VAT obligations.

(iv) The Service may issue guidelines for the purpose of giving effect to the provisions of this section, including the form, time and procedure for filing returns and payment by non-resident suppliers appointed by the Service.

(v) Where taxable goods are imported into Nigeria through an online electronic or digital platform operated by a non-resident supplier and VAT has been collected by the Service or any person appointed by the Service, the goods shall not be further subjected to VAT before clearing upon provision of proof of payment of the VAT.

This section accommodates the destination principle of VAT by ensuring that VAT on imported goods and services are charged where they are consumed rather than where they are produced.

(h) Controlled foreign company and the minimum effective tax rate - section 6 of NTA

(i) The profits of a Nigerian company are deemed to accrue in Nigeria wherever the profits arise and whether or not such profits have been brought into or received in Nigeria.

(ii) Where a foreign company which is controlled by a Nigerian company has not, in a year, distributed profits to its shareholders, the proportion of the profits of the controlled foreign company attributable to the Nigerian company, which could have been distributed without detriment to the company's business shall be construed as distributed and included in the profits of the Nigerian company for the purposes of (i) above.

(iii) Where the income tax paid by a non-resident company which is a subsidiary of a Nigerian company or a member of a multinational group of a Nigerian company in any year yields less than the minimum effective tax rate prescribed by this Act, the Nigerian parent company shall pay an amount to make that non-resident subsidiary's income tax equal to the minimum effective tax rate.

(iv) The Nigeria Revenue Service (the Service) shall provide detailed rules for the implementation of (ii) and (iii) above.

(i) Stamp duty on electronic money transfer - Nineth Schedule to the NTA

This captures any financial transaction above ₦ 10,000 made through digital channels except those relating to money paid into one's own account or transferred electronically between accounts of the same owner within the same bank.

(j) Non-resident persons tax office (NRPTO)

The NRS has a specialised office which focuses specifically on the taxation of non-resident persons and cross-border transactions with a view to ensuring compliance and facilitating monitoring.

(k) Mandatory registration of Global Tech Giants

It is now mandatory for several multinational digital platforms, including Netflix, LinkedIn, Google, Facebook, Meta, etc. to register with NRS with a view to paying the relevant taxes. They are also required to collect VAT on transactions done through their systems.

(l) Automation of tax administration

With the introduction of the TaxPro Max platform in 2021, the system merges with a transaction monitoring system that provides NRS with real-time visibility into electronic transactions executed by banks, fintechs, and payment service providers with a view to capturing such transactions for tax purposes.

(m) Capacity development of staff

Staff of NRS are continually trained and retrained to improve their knowledge on tax matters and to be abreast of developments on emerging tax issues.

(n) Tax inspectors without borders

This initiative put together by OECD and UNDP allows experts to work with local tax officials on real-time audits, thereby strengthening local tax administration capacity, and ultimately boosting tax revenue.

22.19.5 Current treaty rules for taxing business profit: implications for e-commerce

Whilst there are significant differences between bilateral tax treaties, the principles underlying the treaty provisions governing the taxation of business profits are relatively uniform and may be summarised as follows:

(a) Liability to a country's tax: residents and non-residents

Under the rules of tax treaties, liability to a country's tax first depends on whether or not the taxpayer that derives the relevant income is a resident of that country. Any resident taxpayer may be taxed on its business profits wherever arising (subject to the requirement that the residence country eliminate residence-source double

taxation) whilst, as a general rule, non-resident taxpayers may only be taxed on their business profits to the extent that these are attributable to a permanent establishment situated in the country (see below for the exceptions to that general rule).

Residence, for treaty purposes, depends on liability to tax under the domestic law of the taxpayer. A company is considered to be a resident of a State if it is liable to tax, in that State, by reason of factors (that is, domicile, residence, incorporation or place of management) that trigger the widest domestic tax liability. Since the reference to domestic factors could result in the same company being a resident of the two countries that have entered into a treaty, treaties also include so- called "tie-breaker" rules that ensure that a taxpayer will have a single country's residence for purposes of applying the treaty. The tie-breaker rule of the OECD Model Tax Convention provides that a company that is considered to be a resident of two countries is a resident only of the country in which its place of effective management is situated.

(b) Permanent establishment (PE): the treaty nexus/threshold for taxing business profits of non-residents

Treaty rules for taxing business profits use the concept of permanent establishment as a basic nexus/threshold rule for determining whether or not a country has taxing rights with respect to the business profits of a non-resident taxpayer. That threshold rule, however, is subject to a few exceptions for certain categories of business profits. The permanent establishment concept also acts as a source rule to the extent that, as a general rule, the only business profits of a non-resident that may be taxed by a country are those that are attributable to a permanent establishment.

The basic treaty definition of "permanent establishment" is "a fixed place of business through which the business of an enterprise is wholly or partly carried on". That definition incorporates both a geographical requirement (that is, that a fixed physical location be identified as a permanent establishment) as well as a time requirement (that is, the presence of the enterprise at that location must be more than merely temporary having regard to the type of business carried on).

In order to be able to conclude that part or the whole of the business of an enterprise is carried on through a particular place, that place must be at the disposal of that enterprise for purposes of these business activities. The treaty definition of permanent establishment provides, however, that if the place is only used to carry on certain activities of a preparatory or auxiliary character, that place will be deemed not to constitute a permanent establishment notwithstanding the basic definition.

The basic definition of permanent establishment is supplemented by a rule that deems a non- resident to have a permanent establishment in a country if another person acts in that country as an agent of the non–resident and habitually exercises an authority to conclude contracts in the name of the non- resident.

That rule, however, does not apply to independent agents acting in the ordinary

course of their business.

As already mentioned, there are a number of exceptions to the permanent establishment nexus/threshold general rule as regards some categories of business profits.

On the one hand, some categories of profits may be taxed in a country even though there is no permanent establishment therein. This is the case of:

(i) profits derived from immovable property (for example, hotels, mines etc.), which, in all or almost all treaties, may be taxed by the country of source where the immovable property is located;

(ii) profits relating to the performance of entertainers and athletes, which, in all or almost all treaties, may be taxed by the country of source where the performance takes place;

(iii) profits that include certain types of payments which, depending on the treaty, may include dividends, interest, royalties or technical fees, on which the treaty allows the country of source to levy a limited tax based on the gross amount of the payment (as opposed to the profit element related to the payment);

(iv) under some treaties, profits derived from collecting insurance premiums or insuring risks in the source country; and

(v) under some treaties, profits derived from the provision of services if the presence of the provider in the country of source exceeds 183 days in a 12-month period.

(c) Computation of profits: the separate entity accounting and arm's length principles

The treaty principles for computing the business profits that may be taxed by a country are similar whether a country has taxing rights over business profits because these profits are those of a resident taxpayer or because these business profits are attributable to the permanent establishment of a non- resident taxpayer.

In both cases, the rules for computing the business profits that may be taxed by the source country are based on the separate entity accounting and arm's length principles. Thus, each legal person or permanent establishment is generally treated as a separate taxpayer regardless of its relationship with other entities or parts of an entity. Each branch or subsidiary that is part of a multinational enterprise is therefore treated separately for purposes of the computation of profits under tax treaties, with the important proviso that, for purposes of determining the profits of each such branch or subsidiary, the conditions (that is, primarily the price) of intra-group transactions may be readjusted to reflect those that would prevail between independent enterprises (the arm's length principle).

The OECD, in its Transfer Pricing Guidelines (1995, in paragraphs 5 and 6 of the preface), identifies the "separate entity approach as the most reasonable means for achieving equitable results and minimising the risk of unrelieved double taxation,"

notes that, “to apply the separate entity approach to intra-group transactions, individual group members must be taxed on the basis that they act at arm’s length in dealing with each other,“ and concludes, “To ensure the correct application of the separate entity approach, OECD Member Countries have adopted the arm’s-length principle.

The “traditional” methods of determining arm’s length prices (contained in Chapter II of the OECD Transfer Pricing Guidelines) are: (a) comparable uncontrolled prices (CUP); (b) resale price (minus a margin); and (c) cost plus (a mark- up). In recent years, reflecting problems in applying the traditional methods, two additional “transactional profits methods” have been added to the OECD Transfer Pricing Guidelines: the "profit split method" and the “transactional net margin method.”

Profit split method. The profit split methodology first identifies the combined profit to be split between the affiliated enterprises from controlled transactions and then seeks to divide that profit based on the functions performed, assets used and the risks assumed by each. The profits to be split may be either the total combined profits from the controlled transactions or the residual profits that cannot be easily assigned to any of the enterprises on some appropriate basis, after providing a basic return to each entity for the activities performed.

Transactional net margin method - The transactional net margin method examines profit margins, relative to an appropriate base such as costs, sales, or assets. Thus, it operates in a manner similar to the cost plus and resale price methods.

The OECD notes at paragraph 3.49 of the transfer pricing guidelines that traditional transaction methods are to be preferred over transactional profit methods. It is, however, recognised at paragraph 3.50 that there are cases of last resort where traditional transaction methods cannot be applied reliably or exceptionally at all and so where transactional profit methods have to be applied. The paragraph concludes that as a general matter, the use of transactional profit methods is discouraged. Since 1995, however, there has been a much wider use of profit methods by both taxpayers and tax administrations, especially to deal with the integration of functions within a multinational group (see the 1998 OECD Global Trading Report) and with unique and highly valuable intangibles.

(**Source**: **OECD Centre for Tax Policy and Administration (2004)**

In 2025, the OECD issued an update to the OECD Model Tax Convention and the changes include:

(a) Cross-border working from a home or other relevant place (when a home office creates a taxable presence for employers)

Where a home or another relevant place, is used on a continuous basis during an extended period of time for carrying on activities related to the business of an enterprise, this and other facts may indicate that such a place should be considered a

place of business of the enterprise.

(b) Natural resources

The new options treaty provision allows source countries extensive rights to tax income from offshore and onshore resource extraction. Countries with abundant extractible natural resources (oil, gas and minerals) face policy choices concerning their exploitation. Implications for jobs and the effect on the environment, for example, are among the issues to be considered. Countries will certainly look to secure for themselves an adequate share of the value that is bound up in the resources that they own and what is due, in part at least, to their finite nature.

How countries secure that share of the value is a complex matter, and will depend on factors unique to each country, the non-resident enterprises, and the resource in question. Usually, countries will use several instruments to optimise their return on the exploitation of those resources, for example, production -sharing contracts, up-front bonus payments, ongoing royalties, as well as companies income tax, amongst others.

States have agreed bilaterally to enlarge the taxing right of the Source State over profits from the exploitation of its extractive natural resources by non- resident enterprises beyond what a treaty following the Convention would otherwise deliver.

(c) Transfer pricing

The primary target of the updates is the transfer pricing aspects of financial transactions and the interaction with domestic laws.

The update only governs the allocation of profits and once the profits of the associated enterprises have been allocated in accordance with the arm's length principle, it is for the domestic laws of each Contracting State to determine whether and how such profits should be taxed.

The update does not deal with the issue of whether expenses are deductible when computing the taxable income of either enterprise. The conditions for the deductibility of expenses are a matter to be determined by domestic law.

(d) Exchange of information

Tax authorities are now empowered to use information received via exchange for tax purposes involving unnamed persons or taxpayers other than those originally identified in the request.

Receiving jurisdictions are not required to inform a Sending State or seek prior authorisation to use this data for these additional purposes.

(e) Dispute resolution

Taxpayers and competent authorities must now rely on the guidance in the OECD Report on Amount B when assessing mutual agreement procedure (MAP) requests or determining resolutions for cross-border transfer pricing disputes. Amount B is part of the OECD's "Pillar One" global tax reform designed to simplify the complex rules used to determine taxes for multinational companies. It specifically targets "baseline marketing and distribution activities" - the routine work of local branches that buy products from their parent company and sell them in local market. In the past, it was difficult to figure out a "fair' profit for these local branches using the arm's length principle. Amount B provides a pre-set range of expected returns based on the industry, the branch's expenses and the assets.

The goal of Amount B is to reduce tax disputes and lower compliance costs. Countries can choose whether or not to adopt these rules into their domestic legislation for fiscal years starting from January 1, 2025. By using a set formula, there is less room for disagreement between tax collectors and companies over what a "fair" profit is.

For jurisdictions that are yet to adopt Amount B, the update has ensured that optionality is preserved in dispute resolution mechanisms, that is, they are not forced to apply the rules in MAP proceedings. MAP is a dispute resolution mechanism put in place for double taxation agreements (DTAs) to resolve cases of taxation not in accordance with the treaty.

(**Source: The 2025 Update to the OECD Model Tax Convention)**

22.19.6 Complexities of e-commerce taxation

E-commerce has become an integral part of everyday life and accessibility to e-commerce platforms is not a privilege but rather a necessity for most people in the urban areas.

As of December 2017, 4.1 billion of the world's population had internet access, out of which, Nigeria had a total of 98.3 million internet and broadband subscribers. This penetration of internet coupled with the increasing confidence of the internet users to purchase online, has led to an increasing confidence of the internet users to purchase online, and has led to an enormous growth in the e-commerce space.

Taxation of e-commerce

Many companies today run profitable enterprises outside their home countries through websites hosted on servers they neither own nor operate. Physical presence to perform the traditional commercial activities is no longer required; technology invention has replaced the physical transactions with bytes and data.

The internet has made international borders inconsequential for e-commerce and business transactions, leaving countries with the challenge of developing a workable tax policy for those online dealings. Due to non-existence of geographical boundaries in the e-

commerce world, the question, where profits should be taxed becomes crucial. This also challenges the fundamental principles and assumptions of international taxation, such as physical presence, place of residence of a person etc. that are the very basis of ascertaining tax liability.

Tax rules in Nigeria

The provisions of the NTA, 2025, govern the taxation of income in Nigeria. As per the provisions of the Act, international taxation in Nigeria is as per the following principles:

(a) Jurisdictional nexus
The prime principle that determines whether tax can be levied on commerce or not within territorial jurisdiction of Nigeria is defined.

(b) Source of income
The source-based taxation rule provides authority to tax the income in the source country, that is, the profit from e-commerce transactions shall be taxed in the country of its origin.

(c) Status principle
Resident and non-resident principle determines whether the person is eligible for taxation in Nigeria on its global income or Nigerian income only.

Please note that the principles discussed above are governed by the provisions of sections 17 to 19 of NTA, 2025.

Tax complexities in e-commerce

With the accessibility to internet across borders, e-commerce transactions can involve people who are residents of more than one country. Therefore, income arising out of such transactions may be taxed in more than one country. E-commerce raises twin problems:

(a) the determination of the **character of income that is generated** by the e-commerce transaction: is it royalty, business profit, or fees for technical service?
(b) the determination of income liable for tax, which necessitates the establishment of **the existence of a permanent establishment (PE)** and determination of attributes of income, if any, to the PE.

Income characterisation

The Act as well as the tax treaties impose different tax treatments on different types of cross-border income, for example, business profits are generally sourced to the country where the income- producing business is based and taxed on a net basis. Royalty income, on the other hand, is generally sourced to the country where intellectual property was used (for example, the country where the consumer of the intellectual property is resident) and may be subject to gross withholding taxes.

The digital world raises a number of problems with respect to income characterisation

issues. Cross-border transactions involving the transmission of digital goods and services often makes it difficult to determine whether a transfer of product has occurred, whether services have been performed, or whether an intangible product has been licensed. The problem is that transactions involving e-commerce are very difficult to track thereby making it difficult for the tax authority to impose tax.

The existence of permanent establishment

Under the Nigerian tax system, companies resident in Nigeria are liable to pay tax on their global income whilst non-resident companies are subject to tax in Nigeria only on the activities carried out within Nigeria through a permanent establishment.

For a non-resident company, therefore, where a tax liability arises in more than one jurisdiction, the company can seek relief from double taxation under existing double taxation treaties, which are by and large, adaptations of the OECD model tax convention.

The main challenge posed by e-commerce to the Nigerian tax system is that the law that governs direct taxes, that is, income taxes, is presently premised on the concept of permanent establishment (PE) as presently defined in the double taxation treaties. With the advent of e-commerce, the need for physical presence in the country receiving the goods or services is removed or at best diminished. This creates the problem of how to determine the right to tax profits that are derived from e-transactions.

On indirect taxes (VAT), the major challenge is how to track e-commerce transactions for purpose of VAT collection.

Source: Rakesh Nangia & Neha Malhotra (2015)

22.19.7CIT, VAT and WHT implications on e-commerce

As earlier explained, the taxation of profits derived from e-commerce activities would be almost impossible due to the problems posed by the nature of the transactions such as the difficulty in tracking the transactions, the ability to determine physical presence, etc.

However, in order to counter most of the problems posed by the emergence of e-commerce activities so as to enable tax authorities (particularly in developing countries) to be able to properly track and levy tax on e-commerce activities, there is the need to continually institute a legal framework for the taxation of electronic transactions.

Essentially, the legal framework for the taxation of e-transactions must adopt the OECD model for the taxation of e-commerce.

Challenges of taxation of e-commerce transactions in Nigeria, CIT implication on e-commerce

Income taxes are premised on structure, as imposition of income tax is limited to a particular geographical location of a taxable entity, that is, company, with the basic

consideration of source of income and fixed base. Section 6 of NTA expounds on this by subjecting to income tax all profits of any company from any trade accruing in, derived from, brought into or received in Nigeria.

Section 17 of NTA, provides for the tax assessment of a non- Nigerian company where the taxable entity has a fixed base for business purposes, does business through an authorised agent and operates a business (contract for surveys, deliveries, installation or construction) in Nigeria.

The above is a clear limitation on the assessment and imposition of tax on a non- resident company in Nigeria. The express restriction imposed by "fixed base in Nigeria" has strong tax implications on e-commerce. How then does the Nigerian government impose income tax on a foreign business transacting business via the internet with a Nigerian wherein:

(a) the non-resident has no fixed place of business;
(b) has no agency relationship with any person; and
(c) the objects of the business do not conform to the relevant income tax legislations?

These queries posit obvious answers that where the above conditions do not exist; the only logical conclusion is that gains/profits from such transaction are a loss to the government tax-wise.

While local transactions are wholly chargeable to tax except where allowances and priority sector status apply, the ability of the relevant tax authority to access and assess chargeable income is put to test. This is the stiffest of all tests as the relevant tax authority is saddled with the responsibility of tracking e-transactions, which is a herculean task.

The principles of source and residence have formed the basis for taxation internationally.

The nature of e-trade, whether it is for tangible or intangible goods and services is a key consideration in administering tax on e-commerce related transactions. Therefore, it is important to institute policies that encourage and monitor e-payments as well as ensure a liaison between the e-payment systems, banks, the authority themselves and the annual returns filed by companies.

The implication of the above is that it will aid the tax authority in tracking and identifying profits attributable to e-transactions that are liable to Nigerian tax. This would reduce or eliminate the current tax revenue leakages that exist in e-commerce activities.

VAT implication on e-commerce

The general principle for imposing VAT is the destination principle. Under this principle, VAT is imposed at the point of consumption/rendition of goods and services. Section 150 of NTA, 2025, is also premised on this principle.

Section 185 of NTA provides that tax shall be charged and payable on the supply of all goods and services save goods and services specifically exempted. Therefore, in

interpreting the above, section 201 of the Act defines taxable supplies to mean "any transaction for sale of goods or the performance of a service, for a consideration".

The implication of the above interpretation is that for VAT to apply, it must have been included in the prices of goods and services. Also, where the transaction is for the supply of taxable goods for consideration other than cash, the value shall be deemed to be its market value.

In the above instance and bearing in mind the fundamentals of VAT, it can be safely assumed that VAT is payable at the location of supply. It is also logical to conclude that the fact that an order is made via the internet does not obliterate the incidence of VAT where there is a delivery of the goods.

Furthermore, section 149 of NTA also provides that the value of imported taxable goods shall be equal to its price that is inclusive of all taxes as well as other charges levied outside Nigeria apart from the VAT and all costs by way of commission and other related costs up to the place of importation are equal to the price.

Section 4 of NTAA also provides for the registration of a taxable person with the relevant tax authority and obtain a Taxpayer Identification ("Tax ID") for the purposes of compliance with tax obligations. A non-resident company is expected to register for tax using the address of the person with whom it has a subsisting contract.

From the foregoing, it is evident that where there is a supply of goods, irrespective of whether the order was made via the internet or through physical contact that the transaction should be liable to VAT.

WHT implication on e-commerce

As earlier explained, once the principle of source and destination is clearly defined and policies that encourage/monitor e-payments as well as ensure liaison between the e-payment systems, banks and the authorities themselves (including the annual returns filed by companies) are put in place, then the tracking and identification of incomes from e-transactions by the relevant tax authorities will be possible. Therefore, the imposition of WHT on e-commerce will be very evident, that is, WHT will be applicable on the supply of goods and services consumed in Nigeria, thereby increasing the revenue generation by the tax authority.

In spite of the above, it is important that the current income tax law is amended to properly cater for the taxation of e-commerce transactions. Also, there is the need for the tax authority to continually come up with a clarification note, that is, official circular, on tax implication of e-commerce transactions and or e-business generally.

22.19.8 Taxation issues in e-commerce

The rise of Internet commerce will present a range of challenges for the NRS, States IRS, as it will transcend state and national borders and commerce will become truly global in

every sense. Small and medium enterprises (SMEs), and more consumers than ever before, will have the opportunity from the comfort of their personal computers or Web TVs, to buy and sell goods internationally.

Already in Australia, large telecommunications companies such as Telstra are running advertisements encouraging people to conduct their businesses through their "Big Pond" Internet service, touting as one of its advantages that consumers can be multinationals too and have access to an international market.

Next, ponder the prospect of these goods and services being downloaded electronically and the entire transaction being protected by sophisticated encryption technologies.

A simple example will serve to illustrate the nature of the challenge involved here: A consumer in Australia could download software made in England, marketed via a web site in Los Angeles and delivered by a server located in the Cayman Islands. In this scenario, two issues that immediately arise are to:

(a) identify whether a transaction has occurred and, if so, in what jurisdiction; and
(b) assess whether tax should be applied and how it should be paid.

It is quite evident that electronic commerce will have a considerable impact on the way in which transactions are conducted and considered for taxation by the Area Tax Offices (ATO). Once the full impact of electronic commerce is experienced, the present tax system that was designed for an industrial world will face many challenges. The new economy, facilitated by the growth of electronic commerce, will require an equally fundamental change to cope with the issues that will arise.

The issues of taxation that arise in Cyberspace include challenges to tax administration, consumption tax and finally, questions will need to be raised in relation to concepts that have become entrenched in our income tax law, such as the concept of what constitutes a "permanent establishment".

Some of the major challenges are summarised below:

(a) Establishing identity

In order to properly carry out taxation laws, the NRS needs not only to identify whether a transaction has occurred, but also needs to ascertain where it has taken place and by whom. Verifying the identities of parties to a business transaction may be difficult in the world of "e-commerce". For example, it may be pretty difficult to identify the true owner of a web site conducting Internet business. The problem here is that the mechanisms for tracing the identity are weak, in that it is a relatively simple matter to arrange for the untraceable use of an Internet web site. The correspondence, furthermore, between the Internet address (the computer "domain name") and the location where the activity is supplied, carried out or consumed is tenuous: although the address will tell you who is responsible for maintaining that site, it may not tell you anything about the computer that corresponds to the actual

Internet address, or even where that machine is located.

Revenue authorities will need to think carefully before responding to this problem by instituting identification and registration requirements as it is likely such requirements will have limited success due to the growing ease with which web sites can be located offshore.

The Committee for Fiscal Affairs of the OECD has responded to this issue by recommending that:

(i) revenue authorities may consider requiring that any business engaged in electronic commerce should identify themselves to Revenue authorities in a manner that is comparable to the prevailing requirements for businesses engaged in conventional commerce in a country.

(ii) this recommendation, while adhering to the desirable quality of trying to achieve neutrality between physical business enterprises and virtual business enterprises operating via the Internet, is essentially advocating voluntary compliance. Indeed, the OECD believes that many businesses will provide information on their web sites that can be used to accurately identify the business and its physical location, but also believes that it would be helpful if the information is provided as a matter of "common business practice." Nonetheless, as is the case in the physical world, any voluntary compliance regime that may be contemplated for the electronic world, will need to be reinforced with other methods to enable the NRS to trace businesses that do not provide this information as a "matter of course." An example of a supplementary measure could be the authorising of access for the NRS to Internet Protocol number allocation records to validate identity.

(b) Establishing location

Assuming a transaction can be identified and the identity of the parties ascertained, the next problem is to determine whether a taxable transaction arises, and if so, in which jurisdiction that transaction should be taxed. Individuals and entities engaging in electronic commerce will be able to easily create an Internet address in almost any taxing jurisdiction irrespective of the location of their residence or the source of their activities.

An example of where this could be exploited is the manipulation of location to obtain a reduced or zero rate of withholding tax on royalties. While the problem of establishing physical presence and withholding tax entitlements is not necessarily a new one, it does take on a different dimension in an electronic commerce world. At present, a payer might be able to rely on the postal address of the payee to verify the right to any treaty benefit. However, in a world of electronic commerce, there is no necessary relationship between an internet address and a physical location.

As an example, a taxpayer may download a digitised photograph from an electronic stock agency and obtain the right to reproduce that image in a magazine or book. The payment for this right would presumably be characterised as a royalty. The seller of this electronic information may claim to be a resident of a treaty country by establishing an internet address in that jurisdiction without any other connection to that jurisdiction in order to claim an entitlement to a reduced or zero rate of withholding tax on royalties.

Therefore, if withholding taxes are to be imposed on electronic commerce, it will be necessary to establish procedures and standards for verifying the identity of electronic counter parties to confirm claimed entitlements to a zero or reduced rate of withholding tax on royalties. Consideration would also need to be given to determining that if withholding taxes were necessary, how would it be administered?

The challenge presented here is that traditional taxation concepts rely on physical presence or economic connection to a physical location; e- commerce, however, has little dependence on physical location. Thus, as physical location becomes less important in an electronic commerce world, it will become more difficult to determine where an activity has been carried out.

Also, it will become easier to exploit rules based on location by establishing an internet presence in jurisdictions to claim treaty or other benefits. Conversely, as an internet presence can easily be relocated, one can expect that manipulation could occur to avoid undesirable tax consequences that may result from having an internet presence in a particular jurisdiction.

(c) Obtaining acceptable documentation of proof will become more difficult
It is generally accepted that the NRS has extensive powers to obtain information from taxpayers and these powers are relatively easy to enforce within Nigeria.

Obtaining information on activities carried out in other tax jurisdictions, however, requires the use of exchange of information provisions found in tax treaties.

Moreover, where books and records are maintained in a tax haven, the NRS will encounter particular difficulties in trying to obtain access to them. Thus, domestic disclosure requirements become difficult to enforce. In any event, it is also questionable whether the evidence that tax administrators would be able to produce on transactions that take place in Cyberspace would satisfy the documentation and evidence standards set by tax laws. These "problems" should in theory be easily overcome by appropriate amendments to existing laws governing record-keeping as required by section 31 of the NTAA

However, corresponding legislative changes will need to be considered to cover encrypted data to ensure that it will be no excuse for businesses to claim that they have lost encryption keys and accordingly cannot produce requested information -

that is, the onus of production of information must remain with taxpayers.

(d) Impact on value added tax

Nigeria currently operates the value added tax system, which essentially applies to the supply of goods and services save for those listed under the first schedule to the Act. Goods are currently defined as being tangible items. As already observed, electronic commerce makes it possible for goods that were previously only available in a tangible form, and therefore subject to the VAT regime, to be delivered in an intangible form which will not be subject to VAT. Returning to the example of music that can now be downloaded directly from the internet, practically, this will have the same function as music sold as a CD in a shop but it will not be subject to VAT as no "good" arises on which VAT could be levied.

As more goods and services become capable of being converted into electronic form, the application of value added tax becomes more complicated and the potential for revenue leakage increases considerably. Already, intangibles such as travel and ticketing services, software, entertainment (on-line gambling, games, and music), insurance and brokerage services, real estate services, banking, information services, legal services, and increasingly health-care, education and government services are appearing on the internet. This trend will no doubt continue to increase, both in number and diversity, of services that become available.

However, there are two points worth mentioning in relation to the application of a VAT in an electronic commerce world:

(i) Tax administrators will experience three main problems in relation to the application of VAT rules, particularly as they may apply to international services:
- ascertaining when a transaction occurs;
- determining where the place of supply is; and
- attaching a value to the transaction: that is, what would be the consideration applicable to the transaction.

(ii) For most businesses, VAT is not a real cost but normally flows through to the final customer who ultimately bears the economic burden of VAT. However, for some businesses that are exempt from VAT, consumption taxes can be a real cost as they may not be able to claim a credit for VAT charged on their business inputs. A good example of this is businesses that operate in the pharmaceutical sector, such as drug manufacturers. As drug manufacturers cannot recover fully the VAT normally charged on their business expenditure, for example, raw materials, they may look to the internet to try to achieve real cost savings. As an example, drug manufacturers may try to avoid VAT by seeking out non-resident suppliers that have no business or other fixed establishment within Nigeria. Such businesses could then establish by contractual arrangements an "artificial" source of supply outside Nigeria, thereby

avoiding VAT. This type of arrangement would undermine the "place of supply" rules that are a feature of traditional VAT systems.

Hence, the advent of electronic commerce would not only have implications for the VAT system but would also have implications for the WHT system.

(e) Impact of electronic commerce on customs procedures

To assess the impact of electronic commerce on customs procedures, it is necessary to differentiate between "on-line" supplies and "off-line" supplies of goods and services.

Goods or services ordered via the internet and physically delivered may be described as "off- line" supplies. Activities involving international mail-order transactions of goods will, in principle, continue to be dealt with by the customs authorities at the point of importation with regard to the collection of both customs duties and VAT as appropriate.

In other words, for the off-line supply of goods and services via the internet, no new problems are presented to tax authorities, other than the significant increase in the number of transactions that can be expected. This in turn raises a question mark over the ability of customs authorities to be able to cope with the resulting demand.

In this regard, the following issues need to be considered:

- more resources will need to be directed to customs authorities to ensure they can cope with the expected increase in the volume of transactions consequent upon electronic commerce; and
- at the June 1999 Kyoto convention organised by the World Customs Organisation ("WCO"), some options to deal with the streamlining and simplifying of Customs clearance procedures were suggested in a common effort toward achieving the full potential of a global market place for consumers.

A review of the customs duty and sales tax-free limit (currently $50) needs serious consideration. Certainly, the OECD has indicated that such a review is appropriate in the context of the global marketplace. The joint committee of public accounts and audit has recommended that the current $50 limit should remain, pending a survey being conducted by the government, which may validate a change of this value to$150.

By contrast, the supply of "on-line" activities in the form of digitised information poses a serious challenge to the current "place of supply" rules contained in most VAT systems. This in turn creates a real possibility of either no taxation or double taxation being levied in an environment where supplies can be made without the supplier having any form of physical

presence.

Source: Dale Pinto (1999). Journal of Australian Taxation 22

22.19.9 Issues, approaches and solutions in taxation of e-commerce

(a) Introduction

The nations of the world are entering a promising yet volatile e-commerce realm. Traditional concepts and principles of taxation are proving to be inadequate. Principles of residence and source for taxation cannot be applied with certainty in the seamless, borderless and timeless market place of e-commerce.

For taxation purposes, the character of income is also important, but e-commerce has the potential of blurring the character of income. Whether the income in these cases, be characterised as business income or royalty or service income is not very clear. In the absence of geographical nexus of a transaction, determination of a tax jurisdiction becomes difficult. Then there are enforcement-related problems revolving around identity and location of taxpayers, exchange of record-related information, recovery of tax, transfer-pricing issues etc.

(b) Working of e-commerce through internet

Electronic commerce is conducted mainly through global computer networks. Generally, electronic commerce conducted through the Internet consists of three parties, namely the internet service provider (ISP), the trader and the customer. E-commerce activities are classified in various categories, which become major sources of online revenues.

However, the issue still remains whether such revenue generated through e-commerce be taxed.

(c) Should e-commerce be taxed?

The information technology (IT) sector has the distinctive characteristics of growth without state support. So, there is often a view that e-commerce should in some sense be allowed to take place in a tax-free environment either by specific legislation or by continued government inaction. However, in view of the author, profit arising out of e-commerce should be taxed. The arguments as advanced below, would attempt to build a case for taxation of this new and potential area of revenue generation.

(i) Benefit theory justification for taxation of e-commerce

An important theory regarding a country's right of taxation is the benefit theory. According to it, a state's right to tax rests on the totality of benefits and state services provided to taxpayers that interact with a country. While in traditional commerce, services provided by the state like infrastructure, police and defense protection etc. are more visible, but benefits arising from

conducive legal infrastructure, consumer base, stable exchange rates and economic stability are equally applicable to e-commerce. So, the state needs to be compensated for the cost of providing public services, by income generating e-commerce activities, too.

(ii) Principle of neutrality is a fundamental tax policy principle

Essentially, it requires that economic processes should not be affected by external influences, such as taxation. In fact, whether a business is carried out through electronic medium or otherwise, should not affect the tax liability. It cannot be a case that traditional bookshop owner pays taxes on his profits while the retailer of books is exempted from paying tax on its profits.

(iii) Vertical inequity in exempting e-commerce from tax

There is also vertical inequity in exempting e-commerce from tax. It cuts cost of procurement, cost of processing transactions as also delivery costs for products and services delivered electronically, for example, software financial services and music. Tax exemption for e-commerce would, therefore, result in those conducting business in traditional manner and earning less profit being taxed whereas those switching over to e-commerce and earning higher profit being exempt from tax.

(iv) Taxation of e-commerce not a constraint

Tax exemption could perhaps have been justified if taxation of e-commerce would have proved a constraint in its healthy growth. But e-commerce has achieved un-paralleled growth not only in the developed countries but also in a large number of developing countries including India. Taxation of e-commerce transactions by no means act as a hurdle to its development and growth.

(v) Tax exemption for e-commerce

Against the spirit of current reform process. Also, 'infant industries' granted preferential tax treatment typically never grows up. Besides, tax exemption for e-commerce would be totally against the spirit of current reform process. Business will modify themselves on the patterns of e-commerce and thus will avoid tax, which will ultimately erode the revenue base.

On the basis of above discussion, it can be concluded that there is no case for exempting e-commerce from direct taxation. Once it is established that transactions on the electronic medium are as much taxable as those in the physical medium, the focus should thus be to analyse the methods of taxation of income arising from e-commerce and the problems arising with the application of traditional principles of taxation in this regard.

(d) Taxation problems posed by electronic transactions

Taxation of income is the conclusive part of the tax-procedure. Initial steps include identification of taxpayer to whom the income belong, determination of tax-jurisdiction (residence vs. source), characterisation of income, etc. After all these requirements are fulfilled, comes the question of assessment of income and collection of tax.

(i) Identification of taxpayer

Income tax, to put it simply, is a tax on income. However, for income to be taxed, it should belong to an identifiable person. Its 'domain name' generally identifies a business engaged in e-commerce on the internet. After identification of the taxpayer, we proceed to determination of jurisdiction of taxation, which is based on source or residence.

(ii) Determination of jurisdiction

A country may tax an income on the ground that the person has been given protection of life and liberty and also that he is intimately connected to its social and economic life, that is, residence basis of taxation. It may also tax an income on the ground that the economic activity giving rise to the income was performed therein – the source basis of taxation. Thus, taxation depends upon the determination with some certainty, of the residence of a person or the place of a source of income.

Most countries tax income on both of the bases. Broadly, a resident is taxed on his global income with credit for taxes paid in source countries and the non- resident is taxed on the income arising in the country. Double taxation of same income may arise due to residence and source conflict and sometimes even due to conflict about the country of residence. Double Tax Avoidance Agreements between countries are aimed at avoiding such double taxation. OECD Model Tax Convention (Model Convention) lays down the principles involved in taxation of cross-border commerce. Most of the countries follow this model convention.

(iii) Determination of residence in the context of the internet

Most of the countries, including Nigeria, determine residence of individuals on the basis of period of stay in the country. Section 201 of NTA, provides 183-day test for determination of residence for individuals.

(iv) Determination of the place of effective management

The problem gets all the more complicated in case of non-individual assesses. The NTA relies on place of control and management to determine the

residence of such assessee.

However, in case of electronic space, it is pretty difficult to determine the exact geographical location where the decision was taken. This makes the determination of the 'place of effective management' extremely complicated.

(d) Digitisation and problem of characterisation of income

Digitisation is significant in terms of the way in which source is defined because the intangible nature of goods and services that may be bought and sold in electronic commerce will arguably exacerbate existing difficulties in characterising income. As electronic commerce allows for an increasing number of goods and services to be delivered in an intangible way due to digitisation, it is likely to make it more difficult to determine, whether income represents sales income, or services income, or whether an intangible product has been licensed, thereby giving rise to royalty income. Apart from taxing rights, it is also important to note that double taxation (or unintentional non-taxation) could result if classifications are not consistent between countries. Given that tax laws of different countries have developed different rules for the determination of both the character and source of income, there are numerous mismatches in the laws, which can result in either avoidance of tax in any country on a particular item of income or multiple taxation of the same income. Indeed, there may be inherent conflicts between source and residence countries where, for example, source countries may want to widen their domestic withholding tax regimes to preserve their tax base, while residence countries may wish to adopt a different classification of an item of income to preserve their taxing rights.

To resolve the above-discussed issues the Model Convention has suggested some relevant principles and classifications of income in e-commerce environment. Also based on relevant considerations, the Model Convention has classified passive e-commerce income in some categories.

The principles and classification articulated in the OECD commentary are however, not universally accepted. Some countries articulate a broad standard of what constitutes a royalty so that negotiated withholding taxes may be applied to payments received by a non-resident that would not otherwise be taxable in the source country under Article 7 or Article 14.

Thus, with the above detailed discussion, it is clear that e-commerce environment, though it is still in its embryonic stage, has posed significant challenges to the traditional bases of taxation. So, the next part of our report analyses some of the policy approaches, which will help us in meeting the needs of e-commerce taxation.

(e) Alternative approaches for taxation of e-commerce

(i) Base–erosion approach

This approach advocated by Professor Richard Durenberger seeks to redress some concerns created by e-commerce. It seeks to maintain the PE principle, which modifying its application to allow for a sharing of the tax base generated by electronic commerce transactions between source and residence countries.

It suggests that withholding at a single rate would be permitted in a source country on any payment that has the effect of "eroding" the tax base of that country. This involves making payments that are tax-deductible in the host country (reducing the profit subject to tax) but are received as income in a tax haven where little or no tax is paid.

The main difficulty is that it does not redefine the concepts of PE, and with existing principles of PE, allocation of profits to PE in active business income cases will be negligible. Also, the simultaneous existence of PE concept implies that the traditional commerce will get taxed differently as compared to e-commerce.

(ii) Virtual permanent establishment approach

Core or mainstream business activities will be subject to source country taxation under the approach, while ancillary activities will not be subject to source country taxation.

This approach helps in achieving a neutral international tax system, whereby the competitors within the same market face the same tax burden and thus derive the same relative net advantage from the infrastructure of the country. This approach helps in preservation of fiscal sovereignty and sharing of the tax-base in the source country. Also, this basis of tax- nexus provides a more reliable jurisdictional criterion than the place of incorporation or establishment of an e-commerce business as it seeks to apply taxing nexus based on economic activity. Thus, it provides a more stable and less manipulability basis for establishing taxing authority in source countries.

However, the biggest disadvantage of this approach is the problems associated with establishing an internationally acceptable standard for determining nexus under this approach, which detracts it from successful implementation. Also, there are difficulties in attributing profits to a virtual PE.

(iii) Refundable withholding approach

It is a hybrid approach, which draws upon elements of other two approaches, to re-conceptualise the way source are currently defined for both active and passive income.

Under this approach, all income from international transactions involving goods or services that are either provided electronically (for example, computer software) or purchased via electronic means (for example, flowers purchased over the Internet) would be treated as "withholding income", which would then be subject to a uniform rate of withholding by source countries irrespective of the category of income involved. In most of the cases, they are taxed in residence countries, though consistent with current practices, they may continue to be taxed on a withholding basis by source countries that withhold tax on such income.

Conversely, if a seller's total gross sales into a jurisdiction for the period exceeded the threshold, then the vendor would be subject to source country taxation and amounts withheld would not be refunded. At the same time, the later ones will have a choice to file a return in the source country and be taxed on net basis.

This approach redefines the source for active business income by putting forward an alternative to the PE threshold for determining source country tax nexus. Also, it simplifies the way source is defined for passive income by seeking to apply withholding tax at a standard rate to all income covered by the proposal irrespective of the character of income.

In summary, it is submitted that the proposed refundable withholding approach could provide a more stable and appropriate basis for source-based taxation of international e-commerce transaction than the current international tax system. Indian e-commerce committee report also, favours the adoption of this approach.

Now after defining the jurisdiction and characterising the income, the next step in tax procedure is 'enforcement', that is, fixing tax-liability and its collection and recovery.

(f) Enforcement issues

The effect of internet on enforcement of tax laws has raised fears of governments being unable to meet legitimate demands of their citizens for public service. Some of those challenges along with possible solutions have been discussed below:

(i) Identity and location of parties

One of the significant perceived threats associated with the advent of internet are anonymity offered by it to the customer; he does not know where the server is located and the server cannot identify where the customer is stationed. In fact, with e-commerce and use of private intranets, it may be difficult to know who is doing what. However, the experience in Australia, as presented in IFA Asia Regional Conference on e-commerce and International Taxation, reflected the possibility of tracing the correct identity and location.

(ii) Anonymity of transactions and accounts

In the conventional commercial environment, the tax authorities are able to collect information by means of books and records in order to support the assessment of tax. However, in the electronic environment, electronic books and records could easily be concealed, or stored in foreign jurisdiction, thus denying the tax authorities access to records. Even the traditional third-party information may be curtailed as the internet encourages the process of dis-intermediation, that is, the process of removing intermediaries from a supply chain.

(iii) Transfer pricing

Transfer pricing issues though not created by e-commerce will become more complex with the internet. The use of the new information and communication technologies in business increases the speed and borderless mobility of the transactions, making it difficult for tax administrators to identify and measure contributions and functions of the single participating undertaking to the unitary business or contract performance. In such situations, how one state would determine the arm's length price is not very clear. In this regard, discussions need to be initiated at international for a, such as OECD, etc. to formulate specific guidelines in this direction.

(iv) On-line delivery and e-cash

The real problem for enforcement in an e-commerce situation arises in transactions involving online delivery and payment, which is growing at a fast pace. In these transactions where the supplier is from a foreign tax jurisdiction it becomes difficult to charge or collect direct as well as indirect taxes. Withholding of tax through a large number of small consumers for direct tax purposes or realising indirect taxes from them is administratively difficult. The development of e-cash is an even more serious challenge for tax administrators.

(v) Identification of taxing jurisdiction

The place of execution of contract and the place where title to the goods or services pass are important in determining where the income accrues or can be deemed to accrue and therefore taxed. In e-commerce, with offer and acceptance on the networks, the place where the contract is executed will not be known under laws and rules applicable to traditional commerce.

Source: Namita Chandra (2005).

22.20 Chapter review

This chapter deals comprehensively with the computation of tax for a selected number of specialised companies, such as those engaged in air and sea transport, cable (communications) undertakings, life and non-life insurance companies, property companies and authorised unit trust outfits. It also discusses issues and challenges with taxation of e-business and e-commerce.

In order to assist readers, worked examples are provided to clearly illustrate the differences inherent in the computation of tax liability for each of the specialised businesses.

22.21 Worked examples

22.21.1 Questions

1. Zen Insurance Plc is a company engaged in both life and other insurance businesses. The company was incorporated in 2024 but commenced business on January 2, 2025.The draft of the projected financial statements of the company for the year ending December 31, 2026, disclosed the following information:

Projected statement of profit or loss
For year ending December 31, 2026

	Life business	Non-life Business	Reinsurance business	Total
	₦'000	₦'000	₦'000	₦'000
Gross premium written	22,000	150,000	78,000	250,000
Gross premium income	22,000	150,000	78,000	250,000
Re-insurance premium	0	(58,000)	0	(58,000)
Net premium income	22,000	92,000	78,000	172,000
Fees and commission income	2,500	6,300	4,200	13,000
Net underwriting income	24,500	98,300	82,200	135,000
Claims expenses	(12,500)	(24,000)	(21,000)	(57,500)
Re-insurance claims	6,000	15,000	0	21,000
Change in contract liabilities	700	(2,300)	0	(1,600)
Net claims expenses	(5,800)	(11,300)	(21,000)	(38,100)
Underwriting expenses:				
Acquisition expenses	(300)	(1,400)	(990)	(2,690)
Maintenance expenses	(1,550)	(4,330)	(1,800)	(7,680)
Total underwriting expenses	(1,850)	(5,730)	(2,790)	(10,370)
Underwriting profit/(loss)	16,850	81,270	58,410	156,530
Investment income	5,800	12,600	13,700	32,100
Other operating income	1,800	3,800	2,400	8,000
Total investment income	7,600	16,400	16,100	40,100

Impairment charges	(450)	(1,330)	(1,080)	(2,860)
Net fair value gain / loss on investment properties	220	680	340	1,240
Net operating income	7,370	15,750	15,360	38,480
Expenses:				
Administrative expenses	(3,900)	(18,000)	(9,500)	(31,400)
Other operating expenses	(880)	(1,100)	(1,420)	(3,400)
Total expenses	(4,780)	(19,100)	(10,920)	(35,800)
Result of operating activities	19,440	77,920	62,850	160,210
Interest expenses	(3,600)	(7,500)	(4,800)	(15,900)
Profit or (loss) before taxation	15,840	70,420	58,050	73,310

Statement of financial position

For the year ending December 31, 2026

	Life Business	**Non-life Business**	**Reinsurance Business**	**Total**
	₦'000	**₦'000**	**₦'000**	**₦'000**
Assets:				
Cash and cash equivalents	900,000	1,660,000	1,220,000	3,780,000
Financial assets	1,600,000	2,800,000	2,300,000	6,700,000
Trade receivable	28,000	52,000	44,000	124,000
Other receivables	1,400	4,600	750	6,750
Investment in subsidiary	0	3,500	0	3,500
Intangible assets	22,000	14,900	26,000	62,900
Property, plant and Equipment	1,200,000	3,550,000	2,400,000	7,150,000
Statutory deposits	5,300,000	9,500,000	20,400,000	35,200,000
Total assets	9,051,400	17,585,000	26,390,750	53,027,150
Liabilities:				
Insurance contracts Liabilities	1,300,000	5,280,000	1,520,000	8,100,000
Investment contract Liabilities	800,000	1,180,000	1,020,000	3,000,000
Trade payable	11,200	18,800	16,000	46,000
Other payables	600	1,200	130	1,930

Employee benefit Liabilities	520	680	550	1,750
Total liabilities	2,112,320	3,480,680	2,556,680	11,149,680

Equity

Issued and paid-up share capital	35,200,000
Share premium	1,800,000
General reserve	2,600,000
Contingency reserve	400,000
Retained earnings	1,877,470
Shareholders' funds	41,877,470
Total liabilities and reserves	**53,027,150**

Additional information:

(i) The company distributed ₦ 3,500,000 surplus arising from actuarial revaluation of life fund.

(ii) Administrative expenses include depreciation:

Life business	Non-life business	Reinsurance business
₦'000	**₦'000**	**₦'000**
960	1,200	1,050

(iii) Premium written from non- life business and reinsurance business include ₦ 15,000,000 and ₦ 13,600,000 from general insurance.

(iv) Projected net liability on life policies on December 31, 2026, is ₦1,298,000.

(v) Capital allowances agreed with the relevant tax authority are as follows:

Life business	Non-life business	Reinsurance business
₦'000	**₦'000**	**₦'000**
250	800	650

(vi) Investment income includes:

	Life business	Non-life business	Reinsurance business
	₦'000	**₦'000**	**₦'000**
Dividend (gross)	1,200	3,000	5,500

Interest on fixed Deposit	3,300	7,600	6,900
Debenture interest	1,300	2,000	1,300
	5,800	12,600	13,700

(vii) The provision for unexpired risk includes:

	Life business	Non-life business	Reinsurance business
	₦'000	₦'000	₦'000
Balance b/f	900	3,000	1,220
Balance c/f	1,300	5,280	1,520

(viii) The projected balance of the life fund account on December 31, 2026, is ₦1,100,000.

(ix) The minimum authorised capital of the company is the same as the paid-up capital.

(x) The estimated claims and outgoings omitted in arriving at the profit before tax for the year is as detailed below:

	Life business	Non-life business	Reinsurance business
	₦'000	₦'000	₦'000
Estimated claims	14,500	35,000	30,500
	14,500	35,000	30,500

Required:

Compute the companies income tax liability for the relevant tax year.

2. Habib Limited is a foreign company involved in air transport business. Its aircrafts are used for cargo and passenger flights between Nigeria and Spain.

The projected financial statements for year ending December 31, 2026, revealed the following:

	₦	₦
Income for passengers flown from Madrid to Nigeria		1,104,425,600
Income for passengers flown from Nigeria to CapeTown		1,113,397,250
Income from cargo loaded into aircraft other routes		1,122,260,000
Income from cargo freight from Nigeria to CapeTown		1,103,375,000
		4,443,457,850

Deduct: Operating expenses:

Depreciation	5,460,000	
Staff salaries	1,840,725,000	
Use of airport facilities	12,987,000	
Accommodation for airtime crew	75,228,500	
Hotel bills for passengers	53,120,000	
General provisions	735,000	(1,988,255,500)
Operating profits		2,455,202,350

In addition to the above, capital allowances were agreed with the relevant tax authority as 175% of depreciation.

Required:
Compute the companies income tax (CIT) liability for the relevant assessment year.

3. **XYZ Limited** is an agricultural company which commenced business on July 1, 2025. It is engaged in plantations, cattle ranching and poultry business and prepares its financial statements to December 31, of every year. Its projected financial statements showed the following results:

	Year ending Dec. 31		
	2026	**2027**	**2028**
	₦	**₦**	**₦**
Revenue:			
Plantation crops	-	-	4,012,000
Cattle ranching proceeds	2,475,000	5,329,000	15,868,000
Poultry proceeds	1,120,000	2,590,000	7,500,000
Total revenue	3,595,000	7,919,000	27,380,000
Expenses:			
Preliminary expenses	125,000	125,000	125,000
Purchase: cockerels	764,000	1,708,005	6,000,000
Cattles purchased	1,000,000	1,600,000	4,050,000
Poultry feeds	739,065	1,764,920	6,574,550
Wages and salaries	1,050,000	2,565,500	5,067,500
Drugs and medicines for animals	109,685	110,625	111,025
Interest on bank loan	-	17,100	18,000
General expenses	41,500	41,720	51,500
Depreciation	450,600	733,420	733,420
Increase in closing inventory:	-	(4,200)	(5,100)
Net (loss)/profit	(684,850)	(743,090)	4,654,105
	3,595,000	7,919,000	27,380,000

Other additional information
Preliminary expenses amounted to ₦ 1,000,000, and it is to be written off in equal annual amounts over a period of eight (8) years, commencing from the period ending December 31, 2026.

Break down of the preliminary expenses is as follows:

		₦
(i)	Stamp duties and registration expenses	115,000
(ii)	Cost of initial clearing and cultivation of land for plantation	35,000
(ii)	Cost of nursery plants purchased from Ministry of Agriculture	65,000
(iv)	Another nursery plants purchased from an Institute of Agriculture	45,720
(v)	Cost of labour and technical expertise on the first planting operation on plantations	28,030
(vi)	Gratifications to local chiefs and heads of families, so as to attract labourers to the farm	711,250
		1,000,000

The following details were extracted from the company's register of property, plant and equipment:

	Cost ₦	Date of purchase
Assets:		
Motor vehicles	12,030,500	January 2026
Office furniture	2,445,000	January 2026
Agric tractor	51,127,000	February 2028
Equipment used in spraying plantations	960,000	February 2028
Building (Administrative block)	22,571,000	March 2028

There was no disposal of any asset within the period.

Required:
Compute the total profits of the company, if any, for the relevant years of assessment.

(4) Apex Unit Trust Scheme is authorised by the Investment and Securities Commission to deal in the business of a Unit trust scheme.

Its projected financial statements for the year ending September 30, 2026, revealed the following:

	₦'000	₦'000
Investment income:		
Dividend (gross)		120,000

Bank deposit interest (gross)		115,000
Rental income		225,000
		460,000
Deduct:		
Staff salaries and wages	5,000	
Managers' remuneration (20% of gross income)	98,000	
Other expenses	33,000	
Depreciation	18,000	(154,000)
Net profit		306,000

Notes:

(i) Both dividend and rental income have been subjected to deduction of withholding tax at 10%.

(ii) Other expenses include an amount of N 550,000, being loss on disposal of property, plant and equipment.

Required:
Compute the assessable profit for the relevant year of assessment.

Suggested solutions to examination type questions

(1) Zen Insurance Plc
Computation of tax liabilities
For 2027 assessment year

(a) Life business

	₦'000	₦'000	₦'000
Investment income:			
Interest on fixed deposit		3,300	
Debenture interest		1,300	4,600
Other income:			
Fees and commission income			2,500
Other operating income			1,800
Actuarial revaluation surplus distributed			3,500
Gross income			12,400
Deduct:			
(i) General reserves	2,600		

Add life fund a/c	1,100		
Total of general reserve and life fund.	3,700		
Net liability on policies	1,298		
:. Amount claimable restricted to maximum of net liabilities on policies.	1,298	1,298	
(ii) Special reserve			
The higher of:			
1% of gross premium – ₦ 22,000,000 x 1% or	220		
10% of net profit – ₦ 15,840,000 x 10%	1,584	1,584	
(iii) Other allowable management expenses:			
Administrative expenses- (N3,900,000 – N960,000)	2,940		
Interest expense	3,600		
Other operating expenses	880	7,420	(10,302)
Assessable profit			2,098
Less: Capital allowance			250
Total profit			1,848

Companies income tax payable is 0% on total profit (not applicable)	N0.00
Federal development levy @ 4% of assessable profit (Not applicable)	N0.00

Non-life business

	₦'000	**₦'000**	**₦'000**
Premium written		150,000	
Less:			
Premium returned on cancelled policies		(0)	
Re-insurance premium		(58,000)	
Gross premium			92,000
Add:			
Interest income:		7,600	
Fees and commission income		6,300	
Other investment income – Debenture interest		2,000	
Other income		3,800	
Re-insurance claim		15,000	34,700
Gross income			126,700
Less: Reserve for unexpired risk calculated on time apportionment basis (N5,280,000-N3,000,000)			(2,280)

			124,420
Less Allowable expenses:			
Administrative expenses			
- (₦ 18,000,000 – ₦ 1,200,000)		16,800	
Other operating expenses		1,100	
Actual total claims expenses	24,000		
Add: Estimated total claims	35,000		
Total claims and outgoings claimable	59,000.	59,000	
Interest expense		7,500	(84,400)
Assessable profit			40,020
Less :Capital allowance			800
Total profit			39,220
₦ 39,220,000 x 30%			11,766,000
Federal development levy 4% of AP (N40,020,000 x 4%)			= ₦ 1,600,800

Reinsurance business:

	₦'000	**₦'000**	**₦'000**
Gross premium		78,000	
Less : Premium returned on cancelled policies		(0)	
Net premium			78,000
Add:			
Interest income:		6,900	
Fees and commission income		4,200	
Debenture interest		1,300	
Other operating income		2,400	14,800
Gross income			92,800
Less: reserve for unexpired risk calculated on time apportionment basis (N1,520,000 - N1,220,000)			(300)
			92,500
Less: Allowable expenses:			
Administrative expenses			
– (₦ 9,500,000 – ₦ 1,050,000)		8,450	

Other operating expenses		1,420	
Actual total claims expenses	21,000		
Add: Estimated total claims	30,500		
Total claims and outgoing claimable.	51,500	51,500	
Interest expense		4,800	
			(66,170)
Less: Transfer to general reserve			
(i) General reserve < minimum paid-up capital (50% of gross profit), that is, N 58,410 x 50%			(29,205)
Or			
(ii) General reserve ≥ minimum authorized capital (25% of gross profit)			
Assessable loss			(2,875
Capital allowance			(650)
Loss and capital allowance c/f			(3,525)

Federal development levy 4% of assessable profit **NIL**

Zen Insurance Plc
Summary of tax liabilities
For 2027 assessment year

	Life business ₦'000	Non-life business ₦'000	Reinsurance business ₦'000	Total ₦'000
CIT payable	0.00	11,766	0.00	11,766
Fed. dev. levy	0.00	1,600.80	0.00	1,600.80
Total tax payable	**0.00**	**13,366.80**	**0.00**	**13,366.80**

Notes:

(i) Under life insurance, section 61(10)(a) of NTA, provides for the deduction from the investment income of a life insurance company, an amount which makes a general reserve and fund equal to the net liabilities on policies in force at the time of an actuarial valuation. The implication of this is that the amount deductible as general reserve and fund shall for no reason be more than the amount of net liabilities on policies, that is, restricted to the maximum of net liabilities in force yearly.

In the light of the above, ₦1,298,000 was deducted from the investment income of the life business of Zen Insurance Plc, being the net liabilities on policies December 31, 2025.

(ii) Under non-life insurance business and re-insurance business (being a non-life business), section 61(9)(a) of NTA, provides for the deduction of a reserve for unexpired risks, calculated on a time apportionment basis of the risks accepted in the year. The implication of this provision is that a reserve for unexpired risk can only be claimed on actual risks accepted in a year, that is, on actual year basis.

In the light of the above, the reserve for unexpired risk deducted from the gross income of Zen Insurance Plc. was ₦2,280,000, that is, (₦5,280,000 less ₦3,000,000) for non-life business and ₦300,000, that is, (₦1,520,000 less ₦1,220,000) for reinsurance business, each amount being the actual reserve for unexpired risk for the year.

(iii) Also, under non-life insurance business and re-insurance business, section 61(9)(b) of NTA, provides for the deduction of outstanding claims and outgoings. Essentially, the Act provides that an amount equal to the total estimated amount of all outstanding claims and outgoing shall be deducted but provided that any amount not utilized towards settlement of claims and outgoings shall be added to the total profits of the following year.

The implication of this is that what is allowed as deductible for outstanding claims and outgoings in any year shall be the total of both the actual and estimated claims and outgoings and that any amount unutilised (being either the total or a part of the estimated claims and outgoings) should be added back to the profits of the following year. This trend is expected to continue on a yearly basis.

(iv) The applicable companies income tax rates used are in line with the provision of section 56 of NTA

Essentially, 0% was the companies income tax rate applied on the total profit of life business, whilst 30% and 0% rates of tax were applied to the total profits/ (loss) of non-life business and reinsurance business, respectively.

2. Habib Limited
Income tax computation
For 2027 assessment year

	₦	₦	₦
Income from passengers' freight from Nigeria to Cape Town			1,113,397,250
Income from cargo freight from Nigeria to Cape Town			1,103,375,000
			2,216,772,250
Allowable deductions:			
Staff salaries		1,840,725,000	
Use of airport facilities		12,987,000	
Accommodation for airline crew		75,228,500	
Hotel bills for passengers		53,120,000	
		1,982,060,500	
Proportion applicable to operations in Nigeria			
= ₦ 2,216,772,250 x ₦ 1,982,060,500		988,819,263	
= ₦ 4,443,457,850			
Depreciation allowance as agreed		9,555,000	(998,374,263)
Total profit			1,218,397,987

Companies income tax payable at (30% of ₦ 1,218,397,987) = ₦ 365,519,396.10

Minimum tax computation (2% of gross revenue relating to the carriage of passengers and cargo freight from Nigeria

= 2% x ₦ 2,216,772,250 = ₦ 44,335,445

The CIT payable is ₦365,519,396.10.

3. XYZ Limited

Computation of total profits

For assessment years 2027, 2028 and 2029

	₦	₦
Assessment year 2027		
(Based on 1/7/26 – 31/12/26)		
Loss for the year		(109,250)
Capital allowance for the year - deemed utilised	1,757,001	
Loss carried forward		(109,250)
Companies income tax		**₦ NIL**
Federal development levy		**₦ NIL**
Assessment year 2028		
(Based on 1/1/27 – 31/12/27)		
Assessable profit		115,330
Unrelieved loss b/f	(109,250)	
Relieved in the year	109,250	(109,250)
Profit not subject to tax		6,080
Deduct:		
Capital allow. -	3,514,000	
- Brought forward	1,757,001	
Capital allowances deemed utilised	1,941,366	
Total profit		0
Companies income tax		**N NIL**
Federal development levy (Not applicable)		**N NIL**
Assessment year 2029		
(Based on 1/1/28 – 31/12/128)		
Assessable profit (not subject to tax)		5,512,525
Deduct:		
Capital allow. - For the year (w. iv)	16,188,500	
- Brought forward	1,941,366	
Capital allowances deemed utilized	18,129,866	

Total profit - not subject to tax	15,512.525
Companies income tax (0% of total profit)	**₦ NIL**
Federal development levy (4% of assessable profit)	₦ NIL

Workings:

(i) Computation of adjusted profits/(loss)

For assessment year

	2027	**2028**	**2029**
	₦	**₦**	**₦**
Net (loss)/profit per accounts	(684,850)	(743,090)	4,654,105
Add:			
Disallowable expenses			
- Preliminary expenses	125,000	125,000	125,000
- Depreciation	450,600	733,420	733,420
Adjusted (loss)/profit	**(109,250)**	**115,330**	**5,512,525**

(ii) Determination of basis period

YOA	**Basis period for assessment**	**Basis period for Capital allowances**
2027	1/7/26 – 31/12/26	1/7/26 – 31/12/26
2028	1/1/27 – 31/12/27	1/1/27 – 31/12/27
2029	1/1/28 – 31/12/28	1/1/28 - 31/12/28

(iii) Computation of assessable profit/(loss)

YOA	**Basis period for assessment**	**Working**	**Assessable profit/(loss)**
2027	1/7/26 – 31/12/26		(109,250)
2028	1/1/27 – 31/12/27		115,330
2029	1/1/28 – 31/12/28		5,512,525

(iv) Computation of annual allowances

	Building expenditure	Motor vehicle	Plantation	Plantation equipment	Office furniture	Total allowance
– Annual (%)	10	25	10	20	20	
	₦	₦	₦	₦	₦	₦
Assessment year 2027						
Acquisitions						
- Jan. 2026						
- Motor vehicles		12,030,500				
- Jan. 2026						
- Plantation			173,750			
- Jan. 2026						
- Office furniture	0			0	2,445,000	
	0	112,030,500	173,750	0	2,445,000	14,649,250
Allowances						
Annual allowance	0	(1,503,813)	(8,688)	0	(244,500)	1,757,001
W.D.V c/f	0	10,526,687	165,062	0	2,200,500	
Assessment year 2028						
Annual						
Allowance	0	(3,007,625)	(17,375)	0	(489,000)	3,514,000
W.D.V. c/f	0	7,519,062	147,687	0	1,711,500	
Assessment year 2029						
Additions:						
March 2028						
Building						
Additions	22,571,000					
- Feb. 2028 -						

Spraying equip.	0	0	0	960,000	0	0
- Feb. 2028 -						
Agric tractor	0	0	0	51,127,000	0	0
	22,571,000	7,519,062	147,687	52,087,000	1,711,500	0
Annual						
Allowance	(2,257,100)	(3,007,625)	(17,375)	(10,417,400)	(489,000)	16,188,500
WDVc/f	20,313,900	4,511,437	130,312	41,669,600	1,222,500	

(a) Expenditure in accordance with the provision of Para 1 (1) of the First Schedule to the NTA.

The capitalised costs consist of:		₦
(i)	Cost of initial clearing and cultivation	35,000
(ii)	Cost of nursery plants (₦ 65,000+ ₦45,720) for first planting	110,720
(iii)	Cost of labour and technical expertise on first planting	28,030
		173,750

(b) Stamp duties and registration expenses have been disallowed, as they are incurred in bringing the company into existence and not for the purpose of producing the profits assessable to tax.

(c) Gratifications to local chiefs and heads of families, have been disallowed because the expenditure was not incurred wholly and exclusively, for the purpose of producing the company's profit or loss.

(d) Section 162 (1)(p) of NTA, 2025 and the Thirteenth Schedule to the Act, exempt the income generated by companies engaged in agricultural businesses, including crop production, livestock, aquaculture, forestry, dairy and such other businesses as described in the Thirteenth Schedule to this Act, for the first five years upon commencement of business.

(e) Small companies are legally exempt from paying companies income tax.

4. Apex Unit Trust Scheme

Computation of assessable profits
For assessment year 2027

	₦ '000
Net profit per accounts	306,000
Add:	
Depreciation	18,000
Loss on disposal of property, plant and equipment	550
	324,550
Deduct:	
Franked investment income	120,000
Assessable profit	204,550

Other points to note

(a) Withholding tax deducted from any income (other than franked investment income) is set-off against any tax assessable on the Unit Trust Scheme for any year of assessment.

(b) Dividend received after deduction of tax is regarded as franked investment income and not subject to any further tax in the hand of the recipient.

CHAPTER TWENTY THREE

FEDERAL DEVELOPMENT LEVY

Contents

a Learning objective
b Learning outcomes
c Purpose and effective date of the levy
d Administration of the levy
e Rate and computation of the levy
f Taxpayers that are exempt from the payment of the levy
g Distribution of the levy paid into a special account created for that purpose
h Requirement that every beneficiary agency and Fund to prepare and submit their income and expenditure to the National Assembly for appropriation
i Offences and penalties
j Chapter review
k Worked examples

23.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the administration, and computation of the levy, filings, offences and penalties.

23.1 Learning outcomes

On successful completion of this chapter, readers should be able to:

(a) explain the purpose and effective date of the levy;
(b) discuss the administration of the levy;
(c) identify the rate and compute the levy payable;
(d) identify taxpayers that are exempt from the payment of the levy;
(e) identify every beneficiary agency and fund;
(f) explain the requirement that every beneficiary agency or fund should submit their income and expenditure to the National Assembly for appropriation; and
(g) discuss the offences and penalties.

23.2 Purpose and effective date of the levy

The funds to be generated are to be used for specific priorities of the government, for example, funding of critical infrastructure and social services. The levy having replaced levies relating to NASENI, Police Trust Fund, NITDA and TETFund, it is hoped that it

will simplify tax compliance and ensure ease of doing business.
The effective commencement date is January 1, 2026.

23.3 Administration of the levy – section 59 (2) of NTA

The Service is empowered to collect the levy and pay it into a special account created for that purpose.

The tax imposed under shall not be levied on assessable profits computed for the purposes of hydrocarbon tax.

23.4 Rate and computation of the levy – Section 59 (1) of NTA

The development levy of 4% shall be imposed on the assessable profits of all companies or enterprise chargeable to tax, other than small companies and non-resident companies.

23.5 Taxpayers that are exempt from the payment of the levy – section 59(1) of NTA

The taxpayers that are exempt from the payment of the levy are:

a) small companies, that is, companies with an annual gross turnover of ₦100 million or less and total fixed assets not exceeding ₦250 million; and
b) non-resident companies that do not have permanent establishment in Nigeria.

23.6 Distribution of the levy paid into a special account created for that purpose – section 59(3) of NTA

The revenue accruing from the levy shall be spread amongst:

(a) Tertiary Education Trust Fund - 50%;
(b) Nigerian Education Loan - 15%;
(c) National Information Technology Development Fund - 8%;
(d) National Agency for Science and Engineering Infrastructure - 8%;
(e) National Board for Technological Incubation - 4%;
(f) Defence and Security Infrastructure Fund -10%; and
(g) National Cybersecurity Fund - 5%.

23.7 Requirement that every beneficiary agency and Fund to prepare and submit their income and expenditure to the National Assembly for appropriation – section 59 (5) of NTA

Every beneficiary agency and Fund as stated in section 28.6 above, shall be required to prepare and submit their income and expenditure to the National Assembly for appropriation.

23.8 Offence and penalties

23.8.1 Failure to register for tax – section 100 of NTAA

A taxpayer who fails or refuses to register for tax, shall be liable to pay an administrative

penalty of —

(a) ₦50,000 in the first month in which the failure occurs; and

(b) ₦25,000 for each subsequent month in which the failure continues.

A statutory body or company who awards a contract to an unregistered person, shall be liable to pay an administrative penalty of ₦5,000,000.

23.8.2 Failure to file returns – Section 101 of NTAA

A taxpayer who fails or refuses to file returns or knowingly files incomplete or inaccurate returns to the relevant tax authority in accordance with the provisions of this Act, shall be liable to pay an administrative penalty of:

(a) ₦100,000.00 in the first month in which the failure occurs; and

(b) ₦50,000.00 for each subsequent month in which the failure continues.

23.8.3 Failure to keep books – Section 102 of NTAA

A taxpayer who:

(a) fails to keep accounts, books and records of business transactions and income, to allow for the correct ascertainment of tax and filing of returns to the relevant tax authority; or

(b) upon request by the relevant tax authority, fails to provide any record or book prescribed in this Act shall be liable to pay an administrative penalty, in the case of —

(i) a person other than a company, ₦10,000.00, and

(ii) in the case of a company, ₦50,000.00.

23.8.4 Failure to deduct tax – section 105 of NTAA

A person who has an obligation to collect, deduct or withhold tax under the relevant tax laws, and fails to collect, deduct or withhold the tax due is liable to an administrative penalty of 40% of the amount not deducted.

23.8.5 Failure to remit tax – section 107 of NTAA

A person, that deducts, collects or withholds any tax under this Act, and fails to remit the amount deducted, collected or withheld by the 21st day of the month immediately succeeding the month in which the amount was deducted, collected or withheld, is liable to pay —

(a) the amount deducted, collected or withheld but not remitted;

(b) an administrative penalty of 10% per annum of the tax deducted, collected or withheld but not remitted; and

(c) interest at the prevailing Central Bank of Nigeria monetary policy rate.

A person required to self-account under this Act and fails to self-account within the time prescribed by this Act, is liable to pay:

(a) the tax not self-accounted for;

(b) an administrative penalty of 10% per annum of the amount not self-accounted for; and

(c) interest at the prevailing Central Bank of Nigeria monetary policy rate.

23.8.6 General penalty – section 127 of NTAA

Any person who contravenes the provisions of this Act for which no specific penalty was provided, commits an offence is liable as follows:

(a) to an administrative penalty of ₦1,000,000; or

(b) on conviction, to imprisonment for a term not exceeding three years or to a fine or both.

23.8.7 Incorrect account – section 131 of NTAA

A person who without reasonable excuse —

(a) makes up or causes to be made up any incorrect accounts by omitting or understating any profits or overstating any losses which is required under this Act to make up accounts;

(b) prepares or causes to be prepared any incorrect schedule or statement required to be prepared under section 17 of this Act by overstating any expenditure or overstating any royalties or other sums or by omitting or understating any amounts repaid, refunded, waived or released; or

(c) gives or causes to be given any false or misleading information in relation to any matter or thing affecting his liability to tax, is liable to an administrative penalty of ₦15,000,000 and 1% of the amount of tax which has been undercharged in consequence of such incorrect account, schedule, statement or information or would have been so undercharged if the account, schedule, statement or information had been accepted as correct, whichever is higher, and is also liable for the appropriate tax which would have been charged.

Notwithstanding the provisions of subsection (1) of this section, a person who gives or causes to be given any false or misleading information in relation to any matter or thing affecting his liability to tax, commits an offence and on conviction is liable to a fine of ₦15,000,000 and 1% of the amount of tax which has been undercharged in consequence of such incorrect account, schedule, statement or information, or would have been so undercharged if the account, schedule, statement or information had been accepted as correct, whichever is higher, and is also liable for the appropriate tax which would have been charged.

23.9 Chapter review

This chapter discusses the Federal Development Levy, taking into consideration the purpose, effective commencement date, beneficiary agency and Fund, taxpayers that are tax exempt and the offences and penalties.

23.10 Worked examples

23.10.1 Questions

(1) Rota Limited has been in business for 4 years. An extract from the company's financial records for the year ending December 31, 2026, is as follows:

	₦
Capital allowances for the year	2,400,000
Total profit	800,000
Depreciation	960,000
Revenue	110,000,000

Required:

Compute the federal development levy for the relevant assessment year.

(2) Harpic Limited commenced business in 2009. You are provided with the following projected financial information for the year ending December 31, 2026:

	₦
Net profit per accounts	1,407,600
Depreciation	100,200
Allowance for doubtful debts	250,000
Donations to ABC political party	420,000

Required:

Compute the federal development levy for the relevant assessment year.

(3) JAPA Industries Plc operates several manufacturing businesses in Nigeria. The company's projected financial results for the year ending December 31, 2026 are as follows:

Item	**Amount (₦)**
Turnover	5,800,000,000
Profit before tax	1,650,000,000
Capital allowances	450,000,000
Disallowed expenses	150,000,000

Additional information:

i. The company has property, plant and equipment valued at ₦1.8 billion.
ii. The company is resident in Nigeria and fully taxable.
iii. The company does not engage in hydrocarbon operations.
iv. The company has already paid companies income tax but has not computed the federal development levy.

Required:

a) Determine the assessable profit of JAPA Industries Plc.
b) Compute the federal development levy payable by the company.
c) Explain whether the company qualifies for exemption from the levy.
d) Explain the policy objective of introducing the federal development levy in Nigeria.

23.10.2 Suggested solutions to questions

(1) Rota Limited
Computation of federal development levy
For year ended December 31, 2026 (Assessment year 2027)

	₦
Total profit	800,000
Add: Capital allowances	2,400,000
Assessable profit	3,200,000

Federal development levy is 4% of assessable profit (₦ 3,200,000) = ₦ 128,000.

(2) Harpic Limited
Computation of federal development levy
For the year ended December 31, 2026 (Assessment year 2027)

	₦
Net profit per accounts	1,407,600
Add:	
Depreciation	100,200
Allowance for doubtful debts	250,000
Donations to ABC political party	420,000
Assessable profit	2,177,800

Federal development levy is 4% of assessable profit (₦ 2,177,800), that is, ₦ 87,112.

(3) JAPA Industries limited

(a) Computation of assessable profit
For assessment year 2027

Description	Amount (₦)
Profit before tax	1,650,000,000
Add: Disallowed expenses	150,000,000
Adjusted profit	1,800,000,000
Less: Capital allowances	(450,000,000)
	1,350,000,000

Assessable profit = ₦1,350,000,000

(b) Computation of federal development levy (FDL)

FDL = 4% × assessable profit

FDL = 4% × ₦ 1,350,000,000

FDL = ₦ 54,000,000

(c) Exemption test

The company **does not qualify for exemption** because:

i. turnover exceeds ₦100 million;
ii. fixed assets exceed ₦250 million; and
iii. it is not a small company.

Therefore, FDL is payable.

(d) Policy objectives

The federal development levy was introduced to, amongst other reasons, to:

i. consolidate multiple statutory levies into a single levy;
ii. reduce tax multiplicity in Nigeria;
iii. improve tax administration efficiency;
iv. provide funding for:
    - education;
    - technology;
    - security infrastructure; and
    - scientific development.

CHAPTER TWENTY-FOUR

CHARGEABLE GAINS

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b Leaning outcomes
c Chargeable gains, chargeable assets and chargeable disposal
d Consideration for assets disposed
e Compulsory acquisition of land
f Date of acquisition or disposal
g Computation of chargeable gains
h Partial Disposal
i Consideration due after the time of disposal - Installmental chargeable gains
j Assets lost or destroyed
k Bargains comprising two or more transactions
l Valuation at market value
m Location of assets
n Life assurance policies
o Rights under policies of insurance, other than life assurance policies
p Personal injury
q Principal private residences
r Personal chattels
s Motor vehicles
t Gifts
u Assets held in trust for charities
v Chargeable gains exempted from tax
w Chapter review
x Worked examples

24.0 Learning objective

The objective of this chapter is to enhance readers' understanding of ascertainment of chargeable gains in Nigeria.

24.1 Learning outcomes

After studying this chapter, readers should be able to:

(a) identify chargeable assets, chargeable disposal and chargeable gains;
(b) know the significance of market value to chargeable gains for transactions that are not at arm's length;
(c) understand allowable deductions for the purposes of ascertaining chargeable gains;
(d) understand how to compute chargeable gains in line with the provisions of the Nigeria Tax Act, 2025;
(e) understand the relevancy of chargeable gains in the determination of taxable person income tax liability; and
(f) understand chargeable gains that are exempted from tax

24.2 Chargeable gains, chargeable assets, and chargeable disposal

24.2.1 Chargeable gains

Chargeable gains are gains that arose as a result of disposal of chargeable assets. In line with the provisions of the Nigeria Tax Act, 2025, that repealed Capital Gains Tax Act, chargeable gains are to be included as taxable income in the determination of the total profit of the company.

24.2.2 Chargeable assets

For the purposes of chargeable gains, all forms of property shall be chargeable assets whether situated in Nigeria or not. Chargeable assets shall include:

(a) any form of asset, shares, options, rights, debts, digital or virtual assets and incorporeal property generally:

(b) any currency other than Nigerian currency; and

(c) any form of property created by the person disposing of it or coming to be owned without being acquired.

24.2.3 Chargeable disposal

There is a chargeable disposal of assets by a person where any sum is derived from a sale, lease, transfer, an assignment, a compulsory acquisition or any other disposition of assets notwithstanding that no asset is acquired by the person paying the capital sum, and in particular where the sum is:

(a) derived by way of compensation for any loss of office or employment;

(b) received under a policy of insurance and the risk of any kind of injury or damage, or the loss or depreciation of assets;

(c) received in return for forfeiture or surrender of a right, or for refraining from exercising a right; and

(d) received as consideration for use or exploitation of any asset.

A disposal of assets includes part disposal of assets and there is a part disposal of assets where an interest or right in or over the assets is created for another person by the disposal, and a part of the interest in the property which subsists before the disposal remains with the person making the disposal.

24.3 Consideration for assets disposed

(a) For the purposes of chargeable gains, the cost of acquisition shall be taken as the amount paid to acquire the assets while the consideration for the chargeable assets disposed shall be the sales proceeds. However, in certain circumstances, the market value of an asset may be taken as the consideration where the person acquires or disposes the assets:

(i) otherwise, than by way of a bargain made at arm's length;

(ii) wholly or partly for a consideration that cannot be valued;

(iii) as trustee for creditors of the person making the disposal; or
(iv) upon devolution on death as a personal representative or legatee of a deceased.

(b) Where a person disposes of an asset by way of gift, other than asset acquired or disposed by devolution on death, the person acquiring the asset shall be deemed to have acquired the asset;

(i) for a consideration equal to the amount for which the asset was last disposed of by way of a bargain made at arm's length; or
(ii) for a consideration equal to the market value of the asset on the date of disposal where the amount last disposed of by way of bargain made at arm's length cannot be ascertained.

(c) Where an asset is acquired by a creditor in satisfaction of his debt or part of his debt:

(i) the asset shall not be treated as disposed of by the debtor or acquired by the creditor for a consideration greater than its market value at the time of the creditor's acquisition of it; and
(ii) chargeable gain accruing to the creditor on disposal of the asset shall not exceed the chargeable gain which would have accrued if he had acquired the property for a consideration equal to the amount of the debt or part of his debt.

24.4 Compulsory acquisition of land

Land disposed to an authority exercising or having compulsory powers of acquisition shall not constitute chargeable gains provided that:

(a) the person had not acquired the land at a time when he knew or might reasonably have known that it was likely to be acquired by the authority; or
(b) the person had not taken any steps by advertisement or otherwise to dispose of the land or to make his willingness to dispose of it known to the authority or others.

Authority exercising or having compulsory powers means, in relation to any disposal of land, an authority, a person or body of persons acquiring the land compulsorily under the Land Use Act or any other similar enactment or law of a country other than Nigeria, or who has or have been, or may be authorised to acquire it compulsorily for the purposes for which it is acquired, or for whom another authority, person or body of persons has or have been, or may be authorised to acquire it.

24.5 Date of acquisition or disposal

Any asset acquired or disposed of by a person chargeable to tax shall, be deemed to have been acquired or disposed of at the date at which there is an enforceable right to acquire or a binding duty to dispose of the asset or any right or interest in it, and in particular, where;
(a) any contract is to be performed subject to any condition, the date of acquisition or disposal of the asset shall be the date the condition is satisfied;
(b) consideration under the contract does not depend solely or mainly on the value of the

asset at the time the condition is satisfied, the acquisition or disposal shall be treated as if the contract had never been conditional, in which case the date of the acquisition or disposal of the asset shall be the date of the contract; or

(c) an option is conferred by virtue of any contract, the date of the acquisition or disposal of the asset shall be the date when the option is exercised.

24.6 Computation of chargeable gains

In line with the provisions of Nigeria Tax Act, 2025, chargeable gains shall be computed as follows:

(a) in the case of a disposal of an asset used for a trade, business, profession or vocation, for which capital allowance has been claimed, only the residue or tax written down value of that asset shall be deducted from the disposal proceeds; and

(b) in the case of a disposal of an asset where capital allowance has not been claimed, the amount or value of the consideration, in money or money's worth incurred, wholly and exclusively for the acquisition of the asset shall be deducted from the disposal proceeds.

Besides, for the purposes of computation of chargeable gains in either of the two scenarios above, any incidental cost incurred wholly and exclusively for the purpose of disposal of a chargeable asset is deductible from the disposal proceeds. Such expenses include:

i. cost of improvement on the asset for the purpose enhancing the value of the assets in preparation for sale;
ii. expenditure incurred in establishing, preserving and defending title to or a right over the asset;
iii. cost of making the disposal such as fees and commissions paid for professional services of any surveyors, valuers, accountants, legal advisers as well as cost of advert to find a buyer; and
iv. incidental cost of the acquisition of the asset such as stamp duties, conveyance fee and other cost of perfecting title as well as cost of advertisement to find a seller.

24.7 Partial disposal

Where a chargeable asset is partly disposed, the acquisition cost of the assets, together with any expenditure wholly and exclusively incurred for the purpose of enhancing the value of the assets in case of asset on which capital allowance has not been claimed or the residue or the tax written down value in case of asset on which capital allowance has been claimed shall be apportioned between the disposed part and the undisposed part.

Essentially, the chargeable gains on the part disposed shall be computed as follows:

	₦	₦
Sales proceeds of part sold		Xx
Less: cost of part sold		
$\frac{A}{A+B}$ x C		(xx)
Chargeable Gains		XX

Where,
A = Sales proceeds or market value of part sold
B = Market value of the unsold part, and
C = The cost of acquisition of the whole asset in case of asset on which capital allowance has not been claimed or residue/tax written down value in case of asset on which capital allowance has been claimed.

Illustration 24.1

Maryland Limited is trading company that has been in operations for several years. The company acquired a plot of land for business expansion at the cost of ₦30,000,000 in August 2023. As a result of urgent need for funds for critical operational activities of the company, the management sold a portion of the landed property for ₦40,000,000 in June 2026. The market value of the unsold portion of the land is ₦35,000,000.

Required:
Assess and advise on the chargeable gains and the year of assessment the chargeable gains will be subject to tax.

Solution to illustration 24.1

	₦
Sales proceeds	40,000,000
Deduct : Cost of the portion of land sold: A/(A+B) x C ₦40,000,000/(₦40,000,000+₦35,000,000) x ₦30,000,000	(16,000,000)
Chargeable gains	24,000,000

The chargeable gains on the portion of landed property disposed is ₦24,000,000. The chargeable gains of ₦24,000,000 will be included in the determination of the total profit of the company and subjected to tax in 2027 year of assessment.

24.8 Consideration due after the time of disposal - chargeable gains in installments

If the consideration or part thereof taking into account in a computation of chargeable gains is payable in installment over a period exceeding twelve months, the chargeable gain accruing on disposal shall be deemed to be accruing in proportionality part in that year of

assessment in which the disposal is made and in subsequent years of assessment until the final installment is paid.

The accruing gains shall be deemed to have accrued at the last day in that year of assessment except in the case of cessation of a trade or business or death of the alienator where the gains will be deemed to accrue on the date of cessation or death.

The changeable gains will be calculated as follows:

$$\frac{\text{Consideration received in the year}}{\text{Total consideration receivable}} \times \text{Total chargeable gains}$$

It should be noted that where any part of the consideration so brought into account is subsequently shown to the satisfaction of the relevant tax authority to be irrecoverable, such adjustment, whether by way of discharge, or repayment of tax or otherwise, shall be made as required.

Steps to follow in computation of chargeable gains tax by installment

(i) Compute the total chargeable gains
(ii) Identify the dates that each instalment is paid
(iii) Identify the corresponding years of assessment that the dates of instalment fall into
(iv) Compute the chargeable gains for each instalment using the formular/relationship above

24.9 Assets lost or destroyed

Where an asset is lost or destroyed, and a capital sum received by way of compensation for the loss or destruction is applied within three years of receipt in acquiring another asset in its replacement, the owner shall, where the compensation received together with the residual or scrap value is;

(a) greater than the cost of the asset acquired in replacement of the lost or destroyed assets, be deemed to make a chargeable gain; and

(b) lower than the cost of the asset acquired in its replacement, be deemed for the purposes of capital allowance to have acquired an additional asset for an amount equal to the cost of that new asset, less the compensation together with the residual or scrap value.

Except for the additional asset deemed to have been acquired where the compensation received together with the residual value is lower than the cost of asset acquired in its replacement,allowance to be claimed on the new asset for the purposes of capital allowance computation shall be limited to the residue of the old asset, if any.

Illustration 24.2
An asset purchased by ABC Limited for N10million was destroyed by fire and insurance claim amounted to N7million was received as compensation. The residue of the asset was N1million and another asset worth N5million was acquired within three (3) years of receipt of insurance claim.

Required:
Assess and advise on the chargeable gain of ABC Limited (if any).

Suggested solution to illustration 24.2

	₦'million
Insurance claim	7
Residual Value	1
Total	8
Less cost of new asset acquired	(5)
Chargeable gain to be subjected to tax	3

Capital allowance will be claimed on the residue of the old asset, which is N1million.

Illustration 24.3
An asset purchased by ABC Limited for N10million was destroyed by fire and insurance claim amounted to N7million was received as compensation. The residue of the asset was N1million and another asset worth N12million was acquired within three (3) years of receipt of insurance claim.

Required:

Assess and advise on the tax implication of transaction on ABC Limited.

Suggested solution to illustration 24.2

	₦'million
Insurance claim	7
Residual value	1
Total	8
Less cost of new asset acquired	(12)
Additions on which capital allowance will be claimed	4

Capital allowance will also be claimed on the residue of the old asset, which is ₦1million.

24.10 Bargains comprising two or more transactions

Where a single bargain comprises two or more transactions whereby assets are disposed of, those transactions shall be treated for the purposes of computing chargeable gains as a single disposal.

Where separate considerations are agreed or purported to be agreed for any two or more transactions comprised in one bargain, whether transactions whereby assets are disposed of

or not, those considerations shall be treated as altogether constituting an entire consideration for the transactions and shall be apportionable between them.

Where an apportionment results in less consideration being attributed to the chargeable asset than that agreed or purported to be agreed, in the bargain, the separate considerations shall be the consideration for which those assets are disposed of.

24.11 Valuation at market value

For the purposes of computing chargeable gains, unless the context otherwise requires, market value, in relation to any asset, means the price which the asset might reasonably be expected to fetch on a sale conducted at arm's length, or in the open market.

In estimating the market value of any asset in the case of a disposal if the market value is not known, no reduction shall be taken into account for cash or bulk discount.

In determining the acquisition cost of any asset, where the actual consideration paid by the acquirer is less than the market value, the assets shall be deemed to have been acquired for the amount actually paid.
The implication of the above is that for chargeable gains computation and in the case of sales proceeds, the amount to be taken is the higher of the sales proceeds or the market value while in the case of acquisition cost, the amount to be taken is the lower of the market value or actual amount paid.

24.12 Location of assets

To subject gains on chargeable assets to tax in Nigeria, the assets must be located in Nigeria.

The Nigeria Tax Act, 2025 sets out clear rules for identifying the location of various asset types, as follows:

Immovable property: Rights/interests are situated where the property is located.

Tangible movable property: Rights/interests are situated where the movable property is located.

Debts: This is situated in Nigeria, where the creditor is resident in Nigeria or has a permanent establishment (PE) in Nigeria to which the debt relates.

Government-issued shares/securities: Located in the country or place where the issuing authority is situated.

Registered shares/securities: Located where they are registered or where the principal register is located, in the case of multiple registers.

Shares or interests in foreign entities: Deemed situated in Nigeria if over 50% of their value (in the 365 days before sale) is derived from:

- A change in ownership (direct/indirect) of a Nigerian entity, or
- Immovable property or other chargeable assets in Nigeria.

Shares in resident entities: Situated in Nigeria if:

- The entity is a Nigerian company, or

- The owner is a resident or has a PE in Nigeria to which the shares relate.

Ships or aircraft used in international traffic: Situated in Nigeria if the owner is resident in Nigeria or has a PE in Nigeria to which the ship or aircraft relates.
Interests/rights in Ships or Aircraft: Located in Nigeria if the person with the right is a Nigerian resident or has a PE in Nigeria.
Goodwill of a Business: Located where the business is carried on.
Patents, Trademarks, Designs: Located where registered, and in the case of multiple registrations, located where each register is situated.
Copyrights, Franchises, Rights and Licences: Situated in Nigeria if exercisable in Nigeria or where the rights derived from the assets can be exercised in Nigeria.
Judgment debts: Located where the judgment is recorded.
Incorporeal property, including digital assets: Located in Nigeria where the beneficial owner or controller is resident in Nigeria or has a PE to which the asset is connected

Indirect transfer of ownership of companies or assets

Gain accruing to any person in respect of disposal of shares by a non-resident shall be a chargeable gain where the disposal results into a change;

(a) in the ownership structure or group membership of any Nigerian company; or
(b) of ownership of, title in, or interest in any asset located in Nigeria

24.13 Life assurance policies

With respect to any policy of assurance or contract for a deferred annuity on the life of any person, chargeable gain shall not accrue on the disposal of an interest in, or the rights under any such policy of assurance or contract, except where the person making the disposal is not the initial beneficial owner and acquired the rights or interests for a consideration in money or money's worth.

However, the surrender of a policy of assurance or the rights under a contract for a deferred annuity shall constitute a disposal of the rights under the policy of assurance or contract for a deferred annuity, and the amount of the consideration for the disposal of a contract for a deferred annuity shall be the higher of the market value and the disposal proceeds.

24.14 Rights under policies of insurance, other than life assurance policies

The rights of the insured under an insurance effected in the course of a capital redemption business or industrial assurance business shall constitute an asset which may yield a chargeable gain upon disposal.

The rights under any other policy of insurance, whether the risks insured relate to property or not, shall not constitute an asset on the disposal of which a chargeable gain may accrue, except as may be expressly provided.

a) "Capital redemption business" means the business of effecting and carrying out contracts of insurance, whether effected by the issue of policies, bonds or endowment

certificates or otherwise, whereby, in return for one or more premiums paid to the insurer a sum or a series of sums is to become payable to the insured in the future, excluding life or industrial assurance business;

b) "Industrial assurance business" means the business of effecting and carrying out contracts of insurance in connection with any industrial assurance whereby in return for one or more premiums paid to the insurer a sum or a series of sums is to become payable to the insured in the future; and

c) "policy of insurance" does not include a policy of assurance on human life.

24.15 Personal injury

The sums not exceeding ₦50,000,000 obtained by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession or vocation, including compensation for loss of office or employment, wrong or injury for libel, slander or enticement shall not be chargeable gains.

Where the sum exceeds ₦50,000,000, only the excess amount shall constitute a chargeable gain.

Any person who pays compensation for loss of office or employment to an individual is required, at the point of payment of such compensation, to deduct and remit the tax due to the relevant tax authority and tax so deducted shall be remitted within the time specified under the Pay-As-You-Earn or Deduction of Tax at Source Regulations in the Nigeria Tax Administration Act, 2025.

24.16 Principal private residences

The gains accruing to an individual are exempt from tax in respect of the disposal of, or an interest in a dwelling-house or part of such dwelling-house and land other than land used for commercial purposes, immediately adjoining the dwelling house up to a maximum of one acre. This exemption shall be enjoyed once in the lifetime of an individual.

However, where a person disposes of only a part of a dwelling-house or a house used partly as dwelling place and partly for carrying out a trade, business, profession or vocation, the consideration shall be apportioned and the gains on the part used for carrying out a trade, business, profession or vocation shall constitute chargeable gains.

24.17 Personal chattels

A disposal of an asset which is tangible movable property being personal chattels of an individual shall not be a chargeable gain if the total amount or value of the consideration for the disposal does not, in a period of assessment, exceed ₦5,000,000 or three times the annual national minimum wage, whichever is higher.

In case of partial disposal of tangible movable property being personal chattels, no chargeable gains shall accrue if the addition of market value of the part that remains undisposed and the actual consideration of the part disposed does not exceed ₦5,000,000 or three times the annual national minimum wage, whichever is higher in a period of assessment.

The exemption for disposal of personal chattels that does not exceed ₦5,000,000 or three times the annual national minimum wage, whichever is higher is not applicable to a disposal of currency of any description.

24.18 Motor vehicles

The gains on disposal of motor vehicle used solely for private or non-profit purposes shall not constitute chargeable gains. This exemption is limited to not more than two motor vehicles by an individual in any year of assessment. This implies that if an individual disposed more than two motor vehicles in a year of assessment, only the chargeable gains from the first two disposed will be exempted from tax while the chargeable gains from the others will be fully subjected to tax.

24.19 Gifts

Where a person disposes by way of a gift, an asset acquired by him by way of a gift or any other form of gift, not being an acquisition on a devolution on death, the gains accruing from the disposal shall not be chargeable gains.

An asset is acquired or disposed of by way of gift where no consideration is paid or received for the acquisition or disposal.

24.20 Assets held in trust for charities

Any property held in trust for *(a)* a religious or charitable institution of a public character ;*(b)* any statutory or registered friendly society ;*(c)* any co-operative society registered under the co-operative societies law of any State ; or *(d)* any trade union registered under the Trade Unions Act, shall not be regarded as chargeable asset for the purposes of determination of chargeable gains if the gain is not derived from the disposal of an asset acquired in connection with any trade or business carried on by the institution, society or trade union, and the gain is applied solely for the purpose of the institution, society or trade union.

However, where such property ceases to be held in trust for the institution, society or trade union ; *(a)* the trustees shall be treated as if they had disposed of, and immediately re-acquired the property for a consideration equal to its market value, and any gain on the disposal shall be treated as not accruing to the institution, society or trade union ; and *(b)* any gain accruing directly or indirectly on that disposal shall be treated as having accrued to the trustees and shall be chargeable gains in the hand of trustees.

24.21 Chargeable gains exempt from tax

In line with the provisions of the Nigeria Tax Act, 2025, the following shall not constitute chargeable gains and shall be exempt from tax:

(a) Disposal of dwelling house - The gains accruing to an individual in respect of the disposal of, or an interest in a dwelling house or part of such dwelling house and land other than land used for commercial purposes, immediately adjoining the dwelling house up to a maximum of one acre. Where a dwelling-house is partly occupied as principal private residence and partly lent out, the chargeable gain on disposal of the property shall be prorated accordingly.

(b) Property held in trust - Disposal of any property held in trust for *(a)* a religious or charitable institution of a public character ;*(b)* any statutory or registered friendly

society ;*(c)* any co-operative society registered under the co-operative societies law of any State ; or *(d)* any trade union registered under the Trade Unions Act, provided the gain is not derived from the disposal of an asset acquired in connection with any trade or business carried on by the institution, society or trade union, and the gain is applied solely for the purpose of the institution, society or trade union.

(c) Gifts - Assets acquired by way of gift and disposal in a similar manner shall not give rise to chargeable gains

(d) Motor vehicles - Disposal of motor vehicle used solely for private or non-profit purposes shall not constitute chargeable gains. This exemption is limited to not more than two motor vehicles by an individual in any year of assessment.

(e) Disposal of shares - Disposal of shares in any Nigerian company shall not be chargeable gains where the:

(i) disposal proceeds, in aggregate, is less than N150,000,000 and the chargeable gain does not exceed N10,000,000 in any 12 consecutive months,

(ii) shares are transferred between an approved borrower and a lender in a regulated securities lending transaction; or

(iii) proceeds from such disposal, notwithstanding the threshold of N150,000,000 and the chargeable gain of N10,000,000 in any 12 consecutive months, are reinvested within the same year of assessment in the acquisition of shares in the same or other Nigerian companies.

Meanwhile, chargeable gain shall be proportionately computed on the portion of the sales proceeds which are not reinvested.

(f) Personal chattels - A gain accruing on a disposal of an asset which is tangible movable property being personal chattels of an individual shall not be a chargeable gain if the total amount or value of the consideration for the disposal does not, in a period of assessment, exceed ₦5,000,000 or three times the annual national minimum wage, whichever is higher.

(g) Compensation for personal injury or loss of office - The sums not exceeding ₦50,000,000 received by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession or vocation, including compensation for loss of office or employment, wrong or injury for libel, slander or enticement shall not be chargeable gains. Where the sum exceeds ₦50,000,000, only the excess amount shall constitute a chargeable gain.

(h) Life assurance policies and deferred annuities - Any gain derived from the disposal of rights in a life assurance policy or deferred annuity contract will not be deemed chargeable, unless the disposer is not the original beneficial owner and acquired the rights for monetary consideration

(i) Startup investments - Gains arising from the disposal of assets by angel investors, venture capitalists, private equity funds, accelerators, or incubators in relation to a labelled startup are exempt, provided the assets have been held in Nigeria for a minimum of 24 months.

(j) Compulsory acquisition of land - Land disposed to an authority exercising or having compulsory powers of acquisition shall not constitute chargeable gains

provided that:

(i) the person had not acquired the land at a time when he knew or might reasonably have known that it was likely to be acquired by the authority; or

(ii) the person had not taken any steps by advertisement or otherwise to dispose of the land or to make his willingness to dispose of it known to the authority or others.

(k) Pension funds and assets - Gains accruing to pension funds and assets are exempt from income tax.

(l) Awards for valour - Gains from the disposal of a decoration awarded for valour or gallant conduct, where such decoration was acquired otherwise than for consideration in money or money's worth.

(m) Retirement benefits - Gains accruing to an individual from the disposal of investments held as part of any national provident fund or other retirement benefits schemes are exempt from income tax.

24.22 Chapter review

This chapter deals with ascertainment of chargeable gains to be included as taxable income for the purposes of companies income tax computation in line with the provisions of the Nigeria Tax Act, 2025.

Readers must have learnt what constitute chargeable assets and how chargeable gains should be computed for assets that have enjoyed capital allowance and those assets that capital allowance have not been claimed on them.

The chapter also discussed chargeable gains that are exempted from tax in line with the provisions of the Nigeria Tax Act, 2025.

24.23 Worked examples

24.23.1 Questions

1. XYZ Limited is a manufacturing company based in Agbara Industrial Estate. The company has been in business for several years manufacturing detergents and other ancillaries household items. Due to business exigency, the following are projected financial transactions of the company during the financial year ending December 31, 2027.

   a. An oil melting plant purchased on January 1, 2026 for N45,000,000 is to be disposed for N55,000,000 on March 31, 2027.

   b. A land purchased on March 4, 2026 for the purpose of warehouse construction will eventually be sold on June 30, 2027. The acquisition cost of the land was N25,000,000, while the sales proceeds is N42,000,000. The sum of N1,250,000 will be paid to Bukola Ventures for facilitating the disposal of the land.

   c. As a result of the ongoing expansion of Lagos- Badagry expressway, the landed property that cost the company N12,500,000 as at the time of purchase is to be compulsorily acquired by the Lagos State Government on May 5, 2027. The

sum of N30,000,000 will be paid by the Lagos State Government as compensation to the company.

Required:

Ascertain the chargeable gains subject to tax in the relevant year of assessment.

2. Ultimate Agro- allied Company Limited is a long-standing company operating in agricultural value chain in Nigeria. The company sold its two landed properties in 2026. One of the lands is situated on Lagos - Badagry expressway, Amuwo, Lagos and the other in Offa, Kwara State.

The Lagos land was compulsorily acquired by the Lagos State Government in June 2026 in the course of the dualisation of the road. A compensation of ₦47,000,000 was paid for the land which originally cost the company ₦10,500,000.

Fearing that the same predicament might befall Offa land located on Offa –Ilorin Road, the company quickly sold the land for ₦55,000,000 on September 25, 2026. The original cost of Offa land was ₦17,500,000. The firm of Omolara Ventures facilitated the disposal of Offa land and ten percent (10%) of the sales proceeds was paid to the firm.

Required:
Compute the chargeable gains of the company subjected to tax in the relevant year of assessment in line with the provisions of the Nigeria Tax Act, 2025.

3. Chargeable gains are gains that arose as a result of disposal of chargeable assets. For the purposes of chargeable gains, all forms of property shall be chargeable assets whether situated in Nigeria or not. Chargeable gains are to be included as taxable income of taxable persons in the determination of income tax payable except chargeable gains that specifically exempted by the extant tax laws.

Required:

Advise on chargeable gains that are exempt from tax in line with the provisions of the Nigeria Tax Act, 2025.

24.23.2 Suggested solutions to questions

1 **XYZ Limited**
Computation of chargeable gains
For 2028 year of assessment

(a) Disposal of melting plant	₦	₦
Sales proceeds		55,000,000
Less residual value, that is, cost less capital allowance:		
Cost	45,000,000	
Capital allowance claimed in 2027 year of assessment (see working)	(9,000,000)	
Residual value		(36,000,000)
Chargeable gains		**19,000,000**

(b) Disposal of land	₦	₦
Sales proceeds		42,000,000
Deduct incidental cost of disposal		(1,250,000)
Net sales proceeds		40,750,000
Deduct cost of land acquisition	-	(25,000,000)
Chargeable gains		**15,750,000**

(c) Compulsory acquisition of landed property	₦
Compensation	30,000,000
Deduct acquisition cost	(12,500,000)
Chargeable gains (tax exempt)	**17,500,000**

Total chargeable gains to be subject to tax in 2028 year of assessment is N34,750,000 (that is, N19,000,000 + N15,750,000). Chargeable gains on the compulsory acquisition of landed property by the Lagos State Government is exempt from tax.

Working of capital allowance on melting plant	₦
Cost of acquisition	45,000,000
Annual allowance rate (1st Schedule of Nigeria Tax Act, 2025)	20%
2027 year of assessment annual allowance (20% of N45,000,000)	9,000,000

2. Ultimate Agro -allied Company Limited
Computation of chargeable gains
For 2027 year of assessment

	Lagos land	Offa land
	₦	₦
Compensation /sales proceeds	47,000,000	55,000,000

Deduct: Sales expenses	0	(5,500,000)
Net compensation / sales proceeds	47,000,000	49,500,000
Deduct: Cost of acquisition	(10,500,000)	(17,500,000)
Chargeable gains	36,500,000	32,000,000
Chargeable gains to be subjected to tax	Nil	32,000,000

The chargeable gains of Ultimate Agro Allied Company Limited subjected to tax was N32,000,000 on the disposal of Offa landed property. The chargeable gains will be included as taxable income in the determination of total profit for companies income tax computation for the 2027 year of assessment.

The chargeable gains from the compulsory acquisition of Lagos property is exempt from tax in line with the provisions of the Nigeria Tax Act, 2025.

3. In line with the provisions of the Nigeria Tax Act, 2025, the following shall not constitute chargeable gains and shall be tax exempt in the determination of income tax payable by taxable persons:

(a) Disposal of dwelling house - The gains accruing to an individual in respect of the disposal of, or an interest in a dwelling house or part of such dwelling house and land other than land used for commercial purposes, immediately adjoining the dwelling house up to a maximum of one acre. Where a dwelling-house is partly occupied as principal private residence and partly lent out, the chargeable gain on disposal of the property shall be prorated accordingly.

(b) Property held in trust - Disposal of any property held in trust for *(a)* a religious or charitable institution of a public character ;*(b)* any statutory or registered friendly society ;*(c)* any co-operative society registered under the co-operative societies law of any State ; or *(d)* any trade union registered under the Trade Unions Act, provided the gain is not derived from the disposal of an asset acquired in connection with any trade or business carried on by the institution, society or trade union, and the gain is applied solely for the purpose of the institution, society or trade union.

(c) Gifts - Assets acquired by way of gift and disposal in a similar manner shall not give rise to chargeable gains

(d) Motor vehicles - Disposal of motor vehicle used solely for private or non-profit purposes shall not constitute chargeable gains. This exemption is limited to not more than two motor vehicles by an individual in any year of assessment.

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(i) disposal proceeds, in aggregate, is less than N150,000,000 and the chargeable gain does not exceed N10,000,000 in any 12 consecutive months,

(ii) shares are transferred between an approved borrower and a lender in a regulated securities lending transaction; or

(iii) proceeds from such disposal, notwithstanding the threshold of N150,000,000 and the chargeable gain of N10,000,000 in any 12 consecutive months, are reinvested within the same year of assessment in the acquisition of shares in the same or other Nigerian companies.

Meanwhile, chargeable gain shall be proportionately computed on the portion of the sales proceeds which are not reinvested.

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(g) Compensation for personal injury or loss of office - The sums not exceeding ₦50,000,000 received by way of compensation or damages for any wrong or injury suffered by an individual in his person or in his profession or vocation, including compensation for loss of office or employment, wrong or injury for libel, slander or enticement shall not be chargeable gains. Where the sum exceeds ₦50,000,000, only the excess amount shall constitute a chargeable gain.

(h) Life assurance policies and deferred annuities - Any gain derived from the disposal of rights in a life assurance policy or deferred annuity contract will not be deemed chargeable, unless the disposer is not the original beneficial owner and acquired the rights for monetary consideration

(i) Startup investments - Gains arising from the disposal of assets by angel investors, venture capitalists, private equity funds, accelerators, or incubators in relation to a labelled startup are exempt, provided the assets have been held in Nigeria for a minimum of 24 months.

(j) Compulsory acquisition of land - Land disposed to an authority exercising or having compulsory powers of acquisition shall not constitute chargeable gains provided that:

(i) the person had not acquired the land at a time when he knew or might reasonably have known that it was likely to be acquired by the authority; or

(ii) the person had not taken any steps by advertisement or otherwise to dispose of the land or to make his willingness to dispose of it known to the authority or others.

(k) Pension funds and assets - Gains accruing to pension funds and assets are exempt from income tax.

(l) Awards for valour - Gains from the disposal of a decoration awarded for valour or gallant conduct, where such decoration was acquired otherwise than for consideration in money or money's worth.

(m) Retirement benefits - Gains accruing to an individual from the disposal of investments held as part of any national provident fund or other retirement benefits schemes are exempt from income tax.

CHAPTER TWENTY-FIVE

APPLICATION OF INFORMATION TECHNOLOGY IN TAXATION

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g) Operations of the FIRS TaxPro Max solution relating to filing requirements and procedures

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j) Impact of new technologies for tax practice and administration

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l) Technology as an effective tool for tax practitioners and administrators

m) Key reasons why tax practice firms leverage technology

n) Challenges of technology on tax practice and administration

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25.0 Learning objective

The objective of this chapter is to enhance readers' knowledge of the application of information technology in taxation.

25.1 Learning outcomes

On successful completion of this chapter, readers should be able to discuss the following:

(a) overview of computer applications amenable to tax planning and administration (for example, excel and web portals);
(b) navigational skills in NRS and other tax portals;
(c) electronic filing of income tax returns;
(d) automated VAT management and returns;

(e) excel payroll software template for computations of employees' tax;
(f) key features of integrated tax administration system (ITAS) of Nigeria Revenue Service (NRS) which include:

  (i) electronic registration of a taxpayer with the FIRS and validation of tax identification number TIN);
  (ii) online submission of tax returns;
  (iii) electronic tax payment to FIRS;
  (iv) processing of electronic tax clearance certificate (TCC); and
  (v) automated filing and collection system of value added tax (VAT) as it relates to branded shops, super shops; supermarkets and standard restaurants; and

(g) challenges of technology on tax practice and administration.

25.2 Introduction

The roles of tax practitioners and administrators are unique and essential in every society. There is hardly any business outfit that does not deal with series of tax issues yearly, arising from their transactions or locations. In most cases, entities find it challenging in handling their tax matters.

Following recent advances in technology all over the world, many organisations are moving fast to key into the opportunities therein to facilitate and resolve their regular business challenges.

This section discusses how tax practitioners and administrators can make use of available technology to enhance their work and make them more relevant in today's dynamic environment.

25.3 Overview of the technological impact on tax practice and administration

Tax practitioners are independent firms licensed to provide tax-related services to their clients, while tax administration refers to revenue agencies or authorities with the mandate to assess, collect and account for taxes on behalf of the government.

25.3.1 Current roles of tax practicing firms

These include:

(a) providing independent services to their clients which include;
(b) preparing tax records;
(c) computing of end-of-year tax liabilities;
(d) filing of tax returns;
(e) advising clients on tax matters;
(f) complying with tax legislations;
(g) resolving tax disputes; and
(h) engaging in tax audit and investigation.

Evidence from technological advancements reveal that most of these tasks can be made more efficient and effective through automation.

25.3.2. Elements of tax practice

These elements of tax practice as highlighted above could be enhanced by leveraging on new technologies described in the next section.

25.3.3 Tax compliance

This involves:

(a) gathering of relevant tax information;
(b) evaluating and classifying the information;
(c) filing of necessary tax returns; and
(d) representing clients during tax audits, investigation, etc.

25.3.4 Tax planning and advisory

This involves:

(a) arranging client's transactions to optimise (usually minimise) tax liability, that is, tax avoidance or evasion schemes; and
(b) planning for:

(i) Open transactions
- These involve planning the timing and amount for pending future transactions to reduce any associated tax implications; and

(ii) Closed transactions
- These relate to how to present and classify past transactions in the accounts to reduce their tax exposure.

25.3.5 Tax litigation

This involves:

(a) settling disputes with tax authorities in a law court or tribunal. It also involves reading, understanding and citing a lot of the provisions of extant tax laws and regulations;
(b) appearing as an expert or technical witness in court of law on behalf of clients; and
(c) appealing on behalf of clients when necessary.

25.3.6 Tax research and intelligence

This involves:

(a) identifying a tax problem;
(b) gathering the relevant evidence or information for tax purposes;
(c) evaluating several scenarios relating to the challenge; and
(d) determining and outlining the solutions to the problems.

25.4 Current roles of tax administrators

Tax administrators are public authorities empowered to assess, collect and account for taxes for a recognised jurisdiction. Their roles include, but not limited to:

(a) registering and educating taxpayers;
(b) receiving tax returns filed by taxpayers;
(c) assessing taxpayers (individual and entities);
(d) collecting, maintaining records and accounting for taxes paid;
(e) managing and processing tax refunds applications;
(f) conducting routine tax audits, investigations, etc;
(g) managing and enforcing tax debt recovery; and
(h) advising on the review of tax legislations and regulations

25.5 The effects of technology on modern tax administration in Nigeria

25.5.1 Introduction

In 2006, the Nigeria Revenue Service deployed the first tax portal (Webportal) which was implemented to automate and streamline taxpayers' registration and other tax administration processes. In 2014, an Integrated Tax Administration System (ITAS) known as SIGTAS was implemented though it appears its deployment was stalled.

On June 7, 2021, the NRS announced the adoption and deployment of a locally developed tax management solution known as **TAXPRO MAX**. This system has the capacity to handle different aspects of tax administration, including:

(a) E-registration
Deployment and use of a robust and integrated tax management software makes it possible for accurate taxpayers' data to be captured by the tax authority. Each taxpayer enrolled is assigned a unique tax number and it is now possible for taxpayers to do self-enrolment through a web application service.

(b) E-assessment
When taxpayers file returns electronically, it is possible for their tax liabilities to be computed and assessment notice generated automatically and sent to their email accounts.

(c) E- payments
Technology has made it possible for taxpayers to make payments through several electronic channels, such as point of sale (POS); internet banking; bank transfers; unstructured supplementary service date (USSD) or even using their credit/debit cards from the comfort of their homes.

(d) E- filing
Most integrated tax management solutions come along with a module that facilitates electronic filing. This enables taxpayers to file their returns from their offices without the stress of going to the tax office which might be several kilometers away. For instance, the NRS has been encouraging taxpayers to make use of the recently deployed TaxPro Max solution to file their periodic tax returns, including VAT and CIT returns.

(e) E-tax calculator

Modern tax authorities develop and deploy this tool on their websites to enable taxpayers and their consultants to compute the accurate amount of taxes to be paid. This function has been part of the NRS website (www.firs.gov.ng) in the last few years.

(f) E-TCC

Many individual and corporate taxpayers require their tax authorities to issue tax clearance certificates (TCCs) to them on yearly basis. Through the use of appropriate technology, taxpayers can apply for their TCCs electronically and get them sent to their email accounts, if the conditions are met.

(g) E-reporting

Each tax authority requires various performance reports to be generated on a periodic basis. These reports can be generated within seconds at the click of a button.

(h) E-tax audit

Technology has made it possible for the entire process of tax audit to be carried out without the tax auditors visiting the premises of the taxpayer and vice versa. For instance, all the pre and post –audit meetings can be held using video conferencing tools and documents exchanged electronically through emails.

25.5.2 E- invoicing

Section 157 of NTA, 2025, makes it mandatory for a taxable person making a taxable supply to make use of the fiscalisation system deployed by the Service in accordance with the provisions of NTAA.

The fiscalisation system includes fiscal equipment consisting of electronic devices, software solutions or a communication system involving a secured network, or any such combination of the components for electronic invoicing and data transfer as the Service may prescribe or deploy.

25.5.3 Rev360

On April 30, 2026, the NRS launched Rev360 to replace the legacy TaxPro Max portal. Rev360 has been designed to update tax administration by providing a frictionless electronic portal to simplify how taxpayers engage with the NRS. When compared with the TaxPro Max, it has additional features, such as, simplified registration, filings and payments, objections and appeals, etc that make compliance easier, faster and more transparent.

Whilst it is hoped that Rev360 will eventually replace TaxPro Max, the initial phase of the former, focuses on small businesses and individuals in the informal sector, and medium taxpayers, before extending to other categories.

The system has the capacity to handle different aspects of tax administration, including:

(a) **E-registration**
To access the portal, a taxpayer needs to visit selfservice.nrs.gov.ng. This process has been designed to be an electronic self-service, facilitating cross-agency data matching.

(b) E-assessment
The platform facilitates automated and real-time assessment of taxes, thereby reducing manual intervention.

(c) E-payment
The portal makes provision for real time updates on tax liabilities and payments.

(d) E-filing
Rev360 makes use of technology for the automation of filing of returns, reconciliation and payments.

(e) E-TCC
The platform has been designed to generate electronic tax clearance certificates for tax compliant taxpayers.

(f) E-reporting
The platform facilitates the generation of reports within seconds at the click of a button.

(g) E-audit
The portal can generate digital audit trail which allows for accountability. The tax officials do not have to wait for periodic reports as business transactions are readily visible, thereby allowing for real-time monitoring.

25.6 Operations of the NRS TAXPROMAX solution relating to filing requirements and procedures

25.6.1 Preamble
The NRS is empowered to automate filing of tax returns and payment processes. In furtherance to the foregoing, the NRS introduced the TaxPro Max application. The application is a one-stop, online tax administration platform for the management of tax processes. Consequently, taxpayers have the opportunity to:

(a) register, file returns, remit taxes;
(b) carry out assessments and keep track of tax obligations;
(c) manage withholding tax deductions;
(d) manage capital allowance and loss;
(e) download tax clearance certificate; and
(f) communicate with the NRS on tax issues, etc.

On June 7. 2021, the application portal was opened for filing of all naira denominated taxes. Based on a circular dated June 4, 2021, the NRS called on taxpayers to fulfil their tax obligations using the portal.

Due to the hitches experienced by taxpayers in the registration and use of the portal, companies that have December 31, accounting year end whose returns fell due on June 30, 2021, had the deadline for filing of returns extended to July 31, 2021, instead of the statutory June 30, 2021, without any obligation to pay penalty and interest for late filing.

Taxpayers are expected to register in order to access the portal, after which, they must input their log-in details in order to file returns. Upon filing the returns, a document identity number (DIN) will be generated. The DIN is mandatory in order to remit taxes via the portal. The portal can be used to file returns by taxpayers or their approved agents.

Taxpayers who are interest to file returns in hard copy may visit the local tax offices where staff of the NRS will be on hand to upload the documents to the portal. However, this should be done at least 2 weeks before the deadline.

25.6.2 Filing requirements for value added tax (VAT)

Taxpayers are expected to file their returns on TaxPro Max, using the following procedure:

(a) fill the tax update form by visiting any local tax office of the NRS;
(b) access the TaxPro Max portal via https://taxpromax.nrs.gov.ng and login with their user details, after which, a dashboard will be displayed;
(c) click on “taxes due” and select the “tax type”;
(d) click on “process” to begin;
(e) fill in the schedules as required including sales adjustment, exempt and zero-rated goods and service;
(f) click on “add record” and “proceed”;
(g) ensure that the VAT form is loaded after completing all schedules;
(h) select the “currency type” under “Returning Currency”;
(i) insert the total sales/income, exclusive of VAT;
(j) tick the box for the declaration form; and
(k) confirm all entries before submission.

25.6.3 Filing requirements for companies income tax (CIT)

These requirements are:

(a) log in to https://taxpromax.nrs.gov.ng on your browser;
(b) click “taxes due”;
(c) under the action column, click on “process” and it will take you to schedules;
(d) the companies income tax (CIT) form will be generated and displayed after the completion of all the schedules;
(e) select the currency type, for example. NGN, GBP, USD, CFA, EUR, under “returning currency”;

(f) insert the total revenue amount in the first box of the generated form. This will automatically fill the remaining pre-fill boxes;
(g) click on "declaration" beneath the generated CIT form, to declare that the information is correct and in accordance with the relevant Tax Act;
(h) select payment options; full-payment, 2 instalments, 3 instalments, or 4 instalments, accordingly;
(i) click on "submit";
(j) on the Companies income tax assessment page, click on "review the CIT assessment";
(k) click "proceed to payment";
(l) on the CIT assessment page, upload audited accounts, tax computations, notes, to accounts, memorandum and articles of association;
(m) click on "submit";
(n) all documents to be uploaded in PDF format except notes to the accounts which is in excel format. The size of the files should not be more than 200kb;
(o) payment session: On the CIT payment page, go through the description items and their corresponding amounts for payment;
(p) click "process to payment";
(q) click on "pay now" on the payment page;
(r) click "pay" button;
(s) the system will automatically generate a payment reference code;
(t) two payment options will be available, that is, 'pay online' or 'pay at bank';
(u) pay online will automatically connect to Remita platform by generating the payer's name, phone number, email, amount, reference code. You can pay the amount online or at any NRS designated bank and click submit; and
(v) confirm payment and print payment acknowledgment slip.

25.7 Operations of the NRS Rev360 solution relating to filing requirements and procedures

25.7.1 Company registration process

Step 1: Access registration
a. Go to https://selfservice.nrs.gov.ng
b. Click on the "Create New Account" button on the homepage.

Step 2: Select entity type
Select corporate as category

Step 3: Select corporate category
a. Choose your corporate category:
b. Select the category that applies to the business you want to register.

Step 4: Verify CAC Details
a. Enter your RC Number in the field provided.
b. Click Verify CAC Details.
c. The system connects to CAC and automatically retrieves your company registration details.

Step 5: OTP Verification

a. Click Proceed to OTP Verification.

An OTP will be sent to the CAC-registered email.

b. Enter the OTP received via email or SMS to confirm ownership.

Step 6: Enter business information

a. Complete the additional business details, including:
b. Business contact details (all fields are editable at this point)
c. Commencement date
d. Accounting year-end
e. Business sector

Step 7: Select Tax Office

a. Select your preferred Tax Office.

It is recommended to choose the office closest to your business location.

Step 8: Add Tax Representative (Optional)

Enter your Tax Representative's Tax ID, if applicable, choose no if you will not be using one at this point.

Step 9: Save and Resume (Optional)

a. Click Save Progress and Close to pause the process and conitnue later.

The system generates a Resume ID.

b. Use the Resume ID to continue your registration at any time. Enter the resume ID in the box provided and click contiune registration.

Step 10: Additional declarations

a. Indicate whether your company is a constituent of a multinational enterprise.
Group (Yes/No). If you choose Yes, select Add Entity for every entity and fill in the the required details:

i. entity name;
ii. TaxID;
iii. country of residence; and
iv. percentage holding.

b. Indicate whether your company has any foreign controlled company (Yes/No). If you select Yes, click on Add Company for every CFC and fill in the required details:

i. entitiy name;
ii. TaxID;
iii. country of residence; and
iv. percentage holding.

Step 11: Upload required documents

Upload the required documents:

a. Valid Director's ID.
b. The following IDs are accepted:
   i. National Identity
   ii. International Passport
   iii. Drivers Licence
   iv. Utility Bill for address verification

Step 12: Review CAC details

a. Click View CAC Registration Details to review your company information.
b This information will be automatically submitted to NRS as part of your registration.

Step 13: Submit registration

a. Complete the Declarant Information section.
b. Click Submit Form to complete the process.

Your company's registration is now submitted and pending verification by NRS.

27.7.2 Logging into Rev360

Step 1: Access the portal

Open your web browser and go to: selfservice.nrs.gov.ng

Step 2: Initiate login

Click continue with NRS SSO to proceed.

Step 3: Enter Credentials

Enter your login credentials:
a. username; and
b. password.
These credentials are sent to your registered email address during onboarding or migration.

Step 4: Sign In

a. Click Sign In to access your account.
   Note on First-Time Access
b. First-time users may be required to change their password upon initial login.
c. Ensure your credentials are kept secure and not shared with unauthorised persons.

25.8 New technologies for tax practice and administration

Two different future trends in tax that both rest on information technology are:

a) Increasing use of digital technology_– Tax professionals will use increasingly sophisticated technologies to enhance their traditional ways of serving clients. This is already happening today across the globe; and

b) a radical shift (total takeover) – Here, technology does not simply streamline and optimise that traditional approach, it actively displaces the work of traditional tax professionals.

Digital transformation inspired by unprecedented pace of technological advancement is disrupting nearly every industry, and taxation is no exception. Some of the new technologies disrupting the taxation industry include.

25.8.1 Cloud computing technology

Many accounting software are hosted in the cloud. Some of them come along with modules for tax management used for:

(a) automated tax computation;
(b) tax returns preparation and filing;
(c) tax planning and forecasting; and
(d) tax payment; etc.

In most advanced tax environments, there are cloud-based independent automated solutions for tax management. When a tax practice or administration subscribes to a cloud-based tax management solution, it is relieved of the need to invest in physical onsite servers with the attendant costs of maintenance and support.

Cloud-based tax management solutions afford tax practitioners the opportunity to work remotely from practically any device with internet connection and serve their clients from any location at any time. It further helps tax practitioners to facilitate collaborations among themselves and clients.

25.8.2 Artificial intelligence and robotics

Traditionally, tax practitioners put a lot of efforts in collating and analysing financial data in order to serve their clients and taxpayers. Artificial Intelligence (AI) and Robotics make it easier for tax practitioners to simplify and accelerate various data-related tasks. Robotic Process Automation (RPA) software has been demonstrated to be effective in handling routine and monotonous aspects of the tax man's job.

AI is capable of making tax practitioners and administrators more productive as its algorithms allow machines to take over time-consuming, repetitive, and redundant tasks. Rather than just crunch numbers, tax professionals will be able to spend more time delivering actionable insight on tax implications of past and future transactions of the company.

Machines can help reduce costs and errors by streamlining operations. For instance, the optical character recognition (OCR) technology enables practicing firms to automate and accelerate manual entries by converting textual data to digital files using scanners and mobile device cameras.

Apart from automating the repetitive and mundane tasks of tax practitioners, AI would enable tax practitioners focus on high value functions such as tax advisory services based

on deeper insights of client's data.

25.8.3 Blockchain technology

Blockchain technology became popular globally through the advancements in digital currency transactions such as Bitcoin. Many businesses now leverage on the blockchain technology to record their financial and non-financial transactions in an open, secured and decentralised ledger.

Where the tax consultant or the tax authorities are made part of the transaction flow and given access to the data chain, it makes it possible for all parties to see each transaction and determine the tax implication. The blockchain can equally be used to facilitate tax payments to the government at highly reduced processing cost.

Blockchain enables smart contracts, protecting and transferring ownership of assets, verifying people's identities and credentials, etc. Once blockchain is widely adopted, and challenges around industry regulation are overcome, it will benefit businesses by reducing costs, increasing traceability and enhancing security.

25..8.4 Data analytics technology

Data has become the new cash as it is extremely crucial to make useful business financial decisions. Today, data is not just numbers and spreadsheets that accountants and tax practitioners have been familiar with for years. It also includes unstructured data that can be analysed through automated solutions.

Data analytic software can allow for real-time status monitoring of financial matters including their tax implications. Data is the fuel that powers other technology trends that are transforming finance and accounting. In the financial realm, data produces valuable insights, drives results and creates a better experience for clients. Since everything leaves a digital footprint, the unprecedented digitalisation of our world is creating opportunities to glean new insights from data that was not possible before.

These insights help tax administrators to improve internal operations and build revenue for the government. Through data analytics software, tax practicing firms could offer more valuable advisory services to their clients.

25.8.5 Social media technology

Social media platforms have been with us for a while and they have become useful tools in the hands of tax practitioners and administrators. Primarily, the social media platforms are used for dissemination of tax information due to its wide reach and appeal to the younger generation. Beside information sharing, platforms such as Facebook; Instagram; Twitter; LinkedIn; etc; are useful for collaboration among tax professionals and institutions.

A lot of tax practitioners have made themselves more visible and attractive to clients through the use of social media platforms.

25.8.6 Mobile app technology

Tax practitioners can use their mobile devices to access the financial data of their clients anytime and anywhere especially where the client has adopted cloud accounting technology. Also, tax administrators and practitioners could develop and deploy mobile apps which taxpayers and clients respectively could download and install for tax updates and news.

25.9 Impact of new technologies for tax practice and administration

The use of some of these technologies in tax practice and administration brings the following benefits:

(a) customer satisfaction: there would be enhanced perception of overall tax practice and administration performance;
(b) lower cost of compliance: Members of staff of the tax authority would be able to focus on more valuable activities;
(c) data error is minimised: Improvement in the quality of taxpayers' information; and
(d) Improved voluntary compliance: The compliance level of most taxpayers is bound to improve which would in turn impact positively on revenue generation.

For tax practising firms, the following benefits could be derived:

(a) time savings – speed and accuracy of data entries and processing;
(b) cost savings in the long run;
(c) focus on higher level jobs that machines cannot handle;
(d) mobility of service; and
(e) increased capacity to serve multiple clients.

25.10 Taxes applicable to technology-based transactions

E-business and e-commerce have become the order of the day across the globe as most economic transactions are today executed online real-time. Some good examples of e-commerce transaction are:

(a) online shopping;
(b) online movies;
(c) internet banking;
(d) online ticketing and reservation;
(e) auction sites;
(f) journal subscription; and
(g) online betting and gaming.

One wonders if the players in the digital space such as Google; Apple; Microsoft; Facebook; Jumia; Konga; etc pay the right amount of taxes to the various jurisdictions where their services are consumed. Do they have physical presence in all the countries where their services are taken?

Generally, income generated from technology-based transactions are not exempted from income taxes. Most of the traditional tax types such as VAT, WHT, CIT and PIT are

equally applicable to technology-based transactions, such as e-commerce transactions.

Some multinational companies now prepare their financial statements that clearly show transactions from digital business as a separate line.

However, due to the problem of no physical presence of most of the digital companies, many countries appear to introduce special taxes based on the concept of significant economic presence (SEP) in line with Organization for Economic Cooperation and Development (OECD) framework. As at October 14, 2020, Austria, France, Hungary, Italy, Poland, Spain, Turkey, and the United Kingdom (UK) had implemented a digital service tax (DST). Belgium, the Czech Republic, and Slovakia have published proposals to enact a DST, and Latvia, Norway, and Slovenia have shown intentions to implement same.

The UK's DST is charged at 2% on gross UK-generated revenues of large businesses providing a social media service, search engine, or online marketplace to UK-based users. The tax was applied to revenues generated from April 1, 2020. France has since imposed its own 3% tax on digital revenue for large tech companies — in effect singling out the U.S. tech giants — but has said it would withdraw the tax in favor of an international solution being negotiated under the auspices of the OECD.

In late February 2021, the US removed the stumbling block to global deal on digital tax as the Joe Biden's administration dropped the insistence on 'safe harbour' for companies adopted during the Donald Trump's administration, opening door to agreement with other countries. The OECD has predicted that an acceptable international agreement on digital service tax is likely to be reached by mid-2021.

Nigeria established a new legal framework that would allow her to levy tax on the income of non-resident technology companies (NRTC) whose business activities constitute Significant Economic Presence (SEP) in Nigeria, to the extent that these companies do not already have a separate local entity incorporated. Electronic transactions were made subject to stamp duties.

The Federal Government of Nigeria (FGN) on Friday, May 29, 2020 published the Companies Income Tax (Significant Economic Presence) Order, 2020 ("the Order") in its Official Gazette No. 21, Vol 107 of February 10, 2020.

The Order provides that a non-resident company shall have a SEP in Nigeria in any accounting year, where it derives N25 million or more as annual gross turnover or its equivalent in other currencies from any or combination of some specific activities. The second sub-category includes DCs that:
(a) use a Nigerian domain name;

(b) register a website in Nigeria; or
(c) have a purposeful and sustained interaction with persons in Nigeria by customising their digital platforms to target persons in Nigeria (localization test).

An example of the latter is where the company reflects the prices of its products in naira or provides options for billing and payment in naira.

Some countries have equally put in place policies for the regulation of cryptocurrencies and make such transactions taxable.

The recent ban placed on Twitter in Nigeria has again raised the question on whether or not these technology giants operating in the digital space are paying any tax to Nigeria.

25.11 Technology as an effective tool for tax practitioners and administrators

According to McKinsey, by 2030, intelligent agents and robots could replace as much as 30% of the world's current human labour causing 375 million people to switch job categories.

The question therefore is -should robots be required to pay tax, considering the fact that many robots are being deployed to take over the repetitive tasks of accountants?

Technologies and their impact on tax include:

25.11.1 Cloud technology

Cloud technology impacts tax practice in the following ways:

(a) tax management software hosted in the cloud (check out cloud service providers);
(b) storage and retrieval of tax transaction data in the cloud;
(c) access and analyse tax data anytime, anywhere and on any device;
(d) present results in robust dashboards; and
(e) collaboration and exchange of information between tax authorities and/or taxpayers.

25.11.2 Data analytics technology
Data analytics technology impacts tax in the following ways:

(a) the use of statistical power of modern machines to analyse volumes of data and gain better business insight;
(b) identification and prediction of tax risk factors and anomalies; and
(c) improvement of business and tax advisory services due to deeper insight.

This equally offers accountants and tax auditors some advantages:

(i) check transactions at source;
(ii) review complete set of data (100 per cent check);
(iii) predictive analytics (assist in risk assessment); and
(iv) evaluation of programmed tax controls.

25 .11.3 Artificial intelligence and robotics

Artificial intelligence (AI) is already in use for optical character recognition (OCR), and voice recognition and can easily be adapted in other areas of tax compliance.

AI-enabled applications (Chatbot) can deal with more complex tasks, such as answering subtle taxation queries.

This technology offers the following, among others:

(a) zero data entry;
(b) responding to queries;
(c) the machine can be made to learn from tax auditor's conclusion and uses it on future scenarios; and
(d) identify patterns in both structured and unstructured transactions data – which ones are "normal and abnormal".

25.11.4 Social media technology

Social media is a medium to build relationships which can easily be used by tax practitioners to:

(a) gain visibility and exposure;
(b) be recognised as experts;
(c) build their online network; and
(d) keep the clients informed and provide better and prompt customer service.

25.11.5 Mobile app technology

Mobile apps are useful to tax practitioners in the following ways:

(a) mobile accounting provides tax practitioners many benefits, such as on-demand data and information, even if they are on the go; and
(b) starting a laptop or computer every time, you want to work, and then go online is a waste of time when you can get all the information with just a single tap.

25.11.6 Blockchain technology

Distributed ledgers provided by blockchain technology, serves tax practitioners as

follows:

(a) decentralisation and distribution of shared database;
(b) all parties to a business transaction are involved in recording and validation from inception. This includes involving the tax authorities;
(c) no reconciliation needed; and
(d) no tax audit required.

By storing blocks of information that are identical across its network, the blockchain:

(a) cannot be controlled by any single entity – decentralised to all nodes;
(b) offers no single point of failure;
(c) provides enhanced security through its immutable ledger;
(d) provides enhanced transparency of transactions; and
(e) is faster and cost effective.

25.12 Key reasons why practice firms leverage technology

Some benefits derivable by practice firms leveraging technology include:

(a) Winning more clients: It is obvious that majority of clients would prefer to hire tax practice firms that are adaptive to technology changes;
(b) Retaining more clients: Adoption and adaptation of modern technologies would make practising firms to render the much needed valuable and improved services which make clients retain them;
(c) Cross-selling services: Technology provides platforms to enable practicing firms make their services more visible to many clients; and
(d) Adding greater value: Firms that adopt new technologies are able to automate most of the routine and labour-intensive tasks. This makes it possible for such firms to focus their attention on tasks that generate greater values for their clients.

25.13 Challenges of technology to tax practice and administration

25.13.1 Challenges

The challenges of technology adoption in tax practice and administration include:

(a) low computer literacy level;
(b) poor internet facility;
(c) possible cyber threat;
(d) high implementation cost;
(e) lack of technical know-how; and
(f) challenge of data validation - garbage-in; garbage-out-.

25.13.2 Opportunities

Opportunities for tax practitioners from technology adoption include:

(a) allowing tax professionals to focus on higher level jobs while offering their services to more clients;
(b) enhancing visibility to clients;
(c) providing ability to offer personalised services to clients;
(d) enhancing adaptability to change and offering new services;
(e) saving time – become more efficient and focused on relevant data;
(f) saving cost (long term);

(g) enabling mobility of service – geography is now unimportant;
(h) providing new skills to tax professionals;
(i) enabling opportunity to work collaboratively with anyone from any part of the world; and
(j) increasing tax audit quality, as it begins to allow auditors to ask a lot more questions.

25.14 Chapter review

The chapter discusses the following:
(a) overview of computer applications amenable to tax planning and administration (for example, excel and web portals);
(b) navigational skills in NRS and other tax portals;
(c) electronic filings of income tax returns;
(d) automated VAT management and returns;
(e) excel payroll software template for computations of employees' tax; and
(f) key features of integrated tax administration system (ITAS) of Nigeria Revenue Service.

25.15 Worked examples

25.15.1 Questions

1) In 2006, the NRS deployed the first tax portal (Webportal) which was implemented to automate and streamline taxpayers' registration and other tax administration processes. In 2014, an integrated tax administration system (ITAS) known as SIGTAS was implemented. The recent adoption and deployment of a locally developed tax management solution known as TAXPRO MAX has the capacity to handle different aspects of tax administration. On April 30, 2026, the NRS introduced Rev360 platform with features designed to make tax compliance easier, faster and more transparent.

Required:
Explain the different aspects of tax administration that can be handled by the TAXPRO MAX and Rev360.

2) There are many reasons why a tax practitioner should leverage new technology such as cloud computing in his firm.

Required:
Explain two (2) reasons why it is beneficial for a firm of accountants to leverage technology.

3) A tax system comprises tax policy, tax legislation, and tax administration. Tax administrators are public authorities empowered to assess, collect and account for

taxes for a recognised jurisdiction.

Required:
Explain the current roles of tax administrators in Nigeria.

25.15.2 Suggested solutions to questions

(1) The different aspects of tax administration that can be handled by TaxPro Max and Rev360 include:

(a) e-registration of taxpayers;
(b) e-assessment;
(c) e- payments of assessments;
(d) e- filing of returns;
(e) e-tax calculator;
(f) e-TCC;
(g) e-reporting; and
(h) e-tax audit.

(2) Main reasons why practice firms leverage technology include:

(a) winning more clients: It is obvious that majority of clients would prefer to hire tax practice firms that are adaptive to technology changes;
(b) retaining more clients: Adoption and adaptation of modern technologies would make practising firms to render the much needed valuable and improved services which make clients retain them;
(c) cross-selling services: Technology provides platforms to enable practising firms make their services more visible to many clients; and
(d) Adding greater value: Firms that adopt new technologies are able to automate most of the routine and labour-intensive tasks. This makes it possible for such firms to focus their attention on tasks that generate greater values for their clients.

(3) The roles of the tax administrators include:

(a) registering and educating taxpayers;
(b) receiving tax returns filed by taxpayers;
(c) assessing taxpayers (individual and entities);
(d) collecting, maintaining records and accounting for taxes paid;
(e) managing and processing tax refunds applications;
(f) conducting routine tax audits, investigations, etc;
(g) managing and enforcing tax debt recovery; and
(h) advising on the review of tax legislations and regulations.

APPENDIX I

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